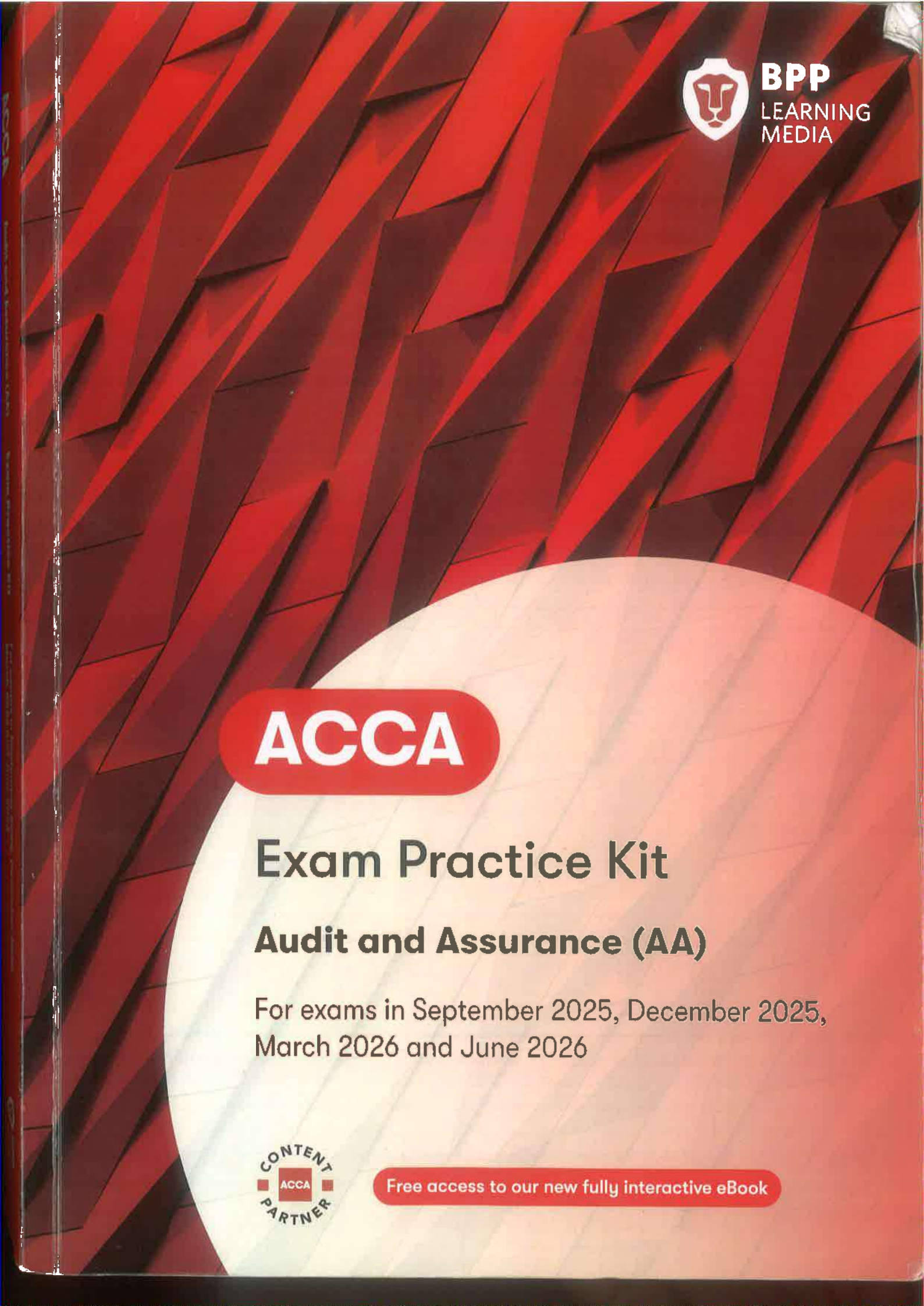
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Audit and Assurance (AA)
For exams in September 2025, December 2025,
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ACCA

Applied skills

Audit and Assurance (AA)

Exam Practice Kit

For exams in September 2025, December 2025, March 2026 and June 2026

BPP

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Question index

The headings in this index indicate the main topics of questions, but questions are expected to cover several different topics. The dates indicate the timing of past real exam questions eg March/June 2021 is a past question from the sample questions published by the ACCA for the March and June 2021 exams.

Questions set under the old syllabus Audit and Assurance (F8) and Audit and Internal Review (AIR) exams are included because their style and content are similar to those which appear in the Audit and Assurance (AA) exam. The questions have been amended to reflect the current exam format.

	Marks	Time allocation (mins)	Page number	
			Questions	Answers
Part A: Audit framework and regulation				
Section A				
1-5 BJM Co	10	18	3	145
6-10 Tangerine Tech Co	10	18	4	146
11-15 Orange	10	18	6	148
16-20 SGCC	10	18	9	149
21-25 Doge & Co	10	18	11	150
26-30 Kamari Co	10	18	13	152
Part B: Planning and risk assessment				
Section A				
31-35 Bridgford	10	18	15	154
36-40 EuKaRe	10	18	17	155
41-45 South	10	18	20	156
46-50 Mason	10	18	22	158
51-55 Goofy Co	10	18	24	159
56-60 Carlise	10	18	27	161
Section B				
61 Peony (Mar/Jun 2019)	20	36	30	163
62 Harlem (Sep/Dec 2019)	30	54	31	167
63 Scarlet (Mar/Jul 2020)	30	54	33	173
64 Corley Appliances Co (Mar/Jun 2021)	20	36	34	178
65 Hart Co (Sep/Dec 2020)	30	54	35	182
66 Blackberry Co (Mar/Jun 2018)	20	36	37	187
67 Darjeeling Co (Sep/Dec 2018)	30	54	38	191
68 Hurling Co (Mar/Jun 2017, amended)	30	54	39	196
69 Peach Co (Sep/Dec 2021)	30	54	40	202

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	Marks	Time allocation (mins)	Page number	
			Questions	Answers
70 Esk Co (Mar/Jun 2022)	30	54	42	208
71 Magpie Co (Sep/Dec 2022)	20	36	44	214
72 Lapis Co (Mar/Jun 2023)	20	36	46	218
73 Knight Electronics Co (Sep/Dec 2023)	30	54	47	222
74 Green Co (Mar/Jun 2024)	30	54	48	227
Part C: Internal control				
Section A				
75-79 Flowers Anytime	10	18	51	233
80-84 KLE Co	10	18	54	235
85-89 SouthLea	10	18	56	235
90-94 Cherry	10	18	58	236
Section B				
95 Freesia (Mar/Jun 2019)	30	54	61	238
96 Castle Courier Co (Mar/Jun 2021)	30	54	63	243
97 Bluesberry (Dec 2010)	20	36	64	248
98 Snowdon (Mar/Jul 2020)	20	36	65	253
99 Swift Co (Sep/Dec 2020 amended)	20	36	67	257
100 Amberjack (Sep/Dec 2019)	20	36	68	260
101 Raspberry Co (Mar/Jun 2018)	30	54	69	264
102 Camomile Co (Sep/Dec 2018)	20	36	71	271
103 Fox Industries Co (Jun 2013, amended)	30	54	72	275
104 Pomeranian Co (Sep/Dec 2021, amended)	20	36	73	280
105 Whittaker Co (Mar/Jun 2022)	20	36	74	283
106 Daley Co (Sep/Dec 2022)	30	54	76	289
107 Petra Co (Mar/Jun 2023)	30	54	78	295
108 Silver Co (Sep/Dec 2023)	20	36	80	301
109 Francisco Co (Mar/Jun 2024)	20	36	81	304
Part D: Audit evidence				
Section A				
110-114 Expert	10	18	83	309
115-119 Newthorpe	10	18	85	310
120-124 Tirrol	10	18	88	311

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	Marks	Time allocation (mins)	Page number	
			Questions	Answers
125-129 Wright	10	18	90	312
130-134 Lodestar	10	18	92	313
135-139 Porthos	10	18	94	314
140-144 Lancaster Co	10	18	96	315
145-149 Willow & Co	10	18	97	318
150-154 Pickering & Co	10	18	100	320
155-159 Scraper Co	10	18	102	321
Section B				
160 Lily (Dec 2012)	30	54	105	323
161 Purrfect Co (Mar/Jun 2021)	20	36	106	328
162 Rose (Dec 2012, amended)	20	36	107	331
163 Hyacinth (Mar/Jun 2019)	20	36	107	334
164 Sagittarii & Co (Sep/Dec 2020)	20	36	109	338
165 Encore (Mar/Jul 2020)	20	36	110	341
166 Gooseberry Co (Mar/Jun 2018)	20	36	111	343
167 Danube Co (Sep/Dec 2021)	20	36	112	347
168 Spinach Co (Mar/Jun 2022)	20	36	113	350
169 Pacific Co (Sep/Dec 2022)	20	36	114	354
170 Heron Co (Mar/Jun 2023)	20	36	115	357
171 Latte Co (Sep/Dec 2023)	20	36	116	360
172 Cookit Co (Mar/Jun 2024)	20	36	117	364
Part E: Review and reporting				
Section A				
173-177 Chestnut	10	18	118	367
178-182 Strawberry	10	18	120	369
183-187 Clarinet	10	18	122	370
188-192 Czech & Dawson	10	18	124	371
193-197 Medimade	10	18	126	372
198-202 Brown & Green Co	10	18	128	373
203-207 Signal Co	10	18	131	376
Section B				
208 Panda (Dec 2013)	20	36	134	377

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	Marks	Time allocation (mins)	Page number	
			Questions	Answers
Sample questions from the examining team				
209-210 March 2019	4	7	135	380
211-212 June 2019	4	7	136	380
213-214 September 2019	4	7	137	381
215-216 December 2019	4	7	139	381
217-218 March 2020	4	7	140	382
219-220 July 2020	4	7	141	383
Mock Exams				
Mock exam 1 (September 2016 (amended))			387	399
Mock exam 2 (Specimen Exam (amended))			421	435
Mock exam 3 (December 2016 (amended))			457	471
Mock exam 4 (Section B from Sep/Dec 2024 Hybrid Exam)			491	505

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Topic index

Listed below are the key Audit and Assurance (AA) syllabus topics and the numbers of the questions in this Kit covering those topics.

If you need to concentrate your practice and revision on certain topics or if you want to attempt all available questions that refer to a particular subject, you will find this index useful.

Syllabus topic	Question numbers	Course Book chapter
Accounting estimates	133	12
Analytical procedures	33, 67(a–b), 70(b), 139, ME3 13, ME3 14, ME4 7, ME4 12	8
Assurance engagement	1, 3–4, 21–23, 25, 26, 29, 208(a)	1
Audit acceptance, engagement and tendering	53, 54, 63(a–b), 64(a), 70(a), 71(a), ME3 16(a)	5
Audit evidence and assertions	114, 118, 125, 129, 134, 137, 138, 145, 146, 150–152, 165(c), 213, 219, ME2 7, ME2 8, ME2 9, ME3 11, ME3 12, ME3 15, ME4 6, ME4 10	11–17
Audit planning and documentation	31, 41, 65(a), 120, ME2 16(c–e)	7
Audit regulation	55	2
Auditor's report	161(d), 164(d), 165(d), 166(d), 167(d), 168(d), 169(d), 171(d), 172(d), 177, 182, 187, 190, 192, 196, 201, 207, 208(c), 209, 210, ME1 9, ME1 10, ME2 11, ME2 15, ME2 18(d), ME3 10, ME3 18(b), ME4 15	20
Audit risk	34, 35, 37, 38, 44, 46–50, 61(b), 62(c), 63(c), 64(b), 65(b), 66(b), 67(c), 68(a–b), 69(a), 70(c), 71(c), 72(b), 73(b), 74(a), ME1 18(b), ME2 16(a–b), ME3 16(c)	6
Automated tools and techniques	121, 135, 136, 160(c), ME1 5	11
Cash and bank	102(b), 103(e), 105(c), 106(c), 128, 148, 153, 170(b)	15
Communicating with management	102(a), 103(b)	10
Corporate governance	6–9, 15–18, 95(d), 106(d), 107(e), 211, 215, ME3 1, ME3 2	3
Directors' remuneration	65(c), 166(c)	17
Documentation	60	7
Ethics	5, 11–14, 24, 27, 51, 52, 68(c), 69(c), ME1 11–15, ME2 1–3, ME2 5, ME3 16(d)	5
Experts	65(d), 113, 144, ME2 18(a)	12
Fraud, laws and regulations	2, 39, 62(a), 66(a), 69(b), 73(d), 74(b), 119, 147	6
Finalisation and review	191, 214, 218, ME2 13, ME2 14, ME3 7, ME4 11	19
Going concern	178–180, 184–186, 193–195, 212, 216, ME1 17(d), ME3 6, ME3 8, ME3 9	19
Interim audit	56, 57	7

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Syllabus topic	Question numbers	Course Book chapter
Internal audit	10, 19, 20, 28, 39, 83, 87, 88, 101(c), ME2 4, ME3 3, ME3 4, ME3 5	4
Internal audit – using work	58, 59, 123	4
Internal controls	40, 75–82, 86, 89–94, 95(a–b), 96(a), 98(a–c), 99(a–b), 103(a), 103(c), 103(d), 104(a), 104(b), 105(a–d), 106(a–b), 108(a–b), 109(a–c), 160(a), ME1 16(b–c), ME2 17(a), ME3 17(a–c)	9–10
Inventory	67(d), 115, 116, 124, 160(b), 161(a), 163(a), 168(b), 172(a), ME1 17(b), ME2 18(c)	13
Materiality and misstatements	14, 32, 61(a), 183, 188	6
Non-current assets	43, 62(d), 69(d), 74(c), 97(c), 110–112, 140–143, 163(b), 165(a), 166(a–b), 167(a), 170(a), 189, ME1 17(a), ME2 6, ME2 17(b), ME2 18(b), ME4 13	12
Purchases, payables, loans and accruals	101(d), 107(d), 126, 127, 162(a), 163(c), 164(c), 169(a), 171(c), 172(b), 220, ME1 1–3, ME1 17(c), ME4 8, ME4 9	16
Professional scepticism and judgement	64(c)	6
Provisions and contingencies	45, 63(d), 117, 161(c), 162(c), 164(b), 165(c), 167(c), 169(b), 170(c), 171(b), 172(c), 200, 204, ME1 8	17
Purchases systems	95(b), 99(b), 107(c), 109(b–c)	10
Quality management	72(a), 74(d), 176, ME1 18(c)	5
Receivables and revenue	62(d), 67(e), 73(c), 131, 132, 155–157, 159, 161(b), 162(b), 167(b), 168(a), 169(c), 171(a), 174(a), 181, ME1 16(d), ME2 10, ME3 18(a)(i)	14
Sales systems	95(b), 100(a–b), 107(a–b), ME1 16(a)	10
Sampling	122, 130, 158, ME1 4	11
Share capital	42, 149, 154, 168(c), 199	17
Subsequent events	163(d), 170(d), 173–175, 197, 198, 203, 205, 206, 208(b), ME1 6, ME1 7, ME2 12, ME3 18(a)	19
Understanding the entity	36, 62(b), 71(b), 73(a), ME1 16(b)	6
Value for money audit	84, 97(a–b)	4
Wages systems	85, 95(b–c), 96(b–d), 99(b), 101(a–b), 105(c), 107(b), 109(b–c)	10
Written representations	162(d), 202, 217	19

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About this BPP Exam Practice Kit

AA exam questions mainly focus exclusively or mainly on one single syllabus area. Therefore questions in this Kit have been grouped according to the section of the syllabus to which they mainly relate. There are also four mock exams which provide you the opportunity to refine your knowledge and skills as part of your final exam preparations.

As an ACCA Content Partner, BPP Learning Media gives you the opportunity to use the revision materials created by BPP's expert team of Subject Matter Experts who have years of experience authoring Professional Qualification Content. The Subject Matter Experts ensure the content covers the depth and breadth of the syllabus and provides excellent support for your revision.

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Selecting questions

We provide signposts to help you plan your revision.

- A full **question index**
- A **topic index** listing all the questions that cover key topics, so that you can locate the questions that provide practice on these topics, and see the different ways in which they might be examined

Attempting mock exams

There are four mock exams that provide practice at coping with the pressures of the exam day. We strongly recommend that you attempt them under exam conditions.

All the mock exams reflect the question styles and syllabus coverage of the exam.

Videos can be viewed online by accessing your ebook version on VitalSource.

Question practice

This is the most important thing to do if you want to get through. Many of the most up-to-date exam questions are in this Kit. Practice doing them under timed conditions, then go through the answers and go back to the Course Book for any topic you are really having trouble with. Come back to a question a week later and try it again – you will be surprised at how much better you are getting. Be very ruthless with yourself at this stage – you have to do the question in the time, without looking at the answer. This will really sharpen your wits and make the exam experience less worrying. Just keep doing this and you will get better at doing questions and you will really find out what you know and what you don't know.

Practising as many exam-style questions as possible in the ACCA CBE practice platform will be the key to passing this exam. You must do questions under timed conditions and ensure you produce full answers to the discussion parts as well as doing the calculations.

Also ensure that you attempt all mock exams under exam conditions.

ACCA have an on-demand resource designed to mirror the live exam experiences helping you to become more familiar with the exam format. You can access the platform via the Study Support Resources section of the ACCA website, navigating to the CBE question practice section and logging in with your myACCA credentials.

Videos can be viewed online by accessing your ebook version on VitalSource.

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The exam

Approach to examining the syllabus

The exam will have a duration of 3 hours and will comprise two exam sections. All Section A questions are compulsory and will be selected from the entire syllabus. The responses to each question or subpart in the case of OT cases are marked automatically as either correct or incorrect by computer.

Section B questions are also all compulsory and will mainly focus on the following syllabus areas, but a minority of marks can be drawn from any other area of the syllabus

- Planning and risk assessment (syllabus area B)
- Internal control (syllabus area C)
- Audit evidence (syllabus area D)

The responses to these questions are human marked.

ACCA AA questions use a dating convention whereby the 'current' date is 1 July 20X5.

Computer-based exams

All ACCA papers are computer-based examinations (CBEs). The CBE exams for Applied Knowledge modules can be taken at any time; these are referred to as 'exams on demand'. The Applied Skills and Strategic Professional exams can be sat in September, December, March and June of each year; these are referred to as 'exams on sitting'. AA is an 'exam on sitting'. Computer-based examinations must be taken at an ACCA CBE Licensed Centre.

The AA exam is formatted as follows

Format of the exam		Marks
A	**Objective test (OT) case** 3 questions × 10 marks Each question will contain 5 subparts each worth 2 marks	30
B	**Constructed response (written questions)** 1 question × 30 marks 2 questions × 20 marks	70
		100

Remote invigilated exams

In certain geographical areas it may be possible for you to take your exam remotely. This option, which is subject to strict conditions, can offer increased flexibility and convenience under certain circumstances. Further guidance, including the detailed requirements and conditions for taking the exam by this method, is contained on ACCA's website at:

accaglobal.com/an/en/student/exam-entry-and-administration/about-our-exams/remote-exams/remote-session-exams.html.

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Passing the AA exam

Videos can be viewed online by accessing your ebook version on VitalSource.

https://www.accaglobal.com/gb/en/student/exam-support-resources/fundamentals-exams-study-resources/f8/syllabus-study-guide.html

https://learningmedia.bpp.com/pages/resources-for-students

Revising AA

Bought forward knowledge

The *Audit and Assurance* syllabus assumes prior knowledge and understanding of the accounting topics in *Financial Accounting* (with the exception of group financial statements). A summary of such knowledge is included in the Essential reading in the AA Course Book.

Displaying the right qualities and avoiding weaknesses

In order to pass Audit and Assurance it is important that you get some of the basics right. These include the following:

Read the question

Again this sounds obvious but is absolutely critical. When you are reading the question think about the following:

- Which technical area is being tested?

  This should let you identify the relevant areas of technical knowledge to draw on.
- What am I being asked to do?

  (We will take a more detailed look at the wording of requirements later.)
- Are there any key dates?

  This is important in questions on inventory. If the inventory count takes place at a time other than the year-end you need to be aware of this.
- What is the status of your client?

  For example, is it large or small, is it a new or existing client? This might affect issues such as risk.
- What is the nature of the business?

  This is particularly relevant in planning questions as it will have an impact on risk areas.
- How many marks are allocated to each part of the question so approximately how many points do I need to make?

When you think about the number of points you need to achieve you need to consider this in relation to the requirement. If you are asked for explanation it is likely that you will score more marks per point than if you are simply asked for a list of points.

You also need to think about the order in which you read information in the question. Particularly in Section B it is important that you read the requirement first so that as you read through the rest of the information you are aware of the key matters/issues which you are looking out for. For example if you are asked for risks in a scenario you can try to identify as many risk factors as possible as you read the detailed information.

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Understand the requirements

It is important that you can understand and differentiate between the requirements and terms that the examining team typically uses. Here are some examples:

Requirement	Meaning
Explain	Make a point clear, justify a point of view
Describe	Give an account of something, including the key features
Define	Give the meaning of
Recommend	Advise the appropriate actions to pursue in terms the recipient will understand
Discuss	Critically examine an issue
List	Normally punchier points than 'explain' or 'discuss'
Illustrate	Explain by using examples
Audit procedures/ audit tests	Actions
Enquiries	Questions
Evidence	Source (eg document) and what it proves

Think and plan

No matter how well prepared you are, you are going to have to do some thinking in the exam. Obviously you will be under time pressure but, if used effectively, thinking and planning time should not be seen as a waste of time.

Generating ideas can often be a problem at this stage. Remember that your knowledge of key ISAs can serve as a good starting point.

In audit evidence questions you may think about the financial statement assertions (completeness, accuracy, existence etc). You could also think about the different types of procedures (inspection, observation, inquiry, confirmation, recalculation/reperformance and analytical procedures).

In risk questions it might be helpful to think about the different elements of risk (inherent risk, control risk, detection risk).

Repeating this knowledge will not be sufficient in most cases to pass the question but these ideas can form a very sound basis for developing a good answer.

Keep going back to the requirement and make sure that you really are answering the question. One of the most common errors in auditing exams is identifying the correct point but using it in the wrong way. You can use the highlighting tool in the word processor on the assessment platform to highlight key words in the requirement. Make sure that each answer is focused on the related requirement. It may be tempting to type everything you know about a particular point but this will not help you to pass the exam. This 'scattergun' approach will attract few, if any, marks.

Producing your answer

Although much of the hard work has been done by the time you get to this stage you need to think carefully about how you put down each point. The way you make the point can make a difference to the number of marks scored. You need to make sure your answers do not suffer from a lack of clarity and precision.

https://www.accaglobal.com/gb/en/student/exam-support-resources/fundamentals-exams-study-resources/f8/examiners-reports1.html

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Gaining the easy marks

Remember to include enough detail when describing procedures In response to questions on audit evidence. For example, lists of tests stating 'check this' and 'check that' without explaining what is being checked and why is likely to score few marks. If you find it difficult to gauge the right level of detail try to imagine that you are explaining the procedure to a junior member of staff. Would they be able to perform the procedure based on your description?

Think about your answer style in general. A well-structured answer with clearly identifiable points is generally preferable to long paragraphs of text. However, do not fall into the trap of producing note-form answers. This is rarely sufficiently detailed to score marks.

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Essential skills areas to be successful in Audit and Assurance

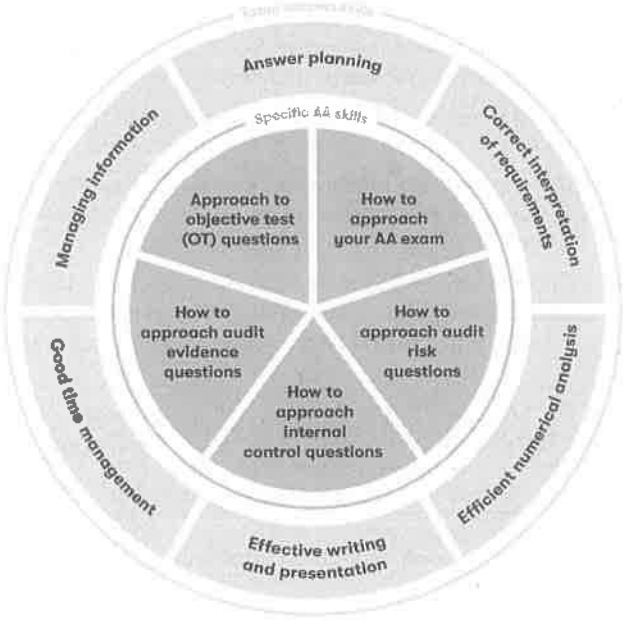
We think there are three areas you should develop in order to achieve exam success in Audit and Assurance (AA):

(a) Knowledge application

(b) Specific AA skills

(c) Exam success skills

These are shown in the diagram below:



Specific AA skills

These are the skills specific to AA that we think you need to develop in order to pass the exam.

In the BPP Course Book, there are five **Skills Checkpoints** which define each skill and show how it is applied in answering a question. A brief summary of each skill is given below.

Skill 1: How to approach your AA exam

Passing AA is about a combination of exam technique with detailed knowledge. Therefore, it is important that you plan your approach to the exam, and practise this approach, before you sit your exam.

A step-by-step technique for ensuring that you have a **planned approach to your AA exam** is outlined below.

Step 1 Attempt Section A first. Read the requirements to each of the OT questions before reading the OT case scenario.

Do not rush through this section of the exam.

Step 2 Then attempt Section B. Read all requirements in detail and use the scenario fully.

Skills Checkpoint 1 in the BPP Course Book for AA covers this technique in detail through application to an exam-standard question. Consider revisiting Skills Checkpoint 1 to improve this skill.

Videos can be viewed online by accessing your ebook version on VitalSource.

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Skill 2: How to approach audit risk questions

In the exam, it is highly likely that you will need to attempt a scenario based question on audit risk.

Step 1 Allow some of your allotted time to read the requirement and the scenario. Don't rush into starting to write your answer.

Start by analysing the requirements so that you know what you are looking for when you read the scenario.

Step 2 Re-read the scenario and plan your answer using the risks you identify as you read through. Work through each paragraph of the scenario identifying specific audit risks. Remember you have a highlighter tool available in the assessment platform and a scratch pad tool is available too for you to make notes as you read through the scenario. Each risk is worth one mark and the auditor's response is also worth one mark, so you would need five properly explained risks and responses to gain ten marks.

Step 3 Where there are more than the required number of audit risks, choose those that you can best explain.

Describe the audit risk in detail explaining the potential impact on the financial statements. Also remember to explain the practical steps the auditor would take and the work they would do.

A blank table will be provided for audit risk and response questions. One column will be for risks and one column for responses. Start each risk or response in a new cell of the table provided in the appropriate column. Enter the related risks and responses on the same row.

Skills Checkpoint 2 in the BPP Course Book for AA covers this technique in detail through application to an exam-standard question. Consider revisiting Skills Checkpoint 2 to improve this skill.

Videos can be viewed online by accessing your ebook version on VitalSource.

Skill 3: How to approach internal control questions

Similarly, to Skill 2, it is likely that you will need to attempt a scenario based question on internal controls in your exam.

A step-by-step technique for attempting such questions is outlined below.

Step 1 Allow some of your allotted time to read the requirement and the scenario. Don't rush into starting to write your answer.

Start by analysing the requirements so that you know what you are looking for when you read the scenario.

Step 2 Re-read the scenario and plan your answer using the points you identify as you read through.

Work through each paragraph of the scenario identifying specific points to make, for example deficiencies. Each deficiency is worth one mark and the recommendation is also worth one mark, hence why you would need six properly explained deficiencies and recommendations to gain 12 marks.

Step 3 Often there are more than the required number of deficiencies in a scenario, therefore choose the ones for which you can provide a recommended control.

Explain the deficiency in terms of its impact on the entity. Also remember to explain the recommendation, what internal control should be implemented and by whom.

A blank table will be provided for deficiency and recommendation questions. One column will be for deficiencies and one column for recommendations. Start each point in a new cell of the table provided in the appropriate column. Enter the related deficiencies and recommendations on the same row.

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Skills Checkpoint 3 in the BPP Course Book for AA covers this technique in detail through application to an exam-standard question. Consider revisiting Skills Checkpoint 3 to improve this skill.

Videos can be viewed online by accessing your ebook version on VitalSource.

Skill 4: How to approach audit evidence questions

These questions can appear in both sections of the exam. It is very important that you discern exactly what the requirement is asking for and that you use any scenario provided in the exam.

A step-by-step technique for approaching audit evidence questions is outlined below.

Step 1 Identify exactly what you are being asked for in the requirement: audit procedures, tests of controls or substantive procedures.

Also identify whether the requirement is testing audit procedures that relate to a particular assertion.

Step 2 Now that you have understood what the requirement demands you are much better placed to answer it. Consider the following:

Is there a scenario you should use?

Can you remember the accounting treatment for the item? Would that give you a starting point?

What audit procedures have you learnt/used at work?

Can you use the mnemonic AEIOU to help you to generate audit procedures?

Step 3 Enter your audit procedure using the word processor on the platform using the 'verb-document-reason' approach.

What do you want to be done (eg recalculate, agree, vouch)?

To which document (eg invoice, physical asset, board minutes)?

Why (eg to ensure that receivables are recoverable (valuation))? You might choose to link this to an assertion.

Start each audit procedure on a new line.

Skills Checkpoint 4 in the BPP Course Book for AA covers this technique in detail through application to an exam-standard question. Consider revisiting Skills Checkpoint 4 to improve this skill.

Videos can be viewed online by accessing your ebook version on VitalSource.

Skill 5: Approach to objective test (OT) questions

Section A comprises 30% of the exam and consists of three OT case questions. Candidates can be tempted to rush through this section in order to make up time for Section B however this is a risky approach because there are a lot of marks you could lose.

A step-by-step technique for approaching OT questions is outlined below.

Step 1 **Answer the questions you know first.**

If you're having difficulty answering a question, move on and come back to tackle it once you've answered all the questions you know. It is often quicker to answer discursive style OT questions first, leaving more time for calculations. The AA exam doesn't have many calculations but you may be asked to calculate financial statement ratios.

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Step 2 **Answer all questions.**

There is no penalty for an incorrect answer in ACCA exams, there is nothing to be gained by leaving an OT question unanswered. If you are stuck on a question, as a last resort, it is worth selecting the option you consider most likely to be correct, and moving on. Make a note of the question, so if you have time after you have answered the rest of the questions, you can revisit it.

Step 3 **Read the requirement first!**

The requirement will be stated in bold text in the exam. Identify what you are being asked to do, any technical knowledge required and what type of OT question you are dealing with. Look for key words in the requirement such as "which TWO of the following," or "which of the following is NOT".

Skills Checkpoint 5 in the BPP Course Book for AA covers this technique in detail through application to an exam-standard question. Consider revisiting Skills Checkpoint 5 to improve this skill.

Videos can be viewed online by accessing your ebook version on VitalSource.

Exam success skills

Passing the AA exam requires more than applying syllabus knowledge and demonstrating the specific AA skills. It also requires the development of excellent exam technique through question practice. We consider the following six skills to be vital for exam success. The skills checkpoints show how each of these skills can be applied in the exam. These skills were introduced in the BPP Course Book for AA and you can revisit the five Skills Checkpoints in the Course Book for tutorial guidance on how to apply each of the six Exam success skills in your question practice and in the exam.

Try to consider your performance in all six Exam success skills during your revision stage question practice, and reflect on your particular strengths, and your weaker areas, which you can then work on.

Exam success skills 1

Managing information

Questions in the exam will present you with a lot of information. The skill is how you handle this information to make the best use of your time. The key is determining how you will approach the exam and then actively reading the questions.

Advice on developing Managing information

Approach

The exam is three hours long. There is no designated 'reading' time at the start of the exam. However, one approach that can work well is to start the exam by spending 10–15 minutes carefully reading through all of the questions to familiarise yourself with the exam.

Once you feel familiar with the exam consider the order in which you will attempt the questions; always attempt them in your order of preference. For example, you may want to leave to last the question you consider to be the most difficult.

If you do take this approach, remember to adjust the time available for each question appropriately – see Exam success skill 6: Good time management. If you find that this approach doesn't work for you, don't worry because you can develop your own technique.

Active reading

You must take an active approach to reading each question. In Section B questions in particular, focus on the requirement first, taking note of key verbs such as 'explain' and 'discuss', to ensure you answer the question properly. Then read the rest of the question, making notes on important and relevant information you think you will need.

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Exam success skills 2

Correct interpretation of the requirements

The active verb used often dictates the approach that written answers should take (eg 'explain', 'discuss'). It is important you identify and use the verb to define your approach. The correct interpretation of the **requirements** skill means correctly producing only what is being asked for by a requirement. Anything not required will not earn marks.

Advice on developing the Correct interpretation of the requirements

This skill can be developed by analysing question requirements and applying this process.

Step 1 **Read the requirement**

Firstly, read the requirement a couple of times slowly and carefully and note the active verbs. Use the active verbs to define what you plan to do. Make sure you identify any sub-requirements.

Step 2 **Read the rest of the question**

By reading the requirement first, you will have an idea of what you are looking out for as you read through the case overview and exhibits. This is a great time saver and means you don't end up having to read the whole question in full twice. You should do this in an active way – see Exam success skill 1: Managing Information.

Step 3 **Read the requirement again**

Read the requirement again to remind yourself of the exact wording before starting your written answer. This will capture any misinterpretation of the requirements or any missed requirements entirely. This should become a habit in your approach and, with repeated practice, you will find the focus, relevance and depth of your answer plan will improve.

Exam success skills 3

Answer planning: Priorities, structure and logic

This skill requires the planning of the key aspects of an answer which accurately and completely responds to the requirement.

Advice on developing Answer planning: Priorities, structure and logic

Everyone will have a preferred style for an answer plan. You can use the scratch pad tool provided in the assessment for you to make notes on. Choose the approach that you feel most comfortable with, or, if you are not sure, try out different approaches for different questions until you have found your preferred style.

Exam success skills 4

Efficient numerical analysis

This skill aims to maximise the marks awarded by making clear to the marker the process of arriving at your answer. This is achieved by laying out an answer such that, even if you make a few errors, you can still score subsequent marks for follow-on calculations. It is vital that you do not lose marks purely because the marker cannot follow what you have done.

Advice on developing Efficient numerical analysis

There are not many marks available for numbers in the AA exam, however you may need to calculate ratios such as the receivables collection period. This skill can be developed by applying the following process:

Step 1 **Use the provided template/standard formula where relevant**

If answers can be laid out using a standard formula then always plan to do so. This will help the marker to understand your working and allocate the marks easily. It will also help you to work through the figures in a methodical and time-efficient way. For questions asking you calculate ratios, you are likely to be given a table with the names of the ratios you are being asked to calculate in one column and a space to enter the answer in the other column. The requirement will tell you whether or not formulae are required.

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Step 2 **Show your workings**

Keep your workings as clear and simple as possible and ensure they are cross-referenced to the main part of your answer. Where it helps, provide brief narrative explanations to help the marker understand the steps in the calculation. This means that if a mistake is made you do not lose any subsequent marks for follow-on calculations.

Step 3 **Keep moving!**

It is important to remember that, in an exam situation, it can sometimes be difficult to get every number 100% correct. The key is therefore ensuring you do not spend too long on any single calculation. If you are struggling with a solution then make a sensible assumption, state it and move on.

Exam success skills 5

Effective writing and presentation

Written answers should be presented so that the marker can clearly see the points you are making, presented in the format specified in the question. The skill is to provide efficient written answers with sufficient breadth of points that answer the question, in the right depth, in the time available.

Advice on developing Effective writing and presentation

Step 1 **Use headings.**

Using the headings and sub-headings from your answer plan will give your answer structure, order and logic. This will ensure your answer links back to the requirement and is clearly signposted, making it easier for the marker to understand the different points you are making. Making your headings bold will also help the marker.

Step 2 **Enter your answer in short, but full, sentences.**

Use short, punchy sentences with the aim that every sentence should say something different and generate marks. Use full sentences, ensuring your style is professional.

Step 3 **Do your calculations first and explanation second.**

Questions sometimes ask for a discussion or explanation with suitable calculations. The best approach is to prepare the calculation first then add the explanation.

Performing the calculation first should enable you to explain what you have done.

Exam success skills 6

Good time management

This skill means planning your time across all the requirements so that all tasks have been attempted at the end of the three hours available and actively checking on time during your exam. This is so that you can flex your approach and prioritise requirements which, in your judgement, will generate the maximum marks in the available time remaining.

Advice on developing good time management

The exam is three hours long, which translates to 1.8 minutes per mark. Therefore a 20-mark requirement should be allocated a maximum of 36 minutes to complete your answer before you move on to the next task. At the beginning of a question, work out the amount of time you should be spending on each requirement and note the finishing time for that question. If you take the approach of spending 10–15 minutes reading and planning at the start of the exam, adjust the time allocated to each question accordingly.

Keep an eye on the clock

Aim to attempt all requirements, but be prepared to move on if your answer is not going as planned. The challenge for many is sticking to planned timings. Be aware this is difficult to achieve in the early stages of your studies and be ready to let this skill develop over time. If you find yourself running short on time and know that a full answer is not possible in the time you have, consider recreating your plan in overview form and then add key terms and details as time allows. Remember, some marks may be available, for example, simply stating a conclusion which you don't have time to justify in full.

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Questions

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Part A: Audit framework and regulation

The questions in this Part cover Audit framework and regulation, the subject of Chapters 1, 2, 3 and 5 of the BPP Audit and Assurance Course Book.

Section A

BJM Co

(18 mins)

You are an audit senior of YHT & Co and have worked on the external audit of BJM Co (BJM), an unlisted company, since your firm was appointed external auditor two years ago.

BJM owns a chain of nine restaurants and is a successful company. BJM has always been subject to national hygiene regulations, especially in relation to the food preparation process. Non-compliance can result in a large fine or closure of the restaurant concerned.

The board of BJM has recently notified you that the national hygiene regulations have been updated and are now much more stringent and onerous than before.

With this in mind, the board has asked your firm to conduct a review of BJM's compliance with hygiene regulations, in order to allow the board to assess whether the appropriate processes have been implemented at each of the nine restaurants. The review is not expected to include the provision of accounting advice or the preparation of figures in the financial statements.

The work is likely to be very lucrative. Your firm has sufficient experience to undertake the above review engagement.

1 Despite running a successful company, BJM's board has often needed to be reminded of some fundamental principles and you often have to explain key concepts.

Which of the following statements best defines the external audit?

- ○ The external audit is an exercise carried out by auditors in order to give an opinion on whether the financial statements of a company are fairly presented
- ○ The external audit is an exercise carried out in order to give an opinion on the effectiveness of a company's internal control system
- ○ The purpose of the external audit is to identify areas of deficiency within a company and to make recommendations to mitigate those deficiencies
- ○ The external audit provides negative assurance on the truth and fairness of a company's financial statements **(2 marks)**

---

2 The board has also struggled to differentiate between its responsibilities and those of the external auditor in circumstances such as the prevention and detection of fraud and error, and compliance with regulations.

Which of the following statements best describes YHT & Co's responsibility regarding BJM's compliance with hygiene regulations, in line with ISA 250 (Revised) *Consideration of Laws and Regulations in an Audit of Financial Statements*?

- ○ YHT & Co should actively prevent and detect non-compliance with the regulations
- ○ YHT & Co should perform specific audit procedures to identify possible non-compliance
- ○ YHT & Co should obtain sufficient appropriate audit evidence about BJM's compliance with the regulations as they have a direct effect on the financial statements
- ○ YHT & Co does not have any responsibility as the hygiene regulations do not have a direct effect on the financial statements **(2 marks)**

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3 The partner responsible for the review of hygiene compliance has informed you that the engagement is an assurance engagement.

Which of the following would NOT have been relevant to the partner in forming this opinion?

- O The existence of a three-party relationship
- O The existence of suitable criteria
- O The determination of materiality
- O The subject matter

(2 marks)

---

4 The partner responsible for the review engagement has asked you to tell him what level of assurance you believe YHT & Co should provide, and also what type of opinion the firm should give.

What is the level of assurance and type of opinion that can be provided on this review engagement?

	Level of assurance	Report wording
O	Reasonable	Positive
O	Reasonable	Negative
O	Limited	Positive
O	Limited	Negative

(2 marks)

---

5 The audit engagement partner has told you that the independence threats arising from YHT & Co performing the review engagement should be monitored carefully.

Which of the following is likely to cause the audit engagement partner most concern?

- O According to the ACCA *Code of Ethics and Conduct*, YHT & Co is prohibited from providing other assurance services to an audit client
- O The review engagement is likely to give rise to a self-review threat, as the outcomes of the review could form the basis of the financial statements which the audit team will audit
- O The lucrative nature of the review engagement may make the external audit team less inclined to require management to make adjustments or to issue a modified audit opinion, for fear of losing the review engagement
- O If the new review engagement causes YHT & Co's fee income from BJM to exceed 15% of the firm's total fees, the ACCA *Code of Ethics and Conduct* states that the new engagement must be turned down

(2 marks)

(Total = 10 marks)

Tangerine Tech Co (Mar/Jun 2016, amended) (18 mins)

You are an audit manager of Satsuma & Co and have been assigned to the audit of Tangerine Tech Co (Tangerine), a company which is planning to list on a stock exchange within six months. The listing rules of the stock exchange require compliance with corporate governance principles, and the directors are unsure whether they are following best practice in relation to this. They have asked the audit engagement partner for their view on this matter.

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Tangerine's board is comprised of six executive directors, a non-executive chair and three other non-executive directors (NEDs). The chair and one of the NEDs are former directors of Tangerine and on reaching retirement age were asked to take on non-executive roles. The company has established an audit committee, and all NEDs are members including the chair who chairs the committee. All four members of the audit committee were previously involved in sales or production-related roles.

All of the directors have been members of the board for at least four years. As the chair does not have an executive role, he has sole responsibility for liaising with the shareholders and answering their questions. The company has not established an internal audit function to monitor internal controls.

6 **Which of the following features are corporate governance deficiencies which Tangerine Co would need to address prior to their listing?**

(1) **The chair has sole responsibility for liaising with shareholders.**

(2) **The company has not established an internal audit function.**

(3) **The chair and one of the NEDs are former executive directors of Tangerine Co.**

- O 1 and 2 only
- O 1 and 3 only
- O 2 and 3 only
- O 1, 2 and 3

(2 marks)

---

7 The audit engagement partner's review has identified the following additional corporate governance deficiencies:

(1) All the directors have been members of the board for at least four years.

(2) The board is comprised of six executive and four non-executive directors.

Which of the following would the audit engagement partner recommend to address these deficiencies to ensure compliance with corporate governance principles?

	Deficiency 1	Deficiency 2
O	The directors should be subject to annual re-election	At least 50% of the board, excluding the chair, must be comprised of non-executive directors whom the board considers to be independent
O	The directors must be reappointed annually by the chair	At least 75% of the board must be comprised of executive directors
O	The directors should be subject to annual re-election	At least 75% of the board must be comprised of executive directors
O	The directors must be reappointed annually by the chair	At least 50% of the board, excluding the chair, must be comprised of non-executive directors whom the board considers to be independent

(2 marks)

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8 The audit engagement partner has assessed the make-up of the audit committee.

Which of the following would be valid conclusions from this assessment?

(1) **It is acceptable for the Chair to chair the audit committee.**

(2) **A new member of the audit committee with relevant financial experience must be recruited.**

- O 1 only
- O 2 only
- O 1 and 2
- O Neither 1 nor 2

(2 marks)

---

9 The directors are aware that in accordance with corporate governance provisions they have responsibilities for the company's risk management and internal control framework but are unclear as to the extent of these responsibilities.

Which of the following correctly describes their responsibilities?

	To monitor internal controls and review their effectiveness annually	**To report on the effectiveness of all material controls in the annual report**
O	No	No
O	Yes	No
O	No	Yes
O	Yes	Yes

(2 marks)

---

10 The board of Tangerine is considering establishing an internal audit function.

Which of the following factors would be relevant in making this decision?

(1) **It would help the audit committee to discharge its responsibilities for monitoring the internal control framework.**

(2) **The board would no longer need to take responsibility for the prevention and detection of fraud and error.**

(3) **The costs of establishing an internal audit function should be considered against the benefits gained.**

- O 1 and 2 only
- O 1 and 3 only
- O 2 and 3 only
- O 1, 2 and 3

(2 marks)

(Total = 10 marks)

Orange (Jun 2012, amended) (18 mins)

You are the audit manager of Currant & Co and you are planning the audit of Orange Financials Co (Orange), which specialises in the provision of loans and financial advice to individuals and companies. Currant & Co has audited Orange for many years.

The directors are planning to list Orange on a stock exchange within the next few months and have asked if the audit engagement partner can attend the meetings with potential investors. In

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addition, as the finance director of Orange is likely to be quite busy with the listing, he has asked if Currant & Co can produce the financial statements for the current year.

During the year, the assistant finance director of Orange left and joined Currant & Co as a partner. It has been suggested that due to his familiarity with Orange, he should be appointed to provide an independent partner review for the audit.

Once Orange obtains its stock exchange listing it will require several assignments to be undertaken; for example, obtaining advice about corporate governance best practice. Currant & Co is very keen to be appointed to these engagements; however, Orange has implied that in order to gain this work Currant & Co needs to complete the external audit quickly and with minimal questions/issues.

The finance director has informed you that once the stock exchange listing has been completed, he would like the engagement team to attend a weekend away at a luxury hotel with his team, as a thank you for all their hard work. In addition, he has offered a senior member of the engagement team a short-term loan at a significantly reduced interest rate.

Orange is aware that subsequent to the stock exchange listing it will need to establish an audit committee, and has asked for some advice in relation to this.

11 As part of your planning work you have identified a number of potential risks to independence.

Indicate whether each of the following potential risks could give rise to an advocacy threat.

	Yes	No
The audit engagement partner has been asked to attend meetings with potential investors	○	○
Currant & Co has been offered the opportunity to provide other services to Orange Financials	○	○
Currant & Co has been asked to produce the financial statements of Orange Financials	○	○
There is a suggestion that a partner who previously worked for Orange Financials should be the review partner	○	○

(2 marks)

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12 Currant & Co has been offered work by Orange Financials. This is dependent on the audit being completed with minimal issues.

Which TWO of the following threats does this situation create?

- ☐ Intimidation
- ☐ Self-interest
- ☐ Familiarity
- ☐ Advocacy

(2 marks)

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13 The finance director has made two offers to members of the audit team:

(1) Weekend away

(2) Loan at reduced rates

Which of the following correctly summarises which of the offers, if any, can be accepted?

	(1) Weekend away	(2) Loan at reduced rates
O	Accepted	Accepted
O	Accepted	Not accepted
O	Not accepted	Accepted
O	Not accepted	Not accepted

(2 marks)

---

14 In accordance with ACCA's *Code of Ethics and Conduct* you have concluded that if you win the additional work you will need to disclose the proportion of fees obtained from Orange Financials to those charged with governance and conduct a post-issuance review.

Which of the following explains the basis for your conclusion?

- O Total fees from Orange Financials will make up more than 10% of Currant & Co's total fees for the first time since your appointment
- O Total non-audit fees from all Currant & Co's clients make up more than 5% of the total fees of the firm
- O Total fees from Orange Financials make up more than 15% of Currant & Co's total fees for the second consecutive year
- O The disclosure and review are required in all circumstances where services other than audit are offered, irrespective of the level of fees

(2 marks)

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15 The board has noted down a number of statements relating to the audit committee and has asked you to confirm whether their understanding is correct.

Indicate whether the following statements are true or false.

	True	False
The audit committee should be made up of independent non-executive directors	O	O
The audit committee normally appoints the external auditors at the AGM	O	O
The audit committee monitors and reviews the internal audit function	O	O
The audit committee sets out the scope of the external auditor's work	O	O

(2 marks)

(Total = 10 marks)

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SGCC (18 mins)

You are an audit manager in HTQ & Co. One of your clients, SGCC, has recently become a listed company and has asked for your advice regarding the changes they should make to achieve appropriate compliance with corporate governance codes.

The board

Mr Sheppard is the Chief Executive Officer and chair of the board of SGCC. He appoints and maintains a board of five executive and two non-executive directors. While the board sets performance targets for the senior managers in the company, no formal targets are set for each director and no review of board policies is carried out. Board salaries are therefore set and paid by Mr Sheppard based on his assessment of all the board members, including himself, and not their actual performance.

Internal controls

Internal controls in SGCC are monitored by the senior accountant, although the company assumes that, as external auditors, your firm will carry out a detailed review of internal controls. SGCC does not have an internal audit department or an audit committee.

Annual financial statements are produced, providing detailed information on past performance.

16 From a review of the information above, your audit assistant has highlighted some deficiencies in SGCC's corporate governance arrangements, especially in relation to the composition of the board.

Which of the following actions would be appropriate to improve SGCC's corporate governance compliance?

- O SGCC should appoint an external consultant to review board policies
- O SGCC should appoint a new chief executive officer or board chair
- O SGCC should create a remuneration committee to oversee the appointment of new directors
- O SGCC should implement a formal and rigorous evaluation of its directors' performance once every two years

(2 marks)

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17 **Which of the following statements is correct with regards to the composition of the board at SGCC?**

- O SGCC should appoint three new non-executive directors to the board
- O SGCC should reappoint two of its executive directors as non-executive directors
- O SGCC should appoint three new executive directors to the board
- O SGCC should reappoint three of its executive directors as non-executive directors

(2 marks)

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18 Your audit assistant does not feel that SGCC's approach to internal controls is sufficiently robust to comply with corporate governance principles and has drawn up a list of recommendations.

Which TWO of the following recommendations are valid?

- ☐ SGCC should establish an audit committee with at least four directors as is required for all listed companies
- ☐ SGCC must establish an internal audit department as is required for all listed companies
- ☐ Once SGCC has an audit committee and an internal audit department, the head of the internal audit department should report to the audit committee
- ☐ SGCC should not rely on the external audit to inform them of deficiencies in internal controls

(2 marks)

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19 You are aware that SGCC is considering establishing an internal audit department.

With which of the following activities should the internal audit function NOT be involved?

- ○ Monitoring of management's performance
- ○ Reviewing adequacy of management information for decision-making purposes
- ○ Taking responsibility for the implementation of a new receivables ledger system
- ○ Assessing compliance with regulation relevant to SGCC

(2 marks)

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20 If SGCC's board decides to establish an internal audit department then it will also need to decide whether it will employ members of staff directly, or will outsource the department to an external firm. You have found a list in your study notes of the advantages of outsourcing as compared with the advantages of employing staff directly. The list includes the following points:

(1) Greater availability of specialist industry skills as required

(2) Flexibility regarding staff numbers in response to changing circumstances

(3) Elimination of direct training costs

(4) Development of skills increasing the human resource strength of the entity

For each consideration, indicate whether it relates to the employment of internal auditors by SGCC, or to the outsourcing of the department.

Consideration	Employed	Outsourced
Greater availability of specialist industry skills as required	○	○
Flexibility regarding staff numbers in response to changing circumstances	○	○
Elimination of direct training costs	○	○
Development of skills increasing the human resource strength of the entity	○	○

(2 marks)

(Total = 10 marks)

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Doge & Co (Mar/Jun 2022) (18 mins)

It is 1 July 20X5. You are an audit manager at Doge & Co, a medium-sized firm with several offices. As part of your role, you are responsible for undertaking procedures relating to the acceptance of new clients. You are currently involved in the acceptance of four new clients.

Bradgate Co

Bradgate Co has invited Doge & Co to perform a limited assurance review of its financial statements. Doge & Co does not provide any other services to the company.

Trimp Transport Co

The board of directors of Trimp Transport Co have set target key performance indicators (KPIs) to assess the company's performance for the year ended 31 March 20X5. The board has asked Doge & Co to perform an assessment of performance to 31 March 20X5 and to prepare a report for the board as to whether the KPIs have been achieved. The board will provide access to books and records relating to the KPIs. Doge & Co does not provide any other services to Trimp Transport Co.

Keegan Co

Keegan Co, an existing audit client, is considering setting up an internal audit department. The directors are unsure whether to hire staff or to outsource the function. Keegan Co has approached Doge & Co to enquire as to whether it could provide internal audit services.

Lette Co

Doge & Co has recently accepted a new client, Lette Co. The previous auditor, Catt & Co, resigned from the audit in May 20X5. Doge & Co was appointed on 4 June 20X5. Lette Co is in the early stages of legal action against Catt & Co for failing to detect a fraud.

21 An assurance engagement can provide limited assurance or reasonable assurance.

Indicate, by clicking on the relevant boxes in the table below, whether each of the following statements is true of limited assurance, reasonable assurance or both.

An audit is an example of this type of assurance engagement	LIMITED	REASONABLE	BOTH
It provides a lower level of assurance	LIMITED	REASONABLE	BOTH
Judgement is required to determine the appropriate procedures required to obtain this level of assurance	LIMITED	REASONABLE	BOTH
A negative form of conclusion is provided	LIMITED	REASONABLE	BOTH

(2 marks)

---

22 **Which TWO of the following tests would Doge & Co carry out as part of the limited assurance review of Bradgate Co's financial statements?**

- ☐ Enquire of management as to large and unusual items within the financial statements
- ☐ Perform analytical procedures to understand the relationship between items within the financial statements
- ☐ Perform tests of control to understand the controls that are operating within the company
- ☐ Perform extensive tests of details over all balances **(2 marks)**

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23 The IAASB's Framework for Assurance Engagements (Framework) requires certain elements to be present in every assurance engagement.

Which of the elements required by the Framework is NOT present in respect of the proposed engagement for Trimp Transport Co?

- O There must be a three-party relationship
- O There must be appropriate subject matter relevant to the engagement
- O There must be the ability to collect sufficient and appropriate evidence
- O A conclusion must be formed and expressed in a written report **(2 marks)**

---

24 **Identify, by clicking on the relevant boxes below, whether each of the statements relating to the possible provision of internal audit services to Keegan Co by Doge & Co is true or false.**

	True	False
The risk of Doge & Co assuming management responsibility would be reduced by using a separate team of staff who are not involved in the external audit	O	O
Doge & Co should consider whether Keegan Co has appointed a responsible official to oversee internal audit activities	O	O
The materiality of the financial statement amounts affected by the internal audit service should be considered when evaluating the significance of any self-review threat	O	O

(2 marks)

---

25 Catt & Co's lawyers argued that the firm failed to detect the fraud in Lette Co's financial statements due to the inherent limitations in the audit and that it had, in fact, obtained sufficient and appropriate evidence to enable it to detect material misstatements due to fraud.

Which of the following would be an inherent limitation of the audit?

- O Catt & Co was auditing the company for the first time and the business was new to them
- O Due to tight reporting deadlines, Catt & Co had a limited amount of time to complete the audit
- O Catt & Co had relied on the truth of information given to them by the company's staff
- O Catt & Co had used audit sampling in performing tests of details **(2 marks)**

(Total = 10 marks)

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Kamari Co (Mar/Jun 2023, amended) (18 mins)

Kamari Co, a manufacturing company, has just reached the size at which local legislation requires it to have an external audit. You work for Thira & Co, and the directors of Kamari Co have asked your firm to consider appointment as external auditors and also to provide some additional non-audit services.

Financial forecasts

To fund its next growth phase, the directors are applying for a bank loan and have prepared financial forecasts to support the application. They have asked if Thira & Co can carry out an additional assurance engagement to review the financial forecasts they have produced.

Internal audit

As the company is growing, it is also considering establishing an internal audit function. The directors of Kamari Co have asked Thira & Co to provide the company with internal audit services. They have outlined that one of the first tasks to be completed by internal audit will be to review the procedures around raising sales orders and the processing of sales invoices as a new system is being used and it has been identified that procedures in this area could be improved.

26 **Identify, by clicking on the relevant box in the table below, whether each of the statements about audit and assurance engagements is true or false.**

Audit engagements always provide reasonable assurance	TRUE	FALSE
True and fair view means the financial statements contain no misstatements	TRUE	FALSE
Most non-audit engagements provide reasonable assurance	TRUE	FALSE
There are four elements to an assurance engagement	TRUE	FALSE

(2 marks)

---

27 **Which of the following statements about the non-audit service to review the financial forecasts and the statutory audit engagement is TRUE?**

- ○ Thira & Co cannot accept both engagements for ethical reasons
- ○ Limited assurance will be provided by the review of the financial forecasts
- ○ The intended users in the engagement to review the financial forecasts will be Kamari Co's shareholders
- ○ Both engagements will be conducted under International Standards on Auditing

(2 marks)

---

28 **Which TWO of the following are potential DISADVANTAGES of Kamari Co outsourcing internal audit to Thira & Co?**

- ☐ A greater range of experience would be brought to the internal audit team
- ☐ It could create a self-review threat during the external audit
- ☐ It could create a conflict of interest with the financial forecast review
- ☐ The internal audit function would have less understanding of the business **(2 marks)**

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29 **Which TWO of the following procedures would Thira & Co carry out if it was to accept the engagement to review the financial forecasts of Kamari Co?**

- ☐ Enquire with Kamari Co's bank as to the format of financial forecasts needed to support the application
- ☐ Perform analytical review on previous year financial statements to ensure the forecasts are consistent with past trends
- ☐ Obtain a written representation from management stating that they have fulfilled their responsibilities for the preparation of the financial forecasts
- ☐ Enquire of Kamari Co's directors as to any assumptions which have been made in preparing the forecasts

(2 marks)

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30 **What type of internal audit assignment does the review of procedures around sales orders and the processing of sales invoices represent?**

- ○ An operational audit
- ○ A financial audit
- ○ A value for money audit
- ○ An IT audit

(2 marks)

(Total = 10 marks)

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Part B: Planning and risk assessment

The questions in this Part cover Audit planning and risk assessment, the subject of Chapters 4, 6, 7, 9 and 10 of the BPP Audit and Assurance Course Book.

Section A

Bridgford (18 mins)

You are an audit senior of Ovette & Co and your firm has recently been appointed as the auditor to Bridgford Products (Bridgford), a large company which sells televisions, DVD players and Blu-ray Disc players to electrical retailers.

You are planning the audit for the year ended 31 January 20X9 and your audit manager has asked you to produce both the audit strategy document and the detailed audit plan, including an assessment of materiality.

In order to assist you in your planning work you have visited Bridgford, where you obtained the following information.

Sales have increased during the year ended 31 January 20X9 following a move to attract new customers by offering extended credit. The new credit arrangements allow customers three months' credit, rather than the one-month credit period allowed previously. As a result of this change, you have calculated that the receivables collection period has increased from 49 days to 127 days.

Bridgford installed a new computerised inventory control system, which began operating on 1 June 20X8. Since the inventory control system records both inventory movements and current inventory quantities, Bridgford is proposing to use the inventory quantities on the computer to value the inventory at the year-end rather than carrying out an inventory count.

The production director informed you that in the last month or so there have been reliability problems with the company's products which have resulted in some customers refusing to pay for the products.

As part of the planning process you also undertake a risk assessment. Based on the information you have obtained to date you have identified several audit risks which you feel your team will need to address. The first risk relates to the extended credit terms offered by Bridgford to its customers, and the recent product reliability problems resulting in customers' refusal to pay.

A second audit risk relates to the computerised inventory control system which was implemented on 1 June 20X8. You are concerned about whether data was accurately transferred into the new system, and whether it is sufficiently reliable to determine the quantity of inventory for the year-end financial statements.

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31 The audit manager has requested that you cover a number of specified areas in the audit planning documentation.

For each area, indicate whether the information would be included in the audit strategy document or in the detailed audit plan.

Area	Audit strategy document	Detailed audit plan
The availability of the client's data and staff (including internal audit)	O	O
The allocation of responsibility for specific audit procedures to audit team members	O	O
The audit procedures to be undertaken for each area of the financial statements	O	O
The potential for using automated tools and techniques to gather evidence	O	O

(2 marks)

---

32 You have set the level of materiality for the financial statements as a whole, and now need to determine performance materiality.

Which of the following statements about performance materiality is NOT true?

- O Performance materiality is used to reduce the risk that the aggregate of uncorrected and undetected misstatements exceeds materiality for the financial statements as a whole to an acceptable level
- O Performance materiality refers to the amounts set by the auditor at higher than the materiality level for particular classes of transactions, account balances or disclosures where the materiality level might otherwise mean that such items are not tested
- O Once the level of materiality for the financial statements as a whole has been set, a lower level of performance materiality is determined by the auditor using their professional judgement
- O The performance materiality level is affected by the auditor's understanding of the entity and the nature and extent of misstatements identified in prior audits **(2 marks)**

---

33 ISA 520 *Analytical Procedures* states that where analytical procedures identify fluctuations or relationships that are inconsistent with other relevant information or that differ significantly from the expected results, the auditor shall investigate the reason for this.

Which of the following auditor responses to the increase in the receivables collection period of Bridgford is the LEAST relevant?

- O Make enquiries of management to understand the likely reason why the receivables collection period exceeds the extended credit period
- O Perform detailed substantive testing on the aged receivables listing, to determine whether any amounts should be written off
- O Perform a trend analysis on current year and prior year monthly revenue, to identify whether revenue is overstated as a result of fraud or error
- O Perform further working capital ratio analysis, to determine the effect of the extended credit on Bridgford's cash position **(2 marks)**

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34 **Which of the following statements summarises your key concern regarding the risk relating to the extended credit terms and refusal of certain customers to pay?**

- ○ That the directors may have prepared Bridgford's financial statements on the going concern basis when this is not applicable
- ○ That the financial statements include amounts due from credit customers which are not valid debts
- ○ That there are balances due from credit customers which have not been included in the financial statements
- ○ That the financial statements include balances due from credit customers which are not recoverable **(2 marks)**

---

35 **Which TWO of the following procedures are relevant responses to the risk that inventory quantities are misstated by the new computerised inventory system?**

- ☐ Review a sample of purchase requisitions to determine whether the quantity of inventory held per the inventory system was verified before the requisition was approved
- ☐ Determine how often inventory counts are performed and the level of corrections required to the inventory system
- ☐ Review sales prices of inventory sold after the year end to identify inventory where cost exceeds net realisable value
- ☐ Test the operation of the inventory system using CAATs **(2 marks)**

(Total = 10 marks)

EuKaRe (Dec 2008, amended) (18 mins)

You are an audit senior of TEY & Co and are responsible for planning the audit of EuKaRe for the year ended 30 September 20X8.

EuKaRe is a charity which was established over five years ago. The charity's aim is to provide support to children from disadvantaged backgrounds who wish to take part in sports such as tennis, badminton and football.

EuKaRe has a detailed constitution which explains how the charity's income can be spent. The constitution also notes that expenditure relating to the administration of the charity cannot exceed 10% of the charity's income in any year. EuKaRe currently employs three permanent members of staff. At present, 100 volunteers work for EuKaRe: some commit up to 3 days a week and others help out on an ad hoc basis. The organisation, including its finance department, is primarily run by volunteers.

The charity's income is derived wholly from voluntary donations. Sources of donations include the public in the form of cash collected in buckets by volunteers in shopping areas, and from generous individuals.

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36 Based on your understanding of the nature of EuKaRe, you have identified that income is received primarily in the form of cash and this will affect audit risk.

By clicking on the relevant box indicate whether the following statements regarding the effect on audit risk are true or false.

Detection risk will increase due to the increased risk of cash donations being misappropriated and revenue being overstated	**TRUE**	**FALSE**
Inherent risk will increase as the nature of EuKaRe's transactions means that income may be misstated either in error or deliberately	**TRUE**	**FALSE**
Control risk will increase as internal controls may be weak due to the large number of volunteers used by EuKaRe	**TRUE**	**FALSE**
Business risk will increase due to the level of volunteers used by EuKaRe	**TRUE**	**FALSE**

(2 marks)

---

37 Your audit partner has highlighted to you that it is imperative that TEY & Co acts in line with ISA 315 (Revised) *Identifying and Assessing the Risks of Material Misstatement*. This means it must identify and assess the risks of material misstatement at both the overall financial statement level and the assertion level, for classes of transactions, events and their related disclosures, and account balances and their related disclosures.

Indicate which of the following statements gives a true explanation of why ISA 315 (Revised) requires a risk assessment to be carried out at the planning stage.

	True	False
The risk assessment will help the audit team gain an understanding of the entity for audit purposes	○	○
The risk assessment will enable the audit senior to produce an accurate budget for the audit assignment	○	○
The risk assessment will form the basis of the audit strategy and the detailed audit plan	○	○
Once the risks have been assessed, TEY & Co can select audit team members with sufficient skill and experience to maximise the chance of those risks being addressed	○	○

(2 marks)

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38 You have identified several audit risks which you feel your team will need to address. One such audit risk relates to the risk that income may be understated in the financial statements. You are concerned that not all income may be recorded.

Which of the following statements is NOT a valid response to this audit risk?

- O Obtain a breakdown of the income recorded from the cash that was collected in buckets, and vouch a sample of entries back to the volunteer in order to determine which volunteer collected the relevant donations
- O Perform analytical procedures on the level of donations in shopping areas per volunteer
- O Review the internal controls relating to cash collected in buckets to determine whether buckets are sealed, sequentially numbered and signed in and out by EuKaRe's volunteers
- O Observe the counting and recording of proceeds from collections, to determine whether appropriate segregation of duties is in place **(2 marks)**

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39 Another identified audit risk is the susceptibility of EuKaRe's business to fraud due to the high levels of cash involved.

Complete the following sentence to correctly describe the auditor's responsibilities in accordance with ISA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*.

The auditor is not responsible for the [(1) ▼] of fraud or error.

However, they are responsible for obtaining [(2) ▼] that the financial statements are free from material misstatement whether caused by fraud or error.

Pull down list 1

- Detection
- Prevention
- Prevention or detection

Pull down list 2

- Absolute assurance
- Evidence
- Reasonable assurance

(2 marks)

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40 The audit manager has noted in the detailed audit plan that EuKaRe's control environment may be weak.

Which TWO of the following statements are valid reasons as to why EuKaRe may have a weak control environment?

- ☐ EuKaRe has a detailed constitution which explains how the charity's income can be spent
- ☐ EuKaRe's finance department relies on volunteers who may not have accounts experience
- ☐ A high proportion of the income of EuKaRe is cash
- ☐ Understaffing in the finance department at certain times is due to the ad hoc nature of volunteer working hours **(2 marks)**

(Total = 10 marks)

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South (18 mins)

You are an audit senior of KLT & Co, and your firm has recently been appointed as the auditor to South, a private company that runs seven supermarkets in the UK. You are currently planning your firm's audit of South and are shortly due to make a preliminary visit to South's head office.

Four months before the year end, the company installed a new till system in all supermarkets. The new till system is linked to the accounting system at head office and automatically posts transactions to the accounting system. Previously journals were made manually based on totals on till rolls. The cost of the new till system which South has installed is capitalised as a non-current asset.

The audit engagement partner has also said that she is concerned that the new till system may not be reliable, and that consequently not all sales have been recorded, resulting in an understatement of revenue. She is also concerned that staff may not yet be familiar with the system, leading to an increased risk of errors relating to data entry.

Finally, after a number of people living close to one of South's stores became seriously ill, the source of the illness was traced back to meat the customers had purchased from South. Legal proceedings were commenced against South by a number of customers during the financial year, demanding $1 million in compensation.

41 **Indicate which TWO of the following statements describe the objectives of planning the audit of South.**

- ☐ To ensure appropriate attention is devoted to important areas of the audit
- ☐ To assist in the co-ordination of work done by any auditor's experts
- ☐ To ensure that the audit engagement is only accepted if this is permissible by the ACCA *Code of ethics and conduct*
- ☐ To ensure the audit is completed within budget restraints **(2 marks)**

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42 You are about to begin work on the share capital section of the South audit file.

Match each of the following audit procedures to the financial statement assertion to which it is most closely related. (Drag each box from the left into position to match the relevant box on the right.)

Procedure		Assertion
Recalculate the closing balance on the share capital account		Presentation
Review financial statement notes		Completeness
Review Memorandum and Articles of Association and compare their requirements with issued share capital		Accuracy, valuation and allocation
Read minutes of board meetings for evidence of share issues		Existence

(2 marks)

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43 In relation to the capitalised costs of the new till system, you are concerned that South may have included within the capitalised costs some items which are revenue in nature, leading to the overstatement of non-current assets.

Which of the following statements is a valid response to this audit risk?

- ○ Obtain a copy of the training manual relating to the new till system and discuss with directors the extent of training staff have received on the new system
- ○ Agree the capitalised costs from the trial balance back to invoices to confirm their value
- ○ Inspect invoices capitalised within the cost of the new till system to determine whether they are directly attributable to the cost of the new till system
- ○ Recalculate the depreciation charged on the new till system **(2 marks)**

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44 The audit engagement partner has stated that the new till system may not be reliable.

Which TWO of the following statements represent valid responses to this audit risk?

- ☐ Perform analytical procedures by comparing daily/weekly sales by store with both the prior year and with expectations, in order to determine whether any unusual patterns have occurred following the installation of the new system
- ☐ Vouch the sales revenue per the system to the till receipts to confirm the accuracy of the sales
- ☐ Obtain a copy of the training manual relating to the new till system and discuss with directors the extent of training staff have received on the new system
- ☐ Agree sales revenue from till receipts to the cashbook to determine the accuracy of till receipts **(2 marks)**

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45 You plan to review the legal correspondence relating to the claims made by those customers to whom South sold contaminated meat.

Which TWO of the following are valid objectives of this audit procedure?

- ☐ To determine whether South's reputation will have been damaged within the local area
- ☐ To confirm whether there are deficiencies in South's internal controls relating to food hygiene
- ☐ To assess whether a provision for customer compensation is required in South's financial statements
- ☐ To determine whether disclosure of the nature and financial effect of the legal claim is required in South's financial statements **(2 marks)**

(Total = 10 marks)

Mason **(18 mins)**

You are an audit senior of IBN & Co and you are planning the audit of Mason Air Services Co (Mason) for the year ended 31 December 20X3.

Mason is a company that provides specialist helicopter support to public services, such as the police force and the ambulance service. Mason has four of these contracts, which contain very similar terms and are equal in value. Mason owns and maintains the helicopter fleet which is held at cost. Each aircraft carries specialist equipment and is operated by a highly skilled specialist pilot. Under the terms of these contracts Mason charges the customer an annual fee to cover the maintenance, storage and testing of the aircraft and equipment. The annual fee is payable in advance each year with the first annual payment being paid on the date the contract commences.

Mason has not purchased any new helicopters during the year to 31 December 20X3; however, there has been a lot of refitting, replacement and adding of specialist equipment to some of the existing aircraft. This has been necessary to keep up with the latest developments in search and rescue, and to maintain the aircraft to the high standard required under the contracts in place.

The original purchase of each aircraft was funded with a secured loan carrying substantial interest charges. The loan is in the process of being renegotiated and the bank has indicated that finance costs will increase further. Furthermore, the directors have told you that Mason's contract with the police force expires in March 20X4, at a time when, in the wake of government cuts, the police are trying to substantially reduce the amount they pay. It is thought that the contract will be put out to tender, and it is possible that another aircraft provider may also bid for the contract.

Mason also holds around $2 million of aircraft spares which are included within inventory. Mason sells the aircraft spares to amateur flying associations. Aircraft spares which are not sold after three years are scrapped.

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Approximately one quarter of this value is made up of specialist equipment taken out of aircraft when it was replaced by newer or more advanced equipment. Such specialist equipment is transferred from non-current assets to inventory without adjustment, and continues to be recognised at amortised cost.

46 **In relation to the specialist helicopter support contracts, which of the following statements summarises a key audit risk?**

- ○ Mason's assets could be undervalued if the market value of the helicopter fleet exceeds its cost
- ○ Mason could breach the terms of its contracts with its customers and be liable to pay penalties, so provisions may be understated
- ○ Revenue may be overstated if it is recognised according to the contract date rather than over the relevant accounting period
- ○ An expert valuer is required to value the helicopters in the financial statements

(2 marks)

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47 Given the large amount of refitting of existing aircraft, you are concerned that property, plant and equipment may be overstated in the financial statements.

Indicate which TWO of the following statements represent valid responses to this audit risk?

- ☐ Perform a proof in total calculation of the depreciation charge for the year and investigate any significant differences
- ☐ Review minutes of training meetings to determine whether the pilots have been trained how to use the specialist equipment
- ☐ Obtain a breakdown of the capitalised costs and agree a sample of items to invoices to determine the nature of the expenditure
- ☐ Inspect management's review of whether the value of the aircraft has been impaired

(2 marks)

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48 **In relation to Mason's secured loan, which is the MOST important audit risk that should be documented in the detailed audit plan?**

- ○ Disclosure relating to the secured loan may be omitted from the financial statements
- ○ Mason's going concern status may be at risk if the contract is not renewed
- ○ Interest charges may be understated
- ○ The bank will rely on the audited financial statements when deciding whether to renew the loan

(2 marks)

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49 **Which TWO of the following are valid responses to the fact that Mason's contract with the police force is due for renewal?**

- ☐ Review Mason's contracts with its other three customers to determine whether they contain a break clause, in order to determine the likelihood of losing any further contracts to other aircraft providers
- ☐ Contact the police force directly and request confirmation as to whether the contract is to be renewed
- ☐ Review the short-term and long-term funding facilities which are available to Mason
- ☐ Consider whether the financial statements contain appropriate disclosures in relation to the matter

(2 marks)

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50 **In relation to the aircraft spares held by Mason, indicate which of the following correctly describe areas of audit concern?**

	Audit concern	Not audit concern
Non-current assets	○	○
Inventory	○	○
Completeness	○	○
Accuracy, valuation and allocation	○	○

(2 marks)

(Total = 10 marks)

Goofy Co (Jun 2011, amended) **(18 mins)**

You are an audit manager in NAB & Co, a large audit firm which specialises in the audit of retailers. The firm currently audits Goofy Co (Goofy), a food retailer, but Goofy's main competitor, Mickey Co (Mickey), has approached the audit firm to act as auditors. Both Goofy and Mickey are listed companies. Goofy is concerned that if NAB & Co audits both companies then confidential information could pass across to Mickey.

The audit engagement partner for Goofy has been in place for approximately six years and her daughter, Emma, has just accepted a job offer from Goofy as a warehouse manager. Emma's employment contract states that if a bonus is to be paid it will be awarded as shares in Goofy rather than in cash. Goofy is offering NAB & Co a 5% bonus on top of the audit fee if this year's audit can be completed three weeks earlier than last year. This is to reduce the demands on the finance director's time as he is busy working on other projects.

51 The ACCA *Code of Ethics and Conduct* requires that an external auditor implement appropriate safeguards to ensure that a conflict of interest is properly managed.

Which TWO of the following actions should NAB & Co take regarding the potential confidentiality issue?

- ☐ Inform the audit committees of both Goofy and Mickey of the potential conflict of interest and obtain their consent to act for both parties
- ☐ Use separate audit teams for each audit with a common independent review partner to determine whether confidentiality has been maintained
- ☐ Draw up confidentiality agreements to be signed by the board of directors of Goofy and Mickey
- ☐ Prevent unauthorised physical access to the information relating to both company audits

(2 marks)

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52 From a review of the information above, your audit assistant has highlighted some potential risks to independence in respect of the audit of Goofy.

Indicate the appropriate category to which each of the threats to independence should be allocated.

Threat to independence	Familiarity	Self-interest
Audit engagement partner has been in the position for six years	○	○
Audit engagement partner's daughter works for Goofy	○	○
Audit engagement partner's daughter's bonus would be in the form of shares	○	○
5% bonus offered if audit is completed three weeks earlier than last year	○	○

(2 marks)

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53 NAB & Co has decided that it would like to accept nomination as Mickey's auditors and Mickey's existing auditors have agreed to resign rather than be removed from office. The audit manager in charge of the tender has set out a list of procedures that the firm must undertake before Mickey can be approved as an audit client.

(1) Ensure that the existing auditor's resignation has been properly conducted

(2) Communicate with Mickey's existing auditors

(3) Submit an engagement letter to Mickey's management

(4) Perform client screening procedures, including an assessment of Mickey's risk profile

Drag each of the four options below to the righthand side to show the correct order in which the above procedures should be undertaken. (Drag each box from the left into position to match the relevant box on the right.)

Order		Procedure
(1)		Ensure that the existing auditor's resignation has been properly conducted
(2)		Communicate with Mickey's existing auditors
(3)		Submit an engagement letter to Mickey's management
(4)		Perform client screening procedures, including an assessment of Mickey's risk profile

(2 marks)

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54 Before NAB & Co can accept appointment as Mickey's auditors it must determine whether the preconditions for an audit are met and obtain management's agreement that it acknowledges and understands its responsibilities.

Which of the following is NOT included in the agreement obtained by the auditor?

- O Management's responsibility for preparing the financial statements
- O Management's responsibility for internal control to enable the preparation of financial statements which are free from material misstatement
- O Management's responsibility to provide the auditor with all information relevant to the preparation of the financial statements
- O Management's responsibility to prevent and detect fraud

(2 marks)

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55 **Indicate which of the following statements are true regarding the regulation of the audit profession?**

The auditor has the right of access to the books, records and vouchers of the company	TRUE	FALSE
The auditor has the right to be heard at general meetings on matters relating to the audit	TRUE	FALSE
The auditor is appointed by, and answerable to, those charged with governance of the company	TRUE	FALSE
An auditor can be removed by a simple oral resolution in line with the common law	TRUE	FALSE

(2 marks)

(Total = 10 marks)

Carlise **(18 mins)**

You are an audit senior of UYE & Co and your firm is the external auditor of Carlise, a large private company that runs major sports venues in the UK. Carlise has a year end of 31 December and you are currently planning the interim audit of Carlise for the six months ended 30 June 20X4.

This year you will have another audit senior, James, who has recently joined UYE & Co, working with you. James did not work on any interim audits with his previous audit firm, and your audit manager has asked you to train him to use the different approach used in interim audits.

James has drawn up the following list of audit procedures:

(1) Update documentation relating to Carlise's accounting systems which has been prepared in prior year audits.

(2) Obtain third-party confirmations relating to receivables, payables and cash at bank.

(3) Review the directors' assessment of whether Carlise is a going concern. Consider whether the assumptions made by the directors are reasonable and whether it is appropriate to prepare the accounts on the going concern basis.

(4) Perform preliminary analytical procedures in order to identify any major changes in the business or unexpected trends.

In July 20X4 Carlise established an internal audit department. The board is still planning the exact responsibilities the internal audit department will have, but it is likely that, among other things, they will be involved in monitoring the internal controls relating to Carlise's online ticket sales system.

It is the policy of UYE & Co that audit files for both interim and final audits are assembled within 60 days of the date when the auditor's report was signed. The files are then locked and cannot be amended after this date, but it is sometimes deemed necessary for further minor procedures to be added to the files after the auditor's report is issued. The files are then retained for 3 years, at which time they are disposed of securely.

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56 **Indicate whether the procedures identified by James above will be conducted during the interim or the final audit.**

Audit procedures	Interim audit	Final audit
Update documentation relating to Carlise's accounting systems which has been prepared in prior year audits	○	○
Obtain third-party confirmations relating to receivables, payables and cash at bank	○	○
Review the directors' assessment of whether Carlise is a going concern. Consider whether the assumptions made by the directors are reasonable and whether it is appropriate to prepare the accounts on the going concern basis	○	○
Perform preliminary analytical procedures in order to identify any major changes in the business or unexpected trends	○	○

(2 marks)

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57 During the interim audit, you performed internal controls testing and the results of this indicate that, to date, the control environment is strong and internal controls are operating effectively.

James has asked you to explain the factors that will determine the extent of further work on internal controls that will need to be performed at the final audit.

Which of the following should be taken into account when determining the extent of the additional work needed at the final audit?

(1) **The significance of the assessed risks of material misstatement at the assertion level**

(2) **The specific controls that were tested during the interim period, and significant changes to them since they were tested, including changes in the information system, processes, and personnel**

(3) **The length of the remaining period**

○ 1 and 2 only

○ 2 and 3 only

○ 1 and 3 only

○ 1, 2 and 3

(2 marks)

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58 **Which of the following considerations is the MOST important when deciding whether or not to rely on the work performed by Carlise's internal audit department?**

○ Whether any members of Carlise's internal audit department hold a professional qualification

○ Whether the work performed by the internal audit department relates to specific audit assertions over which UYE & Co has concerns

○ Whether a separate audit committee exists

○ Whether Carlise's internal audit department has a work plan which schedules the work they should perform to the end of the year

(2 marks)

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59 Carlise's internal audit team is likely to be involved in monitoring the internal controls relating to Carlise's online ticket sales system. UYE & Co may use the internal audit department to provide direct assistance to it in the audit of this system.

Indicate which of the following statements are true, if direct assistance is used?

	True	False
Carlise's internal auditors would perform audit procedures under the direction, supervision and review of UYE & Co's audit team	○	○
UYE & Co should only use direct assistance if the risk of material misstatement in relation to the online ticket sales system is high	○	○
UYE & Co's audit team should document its review of the work performed by Carlise's internal auditors	○	○
Carlise's internal auditors will be separately liable for any material misstatements in the work they have performed	○	○

(2 marks)

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60 **Indicate which of the following are true of UYE & Co's policies regarding the assembly and retention of audit files.**

	True	False
UYE & Co's policy of assembling files within 60 days of the auditor's report is stricter than what is required by ISAs	○	○
It is incompatible with ISAs for even minor further procedures to be added to the audit files after the 60-day period	○	○
It is acceptable to make administrative changes to an audit file after 60 days, so it is not strictly necessary to 'lock' the files to comply with ISAs	○	○
It is acceptable for files to be disposed of after 3 years have passed since the date of the auditor's report	○	○

(2 marks)

(Total = 10 marks)

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Section B

61 Peony (Mar/Jun 2019) (36 mins)

It is 1 July 20X5. You are an audit supervisor of Daffodil & Co and are planning the audit of Peony Co for the year ending 31 May 20X5. The company is a food retailer with a large network of stores across the country and four warehouses. The company has been a client of your firm for several years and the forecast profit before income taxes is $28.9 million. The audit manager has attended a planning meeting with the finance director and has provided you with the following notes of the meeting.

Planning meeting notes

Peony Co has an internal audit (IA) department which undertakes controls testing across the network of stores. Each store is visited at least once every 18 months. The audit manager has discussed with the finance director that the external audit team may rely on the controls testing which is undertaken by IA. During the meeting, the finance director provided some forecast financial information. Revenue for the year is expected to increase by 3% as compared to 20X4; the gross margin is expected to increase from 56% to 60%; and the operating margin is predicted to decrease from 21% to 18%. Peony Co values inventory in line with industry practice, which is to use selling price less average profit margin. The directors consider this to be a close approximation to cost.

The company does not undertake a full year-end inventory count and instead undertakes monthly perpetual inventory counts, each of which covers one-twelfth of all lines in stores and the warehouses. As part of the interim audit which was completed in January, an audit junior attended a perpetual inventory count at one of the warehouses and noted that there were a large number of exceptions where the inventory records showed a higher quantity than the physical inventory which was present in the warehouse. When discussing these exceptions with the financial controller, the audit junior was informed that this had been a recurring issue.

During the year, IA performed a review of the non-current assets physically present in around one-third of the company's stores. A number of assets which had not been fully depreciated were identified as obsolete by this review. The company launched a significant TV advertising campaign in January 20X5 in order to increase revenue. The directors have indicated that at the year end a current asset of $0.7 million will be recognised, as they believe that the advertisements will help to boost future sales in the next 12 months. The last advertisement will be shown on TV in early May 20X5.

Peony Co decided to outsource its payroll function to an external service organisation. This service organisation handles all elements of the payroll cycle and sends monthly reports to Peony Co which detail wages and salaries and statutory obligations. Peony Co maintained its own payroll records until 31 December 20X4, at which point the records were transferred to the service organisation. Peony Co is planning to expand the company by opening three new stores during July 20X5 and in order to finance this, in March 20X5 the company obtained a $3 million bank loan. This is repayable in arrears over five years in quarterly instalments. In preparation for the expansion, the company is looking to streamline operations in the warehouses and is planning to make approximately 60 employees redundant after the year end. No decision has been made as to when this will be announced, but it is likely to be in May 20X5.

Required

(a) Define and explain materiality and performance materiality. **(4 marks)**

(b) Describe **EIGHT** audit risks and explain the auditor's response to each risk in planning the audit of Peony Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(Total = 20 marks)

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62 Harlem (Sep/Dec 2019) (54 mins)

It is 1 July 20X5. You are an audit supervisor of Brooklyn & Co and are planning the audit of Harlem Co for the year ending 30 September 20X5. The company has been a client of your firm for several years and manufactures car tyres, selling its products to wholesalers and retailers. The audit manager attended a planning meeting with the finance director and has provided you with the following notes of the meeting and financial statements extracts:

Planning meeting notes

Harlem Co sells approximately 40% of its tyres to wholesale customers. These customers purchase goods on a sale or return basis. Under the terms of the agreement, wholesale customers have 60 days during which any returns can be made without penalty. The finance director has historically assumed a return rate of 10%; however, he now feels that this is excessive and intends to change this to 5%.

The company purchased a patent on 30 September 20X4 for $800,000, which was capitalised in the prior year as an intangible asset. This patent gives Harlem Co the exclusive right to manufacture specialised wet weather tyres for four years. In preparation for the manufacture of the wet weather tyres, this year the company conducted a review of its plant and machinery. As part of this review, surplus items of plant and machinery were sold, resulting in a loss on disposal of $160,000.

In May 20X5, the financial controller of Harlem Co was dismissed after it was alleged that she had carried out a number of fraudulent transactions against the company. She has threatened to sue the company for unfair dismissal as she disputes the allegations. The company has only recently started to investigate the extent of the fraud in order to quantity the required adjustment.

A problem occurred in June 20X5, during production of a significant batch of tyres, which affected their quality. The issue was identified prior to any good being dispatched and management is investigating whether the issues can be rectified and the tyres can subsequently be sold.

Harlem Co's finance director has informed you that in March 20X5 a significant customer was granted a payment break of six months, as it has been experiencing financial difficulties. Harlem Co maintains an allowance for trade receivables and it is anticipated that this will remain at the same level as prior year.

The report to management issued by Brooklyn & Co following last year's audit highlighted significant deficiencies relating to Harlem Co's purchases cycle.

The finance director has informed you that the company intends to restructure its debt finance after the year end and will be looking to consolidate its loans to reduce the overall cost of borrowing. As a result of the planned restructuring of debt, Harlem Co has not paid its shareholders a dividend this year, choosing instead to undertake a bonus issue of its $0.50 equity shares.

You have been asked by the audit manager to complete the preliminary analytical review and she has provided you with the following information.

Financial statements extracts for year ending 30 September

	Forecast 20X5	*Actual 20X4*
	$'000	$'000
Revenue	23,200	21,900
Cost of sales	(18,700)	(17,300)
Gross profit	**4,500**	**4,600**

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	Forecast 20X5	Actual 20X4
	$'000	$'000
Interest expenses	290	250
Profit before income taxes	**450**	**850**
Intangible asset	800	800
Inventory	2,100	1,600
Long and short-term borrowings	13,000	11,000
Total equity	10,000	9,500

The audit assistant has already calculated some key ratios for Harlem Co which you have confirmed as accurate. She has ascertained that the trade receivables collection period has increased from 38 to 51 days.

Required

(a) Describe the auditor's responsibilities in relation to the prevention and detection of fraud and error. **(4 marks)**

(b) Calculate the **FOUR** ratios listed in the table below, for **BOTH** years, to assist you in planning the audit of Harlem Co.

Note. Use the below table structure to format your answer in the CBE software.

Ratio	20X5	20X4
Gross profit margin		
Inventory holding period		
Gearing		
Interest cover		

(4 marks)

(c) Using the information provided and the ratios calculated, describe **EIGHT** audit risks and explain the auditor's response to each risk in planning the audit of Harlem Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(d) Describe the substantive procedures the auditor should perform to obtain sufficient appropriate audit evidence in relation to the **VALUATION** of trade receivables in the current year. **(3 marks)**

(e) Describe the substantive procedures the auditor should perform to obtain sufficient appropriate audit evidence in relation to the **DISPOSAL** of plant and machinery in the current year. **(3 marks)**

(Total = 30 marks)

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63 Scarlet (Mar/Jul 2020) (54 mins)

It is 1 July 20X5. You are an audit supervisor of Orange & Co planning the audit of a new client, Scarlet Co, for the year ended 31 May 20X5. Scarlet Co manufactures chemicals for use in domestic and commercial cleaning products.

The company's financial accountant was taken ill suddenly in May 20X5 and is unable to undertake the preparation of the year-end draft financial statements. As a result, the company recruited a temporary financial accountant in early June 20X5 who will prepare the draft financial statements. The year-end financial statements need to be finalised quickly as the company is looking to raise finance through a bank loan to replace three machines in the production facility. The bank has asked for a copy of the audited year-end financial statements by the end of September 20X5 before they will agree to the loan and the directors are keen to report strong results in order to obtain this financing.

In the year, the company also purchased a specialised machine to develop a new range of chemicals for a major customer. Only trained staff are allowed to operate this machine and staff members had to undertake two days of training, followed by an assessment at the end of the training period. The training costs of $15,000 have been capitalised as part of the cost of the asset.

The company sources many of its raw materials to be used in the chemical manufacturing process from an international supplier and goods can be in transit for up to three weeks. The agreement with the international supplier contains a clause which states that Scarlet Co is responsible for the goods as soon as they leave the supplier's warehouse.

You have carried out a preliminary analytical review which indicates that the receivables collection period has increased from the 38 days to 52 days. The credit controller has confirmed that some customers are currently taking longer to pay than in previous years as they are awaiting payment from their customers.

On 29 May 20X5, the directors announced that one of its brand was being discontinued due to a fall in demand for the product. This resulted in four staff members being made redundant. The payroll department has calculated the levels of termination costs associated with the redundancy and they will be paid in the July 20X5 payroll run.

The directors each received a significant bonus in the year which has been included in the payroll charge for the year in the statement of profit or loss. Local legislation requires separate disclosure of directors' bonuses in the financial statements.

During the year the company sold a batch of chemicals to a customer for $120,000. At the beginning of May 20X5, the customer returned these chemicals because the chemical mix was not in line with the customer's specifications. A credit note is yet to be issued to the customer and the chemicals have been written down to their scrap value within inventory.

The company usually pays its suppliers by the end of each month. However, due to the financial accountant's illness, the payment run for May 20X5 was not performed until 1 June 20X5. The finance director has informed you that in order to show consistent results with the prior year, this payment run is shown as an unpresented item on the year-end bank reconciliation.

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Required

ISA 210 *Agreeing the terms of audit engagements* requires auditors to issue an engagement letter.

(a) Explain the PURPOSE of an audit engagement letter and list FOUR items which should be included in an audit engagement letter. **(4 marks)**

(b) Explain WHY the following factors should have been considered by Orange & Co prior to accepting Scarlet Co as a new audit client.

Note. Use the below table structure to format your answer in the CBE software.

Pre-acceptance factors	Explanation
The outgoing auditor's response	
Management integrity	
Pre-conditions for an audit	
Independence and objectivity	
Resources available at the time of the audit	

(5 marks)

(c) Describe EIGHT audit risks, and explain the auditor's response to each risk, in planning the audit of Scarlet Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(d) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in respect of the redundancy costs. **(5 marks)**

(Total = 30 marks)

64 Corley Appliances Co (Mar/Jun 2021) (36 mins)

It is 1 July 20X5. You are an audit supervisor with Woodward & Co and you are in the process of planning the audit of Corley Appliances Co, a company which sells domestic electrical appliances such as fridge freezers, TVs, and washing machines. The company's year end is 31 August 20X5 and forecast revenue for the year is $12.2 million, total assets are $6.8 million and profit before income taxes is $2.8 million. The audit manager held a meeting with the finance director and the notes from that meeting are provided below.

Notes from meeting with finance director

The company operates nationwide with 20 branches located across the country and sells goods to members of the public and to retailers. The company has returns policy which allows a customer to return goods within 28 days of purchase if they are not satisfied with the product. Historically, 5% of customers returns goods within the return period. The company also provides a six-month warranty on its products which requires Corley Appliances to repair any defects, at its own cost, which arise within the warranty period. It is anticipated that the warranty provision in the draft financial statements will be lower than the prior year as the directors are confident the products will be sold by the company are built to a very high standard.

The company is based in Europe and its main supplier of appliances is based in Asia. Goods are shipped to the company's central warehouse by sea and are usually in transit for up to one month. Corley Appliances Co has responsibility for goods in transit from the points of dispatch by the supplier. The central warehouse and all 20 branches will be carrying out a full year-end

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inventory count on 31 August 20X5 and it is expected that the value of inventory in Corley Appliances Co's financial statements will be $0.95 million.

Over the last six months, the finance director has noticed that the company's receivables collection period is now an average of 55 days, whereas the company's target is 42 days. The credit controller has informed the finance director that she is confident that all receivables will eventually pay as increases in receivables collection periods are starting to become common in the industry. The finance director believes it is unlike that any increase in the allowance for receivables will be necessary at the year end as compared to the prior year.

In June 20X5, a fraud was uncovered in the finance department. A payables ledger supervisor had diverted funds from the company's bank account using a fictitious supplier on the payables ledger. The employee was immediately dismissed, and the value of the fraud will be recognised as an expense in the statement of profit or loss. Since the dismissal of the supervisor, purchase invoices have not been recorded in the payables ledger and it is unlikely that this backlog on invoices will be cleared by the year end.

During the year, the company purchased and installed a new automated dispatch system for its central warehouse. The cost of the dispatch system was $0.9 million and has been recognised as an addition to property, plant and equipment. These capitalised costs include the purchase price of $0.6 million, installation costs of 0.2 million and staff training costs of $0.1 million.

Due to the costs incurred in purchasing the new dispatch system and the increase in the receivables collection period, the company's overdraft facility has increased significantly and at one point went over the agreed limit of $0.7 million in early June 20X5. The bank has expressed concern about the way that the company is operating its bank overdraft facility, which the company is dependent on. The auditor's report is due to be signed in October 20X5.

ISA 210 *Agreeing the Terms of Audit Engagements* states that auditors should only accept, or continue an existing audit engagement, of the preconditions for an audit are present.

Required

(a) Describe the **PRECONDITIONS** required for an audit. **(3 marks)**

(b) Describe SEVEN audit risks and explain the auditor's response to each risk in planning the audit of Corley Appliances Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(14 marks)

(c) Define the term 'professional scepticism' and explain TWO examples from the audit of Corley Appliances Co where the auditor should apply professional scepticism. **(3 marks)**

(Total = 20 marks)

65 Hart Co (Sep/Dec 2020) (54 mins)

It is 1 July 20X5. You are an audit supervisor with Morph & Co responsible for planning the final audit of a new client, Hart Co, for the year ending 30 September 20X5. Hart Co specialises in the design and construction of customised playgrounds. The Audit manager recently met with Hart Co's finance director and has provided you with the following notes:

Planning meeting notes

Hart Co has a forecast profit before income taxes of $12.2m (20X4: $9.8m) and total assets are expected to be $28.5m (20X4: $24.3m). The finance director has indicated that the directors are very pleased with the forecast performance for the year as the directors are paid a bonus based on a percentage of profit before income taxes.

Hart Co is undertaking the construction of playgrounds at 16 sites in various locations across the country. All playgrounds are constructed to specific customer specifications. Customers pay a

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25% deposit on signing the contract, with the balance payable when control of the playground is transferred to the customer.

The balance of work in progress (WIP) at 30 June 20X5 is $7.6 million in respect of the playgrounds under construction. A WIP count and valuation will be carried out at all sites on 30 September 20X5. Arrangements have been made for the audit team to attend only five of the WIP counts. Hart Co offers its customers a warranty at no extra cost, which guarantees that the playgrounds will function as expected for a period of three years. The warranty provision for the current year has been calculated as 2% of revenue. In the previous year the warranty was based on 6% of revenue. The finance director has made this change despite no significant difference in construction techniques or the level of claims in the year.

Hart Co has incurred expenditure of $1.8 million relating to the research and development of a new type of environmentally-friendly building material. $0.6 million of the expenditure to date has been written off to the statement of profit or loss. The remaining $1.2 million has been capitalised as an intangible asset. No amortisation has been recognised to date as the material has not yet been brought into use.

In June 20X5, the company contracted to purchase new machinery costing $2.4 million. It paid $1 million on signing the contract to secure the machinery, which was due to be delivered in July 20X5. Due to a supplier problem, the delivery is delayed and is now scheduled to be delivered in October 20X5. In order to finance the research and development costs and the machinery purchase, Hart Co made a rights issue to existing shareholders at a price of $0.75 for each $0.50 share.

Hart Co's payroll function is outsourced to an external service organisation, Chaz Co, which is responsible for all elements of payroll processing and maintenance of payroll records.

Hart Co's directors correctly disclosed their remuneration details in the forecast financial statements in line with IFRS Accounting Standards, however, local legislation in the country in which Hart Co is based, requires more extensive disclosure. The directors have stated that they consider this onerous and so do not intend to provide the additional information.

ISA 300 *Planning an audit of financial statements* provides guidance to assist in planning an audit.

Required

(a) Explain the benefits of audit planning. **(4 marks)**

(b) Describe **EIGHT** audit risks and explain the auditor's response to each risk in planning the audit of Hart Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Hart Co's directors' bonuses. **(5 marks)**

(d) At the end of the planning meeting, the finance director of Hart Co mentioned to the audit manager that one of the key reasons Morph & Co was appointed as auditor was because of its knowledge of the industry. There were some concerns however, as to how Morph & Co would keep information obtained during the audit confidential as it audits three other construction companies specialising in environmentally-friendly building materials, including Hart Co's main competitor.

Explain the safeguards which Morph & Co should implement to ensure that this conflict of interest is properly managed. **(5 marks)**

(Total = 30 marks)

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66 Blackberry Co (Mar/Jun 2018) (36 mins)

You are an audit senior of Loganberry & Co and are planning the audit of Blackberry Co for the year ending 31 March 20X8. The company is a manufacturer of portable music players and your audit manager has already had a planning meeting with the finance director. Forecast revenue is $68.6 million and profit before income taxes is $4.2 million. She has provided you with the following notes of the meeting.

Planning meeting notes

Inventory is valued at the lower of cost and net realisable value. Cost is made up of the purchase price of raw materials and costs of conversion, including labour, production and general overheads. Inventory is held in three warehouses across the country. The company plans to conduct full inventory counts at the warehouses on 2, 3 and 4 April, and any necessary adjustments will be made to reflect post year-end movements of inventory. The internal audit team will attend the counts.

During the year Blackberry Co paid $1.1 million to purchase a patent which allows the company the exclusive right for three years to customise their portable music players to gain a competitive edge in their industry. The $1.1 million has been expensed in the current year statement of profit or loss. In order to finance this purchase, Blackberry Co raised $1.2 million through issuing shares at a premium.

In November 20X7 it was discovered that a significant teeming and lading fraud had been carried out by four members of the receivables ledger department who had colluded. They had stolen funds from wholesale customer receipts and then to cover this they allocated later customer receipts against the older receivables. These employees were all reported to the police and subsequently dismissed. As a result of the vacancies in the receivables ledger department, Blackberry Co decided to outsource its receivables ledger processing to an external service organisation. This service provider handles all elements of the receivables ledger cycle, including sales invoicing and chasing of receivables balances and sends monthly reports to Blackberry Co detailing the sales and receivable amounts. Blackberry Co ran its own receivables ledger until 31 January 20X8, at which point the records were transferred to the service organisation.

In December 20X7 the financial accountant of Blackberry Co was dismissed. He had been employed by the company for nine years, and he has threatened to sue the company for unfair dismissal. As a result of this dismissal, and until his replacement commences work in April, the financial accountant's responsibilities have been adequately allocated to other members of the finance department. However, for this period no supplier statement reconciliations have been performed.

In January 20X7 a receivable balance of $0.9 million was written off by Blackberry Co as it was deemed irrecoverable as the customer had declared itself bankrupt. In February 20X8, the liquidators handling the bankruptcy of the company publicly announced that it was likely that most of its creditors would receive a pay-out of 40% of the balance owed. As a result, Blackberry Co has included a current asset of $360,000 within the statement of financial position and other income in the statement of profit or loss.

Required

(a) Describe Loganberry & Co's responsibilities in relation to the prevention and detection of fraud and error. **(4 marks)**

(b) Describe **EIGHT** audit risks and explain the auditor's response to each risk in planning the audit of Blackberry Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(Total = 20 marks)

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67 Darjeeling Co (Sep/Dec 2018) (54 mins)

It is 1 July 20X5. You are an audit supervisor of Earl & Co and are planning the audit of Darjeeling Co for the year ending 30 September 20X5. The company develops and manufactures specialist paint products and has been a client of your firm for several years. The audit manager has attended a planning meeting with the finance director and has provided you with the following notes of the meeting and financial statement extracts. You have been asked by the audit manager to undertake preliminary analytical procedures using the financial statement extracts.

Planning meeting notes

During the year Darjeeling Co has spent $0.9 million, which is included within intangible assets, on the development of new product lines, some of which are in the early stages of their development cycle. Additionally, as the company is looking to expand production, during the year it purchased and installed a new manufacturing line. All costs incurred in the purchase and installation of that asset have been included within property, plant and equipment. These capitalised costs include the purchase price of $2.2 million, installation costs of $0.4 million and a five-year servicing and maintenance plan costing $0.5 million.

In order to finance the development projects and the new manufacturing line, the company borrowed $4 million from the bank which is to be repaid in instalments over eight years and has an interest rate of 5%. Developing new products and expanding production is important as the company intends to undertake a stock exchange listing in the next 12 months.

The company started a number of initiatives during the year in order to boost revenue. It offered extended credit terms to its customers on the condition that their sales order quantities were increased. In addition, Darjeeling Co made an announcement in October 20X4 of its 'price promise', that it would match the prices of any competitor for similar products purchased. Customers who are able to prove that they could purchase the products cheaper elsewhere are asked to claim the difference from Darjeeling Co, within one month of the date of purchase of goods, via its website. The company intends to include a refund liability of $0.25 million, which is based on the monthly level of claims to date, in the draft financial statements.

The finance director informed the audit manager that a problem arose in June 20X5 in relation to the mixing of materials within the production process for one particular product line. A number of these faulty paint products had already been sold and the issue was identified following a number of complaints from customers about the paint consistency being incorrect. As a precaution, further sales have been stopped and a product recall has been initiated for any of these specific paint products sold since June. Management is investigating whether the paint consistency of the faulty products can be rectified and subsequently sold.

Financial statement extracts for year ending 30 September

	Forecast	*Actual*
	20X5	*20X4*
	$'000	$'000
Revenue	19,850	16,990
Cost of sales	(12,440)	(10,800)
Gross profit	7,410	6,190
Inventory	1,850	1,330
Trade receivables	2,750	1,780
Bank	(810)	560
Trade payables	1,970	1,190

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Required

(a) Explain why analytical procedures are used during THREE stages of an audit. **(3 marks)**

(b) Calculate the following THREE ratios, for BOTH years, which would assist you in planning the audit of Darjeeling Co.

Note. Use the below table structure to format your answer in the CBE software.

	20X5	20X4
Inventory holding period		
Receivables collection period		
Quick ratio		

(3 marks)

(c) Using the information provided, the ratios calculated and the financial extracts, describe EIGHT audit risks and explain the auditor's response to each risk in planning the audit of Darjeeling Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(d) Describe substantive procedures the auditor should perform in relation to the faulty paint products held in inventory at the year end. **(3 marks)**

(e) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate evidence in relation to Darjeeling Co's revenue. **(5 marks)**

(Total = 30 marks)

68 Hurling Co (Mar/Jun 2017, amended) (54 mins)

It is 1 July 20X5. You are an audit supervisor of Caving & Co and you are planning the audit of Hurling Co, a listed company, for the year ending 30 September 20X5. The company manufactures computer components and forecast profit before income taxes is $33.6 million and total assets are $79.3 million.

Hurling Co distributes its products through wholesalers as well as via its own website. The website was upgraded during the year at a cost of $1.1 million. Additionally, the company entered into a transaction in August to purchase a new warehouse which will cost $3.2 million. Hurling Co's legal advisers are working to ensure that the legal process will be completed by the year end. The company issued $5 million of irredeemable preference shares to finance the warehouse purchase.

During the year the finance director has increased the useful economic lives of fixtures and fittings from three to four years as he felt this was a more appropriate period. The finance director has informed the audit engagement partner that a revised credit period has been agreed with one of its wholesale customers, as they have been experiencing difficulties with repaying the balance of $1.2 million owing to Hurling Co. In July 20X5, Hurling Co introduced a new bonus based on sales targets for its sales staff. This has resulted in a significant number of new wholesale customer accounts being opened by sales staff. The new customers have been given favourable credit terms as an introductory offer, provided goods are purchased within a two-month period. As a result, revenue has increased by 5% on the prior year.

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The company has launched several new products this year and all but one of these new launches have been successful. Feedback on product Luge, launched four months ago, has been mixed, and the company has just received notice from one of their customers, Petanque Co, of intended legal action. They are alleging the product sold to them was faulty, resulting in a significant loss of information and an ongoing detrimental impact on profits. As a precaution, sales of the Luge product have been halted and a product recall has been initiated for any Luge products sold in the last four months.

The finance director is keen to announce the company's financial results to the stock market earlier than last year and in order to facilitate this, he has asked if the audit could be completed in a shorter timescale. In addition, the company is intending to propose a final dividend once the financial statements are finalised.

Hurling Co's finance director has informed the audit engagement partner that one of the company's non-executive directors (NEDs) has just resigned, and he has enquired if the partners at Caving & Co can help Hurling Co in recruiting a new NED. Specifically he has requested the engagement quality reviewer, who was until last year the audit engagement partner on Hurling Co, assist the company in this recruitment. Caving & Co also provides taxation services for Hurling Co in the form of tax return preparation along with some tax planning advice. The finance director has recommended to the audit committee of Hurling Co that this year's audit fee should be based on the company's profit before income taxes. At today's date, 20% of last year's audit fee is still outstanding and was due to be paid three months ago.

Required

(a) Describe **EIGHT** audit risks, and explain the auditor's response to each risk, in planning the audit of Hurling Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(b) Identify and explain FIVE ethical threats which may affect the independence of Caving & Co's audit of Hurling Co; and for each threat, suggest a safeguard to reduce the risk to an acceptable level. **(10 marks)**

(c) The ACCA *Code of Ethics and Conduct* (ACCA Code) explains what an audit firm should do if they discover the independence provisions of the Code have been breached.

Describe FOUR matters that Caving & Co should communicate in writing to those charged with governance at Hurling Co if the firm discovers that an independence provision set out in the ACCA Code is breached. **(4 marks)**

(Total = 30 marks)

69 Peach Co (Sep/Dec 2021) (54 mins)

It is 1 July 20X5. You are an audit supervisor with Apricot & Co and have been assigned to the audit of Peach Co, a soft drinks manufacturer which sells to wholesale customers. You are currently planning the year-end audit for the year ending 31 August 20X5 and have received the following notes from the audit engagement partner. Materiality for the draft financial statements has been calculated as $153,000, which is 5% of profit before income taxes.

Planning meeting notes

A new accounting system was introduced via direct changeover in March 20X5. It had been successfully tested prior to its implementation and management had such confidence in the new system that they did not consider it necessary to undertake further testing after implementation.

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Peach Co has been developing a new production process which will help to reduce sugar in its drinks by 50%. Development commenced on 1 November 20X4 and the total amount capitalised was $0.8 million. On 1 May 20X5, the food safety authority approved the process and production of the new reduced-sugar soft drinks commenced.

Peach Co has inventories of high-sugar drinks costing $227,000 which it can no longer self in its home market due to a lack of demand. The directors believe Peach Co can sell the remaining inventories to an international customer at a price that marginally exceeds cost but Peach Co will be responsible for all costs relating to the delivery and shipping of the drinks.

Peach co replaced two items of machinery in its production line to accommodate a change in the type of bottles used. There were significant staff costs involved in preparing the site for the new machinery and in testing that the new machinery was operating correctly. These costs have been included within the wages and salaries expense for the period. Despite the old machinery being sold at a significant loss, during the year the directors of Peach Co decided to extend the useful lives of plant and machinery by an average of five years.

A member of the finance team was dismissed by Peach Co in May 20X5 after it was discovered that they had been fraudulently purchasing non-current assets for personal use. Peach Co started to investigate the fraud at the beginning of June 20X5 by reconciling all physical assets to the non-current asset register but will not have completed the reconciliation by the year-end date.

Peach Co entered into a contract on 1 May 20X5 with a new supplier of bottles. Peach Co has committed to a minimum order quantity of 150,000 bottles per month for a period of 12 months commencing 1 May 20X5. No costs have been accounted for to date as no amounts are payable for the first six months. Three equal instalments are then payable across the remainder of the contract term. Peach Co's previous supplier has launched a legal claim against Peach Co for breach of contract, stating that Peach Co did not have the right to exit the agreement early. Peach Co's lawyers have indicated that it is likely to lose the case and have estimated the amount payable to be in the region of $0.3 million.

In order to fund the development of the new production and the purchase of new machinery. Peach Co obtained an interest-bearing bank loan of $1.2 million on 1 March 20X5 repayable over the next three years in arrears. In order to secure the bank loan, Peach Co agreed to maintain a minimum operating profit margin and meet specific sales targets.

Required

(a) Describe EIGHT audit risks, and explain the auditor's response to each risk, in planning the audit of Peach Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(b) Describe Apricot & Co's responsibilities in relation to the prevention and detection of fraud and error. **(4 marks)**

(c) Peach Co has been an audit client of Apricot & Co for the last 15 years. The audit staff of Apricot & Co and the client staff of Peach Co have always enjoyed a meal together at the start of the final audit. Alan Edward, the managing director of Peach Co has this year suggested that instead of a meal, all the audit staff and client staff go away for the weekend to a luxury hotel at Peach Co's expense.

Alan Edward had also suggested that the current year audit fee is renegotiated to be based on a percentage of Peach Co's profit for the year.

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This year, for the first time, Apricot & Co has been approached by Peach Co to help identify potential targets. Discussions are currently at an early stage and no work has been undertaken at present. The total fees in relation to the audit and other work would fall within acceptable levels in line with ACCA's Code of Ethics and Conduct.

(1) Identify and explain TWO ethical threats which may affect the independence of Apricot & Co's audit of Peach Co; and

(2) For each threat, recommend an appropriate safeguard to reduce the threat to an acceptable level.

(4 marks)

(d) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Peach Co's development expenditure. **(6 marks)**

(Total = 30 marks)

70 Esk Co (Mar/Jun 2022) (54 mins)

It is 1 July 20X5. You are an audit supervisor with Bannock & Co and are responsible for planning the audit of a new client, Esk Co, for the year ending 31 August 20X5. Your audit manager recently met with the finance director of Esk Co and has provided you with the following planning meeting notes and financial statement extracts:

Planning meeting notes

Esk Co is a manufacturer and wholesaler of plumbing supplies. It operates from two warehouses which are situated in the north and south of the country. Extracts from the forecast financial statements for the year ending 31 August 20X5 and the final financial statements for 20X4 are as follows:

	Forecast 20X5	*Final 20X4*
	$m	$m
Revenue	30.9	27.5
Cost of sales	(22.5)	(19.9)
Gross profit	**8.4**	**7.6**
Inventories	8.3	6.4
Trade receivables	7.2	4.9
Trade payables	2.4	3.5

In September 20X4, Esk Co purchased a patent for $2.6 million which gives it the exclusive right to manufacture a waste disposal system for a four-year period. The purchase cost capitalised comprises the cost of the patent and other costs such as legal fees and administrative costs incurred in negotiating the contract. In order to finance this purchase, Esk Co obtained an interest-bearing bank loan of $2.5 million during the year. The bank loan is payable in five equal annual instalments, with the first instalment due to be paid on 1 September 20X5.

The payables ledger clerk has recently discovered a batch of supplier invoices that had been mis-coded and therefore had not been recorded as trade payables. This error has now been corrected but investigations are still ongoing to determine how this happened and whether any other batches of invoices have been mis-coded.

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There was a fire in the south warehouse in June 20X5 which resulted in damaged inventory. An inventory count immediately following the fire identified that inventory costing $1.1 million required to be fully written off. The damaged inventory has not yet been replaced as there is sufficient inventory in the north warehouse to satisfy demand. The directors have raised a claim against Esk Co's insurance company to cover the full extent of the lost inventory. Although no confirmation has been received from the insurance company, the directors are confident that the full amount claimed of $1.1 million will be received and have included this amount as other receivables within current assets.

Esk Co's sales staff receive bonuses if they meet sales targets each quarter. A higher level of sales bonus is available in the quarter to 31 August each year as a reward for efforts during the year as a whole. Esk Co offers its regular customers discounts of up to 10%, which are negotiated and documented by the sales director. This year, in order to easily monitor the amount of the customer discounts, they have been recorded separately as an expense in cost of sales. In previous years, revenue has been recorded net of the discount.

The manager in Esk Co's credit control department has been off work since December 20X4 due to ill health and has been replaced by an inexperienced temporary manager. As a result, Esk Co has not been monitoring the ageing of its receivables and only follows up on outstanding invoices when the system alerts credit control that a customer invoice has been outstanding for 90 days or more. The standard credit terms are 30 days.

During the year, Esk Co was informed by the tax authorities that it was under investigation for a breach of legislation relating to sales tax. Esk Co has appointed a tax consultant who has advised that there does appear to have been a breach of tax legislation and has estimated that a fine and penalty totalling $0.6 million will be payable. The directors do not intend to record anything in the financial statements until final notification is provided by the tax authority, which is due to be received on 31 January 20X6.

Required

ISA 210 *Agreeing the Terms of Audit Engagements* requires an auditor to establish whether the preconditions for an audit are present prior to accepting an audit engagement.

(a) Describe the PRECONDITIONS for an audit that Bannock & Co should have established prior to accepting the audit of Esk Co. **(4 marks)**

(b) Calculate the following FOUR ratios, for BOTH years, to assist you in planning the audit of Esk Co: gross profit margin, inventory holding period, receivables collection period and payables payment period.

Notes.

1 Formulas are not required to be shown.

2 Use the below table structure to format your answer in the CBE software.

Ratio	20X5	20X4
Gross profit margin		
Inventory holding period		
Receivables collection period		
Payables payment period		

(4 marks)

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(c) Using the information provided and the ratios calculated, describe EIGHT audit risks and explain the auditor's response to each risk, in planning the audit of Esk Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(d) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Esk Co's trade receivables. **(6 marks)**

(Total = 30 marks)

71 Magpie Co (Sep/Dec 2022) (36 mins)

It is 1 July 20X5. You are the audit supervisor at Crow & Co and are finalising the planning for your new client Magpie Co for the forthcoming audit for the year ending 31 July 20X5.

Magpie Co is a retailer of garden supplies which operates from 20 stores across the country and employs 400 staff. The audit manager has attended a meeting with the finance director and has provided you with the following notes of that meeting and financial statement extracts:

Notes of planning meeting

During the year the company spent $0.75 million on refurbishing its stores to improve the customer experience. All of this expenditure has been recognised in the statement of financial position as property, plant and equipment. In addition, the company also installed a new sales system during the year which records all sales and receivables. The system enables daily sales from each store to be automatically reported to the centralised finance department at the end of each working day. As the system is from a market leading provider, it was not felt necessary to run the old and the new systems in parallel.

Customers are able to pay for their goods using either cash or credit card. At the end of the working day, the store manager generates a report from each cash register which confirms the cash takings. The cash is then counted and compared to the report. Since the new sales system was installed, head office now receives daily cash takings reports which have shown an increasing number of cash shortages at each store. These differences have not been investigated or reconciled on the basis that they have only been small amounts.

The company has a number of corporate customers who buy goods on 90 day credit terms and the level of receivables which are overdue for payment has increased from the prior year. However, the finance director has said she does not intend to make any further allowance for receivables as overdue payments are becoming common in the industry.

The payables ledger clerk has carried out supplier statement reconciliations during the year and in a number of instances the supplier statements have shown a balance owing by the company which is higher than the balance on the payables ledger. These differences have been included as reconciling items on the supplier statement reconciliations by the payables ledger clerk, but no further work has been performed on these differences.

It has been discovered that the soil relating to a batch of plants with a cost price of $0.1 million is contaminated, meaning that the plants may not be able to be sold. Tests are currently being carried out to determine whether the contamination can be remedied.

The report to management issued following the 20X4 audit indicated a significant number of deficiencies noted in the payroll cycle of the business.

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Financial statement extracts for the year ending 31 July are as follows:

	20X5 Forecast $m	20X4 Actual $m
Revenue	22	26
Cost of sales	(10.9)	(14.5)
Gross profit	11.1	11.5
Operating profit	0.4	1.2
Inventory	1.6	1.1
Trade receivables	9.0	7.2
Cash in hand	1.3	4.2
Trade payables	1.9	3.2

The audit assistant has already calculated some key ratios for Magpie Co which you have confirmed as accurate.

Gross profit margin	50%	44%
Inventory holding period	54 days	28 days
Receivables collection period	149 days	101 days

Required

(a) ISA 210 *Agreeing the Terms of Audit Engagements* requires auditors to issue an audit engagement letter.

Explain the PURPOSE of an audit engagement letter and list FOUR items which should be included in an audit engagement letter. **(4 marks)**

(b) Using the table below, calculate the following TWO ratios, for BOTH years, to assist you in planning the audit of Magpie Co: operating profit margin and payables payment period.

Ratio	20X5	20X4
Operating profit margin		
Payables payment period		

(2 marks)

(c) Using the information provided and the ratios calculated, describe SEVEN audit risks and explain the auditor's response to each risk in planning the audit of Magpie Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(14 marks)

(Total = 20 marks)

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72 Lapis Co (Mar/Jun 2023) (36 mins)

It is 1 July 20X5. You are an audit supervisor with Indigo & Co and are planning the audit of your client, Lapis Co, for the year ending 30 September 20X5. Forecast profit before income taxes for the year is $68.9 million and forecast revenue is $192.3 million. The audit manager has attended a planning meeting with the finance director and has provided you with the following notes of the meeting:

Planning meeting notes

Lapis Co manufactures televisions at six factories located across Europe and purchases most of its raw materials from overseas suppliers. These raw materials are shipped directly to one of the company's factories and the goods are usually in transit for up to six weeks. Lapis Co has responsibility for goods in transit from the point of dispatch by the supplier. The company's internal audit department undertakes controls testing across all factories, visiting each site at least once every year. The audit manager has discussed with the finance director that the external audit team may rely on the controls testing which is carried out by the internal audit department.

The company sells televisions to wholesale customers and directly to individual members of the public via the company's website. A significant wholesale customer has recently informed Lapis Co that it is experiencing financial difficulties, however the finance director indicated that an allowance for receivables is not required in the year-end financial statements.

Lapis Co offers customers a three-year warranty on any new televisions purchased. The finance director has confirmed that the warranty provision for the year ended 30 September 20X5 will remain at a similar level to the prior year. In December 20X4 Lapis Co changed one of its television speaker suppliers to a cheaper alternative. This has resulted in an increase in warranty claims for television speaker deficiencies.

In May 20X5, a payroll clerk was dismissed after it was discovered that they had carried out a number of fraudulent transactions. Controls have since been implemented to prevent this reoccurring.

The finance director has informed the audit manager that she only intends to disclose the amount of remuneration payable to each director in the financial statements. Local legislation in the country in which Lapis Co is based requires disclosure of the names of the directors and the total amount of remuneration payable to each director.

One of Lapis Co's suppliers is offering the company an annual rebate on the condition that it purchases a minimum number of units by 30 September 20X5. The amount of the rebate will be claimed in November 20X5. It is likely from orders placed to date and forecast orders that Lapis Co will exceed the minimum volume required to claim this rebate, therefore, it is anticipated that the draft financial statements will include a receivable of $0.8 million.

Lapis Co is developing a new smart television model. All $1.6 million of costs incurred to date will be capitalised within intangible assets by the year end. The model is still under development and it is not anticipated that it will be available for commercial production until 20X6.

In order to finance the development of the new smart television model, Lapis Co secured a $2.5 million interest-bearing bank loan in April 20X5. This is repayable in arrears over four years in quarterly instalments.

The directors of Lapis Co are intending to propose a final dividend once the financial statements are finalised.

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Required

(a) In line with ISA 220 (Revised) *Quality Management for an Audit of Financial Statements*, describe the auditor's responsibilities in relation to supervising and reviewing the work performed during the external audit of Lapis Co.

Note. You do not need to refer to the scenario to answer this requirement. **(4 marks)**

(b) Describe EIGHT audit risks and explain the auditor's response to each risk in planning the audit of Lapis Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(Total = 20 marks)

73 Knight Electronics Co (Sep/Dec 2023) (54 mins)

It is 1 July 20X5. Your firm, Hercules & Co, has recently won the audit of a new client, Knight Electronics Co, for the year ending 30 September 20X5. Knight Electronics Co sells products enabling 'smart building' systems which allow customers to efficiently control their security, lighting and networking needs. The audit manager held a preliminary meeting with the finance director and has provided you with the following notes:

Planning meeting notes

Since its launch five years ago, Knight Electronics Co has experienced high levels of growth such that the founder and CEO, William Knight, is considering a stock exchange listing next year.

Knight Electronics Co has both corporate and domestic customers. On 1 October 20X4 Knight Electronics Co began to offer customers the option to purchase a three-year servicing agreement. This provides three annual services for products purchased. Customers pay for the servicing agreement in full at the start of the agreement.

Component parts are purchased from a number of suppliers. Prices of components have been steadily increasing over the past two years leading to a reduction in the gross profit margin. The forecast financial statements for the year ending 30 September 20X5 show inventory valued at cost.

In June 20X5, Knight Electronics Co decided to revalue its premises, which had previously been accounted for using the historic cost model. Properties with a carrying amount under the cost model of $3.8 million were revalued to $8.4 million based on a valuation performed by management. The finance director also carried out an extensive review of non-current asset lives and decided to extend the useful life of plant and equipment from five years to eight years.

In May 20X5, defective equipment used by Knight Electronics Co resulted in a small fire at its premises. The company has commenced legal action against the supplier of the equipment. Knight Electronics Co's lawyers have advised that the legal action is likely to be successful and, as a result, the finance director has included a receivable for the damages likely to be received from the supplier in the forecast financial statements.

During the year the company's credit controller was ill and was absent from work for four months. Due to staff shortages, no replacement credit controller was appointed. The receivables collection period has increased from 45 days to 75 days.

An instance of payroll fraud was also discovered during the year. A payroll clerk had set up a number of fictitious employees and the wages were then paid into the clerk's own bank account. Controls have now been implemented to prevent this from re-occurring and the clerk involved no longer works for the company. However, the audit manager is concerned that additional fraud may have taken place in the payroll department prior to the controls being implemented.

William Knight would like the audit to be completed by 31 October 20X5.

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Required

(a) Briefly explain how each of the following sources of information will be used by Hercules & Co to gain an understanding of Knight Electronics Co at the planning stage of the audit: prior year audited financial statements, current year budgets and management accounts, prior year report to management, board meeting minutes and company website.

Notes.

1 You do not need to refer to the scenario to answer this requirement.

2 Use the below table structure to format your answer in the CBE software.

Source of information	How used to gain an understanding
Prior year audited financial statements	
Current year budgets and management accounts	
Prior year report to management	
Board meeting minutes	
Company website	

(5 marks)

(b) Describe EIGHT audit risks and explain the auditor's response to each risk in planning the audit of Knight Electronics Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Knight Electronics Co's revenue. **(5 marks)**

(d) ISA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* provides guidance for auditors regarding fraud and error. Auditors must obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud through designing and implementing appropriate responses.

Describe procedures which should be undertaken during the audit of Knight Electronics Co as a result of the payroll fraud. **(4 marks)**

(Total = 30 marks)

74 Green Co (Mar/Jun 2024) (54 mins)

It is 1 July 20X5. You are an audit supervisor with Teal & Co, which has recently been appointed as auditor to Green Co, and you are planning your first audit which will be for the year ending 31 July 20X5. Green Co sells a variety of plants, garden equipment and garden furniture to wholesale customers and to retail customers via a network of stores. The company was formed 13 years ago by Aidan White who is the Chief Executive Officer (CEO) and is the company's only shareholder. Aidan is planning to retire within the next year and is intending to sell his shares in the company.

The audit engagement partner had a meeting with Aidan White and has advised you of the following.

In August 20X4, the company began to refurbish the retail stores in order to incorporate cafes into each one. Refurbishment costs of $14.2m were recognised within property, plant and equipment

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and this was partly financed by a loan of $10m, which is to be repaid in five annual instalments commencing in September 20X5. In November 20X4, Green Co spent $400,000 on an advertising campaign and the cafes were opened in December 20X4. The advertising expenditure has been included within intangible assets and is being amortised over 24 months as Aidan White expects the advertising to generate additional revenue for that period of time. In May 20X5, Green Co received notification that the building authority had received a complaint that the refurbishments had not been performed in accordance with building regulations. The building authority is currently investigating and, if found to be in breach of the regulations, Green Co would be required to remedy any deficiencies in addition to paying a fine.

Green Co sells a range of tropical plants. In August 20X4, Green Co began a project to develop new technology for maintaining the correct temperature and humidity in its greenhouses. The project is expected to be completed in August 20X5 and Green Co has incurred costs of $350,000 which are recognised within intangible assets.

In May 20X5, a flood caused water damage to inventories of plants which had cost $425,000. The company believes that the plants can still be sold but at a reduced selling price.

The financial statements for the year ending 31 July 20X5 are expected to show revenue of $88.2m (20X4: $85.1m), gross profit of $23.3m (20X4: $16.9m) and operating profit of $6.3m (20X4: $9.4m).

As part of your planning you have calculated the following ratios:

	Forecast 20X5	Actual 20X4
Gross profit margin	26%	20%
Operating profit margin	7%	11%
Receivables collection period	67 days	40 days

Aidan White has attributed the increase in the receivables collection period to the absence of the credit controller, who has been on long-term sick leave since April 20X5.

Required

(a) Describe EIGHT audit risks and explain the auditor's response to each risk in planning the audit of Green Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(b) Explain the responsibility of Teal & Co under ISA 250 *Consideration of Laws and Regulations in an Audit of Financial Statements*.

Note. You do not need to refer to the scenario to answer this requirement. **(4 marks)**

(c) Describe substantive procedures which Teal & Co should perform in order to obtain sufficient and appropriate audit evidence in respect of ADDITIONS to Green Co's property, plant and equipment. **(4 marks)**

(d) It is now 2 November 20X5 and the audit of Green Co has been completed. The auditor's report was signed in October and, in line with Teal & Co's quality management procedures for new clients, a post-issuance review has been carried out. During the review of Green Co's audit files, the engagement quality reviewer noted the following:

The members of the audit engagement team who carried out the audit of Green Co had previously audited educational organisations, not retail or manufacturing companies.

The audit engagement partner held a planning meeting with the engagement team. However, several junior team members were unable to attend due to a training course which was held

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on the same day. No additional briefing on key audit risks associated with Green Co was held for these team members.

The audit supervisor was absent due to illness during the last two weeks of the final audit. The audit assistants continued their work but no other senior team members were assigned to Green Co's audit.

Due to the audit supervisor's illness and absence, the audit of intangible assets was reallocated from the audit supervisor to a junior member of the team who had never audited intangible assets before.

Required

Identify and explain THREE quality management deficiencies in the approach adopted by Teal & Co and provide a recommendation which would have addressed each deficiency to ensure compliance with quality management requirements.

Note. Use the below table structure to format your answer in the CBE software.

Deficiency	Recommendation

(6 marks)

(Total = 30 marks)

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Part C: Internal control

This Part covers internal controls, the subject of Chapters 4, 9 and 10 of the BPP Audit and Assurance Course Book.

Section A

Flowers Anytime (AIR Dec 2002, amended) (18 mins)

You are an audit manager in a medium-sized audit firm. You are currently planning the audit of Flowers Anytime (Flowers) for the year ended 31 March 20X7. Flowers, a traditional flower wholesaler, is a new audit client for your firm.

The sales and inventory systems are integrated modules within the computerised accounting system.

As this is the first year you are auditing Flowers, it is necessary to understand and evaluate the company's system of internal control. The audit firm's policy requires the following steps to be taken when performing first year audits:

(1) Perform walkthrough tests

(2) Complete flowcharts and internal control evaluation questionnaires

(3) Revise the audit strategy and audit plan

(4) Perform tests of control

You have obtained the following background information about your new client. When customers call the company, their orders are taken by clerks who take details of the flowers to be delivered, the address to which they are to be delivered, and the account details of the customer. The clerks input these details into the sales module within the company's computer system (whilst the order is being taken) which is integrated with the company's inventory control system.

The audit junior has made the following notes on the system for the receipt, processing and recording of the orders:

- All orders are generated in the sales module within the accounting system by inputting the details into an electronic sale order form. Once saved by the sales clerk, one copy is automatically forwarded by email to the warehouse for the dispatch of inventory, and one copy is emailed to the customer as evidence of the order.
- The sales clerk regularly performs reviews of the standing data on the system, matching the price of flowers against an up to date price list.
- To ensure completeness of orders, a sequence check is performed on the sales invoices by the sales clerk using a report generated from the sales module. Any missing documents are investigated.
- Sales invoices are posted on a weekly basis to the detailed sales listing and accounts receivable ledger.

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75 **Drag each of the four options below to the right hand side to show the correct order in which the steps required by the firm's policy for first year audits would take place. (Drag each box from the left into position to match the relevant box on the right.)**

Steps		Order
Perform walkthrough tests		(1)
Complete flowcharts and internal control evaluation questionnaires		(2)
Revise the audit strategy and plan		(3)
Perform tests of control		(4)

(2 marks)

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76 The audit junior has asked you whether internal control questionnaires (ICQs) should be completed as well as internal control evaluation questionnaires (ICEQs).

Which of the following statements is correct in relation to ICQs and ICEQs?

- O ICEQs determine whether controls exist which meet specific control objectives; ICQs determine whether there are controls which prevent or detect specified errors or omissions
- O ICEQs are generally easier to apply to a variety of different systems than ICQs
- O ICQs are likely to overlook how internal controls deal with unusual transactions; this will normally have to be recorded using ICEQs
- O ICQs can give the impression that all controls are of equal weight; this issue is resolved by using ICEQs

(2 marks)

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77 **Select the appropriate option to show whether the internal control activities identified in the audit junior's notes would satisfy the objective of preventing/detecting a material misstatement if it is operating effectively.**

Audit junior's notes	Yes	No
All orders are generated in the sales module within the accounting system by inputting the details into an electronic sales order form. Once saved by the sales clerk, one copy is automatically forwarded by email to the warehouse for the dispatch of inventory, and one copy is emailed to the customer as evidence of the order	○	○
The sales clerk regularly performs reviews of the standing data on the system, matching the price of flowers against an up to date price list	○	○
To ensure completeness of orders, a sequence check is performed on the sales invoices by the sales clerk using a report generated from the sales module. Any missing documents are investigated	○	○
Sales invoices are posted on a weekly basis to the detailed sales listing and accounts receivable ledger	○	○

(2 marks)

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78 You instruct the audit junior to confirm whether the post is opened by more than one individual.

Over which of the following internal control objectives would this provide assurance?

(1) **Cash receipts are not misappropriated**

(2) **All cash receipts that occurred are recorded**

(3) **Cash receipts are recorded at the correct amounts in the ledger**

(4) **Cash receipts are posted to the correct receivables accounts and to the general ledger**

○ 1 only

○ 2 only

○ 3 and 4

○ 1 and 4

(2 marks)

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79 During the course of the audit, the audit team identified numerous deficiencies in internal control relating to the sales system. The amounts exposed to the deficiencies were high and you have concluded that it is likely that the deficiencies would result in material misstatements in the financial statements. A deficiency was also identified in the purchases system but further investigation showed this to be a minor, isolated issue.

Which of the following statements is correct regarding the deficiencies which must be included in the report to management?

- O The deficiencies identified in the sales system only
- O The deficiencies identified in the purchases system only
- O The deficiencies identified in the sales and purchases system
- O Neither the deficiencies identified in the sales system nor the purchases system

(2 marks)

(Total = 10 marks)

KLE Co **(18 mins)**

You are an audit manager in the internal audit department of KLE Co, a listed retail company. The internal audit department is auditing the company's procurement system. The system operates as follows.

Ordering

KLE's ordering department consists of six members of staff: one chief buyer and five purchasing clerks.

All orders are raised on pre-numbered purchase requisition forms, and are sent to the ordering department.

In the ordering department, each requisition form is approved and signed by the chief buyer. A purchasing clerk transfers the order information onto an order form and identifies the appropriate supplier for the goods.

Part one of the two-part order form is sent to the supplier and part two to the accounts department. The requisition is thrown away.

Goods received

When goods are received, the goods inwards department immediately raises a two-part pre-numbered goods received note (GRN).

- Part one is sent to the ordering department, which then forwards the GRN to the accounts department.
- Part two is filed in order of the reference number for the goods being ordered (obtained from the supplier's goods dispatched documentation), in the goods inwards department.

KLE Co's management is concerned that a number of inefficiencies in the procurement system may be having a negative financial impact on the company. As a result, they have requested the internal audit department to carry out a value for money audit focused on the company's procurement practices.

80 **Which of the following is NOT a likely effect of the deficiencies in the internal control system for ordering described above?**

- O Purchases may be made unnecessarily at unauthorised prices
- O Subsequent queries on orders cannot be traced back to the original requisition
- O The order forms may contain errors that are not identified
- O Goods could be ordered twice in error or deliberately **(2 marks)**

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81 **Which of the following statements are valid recommendations with regards to improving the internal controls for goods received described above?**

(1) **The ordering department should match orders to GRNs and mark orders as closed once all goods have been received, to enable any outstanding orders to be chased up.**

(2) **The first copy of the GRN should be sent directly to the accounts department, without first going through the ordering department, to prevent delays in recording the purchase.**

(3) **The goods inwards department should review the goods for their condition, in order to identify and return any damaged goods.**

(4) **GRNs should be filed in date order or by purchase order number, instead of by the supplier's reference number, to ensure that they can be matched easily to orders.**

- O 1 and 3
- O 1, 2 and 3
- O 2 and 4
- O 1, 3 and 4

(2 marks)

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82 As part of your audit of the procurement system, you have recommended that the goods inwards department should ensure that the goods received are valid business purchases, by matching all deliveries to an authorised order form before issuing a GRN.

Which of the following would be an appropriate test of control to confirm that the control is operating effectively?

- O For a sample of orders, check that there is a matching GRN
- O Check that the numerical sequence of purchase orders is complete
- O For a sample of GRNs check that there is an authorised purchase order
- O Check that the numerical sequence of GRNs is complete

(2 marks)

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83 KLE Co's management is keen to increase the range of assignments that the company's internal audit undertake.

Which of the following assignments could the internal audit department be asked to perform by management?

- O Undertake 'mystery shopper' reviews, where they enter the store as a customer, purchase goods and rate the overall shopping experience
- O Assist the external auditors by requesting bank confirmation letters
- O Provide advice on the implementation of a new payroll package for the payroll department
- O Review the company's financial statements on behalf of the board

(2 marks)

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84 **Which of the following best summarises the meaning of 'efficiency' in the context of a Value for Money audit as requested by KLE Co's management?**

- ○ The lowest cost at which the appropriate quantity and quality of physical, human and financial resources can be achieved
- ○ Producing the required goods and services in the shortest time possible
- ○ The extent to which an activity is achieving its policy objectives
- ○ The relationship between goods and services produced and the resources used to produce them

(2 marks)

(Total = 10 marks)

SouthLea (Pilot Paper 2007, amended) (18 mins)

SouthLea Co, your audit client, is a large unlisted construction company (building houses, offices and hotels) employing a large number of workers on various construction sites.

As part of planning for the audit of the financial statements for the year ended 31 December 20X6, you are reviewing the cash wages systems within the company.

The following information is available concerning the wages systems:

(1) Hours worked are recorded using a clocking in/out system. On arriving for work and at the end of each day's work, each worker enters their unique employee number on a keypad.

(2) Workers on each site are controlled by a foreman. The foreman has a record of all employee numbers and can issue temporary numbers for new employees.

(3) Any overtime is calculated by the computerised wages system and added to the standard pay.

(4) The two staff in the wages department make amendments to the computerised wages system in respect of employee holidays and illness, as well as setting up and maintaining all employee records.

(5) The computerised wages system calculates deductions from gross pay, such as employee taxes, and net pay. Every month a wages clerk checks the gross pay and deductions for a sample of employees. Finally a list of net cash payments for each employee is produced.

(6) Cash is delivered to the wages office by secure courier.

(7) The two staff place cash into wages packets for each employee along with a handwritten note of gross pay, deductions and net pay. The packets are given to the foreman for distribution to the individual employees.

SouthLea's finance director has mentioned to you that an allegation of suspected fraud had been made against a member of the senior management team during the year. This is currently being investigated by the internal audit team and the finance director hopes that the audit may shed further light on the matter.

SouthLea has an internal audit department of six staff. The chief internal auditor appoints staff within the internal audit department, although the chief executive officer is responsible for appointing the chief internal auditor. The chief internal auditor reports directly to the finance director. The chief internal auditor decides on the scope of work of the internal audit department. SouthLea does not currently have an audit committee.

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85 In preparation for the audit planning meeting, the audit junior has identified a number of areas requiring audit focus.

Based on the information regarding the wages system, which TWO of the following are likely to introduce the highest risk of material misstatement?

- ☐ Completeness of wages
- ☐ Accuracy of deductions from gross pay
- ☐ Cut-off of starters' and leavers' wages
- ☐ Potential fraud risk factors **(2 marks)**

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86 During the previous audit, the audit team had recommended SouthLea's management to ensure that any amendments to standing data on the wages system are reviewed by an authorised manager.

Which of the following is a test of control designed to provide evidence that the recommended internal control is operating effectively?

- ○ Review overtime lists for evidence of authorisation
- ○ Review the log of amendments to standing data for evidence of review
- ○ Perform a proof in total using the number of employees and average wage
- ○ Obtain printouts of employee wage rates and compare these to HR records **(2 marks)**

---

87 **Which of the following statements about the responsibilities of external and internal auditors with regards to fraud is NOT correct?**

- ○ The external auditor must maintain an attitude of professional scepticism throughout the audit, recognising the possibility that a material misstatement due to fraud could exist
- ○ The internal auditor must always consider the potential of management overriding controls and modify their audit procedures accordingly when performing internal audit engagements
- ○ It is not the responsibility of the external auditors to detect fraud within a client
- ○ The work of internal auditors in reviewing the company's system of internal control helps management to fulfil its responsibility for preventing and detecting fraud

(2 marks)

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88 **Which of the following recommendations are appropriate in increasing the independence of SouthLea's internal audit department?**

(1) **The chief internal auditor should be appointed by the board of directors.**

(2) **The chief internal auditor should report to the board of directors.**

(3) **The finance director should decide on the scope of the internal audit work.**

- ○ (1) and (2) only
- ○ (1) and (3) only
- ○ (2) and (3) only
- ○ (1), (2) and (3) **(2 marks)**

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89 You have been told by the finance director that the senior management team is looking to upgrade the company's computerised accounting system in a year's time. This is partly because the senior management team believes that due to the increasing size and complexity of the business, the company will need more robust general IT controls in the future.

Which TWO of the following are general IT controls?

- ☐ Full testing procedures using test data when developing computer applications
- ☐ One for one checking
- ☐ Disaster recovery procedures
- ☐ Hash totals

(2 marks)

(Total = 10 marks)

Cherry (Jun 2015, amended) (18 mins)

Cherry Blossom Co (Cherry) manufactures custom made furniture and its year end is 30 April.

You are the audit supervisor of Poplar & Co and are developing the audit programmes for Cherry's forthcoming interim audit.

You have ascertained that Cherry purchases its raw materials from a wide range of approved suppliers. When production supervisors require raw materials, they complete a requisition form and this is submitted to the purchase ordering department. Requisition forms do not require authorisation and no reference is made to the current inventory levels of the materials being requested.

Cherry has an internal audit department which has provided you with details of the internal controls around the non-current assets cycle. One such control is that upon receipt of a new asset, each asset is assigned a unique serial number and this is recorded on the asset and in the non-current assets register.

The internal audit department are also reviewing all computerised systems which impact on the financial statements. They are looking at both general IT controls and information processing (application) controls.

90 As part of audit planning, the audit team needs to obtain an understanding of the company's system of internal control. Peter, the audit junior, is unsure what a company's internal control comprises.

Which of the following is NOT a component of an entity's internal control?

- ○ The control environment
- ○ Control activities relevant to the audit
- ○ The selection and application of accounting policies
- ○ The information system and communication

(2 marks)

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91 **Which of the following are the most likely consequences of the internal control deficiency described in the requisition system for raw materials?**

(1) **Fraudulent purchases may be made, leading to funds being diverted to third parties for illegal purposes.**

(2) **Stock-outs may occur, resulting in the company being unable to meet orders and lost revenue.**

(3) **Unnecessary purchases may be made, resulting in excess obsolescent raw materials accumulating in inventory requiring to be written down.**

(4) **Raw materials of poor quality may be purchased, resulting in low quality products being produced, customer goodwill being lost and going concern risks.**

- ○ 1 and 3
- ○ 2 and 3
- ○ 1 and 4
- ○ 2 and 4

(2 marks)

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92 While reviewing Cherry's purchases cycle, you identified that goods received notes for raw material purchases are not sequentially numbered.

Which of the following areas would you consider to be most at risk of material misstatement, as a result of this internal control deficiency?

- ○ Rights and obligations of inventory
- ○ Valuation of payables
- ○ Existence of inventory
- ○ Completeness of payables

(2 marks)

---

93 **In relation to the internal audit department's review of the computerised systems, indicate whether each control is a general IT control or an information processing (or application) control.**

	General IT control	Information processing control
Only authorised staff have read and write access to the finance system. Other users have read only access to specific reports that they require for their roles	○	○
The finance system won't allow a negative invoice amount to be entered nor a positive credit note amount. It presents an error message and the input screen needs to be corrected before proceeding	○	○
Automatic back-ups of the finance system occur each night to a separate virtual (online) server	○	○
Only IT administrators can install software on the same server that hosts the finance system and anti-virus software checks the install file for the new software before installation commences	○	○

(2 marks)

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94 In relation to the control relating to the receipt of a new asset, which of the following describe the MOST RELIABLE audit procedures which enable the auditor to assess whether this control is operating effectively?

(1) Select a sample of capital additions on site, agree that a serial number is recorded on the asset and confirm it is included in the non-current assets register

(2) Select a sample of assets recorded on the non-current assets register, confirm that it includes a serial number for each asset and agree the number to the physical asset

(3) Inspect the non-current asset register and verify that there are no duplicated serial numbers

(4) Observe the receipt of assets to confirm that serial numbers are assigned and recorded

- ○ 1 and 3
- ○ 2 and 3
- ○ 1 and 4
- ○ 2 and 4

(2 marks)

(Total = 10 marks)

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Section B

95 Freesia (Mar/Jun 2019) (54 mins)

Freesia Co is a company listed on a stock exchange. It manufactures furniture which it supplies to a wide range of retailers across the region. The company has an internal audit (IA) department and the company's year end is 31 January 20X5. It is 1 July 20X5. You are an audit supervisor with Zinnia & Co, preparing the draft audit programmes and reviewing extracts from the internal controls documentation in preparation for the interim audit.

The sales and purchases systems are fully integrated modules within the computerised accounting system. The payroll system is not an integrated module within the accounting system but does have links to the bank system for the purposes of making payments to employees.

Sales

Freesia Co generates revenue through visits by its sales staff to customers' premises. Receivables ledger clerks, who work at head office, carry out credit checks on new customers prior to being accepted and then set their credit limits. Sales staff visit retail customers' sites personally with their laptops and orders are completed using a sales order input form on the laptop (connected to Freesia's network via a VPN connection). One copy is automatically emailed to the customer when the order input form is submitted, a second copy is auto-emailed to the sales ordering department, a third copy is emailed to the warehouse and the fourth emailed to the finance department at head office. Each sales order number generated is based on the sales person's own identification number in order to facilitate monitoring of sales staff performance.

Retail customers are given payment terms of 30 days and most customers choose to pay their invoices by bank transfer. Each day Lily Shah, a finance clerk, posts the bank transfer receipts from the bank statements to the bank ledger account and updates the receivables ledger. On a monthly basis, she performs the bank reconciliation.

Purchases and inventory

Receipts of raw materials and goods from suppliers are processed by the warehouse team at head office in the purchases module within the accounting system, who agree the delivery to the purchase order, check the quantity and quality of goods and generate a sequentially numbered goods received note (GRN). The GRNs are automatically emailed to the finance department daily. On receipt of the purchase invoice from the supplier, Camilla Brown, the payables ledger clerk, scans it into the purchases module, matches the scanned file it to the GRN and order and the three electronic documents are sent for authorisation by the appropriate individual. Once authorised, the purchase invoices are logged into the payables ledger by Camilla, who utilises document count controls to ensure the correct number of invoices has been input.

The company values its inventory using standard costs, both for internal management reporting and for inclusion in the year-end financial statements. The basis of the standard costs was reviewed approximately 18 months ago.

Payroll

Freesia Co employs a mixture of factory staff, who work a standard shift of eight hours a day, and administration and sales staff who are salaried. All staff are paid monthly by bank transfer. Occasionally, overtime is required of factory staff. Where this occurs, details of overtime worked per employee is collated and submitted to the payroll department by a production clerk. The payroll department pays this overtime in the month it occurs. At the end of each quarter, the company's payroll department sends overtime reports which detail the amount of overtime worked to the production director for their review.

Freesia Co's payroll package produces a list of payments per employee which links into the bank system to produce a list of automatic bank transfer payments. The finance director reviews the total to be paid on the list of automatic payments and compares this to the total payroll amount to be paid for the month per the payroll records. If any issues arise, then the automatic bank transfer can be manually changed by the finance director.

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Required

(a) Auditors are required to document a company's accounting and internal control systems as part of their audit process. Two methods available for documenting systems of internal control are narrative notes and questionnaires.

For each of the two methods, **NARRATIVE NOTES** and **QUESTIONNAIRES**:

(1) Describe the method for documenting systems of internal control; and

(2) Explain an **ADVANTAGE** of using this method.

Note. The total marks will be split equally between each part. **(4 marks)**

(b) In respect of the internal controls of Freesia Co:

(1) Identify and explain **SIX** deficiencies;

(2) Recommend a control to address each of these deficiencies; and

(3) Describe a **TEST OF CONTROL** the external auditors should perform to assess if each of these controls, if implemented, is operating effectively to reduce the identified deficiency.

Note. Use the below table structure to format your answer in the CBE software.

Control deficiency	Control recommendation	Test of control

(18 marks)

(c) Freesia Co deducts employment taxes from its employees' wages and salaries on a monthly basis and pays these to the local taxation authorities in the following month. At the year end, the financial statements will contain an accrual for employment tax payable.

Describe the substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in respect of Freesia Co's year-end accrual for employment tax payable. **(4 marks)**

(d) The listing rules of the stock exchange require compliance with corporate governance principles and the directors of Freesia Co are confident that they are following best practice in relation to this. However, the chair recently received correspondence from a shareholder, who is concerned that the company is not fully compliant. The company's finance director has therefore requested a review of the company's compliance with corporate governance principles. Freesia Co has been listed for over eight years and its board comprises four executive and four independent non-executive directors (NEDs), excluding the chair. An audit committee comprised of the NEDs and the finance director meets each quarter to review the company's internal controls. The directors' remuneration is set by the finance director. NEDs are paid a fixed fee for their services and executive directors are paid an annual salary as well as a significant annual bonus based on Freesia Co's profits. The company's chair does not have an executive role and so she has sole responsibility for liaising with the shareholders and answering any of their questions.

Required

Describe TWO corporate governance deficiencies faced by Freesia Co and provide a recommendation to address each deficiency to ensure compliance with corporate governance principles.

Note. Use the below table structure to format your answer in the CBE software.

Deficiency	Recommendation

(4 marks)

(Total = 30 marks)

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96 Castle Courier Co (Mar/Jun 2021) (54 mins)

It is 1 July 20X5. You are an audit supervisor of Apple & Co and are in the process of reviewing extracts of the systems documentation which has been completed on the payroll cycle of the Castle Courier Co, as well as preparing the audit programmes for the forthcoming final audit for the year ending 30 September 20X5. Castle Courier Co is a package delivery company which operates from a large distribution centre.

Payroll

The company employs 200 staff whom 120 of these staff are delivery drivers. All staff work a standard eight-hour shift each day and are paid monthly. All staff members are required to clock in and out using a sequentially numbered key card which contains their unique employee number and name. Sequence checks on the key cards and the data recorded in the clocking-in system are carried out by the human resources (HR) supervisor on a regular basis. The clocking-in process is monitored by a camera on entry to the distribution centre and weekly checks are carried out by HR department who review the video footage to ensure that no staff member clocks-in for someone else. Recordings are kept in date order in the HR department and logged on a spreadsheet together with the name of the person who has reviewed the footage.

The clocking-in system is directly linked to the payroll system and information regarding the hours worked by the staff is automatically transferred into the payroll system. The payroll system then automatically calculates gross pay, deductions and net pay. The payroll clerk confirms that the transfer or hours and calculations has been done correctly by recalculating a sample of employees' gross to net pay. A payroll supervisor then reviews this check which is evidenced by the supervisor's signature.

All staff are entitled to 22 days holiday a year. Employees are paid for any holiday which has not been taken at the end of the year. Department managers are required to approve all holiday requests by authorising employees' holiday forms, however this does not always occur.

The payroll system is password-protected, and the password is changed on a monthly basis by the payroll manager using a random password generator.

Once the payroll has been agreed by the payroll supervisor, the payroll clerk provides details of the net pay due to each employee to the financial controller who then prepares and authorises the bank transfer to be paid to the employees' bank accounts.

Each month, as part of the month-end procedures, the finance director undertakes a payroll control account reconciliation and investigates any differences to ensure that the payroll figures have been posted into the accounting records correctly.

The company's HR department is responsible for processing starters and leaves using a joiner/leaver form to notify the payroll department of the change. On receipt of the joiner/leaver form a payroll clerk updates the payroll system. An edit report is generated which records the changes made but this report is not reviewed. Two staff members from the HR department have been absent for some time due to illness. As a result, the operations manager has processed six newly recruited temporary delivery drivers and instructed the payroll department to set up the new employees.

Delivery drivers are sometimes required to work overtime, particularly in busy periods. Where overtime is necessary, the operations manager has to authorise overtime in excess of five hours per week.

Some temporary delivery drivers receive their wages in cash. The delivery driver collects their pay packet from the finance department when it is ready. The member of staff in the finance department will ask for the delivery driver's name to check that there is a pay packet prepared and, if there is, they provide the delivery driver with they pay packet.

The company has to pay employment taxes to the tax authority by the end of each month. Each month the payroll supervisor calculates the total liability due to the tax authority and this is then passed to the financial controller who checks the calculations prior to the payment being made.

To encourage delivery drivers to make deliveries on time, the company pays a discretionary bonus to delivery drivers on a quarterly basis. The operations manager decides on the bonus to be paid and notifies the payroll clerk in writing every quarter as to who will receive a bonus and how much it will be.

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As delivery drivers spend the majority of their day driving the company vehicles, they are required by law to take a 15-minute paid break in the morning and afternoon, as well as a one-hour lunch break. The company has no way of monitoring the length of these breaks as the delivery drivers are out on deliveries.

Required

(a) Describe the following methods for documenting internal control systems and for each explain a **DISADVANTAGE** of using this method.

Note. Use the below table structure to format your answer in the CBE software.

Method	Explanation	Disadvantages
Narrative notes		
Internal control questionnaires		

(4 marks)

(b) In relation to Castle Courier Co's payroll system:

(1) Identify and explain **FOUR DIRECT CONTROLS** which the auditor may seek to place reliance on; and

(2) Describe a **TEST OF CONTROL** the auditor should perform to assess if each of these direct controls is operating effectively.

Note. Use the below table structure to format your answer in the CBE software.

Direct control	Test of control

Note. The marks will be split equally between each part. **(8 marks)**

(c) Identify and explain **SIX DEFICIENCIES** in Castle Courier Co's payroll system and provide a control recommendation to address each of these deficiencies.

Note. Use the below table structure to format your answer in the CBE software.

Control deficiency	Control recommendation

(12 marks)

(d) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Castle Courier Co's payroll expense. **(6 marks)**

(Total = 30 marks)

97 Bluesberry (Dec 2010) (36 mins)

Bluesberry Hospital is located in a country where healthcare is free, as the taxpayers fund the hospitals which are owned by the Government. Two years ago management reviewed all aspects of hospital operations and instigated a number of measures aimed at improving overall 'value for money' for the local community. Management have asked that you, an audit manager in the hospital's internal audit department, perform a review over the measures which have been implemented.

Bluesberry has one centralised buying department and all purchase requisition forms for medical supplies must be forwarded here. Upon receipt the buying team will research the lowest price from suppliers and a purchase order is raised. This is then passed to the purchasing director, who authorises all orders. The small buying team receives in excess of 200 forms a day.

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The human resources department has had difficulties with recruiting suitably trained staff. Overtime rates have been increased to incentivise permanent staff to fill staffing gaps; this has been popular, and reliance on expensive temporary staff has been reduced. Monitoring of staff hours had been difficult but the hospital has implemented time card clocking in and out procedures and these hours are used for overtime payments as well.

The hospital has invested heavily in new surgical equipment which, although very expensive, has meant that more operations could be performed and patient recovery rates are faster. However, currently there is a shortage of appropriately trained medical staff. A capital expenditure committee has been established, made up of senior managers, and they plan and authorise any significant capital expenditure items.

Required

(a) Explain the purpose of a value for money audit. **(4 marks)**

(b) (i) Identify and explain **FOUR STRENGTHS** within Bluesberry's operating environment. **(6 marks)**

(ii) For each strength identified, describe how Bluesberry might make further improvements to provide best value for money. **(4 marks)**

(c) Describe **TWO** substantive procedures the external auditor of Bluesberry should adopt to verify **EACH** of the following assertions in relation to an entity's property, plant and equipment:

(i) Valuation;

(ii) Completeness; and

(iii) Rights and obligations.

Note. Assume that the hospital adopts IFRS Accounting Standards. **(6 marks)**

(Total = 20 marks)

98 Snowdon (Mar/Jul 2020) (36 mins)

It is 1 July 20X5. You are an audit supervisor with Rocky & Co, reviewing extracts from the internal controls documentation in preparation for the interim audit of Snowdon Co. The company's year end is 30 September 20X5. The company provides training services for individuals looking to become qualified engineers. Snowdon Co's customers are the employers that send their employees for training on a weekly basis. Snowdon Co runs classes in its 45 training centres across the country.

The company has a small internal audit (IA) department, which has experienced significant staff shortages and is currently under-resourced. This has resulted in a reduction in their programme of work for the year in many areas.

Non-current assets

Snowdon Co's training centres are either owned by the company or are held under a long-term lease. The company also has a head office and central warehouse for storage of training materials. Each training centre is set up as a separate department and is given an annual capital expenditure budget but some departments have already significantly exceeded their annual budgets.

When new equipment is acquired the finance department classifies the expenditure between capital and revenue, noting the classification on the purchase order. The classification is made with reference to guidelines established by the finance director, who sample checks that the capital or revenue expenditure allocation has been correctly applied.

Part of the work which Snowdon Co's IA department is required to carry out is a comparison of the assets per the non-current assets register and those physically present in each of the centres. This year's programme of visits, which has been planned and carried out on the same basis as

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previous years, means that by the year end IA will only have visited the four largest centres and five of the other centres randomly selected.

Payroll

Snowdon Co has a human resources (HR) department, responsible for setting up all new joiners. Pre-printed joiners' forms, which require all necessary data, are completed by HR for new employees and once verified, a copy is sent to the payroll department so that the employee can be set up for payment. The joiner's form includes the staff member's assigned employee number and the system requires the new joiner's employee number to be entered before they can be added to payroll. All members of the payroll department can amend employees' standing data in the payroll system as they have access to the password, which is changed by the payroll director on a quarterly basis.

On a monthly basis the employees are paid by bank transfer. The senior payroll manager reviews the list of bank payments and agrees this to the payroll records. If any discrepancies are noted, the senior payroll manager always makes the adjustment in the payroll records.

Sales and bank

After passing a credit check, new customers are set up in the receivables ledger master file and a credit limit is set by the sales director. The credit limits then remain unchanged in the system unless a review is requested by the customer.

Each new customer is allocated a client services manager from Snowdon Co, who is responsible for managing the customer relationship and maximising sales. Standard credit terms for customers are 30 days and on a monthly basis sales invoices which are over 90 days outstanding are notified to the relevant client services manager to chase payment directly with the customer.

Every month, the cashier reconciles the bank statements to the cash book. The reconciliations are reviewed by the financial controller, who also investigates all reconciling items and evidences his review by way of a signature.

Required

Auditors are required, under ISA 265 *Communicating deficiencies in internal control with those charged with governance and management*, to communicate in writing to those charged with governance any significant deficiencies in internal control.

(a) Describe **FOUR** matters the auditor may consider in determining whether a deficiency in internal control is significant. **(4 marks)**

(b) In respect of the internal control system of Snowdon Co:

(1) Identify and explain **THREE DIRECT CONTROLS** on which the auditor may place reliance; and

(2) Describe a **TEST OF CONTROL** the auditor should perform to assess if each of these direct controls is operating effectively.

Note. Use the below table structure to format your answer in the CBE software.

Direct control	Test of control

(6 marks)

(c) Identify **FIVE DEFICIENCIES** in Snowdon Co's internal control system and provide a recommendation to address each of these deficiencies.

Note. Use the below table structure to format your answer in the CBE software.

Control deficiency	Control recommendation

(10 marks)

(Total = 20 marks)

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99 Swift Co (Sep/Dec 2020 amended) (36 mins)

It is 1 July 20X5. Swift Co prints books which it sells online and supplies to retailers across the country. The company's year end is 30 September 20X5. You are an audit supervisor with Toucan & Co, preparing the draft audit programmes and reviewing the internal controls documentation in preparation for the interim audit.

The purchases system is an integrated module within the computerised accounting system. The payroll and bank systems are not integrated.

Payroll

Swift Co employs factory staff who are required to work a standard shift of eight hours per day. No staff members are required to work overtime. All staff members are paid monthly by bank transfer. The company has a resources (HR) department which is responsible for setting up all new joiners and a payroll department which processes wages and salaries.

When a new employee joins the company, HR completes a joiners' form which includes a unique employee number for each new employee. The joiners' form is then sent to the payroll department so that the new employee can be set up for payment. The unique employee number must be entered into the payroll system before the employee can be added to payroll. On a monthly basis, an exception report relating to changes to the payroll standing data is produced and reviewed by the payroll manager who evidences this review.

Employee hours worked and their hourly wage rates are present into the system, which automatically calculates the gross and net pay along with relevant deductions and generates employee payslips. The payroll supervisor selects a sample of the payslips, re-performs the gross to net pay calculations and investigates any discrepancies. The sampled payslips are then signed as evidence of this review.

Purchases

The company has a purchasing department based at its head office. When raw materials are required, the production supervisors raise an electronic requisition form in the purchasing module. The purchasing department receives an email alert each time an electronic requisition form is raised asking them to review the details and raise a purchase order. A purchase order is generated in the purchase module and printed. The purchasing manager authorises all orders up to $5,000. Orders over $5,000 are authorised by the purchasing director.

The warehouse team processes goods received from suppliers. They agree the goods received to the purchase order and check the quantity and the quality of the goods. On completion of those checks a goods received note (GRN) is generated from the system. One copy of the GRN is printed, then signed and filed in the warehouse. Another copy of the GRN is emailed to the finance department.

A payables ledger clerk enters the purchase invoices in batches of 20 into the detailed purchasing listing utilising control totals. A batch control sheet is completed for each set of 20 invoices and the clerk signs to evidence the checks undertaken.

Supplier statement reconciliations are performed on a monthly basis. All differences are fully investigated, and the financial controller reviews these reconciliations. Invoices are paid in accordance with the supplier's credit terms. The finance director authorises the bank transfer payment list for suppliers having first agreed the amounts to be paid to supporting documentation and having reviewed the list for duplicate payments.

Auditors are required to document a company's accounting and internal control systems as part of their audit process. Three methods available for documenting internal controls are narrative notes, flowcharts and questionnaires.

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Required

(a) For each of the **THREE** methods identified in the table:

(1) Describe the method for documenting systems of internal control; and

(2) Explain an **ADVANTAGE** of using this method.

Note. Use the below table structure to format your answer in the CBE software.

	Description	Advantage
Narrative notes		
Flowcharts		
Questionnaires		

(6 marks)

(b) In respect of the internal control system of Swift Co:

(1) Identify and explain **SEVEN DIRECT CONTROLS** which the auditor may seek to place reliance on; and

(2) Describe a **TEST OF CONTROL** the auditor should perform to assess if each of these direct controls is operating effectively.

Note. Use the below table structure to format your answer in the CBE software.

Direct control	Test of control

(14 marks)

(Total = 20 marks)

100 Amberjack (Sep/Dec 2019) (36 mins)

Amberjack Co manufactures and distributes car tyres to a wide customer base both in its country and across the rest of the continent. Its year end was 30 April 20X5. It is 1 July 20X5. You are an audit manager of Pinfish & Co and you are reviewing extracts of the documentation describing Amberjack Co's sales and dispatch system following completion of the interim audit.

The sales system is an integrated module within the accounting system. Both systems are integrated with the inventory system to the extent needed to be able to read data from the inventory system.

Amberjack Co has grown in size over the previous 18 months. All new customers undergo credit checks prior to being accepted and credit limits are subsequently set by the receivables ledger clerks who record the new customer details and set credit limits in the master data file. A unique customer number (ID) is automatically generated by the accounting system.

The company's credit controller is currently on secondment to the internal audit department for six months and no replacement has been appointed.

Customers wishing to order goods, email or telephone the company's sales order department and provide their unique account details. Sequentially numbered sales orders are generated if allowed by the sales module after an automatic check against available inventory levels showing in the inventory system. One electronic copy saved to the sales ordering team's shared drive to enable them monitor progress of the sales orders, one copy is emailed to the customer, one copy is emailed to one of the company's warehouses for dispatch and the final copy is emailed to the finance department. Upon dispatch, a three-part goods dispatch note (GDN) is generated by the system and printed. The GDN is assigned the same sequential number as the order number; one copy is sent with the goods, one remains with the warehouse and one is scanned, attached to an email and sent to the finance department.

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Due to the recent growth of the company, and as there are a large number of sales invoices, additional temporary staff members have been appointed to help the sales clerks to raise the sales invoices. The sales invoices are raised using quantities from the GDNs and prices from the authorised sales prices list, which is updated every six months. This year, in line with its main competitors, the company offered a 10% discount on all orders placed during one weekend in late November. Where a discount has been given, this has to be manually entered by sales clerks when generating the sequentially numbered invoice from the sales module.

Customer statements are no longer being generated and sent out. The company only reconciles the receivables ledger control account at the end of April in order to verify the year-end balance.

Required

(a) List **FOUR** control objectives of Amberjack Co's sales and despatch system. **(4 marks)**

(b) As the external auditor of Amberjack Co, write a report to management in respect of the sales and despatch system described which:

(1) Identifies and explains **SEVEN** deficiencies in the sales and despatch system and recommends a control to address each of these deficiencies.

(2) Includes a covering letter.

Note. Two marks will be awarded within this requirement for the covering letter. **(16 marks)**

(Total = 20 marks)

101 Raspberry Co (Mar/Jun 2018) (54 mins)

Raspberry Co operates an electric power station, which produces electricity 24 hours a day, seven days a week. The company's year-end is 30 June 20X8. You are an audit manager of Grapefruit & Co, the auditor of Raspberry Co. The interim audit has been completed and you are reviewing the documentation describing Raspberry Co's payroll system.

Systems notes – payroll

Raspberry Co employs over 250 people and approximately 70% of the employees work in production at the power station. There are three shifts every day with employees working eight hours each. The production employees are paid weekly in cash. The remaining 30% of employees work at the head office in non-production roles and are paid monthly by bank transfer.

The company has a human resources (HR) department, responsible for setting up all new joiners. Pre-printed forms are completed by HR for all new employees and, once verified, a copy is sent to the payroll department for the employee to be set up for payment. This form includes the staff member's employee number and payroll cannot set up new joiners without this information.
To encourage staff to attend work on time for all shifts, Raspberry Co introduced a discretionary bonus, paid every three months for production staff. The production supervisors determine the amounts to be paid and notify the payroll department. This quarterly bonus is entered into the system by a clerk and each entry is checked by a senior clerk for input errors prior to processing. The senior clerk signs the bonus listing as evidence of undertaking this review.

Production employees are issued with clock cards and are required to swipe their cards at the beginning and end of their shift. This process is supervised by security staff 24 hours a day. Each card identifies the employee number and links into the hours worked report produced by the payroll system, which automatically calculates the gross and net pay along with relevant deductions. These calculations are not checked.

In addition to tax deductions from pay, some employees' wages are reduced for such items as repayments of student loans owed to the central government. All employers have a statutory obligation to remit funds on a timely basis and to maintain accounting records which reconcile with annual loan statements sent by the government to employers. At Raspberry Co student loan deduction forms are completed by the relevant employee and payments are made directly to the government until the employee notifies HR that the loan has been repaid in full.

On a quarterly basis exception reports relating to changes to the payroll standing data are produced and reviewed by the payroll director. No overtime is worked by employees. Employees

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are entitled to take 28 holiday days annually. Holiday request forms are required to be completed and authorised by relevant line managers, however this does not always occur.

On a monthly basis, for employees paid by bank transfer, the senior payroll manager reviews the list of bank payments and agrees this to the payroll records prior to authorising the payment. If any errors are noted, the payroll senior manager amends the records.

For production employees paid in cash, the necessary amount of cash is delivered weekly from the bank by a security company. Two members of the payroll department produce the pay packets, one is responsible for preparing them and the other checks the finished pay packets. Both members of staff are required to sign the weekly payroll listing on completion of this task. The pay packets are then delivered to the production supervisors, who distribute them to employees at the end of the employees' shift, as they know each member of their production team.

Monthly management accounts are produced which detail variances between budgeted amounts and actual. Revenue and key production costs are detailed however, as there are no overtime costs, wages and salaries are not analysed.

Required

(a) In respect of the payroll system for Raspberry Co:

(1) Identify and explain **FIVE DIRECT CONTROLS** which the auditor may seek to place reliance on; and

(2) Describe a **TEST OF CONTROL** the auditor should perform to assess if each of these direct controls is operating effectively.

Note. Use the below table structure to format your answer in the CBE software.

Direct control	Test of control

(10 marks)

(b) Identify and explain **FIVE DEFICIENCIES** in Raspberry Co's payroll system and provide a recommendation to address each of these deficiencies.

Note. Use the below table structure to format your answer in the CBE software.

Control deficiency	Control recommendation

(10 marks)

(c) The finance director is interested in establishing an internal audit department (IAD). In the company she previously worked for the IAD carried out inventory counts, however as this is not relevant for Raspberry Co, she has asked for guidance on what other assignments an IAD could be asked to perform.

Describe assignments the internal audit department of Raspberry Co could carry out.

(5 marks)

(d) Raspberry Co deducts employment taxes from its employees' wages on a weekly/monthly basis and pays these to the local taxation authorities in the following month. At the year end the financial statements will contain an accrual for income tax payable on employment income.

Describe the substantive procedures the auditor should perform to confirm the year-end accrual for tax payable on employment income.

(5 marks)

(Total = 30 marks)

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102 Camomile Co (Sep/Dec 2018) (36 mins)

(a) ISA 260 *Communication with Those Charged with Governance* provides guidance to auditors in relation to communicating with those charged with governance on matters arising from the audit of an entity's financial statements.

Required

(i) Explain why it is important for auditors to communicate throughout the audit with those charged with governance; and **(2 marks)**

(ii) Identify TWO examples of matters which the auditor may communicate to those charged with governance. **(2 marks)**

(b) Camomile Co operates six restaurant and bar venues which are open seven days a week. The company's year-end is 31 December 20X8. You are the audit supervisor reviewing the internal controls documentation in relation to the cash receipts and payments system in preparation for the interim audit, which will involve visiting a number of the venues as well as the head office. The company has a small internal audit (IA) department based at head office.

The purchasing department based at the company's head office is responsible for ordering food and beverages for all six venues. In addition, each venue has a petty cash float of $400, held in the safe, which is used for the purchase of sundry items. When making purchases of sundries, employees are required to obtain the funds from the restaurant manager, purchase the sundries and return any excess money and the receipt to the manager. At any time, the petty cash sum held and receipts should equal the float of $400 but it has been noted by the company's IA department that on some occasions this has not been the case.

Each venue has five cash tills (cash registers) to take payments from customers. Three are located in the bar area and two in the restaurant area. Customers can pay using either cash or a credit card and for any transaction either the credit card vouchers or cash are placed in the till by the employee operating the till. To speed up the payment process, each venue has a specific log on code which can be used to access all five tills and is changed every two weeks.

At each venue at the end of the day, the tills are closed down by the restaurant manager who counts the total cash in all five tills and the sum of the credit card vouchers and these totals are reconciled with the aggregated daily readings of sales taken from each till. Any discrepancies are noted on the daily sales sheet. The daily sales sheet records the sales per the tills, the cash counted and the total credit card vouchers as well as any discrepancies. These sheets are scanned and emailed to the cashier at head office at the end of each week.

Approximately 30% of Camomile Co's customers pay in cash for their restaurant or bar bills. Cash is stored in the safe at each venue on a daily basis after the sales reconciliation has been undertaken. Each safe is accessed via a key which the restaurant manager has responsibility for. Each key is stored in a drawer of the manager's desk when not being used. Cash is transferred to the bank via daily collection by a security company. The security company provides a receipt for the sums collected, and these receipts are immediately forwarded to head office. The credit card company remits the amounts due directly into Camomile Co's bank account within two days of the transaction.

At head office, on receipt of the daily sales sheets and security company receipts, the cashier agrees the cash transferred by the security company has been banked for all venues. She agrees the cash per the daily sales sheets to bank deposit slips and to the bank statements. The cashier updates the cash book with the cash banked and details of the credit card vouchers from the daily sales sheets. On a monthly basis, the credit card company sends a statement of all credit card receipts from the six venues which is filed by the cashier.

Every two months, the cashier reconciles the bank statements to the cash book. The reconciliations are reviewed by the financial controller who evidences her review by signature and these are filed in the accounts department. All purchases of food and beverages for the venues are paid by bank transfer. At the relevant payment dates, the finance director is given the total amount of the payments list which he authorises.

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Required

Identify and explain **EIGHT DEFICIENCIES** in Camomile Co's cash receipts and payments system and provide a recommendation to address each of these deficiencies.

Note. Use the below table structure to format your answer in the CBE software.

Control deficiency	Control recommendation

(16 marks)

(Total = 20 marks)

103 Fox Industries Co (Jun 2013, amended) (54 mins)

Introduction

It is 1 July 20X5. Fox Industries Co manufactures engineering parts. It has one operating site and a customer base spread across Europe. The company's year-end was 31 March 20X5. Below is a description of the purchasing and payments system. The purchase system is an integrated module within the accounting system.

Purchasing system

Whenever production materials are required, the relevant department submits an electronic requisition form to the ordering department. An order clerk uses the information from this to generate a purchase order in the purchases module with a status of 'draft'. The clerk then contacts a number of suppliers to see which can dispatch the goods first, and this supplier is then chosen. The order clerk finalises the electronic purchase order by inputting the supplier details. Saving the order with a status of 'final' triggers an email copy of the order being sent to the supplier. The system generated order number has not been configured to be sequential and only orders above $5,000 require authorisation.

Purchase invoices are input daily by the payables ledger clerk, who has been in the role for many years and, as an experienced team member, does not apply any information processing controls over the input process.

Payments system

Fox Industries Co maintains a current account and a number of saving (deposit) accounts. The current account is reconciled weekly but the saving (deposit) accounts are only reconciled every two months.

In order to maximise their cash and bank balance, Fox has a policy of delaying payments to all suppliers for as long as possible. Suppliers are paid by a bank transfer. The finance director is given the total amount of the payments list, which he authorises and then processes the bank payments.

Required

(a) ISA 315 (Revised) *Identifying and Assessing the Risks of Material Misstatement* requires the auditor to understand the system of internal control insofar as it is relevant to the preparation of the financial statements. One component of the system of internal control is **control activities**.

(i) List the other FOUR components of a system of internal control. **(2 marks)**

(ii) Explain the auditor's responsibilities in relation to understanding the controls within the control activities component during their risk assessment. **(3 marks)**

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(b) As the external auditors of Fox Industries Co, in respect of the purchasing and payments system described above, identify **FIVE DEFICIENCIES** in the system and recommend a control to address each of these deficiencies.

Note. Use the below table structure to format your answer in the CBE software.

Control deficiency	Control recommendation

(10 marks)

(c) Identify and explain **FOUR** information processing controls that should be adopted by Fox Industries Co to ensure the completeness and accuracy of the input of purchase invoices. **(4 marks)**

(d) Describe **FIVE** substantive procedures the auditor should perform to confirm the bank and cash balance of Fox Industries Co at the year end. **(5 marks)**

(e) A member of the audit team mentioned to you they recently overheard a colleague speaking about how data analytics could revolutionise auditing. They wanted to know more about it.

(i) Describe what is meant by the terms 'big data' and 'data analytics'. **(2 marks)**

(ii) Explain how data analytics could benefit the audit process and give TWO examples of where the auditor might use data analytics. **(4 marks)**

(Total = 30 marks)

104 Pomeranian Co (Sep/Dec 2021, amended) (36 mins)

It is 1 July 20X5. Pomeranian Co is a manufacturer of fizzy drinks and operates across the country. The company's year end is 30 September 20X5. You are an audit supervisor with Poodle & Co and you are reviewing extracts from the internal controls documentation in preparation for the forthcoming audit.

The sales and purchases systems are fully integrated modules within the computerised accounting system. Pomeranian Co uses a perpetual inventory system.

Sales

All new customers of Pomeranian Co are required to pass suitable credit checks. Upon passing the credit check customers are set up in the receivables ledger master file and a credit limit is set by the sales director. The credit limits are only then changed when a customer requests an increase.

Customer orders are processed by Pomeranian Co's sales ordering department in the sales module and goods are dispatched from one of the company's warehouses. Sequentially numbered goods dispatched notes (GDNs) are generated from the sales system and a copy is printed and filed in the warehouse when the goods are dispatched, although the electronic file remains and can be reprinted if needed. Each time a new GDN is generated, a hyperlink to an electronic copy of that GDN is added to a 'pending' accounts email. The pending email is then sent on a weekly basis to the sales ordering department and the finance department containing links to all the GDNs from that week. This allows the two departments to view or print off the GDNs for the week.

Pomeranian Co's credit controller is currently on maternity leave for six months and no one has taken over her duties. As part of the month-end procedures, a clerk reconciles the receivables ledger control account total to the total shown on the system generated report listing individual customer balances. The reconciliations are only reviewed by the financial controller if there are any unreconciled differences.

Non-current assets

An annual capital expenditure budget is set for each department within Pomeranian Co and is referred to as part of the approval process. Board approval is required for any capital items

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costing more than $0.5 million. Capital expenditure below this level can be authorised by the relevant head of department.

Pomeranian Co has a head office and five factories, each of which includes a warehouse. The company has an internal audit (IA) department which is required, over a three-year cycle, to carry out a comparison between all the assets recorded on the non-current assets register to those physically present in each of the company's 11 sites. The programme of visits for the current year means that by the year end, IA will only have completed this comparison at one factory and one warehouse.

Purchases and inventory

Pomeranian Co maintains a perpetual inventory system in which finished goods and raw materials, stored in the warehouses, are counted monthly throughout the year rather than just being counted at the year end. Each of the five warehouse managers are responsible for supervising the inventory counts at their sites and ensuring that the counting teams are following the issued instructions.

The company calculates the cost of its inventory using standard costs, both for internal management reporting and for inclusion in the year-end financial statements. The basis of the standard costs was reviewed by the production department approximately two years ago.

The company has a central purchasing department which is based at its head office. All members of this department have full access to the supplier master file data and a monthly exception report of any changes to master file date is automatically generated and then filed by a purchasing clerk.

Sequentially numbered goods received notes (GRNs) are generated by the warehouse department when goods are received, a copy of which immediately and automatically emailed to the purchases and finance departments. On receipt of the purchase invoices, the finance clerk matches the invoices to a printed copy of the relevant purchase order before providing the documents to the finance director for authorisation prior to input.

Required

In order to obtain sufficient appropriate audit evidence, an auditor cannot place complete reliance on an entity's system of internal control. In addition to performing tests of controls, auditors must always perform some substantive procedures due to the limitations of internal control.

(a) Describe the LIMITATIONS of internal control.

Note. You do not need to refer to the scenario to answer this requirement. **(4 marks)**

(b) Identify and explain EIGHT deficiencies in Pomeranian Co's internal control system and provide a control recommendation to address each of these deficiencies. **(16 marks)**

(Total = 20 marks)

105 Whittaker Co (Mar/Jun 2022) (36 mins)

It is 1 July 20X5. You are an audit supervisor with Walsh & Co. You are currently reviewing notes in relation to the internal controls in place at your client, Whittaker Co. Whittaker Co manufactures and sells luxury bed linen wholesale to the hotel trade and direct to the public from its factory store. It has a year ending 31 August 20X5.

Sales

Whittaker Co implemented a new sales system in May 20X5. The new system is now an integrated module within the computerised accounting system. It was fully tested prior to its implementation and will be run in parallel with the old system until the year end. Whittaker Co's internal audit (IA) department is responsible for comparing the output from the old and new systems, investigating any discrepancies and making recommendations for further action.

The company operates a fully automated credit check process for all its new hotel customers. The automated system generates a credit limit for each new customer which the sales director approves before the customer can place any orders. She evidences her approval in the system.

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On a monthly basis, the receivables ledger clerk downloads the aged receivables report and reviews it for outstanding debts. In line with Whittaker Co's credit control policy, any debts which are greater than 30 days overdue are then passed to the credit control department which contacts the customers to resolve any issues and recover the debt. Also on a monthly basis, the accounts clerk reconciles the receivables ledger control account to the receivables ledger in order to verify the month end receivables balance. Any reconciling items are documented, errors are corrected on a timely basis and then the reconciliations are reviewed and approved by the financial controller.

Payroll

Whittaker Co has a human resources (HR) department which is responsible for processing joiners and leavers, including preparing and sending authorised joiners forms to the payroll department so that new employees can be set up correctly on the payroll system. However, when additional staff are required at short notice, joiners forms are not completed and instead, the production supervisor notifies the payroll department by email on the day they commence employment.

Staff are required to work overtime on a regular basis in order to meet production targets. Overtime is paid monthly in arrears, at the end of the month in which it is worked. All overtime reports are reviewed on a quarterly basis by the production supervisor after the overtime has been paid. Reviews of overtime reports are evidenced by signature of the production director.

The payroll system automatically calculates wages and deductions for all employees based on standing data. The standing data is reviewed regularly to ensure it is still accurate however no checks are performed on the monthly payroll calculations.

In May each year, all employees receive a bonus, the amount of which varies depending upon their performance. The payroll department receives written notification from the HR manager of the bonus, based only on his view of the employees' performance in the year. The bonuses for 20X5 were input into the payroll system by the payroll clerk. After May's payroll had been processed, a small number of employees notified the payroll department that the bonus they had been paid did not agree to their bonus confirmation letter. This was corrected in June 20X5.

Bank

Whittaker Co uses an internet banking system which requires a two-step verification process. A password is required to log on to the system. An additional passcode is then required to set up new payees or to withdraw funds. The login details including the password and the passcode are saved in a shared file which is accessible to all payables ledger staff in the accounts department.

The accounts clerk undertakes the bank reconciliations on a weekly basis. The reconciling items are documented and sent to the financial controller for review. The financial controller only investigates the reconciling items if the sum of these items is significant.

Required

Auditors are required, under ISA 265 *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management*, to communicate in writing to those charged with governance any significant deficiencies in internal control.

(a) Describe FOUR matters the auditor may consider in determining whether a deficiency in internal control is significant.

Note. You do not need to refer to the scenario to answer this requirement. **(4 marks)**

(b) In respect of the SALES system of Whittaker Co:

(1) Identify and explain THREE DIRECT CONTROLS on which the auditor may seek to place reliance; and

(2) Describe a TEST OF CONTROL the auditor should perform to assess if each of these direct controls is operating effectively.

Note. The marks will be split equally between each part. **(6 marks)**

(c) Identify and explain FIVE DEFICIENCIES in Whittaker Co's PAYROLL and BANK systems and provide a control recommendation to address each of these deficiencies. **(10 marks)**

(Total = 20 marks)

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106 Daley Co (Sep/Dec 2022) (54 mins)

It is 1 July 20X5. Daley Co, a listed company, manufactures double glazed windows and doors. The company's year end is 30 September 20X5. You are an audit supervisor with Cooper & Co and you are in the process of reviewing the following extracts from the internal controls documentation in preparation for the forthcoming audit:

Payroll

The company employs 210 staff in its factory who are paid on a weekly basis by bank transfer. Factory staff have key cards and are required to swipe in and out at the beginning and end of their shift. This process is supervised. Hours worked by employees are recorded electronically using the key card system which is linked to the payroll system. Each week the hours worked are automatically transferred to the payroll system. As the process is automated, no checks over this transfer are performed.

The payroll is run on a weekly basis and the system automatically calculates the wages to be paid. On a sample basis, a payroll clerk checks gross to net pay calculations and compares these to the system-generated balances to ensure the accuracy of the payroll system. If any changes to the payroll data are required, the payroll clerk makes the amendment. An edit report of any amendments is produced weekly by the system but is not reviewed.

Non-current assets

Daley Co has a head office and ten factories, with a warehouse included at each factory. The company has an internal audit (IA) department which carries out a comparison between all of the assets recorded on the non-current assets register to those physically present in each of Daley Co's 21 sites. This year's programme of visits, which has been planned and carried out on the same basis as previous years, means that by 30 September 20X5, IA will only have completed this comparison at one factory and one warehouse.

During the year, the financial controller changed the company's capitalisation accounting policy. In accordance with the revised policy, only items of a capital nature exceeding $20,000 are accounted for as additions to non-current assets in the statement of financial position. Any non-current assets purchased below $20,000 are written off to the statement of profit or loss as an expense.

Bank and cash

On a weekly basis, a bank payments list is generated for supplier payments. The finance director reviews the total amount of the bank payments list and authorises it. She then passes it to the financial controller who processes it for payment.

Daley Co incurs a lot of petty cash expenditure and the finance department maintains a petty cash float of $500 which is kept in the safe. It is used for making any sundry purchases by the company. When staff wish to purchase sundry items, the required sum of cash is given to the staff member who signs for it. The staff member is required to return any excess money to the finance department but there is currently no requirement for receipts to be provided.

The cashier reconciles the main current account on a monthly basis as this contains the highest levels of activity and reconciles the remaining three bank accounts every three months. The reconciliations are reviewed by the finance director who evidences this review.

Required

(a) ISA 315 (Revised 2019) Identifying and Assessing the Risks of Material Misstatement states that an entity's system of internal control consists of five components: control environment, the entity's risk assessment process, the entity's process to monitor the system of internal control, the information system and communication and control activities.

Describe the FIVE components of an entity's system of internal control.

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Notes.

1 Use the below table structure to format your answer in the CBE software.

2 You do not need to refer to the scenario to answer this requirement.

Component of internal control	Description
Control environment	
Entity's risk assessment	
Entity's process to monitor the system of internal control	
Information system and communication	
Control activities	

(5 marks)

(b) In respect of the system of internal control of Daley Co:

- Identify and explain FIVE deficiencies;
- Recommend a control to address each of these deficiencies; and
- Describe a TEST OF CONTROL the external auditors should perform to assess if each of these controls, if implemented, is operating effectively.

Notes.

1 Use the below table structure to format your answer in the CBE software.

2 The total marks will be split equally between each part.

Control deficiency	Control recommendation	Test of control

(15 marks)

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Daley Co's bank balances. **(4 marks)**

(d) During the year, the Chair of Daley Co resigned due to his other commitments and Fred Johnson, who is the chief executive of the company, took over this role. Fred has recently written to all shareholders to inform them that any questions or comments they may have could only be raised at the company's annual general meeting and that any other communication with the board is not possible. The executive directors' remuneration is set by the remuneration committee. The non-executive directors' remuneration is set by the board and is based on pre-tax profit targets which are agreed by the board at the start of each financial year. As the board is of the view that the internal control environment is very effective, an audit committee has not been established.

Required

Describe THREE corporate governance deficiencies faced by Daley Co and provide a recommendation to address each deficiency to ensure compliance with corporate governance principles.

Note. Use the below table structure to format your answer in the CBE software.

Deficiency	Recommendation

(6 marks)

(Total = 30 marks)

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107 Petra Co (Mar/Jun 2023) (54 mins)

It is 1 July 20X5. Petra Co is a company listed on a stock exchange. It manufactures handbags which it supplies to retailers across the country. The company's year end is 30 September 20X5. You are an audit supervisor with Babylon & Co, preparing the draft audit programmes and reviewing the internal controls documentation in preparation for the forthcoming interim audit.

The sales and purchases systems are fully integrated modules within the computerised accounting system. The payroll systems is a not an integrated module (journals are posted to the accounting system to reflect payroll related expenses and liabilities reported by the payroll system).

Payroll

Petra Co employs factory staff, who are paid based on the number of hours worked. They are paid in cash on a weekly basis due to commercial reasons. These staff each have a unique clock card which they use to enter and exit the factory at the beginning and end of their shift, and this process is supervised by security staff. The clock card system and the payroll system are linked. The payroll system automatically calculates the gross and net pay along with relevant deductions and generates employee payslips. The payroll supervisor selects a sample of the payslips, reperforms the gross to net pay calculations and investigates any discrepancies. The sampled payslips are then signed as evidence of this review.

Factory staff receive an annual inflation-based pay increase every April. The revised hourly wage rates are communicated to the payroll department. The revised pay rates are entered into the system in April by a payroll clerk and each entry is checked by a senior clerk for input errors prior to processing that week's wages. The senior clerk signs a payroll listing of factory staff employees, which includes the revised hourly wage rates as evidence of undertaking this review. Two members of the payroll department produce the cash pay packets. One member is responsible for preparing the pay packets by reference to the payslips generated by the system. The second member recounts the contents of the finished pay packets and confirms that this agrees to the payslips. Both members of staff are required to sign the weekly payroll listing on completion of this task.

Sales

Petra Co carries out credit checks for all new customers. Upon passing these checks, new customers are set up by an accounting clerk in the sales module's master file. The finance director is alerted automatically by email that a new customer has been added. The email provides a link for the director to access the system and to log in where they can set a credit limit for the new customer. Only the director has access rights to edit the credit limit screen in the sales module and the customer account is inactive until a credit limit is set. Once the customer account is active and invoices can be raised, the credit limit is only subsequently reviewed if an increase is requested by the customer.

Petra Co generates revenue through visits by members of its sales department to customers' premises. When a customer places an order, the sales system automatically checks that the customer is within its credit limit and that the inventory is available and then generates an electronic order form. One copy is emailed to the customer, a second is emailed to the warehouse and a third copy emailed to the finance department. The sales staff have monthly sales targets and are able to use their discretion in granting discounts up to a maximum of 8%. No review is undertaken of discounts granted.

Purchases

The company has a purchasing department based at its head office. All members of this department have full edit access to the supplier master file data and are able to make changes. When goods are received from a supplier they are processed by the warehouse team, who agree the delivery to the purchase order, checking the quantity and the quality of goods, and generate an electronic sequentially numbered goods received note (GRN). The electronic GRNs are printed and matched to the purchase orders and are filed in the warehouse. On receipt of the purchase invoice from the supplier, a payables ledger clerk logs them into the payables ledger using document count controls to ensure that the correct number of invoices has been input. The total

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on the payables ledger is not compared to the control account in the general ledger at the end of each month as the payables ledger clerk believes this process is unnecessary.

Required

(a) List FOUR control objectives of Petra Co's sales system.

Note. You do not need to refer to the scenario to answer this requirement. **(4 marks)**

(b) In respect of the PAYROLL system of Petra Co:

(1) Identify and explain THREE DIRECT CONTROLS which the auditor may seek to place reliance on; and

(2) Describe a TEST OF CONTROL the auditor should perform to assess if each of these key controls is operating effectively.

Notes.

1 The marks will be split equally between each part.

2 Use the below table structure to format your answer in the CBE software.

Direct control	Test of control

(6 marks)

(c) Identify and explain FIVE DEFICIENCIES in Petra Co's SALES AND PURCHASES systems and provide a recommendation to address each of these deficiencies.

Note. Use the below table format as an example of how to present your response.

Control deficiency	Control recommendation

(10 marks)

(d) Petra Co produces monthly management accounts which include a detailed analysis of key expense categories.

Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Petra Co's purchases and other expenses. **(4 marks)**

(e) Petra Co has been a listed company for six years and the directors are aware of the need for compliance with corporate governance principles. The finance director has requested that the audit team undertakes a review of whether the company complies with the principles.

The board of Petra Co is appropriately comprised of executive and independent non-executive directors (NEDs). The Chair is planning to retire at the end of the financial year, and it is proposed by the nomination committee that the current marketing director is appointed into this role and that a new marketing director is recruited.

Two directors are subject to re-election at each annual general meeting. The NEDs are all members of the audit committee and are highly experienced in the industry in which Petra Co operates. Before joining Petra Co they were all previously involved in sales or purchasing roles. The level of executive directors' pay is set by the remuneration committee, comprised of independent NEDs. The remuneration for the NEDs is in the form of an annual bonus based on profit growth over the prior year.

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Required

Describe THREE corporate governance deficiencies faced by Petra Co and provide a recommendation to address each deficiency to ensure compliance with corporate governance principles.

Note. Use the below table structure to format your answer in the CBE software.

Deficiency	Recommendation

(6 marks)

(Total = 30 marks)

108 Silver Co (Sep/Dec 2023) (36 mins)

It is 1 July 20X5. You are an audit senior with Golden & Co and you are in the process of reviewing the inventory count arrangements for your audit client, Silver Co, in preparation for attendance at the full year-end inventory count on 30 September 20X5. The company manufactures household furniture such as tables, sofas and beds and has a factory and a large warehouse which are located on a single site.

Inventory count arrangements

The company manufactures goods 24 hours a day, seven days a week to meet customers' demands. Production will still be continuing during the inventory count as it is not possible for the company to stop producing goods. Movements of goods in and out of the factory and warehouse will also have to continue for operational reasons.

The count will be undertaken by 20 teams of two counters from the warehouse, and the warehouse supervisor will be overseeing the inventory count. Each team will be given a specific area of the warehouse to count using sequentially numbered inventory sheets which detail the items of inventory together with quantities held at the date of the count as per the inventory system. It has been left to the individuals within each team to decide how to allocate the responsibilities between them.

All goods present in the warehouse on 30 September 20X5 will be allocated into separate warehouse bays (designated areas of the warehouse) in preparation for counting. When a warehouse bay has been counted, it is crossed out on the warehouse map which is held in the office by the warehouse supervisor. As the warehouse supervisor is confident that the 20 teams are familiar with the warehouse and the location of the inventory, he has said that each bay only needs to be counted by one team. One area of the warehouse, which includes a large quantity of spare parts left over from production, will be segregated so that this inventory will not be counted, as the warehouse supervisor has stated that these items are unusable.

A numerical sequence check of the sheets will be carried out by the warehouse supervisor once the count is finished. The inventory sheets will then be passed to a warehouse assistant to update the inventory records to reflect the inventory physically present as per the inventory sheets.

Work in progress valuations have previously been carried out by an external inventory valuer. However, the warehouse supervisor has suggested that he undertakes this valuation this year as he is familiar with the company's products. The directors have agreed to this on the basis that it will save costs.

Last week the company agreed to store 30 sofas belonging to a third party in its warehouse for the next four months as the third party's storage facilities became flooded. For convenience, these sofas have been stored alongside similar products which belong to Silver Co.

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Required

Auditors have a responsibility under ISA 265 *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management* to communicate significant deficiencies in internal controls to those charged with governance.

(a) Describe FOUR matters the auditor should consider in determining whether a deficiency in internal controls is significant.

Note. You do not need to refer to the scenario to answer this requirement. **(4 marks)**

(b) Identify and explain EIGHT deficiencies in Silver Co's inventory count arrangements and provide a control recommendation to address each of these deficiencies.

Note. Use the below table structure to format your answer in the CBE software. **(16 marks)**

Control deficiency	Control recommendation

(Total = 20 marks)

109 Francisco Co (Mar/Jun 2024) (36 mins)

It is 1 July 20X5. You are an audit supervisor with Canyon & Co, preparing the draft audit programmes and reviewing extracts from the internal control documentation in preparation for the audit of your client, Francisco Co. The company's year-end is 30 September 20X5, and it is a wholesale food operator with 18 distribution depots and one central warehouse.

Payroll

Francisco Co employs distribution depot staff who are paid monthly based on the number of hours worked. Each employee has a staff identity card which they use to sign in and out of the depot at the beginning and end of each shift to record their hours worked, and this process is supervised by security staff as well as CCTV cameras. The hours worked per employee are automatically transferred from the signing-in system into the payroll system. The hourly wage rate is pre-set, and the payroll system automatically calculates the gross and net pay along with relevant statutory deductions and produces pay slips which are immediately emailed to employees.

Access to employees' standing data in the payroll system is restricted to payroll managers through the use of a password, which the system requires to be changed on a monthly basis.

Distribution depot employees are paid by bank transfer on a monthly basis. The senior payroll manager reviews the list of bank payments and agrees this to the payroll records. If any discrepancies are noted, these are investigated by the senior payroll manager who then makes the required adjustment in the payroll records.

Purchases

Francisco Co has a central purchasing department based at its head office. When goods are required, a production supervisor submits a request to the purchasing department. A multi-part purchase order is then generated. The purchasing manager authorises all orders below $3,000 and the purchasing director authorises orders of $3,000 and above.

On receipt of goods, the quality and quantities received are checked by a warehouse team member against the supplier's delivery note, and a goods received note (GRN) is produced. A copy of the GRN is sent to both the finance and purchasing departments.

When purchase invoices are received from the suppliers, they are logged into an invoices received file and the accounting system assigns each invoice a unique number based on the supplier's code and date of input. The finance clerk then matches the invoices to a copy of the relevant purchase order and passes those two documents to the finance director for authorisation prior to the invoice being input into payables.

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Non-current assets

Francisco Co owns approximately 55% of its distribution depots and the remainder are leased premises, which have been confirmed as correctly capitalised in line with relevant accounting standards. The lease agreements and ownership documents are held in the finance department. Earlier in the year, members of the company's internal audit department undertook a review of the lease agreements and ownership documents but were unable to locate a number of the relevant documents.

Each distribution depot is set up as a separate cost centre and is given an annual capital expenditure budget, but some cost centres have already significantly exceeded their annual budgets. When new equipment is purchased, the finance manager classifies the purchase order as capital or revenue expenditure. The classification is made with reference to formal company policy established by the finance director, who sample checks that the capital or revenue expenditure allocation has been correctly applied and then evidences this review by way of signature.

Required

ISA 265 *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management*, provides guidance on communicating significant deficiencies in internal control.

(a) (i) Define a significant deficiency in internal control; and

(ii) Describe THREE matters the auditor may consider in determining whether a deficiency in internal control is significant.

Note. You do not need to refer to the scenario to answer this requirement. **(4 marks)**

(b) In respect of the system of internal control of Francisco Co:

(1) Identify and explain THREE DIRECT CONTROLS which the auditor may seek to place reliance on; and

(2) Describe a TEST OF CONTROL the auditor should perform to assess if each of these direct controls is operating effectively.

Note. Use the below table structure to format your answer in the CBE software. The marks will be split equally between each part.

Direct control	Test of control

(6 marks)

(c) Identify and explain FIVE DEFICIENCIES in Francisco Co's system of internal control and provide a control recommendation to address each of these deficiencies.

Note. Use the below table structure to format your answer in the CBE software.

Control deficiency	Control recommendation

(10 marks)

(Total = 20 marks)

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Part D: Audit evidence

This Part covers Audit evidence, the subject of Chapters 8 and 11–18 of the BPP Audit and Assurance Course Book.

Section A

Expert (Dec 2008, amended) (18 mins)

You are the audit manager in the firm of WSD & Co, an audit firm. You are planning the audit of Truse Co, which operates as a high street retailer and has 15 shops.

All of the shops are owned by Truse Co and have always been included in the financial statements at cost less depreciation. The shops are depreciated over 50 years. However, you know from discussions with management that the company intends to include one of the shops, the flagship store, at a revalued amount rather than cost in the current accounting period. The revalued amount is expected to be materially above the carrying value of the shop. The valuation will be based on a management estimate.

Management has explained that the reason for the revaluation is because the flagship store is located in an area where property prices have risen much more quickly compared to other shop locations. They consider the flagship store to be significantly undervalued on the statement of financial position.

Management will not depreciate the revalued amount allocated to the flagship store's building because they maintain the building to a high standard.

110 In his notes for the audit planning meeting, the audit junior made several statements in relation to the valuation of the shops.

Which TWO of the below statements are correct?

- ☐ Truse Co is allowed under IAS 16 *Property, Plant and Equipment* to revalue the flagship shop while continuing to measure its three other shops at cost less depreciation
- ☐ The revaluation constitutes a change in accounting policy, so we will need to consider the adequacy of the disclosures made in respect of this
- ☐ The flagship store should be depreciated on its revalued amount
- ☐ We must confirm that all repairs and maintenance costs have been capitalised

(2 marks)

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111 **Indicate whether the following assertions are relevant to the audit of tangible non-current assets.**

Assertion	Yes	No
Existence	○	○
Occurrence	○	○
Classification	○	○
Presentation	○	○

(2 marks)

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112 **Which of the following procedures will provide appropriate audit evidence in respect of the completeness of non-current assets?**

- O For a sample of assets selected by physical inspection, agree that they are listed on the non-current assets register
- O For a sample of non-current assets listed on the non-current assets register, physically inspect the asset
- O For a sample of assets on the assets register, recalculate the carrying amount in accordance with the entity's accounting policies
- O For a sample of assets on the assets register, inspect relevant purchase invoices or deeds **(2 marks)**

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113 At the planning meeting, it was decided that an auditor's expert should be sought in relation to the valuation of Truse Co's properties as the company has not used an independent valuer.

ISA 620 *Using the Work of an Auditor's Expert* states that the nature, timing and extent of audit procedures to evaluate the work of the auditor's expert depend on the circumstances of the engagement.

Which of the following matters should the audit team NOT consider in determining the nature, timing and extent of these audit procedures?

- O The risk of material misstatement associated with Truse Co's properties
- O WSD & Co's experience with previous work performed by the expert
- O Whether the expert is subject to WSD & Co's quality management policies and procedures
- O The existence of any interests in or relationships with Truse Co that might pose a threat to the expert's objectivity **(2 marks)**

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114 The audit junior has been assigned to the audit of the bank and cash balances of Truse Co. He has noted down the audit evidence he plans to obtain in respect of the bank and cash balances:

(1) Bank reconciliation carried out by the cashier

(2) Bank confirmation report from Truse Co's bank

(3) Verbal confirmation from the directors that the overdraft limit is to be increased

(4) Cash count carried out by the audit junior himself

Rank the reliability of the audit evidence, starting with the most reliable first. (Drag each box from the left into position to match the relevant box on the right.)

Audit evidence		Order
Bank reconciliation carried out by the cashier		(1)
Bank confirmation report from Truse Co's bank		(2)
Verbal confirmation from the directors that the overdraft limit is to be increased		(3)
Cash count carried out by the audit junior himself		(4)

(2 marks)

(Total = 10 marks)

Newthorpe **(18 mins)**

You are an audit manager, auditing the financial statements of Newthorpe Engineering Co, a listed company, for the year ended 30 April 20X7.

Newthorpe's management has provided you with a schedule of the realisable values of the inventories. A full inventory count was carried out at 30 April 20X7.

Audit tests have confirmed that the inventory counts are accurate and there are no purchases or sales cut-off errors.

One of the company's factories was closed on 30 April 20X7. The plant and equipment and inventories were to be sold. By the time the audit work commenced in June 20X7, most of the inventory had been sold.

You have instructed the audit junior to evaluate the valuation of the inventory related to the closing factory at the year end. The audit junior has sent you a list of planned audit procedures.

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On 17 March 20X7, Newthorpe's managing director was dismissed for gross misconduct. It was decided that the managing director's salary should stop from that date, and that no redundancy or compensation payments should be made.

The managing director has claimed unfair dismissal and is taking legal action against the company to obtain compensation for loss of his employment. The managing director says he has a service contract with the company which would entitle him to two years' salary at the date of dismissal. The directors believe that there is a 35% chance of the managing director succeeding in his claim.

The financial statements for the year ended 30 April 20X7 record the resignation of the director. However, they do not mention his dismissal and no provision for any damages has been included in the financial statements.

115 **Which TWO of the following statements are true regarding the auditor's attendance at the inventory count?**

- ☐ It is the auditor's responsibility to organise the inventory count
- ☐ The auditor observes client staff to determine whether inventory count procedures are being followed
- ☐ The auditor reviews procedures for identifying damaged, obsolete and slow-moving inventory
- ☐ If the results of the auditors' test counts are not satisfactory, the auditor should insist that the inventory is recounted **(2 marks)**

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116 **Which of the audit procedures below is NOT appropriate in auditing the valuation assertion for Newthorpe's inventory?**

- ○ Agree the selling prices of inventory sold since the year end to sales invoices and the bank ledger account
- ○ Assess the reasonableness of management's point estimates of realisable value of inventory that has not yet been sold by reviewing sales before the year end, comparing the values with inventory that has been sold since the year end and considering offers made which have not yet been finalised
- ○ For a sample of inventory sold just before and just after the year end, match dates of sales invoices/date posted to ledgers with date on related goods dispatched notes
- ○ For unsold inventory, assess reasonableness of provisions for selling expenses by comparison of selling expenses with inventory sold **(2 marks)**

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117 **Using the drop down lists, complete the sentence below to show the correct accounting treatment for the legal claim made by the managing director for unfair dismissal and the reason for this treatment.**

The legal claim should [(1) ▼] because

[(2) ▼].

Pull down list 1

- Be recorded as a provision
- Not be recorded as a provision but disclosed as a contingent liability

Pull down list 2

- A possible obligation exists, depending on whether or not some uncertain future event occurs
- A present obligation exists, but the outflow of economic resources is not probable

(2 marks)

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118 **Which of the following audit procedures is likely to provide the auditor with the MOST reliable audit evidence regarding the legal claim?**

- ○ Review the minutes of the disciplinary hearing to understand whether the company has acted in accordance with employment legislation and its internal rules
- ○ Review correspondence between the company and its lawyers regarding the likely outcome of the case
- ○ Request a written representation from management supporting their assertion that the claim will not be successful
- ○ Send an enquiry letter to Newthorpe's lawyers to obtain their view as to the probability of the claim being successful

(2 marks)

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119 The dismissal of Newthorpe's managing director has alerted you to the possibility that the company may not have complied with employment regulations. You therefore need to determine the impact that such non-compliance may have on the audit.

ISA 250 (Revised) *Consideration of Laws and Regulations in an Audit of Financial Statements* sets out the responsibilities of the auditor in relation to the entity's compliance with laws and regulations.

Which of the following responsibilities is CORRECT regarding the responsibilities of Newthorpe's auditors in relation to compliance with employment regulations?

- ○ To obtain sufficient appropriate evidence regarding compliance, as they have a direct effect on the financial statements
- ○ To perform specific audit procedures to identify possible non-compliance
- ○ The auditors do not have any responsibility, as the employment regulations do not have a direct effect on the financial statements
- ○ To prevent and detect all non-compliance with the regulations

(2 marks)

(Total = 10 marks)

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Tirrol (Jun 2009, amended) (18 mins)

Your audit firm Cal & Co has just gained a new audit client, Tirrol Co, in a tender in which Cal & Co offered competitively low audit fees. You are the manager in charge of planning the audit work. Tirrol Co's year end is 30 June 20X9 with a scheduled date to complete the audit of 15 August 20X9. The date now is 3 June 20X9.

Tirrol Co provides repair services to motor vehicles from 25 different locations. All inventory, sales and purchasing systems are computerised, with each location maintaining its own computer system. The software in each location is the same because the programs were written specifically for Tirrol Co by a reputable software house. Data from each location is amalgamated on a monthly basis at Tirrol Co's head office to produce management and financial statements.

You are currently planning your audit approach for Tirrol Co. One option being considered is to rewrite Cal & Co's audit software to interrogate the computerised inventory systems in each location of Tirrol Co (except for head office) as part of inventory valuation testing. The testing will need to take place while the system is live. You are aware that July is a major holiday period for Tirrol Co.

120 The audit junior is concerned about various circumstances of the audit, which are likely to increase audit risk. He has written to you with some suggestions.

Which TWO of the following suggestions are valid?

- ☐ We should budget for the extra time required to document an understanding of the entity, its environment and its systems, and to verify material opening balances
- ☐ Given the tight reporting deadline, a combined approach should be adopted on the audit, relying on tests of controls wherever possible
- ☐ We must agree a clear timetable with the client for the testing of the computerised inventory systems, setting out availability of access to the system, files and personnel required to complete testing
- ☐ As this is our first year of audit, we should agree separate fees with the client for any additional audit procedures required. If the client refuses, we should consider withdrawing from the audit as Cal & Co would be deemed to be lowballing **(2 marks)**

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121 **Which TWO of the following are benefits of using audit software in auditing the inventory of Tirrol Co?**

- ☐ The ability to test all 25 of Tirrol Co's locations using the same audit software, resulting in time and cost savings
- ☐ The ability to test internal controls relating to the input of data, thus giving greater assurance over the existence of inventory
- ☐ The ability to select and extract a sample of inventory data for testing, thus reducing sampling risk
- ☐ The ability to calculate the error rate in sample and thus determine whether further audit procedures are required **(2 marks)**

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122 It has been decided that systematic sampling would be applied to the audit of Tirrol Co's inventory.

Which of the following sampling methods correctly describes systematic sampling?

- ○ A sampling method which is a type of value-weighted selection in which sample size, selection and evaluation results in a conclusion in monetary amounts
- ○ A sampling method which involves having a constant sampling interval; the starting point for testing is determined randomly
- ○ A sampling method in which the auditor selects a block(s) of contiguous items from within the population
- ○ A sampling method in which the auditor selects a sample without following any particular structured technique

(2 marks)

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123 Tirrol Co's internal audit department is going to assist with the statutory audit. The chief internal auditor will provide you with documentation on the computerised inventory systems at Tirrol Co. The documentation provides details of the software and shows diagrammatically how transactions are processed through the inventory system. This documentation can be used to significantly decrease the time needed to understand the computer systems and enable audit software to be written for this year's audit.

Which of the following is NOT a matter the audit team should consider in determining whether or not the internal auditor's work is adequate for the purposes of the audit?

- ○ Whether the work was properly planned, performed, supervised, reviewed and documented
- ○ Whether there are any significant threats to the objectivity of the internal auditor
- ○ Whether sufficient appropriate evidence was obtained to allow the internal auditors to draw reasonable conclusions
- ○ Whether the conclusions reached are appropriate in the circumstances and the reports prepared are consistent with the results of the work done

(2 marks)

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124 The audit junior has obtained the following extract of the aged inventory report:

Inventory code	*Days in inventory*	*Original cost*	*Selling price*	*Costs to sell*	*Carrying amount*
		$	$	$	$
X070003	98	12,000	20,200	2,000	12,000
X079001	127	14,500	16,000	2,500	14,500
X084000	109	18,000	26,000	3,000	23,000

What is the impact on the value of inventory if no adjustments are made to the carrying amounts above?

- ○ Inventory should be $44,500, inventory is overstated
- ○ Inventory should be $43,500, inventory is overstated
- ○ Inventory should be $54,700, inventory is understated
- ○ Inventory should be $62,200, inventory is understated

(2 marks)

(Total = 10 marks)

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Wright (18 mins)

You are the audit manager in the firm of Wright & Co, a large accountancy firm with 30 offices.

It is January 20X6, and a new intake of graduates and apprentices has recently started work at the audit department after completing their first ACCA exams. Julie, one of the new recruits, has been allocated to the audit of Wilbur Co, your audit client, for the year ended 31 December 20X5. You are responsible for providing guidance to her and have asked her to assist in the audit of trade payables and cash at bank.

Trade payables

Julie has performed a reconciliation of key trade payables balances as follows and has concluded that no further work is required:

	Balance per payables ledger	*Cash in transit*	*Goods in transit*	*Balance per supplier statement*
	$'000	$'000	$'000	$'000
Supplier XX1	400	–	100 (1)	500
Supplier XX2	650	50 (2)	–	700
Supplier XX3	100	–	–	100
	1,150			1,300

Notes.

1 Agreed to GRN dated 31 December 20X5

2 Agreed to cheque posted in the bank ledger account 30 December 20X5

Your follow-up work on this identifies that:

- The goods in transit received from supplier XX1 were recognised in inventory at 31 December 20X5
- The cheque payment to supplier XX2 appeared on the bank statement on 2 January 20X6
- There is a nil balance on the purchase accruals account

Cash at bank

In order to gain assurance over the company's bank balance, you asked Julie to arrange for a bank confirmation letter to be sent to Wilbur Co's bank.

Julie has also prepared a bank reconciliation. This shows a significant number of lodgements which were recorded in the bank ledger account on 31 December 20X5. You are concerned that the bank ledger account may have been kept open to include remittances actually received after the year end.

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125 Julie has approached you with the following query:

'I know that as auditors, we have to collect audit evidence in order to support our audit opinion. But how can we tell how much audit evidence we need to get?'

Which of the below factors influence the auditor's judgement regarding the sufficiency of the evidence obtained?

(1) **The materiality of the account**

(2) **The size of the account**

(3) **The source and quality of the evidence available**

(4) **The amount of time allocated to the audit**

- O 1 and 3
- O 2 and 4
- O 2 and 3
- O 1 and 4

(2 marks)

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126 **Which of the in-transit items included in the supplier statement reconciliations indicate that there is a cut-off problem?**

(1) **Cash in transit**

(2) **Goods in transit**

- O 1 only
- O 2 only
- O 1 and 2
- O Neither 1 nor 2

(2 marks)

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127 **What further evidence, if any, is required in relation to the balance due to XX3 to determine if trade payables is understated?**

- O A review of post year end purchase orders from supplier XX3
- O A confirmation request must be sent to supplier XX3
- O No further evidence is required
- O A review of credit notes issued by Wilbur Co should be performed

(2 marks)

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128 **Which of the following summarises the steps Julie should take in preparing the bank confirmation letter you have requested?**

- O Written on the audit firm's headed paper; information requested to be sent directly to the auditor
- O Written on the client's headed paper; information requested to be sent directly to the auditor
- O Written on the audit firm's headed paper; information requested to be sent directly to the client
- O Written on the client's headed paper; information requested to be sent directly to the client

(2 marks)

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129 **Which of the following pieces of audit evidence would provide the most reliable audit evidence that the lodgements recorded on 31 December 20X5 do not relate to amounts received after the period end?**

- O Bank statement showing the lodgements cleared by the bank
- O The date on the cheque paid by the supplier
- O The date on the remittance advice
- O The bank's date stamp on the paying-in slip **(2 marks)**

(Total = 10 marks)

Lodestar **(18 mins)**

You are an audit senior of Beacon & Co and are currently conducting the audit of Lodestar Co (Lodestar) for the year ended 30 September 20X1. You are reviewing the work of your audit assistant.

Trade receivables

Your audit assistant has carried out a direct confirmation (a receivables circularisation) on trade receivables at Lodestar. She selected the 10 largest balances, representing 85% of the receivables ledger at year end, including 2 items that were individually material. Seven customers agreed the receivables ledger balance, two replied noting discrepancies which she has followed up and one has not replied.

The audit working papers contain the following work in respect of the two balances with discrepancies.

Customer	Balance per receivables ledger	Balance per customer confirmation	Comments
	$	$	
Polaris Co	23,400	19,250	Balance is payment sent out on 30 September, agreed to bank ledger account 2 October.
Sirius Co	45,000	39,000	Balancing item is credit requested for goods customer claims were defective in February. Production manager confirms no credit will be issued.

Allowance for doubtful accounts

The company has an accounting policy of creating an allowance for doubtful accounts at 2% of year-end receivables ledger balance.

130 You are analysing the sample selection with regard to the direct confirmation.

Which of the following statements in relation to the sample selection is TRUE?

- O The sample is appropriate and, at 85% of the balance, gives good assurance about the overall balance
- O As 15% of the ledger balance has not been sampled, the sample is inappropriate
- O The sample selection does not address the risk of understatement as it has focused on the ten largest balances
- O The sample should have been stratified to provide a representative sample **(2 marks)**

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131 The audit assistant has identified further procedures to be carried out in respect of the customer who has not responded to the circularisation request as follows.

(1) Send out a follow-up request.

(2) Inspect the sales invoices in the customer account at year end.

(3) Ask the credit controller whether the customer exists.

(4) Reconcile cash receipts after date with pre year end invoices in the customer account.

Which of these procedures would provide audit evidence of the EXISTENCE of this receivable?

- O 1, 2 and 3
- O 1, 2 and 4
- O 3 and 4
- O 1 and 2

(2 marks)

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132 You are reviewing the work carried out on the disputed balances.

What is the misstatement arising from the above issues and the resultant impact on current assets?

- O Trade receivables should be $10,150 lower, current assets are overstated
- O Trade receivables should be $6,000 lower, current assets are overstated
- O Trade receivables should be $4,150 lower, no net effect on current assets as balance is in cash
- O Trade receivables should be $10,150 higher, current assets are understated **(2 marks)**

---

133 Your audit assistant has heard that auditing accounting estimates can be problematic and has asked you to explain why this is the case.

Which of the following statements concerning auditing accounting estimates is INCORRECT?

- O It can be difficult to obtain evidence concerning accounting estimates as management use judgement in their estimation
- O Accounting estimates are high risk as they can be subject to management bias
- O Auditors can formulate a point estimate to compare to management's estimate
- O Auditors should use their own estimate in the financial statements, as auditor-generated evidence is more conclusive than management-generated evidence

(2 marks)

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134 The audit junior has suggested the following tests could be carried out to test the allowance for doubtful accounts:

(1) Review cash receipts after year end

(2) Review an aged debt analysis of the receivables ledger

(3) Ask the credit controller what debts are considered to be doubtful

(4) Review sales invoices relating to overdue accounts

Which of the following correctly ranks these tests in terms of their appropriateness to the VALUATION assertion (most appropriate being listed first)?

- O 1, 2, 3, 4
- O 2, 4, 3, 1
- O 1, 2, 4, 3
- O 3, 2, 1, 4

(2 marks)

(Total = 10 marks)

Porthos

(18 mins)

Porthos, a limited liability company, is a retailer of sports equipment, specialising in racquet sports such as tennis, squash and badminton. The company purchases equipment from a variety of different suppliers and then resells this online. Customers place their orders directly on the company website. The ordering/sales software automatically verifies the order details, customer address and credit card information prior to orders being verified and goods dispatched.

Once the order has been verified the system produces a pre-numbered picking note. The order is then picked in the warehouse and a goods dispatched note (GDN) is produced. A copy of this is scanned into the system and a sequentially numbered invoice is automatically produced and sent to the customer.

You are the audit senior working on the audit of Porthos for the year ended 31 December 20X7.

As the sales system is highly automated the audit manager has decided that automated tools and techniques (ATTs) should be used where possible in the audit of the sales account. You identified the key steps to be taken in planning the application of ATTs, as follows:

(1) Define the types of transactions to be tested

(2) Set the objective of the procedures involving the ATTs

(3) Define the procedures to be performed on the data

(4) Determine the content and accessibility of the entity's files

The manager has also decided that test data would be used to test the input of details into the ordering system. You identified the following test data which could be used:

(i) Orders for unusually large quantities

(ii) Orders with fields left blank

(iii) Orders with invalid inventory codes

(iv) Orders with complete and valid details

In addition to the sales income generated from the sale of sports equipment Porthos earns a small amount of rental income by renting out surplus warehouse space to a local company. The rental agreement shows that the annual rent from 1 March 20X7 was $24,000, increased from $21,600 per annum.

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135 **Which of the following identifies the correct order in which the steps to be taken in planning the application of ATTs should be performed?**

- ○ 2, 4, 1, 3
- ○ 1, 4, 2, 3
- ○ 2, 1, 3, 4
- ○ 4, 2, 3, 1

(2 marks)

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136 **Which of the test data identified by the audit junior should be used to confirm the completeness and accuracy of input into the sales system?**

- ○ (ii) only
- ○ (ii) and (iii) only
- ○ (i) and (iv) only
- ○ (i), (ii), (iii) and (iv)

(2 marks)

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137 **Which of the following procedures would provide evidence that sales cut-off for Porthos has been applied correctly?**

- ○ For sales invoices issued before 31 December 20X7 use audit software to determine whether there is a matching GDN dated before 31 December 20X7
- ○ For sales invoices issued before 31 December 20X7 use audit software to determine whether there is a matching GDN dated after 31 December 20X7
- ○ For picking notes issued before 31 December 20X7 use audit software to determine whether there is a matching GDN dated before 31 December 20X7
- ○ For picking notes issued before 31 December 20X7 use audit software to determine whether there is a matching GDN dated after 31 December 20X7

(2 marks)

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138 As part of substantive audit procedures, you perform a sequence check on the sales invoice numbers issued by Porthos over the year.

What is the purpose of the sequence check you have performed on the sales invoice numbers?

- ○ To give assurance that cut-off has been applied accurately
- ○ To give assurance over the occurrence of the sales transactions recorded
- ○ To provide audit evidence over the completeness of the recording of sales
- ○ To provide audit evidence that the sales figure has been calculated accurately

(2 marks)

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139 You are using a proof in total calculation to assess the accuracy of the rental income.

Which of the following correctly shows the calculation which would be used?

- ○ $24,000 × 12/12
- ○ $21,600 × 12/12
- ○ (21,600 × 2/12) + (24,000 × 10/12)
- ○ (21,600 × 10/12) + (24,000 × 2/12)

(2 marks)

(Total = 10 marks)

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Lancaster Co (Mar/Jun 2021) (18 mins)

It is 1 July 20X5. You are an audit supervisor at York & Co and you are involved in the audit of Lancaster Co for the year ended 31 May 20X5. The company owns a significant amount of non-current assets including a number of properties.

Additions, disposal and depreciation

Lancaster Co depreciates its properties, on the straight-line basis, at a rate of 5% per annum. The draft depreciation charge on buildings for 20X5 is $2 million compared with $1.7 million in 20X4.

On 31 May 20X5, Property A was sold for sales proceeds equal to 40% of its original cost. The property initially cost $6 million and had been owned and depreciated for seven years.

The audit programme includes the following tests to be carried out in relation to additions made during the year:

(1) Agree a sample of additions recorded in the non-current asset register to the bank ledger account and purchase invoice ensuring that the purchase date is accurate and it is recorded at the correct amount

(2) Compare total budgeted additions to actual additions in the year and investigate and corroborate any significant differences

Revaluation

On 31 May 20X5, the directors had all of the company's remaining buildings revalued by an external expert. In the detailed audit approach it states that York & Co will rely on this valuation as part of the current year audit procedures.

140 **Which TWO of the following audit procedures would test for OVERSTATEMENT of Lancaster Co's non-current assets?**

- ☐ Agree disposals recorded in the non-current asset register to bank ledger account and sales invoice
- ☐ Physically inspect a sample of assets selected from the non-current asset register
- ☐ Inspect a sample of assets found at a location and agree to the non-current asset register
- ☐ Inspect the condition of assets held to determine the need for any impairment

(2 marks)

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141 **Which of the following assertions are tested by the procedures included in the audit programme for additions?**

(1) **Completeness**

(2) **Classification**

(3) **Existence**

(4) **Accuracy, valuation and allocation**

- ○ 1 and 3 only
- ○ 2 and 4 only
- ○ 1, 3 and 4 only
- ○ 1, 2, 3 and 4

(2 marks)

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142 You are now considering substantive audit procedures for depreciation across all categories of non-current assets held by Lancaster Co.

Which TWO of the following are substantive audit procedures for testing depreciation?

- ☐ Review the non-current asset register to ensure that all assets are assigned a useful life
- ☐ Perform a proof in total for the depreciation charge of $2m included in the financial statements and investigate any significant differences
- ☐ Review the board minutes for evidence of approval of useful lives
- ☐ Discuss with management the reasons for the $300,000 difference in the current year depreciation compared to the prior year **(2 marks)**

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143 **Recalculate the expected loss on disposal of Property A, giving your answer to ONE decimal place.**

$ [ ] m **(2 marks)**

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144 **In respect of the revaluation, which TWO of the following statements regarding reliance on the external expert are TRUE?**

- ☐ In line with ISA 620 *Using the Work of an Auditor's Expert*, reliance can only be placed on an expert appointed by York & Co
- ☐ Obtaining the valuation report would constitute sufficient and appropriate evidence over the carrying amount of the buildings
- ☐ Reference to the work of the external expert should not be included in the auditor's report
- ☐ The objectivity of the valuer must be assessed before placing reliance on the valuation report **(2 marks)**

(Total = 10 marks)

Willow & Co (Sep/Dec 2021) **(18 mins)**

It is 1 July 20X5. You are an audit supervisor of Willow & Co and you are involved in the audit of Ash Co for the year ended 31 May 20X5. You have been allocated responsibility for the audit of bank and cash and share capital.

Bank and cash

Ash Co has various accounts with two banking institutions. It holds a number of longstanding accounts with Silver Oak bank and a number of new accounts have been opened during the year with Moneytree bank. However, the management of Ash Co has refused to grant Willow & Co permission to obtain a bank confirmation letter from Moneytree bank. You have asked for an explanation but have not received a satisfactory response.

The area of bank and cash has been deemed as high risk due to a number of errors which were found during the prior year audit. The audit engagement partner has therefore emphasised the importance of the procedures performed in this area of the financial statements.

Share capital

During the year to 31 May 20X5, Ash Co issued 100,000 $1 equity shares. Ash Co maintains all of its own records in this area. The audit engagement partner has raised concerns over whether the transaction has been carried out in compliance with appropriate laws and regulations.

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145 You are reviewing the audit plan for Ash Co and have allocated a number of procedures to be performed on bank and cash to your audit assistant. In order to help your audit assistant perform the work you want to give them more detail regarding the procedures.

Which type of audit procedure is being demonstrated by each of the following tests included in the audit plan of Ash Co?

Obtain Ash Co's bank reconciliation and cast to ensure mathematical accuracy	REPERFORM-ANCE	INSPECTION	RECALC-ULATION	EXTERNAL CONFIRM-ATION
Obtain a bank confirmation letter from Ash Co's bankers	REPERFORM-ANCE	INSPECTION	RECALC-ULATION	EXTERNAL CONFIRM-ATION
Perform a cash count for comparison with the results of the cash count conducted by Ash Co	REPERFORM-ANCE	INSPECTION	RECALC-ULATION	EXTERNAL CONFIRM-ATION

(2 marks)

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146 Your audit assistant has gathered the following audit evidence in relation to bank and cash:

(1) Print out from Ash Co's online banking system provided by the accounts clerk

(2) Bank reconciliation prepared by the audit assistant using client documents

(3) Results of cash count performed by internal audit

(4) Bank confirmation letter received from Silver Oak bank

In order to respond to the increased level of risk you want to make sure you are using the most reliable evidence.

Which of the following options correctly ranks the audit evidence, starting with the MOST reliable?

- ○ 2, 4, 1, 3
- ○ 2, 3, 4, 1
- ○ 4, 3, 1, 2
- ○ 4, 2, 3, 1

(2 marks)

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147 **Which TWO of the following actions should Willow & Co take following Ash Co's refusal to allow Willow & Co to seek a bank confirmation from Moneytree bank?**

- ☐ The risk of material misstatement including fraud risk needs to be re-evaluated
- ☐ The audit plan must be revised and alternative procedures considered
- ☐ A modified opinion must be issued on the grounds that insufficient evidence is available
- ☐ Send the bank confirmation request without authorisation as the bank communicates directly with the auditor

(2 marks)

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148 You have been given the following bank reconciliation prepared by Ash Co:

Moneytree bank – current a/c

	$'000
Balance per bank statement at 31 May 20X5	4,200
Adjusted for:	
Unpresented cheques	(1,200)
Outstanding lodgements	3,200
Balance per cashbook at 31 May 20X5	**6,200**

The following issues have been identified during the testing of the bank reconciliation:

(1) Cheques totalling $300,000 which were not posted until 2 June 20X5 are included in the bank ledger account at the year end

(2) Customer payments totalling $700,000 which were paid into the bank on 3 June 20X5 are included in the bank ledger account at the year end

(3) Bank charges for May 20X5 totalling $100,000 were not charged by the bank until June 20X5

What is the resultant effect on the bank and cash balance as a result of these issues?

- ○ Bank and cash is overstated by $400,000
- ○ Bank and cash is understated by $300,000
- ○ Bank and cash is overstated by $500,000
- ○ Bank and cash is understated by $400,000

(2 marks)

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149 **Which of the following procedures would address the audit engagement partner's concern in relation to the share issue?**

- ○ Inspect board minutes for evidence of review regarding the terms of and approval of the share issue
- ○ Inspect Ash Co's constitution documents for evidence that the share issue is permitted
- ○ Obtain a written representation from management to confirm that the share issue is in compliance with laws and regulations
- ○ Agree the quantity and recipients of the share issue to Ash Co's share register

(2 marks)

(Total = 10 marks)

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Pickering & Co (Sep/Dec 2022, amended) (18 mins)

You are an audit supervisor at the firm Pickering & Co, currently working on the audit of Walker Co, which is a long-standing audit client of your firm. You have been assigned responsibility for auditing bank and cash and share capital.

Bank and cash

Walker Co operates a number of retail shops in one country, selling outdoor leisure clothes, footwear and other walking-related accessories. Each shop accepts cash or debit card transactions. As a result, at any one time, the company holds a significant amount of cash at its head office. Walker Co performs a year end cash count to verify the year end cash balance.

From the audit planning meeting with Walker Co, you have ascertained that it has four bank accounts with International Bank Co which consist of a current account, a deposit account and two loan accounts. International Bank Co has provided direct confirmation to Pickering & Co of the balances in each account at the year end. During the year, Walker Co opened a deposit account with a foreign bank, Southern Bank Co, and at the year end a material balance is held in this account. Southern Bank Co provided a letter to the financial controller of Walker Co to confirm the balance at the year end.

Share capital

Walker Co plans to expand its operation into online retailing next year and has undertaken a rights issue in the current year to fund the new venture.

150 Auditors use a variety of methods to obtain evidence, using procedures detailed within ISA 500 Audit Evidence.

Which of the following statements demonstrates the use of the audit procedure 'enquiry' when auditing bank and cash?

(1) **The auditor watches the cashier performing the daily bank reconciliation process**

(2) **The auditor reviews year end bank balances against prior year total to identify significant fluctuations and discusses any unusual movements with management**

(3) **The auditor confirms directly with management whether any new bank accounts have been opened in this financial year**

(4) **The auditor obtains a standard bank letter from each bank used by the company**

- O 2 and 3
- O 3 only
- O 1 only
- O 2 and 4

(2 marks)

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151 **In relation to the bank account with Southern Bank Co, which of the following factors will reduce the reliability of the evidence which can be obtained?**

(1) **Southern Bank Co issued the standard bank confirmation letter to the financial controller of Walker Co**

(2) **The original year end bank statement has been lost but a photocopy has been provided by the accounts clerk**

(3) **The account was only opened in the year and therefore was not subject to prior year audit procedures**

(4) **The year end bank reconciliation shows an immaterial unreconciled difference which the accounts clerk has advised will not be investigated**

- ○ 1 and 2 only
- ○ 2 and 3 only
- ○ 1, 2 and 4 only
- ○ 1, 3 and 4 only

(2 marks)

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152 **In respect of the loan accounts held with International Bank Co, which of the following audit procedures would provide the best evidence to verify accrued interest at the accounting period end?**

- ○ Inspect the year end bank reconciliation and confirm accrued interest is included
- ○ Agree the interest charges per the bank ledger account to the pre year end bank statements
- ○ Inspect the bank confirmation letter to confirm the loan account interest rate is consistent with prior year
- ○ Recalculate the accrued interest based on the outstanding loan value, interest rate and accrual period

(2 marks)

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153 **Which of the following audit procedures included in the audit programme tests for the EXISTENCE of bank and cash?**

- ○ Attend the cash count at the year end and reperform the count
- ○ Review all relevant bank statements to verify that the accounts are held under the name of Walker Co
- ○ Agree a sample of account balances detailed on the bank confirmation letters to the trial balance
- ○ Review the disclosure included in the financial statements to verify only bank accounts per the bank letters are disclosed

(2 marks)

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154 **Which of the following audit procedures provide relevant evidence for the ACCURACY, VALUATION & ALLOCATION assertion for share capital in the financial statements of Walker Co?**

(1) **Review board meeting minutes to identify matters relating to share capital, including ensuring proper authority was given for any share capital changes**

(2) **Agree the authorised share capital disclosed in the financial statements to the company's constitution documents**

(3) **Agree closing share capital balances in the trial balance to statutory records and current year draft financial statements**

(4) **Inspect bank ledger account to confirm cash receipts from rights issue have been appropriately recorded**

- O 1 and 2
- O 1 and 3
- O 2 and 4
- O 3 and 4

(2 marks)

(Total = 10 marks)

Scraper Co (Sep/Dec 2023, amended) (18 mins)

It is 1 July 20X5. You are an audit supervisor with Tunnel & Co and you are reviewing the audit of Scraper Co for the year ended 30 April 20X5. The audit of trade receivables and prepayments was performed by the audit assistant, Colin Walsh. The audit planning document required that a positive trade receivables confirmation (circularisation) be performed. The total value of trade receivables was $2.15m.

Results of the receivables confirmation

Confirmation letters were sent out to the 10 largest customers, totalling $409,000, together with 30 other balances which Colin selected using statistical sampling. After analysing the responses, the following working paper was prepared:

	Number of accounts	Total amount	Number of items confirmed	Total of balances confirmed	Differences
		$		$	$
10 largest customers	10	409,000	10	409,000	17,910
Other customers	253	1,741,000	30	149,220	5,040
	263	2,150,000	40	558,220	22,950

Largest customers

Colin identified that Stale Co replied stating that the balance due was $41,310 and that a payment of $8,640 was made to Scraper Co on 29 April 20X5. Scraper Co's accounting records showed that the balance outstanding was $59,220. Five of the other largest customers initially failed to respond.

Other customers

Following investigation, Colin discovered invoicing errors in three of the accounts which had been selected using statistical sampling. The errors resulted in an overstatement of the customers' balances of $5,040 in total.

Prepayments

Included in prepayments are advertising costs of $76,500. The finance director advised Colin that the company started using the services of a new advertising company during the year and signed

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an annual contract which commenced on 1 February 20X5. The full amount of the contract was paid in advance.

155 **Indicate, by clicking on the relevant boxes in the table below, whether each of the following statements applies to a positive receivables confirmation, a negative receivables confirmation or both.**

Provides audit evidence to satisfy the objective of testing existence	POSITIVE CONFIRMATION	NEGATIVE CONFIRMATION	BOTH
Cannot be used as the sole substantive procedure unless the population consists of a large number of small, homogeneous balances	POSITIVE CONFIRMATION	NEGATIVE CONFIRMATION	BOTH
The customer is requested to reply, indicating whether they agree or disagree with the balance included in the request	POSITIVE CONFIRMATION	NEGATIVE CONFIRMATION	BOTH

(2 marks)

---

156 **Which TWO of the following actions should Colin Walsh have taken on initial receipt of the response from Stale Co?**

- ☐ Inspect pre-year-end invoices and goods dispatched notes for evidence of an order for $9,270 sent to Stale Co
- ☐ Inspect correspondence with Stale Co for evidence of disputed invoices and discuss with management
- ☐ Agree receipt of the $8,640 to the post-year-end bank statements
- ☐ Ask management to adjust the year-end balance for the difference of $17,910 **(2 marks)**

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157 **Identify, by clicking on the relevant boxes in the table below, whether each of the following are suitable alternative procedures to confirm the year-end balance in respect of the five customers who did not respond to the confirmation.**

Inspect post year-end invoices and goods dispatched notes for each customer to confirm the amount recorded in the ledger at the year end	YES	NO
Review the aged receivables listing at the date of the audit to confirm post year-end cash receipts from each customer and agree receipts to bank statement	YES	NO
Review the allowances for receivables to ensure that the balances due from these customers are included.	YES	NO

(2 marks)

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158 **Based on the error discovered in the statistical sample of OTHER CUSTOMERS, which of the following amounts, to the nearest $, would be the estimated total error in the population of trade receivables?**

- O $88,393
- O $50,400
- O $58,803
- O $72,618

(2 marks)

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159 Some procedures are set out below:

(1) Compare the prepayment to the prior year and investigate any significant differences

(2) Review the signed contract for details of the services provided and confirm that Scraper Co will receive future economic benefits as a result of the contract

(3) Inspect the cash book/bank ledger for evidence of the amount paid to the advertising company and agree to the signed contract

(4) Inspect the signed contract and confirm the commencement date and recalculate the contract cost for May 20X5 to January 20X6

Which of the procedures should be carried out to determine whether the prepayment in relation to the advertising costs is UNDERSTATED?

- O 2 and 3
- O 4 only
- O 1, 3 and 4
- O 1, 2 and 4

(2 marks)

(Total = 10 marks)

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Section B

160 Lily (Dec 2012) (54 mins)

It is 1 July 20X5. Lily Window Glass Co (Lily) is a glass manufacturer, which operates from a large production facility, where it undertakes continuous production 24 hours a day, 7 days a week. Also on this site are two warehouses, where the company's raw materials and finished goods are stored. Lily's year end is 31 July.

Lily is finalising the arrangements for the year-end inventory count, which is to be undertaken on 31 July 20X5. The finished windows are stored within 20 aisles of the first warehouse. The second warehouse is for large piles of raw materials, such as sand, used in the manufacture of glass. The following arrangements have been made for the inventory count.

The warehouse manager will supervise the count as he is most familiar with the inventory. There will be ten teams of counters and each team will contain two members of staff, one from the finance and one from the manufacturing department. None of the warehouse staff, other than the manager, will be involved in the count.

Each team will count an aisle of finished goods by counting up and then down each aisle. As this process is systematic, it is not felt that the team will need to flag areas once counted. Once the team has finished counting an aisle, they will hand in their sheets and be given a set for another aisle of the warehouse. In addition to the above, to assist with the inventory counting, there will be two teams of counters from the internal audit department and they will perform inventory counts.

The count sheets are sequentially numbered, and the product codes and descriptions are printed on them but no quantities. If the counters identify any inventory which is not on their sheets, then they are to enter the item on a separate sheet, which is not numbered. Once all counting is complete, the sequence of the sheets is checked and any additional sheets are also handed in at this stage. All sheets are completed in ink.

Any damaged goods identified by the counters will be too heavy to move to a central location, hence they are to be left where they are but the counter is to make a note on the inventory sheets detailing the level of damage.

As Lily undertakes continuous production, there will continue to be movements of raw materials and finished goods in and out of the warehouse during the count. These will be kept to a minimum where possible.

The level of work in progress in the manufacturing plant is to be assessed by the warehouse manager. It is likely that this will be an immaterial balance. In addition, the raw materials quantities are to be approximated by measuring the height and width of the raw material piles. In the past this task has been undertaken by a specialist; however, the warehouse manager feels confident that he can perform this task.

Required

(a) For the inventory count arrangements of Lily Window Glass Co:

(1) Identify and explain **SIX** deficiencies; and

(2) Provide a recommendation to address each deficiency.

The total marks will be split equally between each part. **(12 marks)**

(b) You are the audit senior of Daffodil & Co and are responsible for the audit of inventory for Lily. You will be attending the year-end inventory count on 31 July 20X5.

In addition, your manager wishes to utilise automate tools and techniques (ATTs) for the first time for controls and substantive testing in auditing Lily Window Glass Co's inventory.

Describe the procedures to be undertaken by the auditor **DURING** the inventory count of Lily Window Glass Co in order to gain sufficient appropriate audit evidence.

(6 marks)

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(c) For the audit of the inventory cycle and year-end inventory balance of Lily Window Glass Co:

(i) Describe **FOUR** audit procedures that could be carried out using automated tools and techniques **(4 marks)**

(ii) Explain the potential advantages of using automated tools and techniques; and **(4 marks)**

(iii) Explain the potential disadvantages of using automated tools and techniques. **(4 marks)**

(Total = 30 marks)

161 Purrfect Co (Mar/Jun 2021) (36 mins)

It is 1 July 20X5. Purrfect co manufactures and sells a variety of food for dogs and cats. Your firm, Kirano & Co, has audited the company for a number of years. You are about to commence the final audit for the year ended 31March 20X5 and the draft financial statements show profit before income taxes of $23.1 million and total assets of $99.2 million.

Vego Dog – inventory valuation

Purrfect Co launched a new brand of vegan dog food, Vego Dog, in December 20X4 but sales have been lower than expected and the directors are considering a discounted sales price. Vego Dog products are valued using a standard costing method and the standard costing comprises raw materials, labour costs and production overheads. As at 31March 20X5, Vego Dog products with a standard cost of $2.4 million were included as finished goods in inventory.

Receivable – Ellah Co

One of the Purrfect Co's major customers, Ellah Co, operates a chain of pet stores with 23 stores across the country. There have been reports in the press for several months that Ellah Co's sales and profits have been falling and, in March 20X5, Ellah Co announced that 11 of its stores were to close in May 20X5. As at 31 March 20X5, Purrfect Co's trade receivables include $2.6 million outstanding from Ellah Co and no allowance has been included for this balance at the year end.

Contamination – legal claims

On 25 February 20X5, it was discovered that a batch of canned cat food had been contaminated with insecticide, which could be harmful to cats. This batch had been dispatched in November 20X4 to 247 retail stores. By 31 March 20X5, Purrfect Co had received legal claims totalling $1.9 million from consumers whose cats had eaten the contaminated food.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the matters identified regarding the inventory valuation of Vego Dog products. **(6 marks)**

(b) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the receivable balance due from Ellah Co. **(4 marks)**

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the legal claims following the contamination. **(5 marks)**

(d) The final audit is now nearing completion. The audit team is satisfied that legal claims received to date have been appropriately reflected in the financial statements. However, Purrfect Co's lawyer has advised you that it is possible that significant additional legal claims may be made by customers in future in respect of the contamination. The audit engagement partner has confirmed that this is a contingent liability that requires disclosure. The finance director has agreed to disclose some detail of the potential claims in the financial statements but the audit team is yet to confirm the adequacy of these disclosures.

Discuss the issues and describe the impact on the auditor's report of Purrfect Co of both adequate AND inadequate disclosure of the contingent liability. **(5 marks)**

(Total = 20 marks)

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162 Rose (Dec 2012, amended) (36 mins)

Rose Co operates a chain of health and fitness clubs. Its year end was 31 March 20X6. You are the audit manager and the year-end audit is due to commence shortly. The following three matters have been brought to your attention.

Trade payables and accruals

Rose Co's finance director has notified you that an error occurred in the closing of the payables ledger at the year end. Rather than it closing on 1 April, it accidentally closed one week earlier on 25 March. All purchase invoices received between 25 March and the year-end have been posted to the 20X7 year-end payables ledger.

Receivables

Rose Co's trade receivables have historically been low as most members pay monthly in advance. However, during the year a number of companies have taken up group memberships at Rose and hence the receivables balance is now material. The audit senior has undertaken a receivables circularisation for the balances at the year-end; however, there are a number who have not responded and a number of responses with differences.

Reorganisation

The company recently announced its plans to reorganise its health and fitness clubs. This will involve closing some clubs for refurbishment, retraining some existing staff and disposing of some surplus assets. These plans were agreed at a board meeting in March and announced to their shareholders on 29 March. Rose is proposing to make a reorganisation provision in the financial statements.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the issues identified with the trade payables and accruals balance. **(6 marks)**

(b) Describe substantive procedures the auditor should perform to obtain sufficient appropriate evidence in relation to the year-end receivables balance. **(5 marks)**

(c) Describe substantive procedures the auditor should perform to obtain sufficient appropriate evidence in relation to the proposed reorganisation. **(4 marks)**

(d) Explain the purpose of, and procedures for, obtaining written representations. **(5 marks)**

(Total = 20 marks)

163 Hyacinth (Mar/Jun 2019) (36 mins)

Hyacinth Co develops and manufactures computer components and its year end was 31 March 20X5. It is 1 July 20X5. The company has a large factory, and two warehouses, one of which is off-site. You are an audit supervisor of Tulip & Co and the final audit is due to commence shortly. Draft financial statements show total assets of $23.2 million and profit before income taxes of $6.4 million. The following three matters have been brought to your attention.

Inventory valuation

Your firm attended the year-end inventory count for Hyacinth Co and confirmed that the controls and processes for recording work in progress (WIP) and finished goods were acceptable. WIP and finished goods are both material to the financial statements and the audit team was able to confirm both the quantity and stage of completion of WIP.

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Before goods are dispatched, they are inspected by the company's quality control department. Just prior to the inventory count, it was noted that a batch of product line 'Crocus', which had been produced to meet a customer's specific technical requirements, did not meet that customer's quality and technical standards. This inventory had a production cost of $450,000. Upon discussions with the production supervisor, the finance director believes that the inventory can still be sold to alternative customers at a discounted price of $90,000.

Research and development

Hyacinth Co includes expenditure incurred in developing new products within intangible assets once the recognition criteria under IAS 38 *Intangible Assets* have been met. Intangible assets are amortised on a straight line basis over four years once production commences. The amortisation policy is based on past experience of the likely useful lives of the products. The opening balance of intangible assets is $1.9 million.

In the current year, Hyacinth Co spent $0.8 million developing three new products which are all at different stages of development.

Sales tax liability

Hyacinth Co is required by the relevant tax authority in the country in which it operates to charge sales tax at 15% on all products which it sells. This sales tax is payable to the tax authority. When purchasing raw materials and incurring expenses in the manufacturing process, the company pays 15% sales tax on any items purchased and this can be reclaimed from the tax authority. The company is required to report the taxes charged and incurred by completing a tax return on a quarterly basis, and the net amount owing to the tax authority must be remitted within four weeks of the quarter end. The draft financial statements contain a $1.1 million liability for sales tax for the quarter ended 31 March 20X5.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the VALUATION of Hyacinth Co's inventory. **(6 marks)**

(b) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Hyacinth Co's research and development expenditure. **(4 marks)**

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Hyacinth Co's year-end sales tax liability. **(4 marks)**

(d) The audit is now almost complete and the auditor's report is due to be signed shortly. The following matter has been brought to your attention:

On 3 May 20X5, a flood occurred at the off-site warehouse. This resulted in some damage to inventory and property, plant and equipment. However, there have been no significant delays to customer deliveries or complaints from customers. Hyacinth Co's management has investigated the cause of the flooding and believes that the company is unlikely to be able to claim on its insurance. The finance director of Hyacinth Co has estimated that the value of damaged inventory and property, plant and equipment was $0.7 million and that it now has no scrap value.

(1) Explain whether the 20X5 financial statements of Hyacinth Co require amendment in relation to the flood; and

(2) Describe audit procedures which should be performed in order to form a conclusion on any required amendment.

Note. The total marks will be split equally between each part. **(6 marks)**

(Total = 20 marks)

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164 Sagittarii & Co (Sep/Dec 2020) (36 mins)

It is 1 July 20X5. You are an audit manager of Sagittarii & Co and you are in charge of two final audits which are due to commence shortly. Vega Vista Co and Canopus Co are both existing clients with a financial year ended 30 March 20X5. Vega Vista Co is a not-for-profit charitable organisation which raises funds for disadvantaged families and the draft financial statements shoe revenue of $0.8 million. Canopus Co manufactures paint products in seven factories across the country and the draft financial statements show total equity and liabilities of $11.6 million.

The following matters have been brought to your attention for each company:

Vega Vista Co

Income

Vega Vista Co generates income in a number of ways. The main source of income is via an annual food and music festival held in September every year. Tickets, which cost $35, are sold in the nine-month period prior to the event and can be purchased in advance online or on the day of the event for cash. Approximately 15,000 people attended the September 20X4 event and more are anticipated for 20X5. At the event there are a number of stalls selling food and the charity receives a fixed percentage of these sundry sales. Also, during the festival, volunteers of the charity sign up individuals to make monthly donations, and these are paid by bank transfer to the charity. During the audit planning, the completeness and cut-off of income was flagged as a key audit risk.

Canopus Co

Restructuring provision

Canopus Co recently announced plans to fundamentally restructure its production processes due to a change in the focus of the company's operations. It has included a $2.1 million restructuring provision in the draft financial statements. The restructure involves a refurbishment of the factories, the purchase of new plant and equipment and retraining of existing staff. These plans were finally agreed at a board meeting in March 20X5 and announced to shareholders and employees just before the year end.

Bank loans

In readiness for the operational changes, the directors of Canopus Co decided to restructure the company's bank loans. As a result, several long-term loans were repaid early and a new ten-year bank loan of $4.8 million was taken out of 1 January 20X5. Repayments of $150,000 are due quarterly in arrears which includes interest.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Vega Vista Co's income.

Note. You should assume that the charity adopts International Financial Reporting Standards. **(5 marks)**

(b) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Canopus Co's restructuring provision. **(5 marks)**

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Canopus Co's bank loans. **(5 marks)**

(d) During the audit of Canopus Co's restructuring provision, the audit team discovered that $270,000 of costs included did not meet the criteria for inclusion as per IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. The finance director has suggested that no adjustment is made in the 20X5 financial statements as the provision is a matter of judgement and the provision has been deemed reasonable by the board.

Discuss the issue and describe the impact on the auditor's report, if any, should the issue remain unresolved. **(5 marks)**

(Total = 20 marks)

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165 Encore (Mar/Jul 2020) (36 mins)

It is 1 July 20X5. You are an audit supervisor with Velo & Co and you are working on the final audit of Encore Co for the year ended 30 April 20X5. Encore Co is a waste management company, supplying its services to a variety of governmental and business organisations. Encore Co's draft profit before income taxes is $5.3m (20X4: $4.6m) and total assets are $40.1m (20X4: $33.9m). You have been provided with the following information regarding the draft financial statements.

Vehicle additions and disposals

On 1 February 20X5, Encore Co replaced 20 of its recycling vehicles. The old vehicles had a carrying amount of $1.8 million, as recorded in the non-current assets register and were given in part-exchange against new vehicles costing $4.6 million. Cash consideration of $3.9 million was also paid.

Trade receivables

Encore Co's credit controller left the company in January 20X5 and has only recently been replaced. The trade receivables collection period increased from 49 days as at 31 December 20X4 to 66 days as at 30 April 20X5. Year-end trade receivables amounted to $9.1m (20X4: $7.1m) and an allowance for irrecoverable receivables of $182,000 (20X4: $142,000) has been made.

Potential breach of transport regulations

In March 20X5, a former employee of Encore Co made a complaint to the transport authority, alleging that Encore Co has breached the regulations concerning maximum driving hours and compulsory rest breaks for drivers on a number of occasions. The transport authority has launched an investigation but the directors of Encore Co are not intending to disclose this issue or make any provision as they do not believe that the potential fine, which is $50,000 per breach, is material.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Encore Co's vehicle additions and disposals.

(6 marks)

(b) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the VALUATION of Encore Co's trade receivables.

(5 marks)

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the potential breach of transport regulations by Encore Co.

(4 marks)

(d) It is now 26 August 20X5 and the auditor's report for Encore Co is being finalised. On 12 August 20X5, the transport authority announced that it was taking legal action against Encore Co in respect of 17 breaches of the regulations. Encore Co's lawyers have advised that it is probable that Encore Co will be found guilty of all the breaches. Encore Co's directors have informed you that no provision will be made in respect of this matter, as the decision by the authority to take legal action was made after the year end, but they have agreed to disclose the issue in the notes to the financial statement.

Discuss the issue and describe the impact on the auditor's report, if any, should this issue remain unresolved.

(5 marks)

(Total = 20 marks)

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166 Gooseberry Co (Mar/Jun 2018) (36 mins)

You are an audit manager of Cranberry & Co and you are currently responsible for the audit of Gooseberry Co, a company which develops and manufactures health and beauty products and distributes these to wholesale customers. Its draft profit before income taxes is $6.4 million and total assets are $37.2 million for the financial year ended 31 January 20X8. The final audit is due to commence shortly and the following matters have been brought to your attention:

Research and development

Gooseberry Co spent $1.9 million in the current year developing nine new health and beauty products, all of which are at different stages of development. Once they meet the recognition criteria under IAS 38 *Intangible Assets* for development expenditure, Gooseberry Co includes the costs incurred within intangible assets. Once production commences, the intangible assets are amortised on a straight line basis over three years. Management believe that this amortisation policy is a reasonable approximation of the assets' useful lives, as in this industry there is constant demand for innovative new products.

Depreciation

Gooseberry Co has a large portfolio of property plant and equipment (PPE). In March 20X7, the company carried out a full review of all its PPE and updated the useful lives, residual values, depreciation rates and methods for many categories of asset. The finance director felt the changes were necessary to better reflect the use of the assets. This resulted in the depreciation charge of some assets changing significantly for this year.

Bonus

The company's board is comprised of seven directors. They are each entitled to a bonus based on the draft year-end net assets, excluding intangible assets. Details of the bonus entitlement are included in the directors' service contracts. The bonus, which related to the 20X8 year end, was paid to each director in February 20X8 and the costs were accrued and recognised within wages and salaries for the year ended 31 January 20X8. Separate disclosure of the bonus, by director, is required by local legislation.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Gooseberry Co's research and development expenditure. **(5 marks)**

(b) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the matters identified regarding depreciation of property, plant and equipment. **(5 marks)**

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the directors' bonuses. **(5 marks)**

(d) During the audit, the team discovers that the intangible assets balance includes $440,000 related to one of the nine new health and beauty products development projects, which does not meet the criteria for capitalisation. As this project is ongoing, the finance director has suggested that no adjustment is made in the 20X8 financial statements. She is confident that the project will meet the criteria for capitalisation in 20X9.

Discuss the issue and describe the impact on the auditor's report, if any, should this issue remain unresolved. **(5 marks)**

(Total = 20 marks)

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167 Danube Co (Sep/Dec 2021) (36 mins)

It is 1 July 20X5. Danube Co is listed on a stock exchange and sells consumer goods to wholesale customers. The company has a large head office and 18 warehouses. You are an audit supervisor of Mississippi & Co and the final audit for the year ended 31 March 20X5 is due to commence shortly. The draft financial statements show total assets of $198.5 million and profit before income taxes of $56.1 million. The following three matters have been brought to your attention.

Land and buildings

Danube Co historically recorded all property, plant & equipment (PPE) at cost less accumulated depreciation. However, during the year, management decided to change the accounting policy for land and buildings from the cost model to the revaluation model. The finance director hired an external independent valuer to undertake the valuation of all land and buildings; this took place in July 20X4. Depreciation is calculated monthly on a pro rata basis. Danube Co's year-end balance for PPE includes land and buildings of $79.2m (20X4: $64m).

Trade receivables circularisation

Danube Co's year-end trade receivables balance of $9.3m (20X4: $7.7m) has significantly increased compared to the prior year. Danube Co's receivables ledger is made up of a large number of customers with balances ranging from $15,000 to $150,000. A positive trade receivables circularisation has been undertaken by the audit team based on the year-end balances. The majority of responses from customers agreed to the balances as per Danube Co's receivables ledger at 31 March 20X5, however the following exceptions were noted:

Customer	Balance per Danube Co	Response from customer
Nile Co	$141,102	No response
Congo Co	$136,321	$122,189

Provision and receivable arising from the sale of defective goods

In December 20X4 Danube Co sold a number of hoverboards to a customer, Kalama Kids Co. It is alleged by Kalama Kids Co that these hoverboards are faulty, as there have been a few instances of the hoverboards overheating and catching fire. As a result, Kalama Kids Co is suing Danube Co for $3.9 million. The court case is due to take place in August 20X5 and management believes that Kalama Kids Co's claim is likely to be successful. No hoverboards remain in Danube Co's inventory at the year end. Danube Co purchased the hoverboards from a supplier, Thames Co. In February 20X5 Danube Co contacted Thames Co and requested that they reimburse Danube Co for damages which may become payable as a result of the sale of defective hoverboards. Danube Co is requesting a sum of $3.9 million from Thames Co. The draft financial statements contain a provision of $3.9 million in respect of the customer's claim and a receivable of $3.9 million in respect of Danube Co's counter-claim against its supplier.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Danube Co's land and buildings. **(6 marks)**

(b) Describe the procedures the auditor should perform in relation to the exceptions noted during the trade receivables circularisation in respect of Nile Co and Congo Co.

Note. The marks will split equally between each customer. **(4 marks)**

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the PROVISION and the RECEIVABLE arising from the sale of defective goods. **(5 marks)**

(d) (i) Describe the factors which the audit engagement partner would have considered in determining that this issue is a KAM; and **(3 marks)**

(ii) Describe the content of the KAM section of the auditor's report for Danube Co. **(2 marks)**

(Total = 20 marks)

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168 Spinach Co (Mar/Jun 2022) (36 mins)

It is 1 July 20X5. You are an audit supervisor with Sweetcorn & Co and are responsible for the final audit of your existing client Spinach Co, which is due to commence in September 20X5. Spinach Co is a listed company which manufactures garden furniture. Its draft financial statements for the year ending 31 July 20X5 show revenue of $65.1 million and profit before income taxes of $18.2 million. The following matters have been brought to your attention.

Revenue

Spinach Co's revenue is generated through sales to individual customers via its website and also to wholesale customers such as garden centres and stores. Price increases in line with inflation were applied across all products in September 20X4. Spinach Co successfully launched three new product lines in February 20X5. Wholesale customers place their orders on credit via Spinach Co's sales ordering department. Individual customers place their order online and immediately pay the full amount owing. The goods are normally dispatched within seven days of the customer placing the order.

Inventory count

Spinach Co is forecasting a year-end inventory balance of $9.3 million. The company undertakes continuous production and full year-end inventory counts will be carried out on 31 July 20X5. Spinach Co's raw materials and finished goods inventory are stored in its six warehouses which are located across the country. The company has one factory site and it is expected that there will be no significant work in progress held at the year end. Each inventory count will be supervised by a member of Spinach Co's internal audit department. There will be no movements of goods in and out of the warehouses during the counts. Sweetcorn & Co will only attend some of the counts. The largest warehouse is located at the factory site and around 10% of this warehouse space is rented out to a third-party company, which stores its inventory of cleaning products there. The finance director has explained that the third-party inventory is located in one specific area of the warehouse.

Issue of share capital

The company is looking to expand its operations by securing an additional factory site in January 20X6. In order to raise sufficient capital to fund the factory purchase, Spinach Co issued ordinary shares at a premium in May 20X5, raising a sum of $4.3 million.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Spinach Co's revenue. **(5 marks)**

(b) Describe the audit procedures the auditor should perform as part of the audit of Spinach Co BEFORE and DURING the inventory count. **(6 marks)**

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Spinach Co's issue of share capital. **(4 marks)**

(d) It is now 12 November 20X5. During the audit of Spinach Co's inventory, the audit team identified five product lines which were very slow moving and concluded that the net realisable value of these goods was below cost. A significant write down of inventory was required in order to comply with IAS 2 Inventories. The audit engagement partner has determined that inventory is now appropriately valued and that this issue should be communicated as a key audit matter (KAM) in accordance with ISA 701 *Communicating Key Audit Matters in the Independent Auditor's Report*.

Required

(i) Describe the factors which the audit engagement partner would have considered in determining that this issue is a KAM; and

(ii) Describe the content of the KAM section of the auditor's report for Spinach Co.

(5 marks)

(Total = 20 marks)

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169 Pacific Co (Sep/Dec 2022) (36 mins)

It is 1 July 20X5. Pacific Co operates a chain of 14 retail stores across the country, selling its own range of cosmetic products. You are the audit supervisor of Caribbean & Co and the final audit is due to commence shortly for the year ended 31 May 20X5. Draft financial statements show revenue of $45.2 million and profit before income taxes of $4.1 million. The following three matters have been brought to your attention.

Trade payables and accruals

As part of the year-end process, Pacific Co's payables ledger is closed at the end of the day on 31 May. Any invoices received after this date, relating to goods received before the year end, are recorded in the goods received not invoiced (GRNI) accrual.

This year, the payables ledger was kept open in error until 1 June 20X5. As a result, a significant payment run for suppliers made by bank transfer on 1 June 20X5 was recorded in the 20X5 payables ledger. The finance director has confirmed that the year-end trade payables balance was corrected using a journal.

Provision for legal claims

In March 20X5, a number of claims were received by the company from customers who suffered severe allergic reactions after using one of Pacific Co's products. They allege that the product ingredients listed on the label were incorrect. An internal investigation has suggested that one batch of the product had been incorrectly labelled. The finance director has recognised a provision in the draft financial statements of $0.5 million.

Revenue

The company's revenue has increased by $3.9 million during the year (20X4: total revenue $41.3 million). The management accounts record information for revenue by key product line, of which there are eight, and also by store. In August 20X4, Pacific Co opened a new retail store, bringing the number of stores to 14. In addition, it launched a number of new products across most of the key product lines.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the COMPLETENESS of Pacific Co's trade payables and accruals. **(5 marks)**

(b) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Pacific Co's provision for the legal claims. **(6 marks)**

(c) Describe SUBSTANTIVE ANALYTICAL procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Pacific Co's revenue. **(4 marks)**

(d) During the audit of Pacific Co's provision for the legal claims, the audit team gathered audit evidence showing that the provision should amount to $0.8 million. The finance director has suggested that no adjustment is made in the 20X5 financial statements as he believes $0.5 million is a reasonable estimate and that the difference of $0.3 million is not material.

Discuss the issue and describe the impact on the auditor's report, if any, should this issue remain unresolved.

(5 marks)

(Total = 20 marks)

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170 Heron Co (Mar/Jun 2023) (36 mins)

It is 1 July 20X5. You are an audit supervisor of Owl & Co, responsible for the final audit of Heron Co for the year ended 31 May 20X5 which is due to commence shortly. Heron Co is a manufacturer of colour dyes used in the textile industry. Its draft financial statements show total assets of $65.4 million and profit before income taxes of $8.9 million. The following matters have been brought to your attention.

Additions to plant and equipment

Heron Co incurred significant capital expenditure in the year as it purchased a new manufacturing line. All costs incurred in the purchase and installation of the manufacturing line have been recognised as plant and equipment within non-current assets. The amount capitalised of $3.6 million includes the purchase price of $2.7 million, delivery and installation costs of $0.3 million, refundable purchase tax of $0.5 million and $0.1 million incurred in training staff on how to operate the new plant and equipment. In addition to the $3.6 million capitalised, Heron Co incurred costs of $0.2 million testing the quality of the dye being produced by the new manufacturing line. The finance director has also capitalised this cost within plant and equipment. Heron Co started using the new manufacturing line in December 20X4 and it has a useful life of eight years.

Bank balances

The bank figure included in Heron Co's draft financial statements comprises four bank account balances: an overdraft of $2.4 million which is the company's main current account and a total of $0.6 million relating to three savings accounts. The finance director has informed the audit team that all four accounts have been reconciled as at the year end.

Provision for legal claim

Parrot Co, a customer of Heron Co, has made a claim for $0.8 million against the company. Parrot Co is claiming that a customised yellow dye purchased from Heron Co in March 20X5 was sub-standard and that, as a result, Parrot Co had to scrap a large batch of clothes it was producing. The finance director has included a provision of $0.6 million in the draft financial statements for the year ended 31 May 20X5 as she believes that this is the likely sum to be paid to settle the claim. The yellow dye was not sold to any other customers and Heron Co does not hold any inventory of the dye at the year end.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the matters identified regarding Heron Co's ADDITIONS to plant and equipment. **(5 marks)**

(b) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Heron Co's bank balances. **(5 marks)**

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Heron Co's provision for the legal claim. **(5 marks)**

(d) It is now 28 August 20X5 and the audit of Heron Co is almost complete. The auditor's report is due to be signed shortly. The following matter has been brought to your attention. On 14 July 20X5, Sparrow Co, a customer of Heron Co with a receivables balance of $692,000 at 31 May 20X5, notified Heron Co that it was experiencing significant cash flow difficulties and would be unable to make any payments for the foreseeable future. The finance director of Heron Co believes that as Sparrow Co is a long-standing customer and has been trading for many years, the outstanding amount will be received in full in due course, and has therefore not adjusted the receivable balance in the financial statements for the year ended 31 May 20X5.

Required

(i) Explain whether the 20X5 financial statements of Heron Co require amendment in relation to the outstanding balance with Sparrow Co; and **(3 marks)**

(ii) Describe TWO audit procedures which should be performed in order to form a conclusion on any required amendment. **(2 marks)**

(Total = 20 marks)

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171 Latte Co (Sep/Dec 2023) (36 mins)

It is 1 July 20X5. You are an audit supervisor with Macchiato & Co currently working on the final audit of Latte Co, a supplier of catering equipment, for the year ended 31 March 20X5. Latte Co is a listed company with total assets of $22.7 million and profit before income taxes of $3.2 million. You are responsible for finalising the audit fieldwork in respect of the following:

Trade receivables

Latte Co's net trade receivables balance is $5.1 million which comprises trade receivables of $5.5 million and an allowance for receivables of $0.4 million at 31 March 20X5 (20X4: receivables of $4.4m and an allowance of $0.6m). As a result of a lack of responses in prior years, the audit engagement partner has decided that a trade receivables circularisation will not be performed this year. Instead, he has asked you to identify alternative substantive procedures to confirm the existence and valuation of trade receivables.

Provision for legal claim

A former employee of Latte Co has made a claim for $0.6 million against the company in respect of an injury suffered while operating equipment which did not have the correct safety equipment installed. The directors have recognised a provision of $0.25 million in the current year financial statements which is the maximum amount they are willing to pay to settle the claim.

Bank loan

Latte Co obtained a new three-year bank loan of $1 million on 1 October 20X4 to finance the purchase of new equipment. The loan attracts an interest rate of 5%. Under the terms of the loan, 10 payments of $105,000, comprising capital and interest, are due to be made on a quarterly basis commencing 31 December 20X4. Latte Co did not make the quarterly payment due on 31 March 20X5 until 15 April 20X5.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate evidence in relation to the EXISTENCE and VALUATION of Latte Co's trade receivables. **(6 marks)**

(b) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate evidence in relation to Latte Co's provision for the legal claim. **(4 marks)**

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate evidence in relation to Latte Co's bank loan. **(5 marks)**

(d) It is now 12 August 20X5. During the audit of the legal claim against Latte Co, the audit team concluded that a provision of $0.6 million should be recognised, rather than the $0.25 million originally provided for. A significant increase in the provision was required, in order to comply with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. The audit engagement partner has determined that the provision is now appropriately valued and that this issue should be communicated as a key audit matter (KAM) in accordance with ISA 701 *Communicating Key Audit Matters in the Independent Auditor's Report*.

Required

(i) Describe the factors which the audit engagement partner would have considered in determining that this issue is a KAM; and

(ii) Describe the content of the KAM section of the auditor's report for Latte Co. **(5 marks)**

(Total = 20 marks)

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172 Cookit Co (Mar/Jun 2024) (36 mins)

It is 1 July 20X5. Cookit Co owns ten shops selling kitchen equipment. Your firm, Beeny & Co, is about to commence the final audit for the year ended 31 May 20X5. Draft profit before income taxes is $22.8m (20X4: $19.7m) and net assets are $84.3m (20X4: $77.7m). The following matters have been brought to your attention:

Inventory

Cookit Co sells a range of cookery products endorsed by a famous TV chef, Remy Gusteau. In February 20X5, the TV company that produced his show cancelled the programme which led to a reduction in demand for Remy Gusteau products. Cookit Co stopped purchasing these goods in March 20X5. Total inventory in the draft financial statements for the year ended 31 May 20X5 is $4.25m. Cookit Co's system-generated inventory valuation report shows that this includes Remy Gusteau products at a cost of $1.7m. A member of the audit team attended the year-end inventory count of Cookit Co.

Decrease in trade payables

The accounts payable clerk left the company in January 20X5 and no replacement has yet been hired. The following information has been provided by the finance director of Cookit Co:

	31 May 20X5	31 May 20X4
Trade payables	$2.8m	$3.5m
Payables payment period	53 days	72 days

The finance director also mentioned that no reconciliations of supplier statements had been performed since December 20X4. The audit team has decided not to perform a year-end payables circularisation as response rates in previous years were low.

Redundancy provision

In May 20X5, the management of Cookit Co decided to close down one of the shops as it is unprofitable. An announcement of this decision was made on the company's website on 28 May 20X5 and staff informed of the timetable for closure. All 32 staff employed in the shop are to be made redundant and a redundancy provision of $1.8m is included in the draft financial statements for the year ended 31 May 20X5. The closure is expected to take place in September 20X5.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the VALUATION of Cookit Co's inventory. **(5 marks)**

(b) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the COMPLETENESS of Cookit Co's trade payables. **(5 marks)**

(c) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Cookit Co's redundancy provision. **(5 marks)**

(d) The final audit is now nearing completion and you are reviewing the financial statements. The directors have told you that they have decided against including the redundancy provision of $1.8m in the financial statements for the year ended 31 May 20X5 as the closure of the shop will not take place until September 20X5.

Discuss the issue and describe the impact on the auditor's report, if any, should this issue remain unresolved. **(5 marks)**

(Total = 20 marks)

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Part E: Review and reporting

The questions in this Part cover Review and reporting, the subject of Chapters 19 and 20 of the BPP Audit and Assurance Course Book.

Section A

Chestnut (Jun 2015, amended) (18 mins)

It is 1 July 20X5. You are the audit manager of Chestnut & Co and are reviewing the key issues identified in the files of two audit clients.

The first audit client is Palm Industries Co (Palm), a listed company. Palm's year end was 31 March 20X5 and the draft financial statements show revenue of $28.2 million, receivables of $5.6 million and profit before income taxes of $4.8 million. The fieldwork stage for this audit has been completed.

A customer of Palm owed an amount of $350,000 at the year end. Testing of receivables in April highlighted that no amounts had been paid to Palm from this customer as they were disputing the quality of certain goods received from Palm. The finance director is confident the issue will be resolved and no allowance for receivables was made with regards to this balance.

The second audit client is Ash Trading Co (Ash). Ash is a new client of Chestnut & Co, its year end was 31 January 20X5 and the firm was only appointed as auditor in February 20X5, as the previous auditor was suddenly unable to undertake the audit. The fieldwork stage for this audit is currently ongoing.

The inventory count at Ash's warehouse was undertaken on 31 January 20X5 and was overseen by the company's internal audit department. Neither Chestnut & Co nor the previous auditors attended the count. Detailed inventory records were maintained but it was not possible to undertake another full inventory count subsequent to the year end.

The draft financial statements show a profit before income taxes of $2.4 million, revenue of $10.1 million and inventory of $510,000.

173 **Which of the following audit procedures should be performed in order to form a conclusion on whether an amendment is required in Palm's 20X5 financial statements in respect of the disputed balance?**

Review whether any payments have subsequently been made by this customer since the audit fieldwork was completed	PERFORM	DO NOT PERFORM
Match the total of the aged receivables listing to the receivables ledger control account	PERFORM	DO NOT PERFORM
Vouch the balance owed by the customer at the year end to sales invoices	PERFORM	DO NOT PERFORM
Review the latest customer correspondence with regards to an assessment of the likelihood of the customer making payment	PERFORM	DO NOT PERFORM

(2 marks)

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174 **Which of the following correctly summarises the effect of the issue relating to the inventory count of Ash at the year end?**

	Material	Financial statement impact
○	No	Current assets are understated
○	No	Gross profit may be understated
○	Yes	Opening inventory may be materially misstated
○	Yes	Gross profit may be overstated

(2 marks)

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175 The audit engagement partner for Ash has requested that additional audit procedures be performed in order to conclude on the level of adjustment needed in relation to the above inventory issue.

Which TWO of the following audit procedures should be performed in order to form a conclusion as to whether Ash's 20X5 financial statements require amendment?

- ☐ Obtain a copy of the aged inventory report and use computer-assisted audit techniques to verify the accuracy of the report. Discuss the valuation of slow-moving inventory with the production director
- ☐ Review the internal auditors' reports of the inventory count to identify the level of adjustments made to the records, in order to assess the reasonableness of relying on the inventory records for the purpose of the year-end audit
- ☐ Perform test counts of inventory in the warehouse and compare these first to the inventory records, and then from inventory records to the warehouse, in order to assess the reasonableness of the inventory records maintained by Ash
- ☐ Review Ash's sales order book for February, March and April 20X5 to estimate the level of inventory that will need to be produced in the new accounting period to fulfil customer demand

(2 marks)

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176 Following the inability to attend the inventory count of Ash, an engagement quality reviewer has been appointed to the audit.

Indicate which of the following should be included within the engagement quality review?

Evaluation of all significant audit judgements	INCLUDE	EXCLUDE
Evaluation of the performance of specific audit procedures performed	INCLUDE	EXCLUDE
Evaluation of the cost-effectiveness of the audit process	INCLUDE	EXCLUDE
Evaluation of conclusions reached in formulating auditor's report	INCLUDE	EXCLUDE

(2 marks)

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177 Alternative procedures, performed as a result of Chestnut & Co being unable to attend the inventory count of Ash, did not provide sufficient appropriate audit evidence regarding the inventory balance in the statement of financial position.

From the options below indicate the audit opinion which would be given in these circumstances and the appropriate disclosure in the auditor's report.

	Audit opinion	Disclosure in the auditor's report
○	Qualified	Basis for qualified opinion
○	Disclaimer	Basis for disclaimer of opinion
○	Qualified	Key audit matters section
○	Disclaimer	Emphasis of matter

(2 marks)

(Total = 10 marks)

Strawberry (Jun 2012, amended) (18 mins)

You are the audit manager of Kiwi & Co. Your client is Strawberry Kitchen Designs Co (Strawberry), which is a kitchen manufacturer. The company's year-end is 30 April 20X2.

Strawberry has had a challenging year. Grape Co, a major customer of Strawberry which owes $0.6 million, is experiencing financial difficulties. However, the balance is included within the financial statements. The sales director has recently left Strawberry and has yet to be replaced. As a result Strawberry has struggled to win any new business in the last six months.

The monthly cash flow has shown a net cash outflow for the last two months of the financial year and is forecast as negative for the forthcoming financial year.

You have performed some analytical procedures on the draft financial statements and have calculated the following ratios:

	20X2	*20X1*
	Draft	*Actual*
Inventory holding period (days)	95	97
Receivables collection period (days)	65	49
Payables payment period (days)	120	86

Due to its poor cash flow, Strawberry missed a loan repayment and, as a result of this breach in the loan covenants, the bank has asked that the loan of $4.8 million be repaid in full within 6 months.

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178 **Which of the following are potential indicators that Strawberry is not a going concern?**

(1) **The breach of the loan covenants**

(2) **The departure of the sales director**

(3) **The fall in the inventory holding period**

(4) **The negative cash flow figures**

- ○ 1, 2 and 3
- ○ 2, 3 and 4
- ○ 1, 3 and 4
- ○ 1, 2 and 4

(2 marks)

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179 You are reviewing the management's assessment of Strawberry's ability to continue as a going concern.

What period must management's assessment cover?

- ○ At least 12 months from the date of the auditor's report
- ○ At least 12 months from the date of the financial statements
- ○ A maximum of 12 months from the date of the auditor's report
- ○ A maximum of 12 months from the date of the financial statements

(2 marks)

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180 You are concerned that the debt due from Grape Co may not be recoverable and believe that this would have a significant effect on the viability of Strawberry.

Which of the following would provide you with the most reliable evidence regarding the recoverability of this debt?

- ○ A management representation confirming its recoverability
- ○ The response from the customer to your circularisation performed earlier in the audit confirming the amount owed
- ○ Identification during your subsequent events review of a cash receipt for the full amount
- ○ Correspondence between Strawberry's lawyer and Grape Co's lawyers confirming that the amount will be paid

(2 marks)

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181 You have raised your concerns with management regarding the ability of Strawberry to repay the $4.8 million loan in 6 months. The directors have assured you that this will be possible as they have a contingency plan.

Which of the following courses of action by the directors would provide you with the most assurance that Strawberry will be able to meet this commitment?

- ○ Plans to dispose of a property valued at $5.2 million in August 20X2
- ○ The reopening of negotiations regarding the terms of the loan with the current provider
- ○ Plans to substantially cut production costs by moving production to Asia
- ○ Agreement by an alternative financial institution to lend Strawberry $4.8 million in September 20X2

(2 marks)

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182 You have concluded that Strawberry is not a going concern.

If the directors refuse to amend the financial statements which of the following correctly describes the impact on the auditor's report?

	Auditor's opinion	Explanation of circumstances
O	Adverse opinion	Basis for adverse opinion
O	Qualified opinion	Basis for qualified opinion
O	Adverse opinion	Material uncertainty related to going concern
O	Qualified opinion	Material uncertainty related to going concern

(2 marks)

(Total = 10 marks)

Clarinet (Jun 2014 amended) (18 mins)

It is 1 July 20X5. Clarinet Co (Clarinet) is a computer hardware specialist and has been trading for over five years. The company is funded partly through overdrafts and loans and also by several large shareholders; the year end is 30 April 20X5.

Clarinet has experienced significant growth in previous years; however, in the current year a new competitor, Drums Design Co (Drums), has entered the market and through competitive pricing has gained considerable market share from Clarinet including one of its largest customers. Clarinet is looking to develop new products to differentiate itself from the rest of its competitors. It has approached its shareholders to finance this development; however, they declined to invest further in Clarinet. Clarinet's loan is long term and it has met all repayments on time. The overdraft has increased significantly over the year and the directors have informed you that the overdraft facility is due for renewal next month and they believe it will be renewed.

The directors have produced a cash flow forecast which shows a significantly strengthening position over the coming 12 months. They are confident with the new products being developed and, in light of their trading history of significant growth, believe it is unnecessary to make any disclosures in the financial statements regarding going concern.

At the year end, Clarinet received notification from one of its customers that the hardware installed by Clarinet for the customers' online ordering system has not been operating correctly. As a result, the customer has lost significant revenue and has informed Clarinet that they intend to take legal action against them for loss of earnings. Clarinet has investigated the problem post year end and discovered that other work in progress is similarly affected and inventory should be written down by $375,000. The finance director believes that as this misstatement was identified after the year end, it can be amended in the 20X6 financial statements. Draft financial statements for the year ended 30 April 20X5 showed profit before income taxes of $2.5 million.

183 **Which of the following correctly summarises whether the uncorrected misstatement of inventory is material and its impact on the 20X5 financial statements?**

	Material	Adjust in 20X5 financial statements
O	No	No
O	No	Yes
O	Yes	Yes
O	Yes	No

(2 marks)

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184 **Which of the following factors are indicators that may cast doubt on Clarinet's ability to continue as a going concern?**

(1) **The entry of the new competitor reducing Clarinet's market share**

(2) **The significant increase in the overdraft**

(3) **The company has a long-term loan**

(4) **The reluctance of the shareholders to provide further investment in Clarinet**

- O 1, 2 and 3
- O 1, 2 and 4
- O 1, 3 and 4
- O 2, 3 and 4

(2 marks)

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185 As part of your assessment of going concern you have reviewed the cash flow forecast. This is based on the assumption of significant increases in revenue.

Which of the following procedures would provide the most reliable evidence regarding the validity of this assumption?

- O Email correspondence between the sales director and potential new customers
- O A review of board minutes showing details of new customers won
- O A review of post year-end sales and the order book
- O Discussions with management regarding their plans for obtaining new business

(2 marks)

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186 You have concluded that circumstances exist which cast significant doubt on Clarinet's ability to continue as a going concern.

Which of the following must you include in your communication with those charged with governance in accordance with ISA 570 (Revised) *Going Concern*?

(1) **Whether the circumstances you have identified constitute a material uncertainty**

(2) **Whether the use of the going concern basis of accounting is appropriate in the preparation and presentation of the financial statements**

(3) **The adequacy of the related disclosures**

(4) **The period of time your assessment has covered if less than 12 months from the date of the financial statements**

- O 1, 2 and 3
- O 1, 2 and 4
- O 1, 3 and 4
- O 2, 3 and 4

(2 marks)

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187 The auditors have been informed that Clarinet's bankers will not make a decision on the overdraft facility until after the auditor's report is completed. The directors have now agreed to include some going concern disclosures and you believe these disclosures are adequate.

Which of the following correctly summarises the impact on the auditor's report of Clarinet if the auditor believes the company is a going concern but that this is subject to a material uncertainty?

	Opinion	Disclosure
○	Modified	Key audit matters
○	Unmodified	Material uncertainty related to going concern
○	Unmodified	Key audit matters
○	Modified	Material uncertainty related to going concern

(2 marks)

(Total = 10 marks)

Czech & Dawson **(18 mins)**

It is 1 July 20X5. You are the audit manager of Savage & Co. It is a busy time of year for you as you have several ongoing audit clients at the moment and you are in the process of dealing with a number of outstanding issues and queries from members of your audit teams.

Czech Co (Czech)

Czech is a pharmaceutical company. The fieldwork has been completed and you are currently reviewing the audit file. The audit senior is not sure how to deal with the following issue.

Czech has incurred research expenditure of $2.1 million and development expenditure of $3.2 million during the year, all of which has been capitalised as an intangible asset. Profit before income taxes is $26.3 million.

Dawson Co (Dawson)

The fieldwork on this audit is also complete with the exception of the following issue which the audit senior has been unable to deal with.

Dawson's computerised wages program is backed up daily; however, for a period of two months the wages records and back-ups have been corrupted, and therefore cannot be accessed. Wages and salaries for these 2 months are $1.1 million. Profit before income taxes is $10 million.

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188 You have just received a phone call from one particular audit senior who is unsure about the steps to take in relation to uncorrected misstatements.

Which of the following statements correctly describe the auditor's responsibility in respect of misstatements?

- ○ ISA 450 *Evaluation of Misstatements Identified During the Audit* states that the auditor only has a responsibility to accumulate material misstatements identified during the audit
- ○ Where misstatements are not material the auditor should request that management correct the misstatements in the following accounting period
- ○ If management refuses to correct some or all of the misstatements, the auditor should consider the implications of this for their audit opinion
- ○ A written representation should be requested from management to confirm whether they believe that the effects of the unadjusted misstatements are immaterial, both individually and in aggregate, to the financial statements as a whole **(2 marks)**

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189 **Which TWO of the following audit procedures should be performed in order to form a conclusion on whether an amendment is required to Czech's financial statements in respect of the research and development expenditure?**

- ☐ Discuss the requirements of IAS 38 *Intangible Assets* with the directors in order to determine whether they understand the required accounting treatment of research and development expenditure
- ☐ Obtain a breakdown of the $5.3 million capitalised as an intangible asset and agree to supporting documentation to determine the nature of the projects to which the expenditure relates
- ☐ Review minutes of board meetings to determine whether the expenditure was authorised
- ☐ Visit the laboratory where the current research is being undertaken and to confirm occurrence of the research expenditure **(2 marks)**

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190 **Which of the following options correctly summarises the impact on the auditor's report for Czech if the issue remains unresolved?**

- ○ Unmodified opinion with key audit matters paragraph
- ○ Qualified opinion with key audit matters paragraph explaining the issue
- ○ Qualified opinion
- ○ Adverse opinion **(2 marks)**

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191 **Which of the following correctly summarises the effect of the issue relating to the wages balance in the financial statements of Dawson?**

	Material	Financial statement impact
○	No	Liabilities to tax authorities may be understated
○	No	Profit may be overstated
○	Yes	Wages may be materially misstated
○	Yes	Proper accounting records have not been kept

(2 marks)

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192 **Based on the above information, which of the following options correctly summarises the impact of the wages and salaries issue on the auditor's report for Dawson?**

	Audit opinion	Disclosure in the auditor's report
○	Qualified	Basis for qualified opinion
○	Disclaimer	Basis for disclaimer of opinion
○	Qualified	Key audit matters section
○	Qualified	Emphasis of matter

(2 marks)

(Total = 10 marks)

Medimade (Jun 2010, amended) (18 mins)

It is 1 July 20X5. Medimade Co is an established pharmaceutical company that has for many years generated 90% of its revenue through the sale of two specific cold and flu remedies. Medimade Co has lately seen a real growth in the level of competition that it faces in its market and demand for its products has significantly declined.

You are the audit manager responsible for the audit of Medimade Co's financial statements for the year ended 31 March 20X5.

In addition to recruiting staff, Medimade Co needed to invest $2 million in plant and machinery. The company wanted to borrow this sum but was unable to agree suitable terms with the bank; therefore it used its overdraft facility, which carried a higher interest rate. Consequently, some of Medimade Co's suppliers have been paid much later than usual and hence some of them have withdrawn credit terms meaning the company must pay cash on delivery.

193 **Which TWO of the following statements are correct with regard to the going concern basis of accounting?**

- ☐ The going concern basis of accounting is used when the entity will be able to continue in business for the foreseeable future
- ☐ The foreseeable future is defined for accounting purposes as 6 months from the company's reporting date
- ☐ The going concern basis of accounting assumes that the entity will be able to realise its assets and discharge its liabilities in the normal course of business
- ☐ Financial statements that are prepared on a going concern basis assert that the company will be in the position of having net current assets for the next 12 months

(2 marks)

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194 **Which TWO of the following statements describe the most direct impact the withdrawal of supplier credit has on Medimade Co's use of the going concern basis of accounting?**

- ☐ Medimade Co now has to pay cash on delivery and this adds further cash flow strain imposed by the overdraft
- ☐ Some suppliers may end their relationship with Medimade Co, preventing the company from producing its products, thus further reducing sales
- ☐ Medimade Co will have to seek alternative suppliers, who may not meet Medimade Co's quality control standards
- ☐ The bank may impose strict covenants on the overdraft, restricting the way Medimade Co can conduct its future operations

(2 marks)

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195 The directors have informed you that the bank overdraft facility is due for renewal next month, after the auditor's report is signed. They are confident that it will be renewed.

Which of the following audit procedures would be most effective in assessing whether or not Medimade is a going concern?

- ○ Agree current overdraft level to bank letter
- ○ Obtain confirmation from the bank that the overdraft facility will be renewed
- ○ Obtain written representation from management that they consider the going concern assumption to be appropriate
- ○ Review board minutes for meetings held after the year end for evidence which indicates further financial difficulties or evidence of alternative sources of finance **(2 marks)**

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196 The directors have now agreed to include going concern disclosures, while continuing to use the going concern basis of accounting. You agree with Medimade Co's management that the going concern basis of accounting is appropriate under the circumstances. You have reviewed the draft disclosures and believe they are correct and adequate.

Indicate which form of audit opinion would be appropriate and how the going concern issue would be disclosed in the auditor's report.

	Audit opinion	Disclosure in the auditor's report
○	Disclaimer	Describe the nature of the going concern uncertainty in the Material uncertainty related to going concern section
○	Unmodified opinion	Describe the nature of the going concern uncertainty in the Key audit matters section
○	Qualified opinion	Describe the nature of the going concern uncertainty in the Basis for adverse opinion section
○	Adverse opinion	Describe the nature of the going concern uncertainty in the Basis for qualified opinion section

(2 marks)

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197 The audit is completed. The auditor's report and the financial statements have been signed but not yet issued. The finance director of Medimade Co has just informed the audit team that he has been informed by the bank that the overdraft facility will not be renewed. Medimade Co currently does not have any other source of finance.

What actions, if any, should you now take in order to meet the auditor's responsibilities under ISA 560 *Subsequent Events*?

- O No actions required as the auditor's report and financial statements have already been signed
- O Discuss with management about their plans for the company and determine whether the 20X5 financial statements should now be prepared on a break-up basis. If yes, request management to adjust the financial statements, audit the adjustments and provide a new auditor's report
- O Discuss with management about their plans for the company and determine whether disclosures should be revised in the 20X5 financial statements. If yes, request management to revise the disclosures and redraft the auditor's report to refer to the revised disclosures
- O Request that management adjust for this event in the 20X8 financial statements, as it occurred in the year ending 31 March 20X6 **(2 marks)**

(Total = 10 marks)

Brown & Green Co (Sep/Dec 2020) (18 mins)

It is 1 July 20X5. You are an audit manager of Brown & Green Co and you are currently working on the completion stage of the audit of Strawberry Co, a listed company specialising in the manufacture of smart phone accessories, for the year ended 31 March 20X5. The draft financial statements of Strawberry Co show revenue for the year of $500 million and total assets of $210 million.

You are reviewing the outcome of the audit work documented by your team. You have become aware of the following two issues.

Issue 1 – Reduction in sales

On 18 March 20X5, the board of directors approved a strategic plan which will help it increase the sales of smart phone chargers in the future. The strategic plan is to upgrade Strawberry Co's manufacturing facilities, which will allow it to manufacture higher quality and technologically advanced products. To fund the planned upgrade, the company issued equity share capital to the general public in May 20X5, which generated cash of $4 million.

Issue 2 – Letter from the government environmental agency

Strawberry Co received a letter dated 15 May 20X5, from the government environmental agency advising that water samples taken from a public lake close to Strawberry Co's manufacturing site have shown traces of a harmful substance which is produced during its manufacturing process. The agency has concluded that Strawberry Co is the source of the contamination and is liable for a fine. The board of directors has denied any responsibility and have forwarded the case to the company's legal advisers.

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198 **Which of the following statements correctly describes Brown & Green Co's responsibility in relation to subsequent events occurring between the date on which the auditor's report is signed and the date on which the financial statements are issued?**

- ○ Brown & Green Co should obtain sufficient and appropriate audit evidence and design audit procedures to ensure that all subsequent events are identified
- ○ Brown & Green Co should obtain a list of subsequent events from the directors of Strawberry Co and include these in the written representation letter
- ○ Brown & Green Co has no duty to perform any procedures after the date on which the auditor's report is signed and therefore any subsequent events in this period will be dealt with in next year's audit
- ○ Brown & Green Co should discuss any subsequent events they become aware of with the directors of Strawberry Co to determine whether the financial statements need amending

(2 marks)

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199 **Explain, by choosing the relevant boxes in the statements below, how the issue of share capital should be treated in the financial statements of Strawberry Co.**

The issue of share capital is [(1) ▼] event because it [(2) ▼] and it is material therefore it requires [(3) ▼].

Pull down list 1

- A non-adjusting
- An adjusting

Pull down list 2

- Gives new information about an event that did not exist at year-end date
- Was approved prior to year end and so gives information about events existing at year-end date

Pull down list 3

- No treatment in the current year financial statements
- To be accounted for in the current year financial statements
- To be disclosed in the current year financial statements

(2 marks)

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200 The audit team has performed various substantive procedures in order to obtain sufficient and appropriate audit evidence relating to the potential fine for environmental damage.

Which TWO of the following are appropriate audit procedures to perform in respect of the letter from the government environmental agency?

- ☐ Send a letter addressed to the government environmental agency to confirm the matter
- ☐ Examine post year-end board meeting minutes to identify any reference to further developments of the case
- ☐ Review the correspondence with the company's legal advisers to assess the probable outcome of the case
- ☐ Test the effectiveness of the client's system of internal control in relation to the prevention of environmental damage

(2 marks)

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201 **Assuming 'Issue 2' is a material subsequent event, match the relevant audit opinion to the following two outcomes. (Drag a relevant opinion from the left into position to match each of the outcomes on the right.)**

Audit opinion
Unmodified with emphasis of matter
Qualified
Adverse
Disclaimer
Modified with emphasis of matter

	Outcome 1
	It is probable that the government agency will win the case, but as the letter was received after the year end, the directors did not plan to account for or disclose it in the financial statements
	Outcome 2
	It is possible but not probable that the government agency will win the case and therefore the directors have disclosed the matter in the financial statements

(2 marks)

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202 The two issues will be included in a written representation from management. All audit work will be finished by 31 July 20X5. The auditor's report is due to be signed by Brown & Green Co on 28 September 20X5. Strawberry Co's board plans to issue the financial statements on 21 October 20X5 which will be followed by an annual general meeting on 30 October 20X5.

Which of the following would be the most appropriate date for the directors of Strawberry Co to sign the written representation?

- O 31 July 20X5
- O 28 September 20X5
- O 21 October 20X5
- O 30 October 20X5

(2 marks)

(Total = 10 marks)

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Signal Co (Mar/Jun 2024, amended) (18 mins)

It is 1 July 20X5. Signal Co is an oil exploration company. You are employed by Spring & Co and you are finalising the audit of Signal Co for the year ended 31 March 20X5. The financial statements show profit before income taxes of $98m and total assets of $650m.

The key dates in relation to the audit are as follows.

7 July 20X5	Audit fieldwork to be completed
15 July 20X5	Financial statements approved by the directors
17 July 20X5	Auditor's report to be signed
30 July 20X5	Financial statements will be issued to the shareholders
5 September 20X5	Annual General Meeting will be held

Fire at oil refinery

Management informed you that a fire, on 30 April 20X5, at one of Signal Co's main oil refineries destroyed assets with a carrying amount of $40m. As a result of the fire, there are ongoing production issues at the refinery.

Other subsequent events

The following subsequent events were discovered during the audit fieldwork:

(1) **Customer liquidation:** A customer owing $930,000 to Signal Co at the year end went into liquidation on 15 April 20X5. The liquidator has indicated that it is unlikely that any payment of the debt will be made.

(2) **Dividend:** On 30 April 20X5, Signal Co declared a significant final dividend to shareholders relating to the year ended 31 March 20X5.

203 ISA 560 *Subsequent Events* requires that auditors should perform audit procedures to identify subsequent events. The period covered by this review for Signal Co commenced on 1 April 20X5.

Which of the following dates is the end of the period covered by the subsequent events review?

- ○ 7 July 20X5
- ○ 15 July 20X5
- ○ 17 July 20X5
- ○ 30 July 20X5

(2 marks)

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204 Some procedures are set out below:

(1) Enquire whether Signal Co has included a provision in the 20X5 financial statements for the replacement of the assets and confirm the basis of the calculations

(2) Review the cash flow forecast for the year ending 31 March 20X6 and assess the impact of replacing the assets

(3) Discuss with the directors the ongoing impact on Signal Co's production activities and their assessment of when production will recommence

Which of the preceding audit procedures should be carried out in respect of the fire at the oil refinery?

- O 1 and 2 only
- O 1, 2 and 3
- O 1 and 3 only
- O 2 and 3 only

(2 marks)

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205 **Which of the preceding options correctly classifies the subsequent events identified during the audit work in line with IAS 10 *Events After the Reporting Period*?**

	Customer liquidation	Dividend
O Option 1	Adjusting	Non-adjusting with disclosure
O Option 2	Non-adjusting with disclosure	Non-adjusting no disclosure
O Option 3	Adjusting	Adjusting
O Option 4	Non-adjusting no disclosure	Adjusting

(2 marks)

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206 The auditor's report was signed on the planned date and an unmodified opinion was issued. It is now 19 August 20X5 and the directors have informed you that an oil tanker belonging to the company was involved in an accident five days earlier. This caused an oil leak and has the potential to cause environmental damage which will cost a significant amount of money to clean up.

If the directors do not reissue the financial statements, which of the following actions should the auditor INITIALLY take?

- O Adjust the financial statements to reflect the impact of the event
- O Take steps to prevent reliance on the existing auditor's report
- O Contact the shareholders to notify them of the event
- O Resign as auditor

(2 marks)

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207 After consideration, the directors have decided to reissue the financial statements which the audit engagement partner has reviewed and confirmed as appropriate.

Which of the following correctly identifies how this will impact the revised auditor's report?

- ○ Unmodified opinion with no additional disclosure
- ○ Unmodified opinion with disclosure in an emphasis of matter paragraph
- ○ Unmodified opinion with disclosure in the key audit matters section
- ○ Unmodified opinion with disclosure in the other information section **(2 marks)**

(Total = 10 marks)

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Section B

208 Panda (Dec 2013) (36 mins)

Panda Co manufactures chemicals and has a factory and four offsite storage locations for finished goods. Panda Co's year end was 30 April 20X3. The final audit is almost complete and the financial statements and auditor's report are due to be signed next week. Revenue for the year is $55 million and profit before income taxes is $5.6 million.

The following two events have occurred subsequent to the year end. No amendments or disclosures have been made in the financial statements.

Event 1 – Defective chemicals

Panda Co undertakes extensive quality control checks prior to the dispatch of any chemicals. Testing on 3 May 20X3 found that a batch of chemicals produced in April was defective. The cost of this batch was $0.85 million. In its current condition it can be sold at a scrap value of $0.1 million. The costs of correcting the defect are too significant for Panda Co's management to consider this an alternative option.

Event 2 – Explosion

An explosion occurred at the smallest of the four offsite storage locations on 20 May 20X3. This resulted in some damage to inventory and property, plant and equipment. Panda Co's management have investigated the cause of the explosion and believe that they are unlikely to be able to claim on their insurance. Management of Panda Co has estimated that the value of damaged inventory and property, plant and equipment was $0.9 million and it now has no scrap value.

Required

(a) Explain the five elements of an assurance engagement. **(5 marks)**

(b) For each of the two events above:

(1) Explain whether the financial statements require amendment; and

(2) Describe audit procedures that should be performed in order to form a conclusion on any required amendment.

Note. The total marks will be split equally between each event. **(10 marks)**

(c) The directors do not wish to make any amendments or disclosures to the financial statements for the explosion (Event 2).

Discuss the issue and explain the impact on the auditor's report, if any, should this issue remain unresolved. **(5 marks)**

(Total = 20 marks)

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Sample questions from the examining team

This chapter comprise sample Section A questions from the examining team (taken from ACCA Examiner Reports) and cover different syllabus areas.

Please note that more recently the sample Section A questions discussed in the Examiner Reports have been presented as full sample mini case studies. Therefore, these have been included as full questions within the Exam Practice Kit covering each of the ACCA Audit and Assurance (AA) syllabus parts. Section A questions with dates in brackets (for example Mar/Jun 2024) have been taken from or adapted from the AA Examiner Reports that correspond to the same period.

Full examiner reports including sample Section A questions can be found at:

https://www.accaglobal.com/gb/en/student/exam-support-resources/fundamentals-exams-study-resources/f8/examiners-reports1.html

March 2019 (7 mins)

Comments from the examining team (March 2019)

Section A in the March 2019 examination included, but was not limited to, questions on the following areas:

- Concepts of assurance
- Professional ethics and application of ACCA's *Code of Ethics and Conduct*
- Substantive testing including analytical procedures, revenue, expenses, PPE and estimates
- Written representations
- Auditor's reports

The following questions are reviewed with the aim of giving future candidates an indication of the types of questions asked, guidance on dealing with exam questions and to provide a technical debrief on the topics covered by the specific questions selected. Candidates are reminded that there will be a mix of application and knowledge questions in Section A and it is imperative that they ensure their knowledge of the International Standards on Auditing (ISAs), relevant financial accounting and important areas of the syllabus such as auditor's reports is at an appropriate level. Recent Examiner's reports have noted that performance on knowledge questions was poor and this continued to be the case in March 2019. Questions may test specific details of an ISA, therefore candidates must ensure that they have studied the ISAs in sufficient depth.

209 **Which of the following must be included in an unmodified auditor's report?**

(1) **A statement that the auditor believes the audit evidence obtained is sufficient and appropriate**

(2) **Title indicating the report is that of the independent auditor**

(3) **Description of the meaning of materiality**

(4) **A statement that the auditor is independent of the entity and has fulfilled their ethical responsibilities**

- ○ 1, 2 and 3 only
- ○ 1 and 3 only
- ○ 2 and 4 only
- ○ 1, 2, 3 and 4

(2 marks)

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210 The auditors have discovered that the chair's report of XYZ Co, a listed company, is inconsistent with the financial statements and it has been determined that the material inconsistency is in the chair's report.

Complete the following sentence by dragging and dropping the appropriate audit opinion and type of communication in the auditor's report.

If the directors refuse to amend the inconsistency, then the auditor's opinion will be

(1) ▼ and the inconsistency will be explained in a (2) ▼.

Pull down list 1

- Adverse
- Disclaimer of opinion
- Qualified on the grounds of a material misstatement
- Qualified on the grounds of an inability to obtain sufficient appropriate audit evidence
- Unmodified

Pull down list 2

- Emphasis of matter paragraph
- Key audit matters section
- Other information section
- Other matters paragraph

(2 marks)

(Total = 4 marks)

June 2019 (7 mins)

Comments from the examining team (June 2019)

Section A in the June 2019 examination included, but was not limited to, questions on the following areas:

- Corporate governance
- Substantive procedures including analytical procedures, revenue, expenses, bank and cash and share capital
- Written representations
- Going concern
- Subsequent events
- Auditor's reports

The following questions are reviewed with the aim of giving future candidates an indication of the types of questions asked, guidance on dealing with exam questions and to provide a technical debrief on the topics covered by the specific questions selected. Candidates are reminded that there will be a mix of application and knowledge questions in Section A and it is imperative that they ensure their knowledge of the International Standards on Auditing (ISAs), relevant financial accounting and important areas of the syllabus such as auditor's reports is at an appropriate level. Recent Examiner's reports have noted that performance on knowledge questions was poor and this continued to be the case in June 2019. Questions may test specific details of examinable documents including ISAs, ACCA's *Code of Ethics and Conduct* and the Corporate Governance Code, therefore candidates must ensure that they have studied these in sufficient depth.

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211 X Co is a listed company and has an audit committee.

Identify, by clicking on the relevant box in the table below, whether each of the following statements is true or false.

The audit committee's terms of reference should include reviewing and monitoring the external auditor's independence and objectivity	TRUE	FALSE
The audit committee's terms of reference should include appointing and removing the external auditors	TRUE	FALSE
The audit committee's terms of reference should include evaluating and monitoring the effectiveness of the internal audit function	TRUE	FALSE

(2 marks)

---

212 A & Co is the auditor of Z Co for the year ended 31 December 20X8. The detailed audit work is due to be completed by 30 June 20X9. The directors are planning to approve the financial statements on 31 July 20X9 and then issue them to the shareholders on 15 August 20X9. The management of Z Co has performed an assessment of the company's ability to continue as a going concern based on a cash flow forecast prepared to 31 December 20X9.

Complete the following sentence by dragging and dropping the appropriate date.

A & Co's evaluation of management's assessment of Z Co's ability to continue as a going concern must cover the period up to [▼].

Pull down list

- 15 August 20X9
- 30 June 20X9
- 31 December 20X9
- 31 July 20X9

(2 marks)

(Total = 4 marks)

September 2019 (7 mins)

Comments from the examining team (September 2019)

It was very pleasing to see that once again almost all candidates attempted all 15 questions, across the three OT cases. Candidates preparing for future sessions are advised to work through the past exams which are available and to carefully review how each of the correct answers were derived. Section A questions aim to provide a broad coverage of the syllabus, and future candidates should aim to revise all areas of the Audit and Assurance syllabus, rather than attempting to question spot.

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Section A in the September 2019 examination included, but was not limited to, questions on the following areas:

- Professional ethics and application of ACCA's Code of Ethics and Conduct
- Substantive procedures including bank and cash, share capital and inventory
- Audit finalisation and review
- Auditor's reports

The following questions are reviewed with the aim of giving future candidates an indication of the types of questions asked, guidance on dealing with exam questions and to provide a technical debrief on the topics covered by the specific questions selected. Candidates are reminded that there will be a mix of application and knowledge questions in Section A and it is imperative that they ensure their knowledge of the International Standards on Auditing (ISAs), relevant financial accounting and important areas of the syllabus such as auditors' reports is at an appropriate level. Questions may test specific details of examinable documents including ISAs, ACCA's *Code of Ethics and Conduct* and the Corporate Governance Code, therefore candidates must ensure that they have studied these in sufficient depth. Candidates must also ensure that they have studied all areas of the syllabus. The syllabus includes audit evidence learning outcomes relating to a wide range of specific items, any of which may be examined.

213 You have been assigned to the audit of bank and cash for X Co. X Co has a number of bank accounts and due to the nature of its business will hold a significant amount of cash at head office at the year end.

Which of the following audit procedures included in the audit programme will test for EXISTENCE of bank and cash?

- O Agree a sample of accounts detailed on the bank confirmation letters to the trial balance
- O Review all relevant bank statements to verify that the accounts are held under X Co
- O Attend the cash count at the year end and reperform the count
- O Review the disclosure included in the financial statements to verify only bank accounts per the bank letters are disclosed **(2 marks)**

---

214 One objective of the final overall review stage of the audit is to ensure that the evidence gathered in the course of the audit supports the audit opinion.

Which of the following questions, which are answered as part of the final review, support this objective?

(1) **Was the audit plan suitably modified to allow for changing circumstances?**

(2) **Has the audit firm's continued independence been considered?**

(3) **Have all deficiencies in internal control been communicated to management?**

(4) **Has work been performed in accordance with relevant auditing, legal and professional standards?**

- O 1 and 4
- O 1 and 2
- O 2 and 3
- O 3 and 4 **(2 marks)**

(Total = 4 marks)

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December 2019 (7 mins)

Comments from the examining team (December 2019)

Section A It was very pleasing to see that once again almost all candidates attempted all 15 questions, across the three OT cases. Candidates preparing for future sessions are advised to work through the past exams which are available and to carefully review how each of the correct answers were derived. Section A questions aim to provide a broad coverage of the syllabus, and future candidates should aim to revise all areas of the Audit and Assurance syllabus, rather than attempting to question spot. Section A in the December 2019 examination included, but was not limited to, questions on the following areas:

- Principles of assurance
- Corporate Governance
- Substantive procedures including non-current assets
- Audit finalisation and review

215 You are an audit manager working for W & Co which has audited X Co for the last seven years. The board has decided that X Co should be listed on a stock exchange and the board has asked W & Co to advise the company on how to become compliant with corporate governance guidelines.

Which of the following are typical requirements contained within best practice corporate governance guidelines?

(1) **The remuneration committee should only consist of independent non-executive directors**

(2) **The chief executive officer should be responsible for leadership of the board and ensuring its effectiveness**

(3) **The non-executive directors should provide constructive challenge and strategic guidance**

(4) **The audit committee's key role is appointing and liaising with the external auditor**

- ○ 1 and 3 only
- ○ 2 and 4 only
- ○ 1, 3 and 4
- ○ 2, 3 and 4

(2 marks)

---

216 It is 1 July 20X5. You are an audit supervisor of Y & Co and have been assigned responsibility for completing the detailed going concern testing for Z Co for the year ended 30 April 20X5. Z Co's audit should be finalised and the financial statements signed by 30 September 20X5. Management's assessment of Z Co's ability to continue as a going concern covers the period to 30 November 20X5.

Which of the following actions should Y & Co take in relation to Z Co's going concern assessment?

- ○ Request that management extends the assessment period to 30 September 20X6
- ○ Request that management extends the assessment period to 30 April 20X6
- ○ Perform additional audit procedures to confirm Z Co's going concern status
- ○ Review management's assessment to 30 November 20X5 and only request that it is extended if it raises doubt that Z Co is a going concern

(2 marks)

(Total = 4 marks)

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March 2020

(7 mins)

Comments from the examining team (March 2020)

It was very pleasing to see that once again almost all candidates attempted all 15 questions, across the three OT cases. Candidates preparing for future sessions are advised to work through the past exams which are available and to carefully review how each of the correct answers were derived. Section A questions aim to provide a broad coverage of the syllabus, and future candidates should aim to revise all areas of the AA syllabus, rather than attempting to question spot.

Section A in the March 2020 examination included, but was not limited to, questions on the following areas:

- Professional ethics and application of ACCA's Code of Ethics and Conduct
- Substantive procedures including payables and inventory
- Audit finalisation and review
- Auditor's reports

217 **Which TWO of the following statements should be included in a written representation letter?**

- ☐ All transactions have been recorded in the accounting records and are reflected in the financial statements
- ☐ Due to inherent limitations of the audit, there is a risk that some material misstatements will not be detected
- ☐ Professional judgement and scepticism have been exercised throughout the course of the audit
- ☐ Significant assumptions used in making accounting estimates are reasonable

(2 marks)

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218 It is 1 July 20X5. You are an audit manager at X & Co, currently finalising the audit of Y Co for the year ended 31 March 20X5. You are performing the final review in preparation for signing the auditor's report. During the year one of the company's properties was revalued by an independent expert valuer.

Which TWO of the following are audit procedures X & Co should perform in conducting its overall review of the financial statements of Y Co?

- ☐ Make an assessment of Y Co's ability to continue as a going concern
- ☐ Design and perform analytical procedures to confirm the financial statements are consistent with the auditor's understanding of the entity
- ☐ Undertake money laundering identification procedures to reconfirm the identity of the directors of Y Co
- ☐ Assess the information obtained from the external expert in respect of the property revaluation
- ☐ Obtain and retain documentation to confirm the legal title of all non-current assets
- ☐ Reassess materiality to confirm whether it remains appropriate in the context of Y Co's final financial statements

(2 marks)

(Total = 4 marks)

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July 2020 (7 mins)

Comments from the examining team (July 2020)

It was very pleasing to see that once again almost all candidates attempted all 15 questions, across the three OT cases. Candidates preparing for future sessions are advised to work through the past exams which are available and to carefully review how each of the correct answers were derived. Section A questions aim to provide a broad coverage of the syllabus, and future candidates should aim to revise all areas of the AA syllabus, rather than attempting to question spot.

Section A in the July 2020 examination included, but was not limited to, questions on the following areas:

- Principles of assurance
- Substantive procedures including non-current assets, provisions and contingencies
- Going concern
- Auditors' reports

219 It is 1 July 20X5. You are an audit supervisor and are conducting the year-end audit of X Co. You are currently undertaking the audit testing in relation to non-current assets.

Which TWO of the following procedures would provide substantive audit evidence in respect of the COMPLETENESS assertion for plant and machinery?

- ☐ For a sample of assets held in the factory and warehouse record the asset identity number as marked on the asset and trace back to the relevant entry in the non-current asset register
- ☐ Review board minutes to confirm that all major items of capital expenditure are noted and have been authorised
- ☐ Trace a sample of costs recognised in the repairs and maintenance account to invoices and determine the nature of the expenditure and assess whether any capital items have been expensed
- ☐ For a sample of fully depreciated assets, enquire with management to confirm whether the assets are still being used in the operations of X Co **(2 marks)**

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220 It is 1 July 20X5. A & Co are the external auditors of B Co for the year ended 31 March 20X5. B Co has sourced external finance for the first time during the year. The draft financial statements show non-current liabilities in relation to loan finance of $1.2 million.

Which of the following procedures should be performed to confirm the loan liability balance at the year end?

(1) **Review directors' board minutes for evidence of approval of the external finance**

(2) **Agree the loan payments recorded in the general ledger to the bank statement to confirm capital has been repaid**

(3) **Agree the year-end loan liability balance to the bank confirmation letter**

(4) **Compare loan liabilities at the end of the year to balances in the previous year**

- ○ 1 and 2
- ○ 3 and 4 only
- ○ 1, 3 and 4
- ○ 2 and 3 **(2 marks)**

(Total = 4 marks)

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Answers

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Section A

BJM Co

1 The correct answer is: The external audit is an exercise carried out by auditors in order to give an opinion on whether the financial statements of a company are fairly presented

The external audit is carried out by external auditors, who are independent of the company so that they can provide an independent opinion on whether the company's financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework. The principal aim of the audit is not in relation to the control system in place or to identify other areas of deficiency, although deficiencies and recommendations may be suggested by the external auditors as a by-product of the external audit in a report to management at the conclusion of the audit.

2 The correct answer is: YHT & Co should perform specific audit procedures to identify possible non-compliance

ISA 250 (Revised) distinguishes between regulations which have a direct effect on the financial statements (in the sense of directly affecting the determination of balances) and those which do not have a direct effect but can still have a material effect (such as an operating licence).

The hygiene regulations do not have a direct effect but they may have a material effect. The external auditor must therefore perform audit procedures to help identify any non-compliance which might have a material effect on the financial statements, ie any breaches of the hygiene regulations that could result in material fines or restaurant closures.

3 The correct answer is: The determination of materiality

This review engagement is an example of an assurance engagement. There are five elements to an assurance engagement: criteria, report, evidence, subject matter and three-party relationship (CREST) (IFAC, 2016).

4 The correct answer is:

Level of assurance	Report wording
Limited	Negative

A review engagement, such as a review of compliance with hygiene regulations, is an assurance engagement where the practitioner carries out limited procedures on BJM's internal controls relating to hygiene compliance.

As the procedures are limited, the practitioner will gain only enough evidence to provide a negative expression of opinion. This means the practitioner gives assurance that nothing has come to their attention which indicates that BJM's internal controls relating to hygiene compliance are not, in all material respects, compliant with national regulation.

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5 The correct answer is: The lucrative nature of the review engagement may make the external audit team less inclined to require management to make adjustments or to issue a modified audit opinion, for fear of losing the review engagement

The fees from the review engagement are likely to be very lucrative, so there is a risk that YHT & Co will not seek adjustments during the external audit process for fear of upsetting the board of BJM and losing the review engagement work.

The provision of non-audit services to unlisted audit clients is not specifically prohibited. While YHT & Co should be alert to self-review threats, in this case it seems unlikely: the scenario states that the review engagement does not include the provision of accounting advice or the preparation of figures in the financial statements. A firm is not required to turn down work when a 15% limit is exceeded. Where fee income from a listed audit client is expected to exceed 15% of the audit firm's total fee revenue, this fact should be disclosed to those charged with governance and a separate review may be required (ACCA *Code of Ethics and Conduct*: para. R410.4–6). However, the 15% fee cap is not a major concern to YHT & Co in this instance because BJM is unlisted.

Tangerine Tech Co

6 The correct answer is: 1 and 3 only

The board as a whole should take on the responsibility for liaising with shareholders, not just the chair. In particular the non-executive directors should understand shareholder views. When called upon, the senior independent director should seek to meet major shareholders to develop a balanced understanding of their views. Non-executive directors are encouraged to take opportunities, such as attendance at general and other meetings, to understand the concerns of shareholders. (FRC *UK Corporate Governance Code Guidance, 2024*)

As the chair and one of the NEDs are former executive directors they were previously employed by the company and as a result this raises questions about their independence. Independent non-executive directors should be appointed to the board of Tangerine.

Tangerine is not required to have an internal audit function (however, where there is no internal audit function, the audit committee is required annually to consider the need for one).

7 The correct answer is:

Deficiency 1	Deficiency 2
The directors should be subject to annual re-election	At least 50% of the board, excluding the chair, must be comprised of non-executive directors whom the board considers to be independent

The directors should be subject to annual re-election by the shareholders (FRC *UK Corporate Governance Code*: para. 18). They are re-elected by the shareholders, not the chair.

There should be an appropriate balance of executives and NEDs to ensure that the board makes the correct objective decisions. At least half of the board, excluding the chair, should be comprised of NEDs whom the board considers to be independent (FRC *UK Corporate Governance Code*: para. 11).

8 The correct answer is: 2 only

The audit committee is supposed to be made up of independent NEDs. The chair should not be a member of the audit committee (FRC *UK Corporate Governance Code*: para. 24).

All four members of the audit committee were previously involved in sales and production-related roles. The board should satisfy itself that at least one member of the audit committee has recent and relevant financial experience (FRC *UK Corporate Governance Code*: para. 24).

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9 The correct answer is:

To monitor internal controls and review their effectiveness annually	To report on the effectiveness of all material controls in the annual report
Yes	Yes

The board should monitor the company's risk management and internal control framework and, at least annually, carry out a review of its effectiveness. The monitoring and review should cover all material controls, including financial, operational, reporting and compliance controls.

The board should provide in the annual report

- A description of how the board has monitored and reviewed the effectiveness of the framework;
- A declaration of effectiveness of the material controls as at the balance sheet (statement of financial position) date; and
- A description of any material controls which have not operated effectively as at the balance sheet date, the action taken, or proposed, to improve them and any action taken to address previously reported issues.

(FRC *UK Corporate Governance Code*: para. 29).

10 The correct answer is: 1 and 3 only

The board is responsible for a company's internal control. The establishment of an internal audit function is one of the practical ways in which the board can meet its responsibility to monitor and review internal controls. However, as with all key decisions, costs versus benefits will be assessed too.

The directors are responsible for the prevention and detection of fraud. Whilst the internal audit function may assist the directors in this, the directors retain the ultimate responsibility.

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Orange

11 The correct answers are:

- The audit engagement partner has been asked to attend meetings with potential investors - **Yes**
- Currant & Co has been offered the opportunity to provide other services to Orange Financials - **No**
- Currant & Co has been asked to produce the financial statements of Orange Financials - **No**
- There is a suggestion that a partner who previously worked for Orange Financials should be the review partner - **No**

Risk (1) represents an advocacy threat as this may be interpreted as the audit firm promoting investment in Orange Financials Co.

Risk (2) Currant & Co would like to conduct other assignments for Orange Financials Co.

This gives rise to a potential self-interest threat as the total fees generated from this client may form a substantial proportion of the fees of the firm which may have an impact on the firm's objectivity.

Risk (3) Currant & Co have been asked to produce the financial statements of Orange Financials Co.

This represents a possible self-review threat as Currant & Co would be both preparing and auditing the same information.

Risk (4) The assistant finance director of Orange Financials Co has joined Currant & Co as a partner and it has been suggested that he should be the independent review partner.

This represents a self-review threat as the same individual would be responsible for reviewing the audit of financial statements which he has been involved in preparing.

12 The correct answers are:

- Intimidation
- Self-interest

This gives rise to an intimidation threat as the audit team may feel under pressure not to perform a thorough audit in order to comply with this request. There is also a self-interest threat as Currant & Co will be keen to win the additional work.

13 The correct answer is:

(1) Weekend away	(2) Loan at reduced rates
Not accepted	Not accepted

As the value of the hospitality is unlikely to be inconsequential no safeguards would be adequate to reduce the threat to an acceptable level. The offer of the weekend away should be declined politely.

If the loan had been made at normal commercial rates then the senior would be able to accept without any consequences for independence.

In this case as the terms are preferential the loan must be declined.

14 The correct answer is: Total fees from Orange Financials make up more than 15% of Currant & Co's total fees for the second consecutive year

The mandatory safeguards apply to public interest entity audits therefore would be applied to the audit of Orange Financials Co when it is listed.

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15 The correct answers are:

- The audit committee should be made up of independent non-executive directors - **True**
- The audit committee normally appoints the external auditors at the AGM - **False**
- The audit committee monitors and reviews the internal audit function - **True**
- The audit committee sets out the scope of the external auditor's work - **False**

The audit committee makes recommendations about the appointment of external auditors but the shareholders are responsible for appointing them at the AGM.

The scope of the external auditor's work is determined by the audit engagement partner on the basis of the requirements of auditing standards. The scope of the audit may be discussed with the audit committee but the audit committee does not set out the scope of the work as the audit must be an independent exercise.

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SGCC

16 The correct answer is: SGCC should appoint a new chief executive officer or board chair

Corporate governance codes indicate that there should be a clear division of responsibilities between the leadership of the board and the executive leadership of the company's business. No one individual should dominate the board's decision making. (FRC *UK Corporate Governance Code*: Principle G)

17 The correct answer is: SGCC should appoint three new non-executive directors to the board

Corporate governance codes indicate that the board should have a balance of executive and non-executive directors. SGCC currently has five executive and two non-executive directors and should therefore appoint a further three non-executive directors in order to balance the board. This is so that at least half the board, excluding the Chair, will be non-executive directors whom the board considers to be independent (FRC *UK Corporate Governance Code*: para. 11).

18 The correct answers are:

- Once SGCC has an audit committee and an internal audit department, the head of the internal audit department should report to the audit committee
- SGCC should not rely on the external audit to inform them of deficiencies in internal controls

SGCC should establish an audit committee of independent non-executive directors, with a minimum membership of three (FRC *UK Corporate Governance Code*: para. 24).

Where there is not one in place already, listed companies should review the need for an internal audit department at least annually. They are not automatically required to have an internal audit department (FRC *UK Corporate Governance Code*: para. 25).

19 The correct answer is: Taking responsibility for the implementation of a new receivables ledger system

The internal audit function is a review and monitoring function. It should not take operational responsibility for any part of the accounting or information systems.

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20 The correct answers are:

- Greater availability of specialist industry skills as required - **Outsourced**
- Flexibility regarding staff numbers in response to changing circumstances - **Outsourced**
- Elimination of direct training costs - **Outsourced**
- Development of skills increasing the human resource strength of the entity - **Employed**

Where the internal audit department is outsourced to an external firm, SGCC is likely to benefit from specialist industry skills and will benefit from the greater flexibility in staffing numbers as the team can be modified depending on the workload at a particular point in time. SGCC will also be shielded from the direct costs of training staff. However, if the staff are employed by SGCC, this increases the skills held within the business and therefore increases the value of the workforce which is a strength of the company.

Doge & Co

21 The correct answers are:

An audit is an example of this type of assurance engagement		**REASONABLE**	
It provides a lower level of assurance	**LIMITED**		
Judgement is required to determine the appropriate procedures required to obtain this level of assurance			**BOTH**
A negative form of conclusion is provided	**LIMITED**		

A reasonable assurance provides a high but not absolute level of assurance and therefore the external audit is a key example of this.

Limited assurance engagements provide a lower level of assurance than reasonable assurance engagements.

Although the nature, timing and extent of the procedures carried out in a limited assurance engagement would be limited compared to those for a reasonable assurance engagement, both require planning of the procedures to obtain a level of assurance which is sufficient in the practitioner's professional judgement.

The conclusion formed in any report relating to a reasonable assurance engagement would usually be expressed in a positive form whereas a negative form would be typical of a limited assurance engagement.

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22 The correct answers are:

- Enquire of management as to large and unusual items within the financial statements
- Perform analytical procedures to understand the relationship between items within the financial statements

Limited assurance engagements provide a lower level of assurance and the conclusions convey whether a matter has come to the practitioner's attention to cause the practitioner to believe the subject matter information is materially misstated. Both enquiry of management and performing analytical procedures are appropriate tests to carry out as part of a limited assurance review.

Performing tests of controls to understand the controls that are operating within the company and performing extensive test of details over all balances are tests which would be carried out only as part of an audit, not a limited assurance engagement.

23 The correct answer is: There must be a three-party relationship

One of the key elements of an assurance engagement is the three-party relationship with an intended user, a responsible party and a practitioner. The practitioner is the reviewer of the subject matter and who provides assurance, in this case Doge & Co.

The intended users are those who use the subject matter to make economic decisions and the responsible party is the party responsible for preparing the subject matter. However, in this instance, the directors of Trimp Transport Co are both the responsible party and the user therefore there is no three-party relationship.

24 The correct answers are:

- The risk of Doge & Co assuming management responsibility would be reduced by using a separate team of staff who are not involved in the external audit - **False**
- Doge & Co should consider whether Keegan Co has appointed a responsible official to oversee internal audit activities - **True**
- The materiality of the financial statement amounts affected by the internal audit service should be considered when evaluating the significance of any self-review threat - **True**

Using a separate team of staff may reduce any potential self-review threat but would not reduce the risk of Doge & Co taking on management responsibility, therefore statement 1 is false. The ACCA Code of Ethics and Conduct (the Code) prohibits a firm or network firm from assuming management responsibility for an audit client (R600.7 A1) and also states that 'performing a significant part of the client's internal audit activities increases the possibility that firm or network firm personnel providing internal audit services will assume a management responsibility'. (R400.18 and R605.3)

In line with the Code, both statements 2 and 3 are true, stating:

'When providing an internal audit service to an audit client, the firm shall be satisfied that the client designates an appropriate and competent resource, preferably within senior management, to:

- Be responsible at all times for internal audit activities; and
- Acknowledge responsibility for designing, implementing, monitoring and maintaining internal control' (R605.3)

'Factors that are relevant in evaluating the level of such a self-review threat include:

- The materiality of the related financial statement amounts
- The risk of misstatement of the assertions related to those financial statement amounts
- The degree of reliance that the audit team will place on the work of the internal audit service, including in the course of an external audit.' (605.4 A3)

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25 The correct answer is: Catt & Co had used audit sampling in performing tests of details

In this requirement, further information is presented in addition to the main scenario. Where this type of information is provided, candidates must ensure that they read it carefully before attempting the question.

This question requires candidates to apply their knowledge, considering the limitations of external audit. The external audit provides reasonable assurance that the financial statements are free from material misstatement due to inherent limitations which result in the auditor forming an opinion on evidence that is persuasive rather than conclusive.

The auditor will not test 100% of all balances and transactions therefore audit sampling is considered an inherent limitation. The other potential options in this question represent detection risks or failure to carry out work properly which could have been avoided.

Kamari Co

26 The correct answers are:

Audit engagements always provide reasonable assurance	**TRUE**	
True and fair view means the financial statements contain no misstatements		**FALSE**
Most non-audit engagements provide reasonable assurance		**FALSE**
There are four elements to an assurance engagement		**FALSE**

Audits are required by ISAs to provide reasonable assurance but most non audit engagements only provide limited assurance. The concept of true and fair indicates that the financial statements contain no material misstatements, although immaterial ones may remain. There are five (not four) prescribed elements to an assurance engagement, these are criteria, report, evidence, subject matter and three-party relationship (CREST).

27 The correct answer is: Limited assurance will be provided by the review of the financial forecasts

Thira & Co could accept both engagements with any necessary ethical safeguards in place. The projections are looking into the future and so only limited assurance can be given.

When reviewing the projections, Thira & Co will be acting as the practitioner. The responsible party would be the directors who have put the projections together and the intended user would be the bank.

Only the external audit would be conducted under ISAs. The projections review may be conducted under alternative standards designed for that purpose.

28 The correct answers are:

- It could create a self-review threat during the external audit
- The internal audit function would have less understanding of the business

Having internal audit services provided by a third-party firm means that the team can be picked from a wide range of people and skill sets. However, as they only visit the client periodically, they would not understand the client business as well as a team that works there full time.

If the service is outsourced to the client's current external audit provider, a self-review threat is created as there is an expectation that the external auditor will place reliance on the work performed by the internal auditor. This is sometimes incorrectly construed as the audit firm representing the client, creating some sort of advocacy threat, which is not true.

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29 The correct answers are:

- Perform analytical review on previous year financial statements to ensure the forecasts are consistent with past trends
- Enquire of Kamari Co's directors as to any assumptions which have been made in preparing the forecasts

The review of the forecasts will require discussions with management to understand the assumptions they have made and the use of analytical procedures to verify that trends followed are reasonable.

30 The correct answer is: A financial audit

As sales orders and sales invoice processing are a part of the financial reporting process, this is a financial audit.

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Section A

Bridgford

31 The correct answers are:

- The availability of the client's data and staff (including internal audit) – **Audit strategy document**
- The allocation of responsibility for specific audit procedures to audit team members - **Detailed audit plan**
- The audit procedures to be undertaken for each area of the financial statements - **Detailed audit plan**
- The potential for using automated tools and techniques to gather evidence - **Audit strategy document**

The audit strategy includes areas such as identifying the characteristics of the engagement, the reporting objectives, timing and nature of communications, knowledge gained from previous audits and during the preliminary risk assessments and the nature, timing and extent of resources in terms of using appropriate personnel.

The availability of the client's data and staff (including internal audit) and the potential for using CAATs are included in the characteristics of the engagement.

The auditor will take the overall audit strategy and convert it into a more detailed audit plan. This will include the allocation of work to audit team members and the audit procedures to be undertaken for each area of the financial statements.

32 The correct answer is: Performance materiality refers to the amounts set by the auditor at higher than the materiality level for particular classes of transactions, account balances or disclosures where the materiality level might otherwise mean that such items are not tested

The auditor sets performance materiality at an amount which is lower than the materiality level for the financial statements as a whole. This is so that the impact of misstatements for particular classes of transactions, account balances or disclosures will be considered even if they are not material to the financial statements as a whole (ISA 320).

33 The correct answer is: Perform a trend analysis on current year and prior year monthly revenue, to identify whether revenue is overstated as a result of fraud or error

An overstatement of revenue would result in a reduction, not an increase in the receivables collection period.

34 The correct answer is: That the financial statements include balances due from credit customers which are not recoverable

The audit risk relates to the concern about receivables taking 127 days to settle their invoices rather than the permitted 90 days (3-month credit terms), and that some customers are refusing to pay for products due to the reliability issues encountered. This means that the financial statements may include balances from receivables that are not recoverable. This would result in an overstatement of assets, and gives rise to concerns about the valuation of receivables.

Despite the worsening working capital position indicated by the increase in the receivables collection period, on its own it is unlikely to give rise to doubts over Bridgford's going concern status.

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35 The correct answers are:

- Determine how often inventory counts are performed and the level of corrections required to the inventory system
- Test the operation of the inventory system using CAATs

The risk which has been identified relates to inventory quantities. Testing the operation of the inventory system using CAATs and reviewing the level of corrections required to the system would provide evidence regarding the operation of the system used to record the number of units of inventory held.

Reviewing purchase requisitions is a test to determine whether authorisation controls are in place to prevent orders of unnecessary items. The comparison of cost and net realisable value is a valid audit procedure; however, it provides evidence regarding the valuation of inventory rather than quantity.

EuKaRe

36 The correct answers are:

Detection risk will increase due to the increased risk of cash donations being misappropriated and revenue being overstated		**FALSE**
Inherent risk will increase as the nature of EuKaRe's transactions means that income may be misstated either in error or deliberately	**TRUE**	
Control risk will increase as internal controls may be weak due to the large number of volunteers used by EuKaRe		**FALSE**
Business risk will increase due to the level of volunteers used by EuKaRe		**FALSE**

Inherent risk is the risk that an item will be misstated due to the characteristics of that item. High levels of income in the form of cash increase the risk that income may be misstated either in error or deliberately. In addition, there may be no other independent source to show what the income should be. For example in this instance there would not be any formal record to support the majority of the takings (eg invoice or receipt) collected in the buckets.

Detection risk is the risk that the auditor's substantive procedures will not detect material misstatements. This is likely to increase but the principal risk is of revenue being understated (since some of it may be stolen/misappropriated).

Control risk is the risk that EuKaRe's internal controls will not prevent or detect misstatements. However, the explanation states that this will be high due to the reliance on volunteers rather than due to transactions being in the form of cash.

Business risk is the risk that the business will not achieve its objectives and is not an element of audit risk.

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37 The correct answers are:

- The risk assessment will help the audit team gain an understanding of the entity for audit purposes - **True**
- The risk assessment will enable the audit senior to produce an accurate budget for the audit assignment - **False**
- The risk assessment will form the basis of the audit strategy and the detailed audit plan - **True**
- Once the risks have been assessed, TEY & Co can select audit team members with sufficient skill and experience to maximise the chance of those risks being addressed - **True**

Whilst an audit firm is a commercial and profit-making organisation, ISA 315 (Revised) is not concerned with the auditor's budget but rather with ensuring that the auditor has a sufficient understanding of the business. This is so that they can select appropriate audit procedures in order to minimise the risk of undetected material misstatements.

38 The correct answer is: Obtain a breakdown of the income recorded from the cash that was collected in buckets, and vouch a sample of entries back to the volunteer in order to determine which volunteer collected the relevant donations

This will provide evidence of the occurrence of income, but the key risk here is completeness of income.

39 The auditor is not responsible for the | prevention | of fraud or error.

However, they are responsible for obtaining | reasonable assurance | that the financial statements are free from material misstatement whether caused by fraud or error.

The directors, or rather here the trustees, are ultimately responsible for the prevention and detection of fraud and error within EuKaRe. The auditor needs to obtain reasonable assurance that the financial statements are not materially misstated due to fraud or error.

40 The correct answers are:

- EuKaRe's finance department relies on volunteers who may not have accounts experience
- Understaffing in the finance department at certain times is due to the ad hoc nature of volunteer working hours

The fact that EuKaRe has a detailed constitution which explains how the charity's income can be spent is a positive influence on the control environment, as it indicates that there is a benchmark in place against which the suitability of EuKaRe's expenditure can be measured.

The fact that the income of EuKaRe is primarily cash increases inherent risk but does not automatically mean that the control environment is weak.

South

41 The correct answers are:

- To ensure appropriate attention is devoted to important areas of the audit
- To assist in the co-ordination of work done by any auditor's experts

The main aim of planning is not to ensure the audit is completed within budget restraints, but to ensure that it is carried out in an effective manner as described by the other statements (ISA 300).

The determination of whether the audit engagement is ethically acceptable should have been done before the planning stage, and is not therefore an objective of planning.

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42 The correct answers are:

Procedure	Assertion
Review financial statement notes	Presentation
Read minutes of board meetings for evidence of share issues	Completeness
Recalculate the closing balance on the share capital account	Accuracy, valuation and allocation
Review Memorandum and Articles of Association and compare their requirements with issued share capital	Existence

Comparing issued share capital with the Memorandum and Articles of Association relates to existence because 'equity' that is not issued pursuant to those documents does not legally exist.

43 The correct answer is: Inspect invoices capitalised within the cost of the new till system to determine whether they are directly attributable to the cost of the new till system

The audit risk relates to the concern that South may have capitalised costs which are revenue in nature. As such the appropriate response is to review the invoices which have been capitalised not just for their amount but also to determine the nature of the expense to which the invoice relates.

44 The correct answers are:

- Perform analytical procedures by comparing daily/weekly sales by store with both the prior year and with expectations, in order to determine whether any unusual patterns have occurred following the installation of the new system
- Obtain a copy of the training manual relating to the new till system and discuss with directors the extent of training staff have received on the new system

The audit risk relates to the concern that the system may not be reliable, that not all invoices have been recorded and that staff may not be familiar with the system.

Vouching the revenue per the system back to till receipts is not a valid response to the audit risk. Given that one concern is that revenue is understated, testing should be from the till receipts to the system to ensure that all sales have been recorded. Similarly, agreeing revenue from till receipts to the cashbook is also the wrong way around – this test should begin with the cashbook in order to test for completeness.

45 The correct answers are:

- To assess whether a provision for customer compensation is required in South's financial statements
- To determine whether disclosure of the nature and financial effect of the legal claim is required in South's financial statements

The concern over deficiencies in South's internal controls is a valid concern, but the review of legal correspondence is unlikely to be an appropriate response to this as the auditor would need to review internal controls. The impact on the reputation of South is also a valid concern as it could have implications for the viability of the company but again it is unlikely that information specifically relating to this would be available in the legal correspondence reviewed.

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Mason

46 The correct answer is: Revenue may be overstated if it is recognised according to the contract date rather than over the relevant accounting period

There is a risk that the revenue for the annual fees is not properly recognised in the period to which it relates, leading to revenue (and deferred income) being materially misstated in the financial statements. Revenue should be recognised according to the accounting period in which the related performance obligations of the contract are met.

47 The correct answers are:

- Obtain a breakdown of the capitalised costs and agree a sample of items to invoices to determine the nature of the expenditure
- Inspect management's review of whether the value of the aircraft has been impaired

The auditor should obtain a breakdown of the capitalised costs and vouch them back to invoices to determine whether they relate to a capital or revenue expense. They can then determine whether they have been recognised appropriately in accordance with IAS 16 *Property, Plant and Equipment*.

The large amount of refitting work could also indicate that something is wrong with the aircraft and that their value has become impaired.

48 The correct answer is: Mason's going concern status may be at risk if the contract is not renewed

The key risk here is going concern. It is possible that the company will lose one of only four customers. In addition, a bank loan is being renegotiated and it is expected that costs will increase. This may threaten Mason's ability to continue as a going concern.

49 The correct answers are:

- Review Mason's contracts with its other three customers to determine whether they contain a break clause, in order to determine the likelihood of losing any further contracts to other aircraft providers
- Review the short-term and long-term funding facilities which are available to Mason

The main risk here is to the going concern assumption, if Mason loses other key sources of revenue. The auditor would therefore want to consider whether this is likely, by reviewing the other contracts. If, as appears likely, they do, then Mason would need a source of funding to survive.

It would not be appropriate to contact an audit client's customer directly in relation to a matter such as this.

The issue of disclosure would only need to be considered once the going concern status of Mason had been determined.

50 The correct answers are:

- Non-current assets - **Not audit concern**
- Inventory - **Audit concern**
- Completeness - **Not audit concern**
- Accuracy, valuation and allocation - **Audit concern**

Specialist equipment has been removed from the aircraft and is now included in inventory. Inventory should be valued at the lower of cost and net realisable value, not at amortised cost. The fact that the equipment has been replaced suggests that its net realisable value is lower than its cost. This may mean that inventory is overstated in the financial statements.

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Goofy Co

51 The correct answers are:

- Inform the audit committees of both Goofy and Mickey of the potential conflict of interest and obtain their consent to act for both parties
- Prevent unauthorised physical access to the information relating to both company audits

The management of both Goofy and Mickey should be informed and their consent obtained.

Separate audit teams should be used including audit partners and independent review partners.

Confidentiality agreements should be signed by NAB & Co's staff, not by the client.

52 The correct answers are:

- Audit engagement partner has been in the position for six years - **Familiarity**
- Audit engagement partner's daughter works for Goofy - **Familiarity**
- Audit engagement partner's daughter's bonus would be in the form of shares - **Self-interest**
- 5% bonus offered if audit is completed three weeks earlier than last year - **Self-interest**

The long association of the audit engagement partner with Goofy represents a familiarity threat as she may not maintain professional scepticism and objectivity. Similarly the audit engagement partner's daughter being employed by Goofy is also a familiarity threat, although there would not be a need for additional safeguards as a warehouse manager is unlikely to influence the financial statements.

A self-interest threat arises from the financial interest in Goofy which the audit engagement partner's daughter will receive if she is awarded a bonus. As an immediate family member of the partner this creates an indirect interest in a client which is not permitted by the ACCA (ACCA *Code of Ethics and Conduct*: para. R510.4).

A bonus relating to the audit being completed three weeks earlier than last year creates a self-interest threat, as there is a danger NAB & Co will be less thorough in order to achieve the deadline and not risk losing the client as a result of not meeting it.

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53 The correct answers are:

Order	Procedure
(3)	Ensure that the existing auditor's resignation has been properly conducted
(1)	Communicate with Mickey's existing auditors
(4)	Submit an engagement letter to Mickey's management
(2)	Perform client screening procedures, including an assessment of Mickey's risk profile

NAB & Co should contact the existing auditor before accepting nomination, in order to find out whether there are any reasons behind Mickey's decision to change its auditors about which NAB & Co should be aware. Once this is done, client screening must be performed.

Ensuring that the existing auditor's resignation has been properly conducted and issuing an engagement letter are procedures which should be taken after accepting nomination.

54 The correct answer is: Management's responsibility to prevent and detect fraud

Although management is responsible for the prevention and detection of fraud, this is not one of the matters included in the agreement obtained by the auditors to establish that the preconditions of an audit exist.

55 The correct answers are:

The auditor has the right of access to the books, records and vouchers of the company	TRUE	
The auditor has the right to be heard at general meetings on matters relating to the audit	TRUE	
The auditor is appointed by, and answerable to, those charged with governance of the company		FALSE
An auditor can be removed by a simple oral resolution in line with the common law		FALSE

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Carlise

56 The correct answers are:

- Update documentation relating to Carlise's accounting systems which has been prepared in prior year audits - **Interim audit**
- Obtain third-party confirmations relating to receivables, payables and cash at bank - **Final audit**
- Review the directors' assessment of whether Carlise is a going concern. Consider whether the assumptions made by the directors are reasonable and whether it is appropriate to prepare the accounts on the going concern basis - **Final audit**
- Perform preliminary analytical procedures in order to identify any major changes in the business or unexpected trends - **Interim audit**

Audit procedures performed during an interim audit are likely to include analytical procedures, tests of controls, updating risk assessments and substantive testing of transactions which have occurred during the first part of the year.

When it comes to the final audit a trial balance or draft set of financial statements will be available, so detailed substantive testing of year-end balances will be conducted. This is in addition to completing the tests of controls and substantive procedures started during the interim audit.

57 The correct answer is: 1, 2 and 3

All of the factors should be taken into account.

58 The correct answer is: Whether the work performed by the internal audit department relates to specific audit assertions over which UYE & Co has concerns

Where the external auditor plans to rely on the work of the internal audit department, they must ensure that the internal auditors' work has been performed to a good standard. However, most important is the requirement that the work performed by the internal audit department must be relevant to the evidence the external auditor is trying to gather.

59 The correct answers are:

- Carlise's internal auditors would perform audit procedures under the direction, supervision and review of UYE & Co's audit team - **True**
- UYE & Co should only use direct assistance if the risk of material misstatement in relation to the online ticket sales system is high - **False**
- UYE & Co's audit team should document its review of the work performed by Carlise's internal auditors - **True**
- Carlise's internal auditors will be separately liable for any material misstatements in the work they have performed - **False**

Direct assistance describes the use of internal auditors to perform audit procedures under the direction, supervision and review of the external auditor (ISA 620).

The external auditor should document their review of the work performed by the internal auditors.

The external auditor is likely to be less inclined to use direct assistance where the assessed risk of material misstatement is high, as this increases audit risk. The auditor must take full responsibility for their audit opinion regardless of whether they rely on the work of others.

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60 The correct answers are:

- UYE & Co's policy of assembling files within 60 days of the auditor's report is stricter than what is required by ISAs - **False**
- It is incompatible with ISAs for even minor further procedures to be added to the audit files after the 60-day period - **True**
- It is acceptable to make administrative changes to an audit file after 60 days, so it is not strictly necessary to 'lock' the files to comply with ISAs - **True**
- It is acceptable for files to be disposed of after 3 years have passed since the date of the auditor's report - **False**

ISA 230 *Audit documentation* requires the assembly of the final audit file within 60 days of the auditor's report, so UYE & Co's policy is in line with this (and is not therefore stricter than required).

Once this time has passed, it is acceptable for changes to be made where they are administrative in nature – but further procedures would not be administrative and would thus not be acceptable. The files do not necessarily have to be 'locked'.

It is not acceptable to dispose of audit files after just 3 years – ISA 230 requires audit files to be kept for 5 years from the date of the auditor's report.

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Section B

61 Peony

Course Book references

Chapter 6.

Top tips

Part (a), on materiality and performance materiality, involved an element of recall. The more difficult marks were for the explanation, particularly of performance materiality, but you should be aiming to score at least three marks on a requirement like this.

Part (b) was an application-based requirement. It is essential that you only include eight audit risks in your solution; the 16 marks available divide themselves into one each for describing the audit risk and then for the auditor's response to it. Your description of the audit risk should say what is happening and then, crucially, why this poses an audit risk. This statement of why could address a problem that could be encountered during the audit (eg due to lack of available information), or simply which balances could be over- or understated. The auditor's response is then focused on reducing the audit risks.

Easy marks

There are marks in (b) for giving a simple description of each audit risk from the scenario (the marks for identification), and these are easy to get.

Examining team's comments.

As noted in previous Examining team's reports a fundamental factor in planning and assessing the risks of an audit of an entity is an assessment of audit risk, and this remains a highly examinable area. Audit risk questions typically require a number of audit risks to be identified (½ marks each), explained (½ marks each) and an auditor's response to each risk (1 mark each). Typically candidates can be required to identify and explain in the region of six to eight risks and responses.

A significant minority of candidates stated the risk was 'under/over stated' when it was clearly one or the other. They were not awarded credit and this scattergun approach is not recommended. Additionally, candidates must state the specific area of the financial statements impacted, as opposed to a general statement. As an example, a significant loss on disposal is indicative of an inappropriate depreciation policy resulting in 'property, plant and equipment being overstated or depreciation being understated'. No credit would be awarded just for stating 'assets are overstated' or 'profit is overstated'.

An auditor's response does not have to be a detailed audit procedure, rather an approach the audit team will take to address the identified risk. In common with previous sessions, auditor responses were sometimes too weak eg 'discuss with management' or 'obtain a breakdown and confirm it is reasonable'. In addition, it was noted that some candidates focused on what management should do rather than the auditor, and/or, gave responses that were inappropriate to the scenario. For example, in this session a company had encountered significant fraud in its warehouse; some candidates recommended that 'the company install CCTV cameras'. This is an inappropriate auditor response and so would have gained no marks as it addresses the issue from the perspective of the company and not the audit. 'Peony Co' from the 'Sample March/June 2019 Questions' is a good scenario-based question on audit risks and responses to practise.

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Marking guide

	Marks	
(a) **1 mark per well explained point**		
Materiality and performance materiality	1	
Materiality definition	1	
Material due to size or nature	1	
Materiality benchmarks	1	
Depends on judgement and risk	1	
Performance materiality definition	1	
Used for testing individual balances	1	
Set at lower level than materiality	1	
Maximum		4
(b) **Audit risks and responses** (only 8 required)		
Reliance on internal audit – increased detection risk	2	
Unusual movement in margins	2	
Inventory valuation policy	2	
Perpetual inventory system	2	
Obsolete PPE	2	
Advertising expenditure	2	
Use of payroll service organisation	2	
Transfer of data to service organisation	2	
Bank loan	2	
Redundancy plan	2	
Maximum		16
Total		20

(a) **Materiality and performance materiality**

Materiality and performance materiality are dealt with under ISA 320 *Materiality in Planning and Performing an Audit*. Auditors need to establish the materiality level for the financial statements as a whole, as well as assess performance materiality levels, which are lower than the overall materiality for the financial statements as a whole.

Materiality

Materiality is defined in ISA 320 as follows: 'Misstatements, including omissions, are considered to be material if they, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.'

If the financial statements include a material misstatement, then they will not present fairly (give a true and fair view) the position, performance and cash flows of the entity.

A misstatement may be considered material due to its size (quantitative) and/or due to its nature (qualitative) or a combination of both. The quantitative nature of a misstatement refers to its relative size. A misstatement which is material due to its nature refers to an amount which might be low in value but due to its prominence and relevance could influence the user's decision; for example, directors' transactions.

As per ISA 320, materiality is often calculated using benchmarks such as 5% of profit before income taxes or 1% of total revenue or total assets. These values are useful as a starting point for assessing materiality; however, the assessment of what is material is ultimately a matter of the auditor's professional judgement. It is affected by the auditor's perception of the

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financial information, the needs of the users of the financial statements and the perceived level of risk; the higher the risk, the lower the level of overall materiality.

In assessing materiality, the auditor must consider that a number of errors each with a low value may, when aggregated, amount to a material misstatement.

Performance materiality

Performance materiality is defined in ISA 320 as follows: 'The amount set by the auditor at less than materiality for the financial statements as a whole to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality for the financial statements as a whole.'

Hence performance materiality is set at a level lower than overall materiality for the financial statements as a whole. It is used for testing individual transactions, account balances and disclosures. The aim of performance materiality is to reduce the risk that the total of all of the errors in balances, transactions and disclosures exceeds overall materiality.

(b) **Audit risks and auditor's response**

Audit risk	Auditor's response
The external audit team may place reliance on the controls testing work undertaken by the IA department. If reliance is placed on irrelevant or poorly performed testing, then the external audit team may form an incorrect conclusion on the strength of the internal controls at Peony Co. This could result in them performing insufficient levels of substantive testing, thereby increasing detection risk.	The external audit team should meet with IA staff, read their reports and review their files relating to store visits to ascertain the nature of the work undertaken. Before using the work of IA, the audit team will need to evaluate and perform audit procedures on the entirety of the work which they plan to use, in order to determine its adequacy for the purposes of the audit. In addition, the team will need to re-perform some of the testing carried out by IA to assess its adequacy.
Forecast ratios from the finance director show that the gross margin is expected to increase from 56% to 60% and the operating margin is expected to decrease from 21% to 18%. This movement in gross margin is significant and inconsistent with the fall in operating margin. There is a risk that costs may have been omitted or included in operating expenses rather than cost of sales. Misclassification of expenses would result in understatement of cost of sales and overstatement of operating expenses.	The classification of costs between cost of sales and operating expenses should be reviewed in comparison to the prior year and any inconsistencies investigated.
Peony Co's inventory valuation policy is selling price less average profit margin, as this is industry practice. Inventory should be valued at the lower of cost and net realisable value (NRV). IAS 2 *Inventories* allows this as a cost calculation method as long as it is a close approximation to cost. If this is not the case, then inventory could be under or overvalued.	Testing should be undertaken to confirm cost and NRV of inventory and that on a line-by-line basis the goods are valued correctly. In addition, valuation testing should focus on comparing the cost of inventory to the selling price less margin for a sample of items to confirm whether this method is actually a close approximation to cost.

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Audit risk	Auditor's response
The company utilises a perpetual inventory system at its warehouse rather than a full year-end count. Under such a system, all inventory must be counted at least once a year with adjustments made to the inventory records on a timely basis. Inventory could be under- or overstated if the perpetual inventory counts are not all completed, such that some inventory lines are not counted in the year. During the interim audit, it was noted that there were significant exceptions with the inventory records being higher than the inventory in the warehouse. As the year-end quantities will be based on the records, this is likely to result in overstated inventory.	The timetable of the perpetual inventory counts should be reviewed and the controls over the counts and adjustments to records should be tested. In addition, the level of adjustments made to inventory should be considered to assess their significance. This should be discussed with management as soon as possible as it may not be possible to place reliance on the inventory records at the year end, which could result in the requirement for a full year-end inventory count.
A number of assets which had not been fully depreciated were identified as being obsolete. This is an indication that the company's depreciation policy of non-current assets may not be appropriate, as depreciation in the past appears to have been understated. If an asset is obsolete, it should be written off to the statement of profit or loss. Therefore depreciation may be understated and profit and assets overstated.	Discuss the depreciation policy for non-current assets with the finance director and assess its reasonableness. Enquire of the finance director if the obsolete assets have been written off. If so, review the adjustment for completeness.
Peony Co is planning to include a current asset of $0.7 million, which relates to advertising costs incurred and adverts shown on TV before the year end. The costs were incurred and adverts shown in the year ending 20X5 and there is no basis for including them as a current asset at the year end. The costs should be recognised in operating expenses in the current year financial statements. If these costs are not expensed, current assets and profits will be overstated.	Discuss with management the rationale for including the advertising as a current asset. Request evidence to support the assessment of probable future cash flows, and review for reasonableness. Review supporting documentation for the advertisements to confirm that all were shown before the 20X5 year end. Request that management remove the current asset and record the amount as an expense in the statement of profit or loss.
During the year, Peony Co outsourced its payroll function to an external service organisation. A detection risk arises as to whether sufficient and appropriate evidence is available at Peony Co to confirm the completeness and accuracy of controls over the payroll cycle and liabilities at the year end.	Discuss with management the extent of records maintained at Peony Co for the period since January 20X5 and any monitoring of controls which has been undertaken by management over payroll. Consideration should be given to contacting the service organisation's auditor to confirm the level of controls in place; a type 1 or type 2 report could be requested.
The payroll function was transferred to the service organisation from 1 January 20X5, which is five months prior to the year end. If any errors occurred during the transfer process, these could result in wages and salaries being under/overstated.	Discuss with management the transfer process undertaken and any controls which were put in place to ensure the completeness and accuracy of the data. Where possible, undertake tests of controls to confirm the effectiveness of the transfer controls. In addition, perform substantive testing on the transfer of information from the old to the new system.

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Audit risk	Auditor's response
A $3 million loan was obtained in March 20X5. This finance needs to be accounted for correctly, with adequate disclosure made. The loan needs to be allocated between non-current and current liabilities. Failure to classify the loan correctly could result in misclassified liabilities.	Re-perform the company's calculations to confirm that the split of the loan note is correct between non-current and current liabilities and that total financing proceeds of $3 million were received. In addition, the disclosures for this loan note should be reviewed in detail to ensure compliance with relevant accounting standards.
Peony Co is planning to make approximately 60 employees redundant after the year end. The timing of this announcement has not been confirmed; if it is announced to the staff before the year end, then under IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, a redundancy provision will be required at the year end as a constructive obligation will have been created. Failure to provide or to provide an appropriate amount will result in an understatement of provisions and expenses.	Discuss with management the status of the redundancy announcement; if before the year end, review supporting documentation to confirm the timing. In addition, review the basis of and recalculate the redundancy provision.

62 Harlem

Course Book references

Chapters 1 and 6.

Top tips

In part (c), make sure that you explain both the audit risk and the auditor's response to the risk. Make sure that you discuss audit risks – the risks which have an impact on the financial statements – only. Talking about business risks in general will not get you marks!

Easy marks

Parts (a) and (c) both offer easy marks. If you know the material well, you should score good marks there.

Marking guide	Marks
(a) **Auditor's responsibility for fraud**	
Obtain reasonable assurance that financial statements are free from material misstatement	1
Identify and assess risk of misstatement due to fraud	1
Obtain sufficient and appropriate evidence	1
Respond appropriately to fraud or suspected fraud	1
Maintain professional scepticism	1
Discuss risk of fraud with engagement team	1
Maximum	4

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(b)	**Ratios**		
	Gross profit margin	1	
	Inventory holding period	1	
	Gearing	1	
	Interest cover	1	
	Maximum		4
(c)	**Audit risks and responses** (only 8 required)		
	Sale or return assumption	2	
	Intangible asset amortisation	2	
	Significant losses on disposal	2	
	Financial controller dismissal	2	
	Unfair dismissal claim	2	
	Inventory valuation	2	
	Recoverability of receivables	2	
	Purchases cycle control deficiencies	2	
	Intention to restructure finance	2	
	Bonus issue of shares	2	
	Maximum		16
(d)	**Substantive procedures – Valuation of trade receivables**		
	Discuss with management adequacy of allowance for trade receivables	1	
	Outcome of prior year allowance	1	
	Review aged trade receivables listing to identify old balances	1	
	Cash after-date testing	1	
	Review customer correspondence for evidence of disputes	1	
	Recalculate potential irrecoverable balances and assess adequacy of provision	1	
	Maximum		3
(e)	**Substantive procedures – Disposal of plant and machinery**		
	Obtain breakdown of disposals, cast and agree removal to non-current asset register	1	
	Select sample of disposals and agree sales proceeds to invoice	1	
	Recalculate the profit/loss on disposal and agree to trial balance	1	
	Recalculate depreciation to confirm applied on a pro rata basis	1	
	Review disclosures and confirm in line with accounting standards	1	
	Maximum		3
Total			30

(a) **Fraud responsibility**

Auditors conduct an audit in accordance with ISA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* and are responsible for obtaining reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error.

In order to fulfil this responsibility, the auditor is required to identify and assess the risks of material misstatement of the financial statements due to fraud.

The auditor needs to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud through designing and implementing appropriate

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responses. In addition, the auditor must respond appropriately to fraud or suspected fraud identified during the audit.

When obtaining reasonable assurance, the auditor is responsible for maintaining professional scepticism throughout the audit, considering the potential for management override of controls and recognising the fact that audit procedures which are effective in detecting error may not be effective in detecting fraud.

To ensure that the whole engagement team is aware of the risks and responsibilities for fraud and error, ISA 240 requires that a discussion is held within the team. For members not present at the meeting, the audit engagement partner should determine which matters should be communicated to them.

(b) **Ratios**

Ratio	20X5	20X4
Gross profit margin	19.4%	21%
Inventory holding period	41 days	34 days
Gearing	56.5%	53.7%
Interest cover	2.6	4.4

Working

Ratio	20X5	20X4
Gross profit margin	4,500/23,200 = 19.4%	4,600/21,900 = 21%
Inventory holding period	2,100/18,700 × 365 = 41 days	1,600/17,300 × 365 = 34 days
Gearing ratio	13,000/(10,000 + 13,000) = 56.5%	11,000/9,500 + 11,000 = 53.7%
Alternative Gearing ratio	13,000/10,000 = 130%	11,000/9,500 = 116%
Interest cover	(450 + 290)/290 = 2.6	(850 + 250)/250 = 4.4

Note. You were not required to give the formulae.

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(c) **Audit risks and auditor's response**

Audit risk	Auditor's response
The finance director is planning on reducing the estimated return rate for goods sold on a sale or return basis to wholesale customers from 10% to 5%. IFRS® 15 *Revenue from Contracts with Customers* provides that revenue and cost of sales should only be accounted for to the extent that the company foresees that the goods will not be returned. For the goods which may be returned, the company should recognise a refund liability. If, after 60 days, the goods are not returned, then this liability is reversed and revenue is recognised. By reducing the return rate, there is a risk that revenue and cost of sales may be overstated and liabilities understated.	Discuss the basis of the revised assumption of a 5% return rate with the finance director. Review a period of 60 days to quantify the levels of return in the specified period and compare this to the assumed rate of 5%. Discuss any significant variations with the finance director.
The company purchased a patent for $800,000 at the end of the prior year which has a useful life of four years. The carrying amount in the forecast financial statements is $800,000 which is the same as prior year. In accordance with IAS® 38 *Intangible Assets*, this intangible asset should be amortised over its four-year life. It does not appear that management has correctly accounted for the amortisation and as a result, intangible assets and profits are overstated.	Agree the useful life of the patent is four years to supporting documentation. The amortisation charge should be calculated and the appropriate journal adjustment discussed with management, in order to ensure the accuracy of the charge and that the intangible is correctly valued at the year end.
Surplus plant and machinery was sold during the year, resulting in a loss on disposal of $160,000.	Recalculate the loss on disposal calculations and agree all items to supporting documentation.
Significant profits or losses on disposal are an indication that the depreciation policy of plant and machinery may not be appropriate. Therefore depreciation may be understated and profit and assets overstated.	Discuss the depreciation policy for plant and machinery with the finance director to assess its reasonableness. Review for other significant gains or losses on disposal of property, plant and equipment to assess the reasonableness of the company's depreciation policies.
Harlem Co's financial controller has allegedly carried out a number of fraudulent transactions at the company. The investigation into the extent of the fraud has only recently commenced.	Discuss with the finance director the details of the fraud perpetrated by the financial controller and what procedures have been adopted to date to identify any adjustments which are needed in the financial statements.
There is a risk that she may have undertaken a higher level of fraudulent transactions leading to an increased control risk which has not yet been identified. These would need to be written off to the statement of profit or loss. If these have not been uncovered by the year end, the financial statements could include errors resulting in the misstatement of profits.	Additional substantive testing should be conducted over the affected areas of the accounting records. In addition, the team should maintain their professional scepticism and be alert to the risk of further fraud and errors.

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Audit risk	Auditor's response
In May 20X5, the financial controller was dismissed and is threatening to sue the company foe unfair dismissal.	The audit team should discuss with management and request confirmation from the company's lawyers of the existence and likelihood of success of any claim from the former financial controller.
If it is probable that Harlem Co will make payment to the financial controller, a provision for unfair dismissal is required to comply with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. If the payment is possible rather than probable, a contingent liability disclosure would be necessary. If Harlem Co has not done this, there is a risk over the completeness of any provisions or contingent liabilities disclosures.	
Harlem Co has had production problems which have affected the quality of a significant batch of tyres. In addition, the inventory holding period has increased from 34 to 41 days.	Discuss with the finance director whether any write downs will be made to the affected tyres, and what, if any, modifications may be required with regard to the quality.
Inventory may be overvalued as its net realisable value (NRV) may be below its cost. If the tyres can be rectified, the rectification costs may mean that cost exceeds net realisable value. If the tyres cannot be rectified, the inventory may need to be written off completely.	Testing should be undertaken to confirm cost and NRV of the affected products in inventory and that all inventory on a line-by-line basis is valued correctly.
A significant customer has been granted a six-month payment break and the receivables collection period has increased from 38 to 51 days. An allowance for receivables has historically been maintained, and it is anticipated that it will remain at the prior year level. There is a risk that receivables will be overvalued; some balances may not be recoverable and so will be overstated if not adequately provided for.	Review and test the controls surrounding how the finance director identifies old or potentially irrecoverable receivables balances and credit control to ensure that they are operating effectively. Discuss with the director the rationale for maintaining the allowance for receivables at the same level as the prior year, despite the increase in receivables collection period and the payment break granted to a large customer. Extended post year-end cash receipts testing and a review of the aged receivables ledger to be performed to assess valuation and the need for an increased level of allowance for receivables.
The report to management issued after the prior year audit highlighted significant deficiencies relating to the purchases cycle.	Discuss with management whether the purchases cycle recommendations suggested by Brooklyn & Co were implemented successfully this year. If so, undertake tests of these controls to assess whether they are operating efficiently.
If these deficiencies have not been rectified, the controls over purchases and payables may continue to be weak leading to increased control risk and risk misstatements arising. Cost of sales, expenses and trade payables may not be complete or accurate.	If the controls are not in a place or operating efficiently, adopt a fully substantive approach for confirming the completeness and accuracy of cost of sales and other expenses and trade payables.

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Audit risk	Auditor's response
Harlem Co intends to restructure its debt finance after the year end. However, the interest cover has declined from 4.4 to 2.6 and the level of gearing has increased from 53.7% to 56.5%. In order to maximise the chances of securing the debt finance restructure, Harlem Co will need to present financial statements which show the best possible position and performance. The worsening interest cover and gearing ratio increases the risk that the directors may manipulate the financial statements, by overstating profits and assets and understating debt liabilities.	Brooklyn & Co should ensure that there is a suitably experienced audit team. Also, adequate time should be allocated for team members to obtain an understanding of the company and the significant risks of overstatement of profits and assets and understatement of debt, including attendance at an audit team briefing. The team needs to maintain professional scepticism and be alert to the increased risk of manipulation. Significant estimates and judgements should be carefully reviewed in light of the misstatement risk.
Harlem Co has issued shares during the year via a bonus issue. Share capital within equity should increase by the value of the shares and a reserve should decrease accordingly.	Review the treatment of the bonus issue and agree the increase in shares to the share register and share certificates, and agree that the corresponding reduction in reserves is correct.
If the company has not accounted for a bonus issue before, there is a risk that it could have been incorrectly treated with equity being under- or overstated. In addition, legal issues may arise if the shares have not been issued in accordance with the company's statutory constitution.	Review board minutes for authorisation and terms of the bonus issue and review if the transaction has been conducted in line with this approval. Review the statutory constitution documents to confirm the legality of the share issue.
Additionally, bonus issues require disclosure in the financial statements and there is a risk that these may be incomplete or inaccurate.	Review the adequacy of the bonus issue disclosures in the financial statements.

(d) **Substantive procedures for valuation of trade receivables**

- Discuss with the finance director the rationale for not increasing the allowance for trade receivables and review its overall adequacy.
- Obtain a breakdown of the opening allowance and consider if the receivables provided for in the prior year have been recovered to assess the reasonableness of the prior levels of allowances.
- Review the aged trade receivables ledger to identify any slow-moving or old receivable balances and discuss the status of these balances with the credit controllers to assess whether they are likely to be received.
- Review whether there are any after-date cash receipts for slow-moving/old receivable balances.
- Review customer correspondence with the significant customer and others to identify any balances which are in dispute or are unlikely to be paid.
- Review board minutes to identify whether there are any significant concerns in relation to payments by customers.
- Calculate the potential level of trade receivables which are not recoverable and assess whether this is material or not and discuss with management.

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(e) **Substantive procedures for disposals of plant and machinery**

- Obtain a breakdown of disposals, cast the list and review the non-current assets register to confirm that all assets have been removed.
- Select a sample of disposals and agree sale proceeds to supporting documentation such as sundry sales invoices.
- Recalculate the depreciation charge for a sample of disposals to confirm the calculations are correctly applied as per the company policy of a pro rata basis or a full year in the year of acquisition and none in the year of disposal.
- Review the disclosure of the disposals in the draft financial statements and ensure it is in line with IAS 16 *Property, Plant and Equipment*.

63 Scarlet

Course Book references.

Chapters 5, 6 and 7.

Top tips

Maintaining focus is essential on a long 30-mark question such as this one. A common theme throughout this question is the risk of answering the question you hoped would come up, rather than the question actually being asked.

In part (a) you were given a straight knowledge question about the engagement letter, which was not difficult and should have helped you to get off to a good start on the question.

Part (b) continued the theme, although the question was slightly deceptive in that you needed to make sure that your explanations really warranted a full mark each. It may be helpful here to think about trying to get two half marks here in order to extend your answer enough to get the full mark.

Part (c) was the standard risk and response requirement, for which you need to work through the scenario carefully, drawing out the consequences of the hints contained therein.

Part (d) rounded off the question by asking for substantive procedures. It is crucial here that you do not, for example, stray into writing down tests of controls or audit evidence points. Each procedure should be something that the audit team can do.

Easy marks

Part (a) was a relatively painless start to the question (and to the exam, if this had been your real exam).

Marking guide	Marks
(a) **Purpose and contents of engagement letter**	
Purpose	2
Four examples of items to be included (0.5 mark each)	2
Maximum	4
(b) **Factors to consider prior to acceptance**	
Outgoing auditor's response	1
Management integrity	1
Pre-conditions	1
Independence and objectivity	1
Resources	1
Maximum	5

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Marking guide

	Marks	
(c) **Audit risks and responses (only required)**		
New client	2	
Temporary accountant	2	
FS preparation deadline for bank loan application	2	
Training costs capitalised	2	
Goods in transit	2	
Increase in receivables days	2	
Redundancy provision	2	
Directors' bonus disclosure	2	
Credit note for faulty goods	2	
Late supplier payment run	2	
Maximum		16
(d) **Substantive procedures for redundancy costs**		
1 mark per well-described procedure	5	
Maximum		5
Total		30

(a)

Word Processor

Paragraph

Engagement letters

Purpose of an engagement letter

The letter of engagement outlines the responsibilities of both the audit firm and the audit client. Its purpose is to:

- minimise the risk of any misunderstanding between the auditor and the client;
- confirm acceptance of the engagement; and
- form the basis of the contract by outlining the terms and conditions of the engagement

Items to be included in an engagement letter

- the objective and scope of the audit;
- the responsibilities of the auditor;
- responsibilities of management;
- identification of the financial reporting framework used in the preparation of the financial statements;
- expected form and content of any reports to be issued;
- elaboration of the scope of the audit with reference to legislation;
- the form of any other communication of the results of the audit;
- the fact that some material misstatements may not be discovered;

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- arrangements concerning the planning and performance of the audit, including the composition of the audit team;
- the expectation that management will provide written representations;
- the basis on which the audit firm will calculate its fees;
- a request for management to agree to the terms of the audit engagement and acknowledge receipt of the letter of engagement;
- arrangements concerning the involvement of internal audit and other staff employed at the company;
- any obligations to provide audit working papers to third parties;
- any restrictions on the auditor's liability; and
- arrangements to make available draft financial statements and any other information.

(b) **Factors to consider prior to accepting Scarlet Co as a new audit client**

Pre-acceptance factors	Explanation
The outgoing auditor's response	Prior to accepting an audit engagement, the auditor is required to contact the previous auditors, after obtaining permission from Scarlet Co, to ask for all information relevant to the decision as to whether or not the firm should accept appointment. The auditor should consider the outgoing auditor's response to assess whether there are any ethical or professional reasons why the firm should not accept appointment.
Management integrity	If Orange & Co's audit engagement partner has reason to believe that Scarlet Co's management lack integrity, there is a greater risk of fraud and intimidation. Orange & Co need to consider management integrity because if there are serious concerns regarding this, Orange & Co must not accept the audit engagement.
Preconditions for an audit	Orange & Co can only accept an audit engagement if the preconditions are present. The preconditions confirm that management will use an acceptable financial reporting framework under which they will prepare the financial statements and confirms that management acknowledges and understands its responsibilities for: • Preparing the financial statements in accordance with the applicable financial reporting framework; • Internal control necessary for the preparation of the financial statements to be free from material misstatement; and • Providing the auditor with access to information relevant for the audit and access to staff within the entity to obtain audit evidence. If the preconditions are not present, Orange & Co cannot accept the audit engagement.
Independence and objectivity	The auditor must consider whether there are any threats to independence and objectivity which cannot be reduced to an acceptably low level by the use of appropriate safeguards, such as if any of Orange & Co's staff have shares in Scarlet Co or are related to staff employed at Scarlet Co. If such threats are present and cannot be sufficiently mitigated, Orange & Co must not accept the audit engagement.
Resources available at the time of the audit	Orange & Co must have adequate resources with the relevant experience available at the time the audit of Scarlet Co is likely to be carried out. All audit staff deployed to the audit of Scarlet Co must be capable of carrying out the audit in accordance with International Standards on Auditing (ISAs). If adequate resources will not be available, Orange & Co must not accept the audit engagement.

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(c) **Audit risks and auditor's responses**

Audit risk	Auditor's response
Scarlet Co is a new audit client of the firm. The audit engagement team will be unfamiliar with the accounting policies, transactions and balances of the client, hence there will be increased detection risk on the audit. In addition, there is less assurance over opening balances as Orange & Co did not perform last year's audit.	Orange & Co should ensure that it has a suitably experienced team deployed on the audit. In addition, sufficient time must be set aside so that the team members can familiarise themselves with the new client, document its systems and controls and understand the risks of material misstatement. Increased audit procedures should be performed on the opening balances to confirm their reasonableness.
The company's financial accountant was taken ill suddenly in May 20X5 and a temporary accountant has been drafted in to help prepare the financial statements. There is an increased risk of errors in the financial statements as the temporary financial accountant may not be familiar with the company's activities and so errors/omissions may go unnoticed.	Discuss with management the technical competency and experience of the temporary financial accountant. In addition, the audit engagement team should ensure that increased substantive procedures are undertaken on the material areas of the financial statements to reduce audit risk, particularly those requiring judgement.
The year-end financial statements have to be prepared by the end of September 20X5 in order to secure bank finance and management wish to report strong results. This increases the risk that the directors may manipulate the financial statements, by overstating profits and assets and understating liabilities.	The audit engagement team should maintain professional scepticism throughout the course of the audit. Detailed cut-off testing on areas such as revenue, inventory and payables should be performed to ensure that cut-off has been correctly applied and substantive procedures performed on estimates and judgements to ensure accuracy.
A specialised machine was acquired and staff members had to be trained in the machine's use at a cost of $15,000 which has been capitalised as part of the cost of the machine. IAS® 16 *Property, Plant and Equipment* prohibits training costs from being capitalised and therefore profits and property, plant and equipment will be overstated, and expenses understated if the training costs are not written off to the statement of profit or loss.	Discuss the accounting treatment with the directors and request that an adjustment is made to ensure appropriate treatment of the training costs. Obtain a breakdown of the remaining capitalised costs and agree to supporting documentation to ensure that they meet the recognition criteria in IAS 16.
The delivery time of three weeks from the company's international supplier is likely to result in goods in transit at the year end. The company has advised that the contract with the supplier means that Scarlet Co will be responsible for goods from dispatch and therefore inventory should be recorded when the products are sent by the supplier. There is a risk that inventory is not recorded on dispatch and therefore inventory and liabilities are understated at the year end.	Discuss with management the point at which inventory is recorded and review the contract with the supplier to verify the requirements in place. Review the controls the company has in place to ensure that inventory is recorded from the point of dispatch. Extend cut-off testing by reviewing pre and post year-end GRNs and supplier dispatch notes to verify that inventory is recorded at the correct point.
Preliminary analytical procedures indicate that the receivables collection period has increased from 38 days to 52 days due to customers taking longer to pay. There is a risk that some receivables may not be recoverable and an allowance for receivables is required, hence receivables may be overstated and the allowance for receivables understated.	Extend post year-end cash receipts testing and perform a review of the aged receivables listing to assess the valuation of receivables. Discuss with management the adequacy of any allowance for receivables.

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Audit risk	Auditor's response
On 29 May 20X5, the directors announced that a brand was being discontinued resulting in four members of staff being made redundant. The costs of redundancy are being included in the July 20X5 payroll run. As there is a present obligation for which the costs can be reliably measured, and which will result in an outflow of funds, IAS 37 *Provisions, Contingent Assets and Contingent Liabilities* would require this provision to be recognised in the financial statements. If a provision is not recognised profit would be overstated and liabilities and payables would be understated.	Obtain the calculation of the redundancy payments and agree that a provision has been included as a liability in the year-end financial statements. Agree the redundancy payments have been paid post year end.
The directors have each been paid a significant bonus at the year end and separate disclosure of this is required in the financial statements by local legislation. The directors' remuneration disclosure will be incomplete and inaccurate if the bonus paid is included in the payroll charge for the year and not separately disclosed in accordance with the local legislation.	Discuss this matter with management and review the disclosure in the financial statements to ensure it complies with local legislation.
A customer has returned $120,000 of faulty goods to the company prior to the year-end but a credit note is yet to be issued. As this sale occurred pre year end there is a risk that revenue and receivables are overstated if the credit note is not correctly recorded prior to the year end.	Inspect a copy of the credit note and confirm an adjustment to revenue and receivables has been recorded pre-year end.
The company's suppliers have been paid on 1 June 20X5 and the payment has been included as an unpresented item in the year-end bank reconciliation. This is possible evidence of window dressing which results in understated payables and bank balances.	Request that the bank reconciliation is amended to remove the supplier payments at the year end as these should be accounted for in the 31 May 20X6 financial statements. Review the journal entry correcting the payables and bank balances at the year end.

(d) **Substantive procedures for the redundancy costs**

- Review the board minutes for evidence of the decision to discontinue the brand of chemicals prior to the year-end.
- Review supporting documentation to confirm that the decision to discontinue the brand was notified to the four members of staff prior to the year end.
- Obtain details of the redundancy calculated by employee, cast the schedule and agree to the trial balance/financial statements.
- Recalculate the redundancy provision to confirm completeness and agree components of the cost to supporting documentation such as employee contracts.
- Agree the redundancy payments made in July 20X5 to the bank ledger account/payroll records and compare these to the provision in the financial statements.
- Obtain a written representation from management confirming the completeness of the costs.
- Review the disclosures included in the financial statements to verify they are in compliance with requirements of IAS 37 *Provisions, Contingent Assets and Contingent Liabilities*.

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64 Corley Appliances Co

Course Book references

Chapters 5 and 6.

Top tips

Part (a) of this question is largely knowledge, which could mean either that you have a nice easy start to the question (if you know it) or that you struggled. The key here is whether you have done enough preparation for your exam.

For part (b) of the question it is important that you describe the audit risks clearly. A common mistake in this type of question is to simply identify a risk factor from the question eg the company has reduced the amount of its warranty provision. This is a risk factor, ie something about the way in which the business operates that increases audit risk. The risk itself is the potential issue that this causes. For example, in this case the risk would be that the reduction is not reasonable leading to an understatement of provisions in the statement of financial position and an overstatement of profit for the period. Notice that to score well you must both identify the risk factor and then explain the associated risk.

Part (c) then asks you about professional scepticism. This has been a topical area in the profession for some time and continues to be so. The three marks that are available for this part divide themselves neatly into one for your definition (knowledge), and then two for your examples (application). If you read through the model answer, you will find that you do not need to say anything intimidatingly profound to get the marks. You do, however, need to select some appropriate areas where the auditor could be sceptical, and try to use the right audit terminology when describing the potential problems. For example, terms such as 'management bias' and 'manipulation'.

Finally, it is instructive that the model answer is specific about the risk that professional scepticism would want to address, stating where possible what the effect might be on the financial statements were a problem to go unaddressed.

Take care with timing. Part (c) is for only three marks but it is important that you attempt all parts of the question.

Easy marks

Part (a) should represent easy marks as you should be familiar with the concept of the preconditions for an audit.

Marking guide	Marks	
(a) **Preconditions required for an audit**		
1 mark per well-explained point	3	
Maximum		3
(b) **Audit risks and auditor's responses** (only 7 required)		
Refund liability	2	
Reduced warranty provision	2	
Goods in transit	2	
Inventory count attendance	2	
Allowance for receivables	2	
Fraud	2	
Payables ledger backlog	2	
Training costs capitalised	2	
Renewal of overdraft facility	2	
Maximum		14

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Marking guide

	Marks
(c) **Professional scepticism and examples where professional scepticism should be applied**	
Professional scepticism definition	1
Examples	2
Maximum	3
Total	20

(a) **Preconditions required for an audit**

Auditors should only accept a new audit engagement or continue an existing audit engagement if the preconditions for an audit are present.

ISA 210 *Agreeing the Terms of Audit Engagements* requires the auditor to:

- Determine whether the financial reporting framework to be applied in the preparation of the financial statements is acceptable (for example IFRS® Standards). In considering this, the auditor should have assessed the nature of the entity, the nature and purpose of the financial statements and whether law or regulation prescribes the applicable reporting framework.
- Obtain the agreement of management that it acknowledges and understands its responsibilities for the following:
  - preparing the financial statements in accordance with the applicable financial reporting framework;
  - internal control necessary for the preparation of the financial statements to be free from material misstatement whether due to fraud or error; and
  - providing the auditor with access to information relevant for the audit and access to staff within the entity to obtain audit evidence.

(b) **Audit risks and auditor's responses**

Audit risk	Auditor's response
The company has a returns policy allowing a customer to return goods within 28 days of purchase if they are dissatisfied with the product. IFRS® 15 *Revenue from Contracts with Customers* requires that revenue should only be recognised to the extent that goods will not be returned. The company should recognise a refund liability for goods which are expected to be returned. If the company has not correctly accounted for the refund liability, revenue will be overstated and the refund liability understated.	Enquire with the finance director how the returns policy has been applied at the year end and whether the provisions in IFRS 15 have been reflected. Review the assumptions underpinning the refund liability for reasonableness and whether they meet the historic 5% value of returns. Compare the level of post year-end returns to the refund liability and discuss any significant differences with management.

ANSWERS

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Audit risk	Auditor's response
The company provides a six-month warranty on its products which require defects to be repaired at Corley Appliances Co's own cost. The directors have reduced this provision during the year on the grounds they feel the products they sell are built to a high standard. The company does not manufacture the goods (they only sell them) and therefore this is not a reasonable reason for reduction, hence if the company has reduced the warranty provision excessively at the year end, liabilities and expenses may be understated.	Review the calculation of the warranty provision and assess its reasonableness in light of the value of claims received in the period. Review the assumptions underpinning the warranty provision for reasonableness. Review the level of claims made under warranty post year end to assess the reasonableness of the reduced provision.
The company purchases their goods from its main supplier in Asia and has responsibility for goods at the point of dispatch, the goods are in transit for up to one month. At the year end, there is a risk that the cut-off of purchases may not be accurate as they may not correctly recognise the goods from the point of dispatch. There is also a risk that inventory and trade payables are understated at the year end.	Discuss with management the point at which inventory is recorded and review the contract with the supplier to verify the requirements in place. Review the controls the company has in place to ensure that inventory is recorded from the point of dispatch. The audit team should undertake detailed cut-off testing of purchases of goods at the year end and the sample of shipping documentation immediately before and after the year end relating to goods from its main supplier in Asia should be increased to ensure that cut-off is complete and accurate.
The company's central warehouse and all 20 branches will be carrying out an inventory count at the year-end date of 31 August. It is unlikely that the auditor will be able to attend all sites which increases detection risk. It may not be possible to gain sufficient appropriate audit evidence over the inventory counting controls and completeness and existence of inventory for those sites which are not visited.	The audit team should assess which of the inventory counts they will attend. This should include the count for the central warehouse and a sample of branches which contain the most material balances of inventory and those which have historically had exceptions reported during the inventory count. For those not visited, the auditor will need to review the level of exceptions noted during the count and discuss any issues which arose during the count with management.
Over the last six months, the receivables collection period has increased from 42 days to 55 days and the allowance for receivables will be at the same level as the prior year. Some receivables may not be recoverable and if an additional allowance for receivables is not included in the financial statements, receivables will be overstated and the allowance for receivables understated.	Review and test the controls surrounding the way in which the finance director assesses the recoverability of receivables balances and other credit control processes to ensure that they are operating effectively. Perform extended post year-end cash receipts testing and a review of the aged receivables ledger in order to assess valuation and the need for an increased allowance for irrecoverable receivables. Discuss with the finance director whether an additional allowance for receivables will be required against balances older than the company's credit terms.

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Audit risk	Auditor's response
The payables ledger supervisor was dismissed in June 20X5 due to a fraud. The value of this fraud has been recognised as an expense in the draft statement of profit or loss. If additional frauds committed by the payables ledger supervisor are not discovered, this could result in expenses being understated and payables being overstated. Control risk is also increased if the fraud has gone undetected for a period of time.	Discuss with the finance director the details of the fraud perpetrated by the payables ledger supervisor and what procedures have been adopted to date to identify any further adjustments which are needed in the financial statements. In addition, discuss with the finance director what additional controls have been put in place to prevent any similar frauds. The audit team should undertake additional substantive procedures over the payables balance, particularly the fictitious supplier set up on the payables ledger to ensure this has been removed. In addition, the team should maintain professional scepticism and be alert to the risk of further fraud.
Since the dismissal of the payables ledger supervisor, purchase invoices have yet to be logged onto the payables ledger. There is a risk that the purchases and trade payables balance at the year end will be understated if these invoices are not logged onto the payables ledger before it is closed down for the year or accrued for.	Review the unprocessed invoices file at the year end to identify any invoices which relate to the supply of pre year-end goods and ensure they have been properly accrued for in the year-end financial statements and recognised as a liability. Discuss with the finance director the approach to be adopted to resolve the issue of unprocessed purchase invoices.
The company purchased and installed a new dispatch system. The costs which have been capitalised include staff training costs ($0.1m). As per IAS® 16 *Property, Plant and Equipment*, the cost of an asset includes its purchase price and directly attributable costs only. IAS 16 does not allow staff training costs to be capitalised as part of the cost of a non-current asset, as these costs are not directly related to the cost of bringing the asset to its working condition. The training costs should be charged to profit or loss. Therefore property, plant and equipment (PPE) and profits are overstated.	Discuss the accounting treatment with the finance director and request that the training costs are written off to profit or loss to ensure treatment is in accordance with IAS 16. If adjusted, review the journal entry for accuracy.
The company breached the terms of its overdraft facility in June 20X5 and the bank will only confirm the decision whether, or not, to continue to support the business in November 20X5, which is after the auditor's report will be signed. The company is dependent on the overdraft facility. If the bank refuses to continue to support the company, there may be doubts as to the company's ability to continue as a going concern. The uncertainties may not be adequately disclosed in the financial statements.	Discuss with the finance director the availability of alternative financing if the bank is unwilling to continue to support the company and review the adequacy of any going concern disclosures in the financial statements. The audit team should undertake detailed going concern testing, in particular, reviewing the impact of a non-renewal of the overdraft facility.

(c) **Professional scepticism and examples where professional scepticism should be applied**

Professional scepticism is defined in ISA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing* as an attitude which includes a questioning mind, being alert to conditions which may indicate possible misstatement due to fraud or error, and a critical assessment of audit evidence.

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Examples where the auditor should apply professional scepticism for Corley Appliances Co are as follows.

Revenue recognition

ISA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* contains a rebuttable presumption that fraud in relation to revenue is high risk and hence the auditor must apply professional scepticism to Corley Appliances Co's revenue recognition policies, especially in relation to the company's returns policy which due to the judgement involved may be used as a way to manipulate revenue.

Warranty provision

Accounting for warranty provisions will include an element of estimation based on previous experiences of the costs incurred by the company to repair defective goods. The auditor should maintain professional scepticism keeping in mind that warranty provisions may include management bias to either deliberately over or understate the provision. Management has reduced the warranty provision in the year on the grounds they feel the goods they sell are built to a high standard. As the company is not involved in the manufacturing of the goods they sell, it may be unreasonable to reduce the warranty provision on this basis.

Fraud

As a fraud has been committed during the year, the auditor must maintain professional scepticism recognising the fact that internal controls may be weak, hence allowing for employee manipulation of such internal control deficiencies. The auditor must also consider the possibility that other frauds may have taken place during the year through management override of the entity's internal controls.

Bank overdraft

The company is reliant on its bank overdraft due to the significant levels of expenditure which it has incurred during the year on the new dispatch system. Management may want to deliberately overstate profit and understate liabilities so that the bank renews the overdraft facility.

Receivables valuation

The receivables collection period has been increasing over the past six months, but the finance director does not envisage that an increase in the allowance for receivables is required. The auditor must apply professional scepticism in considering whether management's assessment of recoverability is reasonable, as any increase in the allowance will reduce profits.

65 Hart Co

Course Book references

Chapters 5, 6 and 7.

Top tips

This is a 30-mark question on audit planning. Part (a) was mainly a test of knowledge, which to some extent you either have or do not have. The key here is finding a way to make the most of what you know, which means sticking to your time allocation and explaining your points in enough detail to score marks.

Part (b) asked for both audit risks and the auditor's response to each risk. You must provide eight points in the solution, our advice is to choose the eight risks that you are most confident writing about. Do not overlook the auditor's response column – you should be aiming to score eight marks each for your risks and for your responses.

In part (c), your substantive procedures should be as specific as possible in order to get the marks. You can use the scenario as a starting point – anything in the scenario that relates to directors' bonuses might help you think of something that could be tested by the auditor.

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Finally, part (d), on ethics, asked for safeguards in relation to a conflict of interest. Some of these will be common sense, but some are general safeguards that you should know about and be able to apply.

Easy marks

You should be able to score well on part (b) on audit risks and responses.

Marking guide

	Marks	
(a) Benefits of audit planning	1	
Appropriate attention to important areas	1	
Identify/resolve potential problems/risks	1	
Effective/efficient performance	1	
Assists in selection of audit team/assignment of work	1	
Facilitates direction/supervision/review	1	
Assists in coordination of work performed by experts	1	
Maximum		4
(b) **Audit risks and responses** (only 8 required)		
New client	2	
Directors' bonus	2	
Payment of deposit	2	
Audit team not attending all WIP counts	2	
Warranty provision decrease	2	
Treatment of R&D costs	2	
Payment for PPE in advance	2	
Rights issue	2	
Outsourced payroll function	2	
Directors' remuneration disclosure	2	
Maximum		16
(c) **Substantive procedures for directors' bonuses**		
1 mark per well-described procedure	5	
Maximum		5
(d) **Safeguards**		
1 mark per well-explained point	5	
Maximum		5
Total		30

(a) Audit planning is addressed by ISA 300 *Planning an Audit of Financial Statements*.

It states that adequate planning benefits the audit of financial statements in several ways:

- Helping the auditor to devote appropriate attention to important areas of the audit.
- Helping the auditor to identify and resolve potential problems on a timely basis.
- Helping the auditor to properly organise and manage the audit engagement so that it is performed in an effective and efficient manner.
- Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks and the proper assignment of work to them.

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- Facilitating the direction and supervision of engagement team members and the review of their work.
- Assisting, where applicable, in coordination of work done by experts.

(b) **Risks and responses**

Audit risk	Auditor's response
Hart Co is a new client for Morph & Co. As the audit team is not familiar with the accounting policies, transactions and balances of Hart Co, there will be an increased detection risk on the audit. There is also less assurance over opening balances as Morph & Co did not perform the audit last year.	Morph & Co should ensure it has a suitably experienced team assigned to the audit and that adequate time is allowed for team members to obtain an understanding of the company and the risks of material misstatement, including a detailed team briefing to cover the key areas of risk. Increased audit procedures should be performed over opening balances.
The directors are paid a bonus based on a percentage of profit before income taxes for the year. There is a risk that the directors will try to overstate the profit, and therefore their bonuses by increasing the revenue and income recorded and decreasing expenses. This is a particular risk relating to judgemental areas such as provisions and estimates.	The audit team should be aware of the increased risks of manipulation and should assign more experienced audit members to significant estimates and judgemental areas. Also, adequate time should be allocated for team members to obtain an understanding of the company and the significant risks of overstatement of profit, including attendance at an audit team briefing. The team needs to maintain professional scepticism and be alert to the increased risk of manipulation. Increased testing should be performed relating to adjusting journal entries.
Customers pay a 25% deposit on signing the contract to purchase the playgrounds. The deposits should not be recognised as revenue immediately and instead should be recognised as deferred income (contract liabilities) within current liabilities until the performance obligations, as per the contracts, have been satisfied. This is likely to be at a point in time, when control of the playground is passed to the customer. There is a risk that revenue is overstated and current liabilities understated if the deposits have been recorded within revenue.	The audit team should obtain a copy of the contracts with customers and review them to understand the performance obligations. They should discuss with management the criteria for determining whether performance obligations have been satisfied and the treatment of deposits received to ensure it is appropriate and consistent with relevant standards. During the final audit, the audit team should undertake increased testing over the cut-off of revenue and the completeness of deferred income (contract liabilities).
The audit team will only attend the WIP counts at five of the 16 sites. WIP is a material balance and the valuation of WIP is a judgemental area. As the audit team is not attending all sites, detection risk is increased as the team will be unable to directly obtain evidence relating to WIP.	The auditor should assess which inventory counts the team will attend, most likely to be those with the most material WIP balances or which are assessed as having the greatest risk of misstatement. For those inventory counts not attended, the audit team will need to obtain and review documentation relating to the controls surrounding the counts and will need to review reports from any experts used to value the WIP, and any exceptions noted during the count and discuss with management any issues which arise during the count.

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Audit risk	Auditor's response
Hart Co offers its customers a warranty at no extra cost, which guarantees the playgrounds will function as expected for three years. The provision is calculated as 2% of revenue in the current year against 6% in the prior year, despite there being no changes in the construction techniques or the level of claims. Under IAS 37 *Provisions, Contingent Liabilities and Contingent Assets* this should be recognised as a warranty provision. Calculating warranty provisions requires judgement as it is an uncertain amount. There is a risk that the warranty provision could be understated, leading to understated expenses and liabilities.	The audit team should discuss with management the basis of the provision calculation and compare this to industry averages and the level of post year-end claims, if any, made by customers. In particular, they should discuss the rationale behind reducing the level of provision this year. The audit team should also compare the prior year provision with the actual level of claims in the year, to assess the reasonableness of the judgements made by management.
Hart Co has recognised $0.6 million of research expenditure in profit or loss with the remaining $1.2 million having been capitalised as development expenditure. IAS 38 *Intangible Assets* has strict criteria as to which costs can be capitalised as development expenditure. There is a risk that the requirements of the standard have not been applied correctly. If research costs have been incorrectly classified as development expenditure, there is a risk that intangible assets could be overstated and research expenses understated.	The audit team should obtain a breakdown of the research expenditure recognised in profit or loss and of the development costs capitalised and review supporting documentation to determine whether they have been correctly classified. Any development expenditure should then be agreed as meeting the relevant criteria for capitalisation as set out in IAS 38. The team should also discuss the accounting treatment with the finance director and ensure it is in accordance with IAS 38.
Hart Co placed an order for $2.4 million of machinery, paying $1 million in advance. The machinery was due to be received in July 20X5 but will now be delivered post year end. Only assets which physically exist at the year end should be capitalised as property, plant and equipment (PPE). The $1 million deposit paid in advance should be recognised as a prepayment. If the deposit of $1 million paid in advance has been capitalised within PPE then prepayments are understated and PPE will be overstated.	Review the non-current asset register to determine if the $1 million paid in advance has been capitalised. Discuss the correct accounting treatment with management to confirm that the amount paid in advance is recognised as a prepayment and if incorrectly recognised review the correcting journal entry.
Hart Co made a rights issue in the year. This is a non-standard transaction and there is increased risk that the issue has not been recorded correctly. The rights issue has been made at a premium and therefore requires to be split into its share capital and share premium elements. There is a risk that the split between share capital and share premium has not been accounted for correctly and that these balances are misstated. There is also a risk that the rights issue has not been disclosed in accordance with accounting standards and local company legislation.	The audit team should obtain legal documentation in support of the rights issue to agree the number of shares issued and the rights price. They should recalculate the split of share capital and share premium and agree this to the journal entry to record the rights issue. The audit team should also agree that disclosures are adequate and consistent with standards and legislation.

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Audit risk	Auditor's response
Hart Co's payroll function is outsourced to an external service organisation. A detection risk arises as to whether sufficient and appropriate evidence is available at Hart Co to confirm the completeness and accuracy of controls over the payroll cycle and liabilities at the year end. Consideration should be given to the level of controls in place at the service organisation and whether the data is reliable. If any errors occurred these could result in the wages and salaries expense and any accruals being misstated.	Discuss with management any changes to the extent of records maintained at Hart Co since the prior year audit and any monitoring of controls which has been undertaken by management over payroll. Consideration should be given to contacting the auditor of the service organisation, Chaz Co, to confirm the level of controls in place. A type 1 or type 2 report could be requested. Consider the extent to which sufficient appropriate audit evidence can be obtained from records held at Hart Co in respect of the wages and salaries expense and liabilities.
Directors' remuneration disclosures have been made in line with IFRS® Standards but not local legislation. Where the local legislation is more comprehensive than IFRS Standards it is likely that the company must comply with local legislation. The directors' remuneration disclosure will not be complete if the additional information is not disclosed.	Discuss this matter with management and review the requirements of local legislation to determine if the disclosure in the financial statements is included appropriately.

(c) **Substantive procedures for directors' bonuses**

- Obtain a schedule of the directors' bonus and cast the schedule to ensure its accuracy. Agree the amount to that disclosed in the financial statements.
- Review the schedule of current liabilities and confirm the bonus accrual is included as a year-end liability.
- Agree the individual bonus payments to the post year-end payroll records.
- Recalculate the bonus payments and agree the criteria to supporting documentation and the percentage rates to be paid to the directors' service contracts.
- Confirm the amount of each bonus paid by agreeing to the post year-end cash book and bank statements.
- Compare the profit before income taxes used in the bonus calculation to the final profit before income taxes figure to confirm whether any adjustment is required to the bonus paid and discuss any differences with management.
- Agree the amounts paid to each director to board minutes and contracts to ensure the amounts included in the current year financial statements are fully accrued and disclosed.
- Review the board minutes to identify whether any additional payments relating to this year have been agreed for any directors.
- Obtain a written representation from management confirming the completeness of directors' remuneration including the bonus.
- Review the disclosures made regarding the bonus paid to directors and assess whether these are in compliance with local legislation.

(d) **Safeguards**

- Both Hart Co and its competitor should be notified that Morph & Co would be acting as auditors for each company and consent should be obtained from management of each company.
- Morph & Co should consider advising one or both clients to seek additional independent advice.

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- Morph & Co must ensure it appoints separate engagement teams, with different engagement partners and team members to each client; once an employee has worked on one audit, such as Hart Co, then they should be prevented from being on the audit of the competitor for a period of time.
- Adequate procedures should be in place within the firm to prevent access to information, for example, strict physical separation of both teams, confidential and secure data filing.
- Morph & Co must set out clear guidelines for members of each engagement team on issues of security and confidentiality. These guidelines could be included within the audit engagement letters sent to each client.
- Morph & Co should consider the use of confidentiality agreements signed by all members of the engagement teams of Hart Co and the competitor.
- Work performed should be reviewed by an appropriate reviewer who is not involved in the audit to assess whether key judgements and conclusions are appropriate.
- Regular monitoring of the application of the above safeguards should be undertaken by a senior individual in Morph & Co not involved in either audit.

66 Blackberry Co

Course Book references

Chapter 6.

Top tips

Part (a) dealt with responsibilities for fraud. This is a simple area that you should be familiar with.

Part (b) was an application-based requirement. It is essential that you only include eight audit risks in your solution, the 16 marks available divide themselves into one each for describing the audit risk and then for the auditor's response to it. Your description of the audit risk should say what is happening and then, crucially, why this poses an audit risk in terms of problems that could be encountered during the audit (perhaps due to lack of available information) or which balances could be over or understated. The auditor's response is then focused on reducing the audit risks.

Easy marks

You should have found part (a) reasonably straightforward. There are marks in (b) for giving a simple description of each audit risk from the scenario (the marks for identification), and these are easy to get.

Examining team's comments

This area of the syllabus requires an understanding of how the auditor obtains and accepts audit engagements, obtains an understanding of the entity and its environment, assesses the risk of material misstatement and plans an audit of the financial statements.

As noted in previous Examining team's reports a fundamental factor in planning and assessing the risks of an audit of an entity is an assessment of audit risk, and this remains a highly examinable area. Audit risk questions typically require a number of audit risks to be identified (½ marks each), explained (½ marks each) and an auditor's response to each risk (1 mark each). Typically candidates can be required to identify and explain in the region of six to eight risks and responses.

The scenarios usually contain more issues than are required to be discussed. It is pleasing that candidates planned their time carefully and generally only attempted to list the required number of issues. However, in common with other sessions, a significant number of candidates often did not explain how each issue could impact on the audit risk and therefore were not awarded the second ½ mark. To explain audit risk candidates need to state the area of the financial statements impacted with an assertion (eg cut off, valuation etc.), a reference to

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under/over/misstated, or, a reference to inherent, control or detection risk. Misstated was only awarded if it was clear that the balance could be either over or understated.

Candidates should note that an auditor's response does not have to be a detailed audit procedure, rather an approach the audit team will take to address the identified risk. However, the responses given were sometimes too weak eg "discuss with management". Responses also sometimes focussed on what management should do rather than the auditor, and/or, were inappropriate to the scenario.

Marking guide

	Marks
(a) **Fraud and error**	
ISA 240 responsibilities	2
Respond appropriately	2
Maximum	4
(b) **Audit risks and responses** (only 8 required)	
Inventory valuation	2
Inventory count after year-end date	2
Accounting treatment of patent	2
Share issue	2
Receivables ledger fraud	2
Use of service organisation	2
Transfer of data to service organisation	2
Claim for unfair dismissal	2
Direct controls not performed	2
Contingent asset	2
Maximum	16
Total	20

(a) **Fraud responsibility**

Loganberry & Co must conduct an audit in accordance with ISA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* and is responsible for obtaining reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error.

In order to fulfil this responsibility, Loganberry & Co is required to identify and assess the risks of material misstatement of the financial statements due to fraud.

They need to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud through designing and implementing appropriate responses. In addition, Loganberry & Co must respond appropriately to fraud or suspected fraud identified during the audit.

When obtaining reasonable assurance, Loganberry & Co is responsible for maintaining professional scepticism throughout the audit, considering the potential for management override of controls and recognising the fact that audit procedures which are effective in detecting error may not be effective in detecting fraud.

To ensure that the whole engagement team is aware of the risks and responsibilities for fraud and error, ISA 240 requires that a discussion is held within the team. For members not present at the meeting, Blackberry Co's audit engagement partner should determine which matters should be communicated to them.

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(b) **Audit risks and auditor's response**

Audit risk	Auditor's response
Blackberry Co values its inventory at the lower of cost and net realisable value. Cost includes both production and general overheads. IAS 2 *Inventories* requires that costs included in valuing goods and services should only be those incurred in bringing inventory to its present location and condition. Although production overheads meet these criteria, general overheads do not. If these are included in inventory cost, then this will result in over-valued inventory. The company is planning to undertake the full year-end inventory counts after the year end and then adjust for movements from the year end. If the adjustments are not completed accurately, then the year-end inventory could be under or overstated.	Discuss with management the nature of the overheads included in inventory valuation. If general overheads are included, request management remove them from the valuation to be included in the draft financial statements. Review supporting documentation to verify those overheads deemed to be of a production nature are valid. The auditor should attend the inventory count held after the year end and note details of goods received and despatched post year end, in order to agree to the reconciliation. During the final audit, the year-end inventory adjustments schedule should be reviewed in detail and agreed to supporting documentation obtained during the inventory count for all adjusting items. The audit team should increase the extent of inventory cut-off testing at the year end and at the date of the count.
A patent has been purchased for $1.1 million and this grants Blackberry Co the exclusive right for three years to customise their portable music players to gain a competitive advantage in their industry. Management has expensed the full amount paid to the current year statement of profit or loss. In accordance with IAS 38 *Intangible Assets*, this should have been included as an intangible asset and amortised over its three-year life. As the sum has been fully expensed and not treated in accordance with IAS 38, intangible assets and profits are understated.	The audit team will need to agree the purchase price to supporting documentation and confirm the useful life is three years as per the contract. Discuss with management the reason for fully expensing the $1.1 million paid, and request they correct the treatment. The correcting journal should be reviewed and the amortisation charge should be recalculated in order to ensure the accuracy of the charge and that the intangible is correctly valued at the year end.
During the year Blackberry Co has raised new finance through issuing $1.2 million of shares at a premium. This needs to be accounted for correctly, with adequate disclosure made and the equity finance needs to be allocated correctly between share capital and share premium. If this is not done, then the accounts may be misstated due to a lack of disclosure or share capital and share premium may be misstated.	The audit team should confirm that proceeds of $1.2 million were received and that the split of share capital and share premium is correct and appropriately recorded. In addition, the disclosures for this finance should be reviewed in detail to ensure compliance with relevant accounting standards and local legislation.
In November 20X7, it was discovered that a significant teeming and lading fraud had been carried out by four members of the receivables ledger department. There is a risk that the full impact of the fraud has not been quantified and any additional fraudulent transactions would need to be written off in the statement of profit or loss. If these have not been uncovered, the financial statements could be misstated. In addition, individual receivable balances may be under/overstated as customer receipts have been misallocated to other receivable balances.	Discuss with the finance director what procedures they have adopted to fully identify and quantify the impact of the teeming and lading fraud. In addition, discuss with the finance director, what controls have been put in place to identify any similar frauds. Review the receivables listing to identify any unusual postings to individual receivable balances as this could be further evidence of fraudulent transactions. In addition, the team should maintain their professional scepticism and be alert to the risk of further fraud and errors.

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Audit risk	Auditor's response
During the year Blackberry Co outsourced its receivables ledger processing to an external service organisation. A detection risk arises as to whether sufficient and appropriate evidence is available at Blackberry Co to confirm the completeness and accuracy of controls over the sales and receivables cycle and balances at the year end.	Discuss with management the extent of records maintained at Blackberry Co for the period since February 20X8 and any monitoring of controls undertaken by management over sales and receivables. Consideration should be given to contacting the service organisation's auditor to confirm the level of controls in place.
The receivables ledger processing transferred to the service organisation from 1 February 20X8. If any errors occurred during the transfer process, these could result in sales and receivables being under/overstated.	Discuss with management the transfer process undertaken and any controls put in place to ensure the completeness and accuracy of the data. Where possible, undertake tests of controls to confirm the effectiveness of the transfer controls. In addition, perform substantive testing on the transfer of information from the old to the new system.
In December 20X7, the financial accountant of Blackberry Co was dismissed and is threatening to sue the company for unfair dismissal. If it is probable that Blackberry Co will make a payment to the financial accountant, a provision for unfair dismissal is required. If the payment is possible rather than probable, a contingent liability disclosure would be necessary. If Blackberry Co has not done this, there is a risk over the completeness of any provisions or contingent liabilities.	The audit team should request confirmation from the company's lawyers of the existence and likelihood of success of any claim from the former financial accountant.
No supplier statement reconciliations have been performed in the period from December 20X7 to the year end. This a direct control which is being overridden and as such there is an increased risk of errors within trade payables and the year-end payables balance may be under or overstated.	The audit team should increase their testing on trade payables at the year end, including performing supplier statement reconciliations, with a particular focus on completeness of trade payables.
A current asset of $360,000 has been included within the statement of profit or loss and assets. It represents an anticipated pay out from liquidators handling the bankruptcy of a customer who owed Blackberry Co $0.9 million. The sum of $0.9 million was written off in the prior year accounts. However, the company has not received a formal notification from the liquidators confirming the payment and this would therefore represent a possible contingent asset. To comply with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, this should not be recognised until the receipt is virtually certain. With no firm response to date, the inclusion of this sum overstates profit and current assets.	Discuss with management whether any notification of payment has been received from the liquidators and review the related correspondence. If virtually certain, the treatment adopted is correct. If payment has been received, agree to post-year end bank ledger account. If receipt is not virtually certain, management should be requested to remove it from profit and receivables. If the receipt is probable, the auditor should request management include a contingent asset disclosure note.

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67 Darjeeling Co

Course Book references

Chapter 6, 13 and 14.

Top tips

Part (a) was a simple knowledge requirement on which you should have a chance of scoring at least two marks. If you were not sure of your knowledge here, then you could think about what the stages of an audit would be, and then consider why analytical procedures might be used at each stage.

Part (b) simply asked for three ratios for both years – so six calculations in total. These did not need to be complex, but it is important that you worked carefully and picked up the right figures from the question. Be careful not to waste time by calculating more ratios than are needed, or writing out the formula for each ratio.

Part (c) was an application-based requirement. It is essential that you only include eight audit risks in your solution; the 16 marks available divide themselves into one each for describing the audit risk and then for the auditor's response to it. Your description of the audit risk should say what is happening and then, crucially, why this poses an audit risk. This statement of why could address a problem that could be encountered during the audit (eg due to lack of available information), or simply which balances could be over or understated. The auditor's response is then focused on reducing the audit risks.

Part (d) asked for substantive procedures on the faulty paint inventory. When writing your procedures you need to be as specific as possible, and should say **why** the procedure should be performed. Do not overlook procedures that begin with 'Discuss with management' – you could have scored two out of three marks here merely for 'discuss' procedures.

Part (e) was similar to (d) but focused on revenue. Many of these are generic points that would apply to many different situations, but there are easy marks available for thinking of procedures that are specific to Darjeeling Co and its sales price promise.

Easy marks

There are marks in (c) for giving a simple description of each audit risk from the scenario (the marks for identification), and these are easy to get.

Examining team's comments

As noted in previous examiner's reports a fundamental factor in planning and assessing the risks of an audit of an entity is an assessment of audit risk, and this remains a highly examinable area. Audit risk questions typically require a number of audit risks to be identified (½ marks each), explained (½ marks each) and an auditor's response to each risk (1 mark each). Typically candidates can be required to identify and explain in the region of six to eight risks and responses.

The scenarios usually contain more issues than are required to be discussed. It is pleasing that candidates planned their time carefully and generally only attempted to list the required number of issues. However, in common with other sessions, a significant number of candidates often did not explain how each issue could impact on the audit risk and therefore were not awarded the second ½ mark. To explain audit risk candidates need to state the area of the financial statements impacted with an assertion (eg cut off, valuation etc), a reference to under/over/misstated or, a reference to inherent, control or detection risk. Misstated was only awarded if it was clear that the balance could be either over or understated.

Candidates should note that an auditor's response does not have to be a detailed audit procedure, rather an approach the audit team will take to address the identified risk. However, the responses given were sometimes too weak eg 'discuss with management'. Responses also sometimes focussed on what management should do rather than the auditor, and/or, were inappropriate to the scenario.

As in previous sessions, in this session a number of audit risk questions were combined with a requirement to calculate ratios, these ratios then link into the risk and responses requirement.

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'Darjeeling Co' from the 'Sample September/December 2018 Questions' is a good question to practice the skill of calculating ratios and applying these to a risk and response question. Candidates tend to score well in calculating ratios, however a few points to note are as follows:

- Do not calculate more than the required number of ratios as this wastes time
- Do not provide the formula for ratios, as no credit is available

Marking guide	Marks
(a) **Analytical procedures**	
Must be used at planning as risk assessment tool	1
Can be used to gather evidence during fieldwork	1
Must be used at completion to confirm overall conclusion	1
Maximum	3
(b) **Ratios** (3 ratios, 6 calculations, 0.5 for each calc)	
Inventory holding period	1
Receivables collection period	1
Quick ratio	1
Maximum	3
(c) **Audit risks and responses** (only 8 required)	
Treatment of research and development costs	2
Incorrect capitalisation of PPE costs	2
New significant loan finance	2
Finance costs	2
Risk of manipulation due to potential listing	2
Recoverability of receivables	2
Accounting for 'price promise'	2
Product recall	2
Inventory valuation	2
Significant increase in revenue and gross margin	2
Cash flow difficulties	2
Maximum	16
(d) **Substantive procedures – faulty inventory**	
One mark per well explained procedure	3
Maximum	3
(e) **Substantive procedures – revenue**	
One mark per well explained procedure	5
Maximum	5
Total	30

(a) **Analytical procedures**

Analytical procedures can be used at all stages of an audit, however, ISA 315 (Revised) *Identifying and Assessing the Risks of Material Misstatement* and ISA 520 *Analytical Procedures* identify three particular stages.

During the planning stage, analytical procedures must be used as risk assessment procedures in order to help the auditor to obtain an understanding of the entity and assess the risk of material misstatement.

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During the final audit, analytical procedures can be used to obtain sufficient appropriate evidence. Substantive procedures can either be tests of detail or substantive analytical procedures.

At the final review stage, the auditor must design and perform analytical procedures which assist them when forming an overall conclusion as to whether the financial statements are consistent with the auditor's understanding of the entity.

(b) **Ratios**

Ratios to assist the audit supervisor in planning the audit:

	20X5	20X4
Inventory holding period	(1,850/12,440) × 365 = 54 days	(1,330/10,800) × 365 = 45 days
Receivables collection period	(2,750/19,850) × 365 = 51 days	1,780/16,990 × 365 = 38 days
Quick ratio	(2,750/[1,970 + 810]) = 0.99	(3,670 – 1,330)/1,190 = 1.97

(c) **Audit risks and responses**

Audit risk	Auditor's response
During the year, Darjeeling Co has spent $0.9m on developing new product lines, some of which are in the early stages of their development cycle. This expenditure is classed as research and development under IAS 38 *Intangible Assets*. The standard requires research costs to be expensed to profit or loss and only development costs to be capitalised as an intangible asset. The company has included all of this expenditure as an intangible asset. If research costs have been incorrectly classified as development expenditure, there is a risk that intangible assets could be overstated and expenses understated.	Obtain a breakdown of the expenditure and verify that it relates to the development of the new products. Review expenditure documentation to determine whether the costs relate to the research or development stage. Discuss the accounting treatment with the finance director and ensure it is in accordance with IAS 38.
Darjeeling Co purchased and installed a new manufacturing line. The costs include purchase price ($2.2m), installation costs ($0.4m) and a five-year servicing and maintenance plan ($0.5m). As per IAS 16 *Property, Plant and Equipment*, the cost of an asset includes its purchase price and directly attributable costs only. IAS 16 does not allow servicing and maintenance costs to be capitalised as part of the cost of a non-current asset, as they are not directly related to the cost of bringing the asset to its working condition. The servicing costs relate to a five-year period and so should be charged to profit or loss over this time. The upfront payment represents a prepayment for five years; as the services are received, the relevant proportion of the cost should be charged to profit or loss. If the service for 20X5 has been carried out, then $0.1m ($0.5m/5) should be charged to profit or loss. Therefore property, plant and equipment (PPE) and profits are overstated and prepayments are understated.	Review the purchase documentation for the new manufacturing line to confirm the exact cost of the servicing and that it does relate to a five-year period. Discuss the accounting treatment with the finance director and the level of any necessary adjustment to ensure treatment is in accordance with IAS 16.

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Audit risk	Auditor's response
The company has borrowed $4 million from the bank via an eight-year loan. This loan needs to be correctly split between current and non-current liabilities in order to ensure correct disclosure.	During the audit, the team would need to confirm that the $4 million loan finance was received. In addition, the split between current and non-current liabilities and the disclosures for this loan should be reviewed in detail to ensure compliance with relevant accounting standards and local legislation. Details of security should be agreed to the bank confirmation letter.
As the level of debt has increased, there should be additional finance costs as the loan has an interest rate of 5%. There is a risk that this has been omitted from the statement of profit or loss leading to understated finance costs and overstated profit.	The finance costs should be recalculated and any increase agreed to the loan documentation for confirmation of the 5% interest rate. Interest payments should be agreed to the bank ledger account and bank statements to confirm the amount was paid and is not therefore a year-end payable.
Darjeeling Co intends to undertake a stock exchange listing in the next 12 months. In order to maximise the success of the potential listing, Darjeeling Co will need to present financial statements which show the best possible position and performance. The directors therefore have an incentive to manipulate the financial statements, by overstating revenue, profits and assets.	Earl & Co should ensure that there is a suitably experienced audit team. Also, adequate time should be allocated for team members to obtain an understanding of the company and the significant risks of overstatement of revenue, profits and assets, including attendance at an audit team briefing. The team needs to maintain professional scepticism and be alert to the increased risk of manipulation. Significant estimates and judgements should be carefully reviewed in light of the misstatement risk.
The receivables collection period has increased from 38 to 51 days and management has extended the credit terms given to customers on the condition that sales order quantities were increased. The increase in receivable days could be solely due to these increased credit terms. However, it could also be due to an increased risk over recoverability of receivables as they may be overvalued and expenses understated.	Review and test the controls surrounding how Darjeeling Co identifies receivables balances which may not be recoverable and procedures around credit control to ensure that they are operating effectively. Extended post year-end cash receipts testing and a review of the aged receivables ledger to be performed to assess valuation. Also consider the adequacy of any allowance for receivables.
This year the company made a 'price promise' to match the price of its competitors for similar products. Customers are able to claim the difference from the company for one month after the date of purchase of goods. The company should account for the price promise in accordance with IFRS 15 *Revenue from Contracts with Customers*. As the company may be required to provide a refund, the anticipated refund amount should not be initially recognised as revenue but instead as a refund liability until the one-month price promise period has ended. This is a highly subjective area, with many judgements required with regards to the level of likely refund due. As this is a new liability, the directors may not have correctly accounted for this sum resulting in overstated revenue, under/overstated profits and liabilities.	Discuss with management the basis of the refund liability of $0.25 million and obtain supporting documentation to confirm the reasonableness of the assumptions and calculations.

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Audit risk	Auditor's response
Darjeeling Co has stopped further sales of one of its paint products and a product recall has been initiated for any goods sold since June. This product recall will result in Darjeeling Co paying refunds to customers. The sales will need to be removed from the 20X5 financial statements and a refund liability recognised. Also inventory will need to be reinstated, albeit at a possibly written down value. Failing to account for this correctly could result in overstated revenue, understated liabilities and misstated inventory.	Review the list of sales of the paint product made between June and the date of the recall, agree that the sales have been removed from revenue and the inventory included. If the refunds have not been paid before the year end, review the draft financial statements to confirm that it is included within current liabilities.
The company is holding a number of damaged paint products in inventory and overall the inventory holding period has increased from 45 days to 54 days. Due to the issue with the paint consistency, the quality of these products is questionable and management is investigating whether these products can be rectified. There is a risk that this inventory may be overvalued as its net realisable value may be below cost.	Discuss with the finance director whether any write downs will be made to this product, and what, if any, modifications will be required to rectify the quality of the product. Testing should be undertaken to confirm cost and NRV of the affected paint products held in inventory and that on a line-by-line basis the goods are valued correctly.
Revenue has increased by 16.8% in the year; and the gross margin has increased slightly from 36.4% to 37.3%. This is a significant increase in revenue and, along with the increase in gross margin, may be related to the increased credit period and price promise promotion or could be due to an overstatement of revenue.	During the audit a detailed breakdown of sales will be obtained, discussed with management and tested in order to understand the sales increase. Also increased cut-off testing should be undertaken to verify that revenue is recorded in the right period and is not overstated.
The payables payment period has increased from 40 to 58 days. The current ratio has decreased from 3.08 to 1.65. The quick ratio has also decreased from 1.97 to 0.99. In addition, the bank balance has moved from $0.56 million to an overdraft of $0.81 million. These are all indicators that the company could be experiencing a reduction in its cash flow which could result in going concern difficulties or uncertainties. These uncertainties may not be adequately disclosed in the financial statements.	Detailed going concern testing to be performed during the audit, including the review of cash flow forecasts and the underlying assumptions. These should be discussed with management to ensure that the going concern basis is reasonable.

(d) **Faulty inventory**

- Obtain a breakdown of the damaged goods held in inventory and returned from customers and cast to confirm its accuracy.
- From the breakdown, agree the damaged goods quantities manufactured since June to production records; and agree to sales records the quantities sold.
- Agree on a sample basis the returns from customers as per the breakdown back to sales returns documentation to confirm the existence of the returns quantities.
- Discuss with management the current status of their plans for this product line and whether they are able to rectify the damage and then sell the goods on. If so, agree the costs of rectification to supporting documentation.
- If the damaged inventory has been rectified and sold post year end, agree to the sales invoice to assess NRV in line with the new cost of the product.
- Agree the cost of damaged goods to supporting documentation to confirm the raw material cost, labour cost and any overheads attributed to the cost.

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- Discuss with management if the goods have been written down; if so, follow through the write down to the inventory valuation to confirm.
- Inspect monthly board meeting minutes from June 20X5 onwards to obtain further information regarding the faulty paint and its possible resale value.

(e) **Revenue**

- Compare the overall level of revenue against prior years and budget for the year and investigate any significant fluctuations.
- Perform a proof in total calculation for revenue, creating an expectation of the average price for the main paint products multiplied by the increased sales volumes for this year. This expectation should be compared to actual revenue and any significant fluctuations should be investigated.
- Obtain a schedule of sales for the year broken down into the main product categories and compare this to the prior year breakdown and for any unusual movements, discuss with management.
- Calculate the final gross profit margin for Darjeeling Co and compare this to the prior year and investigate any significant fluctuations.
- Select a sample of sales invoices for customers and agree the sales prices back to the price list or customer master data information to ensure the accuracy of invoices.
- For a sample of invoices, recalculate invoice totals including discounts and sales tax.
- Select a sample of credit notes raised, trace through to the original invoice and ensure the invoice has been correctly removed from sales.
- Select a sample of customer orders and agree these to the despatch notes and sales invoices through to inclusion in the receivables ledger and revenue general ledger accounts to ensure completeness of revenue.
- Select a sample of despatch notes both pre and post year end and follow these through to sales invoices in the correct accounting period to ensure that cut-off has been correctly applied.
- For sales made under the price promise, compare the level of claims made to date with the refund liability recognised and assess whether it is reasonable.
- For a sample of sales invoices issued between June and the product recall, trace to subsequent credit notes to confirm that the sale has been removed from revenue.

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Course Book references

Chapters 4 and 6.

Top tips

This question is a typical scenario-based question testing the area of audit risk. To score well in part (b) it is essential that your audit risk is properly explained (in terms of what could be over/under stated in the financial statements) and also that you come up with practical actions that the auditor would take to gain evidence. Part (c) on ethical threats and safeguards is another area where it is very important to fully explain both the threat and the safeguard.

Easy marks

You should have found parts (a) and (c) reasonably straightforward.

Examining team's comments

Questions on assessing audit risks tend to be scenario based; the candidates having to identify and explain the risks from a scenario and give an auditor's response to address the

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risks. Other questions in this area of the syllabus tend to be more factual, knowledge based questions and hence depends on the ability of students to recall their knowledge in the exam.

As noted in previous Examining team's reports a fundamental factor in planning and assessing the risks of an audit of an entity is an assessment of audit risk, and this remains a highly examinable area. Audit risk questions typically require a number of audit risks to be identified (½ marks each), explained (½ marks each) and an auditor's response to each risk (1 mark each).

The scenarios usually contain more issues than are required to be discussed. It is pleasing that candidates planned their time carefully and generally only attempted to list the required number of issues. However, a large number of candidates often did not explain how each issue could impact on the audit risk and therefore were not awarded the second ½ mark. To explain audit risk candidates need to state the area of the accounts impacted with an assertion (eg cut off, valuation etc), or, a reference to under/over/misstated, or, a reference to inherent, control or detection risk. Misstated was only awarded if it was clear that the balance could be either over or understated.

Auditor's responses continue to be weak and while an auditor's response does not have to be a detailed audit procedure, rather an approach the audit team will take to address the identified risk, the responses given were sometimes too weak eg 'discuss with management'.

A minority of candidates discussed business risks and therefore concentrated their responses on what management should do rather than the auditor.

Regarding part (b): Questions in this area may present candidates with a scenario-based ethics question and performance in this area remains satisfactory. Candidates are generally asked to identify and explain a set number of issues from a given scenario and give relevant recommendations to counter the risks identified.

It is pleasing to note evidence of candidates planning their time carefully and generally only listing the required number of issues.

One mark was available for each well explained issue. As in previous sittings, while it was pleasing that candidates were able to identify relevant issues from the scenario, candidates often did not explain the issues correctly, or in sufficient detail, therefore many candidates scored ½ marks rather than one mark for each issue.

Therefore, a candidate who identified an issue and stated the type of threat scored ½ marks, to be awarded the second ½ mark the candidate had to explain why this caused an ethical problem. The explanation was often weak, for example explaining the threat of 'self-interest resulting from contingent audit fees, as 'the auditor will not be independent' is not sufficient. The candidates needed to comment on the possibility of the auditor 'ignoring audit adjustments that reduce profits' to obtain the second ½ mark.

Marking guide

	Marks
(a) **Audit risks and auditor's responses** (only 8 required)	
Capitalisation of website costs	2
Warehouse acquisition	2
Classification of preference shares	2
Appropriateness of asset useful lives	2
Irrecoverable receivable	2
Sales staff bonus scheme	2
Product recall	2
Legal action	2
Audit timetable, increased detection risk	2
Accounting for proposed dividend	2
Maximum	16

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Marking guide

	Marks
(b) **Ethical threats and appropriate safeguards**	
Intimidation threat – audit timetable	2
Self-interest threat – recruitment	2
Familiarity threat – EQR review	2
Self-interest/intimidation threat – fees	2
Self-interest threat – contingent fee	2
Self-interest threat – outstanding fees	2
Maximum	10
(c) Significance of the breach	1
How the breach occurred and was identified	1
Action proposed or taken and why that will address the breach	1
Conclusion that objectivity has not been compromised and why	1
Steps to reduce or avoid the risk of further breaches	1
Policies and procedures to provide reasonable assurance independence is maintained	1
Maximum	4
Total	30

(a) **Audit risks and auditor's response**

Audit risk	Auditor's response
Hurling Co upgraded their website during the year at a cost of $1.1 million. The costs incurred should be correctly allocated between revenue and capital expenditure. As the website has been upgraded, there is a possibility that the new processes and systems may not record data reliably and accurately. This may lead to a risk over completeness and accuracy of data in the underlying accounting records.	Review a breakdown of the costs and agree to invoices to assess the nature of the expenditure and if capital, agree to inclusion within the asset register or agree to the statement of profit or loss. The audit team should document the revised system and undertake tests over the completeness and accuracy of data recorded from the website to the accounting records.
Hurling Co has entered into a transaction to purchase a new warehouse for $3.2 million and it is anticipated that the legal process will be completed by the year end. Only assets which physically exist at the year end should be included in property, plant and equipment. If the transaction has not been completed by the year end, there is a risk that assets are overstated if the company incorrectly includes the warehouse at the year end.	Discuss with management as to whether the warehouse purchase was completed by the year end. If so, inspect legal documents of ownership, such as title deeds ensuring these are dated prior to 1 October 20X5 and are in the company name.

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Audit risk	Auditor's response
Significant finance has been obtained in the year, as the company has issued $5 million of irredeemable preference shares. This finance needs to be accounted for correctly, with adequate disclosure made. As the preference shares are irredeemable, they should be classified as equity rather than non-current liabilities. Failing to correctly classify the shares could result in understated equity and overstated non-current liabilities.	Review share issue documentation to confirm that the preference shares are irredeemable. Confirm that they have been correctly classified as equity within the accounting records and that total financing proceeds of $5 million were received. In addition, the disclosures for this share issue should be reviewed in detail to ensure compliance with relevant accounting standards.
The finance director has extended the useful lives of fixtures and fittings from three to four years, resulting in the depreciation charge reducing. Under IAS 16 *Property, Plant and Equipment*, useful lives are to be reviewed annually, and if asset lives have genuinely increased, then this change is reasonable. However, there is a risk that this reduction has occurred in order to boost profits. If this is the case, then fixtures and fittings are overvalued and profit overstated.	Discuss with the directors the rationale for any extensions of asset lives and reduction of depreciation rates. Also, the four-year life should be compared to how often these assets are replaced, to assess the useful life of assets.
A customer of Hurling Co has been encountering difficulties paying their outstanding balance of $1.2 million and Hurling Co has agreed to a revised credit period. If the customer is experiencing difficulties, there is an increased risk that the receivable is not recoverable and hence is overvalued.	Review the revised credit terms and identify if any after date cash receipts for this customer have been made. Discuss with the finance director whether he intends to make an allowance for this receivable. If not, review whether any existing allowance for uncollectable accounts is sufficient to cover the amount of this receivable.
A sales-related bonus scheme has been introduced in the year for sales staff, with a significant number of new customer accounts on favourable credit terms being opened pre year end. This has resulted in a 5% increase in revenue. Sales staff seeking to maximise their current year bonus may result in new accounts being opened from poor credit risks leading to irrecoverable receivables. In addition, there is a risk of sales cut-off errors as new customers could place orders within the two-month introductory period and subsequently return these goods post year end.	Increased sales cut-off testing will be performed along with a review of any post year-end returns as they may indicate cut-off errors. In addition, increased after date cash receipts testing to be undertaken for new customer account receivables.

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Audit risk	Auditor's response
Hurling Co has halted further sales of its new product Luge and a product recall has been initiated for any goods sold in the last four months. If there are issues with the quality of the Luge product, inventory may be overvalued as its NRV may be below its cost. Additionally, products of Luge sold within the last four months are being recalled, this will result in Hurling Co paying customer refunds. The sale will need to be removed; a refund liability should be recognised along with the reinstatement of inventory, although the NRV of this inventory could be of a minimal value. Failing to account for this correctly could result in overstated revenue and understated liabilities and inventory.	Discuss with the finance director whether any write downs will be made to this product, and what, if any, modifications may be required with regards the quality. Testing should be undertaken to confirm cost and NRV of the Luge products in inventory and that on a line-by-line basis the goods are valued correctly. Review the list of sales made of product Luge prior to the recall, agree that the sale has been removed from revenue and the inventory included. If the refund has not been paid pre year end, agree it is included within current liabilities.
Petanque Co, a customer of Hurling Co, has announced that they intend to commence legal action for a loss of information and profits as a result of the Luge product sold to them. If it is probable that the company will make payment to the customer, a legal provision is required. If the payment is possible rather than probable, a contingent liability disclosure would be necessary. If Hurling Co has not done this, there is a risk over the completeness of any provisions or the necessary disclosure of contingent liabilities.	Caving & Co should write to the company's lawyers to enquire of the existence and likelihood of success of any claim from Petanque Co. The results of this should be used to assess the level of provision or disclosure included in the financial statements.
The finance director has requested that the audit completes one week earlier than normal as he wishes to report results earlier. A reduction in the audit timetable will increase detection risk and place additional pressure on the team in obtaining sufficient and appropriate evidence. In addition, the finance team of Hurling Co will have less time to prepare the financial information leading to an increased risk of errors arising in the financial statements.	The timetable should be confirmed with the finance director. If it is to be reduced, then consideration should be given to performing an interim audit in late September or early October; this would then reduce the pressure on the final audit. The team needs to maintain professional scepticism and be alert to the increased risk of errors occurring.
The company is intending to propose a final dividend once the financial statements are finalised. This amount should not be provided for in the 20X5 financial statements, as the obligation only arises once the dividend is announced, which is post year end. In line with IAS 10 *Events after the Reporting Period* the dividend should only be disclosed. If the dividend is included, this will result in an overstatement of liabilities and understatement of equity.	Discuss the issue with management and confirm that the dividend will not be included within liabilities in the 20X5 financial statements. The financial statements need to be reviewed to ensure that adequate disclosure of the proposed dividend is included.

Note. Only eight risks and eight related responses were required.

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(b) **Ethical threats and appropriate safeguards**

Ethical threat	Appropriate safeguard
The finance director is keen to report Hurling Co's financial results earlier than normal and has asked if the audit can be completed in a shorter time frame. This may create an intimidation threat on the team as they may feel under pressure to cut corners and not raise issues in order to satisfy the deadlines and this could compromise the objectivity of the audit team and quality of audit performed.	The engagement partner should discuss the timing of the audit with the finance director to understand if the audit can commence earlier, so as to ensure adequate time for the team to gather evidence. If this is not possible, the partner should politely inform the finance director that the team will undertake the audit in accordance with all relevant ISAs and quality management procedures. Therefore the audit is unlikely to be completed earlier. If any residual concerns remain or the intimidation threat continues, then Caving & Co may need to consider resigning from the engagement.
A non-executive director (NED) of Hurling Co has just resigned and the directors have asked whether the partners of Caving & Co can assist them in recruiting to fill this vacancy. This represents a self-interest threat as the audit firm cannot undertake the recruitment of members of the board of Hurling Co, especially a NED who will have a key role in overseeing the audit process and audit firm.	Caving & Co is able to assist Hurling Co in that they can undertake roles such as reviewing a shortlist of candidates and reviewing qualifications and suitability. However, the firm must ensure that they are not seen to undertake management decisions and so must not seek out candidates for the position or make the final decision on who is appointed.
The engagement quality reviewer (EQR) assigned to Hurling Co was until last year the audit engagement partner. This represents a familiarity threat as the partner will have been associated with Hurling Co for a long period of time and so may not retain professional scepticism and objectivity.	As Hurling Co is a listed company, then the previous audit engagement partner should not be involved in the audit for at least a period of five years. An alternative EQR should be appointed instead.
Caving & Co provides taxation services, the audit engagement and possibly services related to the recruitment of the NED. There is a potential self-interest or intimidation threat as the total fees could represent a significant proportion of Caving & Co's income and the firm could become overly reliant on Hurling Co, resulting in the firm being less challenging or objective due to fear of losing such a significant client.	Caving & Co should assess whether audit, recruitment and taxation fees would represent more than 15% of gross practice income for two consecutive years. If the recurring fees are likely to exceed 15% of annual practice income this year, additional consideration should be given as to whether the recruitment and taxation services should be undertaken by the firm. In addition, if the fees do exceed 15%, then this should be disclosed to those charged with governance at Hurling Co. If the firm retains all work, it should arrange for a pre-issuance (before the audit opinion is issued) or post-issuance (after the opinion has been issued) review to be undertaken by an external accountant or by a regulatory body.

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Ethical threat	Appropriate safeguard
The finance director has suggested that the audit fee is based on the profit before income taxes of Hurling Co which constitutes a contingent fee. Contingent fees give rise to a self-interest threat and are prohibited under ACCA's *Code of Ethics and Conduct*. If the audit fee is based on profit, the team may be inclined to ignore audit adjustments which could lead to a reduction in profit.	Caving & Co will not be able to accept contingent fees and should communicate to those charged with governance at Hurling Co that the external audit fee needs to be based on the time spent and levels of skill and experience of the required audit team members.
At today's date, 20% of last year's audit fee is still outstanding and was due for payment three months ago. A self-interest threat can arise if the fees remain outstanding, as Caving & Co may feel pressure to agree to certain accounting adjustments in order to have the previous year and this year's audit fee paid. In addition, outstanding fees could be perceived as a loan to a client which is strictly prohibited.	Caving & Co should discuss with those charged with governance the reasons why the final 20% of last year's fee has not been paid. They should agree a revised payment schedule which will result in the fees being settled before much more work is performed for the current year audit.

(c) **Breach of independence provision set out in the ACCA Code**

If an independence provision is breached the firm is required to communicate in writing to those charged with governance the following matters:

- The significance of the breach, including its nature and duration
- How the breach occurred and how it was identified
- The action proposed or taken and why that will satisfactorily address the breach
- The conclusion that objectivity has not been compromised and why
- Steps proposed or taken by the firm to reduce or avoid the risk of further breaches
- A description of the firm's policies and procedures relevant to the breach designed to provide it with reasonable assurance that independence is maintained

(ACCA Code: s.R400.82-84)

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Course Book references

Chapters 5, 6 and 12.

Top tips

This is a 30-mark question set at the planning stage of an audit.

Part (a) requires you to focus on the scenario, pulling out risks and then thinking about how the auditor would respond to them. This is an expected requirement and one that tests a skill that will be important not just for your exams but in your professional life. There are plenty of risks in the scenario so you should not be short of things to write. Pick out those you are most confident about, and try to get 2 marks for each (risk and response).

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Part (b) was knowledge-based, and tests an interesting area. Who is responsible if there is fraud? Try to make at least 4 solid points here for 4 marks, ensuring that each point is developed properly. Markers sometimes mark by awarding half a mark for each valid point, and this suggests that you might write your answer this way too: each point you make in relation to fraud needs to be **stated** (1/2 mark), and then **developed** (1/2 mark). Writing in this way can help you to get more mileage from the knowledge you possess.

Part (c) focused on ethics and safeguards in relation to another part of the scenario. The marking scheme limits you to '2 issues, 2 marks each', which is how you should be structuring your answer - each issue has the issue itself and then safeguards. Do not write more than 2 issues because you will not be given marks for these.

Part (d) asked for substantive procedures on development expenditure. There was quite a lot in the scenario about this, and generating procedures is a core skill for AA. It's important to make sure you score for every procedure you write down, which means thinking of procedures that are relevant to the scenario and are practical for the auditor. State what the procedure is, and why it should be done.

Easy marks

There were many easy marks available for simply 'describing' risks from the scenario, which in reality requires a simple explanation of the risk. Almost every part of the scenario gave rise to a risk, so this part of the question was simple. Part (b) should have been easy.

Marking guide

		Marks
(a)	**Audit risks and auditor's responses** (only 8 required)	
	New accounting system	2
	Development costs	2
	Inventory valuation	2
	Staff costs	2
	PPE useful lives	2
	Fraudulent purchases	2
	New supplier costs	2
	Legal claim	2
	New bank loan	2
	Loan covenants	2
	Maximum	16
(b)	**Auditor's responsibilities in relation to the prevention and detection of fraud and error**	
	1 mark per well-explained point	4
	Maximum	4
(c)	**Ethical threats and appropriate safeguards**	
	Luxury weekend provided by client	2
	Audit fee based on profit	2
	Corporate finance service	2
	Maximum	4
(d)	**Substantive procedures for development expenditure**	
	1 mark per well-described procedure	6
	Maximum	6
Total		30

ANSWERS

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(a) **Audit risks and auditor's response**

Audit risk	Auditor's response
A new accounting system was introduced in March 20X5 and post implementation testing has not been conducted. There is a risk of opening balances on the new system being misstated and loss of ongoing data if they have not been transferred from the old system correctly. If the new system is not operating effectively there is a risk of misstatement of the accounting records.	The audit team should undertake detailed testing to confirm that all balances have been completely and accurately transferred to the new accounting system. They should perform walkthroughs to document the new system and test the controls in place. They should discuss with management any issues which have occurred since the new system was implemented.
Peach Co has been developing a new production process and $0.8 million was capitalised in the year as development expenditure.	The audit team should discuss with management the accounting policy applied, particularly in respect of identifying the research and development stages.
IAS® 38 *Intangible Assets* requires research expenditure to be recognised as an expense as incurred and development expenditure capitalised only if strict criteria are satisfied. There is a risk that research expenditure has been incorrectly classified as development expenditure resulting in overstated intangible assets and understated research expenses. The capitalised expenditure should be amortised over the life of the process, commencing when the new process is first brought into use in May 20X5. There is a risk that amortisation has not been correctly calculated.	A detailed review of the costs capitalised and supporting documentation should be carried out to determine the nature of the expenditure. Any development expenditure should then be agreed as meeting the relevant criteria for capitalisation as set out in IAS 38. The auditor should discuss the assessment of the useful life of the product with management and assess its reasonableness. They should also reperform amortisation calculations to confirm the amounts are accurate.
Peach Co holds inventory of $227,000 that it can no longer sell in its home market. It believes it can be sold to an international customer, but there are significant additional costs that Peach Co will incur. There is a risk that the net realisable value (NRV) of the inventory is less than cost and therefore that the inventory is overstated and cost of sales understated.	The audit team should discuss with the directors their belief that the inventory can be sold and should review any agreement with the international customer to determine the likelihood of the sale and the selling price for the inventory. They should also obtain supporting documentation in respect of the delivery and shipping costs in order to establish NRV and discuss with management if a write-down is required.
Peach Co has included in wages and salaries, significant staff costs involved in the preparation of the site for the new machinery and in testing the new machinery. IAS 16 *Property, Plant and Equipment* states that costs, directly attributable to bringing the asset to the condition necessary for its intended use, are capitalised as part of the cost of the asset. These directly attributable costs include costs of site preparation and costs of testing. It appears that an incorrect accounting treatment has been applied in respect of the staff costs resulting in understated property, plant and equipment (PPE) and overstated wages and salaries expense.	The audit team should discuss with management the accounting treatment applied and request that the relevant staff costs are included in the cost of PPE. The audit team should undertake a review of the staff costs expensed and the process for allocating staff costs to work undertaken to confirm the amounts that should be capitalised as part of the cost of machinery. If an adjusting journal is made by management this should be reviewed for accuracy.

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Audit risk	Auditor's response
The directors extended the useful lives of plant and machinery by an average of five years despite the fact that machinery had been disposed of at a significant loss. Under IAS 16 asset lives should be reviewed annually, and if the asset lives have genuinely increased, then the resulting decrease in depreciation may be reasonable. However, the fact that old items of machinery were sold at a substantial loss in the period does not support the decision to increase useful life. As such, it appears that plant and machinery is overstated and depreciation expense understated.	The audit team should discuss with the directors the rationale for any extensions of asset lives and reduction of depreciation rates. The revised useful life of a sample of assets should be compared to how often these assets are replaced and any gain or loss on disposal, as this provides evidence of the useful life of assets.
A member of Peach Co's finance team fraudulently purchased assets for personal use. The reconciliation of physical assets to the non-current assets register will be ongoing at the year end, hence there is a risk that non-current assets are overstated as they may include the personal assets purchased. Control risk is also increased if the fraud has gone undetected for a period of time.	The audit team should discuss the fraud with management to understand how the fraud was detected and corrected. They must understand the internal controls in place to prevent other frauds occurring. Additional procedures should be performed, particularly in respect of non-current assets additions. When testing non-current assets, they should obtain a list of all non-current assets capitalised in the year and agree the new assets to an authorised purchase order. They should select an increased sample of assets from the non-current assets register to confirm the existence of the assets and that they are used in the business.
The directors have not accounted for any costs under the new contract for bottles as no amounts are due to be paid until after the year end. There is a risk that the costs incurred to date have not been recognised and therefore costs and liabilities are understated and profit is overstated.	The audit team should review the terms of the contract to understand the amounts payable and terms of payment. They should review the goods received not invoiced accrual listing to ensure that amounts payable to the supplier for bottles received have been accrued despite not being invoiced.
A previous supplier has launched a legal claim against Peach Co. The claim has not been settled but Peach Co's lawyers believe that they are likely to have to pay an estimated $0.3 million. As it appears probable that Peach Co will have to pay the supplier, a provision is required to comply with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. There is a risk that provisions and expenses are understated if the company has not recognised a liability in respect of this legal claim.	The audit team should review correspondence with Peach Co's lawyer to understand the likelihood of the supplier winning the case and the amount of the payments to be made to them.

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Audit risk	Auditor's response
Peach Co obtained a new interest-bearing bank loan in the year repayable over three years. There is a risk that the loan has not been correctly allocated between current and non-current liabilities which would give rise to a classification error and liabilities being misstated. In addition, the finance costs are paid in arrears and may not have been correctly accrued at the year end resulting in understated accruals and finance costs.	The audit team should undertake a review of the loan agreement to confirm the details and reperform the company's calculations to confirm that the loan has been correctly classified between current and non-current liabilities. The finance costs should be recalculated and agreed to the accruals schedule.
Peach Co has strict covenants in place regarding the loan. A breach of covenants could result in fines and penalties or mean the loan would be instantly repayable. There is an increased risk that the existence of covenants gives an incentive to manipulate key balances by overstating revenue and profit to ensure covenants are met.	The audit team should review the loan covenants in detail to understand what Peach Co is required to comply with. They should calculate the covenants to understand whether any breaches have occurred and discuss the impact of any breaches with management. The team should maintain their professional scepticism to remain alert to the risk over revenue recognition and judgements which affect profit.

(b) **Auditor's responsibilities in relation to the prevention and detection of fraud and error**

- Apricot & Co must conduct an audit in accordance with ISA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* and are responsible for obtaining reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error.
- Apricot & Co is required to identify and assess the risks of material misstatement of the financial statements due to fraud.
- The auditor needs to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud, through designing and implementing appropriate responses.
- Apricot & Co must respond appropriately to fraud or suspected fraud identified during the audit, for example, the fraud regarding the purchase of assets for personal use identified by Peach Co.
- When obtaining reasonable assurance, Apricot & Co is responsible for maintaining professional scepticism throughout the audit, considering the potential for management override of controls and recognising the fact that audit procedures which are effective in detecting error may not be effective in detecting fraud.
- To ensure that the whole engagement team is aware of the risks and responsibilities for fraud and error, ISAs require that a discussion is held within the team.
- Apricot & Co must report any actual or suspected fraud to appropriate parties.

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(c) **Ethical threats and appropriate safeguards**

Ethical threat	Appropriate safeguard
The managing director of Peach Co has this year suggested that instead of a meal, all the audit staff and client staff go away for the weekend to a luxury hotel at Peach Co's expense. This represents a self-interest and familiarity threat. The acceptance of goods and services, unless trivial and inconsequential in value, is not permitted as it may make the audit staff less likely to challenge Peach Co's assumptions and explanations.	As it is unlikely that the weekend away has an insignificant value, this offer should be politely declined. The normal meal at the start of the audit is likely to be acceptable, particularly if the audit team pay for themselves.
Peach Co has suggested that the audit fee is renegotiated to be based on a percentage of Peach Co's profit. This is a contingent fee and leads to a self-interest threat. If the audit fee is based on profit the audit team may feel incentivised to allow incorrect accounting treatments in order to maximise profits.	Apricot & Co should not agree to the proposed basis for the fees and should communicate with those charged with governance to explain that the audit fee needs to reflect the level of work and the experience of the team required to obtain reasonable assurance.
Apricot & Co has been approached by Peach Co to assist with the identification of acquisition targets. The provision of this type of corporate finance work creates a potential advocacy threat as Apricot & Co may be seen to be promoting Peach Co as an investor. In addition, there may be a self-review threat if the potential acquisition is subsequently reflected in the financial statements and the audit team may be less likely to challenge the figures included.	Apricot & Co may be able to accept this type of work depending on the precise nature and provided that adequate safeguards can be put in place. Care must also be taken not to make management decisions. Safeguards would include using professionals who are not involved in the audit to perform the service (eg corporate finance) and having an appropriate reviewer who was not involved in providing the service review the audit work or service performed.

(d) **Development expenditure**

- Obtain a schedule of capitalised costs within intangible assets, cast it and agree the closing balance to the general ledger, trial balance and financial statements.
- Select a sample of capitalised costs and agree to invoices, payroll records or other source documentation in order to confirm that the amount is correct and that the cost relates to the project.
- Discuss with the directors the decision to capitalise the costs from 1 November 20X4 onwards and assess whether this is based on the project meeting all of the conditions for capitalisation in IAS 38.
- Review a breakdown of the nature of the costs capitalised to identify if any research costs have been incorrectly included. If so, request that management remove these and include within profit or loss.
- Select a sample of costs recorded as research expenses and development costs and agree to supporting documentation confirming the date of the expenditure to ensure that costs were allocated correctly.
- Review market research reports to confirm that there is a market for the new process and that the selling price is high enough to generate a profit.
- Review feasibility reports as at 1 November 20X4 and discuss with directors their view that the process was technically feasible at that date.

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- Review the budgets in relation to the development project and the cash flow forecast in order to assess whether Peach Co had access to adequate cash resources to complete the project as at the date of capitalisation. Agree the budgets to supporting documentation.
- Discuss with the finance director the rationale for the useful life being applied, consider its reasonableness and agree to supporting documentation.
- Recalculate the amortisation charge and confirm that it covers the period for May to August 20X5.
- Review the disclosures for intangible assets in the draft financial statements in order to confirm that they are in accordance with IAS 38.

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Course Book references

Chapters 5, 6 and 14.

Top tips

For (a) make sure you include the sufficient detail on each precondition to gain a full mark for each rather than half a mark.

You needed your calculator for part (b) and take care in the computer-based assessment to enter your calculated answers in the correct box for the correct year.

Part (c) is a common requirement in the Audit and Assurance exam. Risks need to be linked to a financial statement area. In your answer state the financial statement area affected and whether it is over or understated, or there is a risk of omission. Responses need to be as specific as possible and ideally explain what that procedure will achieve. General statements such as 'discuss with the directors' are not sufficient. State exactly what needs to be discussed or reviewed to gain the full mark. The requirement specifically says to use the ratios calculated as well as the other information provided so you should refer to them and use them to generate risks.

Part (d) your procedures need to be sufficiently detailed and note that the requirement asks for substantive procedures so including tests of control will not score any marks.

Easy marks

You should have found the knowledge-based requirement in (a) straightforward. You should also have had no problems using the figures given in the scenario to calculate ratios required in (b).

Examining team's comments

This question tests candidates' knowledge of preconditions for accepting an audit engagement, ratio calculations, audit risks and responses and substantive procedures for trade receivables.

Part (a) is a relatively straightforward knowledge requirement which has been tested in previous exam sessions. It is especially important that candidates understand exactly what the question is asking, especially for knowledge questions, where candidates should be aiming to score full marks.

Question requirements such as this demonstrate the importance of having a detailed understanding of the ISAs. For a four-mark knowledge requirement such as this, candidates should aim to provide four well-described points. For example, 'management should confirm

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their preparation of financial statements' would be awarded ½ marks. In order to gain the additional ½ mark this should be expanded to include 'in accordance with the applicable framework'. Care should be taken when reading the requirement to ensure that answer points focus on the right issues. For example, in this session some candidates incorrectly focused their answers on pre-acceptance procedures such as ensuring adequate staff were available, obtaining professional clearance from the previous auditors, independence issues and preparing engagement letters, all of which were not relevant. Candidates must take the time to carefully read the requirement, in order to ensure their answer is relevant.

In (b) the marks are only awarded for the correct answer and the requirement clearly states that formulas are not required to be shown. Credit is not awarded for the calculations. It is clear from reviewing candidates' answers that some fail to bring a calculator into the exam, as they only list the calculations. Candidates are reminded that a calculator could be required for ratio calculations as well as to assess materiality in audit report requirements. Candidates must ensure that they are able to calculate all ratios within the syllabus, and not just the main liquidity and profitability ratios.

In part (c) The first step is to identify the factors which will give rise to an audit risk. Having looked at the whole scenario and highlighted relevant points, candidates should pick their eight strongest points, re-reading them from the scenario, drafting their answer as they go along. Candidates often use the copy and paste function when drafting their answers for the identification of the risk. However, care should be taken to ensure that the risk is actually identified. For example, this session some candidates stated 'Esk Co purchased a patent for $2.6 million' this in itself is not the audit risk, as it is the fact that 'administrative costs have been included within the intangible asset'. Financial accounting knowledge is also important as audit risks will often focus on the accounting treatment used in the financial statements. When tackling audit risk questions which include ratios, the results of the calculations should be considered when identifying the risks.

Having identified the risk factor, the next step is to explain the risk. To do this, candidates need to state the specific area of the financial statements impacted with an assertion (for example cut off, valuation etc) or a reference to over/under/misstated or a reference to inherent/control/detection risk. 'Misstated' will only be awarded if it is clear the balance could be either over or understated.

Having identified and explained the risk, the next step is to provide the auditor's response. Responses must be practical within the context of the scenario and care should be taken to ensure the response is one an auditor would make and not a management response.

Auditor responses do not have to be a detailed procedure, rather it is an approach the audit team will take. Care must be taken however, to ensure that the approach suggested actually addresses the risk identified and contains sufficient detail. A response of 'discuss with management' will not gain any credit as candidates need to be very clear exactly 'what' they are 'asking management' about. Where further documentary evidence is available to the auditor, candidates need to refer to this to gain the available 1 mark per response.

Future candidates are advised that audit risk is and will continue to be an important element in the syllabus and must be understood. Candidates must ensure that they include adequate question practice as part of their revision on this key topic.

In (d) one mark is available for each well described procedure, therefore candidates should aim to produce six tests for this requirement. Candidates should plan their time accordingly. Also, candidates should note that it is not necessary to write out the question requirement at the beginning of their answer, it does not gain any credit and therefore wastes time.

When generating substantive procedures for trade receivables or trade payables, it is imperative that the focus of the tests is on the statement of financial position balance rather than on revenue or purchases. In this session some candidates incorrectly provided revenue procedures such as 'recalculate the total on the sales invoices' and 'agree goods dispatched notes to the sales invoice and sales day book,' and these did not gain credit. Take the time to read the question requirements carefully and spend time thinking about what is needed prior to producing an answer.

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Marking guide

	Marks
(a) **Preconditions for an audit**	
1 mark per well-explained point	4
Maximum	4
(b) **Gross profit margin, inventory holding period, receivables collection period and payables payment period ratios**	
Ratios	4
Maximum	4
(c) **Audit risks and auditor's responses** (only 8 required)	
New client	2
Patent cost	2
New bank loan	2
Miscoded invoices	2
Inventory damaged following fire	2
Insurance claim	2
Staff bonuses	2
Discounts	2
Credit control	2
Tax investigation	2
Other	2
Maximum	16
(d) **Substantive procedures – trade receivables**	
1 mark per well-described procedure	6
Maximum	6
Total	30

(a) **Preconditions for an audit**

In order to establish whether the preconditions for an audit are present, Bannock & Co must:

- determine whether the financial reporting framework (for example IFRS®) to be applied by Esk Co in the preparation of its financial statements is acceptable. In considering this, the auditor should have assessed the nature of the entity, the nature and purpose of the financial statements and whether law or regulation prescribes the applicable reporting framework; and
- obtain the agreement of the management of Esk Co that they acknowledge and understand their responsibility:
  - for the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation;
  - for the design and implementation of internal controls which management considers necessary to enable Esk Co to prepare financial statements which are free from material misstatement, whether due to fraud or error; and
  - to provide Bannock & Co with access to all information which is relevant to the preparation of the financial statements such as records, documentation and other matters. Access to information includes any additional information which Bannock & Co may request from management for the purpose of the audit and an agreement to provide unrestricted access to Esk Co's staff in order that Bannock & Co can obtain relevant evidence.

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(b)

Ratio	20X5	20X4
Gross profit margin	8.4m/30.9m × 100 = 27.2%	7.6m/27.5m × 100 = 27.6%
Inventory holding period	8.3m/22.5m × 365 = 135 days	6.4m/19.9m × 365 = 117 days
Receivables collection period	7.2m/30.9m × 365 = 85 days	4.9m/27.5m × 365 = 65 days
Payables payment period	2.4m/22.5m × 365 = 39 days	3.5/19.9m × 365 = 64 days

(c) **Audit risks and auditor's response**

Audit risk	Auditor's response
Esk Co is a new client for Bannock & Co. As the audit team are not familiar with the accounting policies, transactions and balances of Esk Co, there will be an increased detection risk on the audit. There is also less assurance over opening balances as Bannock & Co did not perform the audit last year.	Bannock & Co should ensure it has a suitably experienced team assigned to the audit. In addition, adequate time should be allocated for team members to obtain an understanding of Esk Co and the risks of material misstatement including a detailed team briefing to cover the key areas of risk. Increased audit procedures should be performed over opening balances.
Esk Co purchased a patent in the year and has capitalised all costs associated with the purchase. There is a risk that the costs, such as the administrative cost incurred in negotiating the contract, have been capitalised which is not in accordance with IAS® 38 *Intangible Assets*. There is also a risk that amortisation has not been calculated and accounted for correctly. There is a risk that intangible assets and profit for the year are both overstated.	The audit team should obtain a breakdown of the total amount capitalised and review the costs to ensure they are all allowable under IAS 38. They should agree the purchase price of the patent to the contract and other costs to invoice and bank statements to confirm that the correct amount has been capitalised as an intangible asset. They should review the terms of the patent to agree its useful life of four years, recalculate the amortisation expense for the period and agree the carrying amount at the end of the period is correct.
Esk Co has borrowed $2.5 million from the bank under a five-year loan. If the loan is not allocated correctly between non-current and current liabilities, this would lead to a classification error with liabilities being misstated. There is a risk that the finance cost associated with the loan has been omitted from the statement of profit or loss leading to understated finance costs and accruals.	The audit team should recalculate the split between current and non-current liabilities to ensure the classification is correct in accordance with relevant accounting standards and local legislation. Details of any security offered against the loan should be agreed to the loan agreement. The finance costs should be recalculated based on the loan amount and interest rates applied and agreed to the accruals schedule.

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Audit risk	Auditor's response
A batch of invoices was miscoded and was not recorded as trade payables. Investigations are still ongoing to identify whether there are any other batches of miscoded invoices. The payables payment period has decreased from 64 days to 39 days. There is a risk that there are other batches of miscoded invoices. If these are not identified and corrected by the year end, purchases and trade payables will be understated.	The audit team should discuss the matter relating to the miscoded invoices with management to understand how the issue arose, where the miscoded invoices had been originally posted to and whether all invoices have now been correctly posted. Detailed testing of the trade payables balance, including a review of supplier statement reconciliations, should be carried out to ensure that all liabilities are recorded.
Inventory of $1.1 million was damaged as a result of the fire and has not been replaced. The inventory balance has increased by $1.9 million in the year and the inventory holding period has increased from 117 days to 135 days. The increase in inventory and the holding period is inconsistent with the loss of inventory as a result of the fire. There is a risk that the damaged inventory has not been fully written off and remains within closing inventory or that there is other slow-moving inventory which has not been identified. Inventory may be overstated and cost of sales understated as a result.	The audit team should discuss with management the process for identifying damaged inventory items following the fire and review the outcome of the inventory count to agree that the items identified have been written off correctly. They should also attend the year-end inventory count to identify whether any of the damaged items are still held within inventory at year end and confirm how management intends to value this damaged inventory in the year-end financial statements.
Esk Co has included a current asset of $1.1 million in respect of an insurance claim relating to the fire. To comply with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, the amount claimed should not be recognised until the receipt of the claim is virtually certain. As the insurance company has not responded to the claim, recognising the amount claimed overstates profit and other receivables.	Discuss with management whether any notification of payment has been received from the insurance company and review the related correspondence. If virtually certain, the treatment adopted is correct. If payment has been received, agree to post year-end bank ledger account. If receipt is not virtually certain, the auditor should request that management remove it from profit and receivables. If the receipt is probable, the auditor should request management include a contingent asset disclosure note.
An additional bonus is payable to sales staff in the quarter to 31 August 20X5 which gives an incentive to achieve sales targets in that period. This increases the incentive for staff to create fictitious sales or to record sales in the incorrect period in order to achieve the additional bonus. There is an increased risk that revenue and receivables are overstated due to fictitious sales.	The audit team should remain alert to the risk of fictitious sales and sales being recorded in the wrong period. They should extend cut-off testing around the year end and review the level of returns or orders cancelled post year end.
Trade discounts offered to regular customers have been separately accounted for as an expense. Trade discounts should be offset against revenue. There has been an increase in revenue but the gross profit margin has fallen slightly from 28% to 27%, consistent with the fact that there are additional expenses recorded. There is a risk that revenue and cost of sales are overstated as a result of the accounting treatment adopted.	The audit team should discuss with management the rationale for including discounts in cost of sales, how discounts are calculated and accounted for. For a sample of sales, they should recalculate the discount and review a breakdown of revenue and cost of sales to agree that discounts have been accounted for correctly. The audit team should request that discounts are reclassified to revenue in accordance with IFRS® 15 *Revenue From Contracts with Customers*.

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Audit risk	Auditor's response
Esk Co's credit control manager has been off work since December 20X4 and has been replaced by an inexperienced manager. The receivables collection period has increased from 65 days in 20X4 to 85 days in 20X5, indicating that they are not collecting debts as efficiently in the current year. There is a risk that amounts will not be collected from credit customers and that receivables are overstated as a result.	Bannock & Co should discuss with the directors the credit control procedures in place and the process for identifying and following up on aged and irrecoverable debts. Extend post year-end cash receipts testing and a review of the aged receivables ledger to be performed to assess valuation. Also consider the adequacy of any allowance for receivables.
Esk Co is under a tax investigation relating to sales tax and it is likely that the company will be required to pay a penalty and fine of $0.6 million. Therefore a provision should be recognised as there is a probable outflow of resources as a result of a past event. Esk Co has not recognised a provision nor has any disclosure been made. There is a risk that provisions are understated and that disclosures are inadequate.	The audit team should obtain a copy of the letter from the tax authorities and discuss the matter with the directors. They should obtain and review documentation from the tax consultant to assess the likelihood and amount of any penalties and fines to be paid.

(d) **Substantive procedures – trade receivables**

- Obtain a breakdown of the receivables listing, cast and agree the total to the trial balance/receivables ledger control account.
- Obtain the prior year aged receivables listing and for significant customers compare to the current year and prior year balances. Discuss with management any missing receivables or significantly lower balances.
- Select a sample of trade receivables from the listing and prepare a receivables circularisation.
- Review the after date cash receipts and follow through to pre year-end receivable balances.
- Inspect the aged receivables report to identify any slow moving balances, discuss these with the credit control manager to assess whether an allowance or write down is necessary.
- For any slow moving/aged balances review customer correspondence to assess whether there are any invoices in dispute.
- Review board minutes/discuss with management to assess whether there are any significant concerns regarding recoverability of receivables.
- Select a sample of goods dispatched notes from before the year end, agree to sales invoices and to inclusion in the year-end receivables ledger.
- Review the receivables ledger for any credit balances and discuss with management whether these should be reclassified as payables.
- Review customer correspondence to identify any balances which are in dispute or unlikely to be paid and discuss with management.
- Recalculate the allowance for trade receivables and compare any potential irrecoverable balances to assess if the allowance is adequate.

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Course Book references

Chapters 5 and 6.

Top tips

The majority of the marks on this question were for identifying the risks and responses from the scenario in part (c). Where you are calculating ratios or are given them along with financial statement extracts you should try and make connections between the increases or decreases from one year to the next and the information given in the scenario. That will help you identify and develop a risk with the right level of explanation. For example, the increase in receivables collection period links to the scenario information given on overdue contract customer balances. Responses must then be specific and clearly relatable to the risk identified.

Easy marks

Part (a) was purely a case of recalling your knowledge of engagement letters and in part (b) you should have been comfortable calculating ratios.

Marking guide

	Marks	
(a) **Engagement letter purpose and matters to be included**		
1 mark per well-explained point	4	
Maximum		4
(b) **Ratios**		
Operating profit margin	1	
Payables payment period	1	
Maximum		2
(c) **Audit risks and auditor's response** (Max 7 issues, 2 marks each)		
New client	2	
PPE exp	2	
New sales system	2	
Cash shortages	2	
Receivables valuation	2	
Supplier statement reconciliations	2	
Inventory valuation	2	
Prior year management report	2	
Operating profit and gross profit margins	2	
Maximum		14
Total		20

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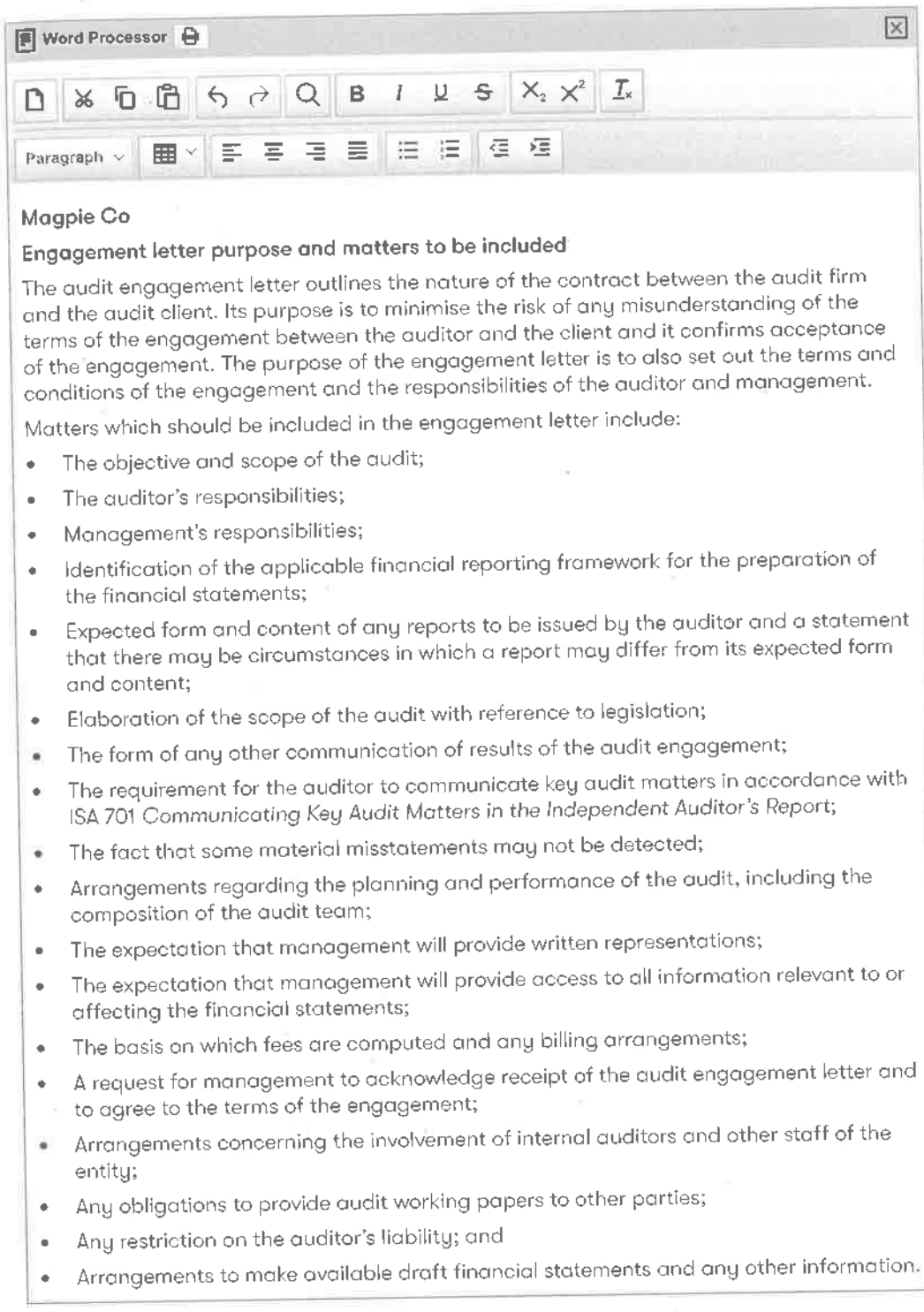
(a)



Magpie Co

Engagement letter purpose and matters to be included

The audit engagement letter outlines the nature of the contract between the audit firm and the audit client. Its purpose is to minimise the risk of any misunderstanding of the terms of the engagement between the auditor and the client and it confirms acceptance of the engagement. The purpose of the engagement letter is to also set out the terms and conditions of the engagement and the responsibilities of the auditor and management.

Matters which should be included in the engagement letter include:

- The objective and scope of the audit;
- The auditor's responsibilities;
- Management's responsibilities;
- Identification of the applicable financial reporting framework for the preparation of the financial statements;
- Expected form and content of any reports to be issued by the auditor and a statement that there may be circumstances in which a report may differ from its expected form and content;
- Elaboration of the scope of the audit with reference to legislation;
- The form of any other communication of results of the audit engagement;
- The requirement for the auditor to communicate key audit matters in accordance with ISA 701 *Communicating Key Audit Matters in the Independent Auditor's Report*;
- The fact that some material misstatements may not be detected;
- Arrangements regarding the planning and performance of the audit, including the composition of the audit team;
- The expectation that management will provide written representations;
- The expectation that management will provide access to all information relevant to or affecting the financial statements;
- The basis on which fees are computed and any billing arrangements;
- A request for management to acknowledge receipt of the audit engagement letter and to agree to the terms of the engagement;
- Arrangements concerning the involvement of internal auditors and other staff of the entity;
- Any obligations to provide audit working papers to other parties;
- Any restriction on the auditor's liability; and
- Arrangements to make available draft financial statements and any other information.

(b) **Ratios**

Ratio	20X5	20X4
Operating profit margin	0.40/22.0 = 1.8%	1.2/26.0 = 4.6%
Payables payment period	1.9/10.9 × 365 = 64 days	3.2/14.5 × 365 = 81 days

ANSWERS

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(c) **Audit risks and auditor's response**

Audit risk	Auditor's response
Magpie Co is a new client for Crow & Co. As the audit team are not familiar with the accounting policies, transactions and balances of Magpie Co, there will be an increased detection risk on the audit. There is also less assurance over opening balances as Crow & Co did not perform the audit last year.	Crow & Co should ensure it has a suitably experienced team assigned to the audit. In addition, adequate time should be allocated for team members to obtain an understanding of Magpie Co and the risks of material misstatement including a detailed team briefing to cover the key areas of risk. Increased audit procedures should be performed over opening balances.
During the year, the company has spent $0.75 million on refurbishing its stores. This expenditure has been recognised as property, plant and equipment in the statement of financial position. There is a risk that some items of revenue expenditure may have been capitalised in contravention of IAS® 16 *Property, Plant and Equipment* (PPE) which would mean that PPE is overstated and expenses are understated.	Obtain a schedule of costs which have been capitalised as part of the refurbishment programme. Review supporting documentation such as invoices to establish that they are capital in nature.
During the year, a sales system was installed but it was not felt necessary to run the old and the new system in parallel. Opening balances from the old system may not have been transferred correctly. In addition, further errors could have arisen if there are issues with the operation of the new system. As a result, sales and receivables may be misstated.	The auditor should fully document and test the new accounting system. In addition, they should also perform substantive tests over the opening balances to ensure they have been correctly transferred from the old system. Discuss with the finance director whether any issues have arisen since the new sales system has been in operation which may give rise to a misstatement in the financial statements.
Daily cash takings reports sent to head office show an increasing number of cash shortages at each store when comparing the contents of the cash registers to the reports. These differences have not been investigated or reconciled as they are only small amounts. This is a risk that these discrepancies are the result of fraud and several small cash shortages could become material when aggregated. In addition, an increase in control risk arises when internal controls detect a problem but it is being ignored.	Discuss with the directors whether these cash shortages may be indicative of fraud. The audit team must also apply professional scepticism throughout the audit recognising that fraud may have arisen as a result of the cash shortages. Extended substantive procedures over the cash sales cycle should also be carried out.
There has been an increase in corporate customer accounts which are overdue for payment, but no increase has been made to the allowance for receivables in the financial statements. In addition, the receivables collection period has increased from 101 days to 149 days. There is a risk that some of the customers may not pay and that the receivables balances are not recoverable. This would result in receivables being overstated and the allowance for receivables being understated.	Discuss with the credit controller the likelihood of recovering the overdue balances and carry out extended post year-end cash receipts testing to identify if the overdue balances have been properly cleared after the reporting date. Discuss with the finance director the need to increase the allowance for receivables in respect of other customers who may be unlikely to settle their debts.

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Audit risk	Auditor's response
The payables ledger clerk has carried out supplier statement reconciliations and a number of supplier statements indicate a higher balance is owing by the company than is shown on the payables ledger. The differences have been included as reconciling items on the supplier statement reconciliations rather than being investigated. In addition, the payables payment period has decreased from 81 days to 64 days. There is a risk that cut-off is incorrect, resulting in trade payables, cost of sales and expenses being understated.	Review the supplier statement reconciliations and discuss with the payables ledger clerk why they have been included as reconciling items on the supplier statement reconciliation rather than investigated. Perform a review of after-date purchase invoices to determine if any relate to the current year. If any do relate to the current year, agree them to the accruals listing.
Inventory of $0.1 million has been noted as being damaged due to containing contaminated soil. In addition, the inventory holding period has increased from 28 days to 54 days meaning the company is retaining inventory longer than the prior year. IAS 2 *Inventories* requires inventory to be valued at the lower of cost and net realisable value. If the contaminated soil cannot be remedied and the damaged inventory of $0.1 million is not written down to its net realisable value (NVR), inventory will be overstated and cost of sales will be understated. In addition, if the inventory holding period suggests further inventory may need writing down to NRV, inventory will be overstated and cost of sales will be understated.	Discuss with the finance director whether the damaged inventory will be written down to its net realisable value and agree this write down to the final inventory valuation. Discuss with the directors why the inventory holding period has increased and whether further inventory may need to be written down to net realisable value. Perform review of post year-end sales invoices to determine the price at which these items have been sold and compare to inventory valuation.
Last year's management report highlighted a number of significant deficiencies in the company's payroll cycle. If these deficiencies have not been addressed by management, the controls over the payroll may still contain deficiencies leading to an increased risk of misstatement. Wages and salaries expense and the year-end employment tax accrual may be misstated.	Discuss with the directors whether the recommendations made by the audit firm in respect of the payroll cycle have been implemented and carry out tests of controls to assess whether they are operating effectively. If the recommendations have not been implemented or there are no controls in place, adopt a fully substantive approach to address the completeness and accuracy of the wages and salaries expense and completeness of the year-end employment tax accrual.
The company's operating profit margin has reduced from 4.6% to 1.8% and gross profit margin has increased from 44% to 50%. There is a classification risk that costs may have been omitted from costs of sales or some direct costs have been included in overhead expenses incorrectly, meaning cost of sales is understated and operating costs overstated.	Review the nature of a sample of operating expenses during the year to identify if any direct costs have been incorrectly classified as overhead expenditure. Compare the classification of costs between cost of sales and operating expenses and compare with the prior year to ensure consistency and investigate any significant differences. Increase cut-off testing of purchases and accruals to verify that costs are included in the correct period.

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Course Book references

Chapters 5 and 6.

Top tips

For the knowledge-based part (a) relating to ISA 220 you needed four well described points. Reading the requirement carefully here was important so that you remained focused on supervision and review, and didn't start describing responsibilities not asked for (such as in relation to fraud). In part (b), remember you can use the highlighter tool in the CBE as a visual aid for quickly spotting audit risks. Having read the whole scenario and highlighted relevant points you should then pick your eight strongest points.

Easy marks

There were plenty of 'red flags' in the scenario to help you generate the marks you needed for part (b).

Examining team's comments

For part (b) candidates often use the copy and paste function when drafting their answers for the identification of the risk. However, care should be taken to ensure that the risk is actually identified. Simply stating a fact from the scenario is not the same as identifying an audit risk. For example, stating that 'a significant customer is experiencing financial difficulties' is not in itself an audit risk. If adequate allowance is made for this receivable, then the audit risk is mitigated. However, in this case the scenario went on to state that no allowance for receivables was required. Therefore, both facts together are required for the identify ½ mark, and stating one without the other will not gain credit. Having identified the risk factor the next step is to explain the risk. To do this, candidates need to state the specific area of the financial statements impacted with an assertion (for example cut off, valuation etc), or a reference to over/under/misstated. 'Misstated' will only be awarded if it is clear the balance could be either over or understated.

Marking guide	Marks
(a) **Quality management**	
1 mark per well-explained point	4
Maximum	4
(b) **Audit risks and auditor's response** (only 8 required)	
Goods in transit	2
Reliance on IA	2
No allowance for receivables	2
Warranty provision	2
Fraud	2
Directors' remuneration	2
Rebate receivable	2
Development expenditure	2
New loan	2
Dividend	2
Other	2
Maximum	16
Total	20

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(a) **Quality management**

Overall, the audit engagement partner is required to take responsibility for overall supervision of the audit and reviews performed; however, this work is often performed by other senior members of the audit team.

Supervision

During the audit of Lapis Co, the auditor should keep track of the progress of the audit engagement, which includes monitoring progress against the audit plan, assessing whether the objective of work performed has been achieved and considering the ongoing adequacy of assigned resources.

The competence and capabilities of individual members of the engagement team should be considered, with on-the-job training and coaching provided to develop skills and competencies where necessary. Supervision also includes creating an environment where engagement team members can raise any concerns without fear of repercussion. In addition, part of the supervision process involves taking appropriate action to address any significant matters arising during the audit of Lapis Co and modifying the planned approach appropriately. The supervising auditor is also responsible for identifying matters for consultation or consideration by more experienced engagement team members such as the audit manager or audit engagement partner.

Review

The auditor would be required to review the work completed by the team and consider whether this work has been performed in accordance with the audit firm's policies, International Standards on Auditing and other regulatory requirements. The auditor should also consider whether all significant matters have been raised for audit engagement partner attention or for further consideration and, where appropriate consultations have taken place, whether appropriate conclusions have been documented.

The auditor should consider if there is a need to revise the nature, timing and extent of work performed. The auditor should also consider if the objectives of the engagement procedures have been achieved and if the work performed supports the conclusions reached and has been properly documented. Overall, consideration should be given as to whether sufficient and appropriate evidence has been obtained to provide a basis for the auditor's opinion.

(b)

Audit risk	Auditor's response
Lapis Co purchases its raw materials from overseas suppliers and has responsibility for goods at the point of dispatch, with materials in transit for up to six weeks. At the year end, there is a risk that cut-off may not be accurate and inventory, purchases and payables may be understated as the company may not correctly recognise the raw materials from the point of dispatch.	The audit team should undertake detailed cut-off testing of purchases of raw materials at the year end. The sample of shipping documentation immediately before and after the year end relating to goods from overseas suppliers should be increased to ensure that cut-off is complete and accurate.
Indigo & Co may place reliance on the controls testing work undertaken by the internal audit (IA) department. If reliance is placed on work which is inadequate for the purposes of the audit, then the external audit team may form an incorrect conclusion on the strength of the internal controls at Lapis Co. This could result in Indigo & Co performing insufficient levels of substantive testing, thereby increasing detection risk.	The external audit team should meet with IA staff, read their reports and review their files relating to controls testing performed at the factories to ascertain the nature of the work undertaken. Before using the work of IA, the audit team will need to evaluate and perform audit procedures on the entirety of the work which they plan to use, in order to determine its adequacy for the purposes of the audit. In addition, the team will need to re-perform some of the testing carried out by IA to assess its adequacy.

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Audit risk	Auditor's response
A significant wholesale customer has informed Lapis Co that it is experiencing financial difficulties. Lapis Co's finance director does not believe an allowance for receivables is required in the draft financial statements for the year ending 30 September 20X5. There is a risk that trade receivables will be overvalued. This customer balance may not be recoverable and so trade receivables will be overstated and the allowance for receivables understated if an allowance is not recognised.	Review and test the controls surrounding the way in which the finance director identifies old or potentially irrecoverable receivables balances and other credit control processes to ensure that they are operating effectively. Review correspondence with this customer and discuss with the finance director the rationale for not maintaining an allowance for receivables, despite the financial difficulties experienced by this customer. Extend post year-end cash receipts testing, in particular for this significant customer, in order to assess valuation and the need for an allowance for receivables.
The company changed one of its television speaker suppliers in December 20X4 to a cheaper alternative and this has led to an increase in warranty claims for television speaker deficiencies. If the overall number of customers claiming on the warranty has increased, then the warranty provision should possibly be higher. As the finance director is anticipating that the overall level of the provision will be similar to the prior year, there is a risk the provision and expenses are understated.	Discuss with management their procedures for estimating the warranty provision and specifically if they have identified the reason for the increase in claims and the effect of this on the estimate. Review the level of claims received during the year and post year end and compare this to the provision made at the year end to assess the adequacy of the provision.
In May 20X5, a payroll clerk was dismissed as they had carried out fraudulent transactions at Lapis Co. Controls have since been implemented to prevent this reoccurring. There is a risk that the clerk may have undertaken a significant number of fraudulent transactions which have not yet been identified. The loss as a result of the fraudulent transactions would need to be written off to the statement of profit or loss. If these have not been discovered, profit may be misstated. Control risk is also increased as the controls previously in place did not prevent the fraud.	Discuss with the finance director the details of the fraud perpetrated by the payroll clerk and what procedures have been adopted to date to identify any adjustments which are needed in the financial statements. In addition, discuss with the finance director what additional controls have been put in place to identify any similar frauds. Additional substantive testing should be conducted over the affected areas of the accounting records, particularly payroll, to establish if there have been any further fraudulent transactions. In addition, the team should maintain their professional scepticism and be alert to the risk of further fraud and errors.
The directors only disclosed the amount of remuneration payable to each director, which does not comply with local legislation which also requires the names of the directors to be disclosed. The directors' remuneration disclosure will not be complete and accurate if the names and individual total payments are not disclosed and hence the financial statements will be misstated as a result of the non-compliance.	Discuss this matter with management and review the requirements of the local legislation to determine if the disclosure in the financial statements is included appropriately. If disclosure is inadequate, then request management to amend the directors' remuneration disclosures and review for compliance with local legislation.

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Audit risk	Auditor's response
Lapis Co is planning to include a $0.8 million receivable relating to a supplier rebate based on purchases for the year. The receivable should only be recognised if the company has purchased the required volume levels and the amount claimed is virtually certain to be received. If the annual volumes are overstated, then the value of the receivable recognised may be overstated and cost of sales may be understated.	Discuss with management the basis of the rebate calculation and agree the calculations back to supporting documentation, including the contract with the supplier. Review post year-end correspondence with the supplier for evidence of the rebate being applied or post year-end bank statements for evidence of receipt.
Lapis Co intends to capitalise within intangible assets all costs incurred of $1.6 million in respect of the development of a new smart television model. IAS® 38 *Intangible Assets* requires research costs to be expensed to profit or loss and only development costs which meet specific criteria to be capitalised as an intangible asset. All of this expenditure has been included as an intangible asset. If research costs have been incorrectly classified as development expenditure, there is a risk that intangible assets are overstated and expenses understated.	Obtain a breakdown of the expenditure capitalised and agree to supporting documentation as to whether the costs relate to the research or development stage. Discuss the accounting treatment with the finance director to assess whether the criteria for capitalisation under IAS 38 are being met.
A $2.5 million interest bearing loan was obtained in April 20X5 and will be repaid in quarterly instalments over four years. If the loan is not allocated correctly between non-current and current liabilities, this would lead to a classification error with current and non-current liabilities being misstated. In addition, the company may fail to accrue for the interest, resulting in finance costs and accruals being understated.	Review the loan agreement to confirm the details and re-perform the company's calculations to confirm that the loan has been correctly split between non-current and current liabilities. Recalculate the interest accrual and agree the amount to finance costs and the accruals schedule.
The directors are intending to propose a final dividend once the financial statements are finalised. In line with IAS 10 *Events after the Reporting Period*, the dividend is a non-adjusting event and should not be recognised as a liability in the 20X5 financial statements. The obligation only arises once the dividend is declared, and this occurs post year end. The dividends should, however, be disclosed in the notes to the financial statements assuming they are declared before the financial statements are authorised for issue. If the dividend is recognised, it will result in an overstatement of liabilities. Failing to disclose the proposed dividend will result in a lack of completeness of disclosure.	Discuss the issue with management and confirm that the dividend will not be recognised within liabilities in the 20X5 financial statements. The financial statements need to be reviewed to ensure that adequate disclosure of the proposed dividend is included in compliance with IAS 10.

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73 Knight Electronics Co

Course Book references

Chapters 6, 14 and 16.

Top tips

There were 16 marks available for part (b) here and although the majority of the marks were on this requirement you needed to be careful not to overrun on it by continuing to add more risks and responses than you needed. It can be tempting to do this with such a long scenario where there are more than 8 risks within it. But you needed to remember there may be (and were) some straightforward marks amongst the other 14 marks available. You need to answer all parts of the question to have the best chance of passing.

Easy marks

Part (a) was relatively straightforward. You should have been able to generate one good point for each of the sources stated which is all you needed to get the five marks available.

Examining team's comments

The examiners provided detailed feedback in the AA September/December 2023 report on each of the questions and you can access that from within exam resources on the ACCA website. A few key points have been picked up on in this section of the Exam Practice Kit for each of the questions.

For part (a) the examiners stated that candidates should consider each source of information, what they are and what information is available within them, then consider how this information could be used by the auditor. Without considering both elements of what the information is and how it can be used, it is difficult to achieve the available 1 mark per point. Considering how each of the sources of information differs will also ensure that there is not too much repetition of answer points.

For part (b) financial accounting knowledge is important as audit risks will often focus on the accounting treatment used in the financial statements. In Knight Electronics Co, accounting issues which give rise to audit risks include those relating to revenue, inventory, revaluation of property, plant and equipment and contingent assets. Hence a strong knowledge of relevant accounting standards is required to fully understand the audit risk and therefore a relevant auditor response.

In (c), when describing substantive procedures, one of the key things to consider is the level of detail provided. Many candidates fail to score well in this type of requirement because their procedures are vague or too brief. Tests must be sufficiently detailed noting clearly which source document should be used and what for. Candidates must ensure that they can distinguish between a substantive procedure and a test of control. Many candidates lose marks in this type of requirement by mixing up these procedures.

Many candidates did not score well in (d). Incorrect answers focused on listing generic substantive procedures for auditing payroll expense, rather than the fraud, or they focused on the knowledge area of auditors' responsibilities relating to fraud, which did not gain any credit. Other incorrect answers focused on the controls management should adopt to prevent further frauds. This is the wrong focus as it does not consider what the auditors should do.

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Marking guide

		Marks
(a) **Sources of information and their uses**		
1 mark per well-explained point	5	
Maximum		5
(b) **Audit risk and auditor's response** (only 8 needed)		
New client	2	
Potential listing	2	
Revenue recognition	2	
Inventory valuation	2	
Property revaluation	2	
Change in useful lives	2	
Legal action	2	
Receivables	2	
Payroll fraud	2	
Reporting timetable	2	
Other	2	
Maximum		16
(c) **Revenue**		
1 mark per well-described procedure	5	
Maximum		5
(d) **Procedures due to payroll fraud**		
1 mark per well-described procedure	4	
Maximum		4
Total		30

(a) **Sources of information and their uses**

Source	Use
Prior year audited financial statements	To gain insight into trends in performance, accounting policies and changes, company size and financial structure, and outcome of previous audits.
Current year budgets and management accounts	Provides relevant financial information for the year to date. It will also help the auditor at the planning stage to carry out preliminary analytical procedures and to identify risks.
Prior year report to management	To gain information on the system of internal control and any identified control deficiencies as, if these have not been addressed by management, the deficiencies may still be present and may impact upon the audit approach.
Board meeting minutes	To gain knowledge about the important issues affecting the business which were discussed by the directors and how these issues were addressed.
Company website	To gain information about the company's major products and services.

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(b) **Audit risk and auditor's response**

Audit risk	Auditor's response
Knight Electronics Co is a new client for Hercules & Co. As the team is not familiar with the accounting policies, transactions and balances of the company, there will be an increased detection risk on the audit. There is also less assurance over opening balances as Hercules & Co did not perform the audit last year.	Hercules & Co should ensure they have a suitably experienced team. Adequate time should be allocated for team members to obtain an understanding of the company and the risks of material misstatement, including a detailed team briefing to cover the key areas of risk. Increased audit procedures over opening balances will be required.
The company is considering a stock exchange listing and the CEO is likely to want to report a rising profit trend in the current year leading up to the listing. There is a possibility that the directors may try to manipulate the financial statements to achieve the desired result, resulting in possible profit, revenue and asset overstatement.	Hercules & Co should ensure that there is a suitably experienced audit team. The audit team should maintain professional scepticism and be alert to any manipulation throughout the audit. This is particularly the case in any areas which require the use of directors' judgement. A review of judgemental decisions and significant one-off journal entries should be performed.
Knight Electronics Co offers a three-year servicing agreement which is paid for at the start of the agreement. Revenue for the service agreement may not be recognised in the correct accounting period. Under IFRS® 15 *Revenue from Contracts with Customers*, revenue should be recognised as the service obligations are satisfied. Therefore revenue from the servicing agreements should be recognised upon completion of each of the annual services with the balance being recognised as deferred income (contract liability) in the statement of financial position. If all of the revenue received is recognised at the start of the contract, revenue will be overstated and liabilities understated.	The audit team should discuss with the finance director how revenue was allocated and recognised for the servicing contracts and ensure this is in accordance with IFRS 15. A sample of service contract sales transactions should be recalculated to ensure that the amount recognised for the year is in accordance with IFRS 15 and the company's accounting policy. The audit team should request that revenue for service obligations not yet satisfied is removed and recognised as deferred income (contract liability) and should review the adjustment once made.
Prices of components have been increasing steadily leading to a reduction in gross profit margin but inventory is valued at cost. The net realisable value of components may have fallen below the cost incurred by the company, resulting in the inventory valuation being overstated.	The audit team should discuss with the finance director whether they are aware of this as an issue. They could also select a sample of inventory items and compare the cost shown on the purchase invoice with the sales price charged at and after the year end to confirm that NRV is above cost.
Property has been revalued from $3.8m to $8.4m based on a management revaluation. The accounting policy with respect to properties was changed during the year and property values have been substantially increased as a result. There is a risk that the revaluation has not been carried out on an appropriate basis but has been designed to inflate asset values in the light of the potential listing. This would result in an overstatement of property, plant and equipment.	The audit team should discuss with the directors the basis on which the revaluation has taken place. The audit team should review the methods used and the assumptions made. They should agree the values on the valuation records to the non-current asset register and confirm the revaluation has been recorded correctly.

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Audit risk	Auditor's response
The period over which plant and equipment is to be depreciated is to be extended from five to eight years. This will have the effect of reducing depreciation expense. Under IAS® 16 *Property, Plant and Equipment*, useful lives are to be reviewed annually, and if asset lives have genuinely increased, then the change to the depreciation charge is reasonable. However, there is a risk that this reduction has occurred in order to boost profits. If this is the case, then plant and equipment are overvalued and depreciation expense understated.	The audit team should discuss with the finance director the basis on which the decision was made. The auditor should review the condition of plant and equipment currently being used (**note:** since the company is only five years old, the plant will be a maximum of five years old) and whether profits or losses have been made when plant and equipment have been sold. If the depreciation rates in the past were too high, a profit on disposal would be likely. Also, the eight-year useful life should be compared to how often these assets are replaced, as this provides evidence of the useful life of assets.
Knight Electronics Co has recognised a receivable in respect of damages it has claimed against a supplier as its lawyer has advised that the action is likely to be successful. IAS 37 *Provisions, Contingent Liabilities and Contingent Assets* states that contingent assets should only be recognised where it is virtually certain that they will be received. To be virtually certain, Knight Electronics Co would need to have it confirmed in writing by the supplier (or the supplier's lawyer) that the claim will be settled. If the receipt of damages by Knight Electronics Co is not virtually certain by the year end, then receivables and profits will be overstated.	The auditor should discuss with the directors the justification for treating the damages as virtually certain. The audit team should obtain written confirmation from the supplier's lawyer that the claim has been settled.
During the year, the company's credit controller was absent for four months, and they were not replaced. In addition, the receivables collection period has increased from 45 to 75 days. There is an increased risk with regards to the recoverability of receivables balances and an allowance may be required. If this is the case, receivables may be overvalued and the allowance understated.	Review and test the controls surrounding how the finance director identifies old or potentially irrecoverable receivables balances, especially during the period of absence of the credit controller, to ensure that they are operating effectively. Extended post year-end cash receipts testing and a review of the aged receivables to be performed to assess valuation. The need for an allowance should also be discussed with the finance director and the adequacy of any allowance for receivables assessed.
During the year, a payroll clerk carried out fraudulent transactions at the company and there is a concern that additional frauds may have taken place. There is a risk that the clerk may have undertaken a significant level of fraudulent transactions which have not yet been identified, leading to an increased control risk. Any additional payments would need to be written off to the statement of profit or loss. If these have not been uncovered, profit and payroll could be overstated.	Discuss with the finance director the details of the fraud perpetrated by the payroll clerk and what procedures have been adopted to date to identify any adjustments which are needed in the financial statements. In addition, discuss with the finance director what additional controls have been put in place to prevent any similar frauds. Additional substantive testing should be conducted over the affected areas of the accounting records, particularly payroll. In addition, the team should maintain their professional scepticism and be alert to the risk of further fraud.

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Audit risk	Auditor's response
The client wants the audit to be completed one month after the year end. With a short timescale, and given that this is the first year Hercules & Co has audited this client, there is a risk that the client staff will be under pressure to complete the financial information ready for audit which may lead to increased errors. Further, there is an increased detection risk that the auditor will not gather sufficient audit evidence.	The auditor should assign more staff to the audit of Knight Electronics Co, as increased levels of substantive testing will be required due to the increased risk of error and detection risk. The composition of the audit team should be considered to ensure that staff have the necessary level of experience. The auditor should also consider the need for an interim audit.

(c)

Word Processor

Paragraph

Revenue

- Compare the overall level of revenue against prior year and budget for the year and investigate any significant fluctuations.
- Perform a proof in total calculation for revenue, creating an expectation of the average price for the main 'smart building' products multiplied by the sales volumes for this year. This expectation should be compared to actual revenue and any significant fluctuations should be investigated.
- Obtain a schedule of sales for the year broken down into the main security, lighting and networking product categories and compare this to the prior year breakdown and for any unusual movements, discuss with management.
- Calculate the final gross profit margin for Knight Electronics Co and compare this to the prior year and investigate any significant fluctuations.
- Select a sample of sales invoices for customers and agree the sales prices back to the price list or customer master data information to ensure the accuracy of invoices.
- For a sample of invoices, recalculate invoice totals including discounts and sales tax.
- Select a sample of credit notes raised, trace through to the original invoice and ensure the invoice has been correctly removed from sales.
- For a sample of service agreements, recalculate the split of revenue recognised in the year and that recognised as deferred income (contract liability) and confirm that this has been recognised in line with the performance obligations in the contract.
- Select a sample of customer orders and agree these to the dispatch notes and sales invoices through to inclusion in the detailed sales listing and revenue general ledger accounts to ensure completeness of revenue.
- Select a sample of dispatch notes both pre and post year end and follow these through to sales invoices in the correct accounting period to ensure that cut-off has been correctly applied.

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(d)

Word Processor

Paragraph

Procedures due to payroll fraud

- Discuss with management and those charged with governance as to whether they are aware of any other payroll frauds or potential frauds.
- Review board minutes for evidence of management discussion of the materiality of the payroll fraud and to the existence of any additional instances of actual or suspected fraud.
- Discuss with the payroll manager the nature of the payroll fraud, how it occurred and the financial impact of amounts incorrectly paid into the payroll clerk's bank account.
- Review the supporting documentation to confirm the total of the fraudulent payments made and assess the materiality of this misstatement.
- Review and test the internal controls surrounding setting up of, and payments to, new joiners to assess whether further frauds may have occurred.
- Compare the list of employees from the payroll and agree to the list or contracts of employment in the human resources department.
- Review employee bank account details for indications of more than one employee with the same details.
- Consider whether other information obtained by the audit team indicates risks of additional material misstatements with regards to payroll fraud.
- Obtain a written representation from management acknowledging that they have disclosed to the auditors all knowledge of actual and suspected fraud.

Videos can be viewed online by accessing your ebook version on VitalSource.

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Course Book references

Chapters 5, 6, and 12.

Top tips

When describing audit risks try and refer to the proper accounting treatment, including the relevant IFRS Accounting Standard, and why there is a risk the requirements of the standard may not be met. You should ideally state which areas of the financial statements are affected and how. For example is there a risk the balance is overstated or understated?

Easy marks

You should have found the knowledge-based requirement in part (b) relating to laws and regulations straightforward.

ANSWERS

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Examining team's comments

Candidates often use the copy and paste function when drafting their answers for the identification of the risk. However, care should be taken to ensure that the risk is correctly identified. Simply stating a fact from the scenario is not always the same as identifying an audit risk. Financial accounting knowledge is also important as audit risks will often focus on the accounting treatment used in the financial statements. Hence a strong knowledge of relevant accounting standards is required to fully understand the audit risk and therefore a relevant auditor response.

Marking guide

		Marks
(a)	**Audit risks and responses**	
	New client	2
	CEO sell shares	2
	Refurbishment	2
	Loan	2
	Advertising expenditure	2
	Breach of building regulations	2
	Development cost	2
	Damaged inventory	2
	Profit margins	2
	Receivables	2
	Maximum	16
(b)	**Responsibilities under ISA 250**	
	Auditor not responsible for preventing non-compliance	1
	Direct effect – obtain sufficient appropriate evidence	1
	Indirect effect – carry out specific procedures	1
	Remain alert to non-compliance by maintaining professional scepticism	1
	Consider need to report non-compliance to management, TCWG or 3rd party	1
	Maximum	4
(c)	**Substantive procedures – additions to property, plant and equipment (PPE)**	
	1 mark per well-described procedure	4
	Maximum	4
(d)	**Quality management**	
	Industry experience	2
	Team briefing	2
	Lack of supervision	2
	Junior audit intangible assets	2
	Maximum	6
Total		30

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(a) **Audit risks and responses**

Audit risk	Auditor's response
This is the first year Teal & Co is carrying out the audit of Green Co. As a result, there will be a lack of knowledge regarding the company's accounting policies and transactions which could lead to a misinterpretation of audit evidence or the performance of inappropriate procedures. This will increase detection risk and specifically non-sampling risk. There is also less assurance over opening balances as Teal & Co did not perform the audit last year.	Allocate additional time in the audit timetable to enable the audit team to research the client, its business and its systems. Ensure a comprehensive planning meeting is held with all audit staff to enable this information to be shared and allocate more experienced staff than usual to the audit. Increase audit procedures over opening balances.
Aidan White is planning to sell his shares in the company. There is a risk that he may want to manipulate the financial statements to improve the performance and position of the company so as to increase the value of his shares. There is a risk that profit and assets are overstated.	Assign more experienced staff to the audit. Brief all audit staff to remain alert and exercise professional scepticism, especially in areas which require the exercise of judgement, and which would affect profit and asset valuations.
The company has spent $14·2m refurbishing the garden centres which has been recognised within non-current assets. Costs may have been included in non-current assets which do not meet the criteria of IAS® 16 *Property, Plant and Equipment* (PPE). There is a risk that PPE is overstated and expenses are understated.	Obtain a breakdown of the $14·2m. Review supporting documentation, such as invoices, to confirm that amounts have been correctly included within PPE. Inspect a sample of new assets to ensure that they exist and are generating economic benefits.
Green Co has taken out a loan, which is to be repaid in five annual instalments commencing in September 20X5. There is a risk that the amount outstanding may not be correctly classified between current and non-current liabilities, resulting in misstatement of these amounts. There is also a risk that the company may fail to include the financing costs relating to this amount resulting in understated interest expenses.	Review the draft financial statements and agree the amounts disclosed as current and non-current liabilities to the loan documentation. Recalculate the financing costs (interest expenses) for the year, agree the interest rate used to the loan documentation and review the draft statement of profit and loss to confirm it has been included.
$400,000 was spent on advertising in November 20X4. This has been included within intangible assets and is being amortised over 24 months. Advertising expenditure does not meet the criteria for recognition in IAS 38 *Intangible Assets* and so it should be recorded as an expense. Failure to adjust for this will result in intangible assets and profit being overstated.	Review the invoice and the bank ledger account to ensure $400,000 was paid in November 20X4. Discuss the matter with management and request that they adjust this and record the advertising costs as an expense. Review the journal for the adjustment recognising this expenditure in profit or loss.

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Audit risk	Auditor's response
The building authority is investigating whether Green Co has breached building regulations. Green Co could be required to remedy deficiencies and pay a fine. If it is probable that these costs could be incurred, then a provision should be made. If Green Co fails to do so, provisions will be understated. If it possible that these costs could be incurred, then disclosure should be made and if Green Co fails to do so, then disclosure would be inadequate and not in line with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.	Review correspondence with the building authority to understand the alleged non-compliance and assess the likelihood of fines. Discuss the matter with the directors to assess their views as to whether Green Co complied with building regulations and any likely fines. Review correspondence with the company's lawyer on this matter. Review correspondence with surveyors or builders about remedial costs to assess the reasonableness of any amounts provided. If relevant, review any disclosures in the draft financial statements to ensure that they are adequate and meet the requirements of IAS 37.
In August 20X4, a project began to develop new technology to maintain the temperature and humidity in Green Co's greenhouses and $350,000 was included in intangible assets. The project may not have met the criteria in IAS 38 *Intangible Assets* for costs to be treated as assets. Therefore, intangible assets could be overstated and expenses understated.	Discuss the project with management and review the project files to establish at what date the criteria were met. Review a sample of costs recorded as project costs and documentary evidence such as invoices to confirm they were treated correctly as research or development.
A flood caused water damage to inventory and the sales price may need to be reduced. There is a risk that the net realisable value (NRV) is lower than cost and, if the inventory is valued at cost, inventory will be overstated and cost of sales understated.	Review invoices and other sales records to establish the sales prices of the affected plants from May until the end of the final audit. For a sample of types of plant, review costing records to establish the cost and compare with selling price to establish if a write down is required.
The gross profit margin has increased from 20% in 20X4 to 26% in 20X5 yet the operating profit margin has decreased from 11% to 7% over the same period. This could indicate that costs have been misclassified between cost of sales and operating expenses, leading to misstatement of amounts.	Review a breakdown of costs in comparison to the previous year. For any cost headings with large fluctuations compared to the previous year, discuss with management and perform detailed testing if required.
The credit controller has been on sick leave and receivables collection period has increased from 40 days as at 31 July 20X4 to 67 days for 20X5. Control risk is increased as credit control procedures may not have been operating effectively for the last four months of the year in the credit controller's absence. There is a risk that some of these debts are not recoverable and an allowance may be required. If this is the case, trade receivables may be overstated and the allowance for receivables understated.	Select a sample of old receivables and discuss with Green Co's management as to whether an allowance is required. Review correspondence with those customers to identify any disputed balances which may require an allowance. Review payments received from those customers after the year end. Review any allowance to assess its adequacy. Discuss controls within the credit control department and the impact of the credit controller's absence with management and assess the adequacy of any alternative arrangements put in place.

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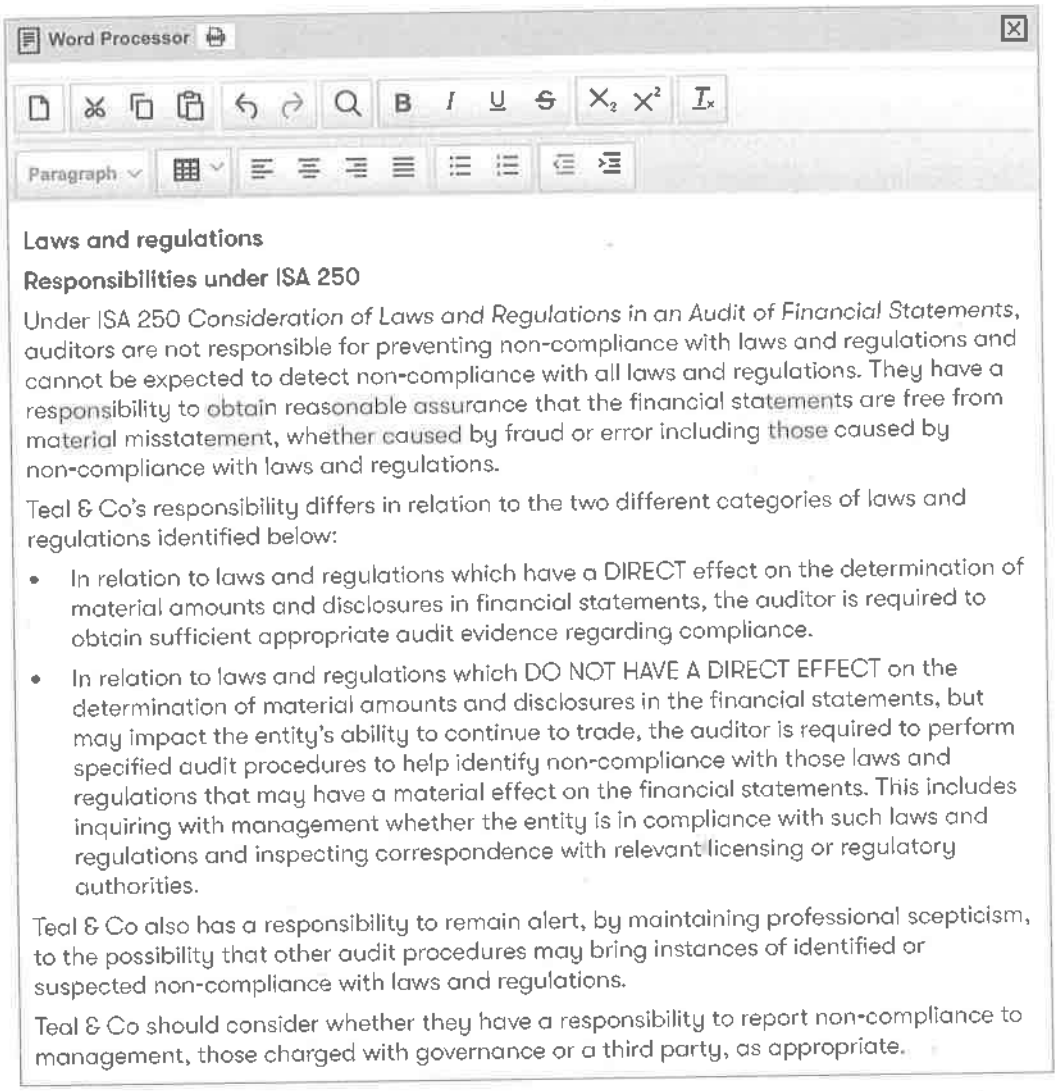
(b)



(c) **Substantive procedures – additions to PPE**

- Obtain a schedule of additions, cast the schedule to ensure it is accurate and agree the total to the general ledger and trial balance.
- For a sample of additions, agree the cost recorded in the additions schedule to the purchase invoice and that the invoice is in the company's name.
- For a sample of items listed, review the details of the expenditure to confirm that the expenditure represents an addition to PPE rather than a repair of existing non-current assets.
- Inspect the existence of a sample of the new assets and agree serial numbers to the non-current asset register where possible.
- Discuss with management the basis for establishing the useful lives of the new assets and consider whether the useful lives of any existing assets may have changed as a result of the refurbishment.
- Recalculate depreciation for a sample of PPE and confirm the assets have been depreciated from the date the cafes were opened.

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- Review expense accounts in the general ledger, particularly repairs and maintenance, and consider whether any items recorded as expenses were in fact additions to non-current assets.
- Review the draft disclosures in the financial statements and ensure that assets arising from the building of cafes are included in the total additions and that disclosures are in accordance with IAS 16 Property, Plant and Equipment.

(d) **Quality management**

Deficiency	Recommendation
The audit engagement team which carried out the audit of Green Co had previously audited educational organisations rather than retail companies. As Green Co is a retail company, the audit team would not have the relevant experience to audit this type of company, especially in the area of inventory which may include a high degree of subjectivity.	Teal & Co should have selected a different audit team, which had knowledge of the relevant industry in which Green Co operates. The team should have comprised members who had audited retail companies and in particular had experience of auditing account balances such as inventory.
Several junior members of the audit engagement team missed the planning meeting where Green Co's key audit risks were discussed. Without an appropriate briefing, team members will not fully understand the risks to be addressed during the audit of Green Co and may not gather sufficient and appropriate audit evidence to form a conclusion over the identified audit risks.	An additional team briefing should have been held with the audit engagement partner for the missing team members and all the audit risks explained in detail.
The audit supervisor was ill for the last two weeks of the audit and during this period of absence, no other senior team members were assigned to the audit. It is important that audit assistants are able to discuss and raise questions with more experienced team members throughout the engagement so that appropriate communication can occur within the team. Without adequate supervision, audit assistants may not undertake their tasks correctly. Any misunderstandings may not be addressed on a timely basis leading to an inaccurate audit conclusion.	An alternative audit supervisor should have been allocated to the team to cover the period of illness. Alternatively, the audit manager could have been present on site more or available to answer queries during this period to address any concerns of audit assistants.
Following absence due to illness, the audit of intangible assets was reallocated from the audit supervisor to a junior member of the audit team, who had never audited intangible assets before. The audit of intangible assets may be complex and include a degree of subjectivity. The junior team member allocated would be unlikely to have the relevant experience to audit this account balance and so may have formed inappropriate conclusions.	The audit of intangible assets should not have been reallocated to the junior team member. Other fieldwork should have been allocated to junior members so that a more experienced auditor was able to audit the subjective balance. Alternatively, an alternative auditor from Teal & Co should have been allocated to the audit of Green Co so that the audit of intangible assets was undertaken by a team member with appropriate competence and capabilities.

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Section A

Flowers Anytime

75 The correct answers are:

Steps	Order
Complete flowcharts and internal control evaluation questionnaires	(1)
Perform walkthrough tests	(2)
Perform tests of control	(3)
Revise the audit strategy and plan	(4)

The first step should be to document the system of internal control – this is done using the flowchart and internal control evaluation questionnaire. The second step should be to confirm the auditor's understanding of the system – this is done with a walkthrough test. Tests of control are then performed to obtain audit evidence about the effectiveness of the design and operation of internal controls. Finally, if controls testing reveals any deficiencies in internal controls that have not been previously identified, the audit strategy and the audit plan should be revised as required.

76 The correct answer is: ICEQs are generally easier to apply to a variety of different systems than ICQs

In the first option, the descriptions of ICQs and ICEQs are reversed. Neither ICQs nor ICEQs are likely to capture how internal controls deal with unusual transactions: narrative notes are needed to do this. Both ICQs and ICEQs give the impression that all controls are of equal importance. The significance of each control would only be highlighted in narrative notes.

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77 The correct answers are:

- All orders are generated in the sales module within the accounting system by inputting the details into an electronic sales order form. Once saved by the sales clerk, one copy is automatically forwarded by email to the warehouse for the dispatch of inventory, and one copy is emailed to the customer as evidence of the order - **No**
- The sales clerk regularly performs reviews of the standing data on the system, matching the price of flowers against an up to date price list - **No**
- To ensure completeness of orders, a sequence check is performed on the sales invoices by the sales clerk using a report generated from the sales module. Any missing documents are investigated - **Yes**
- Sales invoices are posted on a weekly basis to the detailed sales listing and accounts receivable ledger - **No**

A sequence check of the invoices is an effective control, be it carried out manually or electronically.

When the order is generated no copy of the order is emailed to the accounts receivables clerk – as a result, the recording of receivables may be incomplete or delayed, and outstanding balances may remain uncollected.

The sales clerk should not be reviewing the standing data themselves – this review should be performed by an independent, senior member of staff.

Sales invoices should be posted automatically to the detailed sales listing and the accounts receivables ledger immediately after the order is taken.

Note. The 'detailed sales listing' is the electronic equivalent of the 'sales day book' used in a manual system. The ACCA have said these terms may be used interchangeably in the Audit and Assurance exam.

78 The correct answer is: 1 only

This simply reduces the risk that cash will be misappropriated. It does not provide any assurance that subsequent recording will be complete or accurate.

79 The correct answer is: The deficiencies identified in the sales system only

ISA 265 *Communicating Deficiencies in Internal Control to those Charged with Governance and Management* requires the auditor to communicate significant deficiencies in internal control (ISA 265). The fact that the amounts exposed to the deficiencies in the sales system were high and that it is likely that the deficiencies would result in material misstatements in the financial statements are indicators that the deficiencies are significant (ISA 265).

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KLE Co

80 The correct answer is: Purchases may be made unnecessarily at unauthorised prices

The fact that the ordering clerk transfers information from the order requisition to the order form without any subsequent approval increases the risk that errors on the order form go unnoticed. The fact that the order requisition is thrown away means that any subsequent queries cannot be traced back to the original order. The facts that the ordering department does not retain copies of the order forms means that orders may be duplicated, either in error or deliberately. The chief buyer authorises the order requisitions and determines the appropriate supplier, so the risk of purchases being made at unauthorised prices is reduced.

81 The correct answer is: 1, 3 and 4

It is important that the ordering department receives a copy of the GRN, so that they can monitor which orders are closed and which remain outstanding. To ensure efficiency and to avoid delays, a three-part GRN could be used – one for the ordering department, one for the goods inwards department and one for the accounts department.

82 The correct answer is: For a sample of GRNs check that there is an authorised purchase order

The direction of the test is important here. The sample is taken from goods received notes as these represent deliveries. The auditor can then check that each delivery is supported by a valid order. If the sample is chosen from purchase orders (as in the first option) the test would confirm whether orders have been fulfilled. The remaining options are tests of controls regarding completeness of accounting information.

83 The correct answer is: Undertake 'mystery shopper' reviews, where they enter the store as a customer, purchase goods and rate the overall shopping experience

Bank confirmations should always be carried out by the auditor. Providing advice on the implementation of a new payroll system would impair the internal auditors' independence. Reviewing the financial statements on behalf of the board is the responsibility of the audit committee, not internal audit.

84 The correct answer is: The relationship between goods and services produced and the resources used to produce them

A value for money audit focuses on three Es: Economy, Efficiency and Effectiveness. The first option describes economy. The third option describes effectiveness. The second option only describes one aspect of efficiency.

SouthLea

85 The correct answers are:

- Cut-off of starters' and leavers' wages
- Potential fraud risk factors

The facts that the foreman is authorised to issue new employee numbers, and that the two wages clerks are responsible for setting up employee records, make it more likely for bogus employees to be set up on the system than for bona fide employees to be omitted. This is likely to give rise to questions around the occurrence of wages, not their completeness. The fact that a wages clerk reviews the calculations for the deductions from gross pay should reduce the risk of computerised errors.

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86 The correct answer is: Review the log of amendments to standing data for evidence of review

Reviewing overtime lists for evidence of authorisation is a test of control over the authorisation of wages. The other two procedures can identify unauthorised amendments to standing data, but they are substantive procedures.

87 The correct answer is: The internal auditor must always consider the potential of management overriding controls and modify their audit procedures accordingly when performing internal audit engagements

The need to consider the potential of management override applies mainly to the external auditors. The external auditor's objective is to conclude whether the financial statements are free from material misstatement, whether from error or fraud. Audit procedures that are effective in detecting error may not be appropriate in detecting fraud due to the nature of fraud.

88 The correct answer is: (1) and (2) only

In the absence of the audit committee the work of the internal audit department should be directed by the board. The scope being set by the finance director reduces independence.

89 The correct answers are:

- Full testing procedures using test data when developing computer applications
- Disaster recovery procedures

One for one checking and hash totals are application controls.

Cherry

90 The correct answer is: The selection and application of accounting policies

The selection and application of accounting policies is one of the areas in which the auditor is required to gain an understanding, as part of the auditor's risk assessment procedures. It is not a component of internal control. The other components of internal control are the entity's risk assessment process and the entity's process to monitor the system of internal control.

91 The correct answer is: 2 and 3

The fact that raw materials are being ordered without reviewing inventory levels means that both stock-outs and excess obsolescent inventory are likely. The lack of authorisation means that fraudulent purchases could be made, but there is an approved supplier list and money-laundering risks seem far-fetched. Likewise, poorer quality goods may be ordered but the approved supplier list does act as a control here – and going concern risks are irrelevant.

92 The correct answer is: Completeness of payables

The fact that goods received notes (GRNs) are not sequentially numbered means that GRNs may be omitted from accounting records and it would be difficult to trace the unrecorded GRNs. As a result, the risk is that payables (and inventory) is understated.

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93 The correct answers are:

- Only authorised staff have read and write access to the finance system. Other users have read only access to specific reports that they require for their roles - **General IT control**
- The finance system won't allow a negative invoice amount to be entered nor a positive credit note amount. It presents an error message and the input screen needs to be corrected before proceeding - **Information processing control**
- Automatic back-ups of the finance system occur each night to a separate virtual (online) server - **General IT control**
- Only IT administrators can install software on the same server that hosts the finance system and anti-virus software checks the install file for the new software before installation commences - **General IT control**

General controls over the entity's IT processes that support the continued proper operation of the IT environment, including the continued effective functioning of information processing controls and the integrity of information. This includes limiting the ability to edit the system to authorised users (1), back-ups (3) and virus protection (4).

Information processing controls relate to the processing of information in IT applications or manual information processes in the entity's information system that directly address risks to the integrity of information. This is the case in (3) where invoice or credit note amounts are validated during input.

94 The correct answer is: 1 and 3

The direction of the test is important here. If the sample of serial numbers were taken from the non-current assets register, the physical assets which were not assigned serial numbers and/or were not recorded would not be identified. Reviewing the non-current register to identify duplicate serial numbers will identify instances when the serial numbers assigned were not unique, making it difficult to trace the related assets. Observation is a valid audit procedure, but it provides a weak form of audit evidence, since it does not assure the auditor that the control would be operated when the auditor is not there to observe it.

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Section B

95 Freesia

Course Book references

Chapters 3, 10 and 16.

Top tips

Part (a) was the knowledge-based part, and as such you should be aiming for full marks here. It is important that you stick to the requirement precisely, eg you should only give an advantage of each method – one advantage, with no marks available for disadvantages. The marks for describing each method were among the easiest in the exam.

Part (b) was the core of this question, and asked for six deficiencies for which you needed to develop controls and then tests of control. Your response should therefore be connected across all three columns. As ever, the requirement is to 'identify and explain' each deficiency, which suggests that your answer could be structured as two sentences / paragraphs within the left column, the first of which says what is happening (identifying the problem), and the second of which says why this is a problem (or why it is wrong). Your control and test of control must then be explained in enough detail to get a full mark each. It is a good idea to think of these two columns together – try to suggest a control for which you can easily suggest a test.

Part (c) asked for substantive procedures in relation to the employment tax accrual; quite a lot of the points here should not be difficult to think of, so this requirement is a good opportunity to score marks.

Part (d) covered corporate governance. This requirement is not actually asking a great deal here, particularly given the length of the related scenario, so again this should not have been overly taxing.

Easy marks

Part (a) was knowledge-based and should have been within your reach.

ACCA Examining team comments

Internal control questions remain a highly examinable area and performance in June 2019 was mixed. The scenarios included in exam questions contain more issues than are required to be discussed. It was pleasing in this session that candidates were generally able to identify (for ½ mark each) the required number of issues from the scenarios. However some candidates were unable to correctly identify the deficiency from the scenario. They were able to pick the relevant fact from the scenario but failed to spot what the actual deficiency was. Additionally, this session there was an increase in the number of answers with irrelevant deficiencies being given. This seems to stem from a lack of understanding of the scenario and possibly due to a lack of question practice. In common with previous sittings many candidates did not clearly explain the implication of the deficiencies. It is important that the explanation fully details the impact to the company. As an example, for a deficiency of 'purchase invoices are not sequentially numbered' a suitable, well-explained implication would be 'this could result in the recording of purchases and payables being incomplete and suppliers being paid late'. Many candidates did not go on to explain the impact on the company in sufficient detail, for example just stating, 'this could result in invoices being missed'. Most candidates were able to provide good recommendations to address the deficiencies they identified. However, some of the recommendations were either poorly described, did not clearly address the specific control deficiency identified or were impractical suggestions. Many candidates just repeated the converse of the deficiency and to obtain the one mark for the recommendation more detail is needed. For example, for the deficiency 'a lack of segregation of duties around inventory management' some candidates stated a recommendation of 'segregation should be introduced'. However, to obtain the full mark this recommendation needed to cover what elements of the role should be separated. Additionally, as with ethics and corporate governance questions, recommendations must be actions rather than just objectives.

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Marking guide

		Marks
(a)	**Methods of documenting systems of internal control**	
	Narrative notes	2
	Questionnaires	2
	Maximum	4
(b)	**Control deficiencies, recommendations and tests of control** (only 6 required)	
	Credit limits	3
	No sequential numbering of orders	3
	Segregation of duties – cash receipts	3
	Insufficient copies of GRN	3
	Controls over inputting of invoices	3
	Out-of-date standard costs	3
	Overtime not authorised	3
	Authorisation of bank transfer	3
	Maximum	18
(c)	**Substantive procedures – accrual for employment tax**	
	Compare to prior year and investigate differences	1
	Agree accrual to year-end payroll records	1
	Recalculate accrual and consider reasonableness	1
	Perform proof in total and investigate variances	1
	Confirm post year-end payment	1
	Review correspondence with tax authorities for any additional liabilities	1
	Review disclosure and confirm in line with accounting standards	1
	Maximum	4
(d)	**Corporate governance deficiencies and recommendations** (2 issues required)	
	Composition of audit committee	2
	Finance director sets remuneration	2
	Executive directors' remuneration	2
	Only chair liaises with shareholders	2
	Maximum	4
Total		30

(a) **Documenting systems**

	Description	Advantage
Narrative notes	Narrative notes consist of a written description of the system. They detail what occurs in the system at each stage and include any controls which operate at each stage.	They are simple to record; after discussion with staff members, these discussions are easily written up as notes. They can facilitate understanding by all members of the audit team, especially more junior members who might find alternative methods too complex.

ANSWERS

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	Description	Advantage
Questionnaires	Internal control questionnaires (ICQs) or internal control evaluation questionnaires (ICEQs) contain a list of questions for each major transaction cycle; ICQs are used to assess whether controls exist whereas ICEQs assess the effectiveness of the controls in place.	Questionnaires are quick to prepare, which means they are a timely method for recording the system. They ensure that all controls present within the system are considered and recorded, hence missing controls or deficiencies are clearly highlighted to the audit team.

(b) **Deficiencies, controls and test of controls**

Control deficiency	Control recommendation	Test of control
Customer credit limits are set by receivables ledger clerks. receivables ledger clerks are not sufficiently senior and so may set limits too high, leading to irrecoverable debts, or too low, leading to a loss of sales.	Credit limits should be set by a senior member of the sales department and not by receivables ledger clerks. These limits should be regularly reviewed by a responsible official.	For a sample of new customers accepted in the year, review the authorisation of the credit limit, and ensure that this was performed by a responsible official. Enquire of receivables ledger clerks as to who can set credit limits.
Customer order numbers generated are based on the sales person's own identification number. These numbers are not sequential. Without sequential numbers, it is difficult for Freesia Co to identify missing orders and to monitor if all orders are being dispatched in a timely manner. If they are not, this could lead to a loss of customer goodwill.	Sales orders should be sequentially numbered. On a regular basis, a sequence check of orders should be undertaken to identify any missing orders.	Re-perform the control by undertaking a sequence check of sales orders. Discuss any gaps in the sequence with sales ordering staff.
Lily Shah, a finance clerk, is responsible for several elements of the cash receipts system as she posts the bank transfer receipts from the bank statements to the bank ledger account, updates the receivables ledger and performs the bank reconciliations. There is a lack of segregation of duties and errors will not be identified on a timely basis. There is also an increased risk of fraud.	The key roles of posting bank receipts, updating the receivables ledger and performing bank reconciliations should be split between different individuals. If this is not practical, then as a minimum, the bank reconciliations should be undertaken by another member of the finance team.	Review the file of completed bank reconciliations to identify who prepared them. Review the log of IDs of individuals who have posted bank receipts and updated the receivables ledger to assess whether these are different individuals. Discuss with the financial controller which members of staff undertake the roles of processing of bank receipts and updating of the bank ledger account and receivables ledger.

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Control deficiency	Control recommendation	Test of control
GRNs are only emailed to the finance department. Failing to send a copy to the purchase ordering department means that it is not possible to monitor the level of unfulfilled orders. This could result in a significant level of unfulfilled orders leading to stock-outs and a consequent loss of sales. In addition, if the GRN record is lost, then it will not be possible for the finance department to match the invoice to proof of goods being received. This could result in a delay to the invoice being paid and a loss of supplier goodwill.	A GRN copy should also be auto-emailed to the ordering department. A copy should be held at the warehouse as well as being emailed to the finance department. A purchase ordering clerk should agree their copy of the GRN to the purchase order and change the order status to complete in the purchasing module. On a regular basis, a report of unfulfilled orders should be generated and reviewed and each order should be followed up with the relevant supplier.	Review copy GRNs held by the purchase ordering department and review for evidence that these are matched to orders and flagged as complete. Review the report of unfulfilled purchase orders for any overdue items and discuss their status with an ordering clerk.
Camilla Brown, the payables ledger clerk, only utilises document count controls when inputting invoices into the payables ledger. Document count controls can confirm the completeness of input. However, they do not verify the accuracy or validity of input. If the invoices are not input correctly, suppliers may not be paid on time, or paid incorrect amounts leading to an overpayment or loss of supplier goodwill who may withdraw credit facilities.	The payables ledger clerk should instead input the invoices in batches and apply application controls, such as control totals, rather than just completeness checks to ensure both completeness and accuracy over the input of purchase invoices. In addition, sequence checks should be built into the system to ensure completeness of input.	The audit team should utilise test data procedures to assess whether data can be entered without the use of batch control totals and also whether sequence checks are built into the system. Observe the inputting of purchase invoices and identify what application controls are utilised by the clerk.
The company values its inventory using standard costs, which are not being kept up-to-date. If the standard costs were reviewed 18 months ago, there is the risk that the costs are misstated as changes in raw materials and wages inflation may not have been adjusted for. This could result in inventory being under or overvalued and profits being misstated. In addition for year-end reporting, IAS 2 *Inventories* only allows standard costs to be used for valuation purposes if they are a close approximation to actual costs, which is unlikely if the standard costs remain unchanged for a long period of time. Therefore the valuation may not be in line with IAS 2.	A review of all standard costs currently in use should be undertaken by a senior manager in the production department. Actual costs for materials, labour and overheads should be ascertained and compared to the proposed standard costs to ensure they are a close approximation. The revised standard costs should be reviewed by the production director who should evidence this review. At least annually, a review of the standard costs should be undertaken to ensure they are up-to-date.	Obtain a copy of the standard costs used for inventory valuation, assess when the review was last undertaken and inspect for evidence of review by the production director.

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Control deficiency	Control recommendation	Test of control
Overtime worked is not authorised prior to being paid. The information per employee is collated and submitted to payroll by a production clerk, but not authorised. The production director is only informed about overtime levels via quarterly reports. These reports are reviewed sometime after the payments have been made which could result in unauthorised overtime or amounts being paid incorrectly and Freesia Co's payroll cost increasing.	All overtime should be authorised by a responsible official prior to the payment being processed by the payroll department. This authorisation should be evidenced in writing.	Review the overtime report for evidence of authorisation and note the date this occurred to ensure that this was undertaken prior to the payment of the overtime.
The finance director compares the total of the list of bank transfers with the total to be paid per the payroll records.	The finance director, when authorising the payments, should on a sample basis perform checks from the human resource department's staff records to payment list and vice versa to confirm that payments are complete and only made to *bona fide* employees.	Obtain a sample of payments lists and review for signature by the finance director as evidence that the control is operating correctly.
There could be employees omitted or fictitious employees added to the payment listing so that, although the total payments list agrees to payroll totals, there could be fraudulent or erroneous payments being made.	The finance director should sign the payments list as evidence that these checks have been undertaken	

(c) **Accrual for employment tax payable**

Substantive procedures the auditor should adopt in respect of auditing this accrual include:

- Compare the accrual for employment tax payable to the prior year, investigate any significant differences.
- Agree the year-end employment tax payable accrual to the payroll records to confirm accuracy.
- Re-perform the calculation of the accrual for a sample of employees to confirm the accuracy.
- Undertake a proof in total test for the employment tax accrual by multiplying the payroll cost for January 20X5 with the appropriate tax rate. Compare this expectation to the actual accrual and investigate any significant differences.
- Agree the subsequent payment to the post year-end bank ledger account and bank statements to confirm completeness.
- Review any correspondence with tax authorities to assess whether there are any additional outstanding payments due. If so, confirm they are included in the year-end accrual.
- Review any disclosures made of the employment tax accrual and assess whether these are in compliance with accounting standards and legislation.

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(d) **Corporate governance deficiencies and recommendations**

Deficiency	Recommendation
The finance director is a member of the audit committee. The audit committee should be made up entirely of independent NEDs. The role of the committee is to maintain objectivity with regards to financial reporting; this is difficult if the finance director is a member of the committee as the finance director will be responsible for the preparation of the financial statements.	The audit committee must be comprised of independent NEDs only; therefore the finance director should resign from the committee.
The remuneration for directors is set by the finance director. However, no director should be involved in setting their own remuneration as this may result in excessive levels of pay being set.	There should be a fair and transparent policy in place for setting remuneration levels. The NEDs should form a remuneration committee to decide on the remuneration of the executives. The board as a whole should decide on the pay of the NEDs.
Executive remuneration includes a significant annual profit related bonus. Remuneration should motivate the directors to focus on the long-term growth of the business, however, annual targets can encourage short-term strategies rather than maximising shareholder wealth.	The remuneration of executives should be restructured to include a significant proportion based on long-term company performance. For example, executives could be granted share options, as this would encourage focus on the longer term position.
The chairman has sole responsibility for liaising with the shareholders and answering any of their questions. However, this is a role which the board as a whole should undertake.	All members of the board should be involved in ensuring that satisfactory dialogue takes place with shareholders, for example, all should attend meetings with shareholders such as the annual general meeting. The board should state in the annual report the steps they have taken to ensure that the members of the board, and in particular the non-executive directors, develop an understanding of the views of major shareholders about the company.

96 Castle Courier Co

Course Book references

Chapters 9, 10 and 16.

Top tips

The requirements for this question are typical of the Audit and Assurance exam, with the scenario being about controls and tests of control within a particular system. There is a lot to do in this question, so there is a risk of overrunning on the time. Make sure you stick to time for each part of the question and move on to the next requirement once the time is up.

Part (a) is a knowledge-based requirement. The CBE would have given you a table in which to complete your answer, which would help you to get one mark for each method/explanation/advantage.

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Part (b) requires you to make good use of the tabular format for the controls and tests of control – go through the scenario line by line and make notes on the controls that appear to be particularly important in the system, and then consider how you might go about testing whether the control works as it should do. Your tests of control need to be sufficiently detailed to gain the marks. Note that you should not be mentioning financial statement assertions here because we are dealing with test of control rather than substantive procedures.

Part (c) is on controls deficiencies and recommendations. This is the biggest part of the question so it is important that you stick to your time here. Your recommendations should be as specific as possible, including details of the actions that will need to be taken and why they should be taken.

Part (d) asks for substantive procedures on the payroll expense. This is a standard area for AA, and should be within your reach; if you struggled here then it is important that you prepare yourself for questions of this type in your exam.

Easy marks

Part (a) on methods of documenting internal controls is knowledge based for four marks and relatively straightforward. Part (d) asks for substantive procedures for payroll. This is worth six marks and, provided your procedures are adequately detailed, you should be able to score well here.

Marking guide		Marks
(a) **Methods for documenting internal control systems**		
Narrative notes	2	
Internal control questionnaires	2	
Maximum		4
(b) **Direct controls and tests of control** (only 4 required)		
Sequence checks on key cards/data	2	
HR review of clocking in process	2	
Payroll calculations reperformed	2	
Password updated monthly	2	
Control account reconciliations performed	2	
Tax liability calculation reviewed	2	
Maximum		8
(c) **Control deficiencies and recommendations** (only 6 required)		
Holiday requests not authorised	2	
FC prepares and authorises bank transfer	2	
Edit report not checked	2	
Temporary staff not processed by HR	2	
Only overtime above five hours authorised	2	
Cash wages collected without identification	2	
No approved bonus parameters	2	
Drivers breaks not monitored	2	
Maximum		12
(d) **Substantive procedures for payroll expense**		
1 mark per well-described procedure	6	
Maximum		6
Total		30

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(a)

Method	Explanation	Disadvantages
Narrative notes	Narrative notes consist of a written description of the internal control system. They detail what occurs in the system at each stage including related controls which operate at each stage.	They may prove to be time-consuming and cumbersome if the internal control system is complex. It may make it more difficult to identify if any internal controls are missing in narrative notes.
Internal control questionnaires	Internal control questionnaires contain a list of questions for each major transaction cycle. They use questions designed to assess whether internal controls exist.	Internal controls may be overstated if the client is aware that the auditor is looking for a particular answer. Unusual controls may not be included on a standard questionnaire and hence may not be identified.

(b) **Direct controls and tests of control**

Direct control	Test of control
All staff members are issued with a sequentially numbered key card. Sequence checks and checks on the data recorded are carried out by the human resources (HR) supervisor. This ensures that payroll records are complete, that employees are paid for hours worked and that all hours are recorded.	For a sample of key cards and data recorded in the clocking-in system, carry out a sequence check to identify if there are any gaps in the sequence. Review details of checks carried out by the HR supervisor to identify any gaps in the sequence and check they have evidenced their review by way of signature.
The clocking-in process is monitored by a camera on entry to the distribution centre and video footage is reviewed by HR every week. This will prevent staff members fraudulently clocking-in for other employees and hence employees will only be paid for actual hours worked.	For a sample of weeks, review the log of the recordings to identify who reviewed that week's footage to ensure it has been reviewed by a member of the HR department. Review the log for any gaps in the review process and discuss these findings with HR.
The payroll clerk confirms the transfer of hours and calculations has been done accurately by recalculating, for a sample of employees, their gross to net pay. This check is also reviewed by the payroll supervisor who evidences their review. This reduces the risk that errors occur in the automated transfer and calculations during the payroll processing. Any errors would be identified on a timely basis to prevent salaries being over or under paid.	For a sample of months, review the calculations of gross to net pay for evidence that the calculations have been performed. Confirm the signature of the payroll supervisor as evidence that they have reviewed the report. For any anomalies, enquire of the reasons and what action was taken to resolve the issue. For a sample of months, reperform the gross to net pay calculations and compare to the payroll system and the calculations prepared by the payroll clerk. Discuss any discrepancies with the payroll supervisor.
The payroll system is password-protected and the payroll manager changes the password on a monthly basis using a random password generator. This reduces the risk of fraud by preventing unauthorised changes being made to the standing data and unauthorised access to sensitive payroll information.	Attempt to login to the payroll system using a password which should be out of date. Confirm that the system has rejected access.

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Direct control	Test of control
Each month, the finance director carries out a payroll control account reconciliation and investigates any differences. This will ensure the payroll expense and employment tax liability is accurate and is not misstated in the year-end financial statements.	For a sample of months, review the control account reconciliations and make enquiries of the finance director of any errors on the control account, how they arose and what action was taken to ensure they do not arise in the future. Reperform a sample of control account reconciliations and compare results with those prepared by the finance director. Discuss any discrepancies with the finance director.
The amount due to the tax authority is calculated by the payroll supervisor who then passes it to the financial controller for review. This ensures that the amount paid to the tax authority is correct. It also creates segregation of duties between the payroll supervisor calculating the liability and the financial controller reviewing the calculation which reduces the risk of error.	Review a sample of calculations of the monthly employment tax liability for evidence of review by the financial controller confirming the calculation is correct and that payment can be made.

(c) **Deficiencies and recommendations**

Control deficiency	Control recommendation
Department managers are required to approve all employees' holiday forms, however, this does not always occur. This could result in employees taking unauthorised leave which could lead to operational difficulties if there are shortages of staff at critical periods. In addition, payments for untaken holiday may be made in error as holiday records may be incorrect.	Employees should receive written confirmation when their holiday has been approved and should be informed that they will not be able to take holiday without this notification. Any payments for unused holiday should be authorised by department managers prior to payment.
The financial controller prepares the bank transfers for the payroll and also authorises these to be paid. This lack of segregation of duties increases the risk of fraud/error as the financial controller could pay themselves or certain employees more than they are due without this being detected.	Once the bank transfer has been prepared by the financial controller, it should be passed to the finance director to be reviewed and authorised for payment. The review and authorisation should be evidenced by the finance director.
The payroll clerk amends the payroll and an edit report of changes is produced but this report is not reviewed. As the edit report is not checked, errors made by the payroll clerk when updating the system will not be identified promptly. This may result in new employees not being paid at all, errors being made in payments to new employees or leavers being paid after they have left the company. This would lead to loss of employee goodwill and errors in accounting records for wages and salaries. It could also result in an increased risk of fraud as fictitious employees could be added by the payroll clerk.	The payroll supervisor or a member of the finance team should review all edit reports and agree changes made to the details on the joiner/leavers forms. Any discrepancies should be investigated promptly and the payroll system updated for any errors or omissions. The payroll supervisor should evidence their review on the edit report with their signature.

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Control deficiency	Control recommendation
The HR department is responsible for processing joiners and leavers, but due to staff illness, the operations manager has processed temporary new drivers and notified payroll. The operations manager may not carry out all the required procedures for processing temporary new drivers as the manager may not be using appropriate documentation. This could result in temporary employees not being set up in the payroll records correctly, resulting in the late payment of wages, incorrect statutory deductions being calculated and incomplete payroll records.	All staff appointments, including temporary staff, should only be processed by the HR department to ensure that correct procedures are followed. If it is not possible for the HR department to carry out all of the detailed processing due to staff shortages, a member of the HR team should review the leaver/joiner form and authorise it before it is sent to the payroll department. The payroll department should be notified not to accept any new joiner information unless approved by a member of HR.
Only overtime in excess of five hours per week needs authorisation by the operations manager. This means that employees could claim to have worked up to five hours overtime without authorisation resulting in payments being made to employees for hours not worked and additional payroll costs.	All overtime, including that below five hours, should be authorised by a responsible official before being processed in the payroll. This authorisation should be evidenced by way of signature.
Where cash wages are paid, the driver is only required to provide their name to collect their pay packet. Payment of wages without proof of identity or signature increases the risk that wages could be paid to incorrect employees either in error or due to fraud resulting in a loss of cash.	All drivers collecting cash pay packets should provide a form of identification to the finance staff member before the pay packet is handed to them. The driver should also be required to sign for their pay packet.
The operations manager decides on the bonus to be paid to delivery drivers each quarter and there are no approved parameters for the bonus levels. Without approved parameters, the operations manager may award excessive bonuses or pay additional sums to friends and family members resulting in additional payroll costs.	Approved bonus parameters should be established by the board. All bonuses should be determined by a senior official, such as the sales director, in line with these parameters, who should communicate the bonus in writing to the payroll department.
Delivery drivers must take breaks throughout the day which are not monitored. Drivers could take longer breaks than those authorised resulting in payments being made to employees for time not worked. Conversely, if drivers do not take the required breaks, they may be in breach of law and regulations which require drivers to take regular breaks, hence the company is at risk of fines.	The company should monitor the activity of the delivery drivers through electronic means, for example, by using tracking devices attached to their vehicles to ensure that the prescribed breaks are taken by the employees. Data should be downloaded and reviewed by a responsible official on a regular basis.

(d) **Substantive procedures on payroll expense**

- Cast a sample of payroll records to confirm completeness and accuracy and agree the total wages and salaries expense per the payroll system to the trial balance.
- Recalculate the gross and net pay figures for a sample of employees and agree to the payroll records.
- For a sample of wage payments, agree the total net pay per the payroll records to the bank transfer listing and to the cash book.
- Perform a proof in total of wages and salaries, incorporating joiners and leavers and the pay increase/bonuses. Compare this to the actual wages and salaries expense in the financial statements and investigate any significant differences.

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- Compare the total payroll figure this year to the prior year, identify any significant differences and discuss with management.
- Review monthly payroll charges, compare this to the prior year and budgets and discuss any significant differences with management.
- Calculate overtime costs as a percentage of total wages. Compare this to the prior year and discuss any significant differences with management.
- Agree a sample of individual wages and salaries per the payroll to personnel records and records of hours worked per the clocking-in system.
- Reperform the calculation of statutory deductions and agree to supporting documentation to confirm whether correct deductions for this year have been made in the payroll.
- Select a sample of joiners and leavers, agree their start/leaving date to supporting documentation, recalculate their first/last salary to ensure it is accurate.
- Recalculate holiday pay for a sample of employees and agree to holiday records and daily rate applied.
- Select a sample of employees from HR records and agree salaries per HR records to the payroll records to confirm the accuracy of the payroll expense.
- Agree the payroll control account reconciliation to accounting records and investigate any differences.

97 Bluesberry

Course Book references

Chapters 5 and 12.

Top tips

You should have been familiar with the purpose of a value for money audit in part (a) – just remember to focus on the **purpose** and not just provide a definition of a value for money audit.

The most important thing for (b)(i) is to understand the requirement. Don't be fazed by the fact you are asked for strengths instead of weaknesses or deficiencies. The scenario actually gives examples of problems that have been solved by certain procedures, so you should have recognised that these were strengths (for example the overtime scheme has seen reliance on expensive temporary staff reduced). As you were pulling out the strengths in the operating environment you could also have been considering the areas for improvement to help in answering part (b)(ii). In fact a good approach would have been to lay out your answer so that you could answer (b)(i) and (b)(ii) together.

Part (c) depends on you knowing your assertions so you can stay focused on the relevant substantive procedures. For each assertion ask yourself, what am I trying to prove with this procedure? For example, with completeness you are trying to prove no material items are missing from non-current assets. You therefore need to suggest procedures that might highlight missing assets.

Easy marks

Parts (a) and (c) were more straightforward than (b).

ACCA Examining team comments

Candidates performed satisfactorily on part (a) of the question.

Part (b) required identification and explanation of four strengths within the hospital's operating environment and a description of an improvement to provide best value for money for the hospital. Candidates performed well in the explanations of the strengths within Bluesberry, with many scoring full marks. Where candidates failed to score well this was due to a failure to explain their strengths. The requirement was to 'identify and explain'; where a strength was identified then ½ mark was available, and another 1 mark was available for a clear explanation

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of each strength. In addition, a significant minority misread the question requirement and identified weaknesses rather than strengths.

The second part of this question required improvements to the strengths identified. Performance on this question was adequate. The majority of candidates attempted this part of the question, and were able to identify a few relevant points. However, answers were often too vague or unrealistic.

Candidates' performance was mixed for part (c), with many confusing their assertions. It was common to have existence tests provided for completeness. In addition, too many answers were vague; candidates are still giving substantive procedures such as 'check the invoices'.

Marking guide **Marks**

(a) Up to 1 mark per valid point

Explanation of value for money audit	1
Economy – description	1
Efficiency – description	1
Effectiveness – description	1
Maximum	4

(b) **Strengths and Improvements** (only 4 required)

Internal audit department

Centralised buying department buys from lowest cost supplier

Authorisation of all purchase orders by purchasing director

Reduction in use of temporary staff

Employee clocking in cards to monitor hours worked

New surgical equipment leading to better recovery rates

Capital expenditure committee

(i) 0.5 marks for identification of strength and up to 1 mark for explanation of each well-explained strength.

If not well-explained 0.5 marks for each, but overall maximum of 4 strengths.

Maximum 6

(ii) Up to 1 mark per improvement

Maximum 4

(c) Up to 1 mark per well-explained procedure

(i) **Valuation**

Review depreciation policies for reasonableness	1
Recalculate the depreciation charge	1
Proof in total calculation of depreciation	1
For revalued assets, consider reasonableness of valuer	1
For revalued assets, agree the revalued amounts to valuation report	1
Surgical equipment additions – vouch the cost to invoice	1

(ii) **Completeness**

Reconcile PPE schedule to general ledger	1
Physical inspection of assets	1

ANSWERS

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Marking guide	Marks
Reconciliation of non-current assets register to the general ledger	1
Review the repairs and maintenance expense account	1
(iii) **Rights and obligations:**	
Verify ownership of property via inspection of title deeds	1
Additions agree to purchase invoices to verify invoice relates to entity	1
Review any new lease agreements	1
Inspect vehicle registration documents	1
	6
Total	20

(a)

Word Processor

Paragraph

Purpose of a value for money (VFM) audit

VFM focuses on the best combination of services for the lowest level of resources. The purpose of a VFM audit is to examine the **economy**, **efficiency** and **effectiveness** of the activity or process in question.

- **Economy**: attaining the appropriate quantity and quality of physical, human and financial resources (inputs) at lowest cost
- **Efficiency**: the relationship between goods or services produced (outputs) and the resources used to produce them
- **Effectiveness**: concerned with how well an activity is achieving its policy objectives or other intended effects

(b) (i) **Strength**

- The buying department researches the lowest price from suppliers before raising a purchase order. This helps with economy of the process, attaining resources at the lowest cost.
- Overtime rates have been increased and this has incentivised staff to fill staffing gaps. As a result the hospital has saved money by decreasing the level of expensive temporary staff. Additionally, the permanent staff may be more effective as they are familiar with the hospital's systems and the level of patient care expected at Bluesberry.
- The hospital has implemented time card clocking in to ensure employees are only paid for those hours worked. It also provides a means for recording hours worked which is valuable management information. Before this there would have been no definitive record of actual hours worked.
- A capital expenditure committee of senior managers has been set up to authorise significant capital expenditure items. This will help prevent cash outflows for unnecessary assets, or assets not budgeted for.

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(ii)

Strength (i)	Improvement (ii)
The buying department researches the lowest price from suppliers before raising a purchase order. This helps with economy of the process, attaining resources at the lowest cost.	In order to also ensure the goods are of the required quality, an approved list of suppliers could be built up, with purchases only being permitted from those suppliers on the list.
Overtime rates have been increased and this has incentivised staff to fill staffing gaps. As a result the hospital has saved money by decreasing the level of expensive temporary staff. Additionally, the permanent staff may be more effective as they are familiar with the hospital's systems and the level of patient care expected at Bluesberry.	The increased hours will affect overall efficiency given that the same staff are now carrying out extended shifts, as overtime rates are higher than basic rates, even though overtime cost appears to be lower than temporary staff. There is also an increased risk of mistakes due to tiredness which could have adverse effects on the reputation of the hospital. Ideally the hospital should recruit enough permanent staff of the required level to fill shifts without then working overtime.
The hospital has implemented time card clocking in to ensure employees are only paid for those hours worked. It also provides a means for recording hours worked which is valuable management information. Before this there would have been no definitive record of actual hours worked.	The system appears to allow payable overtime to accumulate simply because an employee clocks out late, even if there is no staff gap to fill. The system should be set to automatically clock out after the normal number of shift hours. Staff will then need to clock back in for their overtime if they have an authorised shift. Overtime hours each month should be reviewed by the department head for consistency with agreed extra shifts.
A capital expenditure committee of senior managers has been set up to authorise significant capital expenditure items. This will help prevent cash outflows for unnecessary assets, or assets not budgeted for.	In a hospital there will be very expensive equipment purchases, such as the recently acquired new surgical equipment. It is better that these are authorised at board level rather than by senior managers. An authorisation policy should be drawn up setting out the different levels of authorisation needed (the highest being at board level) depending on the amount of expenditure for capital items.

Tutorial note. You were only asked for four strengths and related improvements. Others you may have come up are as follows.

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Strength (i)	Improvement (ii)
The hospital has an internal audit department monitoring the internal control environment and advising on value for money.	The remit of internal audit could be extended to advising on implementation.
Orders are authorised by a purchasing director to help ensure expenditure incurred is necessary expenditure.	The volume of forms (200 per day) will no doubt take valuable time away from the director which could be used on more pressing matters. Orders below a certain monetary level should be authorised by the next level (down) of management. Orders over the specified monetary value should still be reserved for purchase director authorisation.
New surgical equipment purchased has improved the rate of operations and patient recovery rates. This is an improvement in the effectiveness of the hospital.	The equipment is not used as efficiently as it could be due to lack of trained medical staff. The hospital should look at providing targeted training for existing medical staff and look to recruit staff that have the appropriate skills.

(c) **Substantive procedures – property, plant and equipment (non-current assets)**

(i) **Valuation**

- Review depreciation rates applied in relation to asset lives, past experience of profits and losses on disposals, and consistency with prior years and disclosed accounting policies.
- If assets have been revalued, consider:
  - Experience and independence of valuer
  - Scope of the valuer's work
  - Methods and assumptions used
  - Whether valuation bases are in line with IFRS Accounting Standards

(ii) **Completeness**

- Compare non-current assets in the general ledger with the non-current assets register and obtain explanations for differences.
- For a sample of assets which physically exist agree that they are recorded in the non-current asset register.

(iii) **Rights and obligations**

- Verify title to land and buildings by inspection of:
  - Title deeds
  - Land registry certificates
  - Leases
- Examine documents of title for other assets (including purchase invoices, contracts, hire purchase or lease agreements).

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Tutorial note. Only two substantive procedures were needed for each assertion. You may have come up with alternative procedures including.

Valuation

- Recalculate the depreciation charge for a sample of assets and agree the charges to the asset register
- Perform a depreciation proof in total taking into account timing of additions/disposals and investigate any differences
- Agree the cost of a sample of additions of surgical equipment to purchase invoices

Completeness

- Reconcile the schedule of non-current assets with the general ledger
- Review the repairs and maintenance expense account in the SOCI for capital items

Rights and obligations

- Review new lease agreements to ensure properly classified as a lease in accordance with IFRS 16 *Leases*
- Inspect vehicle registration documents (eg ambulances) to confirm ownership of motor vehicles

98 Snowdon

Course Book reference

Chapters 9, 10, 12 and 15.

Top tips

This was a reasonable question on internal controls and began, in part (a), with a theoretical requirement on significant deficiencies. This part of the question was not entirely straightforward and many of the points listed in the answer may seem strange, particularly if you were not familiar with the requirements of ISAs in this area. If you struggled then you will need to ensure that you are able to cope with this kind of requirement in your exam.

Part (b), on direct controls and tests of controls, was scenario-focused and to score well here you needed to make sure that you developed your points sufficiently to get the marks on offer.

Part (c) was again based on the scenario and is typical of the way this area is likely to be examined.

Easy marks

Part (a) was considered by the ACCA examining team to be easy but may not have been – so you would have to have scored well in parts (b) and (c) to make up for this.

Marking guide	Marks
(a) **Significant deficiencies**	
Likelihood of leading to material misstatement	1
Susceptibility to loss or fraud	1
Subjectivity and complexity of amounts	1
Amount exposed to deficiency	1
Volume of activity	1
Importance to financial reporting process	1
Cause and frequency of exceptions	1

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Marking guide	Marks	
Interaction with other deficiencies	1	
Maximum		4
(b) **Direct controls and tests of control** (only 3 required)		
Capital expenditure classification	2	
HR department/payroll department	2	
Processing new joiners	2	
Bank reconciliations	2	
Maximum		6
(c) **Control deficiencies and recommendations** (only 5 required)		
IA staff shortages	2	
Capital expenditure over budget	2	
Physical verification of assets	2	
Amendment of standing data	2	
Changes made in payroll records	2	
Credit limits not reviewed	2	
Invoices only chased after 90 days	2	
Maximum		10
Total		20

(a) **Significant deficiencies**

Examples of matters the external auditor may consider in determining whether a deficiency in internal controls is significant include:

- The likelihood of the deficiencies leading to material misstatements in the financial statements in the future.
- The susceptibility to loss or fraud of the related asset or liability.
- The subjectivity and complexity of determining estimated amounts.
- The financial statement amounts exposed to the deficiencies.
- The volume of activity that has occurred or could occur in the account balance or class of transactions exposed to the deficiency or deficiencies.
- The importance of the controls to the financial reporting process.
- The cause and frequency of the exceptions detected as a result of the deficiencies in the controls.
- The interaction of the deficiency with other deficiencies in internal control.

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(b) **Direct controls and tests of control**

Direct control	Test of control
Capital expenditure purchase orders are classified by the finance department between capital and revenue using guidelines established by the finance director, this is noted on the purchase order. The finance director also sample checks the classification is correctly applied. The use of finance department guidelines and sample checks by the finance director should reduce the risk of an incorrect assessment and of understated/overstated profits, assets and incorrect depreciation charges.	Select a sample of capital expenditure purchase orders and review evidence of the classification being noted. For a sample of orders compare the classification noted with the finance director's guidelines to assess whether the classification was correctly undertaken. Review purchase orders for evidence of the finance director's sample checks for example, by signature.
Snowdon Co has a separate human resources (HR) department, which is responsible for setting up all new employees. Having a segregation of roles between HR and payroll departments reduces the risk of fictitious employees being set up and also being paid.	Review the job descriptions of payroll and HR to confirm the split of responsibilities with regards to setting up new joiners. Discuss with members of the payroll department the process for setting up new joiners and agree new joiners to documentation initiated by HR.
Pre-printed forms are completed by HR for new employees, and includes assignment of a unique employee number, and once verified a copy is sent to the payroll department. The payroll system is unable to process new joiners without the inclusion of the employee's unique number. As payroll is unable to set up new joiners without the forms and employee number it reduces the risk of fictitious employees being set up by payroll.	Select a sample of new employees added to the payroll during the year, review the joiner forms for evidence of completion and the allocation of a unique employee number which was received by payroll prior to being added to the system. Select a sample of edit reports for changes to payroll during the year; agree a sample of new employees added to payroll to the joiner's forms. Attempt to add a new joiner to the payroll system without a unique employee number, the system should reject this addition.
The cashier reconciles the bank statements to the cash book monthly and this reconciliation is reviewed and investigated by the financial controller, who evidences his review by way of signature on the bank reconciliation. The bank reconciliation is a direct control which reduces the risk of fraud. Monthly review and investigation ensure that fraud and errors are identified on a timely basis.	Review the file of bank reconciliations to confirm that there is one for each month. Inspect a sample of monthly bank reconciliations for evidence of investigation and review by the financial controller. For a sample of months reperform the bank reconciliation and where differences have occurred discuss and investigate these with the financial controller.

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(c) **Control deficiencies and recommendations**

Control deficiency	Control recommendation
Snowdon Co has experienced significant staff shortages within its internal audit (IA) department, and the department is currently under-resourced. This has resulted in a reduction in their programme of work for the year. Maintaining an IA department is an important control as it enables senior management to test whether controls are operating effectively within the company. If the team has staff shortages, this reduces the effectiveness of this monitoring control.	Senior management should consider recruiting additional employees to join the IA department or outsourcing the IA function. In the interim, employees from other departments, such as finance, could be seconded to IA to assist them with audits. It must be ensured that these reviews do not cover controls operating in the department in which the employees normally work.
Some departments have already significantly exceeded their annual capital expenditure budgets. It appears that purchase orders for capital expenditure are being placed without being agreed back to annual capital budgets, resulting in overspends. The increased expenditure may be due to increased levels of services being provided, or it could be due to a lack of control over the capital expenditure process, resulting in increased costs and reduced profits.	The company's monthly management accounts should include an analysis of capital expenditure against budget and prior year per department. Each department head should include narrative which explains the significant variances to date. Capital purchase orders should be compared to the annual department budgets as part of the authorisation process. Any spend in excess of the budget should be referred for authorisation to the finance director.
The IA department undertakes physical verification of assets each year for the four largest centres as well as five of the other centres, randomly selected. The company has 45 centres as well as a head office and warehouse, hence if each year the four largest sites are visited this can result in the other sites only being visited every eight years. If the non-current assets register is not physically verified on a regular basis, there is an increased risk of assets being misappropriated as there is no check that the assets still exist in their correct location. In addition, obsolete assets will not be identified on a timely basis.	IA should review its programme of visits to assess if additional resources could be devoted to ensuring that all sites are visited over a shorter period, for example, five years. This would ensure that physical verification of all assets could be completed more regularly. For sites visited any assets which cannot be located should be investigated fully. If it cannot be located, then it should be written off. Each centre should submit a list of assets with serial numbers to IA, who should compare these to the PPE register. Those sites with significant variations should be prioritised for a site visit by IA.
All members of the payroll department can amend employees' standing data in the payroll system as they have access to the password. As all members of payroll can amend standing data this may result in errors or unauthorised changes being made, leading to incorrect payment of wages and increased risk of fraud.	The password to amend standing data should be changed and only communicated to senior members of the payroll department. If all members of payroll need the ability to amend standing data, the system should be changed to require authorisation of all changes by a senior member of payroll. Edit reports should be generated for all standing data changes with clear reference to who made the change and who authorised it. These edit reports should be regularly reviewed by a responsible official and they should evidence this review with a signature.

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Control deficiency	Control recommendation
The senior payroll manager reviews the bank transfer listing prior to authorising the payments and if any discrepancies are noted, always makes the adjustment in the payroll records for any changes required. Discrepancies may arise due to the payroll records or the bank transfer listing being incorrect. Assuming the discrepancies are always in the payroll records may result in incorrect records may result in incorrect amendments being made to payroll or incorrect amounts paid to employees. In addition, there is a lack of segregation of duties as it is the payroll team which processes the amounts and the senior payroll manager who authorises payments. The senior manager could fraudulently increase or incorrectly amend the amounts to be paid to certain employees, process this payment as well as amend the records.	The senior payroll manager should not be able to process changes to the payroll system as well as authorise payments. Discrepancies should be thoroughly investigated, and adjustments made in the relevant record as required. The authorisation of the bank transfer listing should be undertaken by an individual outside the payroll department, such as the finance director.
After passing a credit check a credit limit is set for all new customers by the sales director, but these credit limits are not reviewed after this unless a review is requested by the customer. If credit limits are not reviewed regularly, they could be out of date, resulting in limits being too high and sales being made to poor credit risks or too low and Snowdon Co losing potential revenue.	Credit limits should continue to be set by the sales director; however, these limits should be reviewed and amended as appropriate on a regular basis by a responsible official.
Client services managers are given responsibility to chase customers directly for payment once an invoice is outstanding for 90 days. This is considerably in excess of the company's credit terms of 30 days which will lead to poor cash flow. Further, client services managers are more likely to focus on customer relationships and generating further revenues rather than chasing payments. This could result in an increase in irrecoverable balances and reduced profit and cash flows.	A credit controller should be appointed, and it should be their role, rather than the client services managers, to chase any outstanding sales invoices which are more than 30 days old.

99 Swift Co

Course Book references

Chapters 9 and 10.

Top tips

This is a 20-mark question on controls and tests of controls in relation to payroll and the purchases system.

Part (a) tested your knowledge of the methods for documenting systems of internal control. These were among the easiest marks on the exam, so you should have been aiming to score well here.

Part (b) was the core of this question, consisting of 14 marks for direct controls and tests of controls. The marks divide themselves in to seven points in each column; there are more than

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seven points in the scenario so you should not have been short of ideas for your answer here. As ever, you should highlight relevant parts of the scenario as you read through it, trying to look behind the information given in order to generate tests of control.

Easy marks

You should be able to get easy marks in part (a) on methods of documenting systems of internal control.

Marking guide	Marks
(a) **Methods of documenting internal controls**	
Narrative notes	2
Flowcharts	2
Questionnaires	2
Maximum	6
(b) **Direct controls and test of controls** (only 7 required)	
Segregation of duties – HR and payroll	2
Unique employee number to process joiners	2
Review of exception report	2
Recalculation of gross to net pay	2
Authorisation of purchase orders	2
Goods agreed to purchase order/quality/quantity	2
Control totals used for invoice input	2
Supplier statement reconciliations	2
Authorisation of bank transfer list	2
Maximum	14
Total	20

(a)

	Description	Advantage
Narrative notes	Narrative notes consist of a written description of the system. They detail what occurs in the system at each stage and include details of any controls which operate at each stage.	They are simple to record; after discussion with staff members, these discussions are easily written up as notes. They can facilitate understanding by all members of the audit team, especially more junior members who might find alternative methods too complex.
Flowcharts	Flowcharts are a diagrammatic illustration of the internal control system. Lines usually demonstrate the sequence of events and standard symbols are used to signify controls or documents.	With flowcharts it is easy to view the system in its entirety as it is all presented together in one diagram. Due to the use of standard symbols for controls, it can be effective in identifying missing controls.

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	Description	Advantage
Questionnaires	Internal control questionnaires (ICQs) or internal control evaluation questionnaires (ICEQs) contain a list of questions for each major transaction cycle; ICQs are used to assess whether controls exist whereas ICEQs assess the effectiveness of the controls in place.	Questionnaires are quick to prepare, which means they are a timely method for recording the system. If drafted thoroughly they ensure that all controls present within the system are considered and recorded, hence missing controls or deficiencies are clearly highlighted by the audit team.

(b) **Direct controls and tests of control**

Direct control	Test of control
Swift Co has a separate human resources (HR) department, which is responsible for setting up all new employees. Having a segregation of roles between HR and payroll departments reduces the risk of fictitious employees being set up and also being paid.	Review the job descriptions of payroll and HR to confirm the split of responsibilities with regards to setting up new joiners. Discuss with members of the payroll department the process for setting up new joiners and agree new joiners to documentation initiated by HR.
All new employees are assigned a unique employee number by HR. The payroll system is unable to process new joiners without the inclusion of the unique employee number. As payroll staff are unable to set up new joiners without the employee number from the joiner form it reduces the risk of fictitious employees being set up by payroll.	Attempt to add a new joiner to the payroll system without a unique employee number, the system should reject this addition.
On a monthly basis an exception report of changes to payroll standing data is produced and reviewed by the payroll manager. This ensures that any unauthorised amendments to standing data are identified and investigated on a timely basis so that the data used when the payroll is run is valid and accurate	Select a sample of monthly exception reports and review for evidence of review and follow up of any unexpected changes by the payroll manager.
The payroll supervisor selects a sample of payslips and recalculates the gross to net pay calculations, compares the results to the output from the payroll system and investigates any discrepancies. This reduces the risk that the automated system generates errors during the payroll processing. Any errors would be identified on a timely basis to prevent wages being over or under paid.	Review the monthly payslips sampled by the payroll supervisor for their signature for evidence the review of calculations has been undertaken. For a sample of monthly payrolls reperform the gross to net pay calculation and compare to the payroll system, discuss any discrepancies with the payroll supervisor.
Purchase orders up to $5,000 are authorised by the purchasing manager and above $5,000 by the purchasing director. This ensures that goods are only purchased which are required by Swift Co and relate to genuine business expenses.	Select a sample of purchase orders and review for evidence of authorisation in accordance with authorisation limits. Agree this to the appropriate signature on the approved signatories list.

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Direct control	Test of control
The warehouse department agrees the receipt of goods from suppliers to a copy of the purchase order and confirms the quantity and quality of the goods received and signs the goods received notes (GRNs) to evidence the checks. This ensures that Swift Co is not recording liabilities and subsequently paying for the receipt of inferior quality goods or for goods it did not order.	During the interim audit observe the warehouse department when receiving goods to understand the level of checks being undertaken. Review a sample of GRNs held in the warehouse department for signature, as evidence of checks being undertaken on receipt of goods.
Purchase invoices are entered into the detailed purchases listing in batches, utilising control totals. Utilising control totals ensures both completeness and accuracy over the input of purchase invoices. If the invoices are not all input completely and accurately payables may be misstated.	Select a sample of control total sheets and review for evidence of control totals being utilised and the clerk's signature.
Supplier statement reconciliations are undertaken on a monthly basis and these are reviewed by the financial controller. This ensures that any errors in the recording of purchases and payables are identified and corrected in a timely manner and therefore that payables are complete and accurate.	Review the file (whether paper or electronic) of reconciliations to ensure that they are being performed on a regular basis and that they have been reviewed by a responsible official. Re-perform a sample of the reconciliations to ensure that they have been carried out appropriately and discrepancies investigated.
The finance director authorises the bank transfer payment list for suppliers after agreeing the amounts to be paid to supporting documentation and reviewing for any duplicate payments. This reduces the risk that suppliers could be being paid an incorrect amount, or that sums are being paid to fictitious suppliers.	Review the payments list for evidence of review by the finance director. Enquire of accounts staff what supporting documentation the finance director requests when undertaking this review.

100 Amberjack

Course Book references

Chapters 9 and 10.

Top tips

Part (a) tested your knowledge of what a control objective is, but it is crucial that you apply this knowledge to the sales and despatch system of Amberjack Co. For part (b) you should have practised lots of these questions as they are very popular in the exam. Make sure you used the information in the scenario to generate ideas of both control deficiencies and recommendations. Think practically!

Easy marks

There were easy marks for setting out your covering letter sensibly; if you were unsure how this should be formatted then review this aspect of the solution carefully.

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Marking guide

		Marks
(a)	**Control objectives for sales and dispatch system**	
	Orders only accepted if goods are available	1
	All orders are recorded completely and accurately	1
	Goods are not supplied to poor credit risks	1
	Goods are dispatched for all orders	1
	Quantity and quality of goods dispatched appropriate	1
	All goods dispatched are invoiced for correctly	1
	Completeness of income for goods dispatched	1
	Sales discounts are only given during valid period	1
	Maximum	4
(b)	**Control deficiencies and recommendations** (only 7 required with 2 marks available for covering letter)	
	Customer credit limits	2
	Customer master data not reviewed	2
	Credit controller not replaced	2
	Goods dispatch notes (GDNs) not sequentially numbered	2
	Insufficient copies of GDN	2
	Sales invoice processing	2
	Manual recording of discounts	2
	Customer statements no longer raised	2
	Receivables ledger control account only reconciled annually	2
	Covering letter	2
	Maximum	16
Total		20

(a) **Control objectives for sales and dispatch system**

- To ensure that orders are only accepted if goods are available to be processed for customers.
- To ensure that all orders are recorded completely and accurately.
- To ensure that goods are not supplied to poor credit risks.
- To ensure that goods are dispatched for all orders on a timely basis.
- To ensure that the correct quantity of goods are dispatched and they are of an adequate quality.
- To ensure that all goods dispatched are correctly invoiced at authorised prices.
- To ensure completeness of income for goods dispatched.
- To ensure that sales discounts are only provided during the valid period.

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(b)

Word Processor

Report to management

Board of directors
Amberjack Co
21 Under the Sea
Shorelife City
Shark Country

1 July 20X5

Dear Sirs,

Audit of Amberjack Co for the year ended 30 April 20X5

Please find enclosed the report to management on deficiencies in internal controls identified during the audit for the year ended 30 April 20X5. The appendix to this report considers deficiencies in the sales and dispatch system and recommendations to address those deficiencies.

Please note that this report only addresses the deficiencies identified during the audit and if further testing had been performed, then more deficiencies may have been reported.

This report is solely for the use of management and if you have any further questions, then please do not hesitate to contact us.

Yours faithfully,

An audit firm

Appendix

Control deficiency	Control recommendation
Customer credit limits are set by receivables ledger clerks. Receivables ledger clerks are not sufficiently senior and so may set limits too high, leading to irrecoverable debts, or too low, leading to a loss of sales.	Credit limits should be set by a senior member of the receivables ledger department and not by receivables ledger clerks. These limits should be regularly reviewed by a responsible official.
Receivables ledger clerks record new customer details and credit limits in the customer master data file and these changes are not reviewed. There is a risk that customers could be set up incorrectly resulting in a loss of customer goodwill and sales revenue. In addition, the receivables ledger clerks are not senior enough to be given access to making changes to master file data as this could increase the risk of fraud.	Receivables ledger clerks should not be able to access the master data file to add new customer or make amendments. Any such additions/amendments to master file data should be restricted so that only supervisors and above can make changes. An exception report of changes made should be generated and reviewed by a responsible official.

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Control deficiency	Control recommendation
Amberjack Co's credit controller is currently on secondment for six months to the internal audit department and has not been replaced. During this period, it does not appear that anyone else has been responsible for monitoring ageing receivables. This could result in an increased risk of irrecoverable debts and lead to customers not paying their outstanding balances on time, or at all, leading to reduced cash flows.	During the period of the secondment, an alternative member of the finance department should be trained in the credit control role and assigned responsibility for reviewing the aged receivables listing and following up on any overdue customers.
Goods dispatch notes (GDN) are allocated the same number as the order number to which they relate. The sales invoices are only raised on receipt of a GDN, and without separate sequential numbers, it is difficult for Amberjack Co to identify if any GDNs are missing as they are not likely to be raised in the same sequence as the sales orders. If GDNs are missing and the company fails to raise invoices in a timely manner, this could lead to a loss of revenue.	GDNs should all be sequentially numbered using a sequence which is different to the order number. On a regular basis, a sequence check of GDNs should be undertaken to identify any missing dispatch notes.
Once orders are processed, copies of GDNs are sent to the finance department, customer and remain in the warehouse. However, the sales order department of Amberjack Co does not receive a copy of the GDN. If the sales order department does not receive a copy of the completed GDNs, they are not able to monitor if orders are being fulfilled on a timely basis. This could result in a loss of revenue and customer goodwill.	The GDN should be amended so that one copy is sent to the sales order department. Once the copy of the GDN has been received by the order department, it should be matched to the order. A regular review of unmatched orders should be undertaken by the sales order department to identify any unfulfilled orders.
Additional staff has been drafted in to help the sales clerks raise the sales invoices. As the extra staff will not be as experienced as the sales clerks, there is an increased risk of mistakes being made in the sales invoices. This could result in customers being under or overcharged leading to misstated revenue or dissatisfied customers.	Only the sales clerks should be able to raise sales invoices. As Amberjack Co is expanding, consideration should be given to recruiting and training more permanent sales clerks who can produce sales invoices. If this is not currently possible, temporary staff should be adequately trained and additional input checks on invoices should be introduced.

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Control deficiency	Control recommendation
Discounts given to customers who purchased goods during the 10% off weekend are manually entered by sales clerks when generating the invoices. This could result in unauthorised sales discounts being given as there does not seem to be any authorisation required. In addition, a clerk could forget to manually enter the discount or enter an incorrect level of discount for a customer, leading to the sales invoice being overstated and a loss of customer goodwill. Unauthorised discounts in excess of 10% would result in a loss of revenue, either due to error or fraud.	During the period of any special offers, such as the 10% off weekend, the authorised sales prices file should be updated by a responsible official. These changes should be reviewed for any input errors, this review should be evidenced. The invoicing system should confirm that orders were placed during the discount weekend. Hence the sales invoices for these periods should automatically contain the reduced prices. The invoicing system should be amended to prevent sales clerks from being able to manually enter sales discounts when raising invoices.
Customer statements are no longer being generated and sent to customers. If statements are not sent regularly, this increases the likelihood of errors and any disputed invoices not being quickly identified and resolved by Amberjack Co. This could lead to cash flow issues.	Amberjack Co should generate monthly customer statements for all customers and send or email them out promptly. Ideally this would be an automated monthly email routine attaching statements based on outstanding invoices per the receivables ledger.
The receivables ledger control account is only reconciled at the end of April in order to verify the year-end balance. If the receivables ledger is only reconciled annually, there is a risk that errors will not be spotted promptly and receivables may be misstated.	The receivables ledger control account should be reconciled on a monthly basis to identify any errors which should be investigated and corrected. The reconciliations should be reviewed by a responsible official and they should evidence their review by way of physical or electronic signature.

101 Raspberry Co

Course Book references

Chapters 5, 10 and 16.

Top tips

In part (a), it was important that you stuck to the number of controls required (five). The ten available marks divide themselves into five for part (i) and five for part (ii). Notice that (a)(i) asks you to identify and explain the controls – there is half a mark available for each of these things (ie half for identifying and half for explaining). Your answer must therefore contain the right level of detail to get both of them and so you should extract the information from the scenario to identify the control and then explain the benefit of the control to Raspberry Co.

As with (a), so with (b) – the requirement is to 'identify and explain' each deficiency, which suggests that your answer could be structured as two sentences / paragraphs within the left column, the first of which says what is happening (identifying the problem), and the second of which says why this is a problem (or why it is wrong). You must also make a practical

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recommendation to address the deficiency, this should be clearly explained with sufficient detail to know what specific action to take to solve the problem.

Part (c) was fairly knowledge-based, and was a matter of recalling the possible assignments for internal audit, and then thinking about how they might apply to Raspberry Co.

Part (d) required you to suggest substantive procedures. It was therefore critical that you did not suggest tests of control here, which would not garner any marks.

Easy marks

Part (c) was knowledge-based and should have been within your reach.

ACCA Examining team comments

This 30-mark question was based on Raspberry Co, a company which operates an electric power station. This question tested candidates' knowledge of direct controls and control deficiencies, recommendations and tests of control, internal audit departments, and, substantive procedures for accruals.

Part (a) for 10 marks required candidates to identify and explain from the scenario five direct controls in respect of the payroll system described which the auditor may seek to place reliance on, and, describe a test of control the auditor should perform to assess if each of the direct controls is operating effectively. Candidates' performance on this requirement was disappointing.

In common with previous exams, candidates continue to find tests of control challenging. Many candidates confused substantive procedures for tests of control and tests were often vague or incomplete.

Part (b) for 10 marks, required candidates to identify and explain from the scenario five deficiencies in respect of the payroll system and provide a recommendation to address each of these deficiencies. Many candidates performed well in this requirement. The scenario in the exam contained more issues than were required to be discussed and it was pleasing that many candidates identified the required number of issues noted in the question.

Many candidates were able to provide good recommendations to address the deficiencies identified. However, some of the recommendations were not described in enough detail.

Internal controls questions remain a highly examinable area and future candidates need to ensure that they have undertaken adequate question practice.

Part (c) for five marks required candidates to describe assignments the internal audit department of Raspberry Co would carry out. Up to 1 mark was awarded for each well described point. Performance was mixed.

Common misunderstandings by a number of candidates were 'the internal auditor prepares the financial statements' and 'internal auditors implement the controls'.

Some candidates described the differences between internal and external audit, which was not the purpose of the requirement.

In addition, some candidates described assignments, which would not be relevant to an electric power station client, for example 'internal auditors undertaking mystery shopping'. This is principally a knowledge area, which has been tested in previous exams.

Part (d) for five marks required candidates to describe substantive procedures the auditor should perform to confirm the year-end accrual for tax payable on employment income.

The substantive procedures were often vague, for example 'agree payment' rather than 'agree to the post year-end cashbook'. Candidates are once again reminded that a well described substantive procedure will clearly detail the source of the evidence.

In addition, many candidates did not focus on the year-end accrual and noted general substantive procedures for tax, which did not gain credit.

Candidates are reminded to read the question requirement carefully and to ensure that they are not only answering the question set but also fully describing each substantive procedure.

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Marking guide		Marks
(a) **Direct controls and tests of control** (only 5 controls required)		
Separate HR department set up employees	2	
Pre-printed joiners forms	2	
Data processing checks on bonus information	2	
Use of clock cards and process supervised	2	
Direct transfer between clock card and payroll systems	2	
Exception reports for changes to payroll data	2	
Security process over cash	2	
SOD over pay packets	2	
Maximum		10
(b) **Control deficiencies, and control recommendations** (only 5 required)		
Production bonus set by supervisor	2	
No independent checks on wage calculations	2	
No monitoring of student loan payments	2	
Holiday requests not always authorised	2	
Lack of SOD in payroll department	2	
Pay packets not delivered by independent staff/no evidence of distribution	2	
Monthly management accounts not analysed	2	
Maximum		10
(c) **Internal audit assignments**		
Value for money	1	
Financial/operational review	1	
Monitoring assets	1	
Regulatory compliance	1	
IT systems	1	
Cash controls	1	
Fraud investigation	1	
Maximum		5
(d) **Substantive procedures – tax payable accrual**		
Compare to prior year and investigate differences	1	
Agree to TB and payroll records	1	
Reperform accrual calculation and discuss with management	1	
Agree subsequent payment to cash book and bank statement	1	
Review correspondence with tax authorities	1	
Review disclosures	1	
Maximum		5
Total		30

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(a) **Direct controls and tests of control**

Direct control	Test of control
Raspberry Co has a separate human resources (HR) department which is responsible for setting up all new employees. Having a segregation of roles between human resources and payroll departments reduces the risk of fictitious employees being set up and also being paid. Pre-printed forms are completed by HR for all new employees, and includes assignment of a unique employee number, and once verified, a copy is sent to the payroll department. Payroll is unable to set up new joiners without information from these forms. The use of pre-printed forms ensures that all relevant information, such as tax IDs, is obtained about employees prior to set up. This minimises the risk of incorrect wage and tax payments. In addition, as payroll is unable to set up new joiners without the forms and employee number, it reduces the risk of fictitious employees being set up by payroll.	Review the job descriptions of payroll and HR to confirm the split of responsibilities with regards to setting up new joiners. Discuss with members of the payroll department the process for setting up new joiners and for confirmation that the process is initiated by HR. Select a sample of new employees added to the payroll during the year, review the joiner forms for evidence of completion of all parts and that the information was verified as accurate and was received by payroll prior to being added to the system. Select a sample of edit reports for changes to payroll during the year; agree a sample of new employees added to payroll to the joiners forms.
The quarterly production bonus is input by a clerk into the payroll system, each entry is checked by a senior clerk for input errors prior to processing, and they evidence their review via signature. This reduces the risk of input errors resulting in over/underpayment of the bonus to employees. Production employees are issued with clock cards and are required to swipe their cards at the beginning and end of their shift, this process is supervised by security staff 24 hours a day. This ensures that genuine employees are only paid for the work actually done, and reduces the risk of employees being paid but not completing their eight-hour shift. In addition, due to the supervision it is unlikely that one employee could swipe in others.	If attending Raspberry Co at the time of bonus processing, observe the clerk inputting and senior clerk checking the bonus payments into the payroll system. In addition, obtain listings of quarterly bonus payments and review for evidence of signature by the senior clerk who checks for input errors. Observe the use of clock cards by employees when entering the power station. Confirm the security team is supervising the process and following up on discrepancies through discussions with the security staff.
The clock card information identifies the employee number and links into the hours worked report produced by the payroll system. As the hours worked are automatically transferred into the payroll system, this reduces the risk of input errors in entering hours to be paid in calculating payroll, ensuring that employees are paid the correct amount. On a quarterly basis, exception reports of changes to payroll standing data are produced and reviewed by the payroll director. This ensures that any unauthorised amendments to standing data are identified and resolved on a timely basis. For production employees paid in cash, cash is received weekly from the bank by a security company. It is likely the sum of money required to pay over 175 employees would be considerable. It is important that cash is adequately safeguarded to reduce the risk of misappropriation.	Utilise test data procedures to input dummy clock card information, verify this has been updated into the payroll system. Select a sample of quarterly exception reports and review for evidence of review and follow up of any unexpected changes by the payroll director. Enquire of payroll clerks how cash is delivered to Raspberry Co for weekly pay packets. Review a sample of invoices from the security company to Raspberry Co for delivery of cash.

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Direct control	Test of control
The pay packets are prepared by two members of staff with one preparing and one checking the pay packets and this is evidenced by each staff member signing the weekly listing. This ensures there is segregation of duties which prevents fraud and errors not being identified.	Observe the preparation of the pay packets ensuring that two members of staff are involved and that pay packets are checked for accuracy. For a sample of weeks throughout the year, inspect the weekly payroll listing for evidence of signature by the two members of staff involved in the preparation of the pay packets.

(b) **Deficiencies and recommendations**

Control deficiency	Control recommendation
Production supervisors determine the amount of the discretionary bonus to be paid to employees. Production supervisors should not determine this as they could pay extra bonuses to friends or family members, resulting in additional payroll costs. The wages calculations are generated by the payroll system and there are no checks performed. Therefore, if system errors occur during the payroll processing, this would not be identified. This could result in wages being over or under calculated, leading to an additional payroll cost or loss of employee goodwill. Student loan deduction forms are completed by relevant employees and payments are made directly to the third party until the employee notifies HR that the loan has been repaid in full. As the payments continue until the employee notifies HR, and employees are unlikely to be closely monitoring payments, there is the risk that overpayments may be made, which then need to be reclaimed, leading to employee dissatisfaction. In the case of underpayments, Raspberry Co has an obligation to remit funds on time and to reconcile to annual loan statements. If the company does not make payments in full and on time, this could result in non-compliance by both the company and employee, which could result in fines or penalties.	The bonus should be determined by a responsible official, such as the production director and should be formulated based on a written policy. If significant in value, the bonus should be formally agreed by the board of directors. The bonus should be communicated in writing to the payroll department. A senior member of the payroll team should recalculate the gross to net pay workings for a sample of employees and compare their results to the output from the payroll system. These calculations should be signed as approved before payments are made. The payroll department should maintain a schedule, by employee, of payments made to third parties, such as the central government as well as the cumulative balance owing. On a regular basis, at least annually, this statement should be reconciled to the loan statement received from the government and sent to the employee for agreement. In accordance with the schedule, payments which are due to cease shortly should be confirmed in writing with the third party, prior to stopping.
Holiday request forms are required to be completed and authorised by relevant line managers, however, this does not always occur. This could result in employees taking unauthorised leave, resulting in production difficulties if an insufficient number of employees are present to operate the power plant. In addition, employees taking unauthorised leave could result in an overpayment of wages. The senior payroll manager reviews the bank transfer listing prior to authorising the payments and also amends the payroll records for any changes required.	Employees should be informed that they will not be able to take holiday without completion of a holiday request form, with authorisation from the line manager. Payroll clerks should not process holiday payments without agreement to the authorised holiday form. The senior payroll manager should not be able to process changes to the payroll system as well as authorise payments.

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Control deficiency	Control recommendation
There is a lack of segregation of duties as it is the payroll team which processes the amounts and the senior payroll manager who authorises payments. The senior manager could fraudulently increase the amounts to be paid to certain employees, process this payment as well as amend the records.	The authorisation of the bank transfer listing should be undertaken by an individual outside the payroll department, such as the finance director.
The pay packets are delivered to the production supervisors, who distribute them to employees at the end of their shift. The supervisor is not sufficiently independent to pay wages out. They could adjust pay packets to increase those of close friends whilst reducing others. In addition, although the production supervisors know their team members, payment of wages without proof of identity increases the risk that wages could be paid to incorrect employees. Monthly management accounts do not analyse the variances between actual and budgeted wages and salaries; this is because there are no overtime costs. However, wages and salaries are a significant expense and management needs to understand why variances may have arisen. These could occur due to extra employees being recruited which were not budgeted for, or an increase in wage pay out rates. The board would need to monitor the wages and salaries costs as if they are too high, then this would impact the profitability of the company.	All pay packets should be distributed by the payroll department, directly to employees, upon sight of the employee's clock card and photographic identification as this confirms proof of identity. Payroll should undertake a reconciliation of pay packets issued to production supervisors, wages distributed with employee signatures to confirm receipt and pay packets returned to payroll due to staff absences. Any differences should be investigated immediately. As employees work eight-hour shifts over 24 hours, consideration should be given to operating a shift system for the payroll department on wages pay out day. This will ensure that there are sufficient payroll employees to perform the wages pay out for each shift of employees, with the same level of controls in place. The monthly management accounts should be amended to include an analysis of wages and salaries compared to the budgeted costs. These should be broken down to each relevant department and could also include an analysis of headcount numbers compared to budget.

(c) **Assignments for internal audit department (IAD)**

Value for money review – The IAD could be asked to assess whether Raspberry Co is obtaining value for money in areas such as capital expenditure.

Review of financial/operational controls – The IAD could undertake reviews of controls at head office and the power station and make recommendations to management over such areas as the purchasing process as well as the payroll cycle.

Monitoring asset levels – The IAD could undertake physical verification of property, plant and equipment (PPE) at the production site and head office and compare the assets seen to the PPE register.

There is likely to be a significant level of PPE and the asset register must be kept up to date to ensure continuous production. If significant negative differences occur, this may be due to theft or fraud.

Regulatory compliance – Raspberry Co produces electricity and operates a power station, hence it will be subject to a large number of laws and regulations such as health and safety and environmental legislation. The IAD could help to monitor compliance with these regulations.

IT system reviews – Raspberry Co is likely to have a relatively complex computer system linking production data to head office. The IAD could be asked to perform a review over the computer environment and controls.

Cash controls – Raspberry Co's internal auditors could undertake controls testing over cash payments. 70% of employees are paid in cash rather than bank transfer, therefore on a weekly basis cash held is likely to be significant, therefore the cash controls in payroll should be tested to reduce the level of errors.

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Fraud investigations – The IAD can be asked to investigate any specific cases of suspected fraud as well as review the controls in place to prevent/detect fraud.

(d) **Accrual for income tax payable on employment income**

Procedures the auditor should adopt in respect of auditing this accrual include:

- Compare the accrual for income tax payable to the prior year, investigate any significant differences.
- Agree the year-end income tax payable accrual to the general ledger and payroll records to confirm accuracy.
- Re-perform the calculation of the accrual to confirm accuracy and discuss any unexpected variances with management.
- Agree the subsequent payment to the post year-end cash book and bank statements to confirm completeness.
- Review any correspondence with tax authorities to assess whether there are any additional outstanding payments due; if so, agree they are included in the year-end accrual.
- Review any disclosures made of the income tax accrual and assess whether these are in compliance with accounting standards and legislation.

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Course Book references

Chapters 9 and 10.

Top tips

Part (a) here was knowledge-based. This is an area that candidates sometimes find difficult, but it need not be. The model answer refers to the relevant ISA but this is not strictly necessary for your answer. It is best to have knowledge of the standard, but you can go quite a long way here by using your common sense – just think about the relationship between the auditor and management, and why it would be necessary to communicate. This then feeds into part (ii), where you need to give two examples. There is a full mark for each example, provided it makes sense and is described in enough detail.

In part (b), it was important that you stuck to the number of deficiencies required (eight). The sixteen available marks divide themselves into eight for the deficiencies and eight for the recommendations. Note that you are asked to identify and explain the deficiencies, so there is effectively half a mark available for each of these things (ie half for identifying and half for explaining).

You must also then make a practical recommendation to address the deficiency (in the right-hand column). This should be clearly explained with enough detail to know what specific action to take to solve the problem.

Easy marks

Part (a) was knowledge-based and should have been within your reach.

ACCA Exmaining team comments

This area of the syllabus requires both an ability to describe and evaluate internal controls techniques and audit tests, and, also an ability to make appropriate recommendations.

Internal controls questions remain a highly examinable area and performance in December 2018 was mixed. The scenarios included in exam questions contain more issues than are required to be discussed. It was pleasing in this session that candidates were generally able to identify (for ½ mark each) the required number of issues from the scenarios. It was however disappointing that some candidates were not able to identify direct controls, often identifying the existence of a control where in fact there was a deficiency. As an example, if the scenario states, 'supplier statement reconciliations are carried out however reconciling items are not investigated' the fact that the company is reconciling supplier statements is not an effective control and would not be awarded a ½ mark for identification. In this instance the correct conclusion to draw would be that the lack of investigation of reconciling items resulted in a control deficiency.

In common with previous sittings many candidates did not clearly explain the implication of deficiencies identified. It is important that the explanation fully details the impact to the company. As an example, for a deficiency of 'purchase orders are not sequentially numbered' a suitable, well explained implication would be 'unfulfilled orders cannot be effectively monitored which could result in stock-outs leading to a loss of customer goodwill'. Many candidates did not go on to explain the impact on the company.

Most candidates were able to provide good recommendations to address the deficiencies they identified. However, some of the recommendations were either poorly described, did not clearly address the specific control deficiencies identified or were impractical suggestions. For example, recommending 'production stops during an inventory count' to address the control of movements during a count is inappropriate if the scenario clearly states the company operates 24-hour production. Additionally, as with ethics and corporate governance questions, recommendations must be actions rather than just objectives.

Disappointingly, the requirements for tests of controls that the auditor should perform were often not well explained by candidates (eg repeated use of the word 'check'), did not address

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the controls identified, were vague in the repeated use of 'observe' or quite commonly were substantive audit procedures rather than tests of control.

Tests of controls are a key requirement in internal control questions and future candidates must ensure they practice these types of questions in advance of their exam.

Marking guide		Marks
(a) (i)	**Importance of communicating with TCWG**	
	Assists understanding of matters related to the audit	1
	Obtains information relevant to the audit	1
	Assists TCWG discharge their responsibilities	1
	Promotes effective two-way communication	1
	Maximum	2
(ii)	**Matters to communicate to TCWG**	
	1 mark for any relevant and well described example	2
	Maximum	2
(b)	**Control deficiencies and recommendations** (only 8 required)	
	Petty cash differences	2
	Access to tills	2
	Tills reconciled in total	2
	Lack of SOD – reconciling cash	2
	Risk of incomplete daily sales sheets	2
	Security of cash – access to safes	2
	Lack of SOD – cashier	2
	Credit card statements are not reconciled	2
	Frequency of bank reconciliations	2
	Payment list not adequately reviewed	2
	Maximum	16
Total		20

(a) (i) **Importance of communicating with those charged with governance**

In accordance with ISA 260 *Communication with Those Charged with Governance*, it is important for the auditors to report to those charged with governance as it helps in the following ways:

- It assists the auditor and those charged with governance in understanding matters related to the audit, and in developing a constructive working relationship. This relationship is developed while maintaining the auditor's independence and objectivity.
- It helps the auditor in obtaining, from those charged with governance, information relevant to the audit. For example, those charged with governance may assist the auditor in understanding the entity and its environment, in identifying appropriate sources of audit evidence and in providing information about specific transactions or events.
- It helps those charged with governance in fulfilling their responsibility to oversee the financial reporting process, thereby reducing the risks of material misstatement of the financial statements.
- It promotes effective two-way communication between the auditor and those charged with governance.

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(ii) **Matters to be communicated to those charged with governance**

- The auditor's responsibilities with regards to providing an opinion on the financial statements and that they have carried out their work in accordance with International Standards on Auditing.
- The auditor should explain the planned approach to the audit as well as the audit timetable.
- Any key audit risks identified during the planning stage should be communicated.
- In addition, any significant difficulties encountered during the audit should be communicated.
- Also significant matters arising during the audit, as well as significant accounting adjustments.
- During the audit, any significant deficiencies in the internal control system identified should be communicated in writing or verbally.
- How the external auditor and internal auditor may work together and any planned use of the work of the internal audit function.
- Those charged with governance should be notified of any written representations required by the auditor.
- Other matters arising from the audit which are significant to the oversight of the financial reporting process.
- If any suspected frauds are identified during the audit, these must be communicated.
- If the auditors are intending to make any modifications to the audit opinion, these should be communicated to those charged with governance.
- For listed entities, a confirmation that the auditors have complied with ethical standards and appropriate safeguards have been put in place for any ethical threats identified.

(b) **Control deficiencies and recommendations**

Control deficiency	Control recommendation
Each restaurant maintains a petty cash float of $400, and at any point in time the receipts and funds present should equal the float. It has been noted by the internal audit (IA) department that on occasions there are differences due to the fact that no log is maintained of petty cash requests. This could be as a result of sundry items being purchased without the relevant receipt or voucher being returned. There is also a possibility that the cash is being misappropriated by staff members, or being spent on non-business related items.	A petty cash log should be maintained so the purchase of sundry items is recorded in the log along with the sum borrowed, date and employee. On purchase of the items, the relevant employee should return the relevant receipt or voucher and any funds not spent. The log should be updated to confirm return of funds and receipts. On a weekly basis, the restaurant manager should reconcile the petty cash and if any receipts are missing, these should be followed up with the relevant employee. If it is cash which is missing, then this should be investigated further with the employees who made petty cash purchases during that period.

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Control deficiency	Control recommendation
To speed up the cash payment by customers, for each venue the tills have the same log on code and these codes are changed fortnightly. In the event of cash discrepancies arising in the tills, it would be difficult to ascertain which employees may be responsible as there is no way of tracking who used which till. This could lead to cash being easily misappropriated.	Each employee should be provided with a unique log on code and this is required to be entered when using the tills. In order to facilitate the investigation of till differences, employees should be allocated to a specific till point for their shift. Any discrepancies which arise should initially be double checked to ensure they are not arithmetical errors. If still present, the relevant employees who had access to the till can be identified and further investigations can be undertaken.
The reconciliations of the tills to the daily sales readings are performed in total for all five tills at each venue rather than for each till. This means that when exceptions arise, it will be difficult to identify which till caused the difference and therefore which employees may require further till training or may have undertaken fraudulent transactions.	The reconciliations should be undertaken on an individual till by till basis rather than in aggregate and any discrepancies noted should be investigated immediately.
The cashing up of tills along with the recording of any cash discrepancies is undertaken by just one individual, the restaurant manager. There is a fraud risk as the manager could remove some of the cash and then simply record that there was an exception on the daily sales list. In addition, as there is no segregation of duties, the restaurant manager could, fraudulently or by error, record the total sales as per each till incorrectly leading to incorrect identification of discrepancies.	The cashing up process should be undertaken by two individuals together, ideally an assistant manager and the restaurant manager. One should count the cash and the other record it. Any exceptions to the till reading should be double checked to confirm that they are not simply arithmetical errors. If still present, the relevant employees who had access to the till can be identified and further investigations can be undertaken.
Daily sales sheets are scanned and emailed to head office on a weekly basis. There is a possibility that some sales sheets could be misplaced by the restaurant manager resulting in incomplete sales and cash receipts data being recorded into the accounting system.	Daily sales sheets for each venue should be sequentially numbered and remitted to head office on a daily basis. At head office, a sequence check should be undertaken on a regular basis to identify any missing sheets and any gaps should be investigated further. Once received, the cashier should post the sales and cash data for all six venues on a daily basis. Once processed, they should then be signed as posted by the cashier and filed away securely.
Cash is stored in a safe at each venue and the restaurant manager stores the safe key in a drawer of their desk when not in use. Although cash is banked on a daily basis, there could still be a significant sum of cash onsite each day. There is a risk of significant cash losses due to theft if access to the safe key is not carefully controlled.	The current key lock safe should be replaced with a safe with a digital code. Only authorised personnel should have the code which should be updated on a regular basis.
The cashier is responsible for several elements of the cash receipts system. She receives the daily sales sheets from restaurants, agrees that cash has cleared into the bank statements, updates the cash book and undertakes the bank reconciliations. There is a lack of segregation of duties and errors will not be identified on a timely basis.	These key roles should be split between different members of the finance team, with ideally the bank reconciliations being undertaken by another member of the team.

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Control deficiency	Control recommendation
The cashier is not checking that payments made by credit card have resulted in cash being received by Camomile Co. The credit card statements are not reviewed or reconciled, they are just filed away. There is a risk that receipts of cash by credit card may have been omitted and this would not be identified on a timely basis as the bank is only reconciled every two months and may result in difficulties in resolving any discrepancies with the credit card company	The cashier should reconcile the credit card vouchers per restaurant to the monthly statement received from the card company. The daily amounts per the statement should be agreed to the bank statement to ensure that all funds have been received. This reconciliation should be reviewed by a responsible official, such as the financial controller, who should evidence by signature that the review has been undertaken.
The bank reconciliations are only carried out every two months. For a cash-based business, the bank reconciliation is a direct control which reduces the risk of fraud. If it is not reconciled regularly enough, then this reduces its effectiveness as fraud and errors may not be identified on a timely basis.	The bank reconciliations should be performed on a monthly basis rather than every two months. The financial controller should continue to review each reconciliation and evidence her review by way of signature on the bank reconciliation.
The finance director only views the total amount of payments to be made rather than the amounts to be paid to each supplier. Without looking at the detail of the payments list, as well as supporting documentation, there is a risk that suppliers could be being paid an incorrect amount, or that sums are being paid to fictitious suppliers.	The finance director should review the whole payments list prior to authorising. As part of this, he should agree the amounts to be paid to supporting documentation, as well as reviewing the supplier names to identify any duplicates or any unfamiliar names. He should evidence his review by signing the bank transfer list.

103 Fox Industries Co

Course Book references

Chapters 9, 10, 11, 15

Top tips

There is a lot to do in this question, so there is a risk of overrunning on the time. Make sure you stick to time for each part of the question and move on to the next requirement once the time is up.

Part (b) would be presented in a tabular format for the deficiencies, impacts and recommendations. You must ensure that you identify deficiencies from both the purchases system and the payments system – go through the scenario line by line and make notes on areas where there are weaknesses. Your recommendations need to be sufficiently detailed and useful to the organisation. Saying things like 'Discuss with management' or 'Reconciliations' will not score many marks.

Part (c) is on application controls. This has been an area of weakness for Audit and Assurance students. Make sure you know the difference between application and general IT controls and that the controls you describe are relevant to the scenario in the question.

For part (e) relating to data analytics notice you are asked for two examples in the last part worth 4 marks, so the other two marks are for explaining the benefits. So just make a couple of points on the benefits before moving on to the examples.

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Easy marks

Part (a) on ISA 315 (Revised) is knowledge based and relatively straightforward. Part (d) asks for substantive procedures for bank and cash. This is worth six marks and, provided your procedures are adequately detailed, you should be able to score well here.

Marking guide			Marks
(a) (i)	**Components of a system of internal control**		
	0.5 marks per component	2	
	Maximum		2
(ii)	**Auditor's responsibilities**		
	1 mark per valid point	3	
	Maximum		3
(b)	**Control deficiencies and control recommendations**		
	1 mark per well-explained deficiency	5	
	1 mark for each valid recommendation	5	
	Maximum		10
(c)	**Information processing controls**		
	1 mark per valid control	4	
	Maximum		4
(d)	**Substantive procedures – bank and cash**		
	1 mark per valid procedure	5	
	Maximum		5
(e) (i)	**Big data and data analytics**		
	1 mark for each definition	2	
	Maximum		2
(ii)	**Data analytics**		
	1 mark per valid point	4	
	Maximum		4
Total			30

(a) (i) **Components of a system of internal control**

Additional to the control activities, the other four components of a system of internal control are:

- Control environment
- The entity's risk assessment process
- The entity's process to monitor the system of internal control
- The information system and communication

(ii) **Auditor's responsibilities**

Under ISA 315 (Revised) the auditor is required to identify controls that address risks of material misstatement at the assertion level in the control activities component including:

- Controls that address a risk that is determined to be a significant risk
- Controls over journal entries, including non-standard journal entries used to record non-recurring, unusual transactions or adjustments

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- Controls for which the auditor plans to test operating effectiveness in determining the nature, timing and extent of substantive testing
- Other controls that the auditor considers are appropriate to enable the auditor to meet the audit objectives with respect to risks at the assertion level, based on the auditor's professional judgement.

(b) **Control deficiencies and control recommendations**

Control deficiency	Control recommendation
When raising purchase orders, the clerks choose whichever supplier can despatch the goods the fastest. This could result in Fox Industries Co ordering goods at a much higher price or a lower quality than they would like, as the only factor considered was speed of delivery.	It is important that goods are despatched promptly, but this is just one of many criteria that should be used in deciding which supplier to use. An approved supplier list should be compiled; this should take into account the price of goods, their quality and also the speed of delivery. Once the list has been produced, all orders should only be placed with suppliers on the approved list.
Purchase orders are not sequentially numbered. Failing to sequentially number the orders means that Fox Industries Co's ordering team are unable to monitor if all orders are being fulfilled in a timely manner; this could result in stock outs. If the purchase orders are sequentially numbered, then a sequence check can be performed for any unfulfilled orders.	The system should be configured so that purchase order numbers allocated are sequential. On a regular basis a sequence check of unfulfilled orders should be performed.
Purchase orders below $5,000 are not authorised and are processed solely by an order clerk. This can result in goods being purchased which are not required by Fox Industries Co. In addition, there is an increased fraud risk as an order clerk could place orders for personal goods up to the value of $5,000, which is significant.	All purchase orders should be authorised by a responsible official. Authorised signatories should be established with varying levels of purchase order authorisation. If they are to authorised electronically the levels should be reflected in an authorisation matrix maintained in the purchasing module that governs which usernames can authorise the varying levels of purchase order.
Purchase invoices are input daily by the purchase ledger clerk and due to his experience, he does not utilise any information processing controls. Without these controls there is a risk that invoices could be input into the system with inaccuracies or they may be missed out entirely. This could result in suppliers being paid incorrectly or not at all, leading to a loss of supplier goodwill.	The purchase ledger clerk should input the invoices in batches and apply information processing controls, such as control totals, to ensure completeness and accuracy over the input of purchase invoices.
Fox Industries Co's saving (deposit) bank accounts are only reconciled every two months. If these accounts are only reconciled periodically, there is the risk that errors will not be spotted promptly. Also, this increases the risk of employees committing fraud. If they are aware that these accounts are not regularly reviewed, then they could use these cash sums fraudulently.	All bank accounts should be reconciled on a regular basis, and at least monthly, to identify any unusual or missing items. The reconciliations should be reviewed by a responsible official and they should evidence their review.

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Control deficiency	Control recommendation
Fox Industries Co has a policy of delaying payments to their suppliers for as long as possible. While this maximises Fox Industries Co's bank balance, there is the risk that the company is missing out on early settlement discounts. Also, this can lead to a loss of supplier goodwill as well as the risk that suppliers may refuse to supply goods to Fox Industries Co.	Fox Industries Co should undertake cash flow forecasting/budgeting to maximise bank balances. The policy of delaying payment should be reviewed, and suppliers should be paid in a systematic way, such that supplier goodwill is not lost.
The finance director authorises the bank transfer payment list for suppliers; however, he only views the total amount of payments to be made. Without looking at the detail of the payments list, as well as supporting documentation, there is a risk that suppliers could be being paid an incorrect amount, or that sums are being paid to fictitious suppliers.	The finance director should review the whole payments list prior to authorising. As part of this, he should agree the amounts to be paid to supporting documentation, as well as reviewing the supplier names to identify any duplicates or any unfamiliar names. He should evidence his review by signing the bank transfer list.

Note. Only five deficiencies were required.

(c) **Information processing controls**

Document counts– the number of invoices to be input are counted, the invoices are then entered one by one, at the end the number of invoices input is checked against the document count. This helps to ensure completeness of input.

Control totals – here the total of all the invoices, such as the gross value, is manually calculated. The invoices are input, the system aggregates the total of the input invoices' gross value and this is compared to the control total. This helps to ensure completeness and accuracy of input.

One for one checking – the invoices entered into the system are manually agreed back one by one to the original purchase invoices. This helps to ensure completeness and accuracy of input.

Review of output to expected value – an independent assessment is made of the value of purchase invoices to be input, this is the expected value. The invoices are input and the total value of invoices is compared to the expected value. This helps to ensure completeness of input.

Check digits– this control helps to reduce the risk of transposition errors. Mathematical calculations are performed by the system on a particular data field, such as supplier number, a mathematical formula is run by the system, this checks that the data entered into the system is accurate: This helps to ensure accuracy of input.

Range checks – a pre-determined maximum is input into the system for gross invoice value, for example, $10,000; when invoices are input if the amount keyed in is incorrectly entered as being above $10,000, the system will reject the invoice. This helps to ensure accuracy of input.

Existence checks – the system is set up so that certain key data must be entered, such as supplier name, otherwise the invoice is rejected. This helps to ensure accuracy of input.

Tutorial note. Marks will be awarded for any other relevant application controls.

(d) **Substantive procedures on bank and cash balances**

Send out a standard bank confirmation letter to each bank where the company holds bank accounts to confirm the year-end balance.

Review the year-end reconciliation of the bank balance per the general ledger against the bank balance per the bank letter.

Reperform the arithmetic of the bank reconciliation for each bank account held.

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Trace cheques shown as outstanding from the bank reconciliation to the cash book prior to the year end and to the after-date bank statements and obtain explanations for any large or unusual items not cleared at the time of the audit.

Compare cash book(s) and bank statements in detail for the last month of the year, and match items outstanding at the reconciliation date to bank statements.

Review the bank reconciliation previous to the year-end bank reconciliation and test whether all items are cleared in the last period or taken forward to the year-end bank reconciliation.

Obtain satisfactory explanations for all items in the cash book for which there are no corresponding entries in the bank statement and vice versa by discussion with finance staff.

Verify contra items appearing in the cash books or bank statements with original entry.

Verify by inspecting paying-in slips that uncleared bankings are paid in prior to the year end.

Examine all lodgements in respect of which payment has been refused by the bank; ensure that they are cleared on representation or that other appropriate steps have been taken to effect recovery of the amount due.

Verify balances per the cash book according to the bank reconciliation by inspecting cash book, bank statements and general ledger.

Verify the bank balances with the reply to standard bank letter and with the bank statements.

Inspect the cash book and bank statements before and after the year end for exceptional entries or transfers which have a material effect on the balance shown to be in hand.

Identify whether any accounts are secured on the assets of the company by discussion with management.

Consider whether there is a legal right of set-off of overdrafts against positive bank balances.

Determine whether the bank accounts are subject to any restrictions by inquiries with management.

Review draft financial statements to confirm that all amounts and relevant disclosures relating to bank have been correctly stated.

Note. Only five procedures were required.

(e) (i) **Big data and data analytics**

Big data is a broad term for the larger, more complex datasets that can be held by modern computers. The term refers to a qualitative shift in the amount of data that is available in comparison with the past.

Data analytics is the examination of data to try to identify patterns, trends or correlations. As the quantity of data has increased, it has become more and more necessary to evolve ways of processing and making sense of it.

(ii) ISAs require a risk management based approach to audit, where the auditor does not test all of an entity's transactions, but instead focuses audit procedures on the riskiest areas. Data analytics can offer the chance of examining all of an entity's data. This in turn should improve both audit efficiency and audit quality.

Large quantities of data can be interrogated relatively quickly, allowing auditors to focus immediately on the riskiest areas, and obtain evidence to reduce audit risk.

Examples of how auditors might use data analytics include:

- Analyse patterns relating to revenue or costs per product or per customer
- Trace the matching of orders to goods despatched/goods received documentation and to the invoice, in order to determine whether revenue and costs should be recognised
- To calculate inventory ageing and how many days inventory is held by product/item
- Detailed recalculations of depreciation on non-current assets by item

Note. Only two examples were required.

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104 Pomeranian Co

Course Book references

Chapters 9 and 10.

Top tips

This is a 20-mark question focusing on internal control.

Part (a) requires you to describe the limitations of internal control, and was a standalone question part that did not really refer to the main question scenario. It could be said that **people** are the denominator that is common to all of these points (people making mistakes; people circumventing controls; people overriding controls; people using their judgement to design controls. People!). Understanding this might be a point of departure for understanding the inherent limitations of internal controls.

Part (b) was a normal AA question on deficiencies and recommendations. As ever, your deficiencies grow from your reading of the scenario, with your recommendations coming from these in turn. Exam technique is important here – you may find it helpful to highlight important points of the scenario, or to make notes within the software. Whatever you choose, pick your eight strongest points and write about those.

Easy marks

Many of the recommendations are not difficult – once you've spotted a problem in the scenario, there are likely to be marks on offer for following through on this and recommending a way of fixing it.

Marking guide		Marks
(a) **Limitations of internal control**		
1 mark per well-explained point	4	
Maximum		4
(b) **Control deficiencies and recommendations** (only 8 required)		
Credit limits not reviewed	2	
GDNs provided weekly to finance department	2	
No credit controller	2	
Reconciliations only reviewed if differences	2	
Capex authorisation limits too high	2	
PPE verification work not as scheduled	2	
Warehouse manager supervising inventory counts	2	
Standard costs out of date	2	
Exception report not checked	2	
Purchase invoices not agreed to GRNs	2	
Maximum		16
Total		20

(a) **Limitations of internal control**

There are limitations in any system of internal control which affects the extent to which the auditor can place reliance on it. The limitations are as follows:

Human error in the design of or application of an internal control

An entity may have an adequate internal control process over a particular area of the financial statements. However, human error in applying that control gives rise to an inherent

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limitation, for example a staff member may review a bank reconciliation but not identify an error.

There may also be a flaw in the design of internal control whereby there is an error in the design of, or change to, an internal control which means it does not operate as intended.

Circumvention of internal control

No system of internal control will be completely effective at preventing and detecting fraud and error. Employees may manipulate deficiencies in an entity's internal control for personal gain or to conceal fraudulent activity. This is more likely to be possible where there is collusion between employees.

Management override of internal control

Management is in a position of power to override an entity's internal control regardless of the strength of the system of internal control. Such management override could be to conceal information or for personal financial gain.

Use of judgement on the nature and extent of controls

Management is responsible for implementing controls which are designed to prevent, detect and correct material misstatements and safeguard the company's assets. Professional judgement will be needed to determine the type and extent of internal controls needed within the company and certain controls may be absent or ineffective. In particular, systems may be designed to deal with routine transactions and may therefore be inadequate in respect of non-routine transactions.

(b) **Control deficiencies and recommendations**

Control deficiency	Control recommendation
Credit limits set by the sales director are only changed when a customer requests an increase. If credit limits are not reviewed regularly they could be out of date, resulting in limits being too high and therefore sales being made to poor credit risks or, alternatively, too low and therefore Pomeranian Co losing potential revenue.	Credit limits should continue to be set by the sales director, however these limits should be reviewed and amended as appropriate on a regular basis by a responsible official for example the finance director or sales director.
Goods dispatched notes (GDNs) are only made available to the finance department on a weekly basis. If the finance department does not promptly receive links to the GDNs, this could result in goods being dispatched but being invoiced late. This could result in revenue cut-off issues and understated receivables.	The links to the GDNs should be sent to the finance department on a more frequent basis, such as daily. The finance department should undertake a sequence check of the GDNs to ensure none are missing for processing.
The company's credit controller is currently on maternity leave for six months and no one has taken over her duties. Therefore, during this period no one has been responsible for monitoring and chasing ageing receivables. This could result in an increased risk of irrecoverable receivables and lead to customers not paying their outstanding balances on time, or at all, leading to reduced cash flows.	During the period of the maternity leave an alternative member of the finance department should be trained in the credit control role (or a temporary credit controller recruited) and assigned responsibility for reviewing the aged receivables listing and following up on any overdue customers.

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Control deficiency	Control recommendation
The monthly receivables ledger control account (RLCA) reconciliation is only reviewed by the financial controller if there are any unreconciled differences. The RLCA reconciliation could reconcile but still contain significant errors as there could be compensating errors which cancel each other out or it may have been incorrectly prepared or manipulated and this would not be identified. If the reconciliation is not reviewed, then this significantly reduces its effectiveness.	The RLCA reconciliations should be reviewed by the financial controller on a monthly basis, even if there are no exceptions, and the review should be evidenced by way of signature on the reconciliation.
Capital expenditure items below $0.5m are authorised by the relevant head of department. $0.5m is a significant sum and although department heads undertake the authorisation process, there is still considerable scope for non-business use or surplus assets being purchased leading to reduced profits and cash flow for Pomeranian Co.	The authorisation level for department heads should be significantly reduced to a more appropriate level, such as $25,000. Any sums in excess of this should be approved by the board. If this proves too onerous, a capital expenditure committee of senior employees should be established for authorisation of capital items. This committee should report to the board.
The internal audit department (IA) undertakes physical verification of assets each year. It is supposed to verify all assets over a three-year cycle, however in the current year IA will only complete the relevant procedures at one factory and one warehouse. The company has five factories and warehouses and a head office. Therefore, on this basis it will take over five years to physically verify all 11 sites. If the non-current assets register is not physically verified on a regular basis, there is an increased risk of assets being misappropriated or obsolete assets still being included in the register, as there is no check that the assets still exist in good working order.	IA should review its programme of visits to assess if additional resources could be devoted to ensure that all 11 sites are visited in line with the policy of three years. This would ensure that physical verification of all assets could be completed more regularly. During visits any assets which cannot be located should be investigated fully to identify where they could be. If they cannot be located, then they should be written off.
The warehouse manager at each of the company's five sites is responsible for supervising the monthly perpetual inventory counts and ensuring that the counting teams are following their instructions. The warehouse managers may wish to hide inefficiencies and inventory discrepancies so that their departments are not criticised. This could result in inventory count records being inaccurate as well as an increase in inventory frauds.	The inventory counts should be supervised by an independent person, such as a member of Pomeranian Co's IA department.

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Control deficiency	Control recommendation
The company costs its inventory using standard costs, which are not being kept up to date. If the standard costs were last reviewed two years ago there is the risk that the costs are misstated as changes in raw materials and wages costs may not have been adjusted for. This could result in inventory and profits being misstated. In addition, for year-end reporting, IAS 2 *Inventories* only allows standard costs to be used for valuation purposes, if they are a close approximation to actual costs, which is unlikely if the standard costs remain unchanged for a long period of time. Therefore, the inventory cost may not be in line with IAS 2.	A review of all standard costs currently in use should be undertaken by a senior manager in the production department. Actual costs for materials, labour and overheads should be ascertained and compared to the proposed standard costs to ensure they are a close approximation. The revised standard costs should be reviewed by the production director who should evidence this review. At least annually, a review of the standard costs should be undertaken by the production director to ensure they are up to date.
Access to the master file data for suppliers is available to all those in the purchasing department and the monthly exception report of changes to master file data is not reviewed. All members of the purchasing department could amend data and, potentially, add new suppliers to the payables ledger system, and as the exception report is not reviewed it is unlikely that this would be identified. This leads to an increased risk of fraud as clerks could add fictitious suppliers and then place fraudulent orders without detection.	The monthly exception report of changes to master file data should be reviewed by a responsible official, who should evidence this review. Any unauthorised or unexpected changes should be investigated and appropriate action taken. The ability to make amendments to master file data should be restricted to those required and authorised to make changes to this data.
Purchase invoices are not agreed to the relevant goods received notes (GRNs) prior to authorisation and input. This could result in invoices being paid for goods which were not received, resulting in increased costs.	All purchase invoices should be matched to both the purchase order and the related GRN. The details should be agreed prior to the invoice being authorised and logged in the payables ledger.

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Course Book references

Chapters 9 and 10.

Top tips

This is a 20-mark question focusing on internal control.

Part (a) only asked for four matters so do not waste time by providing more. Because the requirement asks you to **describe** the matters, you need to ensure you include enough detail on each matter to be considered.

For part (b) in the computer-based assessment there is a table to enter in your direct controls in one column and tests of controls in the other. Notice the first part of the requirement states you need to identify **and explain** the direct controls. Don't forget the explanation or you will only score ½ mark instead of 1 mark for each of your controls. Your tests of control are worth a mark each and should be procedures carried out by the auditor.

Part (c) is a typical audit and assurance requirement. It can be broken down into three parts and the word 'explain' in the requirement in the context of deficiencies means you need to say what the implication of each deficiency identified is. Each recommendation should address the related deficiency you have identified and explained.

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Easy marks

Part (a) was purely knowledge based and you should have found it straightforward.

Examining team's comments

In (a), as the requirement verb was 'describe' candidates need to ensure that they include sufficient detail in their answers. Simply providing a few words such as 'materiality of deficiency' is not enough for a description. There was a note under the requirement which stressed that the scenario did not need to be referred to in answering this requirement. Unfortunately, during this session some candidates ignored this note and provided control deficiencies from the scenario which were required for part (c).

In part (b) marks are awarded for identification of direct controls (½ mark each), explanation of the implication of the direct control to the company (½ mark each) and an appropriate test of control for each control (1 mark each).

Candidates should be prepared to answer questions which cover direct controls and tests of controls, control deficiencies and recommendations or a combination of both. Whittaker Co examines both direct controls and deficiencies and focuses on different parts of the internal control system. Questions may also be set where direct controls and deficiencies are tested but in relation to a single part of a company's system. It is important that the control described is complete. For example, the fact that the monthly control accounts are reconciled is not in itself a direct control. Additional checks would need to be undertaken to ensure that the process has been undertaken fully.

Having identified direct controls, candidates then need to explain each control. In considering this it is important to think about what the aim of the control is, what potential misstatement is being prevented or detected. The explanation needs to be specific to each control.

The last part of the requirement is for candidates to describe tests of controls for each direct control identified. In considering how to test the control, a useful starting point is to consider if there are any documents which can be inspected as this is likely to provide strong evidence that the control is operating. However, when describing the test it is important to clearly state what document is being inspected and also for what purpose. Direct controls and tests of controls are a key requirement in internal control questions and future candidates must ensure they practice these types of questions.

In identifying deficiencies in part (c), it is important to record what the actual deficiency from the scenario is. Candidates can pick the fact from the scenario but fail to spot what the actual deficiency is. For example, candidates identified from the scenario 'the overtime reports are reviewed on a quarterly basis'. However, the actual issue was that the reports are being reviewed after the overtime has been paid.

Having identified deficiencies, candidates are required to explain the implication to the business to be awarded credit. For example, a valid explanation for the deficiency 'staff added to the payroll without joining forms being completed' (identification ½ mark awarded), would have been 'this could result in fictious employees being added to the payroll'.

The last part of the requirement is for candidates to describe control recommendations. To gain the 1 mark available it's imperative that the descriptions of the controls are detailed enough. Additionally, recommendations must be actions rather than just objectives, recommendations which are phrased as 'ensure that ...' are unlikely to gain much credit. Candidates must be sure to describe 'how' something is to be ensured.

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Marking guide

	Marks	
(a) **Determining deficiencies in internal control**		
1 mark per well-explained point	4	
Maximum		4
(b) **Direct controls and test of controls**		
New system tested	2	
Credit check	2	
Aged receivables review	2	
Control account reconciliations	2	
Other	2	
Maximum		6
(c) **Control deficiencies and recommendations** (Maximum 5 issues, 2 marks each)		
No joiner forms	2	
Overtime reviewed quarterly	2	
Calculations not checked	2	
Bonus	2	
Input errors	2	
Internet banking	2	
Reconciling items	2	
Other	2	
Maximum		10
Total		20

(a) **Determining deficiencies in internal control**

ISA 265 *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management* details matters the external auditor should consider when determining whether a deficiency in internal control is significant, including:

- The likelihood of the deficiency (or deficiencies) resulting in material misstatements in the financial statements in the future.
- The susceptibility to loss or fraud of the related asset or liability.
- The subjectivity and complexity of determining estimated amounts.
- The amounts exposed to the deficiencies.
- The volume of activity which has occurred or could occur in the account balance or class of transaction exposed to the deficiency or deficiencies.
- The importance of the identified deficient controls to the financial reporting process.
- The cause and frequency of the exceptions identified as a result of the deficiencies in the controls.
- The interaction of the deficiency with other deficiencies in internal control.

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(b) **Direct controls and tests of control**

Direct control	Test of control
The new sales system was fully tested prior to its implementation and the new and old systems are being run in parallel until the year end with internal audit (IA) performing checks on the output and following up on any discrepancies. This reduces the risk that data is lost or data is not processed correctly if there are issues associated with the operation of the new system. This reduces the risk of processing errors and misstatements in the accounting records.	The audit team should review the procedures and documentation relating to the testing which has been undertaken and agree that the tests undertaken are appropriate and that any errors were fully investigated and resolved. The audit team should review IA's testing schedule to understand what checks are being undertaken and when they are expected to be complete. For IA checks which have been completed, the audit team should obtain and review documentation which details the test performed and any follow up actions to confirm the tests are appropriate and to understand how errors or inconsistencies have been communicated and resolved. For a new transaction being entered into the system, the audit team should observe the transaction being recorded in the old and new system and agree that the information is processed and output is generated consistently between the two systems.
New customers undergo a full credit check and a credit limit is set using an automated system. The credit limit is approved by the sales director who evidences her review. Requiring a credit check reduces the risk of lost revenue and uncollectable trade receivables as only credit worthy customers are able to place orders. The automated process should ensure that no bias is included in accepting credit worthy customers or setting the credit limit which helps ensure the credit limit set is appropriate and that receivables are recoverable. The sales director review helps to ensure that any anomalies or inconsistencies in the automated credit limit are identified and addressed prior to orders being placed.	The audit team should select a sample of new customer accounts opened in the period and confirm, by reference to information on the system, that a credit check has been performed. They should also agree there is evidence of approval, such as a signature or electronic sign-off, by the sales director before the credit limit is set. For a sample of new customers, the audit team should obtain a copy of the first order placed by the customer and agree that the date of the first order was after the credit check was completed.
The receivables ledger clerk performs a monthly review of the aged receivables listing and identifies those aged more than 30 days which are followed up with the relevant customers by the credit control department. The regular review of the aged receivables listing and subsequent action by credit control should ensure that debts are collected on a timely basis which reduces the risk of irrecoverable debts. It should also ensure that balances are appropriately identified as irrecoverable and accounted for accordingly.	The audit team should obtain a copy of the aged receivables report downloaded and confirm there is evidence of review, such as a signature or electronic sign-off, by the receivables ledger clerk. The audit team should enquire as to which receivables balances are passed to credit control and should confirm this is appropriate based on Whittaker Co's credit control policies. The audit team should review a sample of follow-up documentation from credit control to confirm action taken.

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Direct control	Test of control
The accounts clerk performs a monthly receivables ledger control account reconciliation and resolves errors on a timely basis. The reconciliation is reviewed and approved by the financial controller. Regular reconciliation of the receivables ledger and the receivables ledger control account helps to ensure that the receivables balance presented in the financial statements is accurate. Timely identification and correction of errors ensures that recording issues are resolved and the accounting records are accurate. Review by the financial controller helps to ensure the accuracy of the reconciliation.	The audit team should review the file of receivables ledger control account reconciliations and confirm that these are being performed on a monthly basis. For a sample of reconciliations with reconciling items trace to supporting documentation to confirm that errors have been corrected. The team should also review the reconciliations for a signature or electronic sign-off as evidence of approval and review by the financial controller.

(c) **Control deficiencies and recommendations**

Control deficiency	Control recommendation
When additional staff are required at short notice, joiners forms are not completed. Instead, they are added to payroll following email notification from the production supervisor. The production supervisor may not include all the relevant details on the email to payroll. This could result in the temporary employees not receiving the correct pay or not being paid on time, resulting in a loss of employee goodwill. The addition of employees to the payroll without authorisation from HR also increases the risk of fictitious individuals being added.	A joiner form should be completed for all new employees, whether temporary or permanent. The authorised joiner form should then be sent to payroll on the day the employee commences employment. Payroll should then sign the form as being actioned. Payroll should not set up new employees without an authorised joiner form.
Staff are paid overtime on a monthly basis but the overtime worked reports are only reviewed every quarter after the overtime has been paid. Reviewing overtime worked reports quarterly after employees have been paid is too infrequent. This could result in employees being paid for hours not worked, hence increasing costs or not being paid enough overtime which could result in loss of employee goodwill.	The production supervisor should review and authorise overtime worked reports before they are passed to the payroll department for processing. This will ensure the correct levels of overtime are paid to the correct employees. The payroll department should be instructed not to process any overtime worked reports which have not been reviewed and authorised.
The wages and deductions calculations are automatically performed by the payroll system but no checks are carried out to confirm the calculations are accurate. There is a risk that any system errors which occur during the payroll processing would not be identified. This could result in wages being over or under calculated, leading to an additional payroll cost or loss of employee goodwill. In addition, statutory deductions may be over- or underpaid, giving rise to compliance issues.	For a sample of employees, a senior member of the payroll team should recalculate the gross to net pay workings and compare their results to the output from the payroll system. Any discrepancies should be investigated. These calculations should be signed as approved before payments are made.

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Control deficiency	Control recommendation
The HR manager decides on bonuses based on employee performance and has confirmed the bonuses to the payroll department. There are no approved parameters for the bonus level so it is purely based on the discretion of one individual who could pay bonuses inappropriately, leading to extra costs or loss of employee goodwill. The bonuses were input into the system and a number of employees subsequently notified the payroll department of errors in their pay. It appears that bonuses were input without any additional review. This increases the risk of errors arising within payroll. In addition, it appears that the bonus issues have only been investigated for the employees who have complained that their bonus is inaccurate. It is more likely that complaints will arise from an employee who is underpaid and therefore there is a risk that other employees have been overpaid which increases the payroll cost.	The bonus payments should be determined in line with specified and documented criteria and approved by the board. The HR director or other responsible official should provide payroll with a list detailing approved bonuses per employee. Payroll should be informed only to action payment of a bonus or any other change on receipt of written authorisation approved by the board. The bonuses should be reviewed to agree they are in line with documentation provided by HR. The bonuses should be input by one clerk and checked by a second payroll clerk for any errors. Any changes to the payroll should trigger an exception report which a senior member of the payroll department should authorise.
The internet banking log in details are saved in a central location which is accessible to all payables ledger staff. There is a risk that staff are fraudulently setting up payees or making withdrawals from the bank, resulting in an increased risk of loss due to misappropriation of funds.	The internet banking log in details should not be documented and should be known to only select staff with appropriate authority. Any changes to payees should be documented on a change report which is extracted from the internet banking system and reviewed by the finance director on a regular basis to confirm changes are expected.
The reconciling items on the bank reconciliation are only investigated by the financial controller if the sum of reconciling items is significant. The bank reconciliations could contain significant errors, but a low overall amount of reconciling items, as there could be compensating errors which cancel each other out. If reconciling items are not reviewed, then this reduces the effectiveness of the bank reconciliations and also results in a lack of assurance that bank reconciliations are being carried out properly.	The reconciling items should be reviewed by the financial controller on a weekly basis, even if they are not significant, and they should evidence their review by way of signature on the bank reconciliation.

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Course Book references

Chapters 3, 9, 10 and 15.

Top tips

This is a 30-mark question covering internal control components in (a) and deficiencies, recommendations and tests of control in (b). Procedures relating to bank balances were covered in (c) and corporate governance deficiencies and recommendations were tested in (d). In (b), worth half of the marks for this question, you should have picked up on where the scenario said items were not checked or reviewed and turned that into your deficiency. However, for it to be a well explained deficiency you needed to say why it is a problem and what could go wrong because that review doesn't happen currently.

Once you have a deficiency the recommendation flows from that, and you can say that review should take place, being specific about who should carry it out and how it is evidenced. If you say how a control is evidenced you then have the basis for the test of control because you can review that evidence, such as a report with a signature, as part of your test of control.

Easy Marks

Part (a) was a purely knowledge-based requirement with no need to refer to the scenario. You should have scored well here.

Marking guide	Marks	
(a) Five components of a system of internal control (1 mark per well-explained point)	5	
Maximum		5
(b) **Internal control deficiencies, controls and test of controls** (Maximum 5 issues, 3 marks each)		
No checks of data	3	
Edit report not reviewed	3	
PPE physical verification	3	
Change to capex policy	3	
Finance director only reviews payment total	3	
No receipts for petty cash	3	
Quarterly bank reconciliations	3	
Maximum		15
(c) **Substantive procedures over the bank balances**		
1 mark per well-explained point	4	
Maximum		4
(d) **Corporate governance deficiencies and recommendations** (Maximum 3 issues, 2 marks each)		
CEO is also Chair	2	
Shareholder engagement	2	
Remuneration of non-executive directors	2	
No audit committee	2	
Maximum		6
Total		30

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(a) **Five components of a system of internal control**

Component of internal control	Description
Control environment	The control environment includes the governance and management functions and the attitudes, awareness and actions of those charged with governance and management concerning the entity's system of internal control and its importance in the entity. The control environment sets the tone of an organisation, influencing the control consciousness of its people and provides the overall foundation for the operation of other components. The control environment encompasses many elements, such as how management's responsibilities are carried out (such as creating and maintaining the entity's culture and demonstrating management's commitment to integrity and ethical values); how those charged with governance demonstrate independence from management and exercise oversight of the entity's system of internal control; how the entity assigns authority and responsibility in pursuit of its objectives; how the entity attracts, develops and retains competent individuals in alignment with its objectives; and how the entity holds individuals accountable for their responsibilities in pursuit of the entity's system of internal control.
Entity's risk assessment	The entity's risk assessment process is an iterative process for identifying and analysing risks to achieve the entity's objectives and forms the basis for determining the risks to be managed. For financial reporting purposes, the entity's risk assessment process includes how management identifies business risks relevant to the preparation of financial statements in accordance with the entity's applicable financial reporting framework. It estimates their significance, assesses the likelihood of their occurrence, and decides upon actions to respond to and manage them and the results thereof.
Entity's process to monitor the system of internal control	Monitoring of controls is a continual process to assess the effectiveness of internal control performance over time. It involves assessing the effectiveness of controls and taking necessary remedial actions on a timely basis. Management accomplishes the monitoring of controls through ongoing activities, separate evaluations, or a combination of the two. Ongoing monitoring activities are often built into the normal recurring activities of an entity and include regular management and supervisory activities.
Information system and communication	The information system relevant to the preparation of the financial statements consists of the activities, policies and records designed and established to initiate, record, process, and report entity transactions (as well as events and conditions) and to maintain accountability for the related assets, liabilities, and equity. Communication which involves providing an understanding of individual roles and responsibilities may be through policy and accounting and financial reporting manuals. It may be made electronically, orally or through management actions.
Control activities	Control activities include controls which are designed to ensure proper application of policies in all the components of the entity's system of internal control and include both direct and indirect controls. Control activities include information processing controls and general IT controls and may be manual or automated in nature. They have various objectives and are applied at various organisational and functional levels. They may include authorisation and approvals, reconciliations, verifications, physical or logical controls and/or segregation of duties.

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(b) **Internal control deficiencies, controls and test of controls**

Control deficiency	Control recommendation	Test of control
At the end of each week, the key card system transfers the hours worked to the payroll system. As the system is automated, no checks are performed. As there are no checks performed on the transfer of hours worked from the key card system to the payroll system, errors and overpayments could be made resulting in a loss of employee goodwill.	The transfer of hours worked from the key card system to the payroll should be checked by a senior official in the payroll department and this check should be evidenced by way of signature.	Review a sample of weeks transferred from the key card system to the payroll system for evidence that they have been checked by a senior official prior to the payroll being finalised.
The payroll clerk reperforms payroll calculations and amends the payroll data if there are any errors. The edit report of the amendments is not reviewed. The payroll clerk could make errors when making the amendments or could fraudulently revise payroll data to inflate the pay of friends or family. This could result in incorrect payments being made to employees and incorrect deductions being made resulting in loss of employee goodwill and misstated payroll expenses.	The edit report should be reviewed on a weekly basis by a senior official from the payroll department before the payroll is finalised and any payments made. Any unusual amendments should be investigated. This review should be evidenced (likely by way of signature) and the results of any investigations should be recorded.	For a sample of weekly edit reports, confirm that these have been signed as reviewed by a senior official from the payroll department. For a sample of amendments, agree to record of investigation and confirm appropriate action taken.
The internal audit (IA) department undertakes physical verification of assets each year. As in the prior years, IA will only complete the comparison at one factory and one warehouse in the year to 30 September 20X5. Daley Co has ten factories, ten warehouses and a head office. Therefore, on this basis, it will take over ten years to physically verify all 21 sites. If the non-current assets register is not physically verified on a regular basis, there is an increased risk of assets being misappropriated as there is no check that the assets still exist in their correct location. In addition, obsolete assets may not be identified on a timely basis.	The board should set a policy to ensure comparisons must be carried out more frequently (for example, every two years). IA should review its programme of visits to assess if additional resources could be devoted to ensure that all 21 sites are visited in a shorter period. This would ensure that physical verification of all assets could be completed more regularly. During visits, any assets which cannot be located should be investigated fully to identify where they could be. If they cannot be located, then they should be written off.	Review the board minutes for evidence of new policy set by the board regarding frequency of IA visits. Review IA programme to assess whether visits are in line with new policy. Review records from physical verification visits by IA to ensure comparisons have been performed and any unidentified and obsolete assets have been written off following approval by the board or a responsible official.

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Control deficiency	Control recommendation	Test of control
During the year, the company's accounting policy was changed by the financial controller so that items of a capital nature are only capitalised if they exceed $20,000. While it can be normal practice for a threshold to be set for capitalisation, this represents a significant change to an accounting policy which does not appear to have been discussed or approved at board level. This threshold is too high, as over time this will result in a significant amount of costs which should be capitalised being written off to the statement of profit or loss and understated property, plant and equipment.	Significant changes to an accounting policy should be discussed and approved at board level. A record of any decisions should be included in the board minutes. The capitalisation limit should be reduced to a more appropriate limit such as $1,000 so that assets and profitability are more accurately reported.	Review board minutes for evidence that changes to accounting policies have been discussed and approved. Discuss with the finance director the capitalisation limit and for a sample of capital items over $1,000, agree that they have been correctly capitalised in the statement of financial position.
The finance director authorises the monthly supplier payments listing, but only views the total amount of payments to be made. Without looking at the detail of the payments list, as well as supporting documentation, there is a risk that suppliers could be being paid an incorrect amount, or that sums are being paid to fictitious suppliers.	The finance director should review the whole payments list prior to authorising. As part of this, the finance director should agree the amounts to be paid to supporting documentation, as well as reviewing the supplier names to identify any duplicates or any unfamiliar names. This should be evidenced by signing the supplier payments listing.	A sample of payment listings should be reviewed to verify that the finance director has agreed the amounts payable to supporting documentation prior to the bank transfer being made.
There is no requirement for receipts for sundry purchases paid for out of petty cash to be returned to the finance department. This could result in sundry purchases being made which are for non-business related items or the cash could be being misappropriated.	A petty cash book should be maintained so that the amount borrowed, date and employee name is recorded together with details of the sundry purchase made. In addition to returning excess cash back to the finance department, employees should also be required to promptly return a receipt for sundry purchases. The petty cash book should then be updated to record the excess cash and the receipt. A member of the finance department should reconcile the petty cash on a weekly basis and if any receipts are missing, they should be investigated further with the employees who made the petty cash purchases during that week. The reconciliations should be reviewed by a responsible official who should evidence their review.	A sample of petty cash transactions from the record book should be reviewed to ensure all cash issued has been accounted for and receipts provided for expenses. A sample of reconciliations should also be reviewed to ensure these are approved.

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Control deficiency	Control recommendation	Test of control
The company maintains four bank accounts but only the main current account is reconciled on a monthly basis, with the other three bank accounts being reconciled quarterly. If all bank accounts are not reconciled on a monthly basis, errors or fraud may not be spotted on a timely basis.	All bank accounts should be reconciled each month and any reconciling items on the bank reconciliation statements should be investigated and corrected, where necessary. The reconciliations should be reviewed by a responsible official who should evidence their review.	Review a sample of bank reconciliation statements for all bank accounts to ensure they are being completed and reviewed on monthly basis.

(c)

Word Processor

Paragraph

Substantive procedures over the bank balances

- Obtain a bank confirmation letter from Daley Co's bank for all of its bank accounts.
- Agree all accounts listed on the bank confirmation letter to Daley Co's bank reconciliations and trial balance to ensure completeness of bank balances.
- Obtain the year-end bank reconciliations and cast to ensure mathematical accuracy.
- Agree the balance per cash book on the year-end bank reconciliation statements to the cash book/trial balance/financial statements.
- Agree the balance per the bank reconciliations to the year-end bank confirmation letter and bank statements.
- Trace all outstanding lodgements/deposits to the pre year-end cash book, post year-end bank statement and also to the paying-in book pre year end.
- Trace all unpresented cheques through to the pre year-end cash book and post year-end bank statements. For any unusual amounts or delays, obtain explanations from management.
- Examine any old unpresented cheques to assess if they need to be written back to the payables ledger as they are no longer valid.
- Examine the bank confirmation letter for details of any security provided by the company or any legal right of set-off as this may require disclosure.
- Review the cash book and bank statements for any unusual items or large transfers around the year end as this may be evidence of window dressing.

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(d) **Corporate governance deficiencies and recommendations**

Deficiency	Recommendation
During the year, the Chair resigned and Fred Johnson, who is currently the chief executive, took over the role. If Fred Johnson is both the Chair and chief executive, he will have unfettered power of decision making and will effectively be responsible for running the company and the board.	Fred Johnson should resign as the Chair and only carry out the role of chief executive. An independent non-executive should be appointed to fill the Chair's role.
The Chair recently wrote to all shareholders to inform them that any questions or comments they may have could only be raised at the company's annual general meeting (AGM). Restricting shareholders to only raising concerns at the AGM will not ensure regular effective engagement with the owners of the company. This could result in the board making decisions which are not in line with the wishes of major shareholders.	The Chair of Daley Co should take steps to encourage regular effective engagement with major shareholders in addition to the AGM. This could be in the form of regular meetings and would aim to seek shareholders' views on the company's governance and performance against strategy.
Non-executive directors' remuneration is based on pre-tax profit targets agreed by the board at the start of the year. Non-executive directors' remuneration should not be based on pre-determined profit targets as their pay should not be based on how the company performs as this would reduce their independence.	Daley Co should pay the non-executive directors an annual fee for their services to the company and this fee should be unrelated to the company's financial performance, but rather based on time committed and responsibilities of the role.
The company currently does not have an audit committee as the board views the internal control environment as very effective.	The company should consider appointing an audit committee as quickly as possible. The audit committee should be comprised of at least three non-executive directors and one of these non-executive directors should have recent and relevant financial expertise. The committee as a whole should have appropriate competence in the industry.
The lack of an audit committee means there is no oversight in the company to enable the directors to discharge their responsibilities for accountability appropriately and there will not be a means of the company maintaining its independent relationship with the external auditors.	

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Course Book references

Chapters 3, 10 and 16

Top tips

Time management is critical for this 30 mark question to ensure you make it all the way to part (e) on Corporate Governance deficiencies. Reading the requirements carefully first would have helped here. Then you can read the scenario with a mindset that you are looking for 'good things' in (b) so you can rely on the controls and suggest how to test them, and 'bad things' in (c) so you can pick out deficiencies and suggest recommendations.

Don't be phased by part (e) which is just comparing the scenario to good corporate governance and seeing where Petra is falling short of achieving that.

Easy marks

You should have been able to generate procedures in part (d) fairly easily and explain them using the verb-document-reason approach outlined in your Course Book.

ACCA Examining team comments

For (a) it was common to see answers which provided controls rather than objectives or listed tests of controls. Many candidates ignored the note advising that the scenario did not need to be referred to. These candidates provided controls from within the scenario, such as 'Petra Co carried out credit checks for all new customers.' Unfortunately, this is not a control objective and so to gain credit the objective should be 'to ensure that goods are not supplied to poor credit risks'.

In relation to (b) and (c) candidates should be prepared to answer questions which cover direct controls and tests of controls, control deficiencies and recommendations or a combination of both. Petra Co examines both direct controls and deficiencies and focuses on different parts of the internal control system. Questions may also be set where direct controls and deficiencies are tested but in relation to a single part of a company's internal control system. It is important that having read the question requirement, candidates take the time to ensure they fully understand what the requirement involves. This session there were a number of candidates who listed deficiencies rather than controls or provided controls relating to the sales and purchases systems. These would not gain any credit as they are not answering the question asked.

In (d), when describing substantive procedures, one of the key things to consider is the level of detail provided. Many candidates fail to score well in this type of requirement because their procedures are vague or too brief. Tests must be sufficiently detailed noting clearly which source document should be used and what for.

For (e) candidates were required to identify the deficiency from the scenario and it was pleasing to see that most candidates were able to confidently undertake this. However, there were a number of incorrect points identified as deficiencies such as the non-executive directors (NEDs) are all member of the audit committee and so lack independence. These incorrect points demonstrate a lack of technical knowledge around corporate governance deficiencies.

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Marking guide

	Marks
(a) **Control objectives of a sales system**	
1 mark per well-explained point	4
	4
(b) **Direct controls and tests of control** (Maximum 3 issues, 2 marks each)	
Supervision clock card	2
Gross to net checks	2
Revised rates	2
Segregation of duties	2
Other	2
Maximum	6
(c) **Control deficiencies and recommendations** (Maximum 5 issues, 2 marks each)	
Credit limits	2
No copy of sales order	2
Discounts not reviewed	2
Access master data	2
No GRN to finance	2
Document count controls	2
No PLCA rec	2
Other	2
Maximum	10
(d) **Substantive procedures for purchases and other expenses**	
1 mark per well-described procedure	4
	4
(e) **Corporate governance deficiencies and recommendations** (Maximum 3 issues, 2 marks each)	
Marketing director Chair	2
Frequency of director re-election	2
NEDs no financial experience	2
Annual bonus NEDs	2
Other	2
Maximum	6
Total	30

(a) **Control objectives of a sales system**

- To ensure that orders are only accepted if goods are available to be processed for customers.
- To ensure that all orders are recorded completely and accurately.
- To ensure that goods are not supplied to customers who are poor credit risks.
- To ensure that goods are dispatched for all orders on a timely basis.
- To ensure that only genuine sales supported by a valid order are recognised in revenue.
- To ensure that the correct quantity of goods are dispatched and they are of an adequate quality.

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- To ensure that all goods dispatched are correctly invoiced at authorised prices.
- To ensure that all invoices raised are recorded as revenue in the correct accounting period.
- To ensure that sales discounts are only provided up to an agreed limit.
- To ensure that all sales and related receivables are recorded at an appropriate amount in the correct accounts.
- To ensure that cash received is allocated against the correct customer and invoices to prevent disputes.
- To ensure that overdue receivables are followed up on a timely basis.
- To ensure that irrecoverable receivables are identified and written off appropriately.

(b) **Direct controls and tests of control**

Direct control	Test of control
Factory staff are issued with clock cards which they are required to swipe to enter and exit the factory and this process is supervised by security staff. This ensures that genuine employees are only paid for the work actually done and reduces the risk of employees being paid but not completing their required hours. In addition, due to the supervision it is unlikely that one employee could fraudulently clock-in on behalf of other employees.	Observe the use of clock cards by employees when entering and exiting the factory and confirm that security staff are supervising the process.
The payroll supervisor selects a sample of payslips, recalculates the gross to net pay calculations and compares their results to the output from the payroll system and investigates any discrepancies. This reduces the risk that the automated system generates errors during the payroll processing. Any errors would be identified on a timely basis to prevent wages being over or underpaid.	Review the weekly payslips sampled by the payroll supervisor for his signature for evidence the review of calculations has been undertaken. For a sample of weekly payrolls, reperform the gross to net pay calculation and compare to the payroll system. Discuss any discrepancies with the payroll supervisor. Enquire of the payroll supervisor whether any discrepancies have been noted during the year between the gross to net pay calculations and the figures generated by the payroll system and how these were resolved.
Revised pay rates for factory staff are input by a clerk into the payroll system. Each entry is checked by a senior clerk for input errors prior to processing and their review is evidenced via signature of the listing. This reduces the risk of input errors resulting in over/underpayment of wages and salaries to employees.	Obtain the April payroll listing for the factory staff used for the pay rate increase and review for evidence of signature by the senior clerk who checks for input errors.
The pay packets are prepared by two staff members using system generated payslips with one staff member preparing and one checking the pay packets. This is evidenced by each staff member signing the weekly listing. This ensures there is segregation of duties and reduces the likelihood of errors or staff members fraudulently increasing the pay packets for friends and family member without being identified.	Observe the preparation of the pay packets, ensuring that one member prepares the wages using the system generated payslips and that the second member checks pay packets for accuracy. For a sample of weeks throughout the year, inspect the weekly payroll listing for evidence of signature by two members of staff involved in the preparation of the pay packets.

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(c) **Control deficiencies and recommendations**

Control deficiency	Control recommendation
A credit check is performed on all new customers, after which a credit limit is set by the finance director, and these limits remain unchanged unless the customer requests an increase. If credit limits are not reviewed regularly, they could be out of date, resulting in limits being too high and therefore sales being made to poor credit risks or, alternatively, too low and therefore Petra Co losing potential revenue.	Credit limits should continue to be set by the finance director, however, these limits should be reviewed on a regular basis and amended as appropriate by a responsible official.
No copy of the order form is emailed to the sales department of Petra Co and hence they would not be able to monitor if orders are being fulfilled on a timely basis. If orders are not fulfilled on a timely basis, this would reduce customer goodwill.	The sales order copy should be emailed to the sales department. Upon dispatch, the goods dispatch note should be matched to the order. A regular review of unmatched orders should be undertaken by the sales department to identify any unfulfilled orders.
Sales staff have discretion to grant sales discounts to customers of up to 8% but discounts granted are not reviewed. This could result in unauthorised discounts in excess of 8% being allowed and a loss of revenue as they may award unrealistic discounts simply to meet sales targets.	All discounts to be granted to customers should be authorised in advance by a responsible official, such as the sales director. If this is not practical, then the supervisor of the sales staff should undertake this role. A copy of the authorisation should be sent to the sales department and the customer's master file data amended for discounts allowed by a responsible official. The master file data system should be amended to prohibit discounts in excess of 8% being entered. On a regular basis, the sales director should undertake a review of discount levels granted on sales orders and ensure they are in line with authorised levels.
Access to the master file data for suppliers is available to all those in the purchasing department who are able to make changes. As all members of the purchasing department can make changes to data and therefore add new suppliers to the payables ledger system, this increases the risk of fraud.	Amendments to master file data should be restricted so that only authorised members of the department are able to make changes. In addition, a log of changes to master file data, including details of which staff member made the change, should be produced and reviewed by a responsible official on a regular basis and signed as evidence of their review.
GRNs and orders are matched and filed in the warehouse and the finance department does not receive a copy. Therefore, on receipt of purchase invoices, they are not being agreed to the relevant GRNs and orders prior to input into the payables ledger. This could result in invoices being paid for goods which were not received or ordered.	A copy of the GRN should be provided on a timely basis to the finance department. On receipt, all purchase invoices should be matched to the related GRN and purchase order and this should be undertaken prior to the invoice being logged in the payables ledger.

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Control deficiency	Control recommendation
A payables ledger clerk only utilises document count controls when inputting invoices into the payables ledger. Document count controls can confirm the completeness of input. However, they do not verify the accuracy or validity of input. If the invoices are not input correctly, suppliers may not be paid on time or may be paid incorrect amounts. This could lead to a loss of supplier goodwill or suppliers withdrawing credit facilities.	The payables ledger clerk should instead input the invoices in batches and apply information processing controls, such as control totals, rather than just completeness checks to ensure both completeness and accuracy over the input of purchase invoices. In addition, sequence checks should be built into the system to ensure completeness of input.
The total on the payables ledger is not compared to the general ledger on a monthly basis, hence payables ledger control account reconciliations are not being undertaken. Failing to undertake these reconciliations means that errors in the payables ledger may not be identified promptly, resulting in suppliers being under or overpaid. In addition, errors may be present in the general ledger resulting in the payables balance in the financial statements being under or overstated.	On a monthly basis, payables ledger control account reconciliations should be undertaken with all reconciling items fully investigated. The account reconciliation should be reviewed by a responsible official who should evidence this review by way of signature.

(d) **Substantive procedures for purchases and other expenses**

- Calculate the operating profit and gross profit margin and compare to the prior year and to budget and investigate any significant differences.
- Review monthly purchases and other expenses to identify any significant fluctuations and discuss with management.
- Review the annual purchases and other expenses on a line-by-line basis, compare to the prior year and investigate any significant differences.
- Recalculate the accuracy of a sample of purchase invoice totals and related taxes and confirm that the expense has been correctly included in the general ledger.
- Recalculate the year-end prepayments and accruals to ensure the accuracy of the expense charge included in the profit or loss.
- Select a sample of post year-end expense invoices and ensure that any expenses relating to the current year have been accrued.
- Select a sample of expense payments from the bank ledger account and trace to the relevant expense account in the general ledger to ensure the expense has been included and classified correctly.
- Select a sample of goods received notes (GRNs) from throughout the year. Agree them to purchase invoices and the detailed purchases listing to ensure the completeness of purchases.
- Select a sample of GRNs immediately before and after the year end. Agree to the purchase detailed purchases listing to ensure the expense is recorded in the correct accounting period.

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(e) **Corporate governance deficiencies and recommendations**

Deficiency	Recommendation
It is proposed that the current marketing director be appointed as the Chair of the company when the current Chair retires. As a former executive director, this director has been previously recently employed by the company and so will not be independent on appointment as advised by corporate governance principles. A lack of independence may result in the Chair not bringing the necessary level of independence and objective judgement to the role.	The Chair of Petra Co should be independent on appointment and hence the marketing director should not be appointed as Chair, as they have been an employee within the last five years and therefore not considered independent. An individual who is fully independent of Petra Co should be appointed to the role of Chair when the current Chair retires.
Annually at the company's general meeting, two directors are subject to re-election. The shareholders should review on a regular basis that the composition of the board of directors is appropriate, and they do this by regular re-election of all directors.	All directors should be subject to annual re-election by the shareholders. At the current year's general meeting, it should be proposed that all directors should be subject to re-election.
All members of the audit committee were previously involved in sales or purchasing related roles. At least one member of the audit committee should have recent and relevant financial experience. None of the non-executive directors (NEDs) appears to have held a financial role and so it is unlikely they possess the required financial experience to be able to understand the financial statements.	The company should consider recruiting a new independent NED who has the required recent and relevant financial experience. This process may be undertaken as part of the re-election process for directors.
The NEDs' remuneration is in the form of an annual bonus. However, remuneration paid to NEDs should reflect the time and responsibilities attached to the role, as the inclusion of performance related elements, especially those tied to short-term performance targets, can affect the independence of NEDs.	The remuneration of the NEDs should be revised so they are paid an annual fee for their services, which is unrelated to how Petra Co performs, and should reflect the time commitment and responsibilities attached to the role. The board as a whole should determine an appropriate level of remuneration for the NEDs.

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Course Book references

Chapters 10 and 13.

Top tips

In these common questions on internal control deficiencies and recommendations try to be as specific as you can when explaining your deficiency. If you answer the question 'what could go wrong as a result of this deficiency?' that should help with generating your explanations. With recommendations make sure someone reading it could go away and implement it without further questions by stating exactly what would be done, who should do it (identify an appropriate role), when and how often (monthly for example).

Easy marks

Part (a) was a knowledge requirement, but even if you were not entirely sure on what ISA 265 stated, you could have had a good attempt at generating four appropriate matters the audit should consider in determining whether a deficiency in internal controls is significant.

ACCA Examining team's comments

In part (a) it is important that candidates pay attention to any elements of the requirement which are highlighted. In this session the word FOUR was in capitals. This was specifically done to focus candidates' answers, so that they would know to provide four well described answers. Additionally, there was a note under the requirement which stressed that the scenario did not need to be referred to in answering this requirement. Notes and capitalisation of words in requirements are there to guide candidates and to help, candidates should be careful not to ignore them. In (b) It is important that recommendations are as complete as possible. For the deficiency of 'no clear division of responsibilities within the team', the recommendation of 'responsibilities should be allocated within the team' would not gain any credit, as they have not said HOW these responsibilities should be allocated. The recommendation needs to state that 'one team member should count and the other record the quantities' to gain the available 1 mark.

Marking guide	Marks
(a) **Significant deficiencies**	
1 mark per well-described point	4
Maximum	4
(b) **Deficiencies and recommendations** (Maximum 8 issues, 2 marks each)	
Movement of goods	2
Count teams	2
Sheets include quantity	2
Division of responsibilities	2
Counted areas	2
One team	2
Spare parts excluded	2
No investigation of differences	2
WIP valuation	2
Third party sofas	2
Other	2
Maximum	16
Total	20

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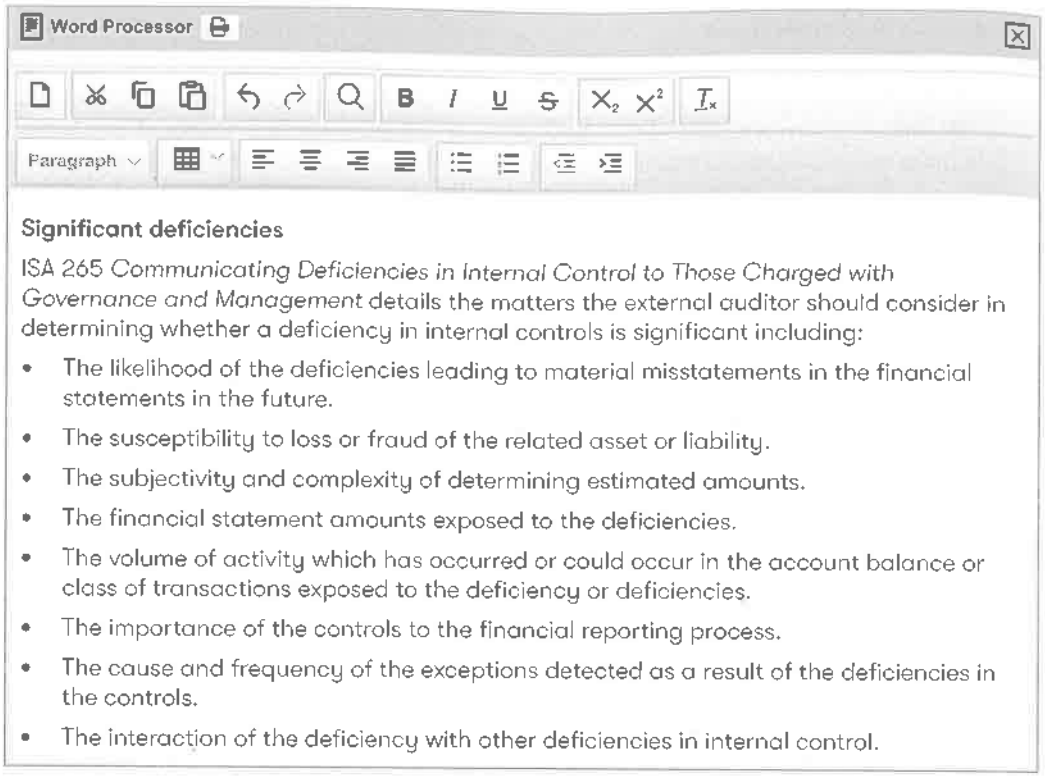
(a)



(b) **Deficiencies and recommendations**

Control deficiency	Control recommendation
Movements of goods in and out of the company's factory and warehouse are being made on the day of the inventory count. While production cannot stop, there is a risk that the inventory count will be incorrect if there are movements of goods during the count which are not adequately controlled. Goods could be included in the count when they should not be, resulting in double counting or omitted from the count when they should be included.	Any raw materials likely to be needed on 30 September 20X5 should be estimated and set aside and included within the work in progress valuation. The company should try to minimise planned dispatches for the day of the count. Goods to be dispatched to customers should be set aside so that they can be excluded from inventory. Raw materials received from suppliers and finished goods received from the factory should be delivered to a different part of the warehouse and counted separately for inclusion as part of raw materials or finished goods at the end of the count.
The count is to be undertaken by 20 teams from the warehouse and will be overseen by the warehouse supervisor. While warehouse staff will be familiar with the inventory of the company, this represents a lack of segregation of duties as they are not independent and hence could deliberately conceal fraud and/or error.	There should be a different department involved in the inventory count to ensure adequate segregation of roles. For example, the teams could be comprised of one counter from the warehouse and one from finance. In addition, the count should not be overseen by the warehouse supervisor. Instead, a responsible official such as the financial controller should oversee the count.

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Control deficiency	Control recommendation
The inventory sheets detail the quantities held at the date of the count. If quantities are contained on the inventory sheets, counters may not undertake a full physical count of the inventory on hand, instead relying on the pre-populated numbers. This could result in over or understated inventory quantities.	The inventory count sheets should not contain details of quantities but should instead only include product codes. This should ensure that counters physically count the inventory and record the actual quantities on hand on the inventory count sheets.
There are 20 teams comprising of two individuals and there is no clear or defined division of responsibilities within the team. As a consequence, both members of the team could be counting, instead of one counting and one recording. There is a risk that errors or omissions may go unnoticed.	The roles of the team members should be defined in the count instructions and split so that one individual is responsible for counting and one for recording the results. In addition, for each team, test counts should be carried out by the count supervisor to ensure that each team is counting effectively.
When an area has been counted, it is marked off on the warehouse map in the office rather than marking the warehouse bays as counted. There is a risk that if the map is not updated properly, a warehouse bay could be omitted or double-counted resulting in incorrect inventory quantities being recorded.	All warehouse bays which have been counted should be physically marked as such so that it is not missed or double-counted. All warehouse bays should be inspected at the end of the count to ensure that all areas/items have been marked to ensure the completeness of the count.
Inventory is only being counted by one counting team. When the inventory count is then compared to the book quantities, it will be difficult to ascertain whether differences are due to counting errors or are genuine adjustments, resulting in errors in the final inventory valuation.	Once the first count has been completed, a second count should be undertaken by a team who did not perform the first count. Any differences on the first count should be notified to the count supervisor and a third count undertaken if necessary. Sample checks should be carried out by the count supervisor to ensure that items are being counted properly.
There is a large quantity of spare parts which are not being counted on the grounds that they are unusable. All items in the warehouse should be counted irrespective of whether they are old, damaged or obsolete as otherwise there is a risk that inventory is understated. Furthermore, if these items are not counted and included on the inventory sheets, there is a risk that items could be misappropriated.	This area of the warehouse should be included on the count sheets and warehouse map and included in the count to ensure that all items are counted. If the items are potentially obsolete, this should be flagged on the inventory count sheets to allow consideration of their subsequent valuation by the finance team following the count.
Completed inventory sheets are passed to the warehouse assistant for an immediate update to the inventory records. There does not appear to be any investigation into differences between physical inventory and the inventory records prior to the adjustment being made. Significant variations could be an indication of fraud or inaccuracies in the recording of inventory which could result in under or overstated inventory.	All differences should be investigated to establish whether the inventory records are incorrect, or the count has been inaccurate. Once the investigation is completed, only then should the inventory records be amended.

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Control deficiency	Control recommendation
The warehouse supervisor is going to undertake the valuation of work in progress at the year end which has previously been carried out by an expert. While the warehouse supervisor is familiar with the company's products, he may not have the necessary expertise to determine the stage of completion of different products, resulting in mistakes and inventory being over or understated.	A specialist should continue to be used to value the work in progress at the year end and the basis for the valuation should be agreed with the specialist to ensure it is appropriate. If the company no longer wishes to use a specialist this year, the warehouse supervisor could perform the valuation and have the specialist check the valuation.
The company has 30 sofas in its warehouse which belong to a third party and they are to be stored alongside similar products to Silver Co. If these sofas are not segregated from Silver Co's own inventory, they may be counted and included in the inventory valuation resulting in overstated inventory.	The sofas belonging to the third party should be separated from the inventory of Silver Co and clearly marked to avoid them being included in the count and the final inventory valuation.

Videos can be viewed online by accessing your ebook version on VitalSource.

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Course Book references

Chapters 9 and 10.

Top tips

With this question you had all aspects of controls. In (b) you needed to actively read the scenario looking for good things in the system that equated to a control that you could rely on and test. Then in (c) you needed to actively read the scenario with a different mindset, looking for problems with the system to help you pick out deficiencies.

When explaining a deficiency it sometimes helps to ask yourself what could go wrong because of it (eg because of a missing or poorly operating control) and then use the answer to that question to help you explain why a deficiency is a deficiency, by stating the consequences for the business.

Easy marks

Part (a) was a largely knowledge-based requirement that had been tested in previous exams relating to determining whether a deficiency is significant.

Examining team's comments

In relation to part (b), it is important that having read the question requirement, candidates take the time to ensure they fully understand what the requirement involves. This session there were a number of candidates who mixed up their deficiencies and controls and provided direct controls which were not complete and therefore were deficiencies.

With test of controls, it must be remembered that these are procedures carried out by the auditor, therefore candidates need to ensure that they focus on what the auditor should do rather than provide recommendations for management.

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Marking guide

		Marks	
(a) (i)	Significant deficiencies	1	
(ii)	Matters	3	
	Maximum		4
(b)	**Direct controls and tests of control**		
	Clock in supervised	2	
	Access to standing data	2	
	Authorisation of POs	2	
	Classification of expenditure	2	
	Maximum		6
(c)	**Control deficiencies and recommendations**		
	Wage calculations	2	
	Lack of segregation of duties re payroll manager	2	
	Goods not checked to order	2	
	Invoices not sequential	2	
	Invoices not matched to GRN	2	
	Documents unable to be located	2	
	Asset budgets exceeded	2	
	Maximum		10
Total			20

(a) (i)

Word Processor

Paragraph

Significant deficiencies

ISA 265 *Communicating Deficiencies in Internal Control to Those Charged With Governance and Management* states that a significant deficiency in internal control is a deficiency or combination of deficiencies in internal control which, in the auditor's professional judgement, is of sufficient importance to merit the attention of those charged with governance.

ANSWERS

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(ii)

Word Processor

Examples of matters the external auditor may consider in determining whether a deficiency in internal controls is significant include:

- The likelihood of the deficiencies leading to material misstatements in the financial statements in the future.
- The susceptibility to loss or fraud of the related asset or liability.
- The subjectivity and complexity of determining estimated amounts.
- The financial statement amounts exposed to the deficiencies.
- The volume of activity that has occurred or could occur in the account balance or class of transactions exposed to the deficiency or deficiencies.
- The importance of the identified deficient controls to the financial reporting process.
- The cause and frequency of the exceptions detected as a result of the deficiencies in the controls.
- The interaction of the deficiency with other deficiencies in internal control.

(b) **Direct controls and tests of control**

Direct control	Test of control
Distribution depot employees are issued with staff identity (ID) cards which record their hours worked and they are required to sign in and out of the factory, this process is supervised by security staff and CCTV cameras. This ensures that genuine employees are only paid for the work actually done and reduces the risk of employees being paid but not completing their required hours. In addition, due to the supervision and cameras, it is unlikely that one employee could sign in on behalf of other employees.	Observe the use of staff ID cards by employees when entering the distribution depots and confirm that security staff are supervising the process. Review footage from CCTV cameras from a sample of depots to confirm the sign in process is recorded and supervised by security staff.
Access to employees' standing data in the payroll system is restricted to payroll managers through the use of a password which the system requires to be changed on a monthly basis. As access is restricted to authorised individuals and this is enforced by a password which is changed regularly, it prevents unauthorised access to standing data, reducing the likelihood of mistakes or unauthorised changes leading to fraud or incorrect payment of wages.	The audit team should supervise an attempt by a payroll manager to access the standing data in the payroll system using an out of date password, the system should reject access.
All purchases orders are authorised with those below $3,000 authorised by the purchasing manager and those above $3,000 by the purchasing director. This ensures that goods are only purchased which are required by Francisco Co and relate to genuine business expenses, thereby reducing unnecessary costs and the risk of fraud.	Select a sample of purchase orders and review for evidence of authorisation in accordance with authorisation limits. Agree this to the appropriate signature on the approved signatories list.

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Direct control	Test of control
Purchase orders for new equipment are classified by the finance manager between assets to be recognised in the statement of financial position and expenses to be included in the statement of profit or loss using the formal company policy established by the finance director. The finance director also sample checks the classification is correctly applied. The use of formal company policy and sample checks by the finance director should reduce the risk of an incorrect assessment and of understated/overstated profits, non-current assets and depreciation charges.	Select a sample of purchase orders for assets and review evidence of the classification being applied. Review purchase orders for evidence of the finance director's sample checks, for example, by signature. For a sample of orders, compare the classification noted with the formal policy to assess whether the classification was correctly undertaken.

(c) **Control deficiencies and recommendations**

Control deficiency	Control recommendation
The monthly payroll calculations are automatically generated by the payroll system and pay slips are produced. Therefore, there are no checks performed on the calculations. While an automated system is an effective way of reducing error, there is a possibility that system errors occur during the payroll processing which would not be identified. This could result in payroll being over or under calculated, leading to an additional payroll cost or loss of employee goodwill.	A senior member of the payroll team should recalculate the gross to net pay workings for a sample of employees and compare the results to the output from the payroll system. These calculations should be signed as approved by the finance director before payments are made.
The senior payroll manager reviews the bank transfer listing prior to authorising the payments and also amends the payroll records for any changes required. There is a lack of segregation of duties as it is the payroll team which processes the amounts and the senior payroll manager who authorises payments. The senior payroll manager could fraudulently increase the amounts to be paid to certain employees, process this payment, and then amend the records.	The senior payroll manager should not be able to process changes to the payroll system as well as authorise payments. The authorisation of the bank transfer listing should be undertaken by an individual outside the payroll department, such as the finance director.
Deliveries of goods are checked for correct quantities and quality against the supplier's delivery note but not to the purchase order. Goods may be accepted which were not originally ordered, leading to a waste of company resources.	The warehouse team members should agree deliveries from suppliers to both the supplier's delivery note as well as a copy of the original order form. All checks should be evidenced by way of signature.
Purchase invoices are given a system generated unique number based on the supplier code and date of input in the accounting system and are not sequentially numbered. Failing to sequentially number invoices means that Francisco Co's finance department is unable to monitor if all invoices have been completely recorded and that no invoices have been misplaced. This could result in a failure to make payment to a supplier on time.	The accounting system should be updated so that all purchase invoices are automatically assigned a sequential number and on a regular basis, a sequence check of invoices should be performed to identify any gaps in the sequence.

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Control deficiency	Control recommendation
Purchase invoices are matched to purchase orders, passed to the finance director for authorisation and then input into payables. However, the invoices do not appear to have been agreed to the relevant goods received notes (GRNs) prior to input. This could result in invoices being paid for goods which were not received, resulting in increased costs.	All purchase invoices should be matched to both the purchase order and the related GRN. The details should be agreed prior to the invoice being processed.
Approximately 55% of Francisco Co's depots are owned, with the balance being held under lease agreements. The ownership documents and lease agreements are held in the finance department, but the IA department were unable to locate a number of these documents. Ownership documents provide proof that Francisco Co owns sites and lease agreements provide evidence of right of use. If these are not stored securely or are misplaced, Francisco Co may encounter difficulties when trying to sell a site or may incur additional costs to obtain duplicate copies.	Copies of ownership documents and lease agreements which cannot be located should be requested from the company's lawyers. All ownership documents and lease agreements should be stored securely, for example, in a fire-proof safe, or could be held offsite with a third party such as the company's lawyers or bankers. The company should maintain a log of all ownership documents/lease documentation which should be updated and reconciled on a regular basis.
Some cost centres have already significantly exceeded their annual asset expenditure budgets. It appears that purchase orders for asset expenditure are being placed without being agreed back to the annual budget, resulting in significant overspends. The increased expenditure may be due to increased levels of services being provided, or it could be due to a lack of control over the asset expenditure process, resulting in increased costs and reduced profits.	The company's monthly management accounts should include an analysis of asset expenditure against budget and prior year per cost centre. Each cost centre head should include a narrative which explains the significant variances to date. Purchase orders for assets should be compared to the annual budgets as part of the authorisation process. Any spend in excess of the budget should be referred for authorisation to the finance director.

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Section A

Expert

110 The correct answers are:

- The revaluation constitutes a change in accounting policy, so we will need to consider the adequacy of the disclosures made in respect of this
- The flagship store should be depreciated on its revalued amount

IAS 16 *Property, Plant and Equipment* permits non-current assets to be revalued (IAS 16: para. 31). However, if an item of property, plant and equipment is revalued, the entire class of property, plant and equipment to which that asset belongs must be revalued (IAS 16: para. 36). Truse Co is therefore entitled to revalue the shop, but it will also need to revalue all of the other shops if it is to comply with IAS 16.

The revaluation does constitute a change of accounting policy, so disclosures do need to be reviewed.

Under IAS 16, all non-current assets used by the entity should be depreciated, even if the fair value is in excess of the carrying amount. Repair and maintenance does not negate the need to depreciate the shop over its useful life (IAS 16).

Repairs and maintenance costs should be expensed as incurred, not capitalised.

111 The correct answers are:

- Existence - **Yes**
- Occurrence - **No**
- Classification - **Yes**
- Presentation - **Yes**

Existence, classification and presentation are all assertions related to tangible non-current assets. Completeness and accuracy, valuation and allocation are also relevant assertions (ISA 315 (Revised)). Occurrence and classification relate to classes of transactions and events recorded in profit or loss (ISA 315 (Revised)).

112 The correct answer is: For a sample of assets selected by physical inspection, agree that they are listed on the non-current assets register

Physically inspecting assets listed in the non-current assets register tests for existence. Recalculating the carrying amount tests for accuracy, valuation and allocation. Inspecting relevant purchase invoices or deeds tests for rights and obligations.

113 The correct answer is: The existence of any interests in or relationships with Truse Co that might pose a threat to the expert's objectivity

The existence of threats to the expert's objectivity should be considered as part of determining the competence, capability and objectivity of the auditor's expert (ISA 620). However, it is not a matter to be considered when the auditor determines the overall nature, timing and extent of the audit procedures required to evaluate the auditor's expert and the auditor's expert's work.

Besides the other three matters listed, the auditor should also consider the nature of the matter to which the auditor's expert's work relates (ie the nature of Truse Co's properties) and the significance of the auditor's expert's work in the context of the audit (this depends, in part, on the materiality of the property account).

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114 The correct answers are:

Audit evidence	Order
Cash count carried out by the audit junior himself	(1)
Bank confirmation report from Truse Co's bank	(2)
Bank reconciliation carried out by the cashier	(3)
Verbal confirmation from the directors that the overdraft limit is to be increased	(4)

Auditor generated evidence is more reliable than evidence from other parties. Third-party evidence is more reliable than client generated evidence. Documentary evidence is more reliable than verbal.

Newthorpe

115 The correct answers are:

- The auditor observes client staff to determine whether inventory count procedures are being followed
- The auditor reviews procedures for identifying damaged, obsolete and slow-moving inventory

Management is responsible for organising the inventory count, not the auditor. If the results of the auditor's test counts are not satisfactory, the auditor can request that inventory is recounted, but the auditor cannot insist on a recount. However, if management refuses the auditor's request then the auditor will need to consider the implications of this on the auditor's report.

116 The correct answer is: For a sample of inventory sold just before and just after the year end, match dates of sales invoices/date posted to ledgers with date on related goods dispatched notes

All of the suggested audit procedures test the valuation assumption, except for matching the dates of sales invoices with the dates on the related goods dispatched notes, which is an audit procedure around cut-off.

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117 The legal claim should | not be recorded as a provision but disclosed as a contingent liability | because | a present obligation exists, but the outflow of economic resources is not probable |.

Management believe that there is a 35% chance of the claim succeeding. For an event to be 'probable', it should be more likely than not to occur (ie a 50% probability) (IAS 37). In this case, the outflow of economic resources is therefore not probable, so a provision should not be recognised. A present obligation (not a possible obligation) exists, since the former managing director has sued Newthorpe for unfair dismissal. It is because the likelihood of him succeeding in his claim is not probable that the claim should be treated as a contingent liability instead of a provision.

118 The correct answer is: Send an enquiry letter to Newthorpe's lawyers to obtain their view as to the probability of the claim being successful

Independent third-party audit evidence is generally considered to be more reliable than client generated or auditor-generated audit evidence. Although all the procedures are valid, only the written confirmation from Newthorpe's lawyers provides an expert, third-party confirmation on the likelihood of the claim being successful. It is also sent directly to the auditor rather than to the client.

119 The correct answer is: To perform specific audit procedures to identify possible non-compliance

ISA 250 (Revised) distinguishes between those laws and regulations which have a direct effect on the financial statements, and those which have an indirect effect (ISA 250). For those which have a direct effect on the financial statements the auditor must undertake specified audit procedures to help identify non-compliance with laws and regulations that may have a material effect on the financial statements (ISA 250).

Tirrol

120 The correct answers are:

- We should budget for the extra time required to document an understanding of the entity, its environment and its systems, and to verify material opening balances
- We must agree a clear timetable with the client for the testing of the computerised inventory systems, setting out availability of access to the system, files and personnel required to complete testing

As this is Cal & Co's first year of auditing Tirrol Co, additional time should be budgeted for documenting an understanding of the entity and for verifying the opening balances. Because Cal & Co's audit software has to be rewritten and the testing is taking place on a live basis, it is particularly important to plan our procedures involving ATTs carefully.

The ACCA's *Code of Ethics and Conduct* does not specifically prohibit lowballing, so withdrawing from the audit engagement on this basis is disproportionate. However, the Code and auditing standards do require that the firm demonstrates that appropriate time and qualified staff are assigned to the audit, and that all applicable standards are being adhered to. It may not be appropriate to adopt a combined approach if the control risk is deemed to be high. The appropriate audit approach should be determined by the risk assessment, not by time or fee constraints.

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121 The correct answers are:

- The ability to test all 25 of Tirrol Co's locations using the same audit software, resulting in time and cost savings
- The ability to select and extract a sample of inventory data for testing, thus reducing sampling risk

Audit software is used to perform substantive procedures rather than tests of controls and therefore this would not include testing internal controls relating to the input of data. Similarly, the error rate in a sample refers to the number of times a control deficiency is projected to occur in a population and therefore is not relevant to audit software.

122 The correct answer is: A sampling method which involves having a constant sampling interval; the starting point for testing is determined randomly

The first option describes monetary unit sampling. The third option is an example of block selection. The fourth option describes haphazard sampling.

123 The correct answer is: Whether there are any significant threats to the objectivity of the internal auditor

The objectivity of the internal auditor should be considered in determining whether or not the work of the internal auditors can be used in the first place. It is not part of evaluating the work itself.

124 The correct answer is: Inventory should be $43,500, inventory is overstated

Inventory should be measured at the lower of cost and net realisable value (IAS 2). Net realisable value is defined by IAS 2 as estimated selling price less estimated costs necessary to make the sale (IAS 2). In this case, inventory should be written down by $6,000 and shown at a value of $43,500 in the financial statements.

Wright

125 The correct answer is: 1 and 3

Material items will require more evidence to support them than immaterial items, which might be tested by comparative analytical review only. If the evidence is of high quality, then less may be required than if it were of poorer quality. Time and budget constraints should never influence the auditor's judgement regarding the sufficiency of audit evidence. The size of the account is considered in determining materiality (ie materiality may be determined as 5% of profit before income taxes), but the auditor's judgement regarding the sufficiency of audit evidence depends on the level of audit risks associated with each account. The operating effectiveness of the company's internal control systems will also influence this judgement.

126 The correct answer is: 2 only

The goods were received before the year end and have been recognised in inventory. A liability should therefore be recognised in the current accounting period. Although the cheque cleared the bank account after the year end it was issued before the year end and there is nothing to suggest that it has been deliberately held back. The cash in transit is therefore a legitimate reconciling item.

127 The correct answer is: No further evidence is required

As the supplier statement balance agrees with that on the payables ledger, no further work is required in respect of this account.

Purchase orders made after the year end would not have any effect on current year liabilities.

As a supplier statement is available there would be no need to ask for a direct confirmation of the balance from supplier XX3.

Credit notes issued by Wilbur Co would potentially affect receivables, not payables, balances.

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128 The correct answer is: Written on the audit firm's headed paper; information requested to be sent directly to the auditor

The bank confirmation letter must be sent identifiably by the auditor, and responses should be provided directly to the auditor. This is to prevent the information being distorted by any lack of objectivity, or tampering by client management.

129 The correct answer is: The bank's date stamp on the paying-in slip

The bank's stamp on the paying-in slip is the most reliable as it is third-party evidence and shows the date the lodgements were actually paid into the bank.

The bank statement would be a useful source of evidence but there may be a delay between the paying-in date and the date that the balance is cleared by the banking system. Therefore the bank statement date is not necessarily an accurate reflection of when the lodgement was made. There may also be a delay between the date on the cheques/remittance advice and the date it is actually received by Wilbur Co.

Lodestar

130 The correct answer is: The sample selection does not address the risk of understatement as it has focused on the ten largest balances

The first option is incorrect as the sample is not appropriate. In order to test **completeness**, the sample selection for a receivables circularisation should consider incorporating nil balances and balances written off in the year to ensure that the balance is not understated. (Hence the third option is correct.)

The second option is incorrect as the nature of sampling means that a percentage of the balance will not be sampled, but conclusions can still be drawn.

The fourth option is incorrect as stratification is not required (although it may be helpful) and would not necessarily give a 'representative' sample, due to the risks discussed above in relation to the first option.

131 The correct answer is: 1, 2 and 4

Appropriateness refers to relevance and reliability. All the procedures are relevant to the assertion, but only some of them are reliable. Simply asking the credit controller if the client exists is not reliable, as it gives oral evidence generated by management and does not add value to the receivables ledger.

Sending out a follow-up request gives the auditor a chance of obtaining evidence direct from a third party, which would be considered very reliable.

Reviewing cash receipts after date gives indirect evidence from a third party as, if someone is paying the debt, it implies it existed in the first place.

Reviewing the sales invoices is auditor-generated evidence that the sale was generated in the first place. It is based on relatively weak internally generated evidence (the invoices) but as it involves auditor analysis (for example, whether the relevant invoices appear in numerical sequence with other genuine invoices and have associated goods outwards notes) it adds a degree of reliability. This evidence would not be sufficient on its own but it might corroborate other evidence.

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132 The correct answer is: Trade receivables should be $6,000 lower, current assets are overstated

The difference caused by the payment by the customer does not require adjustment. The auditor has verified that the payment was received by Lodestar on 2 October, which is consistent with the third-party evidence that it was sent out on 30 September. As far as Lodestar is concerned, the debt was genuine at 30 September and there is good evidence about its existence and valuation provided by the subsequent payment.

The customer is disputing an invoice and declaring its intention not to accept the debt. Regardless of management's intention to dispute this credit request, that suggests that the **valuation** of the debt is inappropriate (as the customer is only prepared to pay $0 in effect for that invoice), even if the **existence** of the debt can be proved. The invoice should be written off, hence receivables and current assets are overstated by $6,000.

133 The correct answer is: Auditors should use their own estimate in the financial statements, as auditor-generated evidence is more conclusive than management-generated evidence

Auditors do not prepare the financial statements, management do. It is inappropriate to suggest that the auditors should prepare a figure for the financial statements (and this might cause an ethical threat of self-review). Auditor-generated evidence is considered reliable, so if the auditors did make an estimate which was significantly different from management's, this would be evidence that the allowance was misstated. The auditor will have to bear in mind the risk of management bias in making an estimate, and it is true that it can be difficult to obtain evidence relating to management judgement (particularly in this case if no events occur to 'prove' the debt is doubtful, such as the customer going into liquidation, or management writing the debt off – which they are likely to want to defer in case the debt is eventually paid).

134 The correct answer is: 1, 2, 3, 4

The assertion being tested is **valuation**.

(1) Gives indirect third-party evidence that the valuation of the debt is appropriate (ie in proving that some debts have not been paid)

(2) Gives auditor-generated evidence of the age of some debt and therefore the fact that its valuation is likely to be in doubt (otherwise it would have been paid before)

(3) Gives management evidence relating to the valuation of the debt, which might give the auditor insight into issues they might otherwise be unaware of, such as conversations with customers about when debts are to be paid

(4) Gives very little evidence about current valuation, as it only shows what the value was at the time the invoice was sent, and is of low reliability anyway, as it is internally generated

Porthos

135 The correct answer is: 2, 4, 1, 3

The steps should be undertaken in this order. The objective of the ATTs should be determined first and foremost. The accessibility of the data files must be considered before the scope and nature of the procedures are determined.

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136 The correct answer is: (i), (ii), (iii) and (iv)

Testing orders for unusually large quantities identifies whether any reject controls requiring special authorisation for large orders are effective. Testing orders with fields left blank determines whether controls are in place to prevent orders being placed that can't be fulfilled due to missing information (ie incomplete delivery address). Testing orders with invalid inventory codes identifies whether controls are in place to ensure that the correct goods are dispatched. Finally, orders with correct and complete details should be accepted by the system. This will allow the auditor to inspect the order confirmation to determine whether the order details are transferred accurately into the dispatch system.

137 The correct answer is: For sales invoices issued before 31 December 20X7 use audit software to determine whether there is a matching GDN dated before 31 December 20X7

Sales cut-off will have been correctly applied where goods are dispatched and recognised as sales in the same accounting period. Therefore all GDNs relating to goods dispatched before 31 December 20X7 should be matched by a sales invoice also dated before 31 December 20X7.

The fact that goods are picked and dispatched in the same accounting period does not provide evidence that sales have been recognised in the correct accounting period. Therefore the third and fourth options are not relevant.

138 The correct answer is: To provide audit evidence over the completeness of the recording of sales

Sequence checks on sales invoices provide evidence on the completeness of sales.

139 The correct answer is: (21,600 × 2/12) + (24,000 × 10/12)

The rent recognised in the year should reflect that earned in the period. For January and February this will be based on an annual rental income of $21,600. For the remaining 10 months this would be based on the increased rental. The proof in total should be calculated on the same basis.

Lancaster Co

140 The correct answers are:

- Physically inspect a sample of assets selected from the non-current asset register
- Inspect the condition of assets held to determine the need for any impairment

This question tests candidates' understanding of the purpose of specific audit procedures relating to non-current assets with the focus being overstatement. When testing for overstatement it is essential to work from the financial statements to source documents or assets. (Working from source documents or assets to the financial statements would test for understatement.) Candidates should also note the number of responses required. In this case two correct answers from four options are required. Selecting assets from the non-current asset register and inspecting them tests the existence assertion which provides evidence regarding potential overstatement – the balance will be overstated if assets included do not exist.

Assessing the need for impairment is a valuation test. If an asset is impaired but the impairment has not been recognised the balance will be overstated. Option 1 provides evidence that disposals which are recorded have actually taken place. This tests for understatement and is therefore not an appropriate response. Option 3 also tests for understatement by confirming that assets physically inspected are recorded in the non-current asset register.

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141 The correct answer is: 1, 3 and 4 only

In respect of test (1), tracing additions per the non-current asset register to the bank ledger account and invoice, checking that the date is correct is an existence check providing evidence that the asset was held by Lancaster Co from that date. Confirming the amount at which the asset is recorded to the bank ledger account and invoice is a valuation test. Test (2) is an analytical procedure. It therefore provides evidence in respect of all the assertions listed with the exception of classification. As the comparison is being performed based on totals, this test would not provide evidence relating to classification.

142 The correct answers are:

- Perform a proof in total for the depreciation charge of $2m included in the financial statements and investigate any significant differences
- Discuss with management the reasons for the $300,000 difference in the current year depreciation compared to the prior year

Options 2 and 4, a proof in total and a comparison with the prior year are both analytical procedures and are therefore substantive procedures. Reviewing the non-current asset register to ensure that assets have been assigned a useful life and reviewing board minutes for evidence of approval of useful lives are both examples of tests of controls. This question tests candidates' understanding of the different types of procedures which the auditor may perform during the audit, and in particular the distinction between tests of controls and substantive procedures. Substantive procedures are designed to detect material misstatement at the assertion level whereas tests of controls are designed to evaluate the operating effectiveness of controls. It is essential that candidates understand the purpose of these two types of procedure and can distinguish between them, both for Section A and Section B questions. Candidates also need to be aware that substantive procedures include both analytical procedures and tests of detail.

143 $ 1.5 m

At the disposal date accumulated depreciation would be: $6m × 0.05 × 7 = $2.1m

The carrying amount of the asset at the date of disposal would be: $6m – $2.1m = $3.9m

Disposal proceeds are: $6m × 40% = $2.4m

The loss on disposal is therefore: $3.9m – $2.4m = $1.5m

This question highlights the importance of candidates having the required Financial Accounting knowledge which underpins the ability to perform an effective audit. The auditor must understand the basis on which the financial statements being audited should have been prepared if misstatements are to be identified. In this instance, if the auditor is to audit the profit or loss on disposal they must be familiar with the components which make up this balance. This particular calculation could be relevant, for example, as part of the analytical procedures performed. The auditor would form their own expectation of the profit or loss on disposal of an asset and then compare this with the profit or loss recognised in the financial statements. Candidates should also take note of the specific instruction provided with this question ie that the answer should be provided to one decimal place. Where specific instructions like this are given in a question it is essential that candidates follow these to avoid losing marks unnecessarily.

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144 The correct answers are:

- Reference to the work of the external expert should not be included in the auditor's report
- The objectivity of the valuer must be assessed before placing reliance on the valuation report

This question tests candidates' understanding of the issues for the auditor when placing reliance on the work of an expert. There are two types of expert which the auditor may rely on during the course of the audit, a management's expert or an auditor's expert. In this instance the expert has been used by Lancaster Co to assist it with the valuation of the buildings which will appear in the financial statements. The expert is therefore a management's expert in accordance with ISA 500 *Audit Evidence*. If information is to be used as audit evidence that has been prepared using the work of a management's expert the auditor must evaluate the objectivity of that expert. The competence and capabilities should also be evaluated. The auditor takes sole responsibility for the audit opinion. If the auditor is to rely on the work of the expert the evidence would have been evaluated with the conclusion that it provides appropriate evidence to support the valuation. No reference therefore to the expert should be made in the auditor's report.

Option 1 is incorrect as in accordance with ISA 500 there may be circumstances where it is appropriate for the auditor to place reliance on a management's expert. Simply obtaining the valuation report would not constitute sufficient and appropriate evidence over the carrying amount of the buildings. In accordance with ISA 500 the auditor would be required to evaluate whether the information is sufficiently reliable for the purposes of the audit. This would include obtaining evidence about the accuracy and completeness of the information and evaluating whether it is sufficiently precise and detailed. Option 2 is therefore incorrect.

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Willow & Co

145 The correct answers are:

Obtain Ash Co's bank reconciliation and cast to ensure mathematical accuracy			RECALC-ULATION	
Obtain a bank confirmation letter from Ash Co's bankers				EXTERNAL CONFIRM-ATION
Perform a cash count for comparison with the results of the cash count conducted by Ash Co	REPERFORM-ANCE			

This question examines candidates' understanding of the different types of audit procedures which the auditor may use to obtain audit evidence and also the ability to apply this understanding to specific examples of procedures performed.

Casting the bank reconciliation to ensure it is mathematically accurate is an example of a recalculation procedure.

Obtaining the bank confirmation letter is an example of an external confirmation as the bank is a third-party source.

Performing the cash count and comparing the results with the cash count already carried out by the company is an example of a reperformance procedure.

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146 The correct answer is: 4, 2, 3, 1

ISA 500 *Audit Evidence* states that the reliability of information used as audit evidence is influenced by its source and its nature and the circumstances under which it is obtained. It also states that while exceptions may exist, the following generalisations can be made:

- The reliability of audit evidence is increased when it is obtained from independent sources outside the entity.
- The reliability of evidence generated internally is increased when related controls are effective.
- Audit evidence obtained directly by the auditor is more reliable than audit evidence obtained indirectly or by inference.
- Audit evidence in documentary form is more reliable than evidence obtained orally.

In the case of the evidence collected in respect of Ash Co, the bank confirmation letter received from Ash Co's bank described in (4) is the most reliable. It is evidence from an independent party outside the entity and as it is the bank it would be a knowledgeable source.

Auditor generated evidence is normally seen as a reliable source, however in this case as described in (2) its reliability is affected by the fact that the reconciliation is prepared using client documents.

Audit evidence (1) and (3) are both sources of evidence generated by the client. However due to the nature of their role internal audit would be viewed as being more independent than an accounts clerk, therefore (3) would be more reliable than (1).

147 The correct answers are:

- The risk of material misstatement including fraud risk needs to be re-evaluated
- The audit plan must be revised and alternative procedures considered

This question emphasises the importance of candidates being able to think practically. In this case Ash Co has restricted Willow & Co's ability to collect audit evidence. As a result it would be appropriate to re-evaluate risk. It would also be appropriate to revise the audit plan accordingly in the light of this and to determine whether sufficient appropriate evidence can be obtained by alternative means.

The third option is incorrect as although a modified opinion may ultimately be the end result further procedures may be possible therefore it would not be appropriate to conclude that a modified opinion must be issued at this stage. The fourth option is incorrect as the bank would not respond to the request without permission from Ash Co.

148 The correct answer is: Bank and cash is overstated by $400,000

In order to carry out an effective audit the auditor must have a good understanding of financial accounting. This question examines the impact on the bank and cash balance of issues identified as part of the audit of the bank reconciliation. A key point to remember is that it is the bank ledger account figure (adjusted if required) which will appear in the financial statements.

In this case two issues have been identified in the preparation of the bank ledger account. The total has been incorrectly reduced by $300,000 in respect of cheques which were not posted until after the year end and has been incorrectly increased by $700,000 in respect of lodgements not submitted until after the year end. The net effect of this is an overstatement of $400,000. As the bank charges were not charged by the bank until June these would have been recognised as an accrual at the year end and therefore would have no effect on the year-end bank and cash balance.

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149 The correct answer is: Inspect Ash Co's constitution documents for evidence that the share issue is permitted

The AA syllabus includes learning outcomes which cover a wide range of balances in both the statement of profit or loss and the statement of financial position. This question examines procedures relating to a share issue. Candidates should be prepared for questions on any of the balances listed in the syllabus.

This question also highlights the importance of careful reading of the requirement. Here candidates are required to consider which procedure will address the partner's concern ie, over whether the transaction has been carried out in compliance with appropriate laws and regulations. The second option would be the appropriate response as it is the only procedure which would address this concern.

With this question candidates may find it useful to derive the correct answer through a process of elimination. This first option would show approval by the board but would not confirm whether the issue was lawful. The third option would not be appropriate as other evidence should be available. The fourth option would provide evidence regarding the recording of the share issue but does not provide evidence that the transaction complies with laws and regulations. The second option is therefore the correct answer as explained above.

Pickering & Co

150 The correct answer is: 3 only

This question tests an understanding of the forms of evidence available to the auditor. Discussing a matter with knowledgeable persons is an example of enquiry. In this instance, only the discussions with management are an enquiry. Watching a process is observation, obtaining a bank letter is confirmation and comparing annual balances is an analytical procedure.

151 The correct answer is: 1, 2 and 4 only

The auditor is required to obtain sufficient and appropriate audit evidence in order to be able to draw reasonable conclusions on which to base the audit opinion. Therefore, the source and reliability of this evidence is crucial.

In this instance, the bank confirmation letter being received via the client means that the auditor is not receiving directly from a third party, therefore reducing the reliability of the audit evidence. The loss of the original year end bank statement and its replacement with a photocopy also reduces the reliability of this piece of evidence, as the risk of tampering increases. The unreconciled difference means that this key control is not operating as effectively as it should and therefore reduces the reliability.

The fact that the bank account is new does not reduce the reliability of the audit evidence; the year end balance is what is being tested and therefore the fact that it has not been subjected to audit in the prior year is irrelevant.

152 The correct answer is: Recalculate the accrued interest based on the outstanding loan value, interest rate and accrual period

Recalculating the accrued interest will be the best procedure to verify the accuracy of accrued interest at the accounting period end.

Testing an internal control, such as the bank reconciliation, is not relevant to the issue. Interest charges are not yet showing on pre year-end bank statements.

The analytical comparison of the loan interest rate is not specific to the calculation of year-end accrued interest.

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153 The correct answer is: Attend the cash count at the year end and reperform the count

Gathering evidence of the existence of bank and cash is a crucial procedure, undertaken during the audit to ensure the assets (or liabilities) truly exist and there has been no overstatement. Attending the cash count at the year end and reperforming the count would be a test for existence and therefore the correct answer.

Reviewing all relevant bank statements to verify that the accounts are held under Walker Co is a test for rights and obligations.

Agreeing a sample of accounts detailed on the bank confirmation letter to the trial balance is a completeness test.

Reviewing the disclosures included in the financial statements to verify only bank accounts per the bank letter are disclosed is a test of presentation.

154 The correct answer is: 3 and 4

When testing for accuracy, valuation and allocation, the auditor is ensuring that assets, liabilities and equity are included in the financial statements at appropriate amounts, ensuring that any resulting adjustments have been appropriately recorded and related disclosures have been appropriately measured and described.

The key to answering this question is to focus on the stated assertions. Tracing the balances from the closing trial balance to statutory records and draft financial statements and also confirming cash receipts from the share issue will both go towards confirming valuation.

Reviewing board minutes and agreeing to constitution documents will not give assurance over the accuracy, valuation and allocation.

Scraper Co

155 The correct answers are:

Provides audit evidence to satisfy the objective of testing existence			BOTH
Cannot be used as the sole substantive procedure unless the population consists of a large number of small, homogeneous balances		NEGATIVE CONFIRMATION	
The customer is requested to reply, indicating whether they agree or disagree with the balance included in the request	POSITIVE CONFIRMATION		

Both positive and negative receivables confirmations (circularisations) provide evidence of existence of receivables.

ISA 505 *External Confirmations* para.15 states that a negative confirmation cannot be used as the sole substantive procedure unless the population consists of a large number of small homogeneous balances.

In a positive receivables confirmation, customers confirm whether they agree or disagree with the balance stated. In a negative confirmation, customers only respond if they disagree.

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156 The correct answers are:

- Inspect pre-year-end invoices and goods dispatched notes for evidence of an order for $9,270 sent to Stale Co
- Agree receipt of the $8,640 to the post-year-end bank statements

The first and third options are correct as they both relate to reconciling items.

The second option is incorrect, as although it is a test which may be performed, it would not be the initial test in these circumstances.

The last option is incorrect, as it is not yet clear that this is an error.

157 The correct answers are:

Inspect post year-end invoices and goods dispatched notes for each customer to confirm the amount recorded in the ledger at the year end		NO
Review the aged receivables listing at the date of the audit to confirm post year-end cash receipts from each customer and agree receipts to bank statement	YES	
Review the allowances for receivables to ensure that the balances due from these customers are included.		NO

Looking at invoices and GDNs after the year end will not allow for the year-end balance to be confirmed and therefore is not relevant.

Reviewing the position after the year end and confirming cash receipts would allow the auditor to obtain assurance over the existence and valuation of the year-end balance so should be performed.

A reply from the customer does not confirm that the balance will be paid. Therefore, there is no indication that these balances should be included in the allowance.

158 The correct answer is: $58,803

Estimated error = 5,040/149,220 × 1,741,000 = $58,803.38.

The first option is incorrect: (treating as single population rather than two sub-populations) = 22,950/558,220 × 2,150,000 = $88,392.57.

The second option is incorrect: (extrapolating based on number of accounts rather than amounts) = 5,040/3 × 30 = $50,400.

The fourth option is incorrect: (extrapolating error rate in sub-population to whole population) = 5,040/149,220 × 2,150,000 = $72,617.61.

159 The correct answer is: 4 only

Confirming the period of the contract and recalculating the relevant portion will be the only test which allows the auditor to confirm that the correct amount has been included in prepayments.

(1) is incorrect as the contract did not exist in the prior year so analytical review cannot be performed on the balance.

(2) would not provide evidence of whether the balance was understated but rather would give assurance about the rights to the asset and whether the balance will generate benefits in the subsequent year.

(3) will confirm that the amount was paid pre-year end and therefore give comfort that this is a genuine prepayment but will not allow the auditor to consider if it is understated.

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Section B

160 Lily

Course Book references

Chapters 10, 11 and 13.

Top tips

This case study style question is based on procedures at an inventory count.

In (a) you need to fully explain each deficiency before you move on to providing relevant recommendations. As you read through the scenario ask yourself what could go wrong and to what extent the inventory count procedures do, or do not, address these issues. This will help you explain your deficiencies as your explanation will include the possible consequences of the missing or ineffective control.

In (b) your procedures must be those that can realistically be carried out during the inventory count, not before or after. These will therefore include observing the teams to make sure they are following instructions, test counting and making notes of GRNs and GDNs. Your procedures should **not** include standard inventory tests that would be carried out later during the detailed audit fieldwork, such as reconciling quantities from the final listing back to the inventory count sheets.

Part (c) for 12 marks on automated tools and techniques may look daunting at first, but taking each sub-requirement in turn and breaking it down into manageable parts should help when working through such a question. In (i) your automated tools and techniques must be relevant to the inventory cycle and year-end inventory balance. You can generate these automated tools and techniques by asking yourself initially what procedures need to be carried out before then determining whether automated tools and techniques would help.

For example, anything involving a calculation (inventory holding period, ageing, recalculating costs) could potentially be performed using automated tools and techniques. In (ii) and (iii) you should be able to suggest advantages and disadvantages of automated tools and techniques , with the advantages being centred around time and cost savings in the long term.

Easy marks

You should have been able to identify/explain deficiencies in (a) and suggest procedures in (b).

Marking guide	Marks
(a) Up to 1 mark per well-explained deficiency and up to 1 mark per recommendation, if not well explained then ½ mark for each	
Warehouse manager supervising the count	1
No division of responsibilities within each counting team	1
Internal audit teams should be checking controls and performing sample counts	1
No flagging of aisles once counting complete	1
Additional inventory listed on sheets which are not sequentially numbered	1
Inventory sheets not signed by counters	1
Damaged goods not moved to central location	1
Movements of inventory during the count	1
Warehouse manager not qualified to assess the level of work in progress	1
Warehouse manager not experienced enough to assess the quantities of raw materials	1
Maximum	12

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(b) Up to 1 mark per well-described procedure

Observe the counters to confirm if inventory count instructions are being followed	1
Perform test counts inventory to sheets and sheets to inventory	1
Confirm procedures for damaged goods are operating correctly	1
Inspect damaged goods to confirm whether the level of damage is correctly noted	1
Observe procedures for movements of inventory during the count	1
Obtain a photocopy of the completed inventory sheets	1
Identify and make a note of the last goods received notes and goods dispatched notes	1
Observe the procedures carried out by warehouse manager in assessing the level of work in progress	1
Discuss with the warehouse manager how he has estimated the raw materials quantities	1
Identify inventory held for third parties and ensure excluded from count	1
Maximum	6

(c) (i) Up to 1 mark per well-described procedure, max of 4 procedures

Calculate inventory holding period	1
Produce an aged inventory analysis to identify any slow-moving goods	1
Cast the inventory listing	1
Select a sample of items for testing to confirm net realisable value (NRV) and/or cost	1
Recalculate cost and NRV for sample of inventory	1
Automated tools and techniques (ATTs) can be used to confirm cut-off	1
ATTs can be used to confirm whether inventory adjustments noted during the count have been updated to inventory records	1
Maximum	4

(ii) Up to 1 mark per well-explained advantage

Test a large volume of inventory data accurately and quickly	1
Cost effective after set-up	1
Automated tools and techniques can test program controls as well as general IT controls	1
Test the actual inventory system and records rather than printouts from the system	1
Automated tools and techniques reduce the level of human error in testing	1
Automated tools and techniques results can be compared with traditional audit testing	1
Free up audit team members to focus on judgemental and high risk areas	1
Maximum	4

(iii) Up to 1 mark per well-explained disadvantage

Costs of using automated tools and techniques in this first year will be high	1
Team may require training on the specific automated tools and techniques to be utilised	1
Changes in the inventory system may require costly revisions to the automated tools and techniques	1
The inventory system may not be compatible with the audit firm's automated tools and techniques	1

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If testing the live system, there is a risk the data could be corrupted or lost	1
If using copy files rather than live data, there is the risk that these files are not genuine copies	1
Adequate systems documentation must be available	1
Maximum	4
Total	30

(a) **Deficiencies and recommendations**

Deficiency	Recommendation
The warehouse manager will supervise the inventory count and is not independent as he has overall responsibility for the inventory. He therefore has an incentive to conceal or fail to report any issues that could reflect badly upon him.	An independent supervisor should be assigned, such as a manager from the internal audit department.
Aisles or areas counted will not be flagged. This could result in items being double counted or not counted at all.	Once areas have been counted they should be flagged. At the end of the count the supervisor should check all areas have been flagged and therefore counted.
There is no one independent reviewing controls over the count or test counting to assess the accuracy of the counts.	Instead of the internal auditors being involved in the count itself, they should perform secondary test counts and review controls over the count.
Damaged goods are being left in their location rather than being stored separately. This makes it more difficult for finance to assess the level of damage to the goods and establish the level of write down needed. Also, if not moved, damaged goods could be sold by mistake.	Damaged goods should be clearly marked as such during the count and at the end of the count they should be moved to a central location. A manager from the finance team should then inspect these damaged goods to assess the level of allowance or write down needed.
Due to the continuous production process, there will be movement of goods in and out of the warehouse during the count, increasing the risk of double counting or failing to count inventory. This could mean inventory in the financial statements is under- or overstated.	Although it is not practicable to disrupt the continuous production process, raw materials (RM) required for 31 July should be estimated and separated from the remainder of inventory. These materials should be included as part of work in progress (WIP). Goods manufactured on 31 July should be stored separately, and at the end of the count should be counted once and included as finished goods. Goods received from suppliers should also be stored separately, counted once at the end and included in RM. Goods dispatched to customers should be kept to a minimum during the count.

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Deficiency	Recommendation
The warehouse manager is going to estimate WIP levels. The warehouse manager is unlikely to have the necessary experience to estimate the WIP levels which is something the factory manager would be more familiar with. Alternatively a specialist may be needed to make the estimate. This could ultimately result in an inaccurate WIP balance in the financial statements.	A specialist should be used to assess the work in progress.
The warehouse manager is going to approximate RM quantities. Although he is familiar with the RM, and on the basis that a specialist has been required in the past, the warehouse manager may not have the necessary skill and experience to carry out these measurements. This could result in an inaccurate RM balance in the financial statements.	As in previous years, a specialist should assess the quantities of raw materials, or at least check the warehouse manager's estimate to give comfort that the manager's estimates will be reasonable going forward.
There is no indication that inventory sheets are signed or initialled by the counting team, nor a record kept of which team counted which area. This means it will be difficult to follow up on any anomalies noted, as the identity of the counters may not be known.	Inventory sheets should be signed by both team members once an aisle is completed. The supervisor should check the sheets are signed when handed in.
Inventory not listed on the sheets is to be entered onto separate sheets. These sheets are not sequentially numbered and the supervisor will be unable to ensure the completeness of all inventory sheets.	Every team should be given a blank sheet on which they can enter any inventory counted which is not on their sheets. The blank sheets should be sequentially numbered, with any unused sheets returned at the end of the count. The supervisor should then check the sequence of all sheets.
The responsibilities of each of the two staff members within a counting team is unclear. It does not appear that one has been told to count and the other to check. Therefore errors in counting may not be picked up.	For each area one team member should be asked to count and the second member asked to check that the inventory has been counted correctly. The roles of each can then be reversed for the next area.

Tutorial note. Only six deficiencies and six related recommendations were needed to gain 12 marks.

(b) **Procedures undertaken during the inventory count**

- For a sample of inventory items, carry out test counts from aisle to inventory sheet to test completeness and from inventory sheets to aisle to test existence.
- Obtain and record details of the last goods received notes (GRNs) and goods dispatched notes (GDNs) for 31 July to form the basis for cut-off procedures at the audit.
- Observe whether teams carrying out the count are adequately following the inventory count instructions.
- For a sample of items marked as damaged on the inventory sheets, inspect the windows to verify that the level of damage has been correctly recorded.

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- Observe the procedures for movements of inventory during the count and assess the risk that raw materials or finished goods have been missed or double counted.
- Photocopy the inventory sheets for follow-up and use when performing procedures at the final audit.
- Ascertain how the warehouse manager is assessing the level of work in progress by observing the assessment and by reviewing his assumptions, and consider how consistent his estimate is with observed levels.
- Ask the warehouse manager how he has estimated the raw materials quantities and review his calculations and any assumptions for reasonableness. Reperform a sample of the measurements of height and width forming the basis of any calculation to see if they are accurate.
- Confirm any third-party inventory observed has been excluded from the count.
- Confirm that the procedures for identifying and separately storing damaged goods are operating effectively.

Note. Only six procedures were needed to gain full marks.

(c) **Automated tools and techniques**

(i) **Audit procedures**

- Software can be used to cast the inventory listing to confirm the total is complete and accurate.
- Audit software could be used to extract a statistical sample of inventory items in order to verify their cost or net realisable value (NRV).
- Calculations of the inventory holding period or inventory turnover could be carried out by audit software, before being used to compare against the same ratios for the prior year or of competitors. This will help to assess the risk of inventory being overstated.
- Audit software could be used to help extract an aged inventory analysis. This could in turn be used to identify any obsolete or slow-moving items, which may require a write-down or an allowance.
- Audit software can be used to perform calculations during testing of inventory, such as recorded cost (eg weight or quantity multiplied by cost per kg or unit).
- Automated tools can be used to confirm whether inventory adjustments recorded during attendance at the count have been correctly recorded in the final inventory records forming the basis of inventory in the financial statements.
- Automated tools can be used to verify cut-off by testing whether the dates of the last GRNs and GDNs recorded relate to pre year end, and that any with a date after the year end have been excluded from the inventory records.

Note. Only four procedures were required.

(ii) **Automated tools – advantages**

- Automated tools allow the audit team to test a large volume of inventory data more accurately and more quickly than if tested manually.
- Automated tools decrease the scope for human error during testing and can provide evidence of a higher quality.
- By using automated tools, auditors can test actual inventory transactions within the system rather than working on printouts from spool or previewed files which are dependent on other software (and therefore could contain errors or could have been tampered with following export).
- Assuming the inventory system remains unchanged, automated tools used in the audit of Lily year on year should bring time (and therefore cost) savings in the long term, which should more than compensate for any set-up costs.
- Auditors can utilise automated tools to test program controls as well as general internal controls associated with computers.

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- Results from automated tools can be compared with results from traditional testing. If the results correlate, overall confidence is increased.
- The use of automated tools allows audit team members more time to focus on risk areas and issues requiring judgement, rather than performing routine calculations that can be carried out by audit software.

Note. Only four advantages were needed to gain full marks.

(iii) **Automated tools – disadvantages**

- Setting up the software needed for automated tools in the first year is likely to be time consuming and expensive.
- Audit staff working on Lily's audit will need to be trained so they have a sufficient level of IT knowledge to apply automated tools when auditing the inventory system.
- If testing is performed on data in the live inventory system, there is a risk that live client data may be corrupted and lost.
- If the inventory system at Lily changed then it may be expensive and time consuming to redesign the automated tools .
- If the inventory system at Lily is not compatible with Daffodil & Co's automated tools software then they will need to be tailored to Lily's system, which may be costly.
- If testing is performed on data from copies of the live files rather than the live data itself, there is the risk that these files have been affected by the copying process or have been tampered with.
- If there is not adequate systems documentation available, it will be difficult to design appropriate techniques due to a lack of understanding of the inventory system at Lily.

Note. Only four advantages were needed to gain full marks.

161 Purrfect Co

Course Book reference

Chapters 13, 14, 16 and 20.

Top tips

Parts (a) to (c) ask for substantive procedures in relation to an inventory valuation, a receivables balance, and some legal claims. This is a standard question for AA and you should expect to find something of this nature in your exam.

Part (d), on auditor reporting, was made relatively simple by the requirement to describe the impact of the issue in both possible situations. The important points when considering the effect of a matter on the auditor's report are usually the type of modified opinion that COULD be required, and then the materiality or pervasiveness of the issue. When describing the impact on the auditor's report there are usually easy marks available for describing how the auditor's opinion and basis for opinion paragraphs will change.

Easy marks

Part (d) offers easy marks for giving a description of a 'basis for' section in the auditor's report.

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Marking guide

	Marks	
(a) **Substantive procedures for inventory of Vego Dog**		
1 mark per well-described procedure	6	
Maximum		6
(b) **Substantive procedures for receivable due from Ellah Co**		
1 mark per well-described procedure	4	
Maximum		4
(c) **Substantive procedures for contamination – legal claims**		
1 mark per well-described procedure	5	
Maximum		5
(d) **Issue and impact on auditor's report**		
Discussion of issue	1	
Adequate disclosure	2	
Inadequate disclosure	2	
Maximum		5
Total		20

(a) **Inventory of Vego Dog**

- Obtain and cast the inventory listing of Vego Dog products and agree the total cost of $2.4m to inventory records.
- Agree the quantity of Vego Dog products shown as held at the year end to the year-end inventory count records.
- Request a breakdown of the cost calculation of each unit of this product and discuss with management how the standard cost was derived.
- Recalculate the cost calculations to confirm that the quantity multiplied by the standard cost is $2.4m.
- For a sample of finished goods items, obtain standard cost cards and agree:
  - raw material costs to recent purchase invoices;
  - labour costs to time sheets or wage records;
  - overheads allocated to invoices and that they are of a production nature.
- Compare sales prices over time to establish if the price has been reduced because of falling demand to determine whether an allowance is required.
- Compare actual sales units per month to budgeted sales per month from before and after the year end to establish how much lower actual sales are than expected and discuss with management.
- Select a sample of items included in inventory of Vego Dog and review post year-end sales invoices to ascertain if net realizable value (NRV) is above cost or if an adjustment is required.

(b) **Receivable due from Ellah Co**

- Review correspondence with Ellah Co to establish if there was a discussion about payment difficulties and whether Ellah Co intends to fully settle the outstanding amount.
- Review the age of the outstanding debt with Ellah Co and discuss the circumstances with the credit controller to establish if it has exceeded the agreed credit terms and consider if an allowance is required.

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- Review post year-end receipts from Ellah Co to establish how much of the debt was recovered by the audit completion date and to assess how much of the year-end balance remains outstanding.
- Inspect board minutes to identify whether there are any significant concerns in relation to payments by Ellah Co.
- Discuss with management of Purrfect Co why no allowance has been made in respect of this debt and assess the justification.

(c) **Contamination – legal claims**

- Review customer correspondence to establish the details of the claims and the amounts being claimed.
- Review correspondence with Purrfect Co's lawyers or, with the client's permission, contact the lawyers to establish the likely outcome of the customer claims made to date.
- Discuss with the lawyers the likelihood and amount of potential future claims.
- Inspect board minutes to establish details of the circumstances of the contamination and to ascertain management's view as to the likelihood that the existing claims will be successful and the extent of possible future claims.
- Compare levels of returns and claims to date against sales volumes of the product to assess the potential level of future claims.
- Review post-year end payments for damage settlements and compare with any amounts provided at the year end to assess the reasonableness of the provision.
- Obtain written representations from management that there have been no other contamination incidents and no other product liability claims of which management are aware and for which provision may be required.
- Review the draft financial statements to establish that the legal claims have been appropriately provided for or disclosed in accordance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

(d) **Issue and impact on auditor's report**

According to IAS 37, the possibility of additional claims should be disclosed as a contingent liability as it is possible but not probable and quantifiable.

As the claims may be significant, this issue represents a matter which is fundamental to users' understanding of the financial statements. The impact on the auditor's report depends on whether this matter is deemed to be adequately disclosed in the financial statements.

Adequate disclosure

If Purrfect Co adequately discloses the issue, then an unmodified audit opinion should be given but the auditor's report should include an emphasis of matter paragraph. This would draw attention to the disclosure in the financial statements by cross-referencing the user to the note in the financial statements which discloses the possible claims, emphasising that the audit opinion is unmodified.

Inadequate disclosure

If there is no disclosure in the financial statements or the disclosure is considered to be inadequate, then this indicates that the financial statements are materially misstated. As this lack of adequate disclosure is likely to be material but not pervasive, then a qualified opinion will be given. A basis for qualified opinion paragraph will be added to the auditor's report discussing the matter and the opinion paragraph will be modified to state that 'except for' the failure to adequately disclose the matter, the financial statements give a true and fair view.

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162 Rose

Course Book references

Chapters 14, 16, 17 and 19.

Top tips

Parts (a)–(c) required the application of knowledge to three issues.

When you write your answers here, you need to try to be as specific as possible about how the procedures should be performed. You will only get marks if your answer describes the procedures in enough detail. You can also think about saying first what the procedure is, and then saying *why* you would be performing it, which will help to demonstrate that you understand the purpose of the procedure.

Part (d) focused on written representations. Although this was a purely knowledge-based requirement, this is an area that you may have found difficult – if this is the case, then you will need to review the solution carefully.

Easy marks

These were available in parts (a) and (b), since these parts cover areas that should be very familiar to AA students and which you should be well prepared to answer.

Marking guide	Marks
(a) **Trade payables and accruals**	
Calculate trade payables payment period	1
Compare total trade payables and list of accruals against prior year	1
Discuss with management process to quantify understatement of payables	1
Discuss with management whether any correcting journal adjustment posted	1
Sample invoices received between 25 March and year end and follow to inclusion in year-end accruals or trade payables correcting journal	1
Review after-date payments	1
Review supplier statements reconciliations	1
Perform a trade payables circularisation	1
Cut-off testing pre- and post-year end GRN	1
Maximum	6
(b) **Receivables**	
For non-responses arrange to send a follow-up circularisation	1
With the client's permission, telephone the customer and ask for a response	1
For remaining non-responses, undertake alternative procedures to confirm receivables	1
For responses with differences, identify any disputed amounts, identify whether these relate to timing differences or whether there are possible errors in the records	1
Cash in transit should be vouched to post year end cash receipts in the bank ledger account	1
Review receivables ledger to identify any possible mispostings	1
Disputed balances, discuss with management whether a write down is necessary	1
Maximum	5

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Marking guide	Marks
(c) **Reorganisation**	
Review the board minutes where decision taken	1
Review the announcement to shareholders in late October	1
Obtain a breakdown and confirm that only direct expenditure from restructuring is included	1
Review expenditure to ensure retraining costs excluded	1
Cast the breakdown of the reorganisation provision	1
Agree costs included to supporting documentation	1
Obtain a written representation	1
Review the adequacy of the disclosures	1
Maximum	4
(d) **Written representations**	
Written representations are necessary evidence	1
Required to confirm directors' responsibilities	1
Required to support other evidence or required by ISAs	1
Required to confirm management have communicated all deficiencies in internal controls	1
Letter addressed to the auditor	
Throughout fieldwork identify that require written representations	1
Maximum	5
Total	20

(a) **Trade payables and accruals**

(1) Ask management about the action they have taken to establish the value of the misstatement of trade payables. If they have ascertained the value of the error assess the materiality of it and the impact of it remaining uncorrected.

(2) Enquire whether any correcting journal entry has been calculated and whether it has been processed in relation to the misstatement.

(3) For a sample of purchase invoices received between 25 March and the end of 31 March 20X6, verify that they are included within accruals or as part of trade payables via a journal adjustment.

(4) Reconcile supplier statements to payables ledger balances and investigate any reconciling items.

(5) Calculate and compare the trade payables payment period with prior years. Significant differences should be investigated.

(6) Compare trade payables and accruals against the previous year and expectations. Investigate any significant differences and corroborate any explanations for differences to supporting evidence.

(7) Review the bank ledger account payments and bank statements in the period immediately after the year end for evidence of payments relating to current year liabilities. Ensure any found are included in accruals, trade payables or the trade payables journal.

(8) For a sample of payable balances, perform a trade payables circularisation. Any non-replies should be followed up and reconciling items between the balance confirmed and the trade payables balance should be investigated.

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(9) For a sample of goods received notes before the year end and after the year end, ensure the related invoices have been recorded in the period to which they relate.

Note. Only six valid procedures were needed.

(b) **Receivables**

(1) For those receivables who don't respond, the team should arrange to send a follow-up circularisation if agreed by the client.

(2) For non-responses to the follow-up, and after obtaining client consent, the audit senior should telephone the customer and request the customer responds in writing to the circularisation request.

(3) Where all follow-ups are unsuccessful, alternative procedures must be carried out to confirm receivables, such as reviewing after-date cash receipts for year-end receivables.

(4) Where responses highlight differences, these should be investigated to establish if any amounts are disputed or require adjustment.

(5) Where it is found that differences are in relation to disputed invoices, they should be discussed with management and the need for an allowance or write-off assessed.

(6) For timing differences identified on responses or otherwise (eg cash in transit), these should be agreed to post year end cash receipts in the bank ledger account and bank statement.

(7) For those responses highlighting an unresolved difference, the receivables ledger should be reviewed for unusual entries that could suggest errors made when posting transactions.

Note. Only five valid procedures were needed.

(c) **Reorganisation**

(1) Verify the announcement to shareholders was actually made in late March by inspecting documentary evidence of the announcement.

(2) Board minutes should also be reviewed to confirm that the decision to reorganise the business was taken pre year end.

(3) Obtain an analysis of the reorganisation provision and confirm that only expenditure attributable to the restructuring is included.

(4) Cast the breakdown of the reorganisation provision to ensure it has been correctly calculated.

(5) Review the expenditure and confirm retraining costs are not included.

(6) Agree costs included within the provision to supporting documentation to confirm the appropriateness and accuracy of items included.

(7) Review the related disclosures in the financial statements to assess whether they comply with the requirements of IAS 37 *Provisions, Contingent Liabilities and Contingent Assets.*

(8) Obtain a written representation confirming management discussions in relation to the announcement of the reorganisation.

Note. Only four valid procedures were needed.

(d) **Written representations**

Written representations are necessary information that the auditor requires in connection with the audit of the entity's financial statements. Accordingly, similar to responses to inquiries, written representations are audit evidence.

The auditor needs to obtain written representations from management and, where appropriate, those charged with governance that they believe they have fulfilled their responsibility for the preparation of the financial statements and for the completeness of the information provided to the auditor.

Written representations are needed to support other audit evidence relevant to the financial statements or specific assertions in the financial statements, if determined necessary by the

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auditor or required by other ISAs. This may be necessary for judgemental areas where the auditor has to rely on management explanations.

Written representations can be used to confirm that management have communicated to the auditor all deficiencies in internal controls of which management are aware.

Written representations are normally in the form of a letter, written by the company's management and addressed to the auditor. The letter is usually requested from management but can also be requested from the chief operating officer or chief financial officer. Throughout the fieldwork, the audit team will note any areas where representations may be required.

During the final review stage, the auditors will produce the written representations which the directors will review and then produce it on their letterhead. It will be signed by the directors and dated as at the date the auditor's report is signed, but not after.

163 Hyacinth

Course Book references

Chapters 12, 13, 16 and 19.

Top tips

Part (a) of this question covered substantive procedures in relation to inventory, this time focusing only on the valuation assertion. It should be obvious, but this means that there are no marks for procedures that relate to any other assertions.

Parts (b) and (c) also cover substantive procedures – in relation to research and development expenditure and the sales tax liability respectively – but here no assertion is specified. This makes these requirements easier. With all of the parts (a) to (c), you can approach the question by reading the scenario with the requirements in mind, allowing the issues in the situation to trigger your knowledge of procedures, which you can then tailor to this specific question.

Part (d) featured a subsequent non-adjusting event. As long as you knew the material here then part (i) should have been a nice source of marks, with part (ii) asking for yet more procedures.

Easy marks

Part (d) was likely to have been the easiest part of the question.

ACCA Examining team's comments

A key requirement of this part of the syllabus is an ability to describe relevant audit procedures for a particular class of transactions or event. Overall performance in this key syllabus area in this exam session was once again disappointing.

The June 2019 exam session contained a number of questions in this syllabus section covering a variety of areas across both the statement of profit or loss and statement of financial position, illustrating that candidates must be prepared to tailor their knowledge of substantive testing to any area of the financial statements. In most cases candidates remain unable to tailor their knowledge of general substantive procedures to the specific issues in the question requirements, with many providing tests of controls rather than substantive procedures, or providing incorrect procedures, or concentrating on one type of test eg multiple examples of analytical review procedures. In particular, care must be taken to address the specifics of the question; often the requirement is to describe substantive procedures to address specific financial statement assertions, such as valuation, and any tests provided which do not test this assertion would not score any marks. For example, in this session a question asked for 'substantive procedures in relation to the valuation of a company's inventory'. Procedures focused on attendance at the inventory count were therefore not awarded credit. It was also particularly disappointing this session that relatively straightforward audit procedures, such as in the audit of receivables, were not well answered.

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Marking guide

	Marks	
(a) **Substantive procedures – valuation of inventory**		
Agree percentage completion recorded at inventory count to final inventory records	1	
Confirm costs to invoice/timesheets	1	
Inspect post year-end sales invoices for finished goods to assess NRV	1	
Discuss basis of WIP valuation with management	1	
Inspect WIP valuation with sales prices less costs to complete	1	
Review aged inventory reports and discuss allowance	1	
Discuss with management basis of valuation for Crocus products	1	
Inspect post year-end sales value of Crocus products	1	
Confirm adjustment regarding Crocus products	1	
Maximum		6
(b) **Substantive procedures – R&D expenditure**		
Obtain schedule, cast and agree to trial balance	1	
Review reasonableness of useful lives	1	
Recalculate amortisation and confirm in line with policy	1	
Discuss with management treatment of costs for new products	1	
Agree research costs expensed	1	
For capitalised costs, confirm IAS 38 criteria met	1	
Inspect budgets to confirm adequate resources to complete	1	
Review disclosure and confirm in line with accounting standards	1	
Maximum		4
(c) **Substantive procedures – accrual for sales tax liability**		
Obtain schedule/return, cast and agree to trial balance	1	
Recalculate sales tax in relation to sales and agree to return	1	
Recalculate sales tax in relation to purchases and agree to return	1	
Recalculate overall amount due to tax authority	1	
Compare liability to prior year end, investigate differences	1	
Confirm payment to post year-end bank ledger account and bank statements	1	
Review correspondence with the tax authority for evidence of additional liability	1	
Review disclosure and confirm in line with IAS 37	1	
Maximum		4
(d) **Subsequent event**		
Discussion of amendment	3	
Audit procedures	3	
Maximum		6
Total		20

(a) **Inventory valuation**

- Obtain the breakdown of WIP and agree a sample of WIP assessed during the inventory count to the WIP schedule, agreeing the percentage completion to that recorded at the inventory count.

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- For a sample of inventory items (finished goods and WIP), obtain the relevant cost sheets and agree raw material costs to recent purchase invoices, labour costs to time sheets or payroll records and confirm overheads allocated are of a production related nature.
- Examine post year-end credit notes to determine whether there have been returns which could signify that a write down is required.
- Select a sample of year-end finished goods and compare cost with post year-end sales invoices to ascertain if net realisable value (NRV) is above cost or if an adjustment is required.
- Discuss the basis of WIP valuation with management and assess its reasonableness.
- Select a sample of items included in WIP at the year end and ascertain the final unit cost price by verifying costs to be incurred to completion to relevant supporting documentation. Compare to the unit sales price included in sales invoices post year-end to assess NRV
- Review aged inventory reports and identify any slow moving goods, discuss with management why these items have not been written down or if an allowance is required.
- For the defective batch of product Crocus, review board minutes and discuss with management their plans for selling these goods, and why they believe these goods have a NRV of $90,000.
- If any Crocus products have been sold post year end, review the sales invoice to assess NRV.
- Agree the cost of $450,000 for product Crocus to supporting documentation to confirm the raw material cost, labour cost and any overheads attributed to the cost.
- Confirm if the final adjustment for the damaged product is $360,000 ($450,000 – $90,000) and discuss with management if this adjustment has been made. If so, follow through the write down to confirm.

(b) **Research and development**

- Obtain and cast a schedule of intangible assets, agree the closing balances to the general ledger, trial balance and draft financial statements.
- Discuss with the finance director the rationale for the four-year useful life and consider its reasonableness.
- Recalculate the amortisation charge for a sample of intangible assets which have commenced production and confirm that it is in line with the amortisation policy of straight line over four years and that amortisation only commenced from the point of production.
- For the three new computing software projects, discuss with management the details of each project along with the stage of development and whether it has been capitalised or expensed.
- For those expensed as research, agree the costs incurred to invoices and supporting documentation and to inclusion in profit or loss.
- For those capitalised as development, agree costs incurred to invoices.
- Confirm technically feasible and intention to complete the project by discussion with development managers or review of feasibility reports.
- Review market research reports to confirm Hyacinth Co has the ability to sell the product once complete and probable future economic benefits will arise.
- Review the costs, projected revenue and cash flow budgets for the each of the three projects to confirm Hyacinth Co has adequate resources to complete the development stage and that probable future economic benefits exist. Agree the budgets to supporting documentation.
- Review the disclosures for intangible assets in the draft financial statements to verify that they are in accordance with IAS 38 *Intangible Assets*.

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(c) **Sales tax liability**

- Agree the year-end sales tax liability in the trial balance to the tax return/reconciliation submitted to the tax authority and cast the return/reconciliation.
- Agree the quarterly sales tax charged equates to 15% of the last quarter's sales as per the sales day book.
- Recalculate the sales tax incurred as per the reconciliation is equal to 15% of the final quarter's purchases and expenses as per the purchase day book.
- Recalculate the amount payable to the tax authority as being sales tax charged less sales tax incurred.
- Compare the year-end sales tax liability to the prior year balance or budget and investigate any significant differences.
- Agree the subsequent payment to the post year-end bank ledger account and bank statements to confirm completeness and that it has been paid in line with the terms of the tax authority.
- Review any current and post year-end correspondence with the tax authority to assess whether there are any additional outstanding payments due. If so, confirm they are included in the year-end liability.
- Review any disclosures made of the sales tax liability to ensure that it is shown as a current liability and assess whether disclosures are in compliance with accounting standards and legislation.

(d) **Subsequent event**

A flood has occurred at the off-site warehouse and property, plant and equipment and inventory valued at $0.7 million have been damaged and now have no scrap value. The directors do not believe they are likely to be able to claim on the company's insurance for the damaged assets. This event occurred after the reporting period and is not an event which provides evidence of a condition at the year end and so this is a non-adjusting event.

The damaged assets of $0.7 million are material as they represent 10.9% ($0.7m/$6.4m) of profit before income taxes and 3.0% ($0.7m/$23.2m) of total assets. As a material non-adjusting event, the assets do not need to be written down to zero in this financial year. However, the directors should consider including a disclosure note detailing the flood and the value of assets impacted.

The following audit procedures should be applied to form a conclusion on any amendment:

- Obtain a schedule showing the damaged property, plant and equipment and agree the carrying amount to the non-current assets register to confirm the total value of affected assets.
- Obtain a schedule of the water damaged inventory, visit the off-site warehouse and physically inspect the impacted inventory. Confirm the quantity of goods present in the warehouse to the schedule; agree the original cost to pre year-end production costs.
- Review the condition of other PPE and inventory to confirm all damaged assets identified.
- Review the damaged property, plant and equipment and inventory and discuss with management the basis for the zero scrap value assessment.
- Discuss with management why they do not believe that they are able to claim on their insurance; if a claim were to be made, then only uninsured losses would require disclosure, and this may be an immaterial amount.
- Discuss with management whether they will disclose the effect of the flood, as a non-adjusting event, in the year-end financial statements.

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164 Sagittarii & Co

Course Book references

Chapters 14, 15, 17 and 20.

Top tips

This is a 20-mark question which tests substantive procedures relating to income, a restructuring provision and bank loans, together with the auditor's report.

Parts (a) to (c) were typical AA questions, asking for substantive procedures in relation to three specific areas. You should base your answers here on the information given in the scenario, making use of your knowledge of audit procedures generally in order to generate ideas. Do take care to stick to the requirements, however, which ask for substantive procedures and not tests of controls.

Part (d) moved the scenario onto the completion phase of the audit and the auditor's report in particular. This should have been a relatively simple question for you to answer, provided you had the requisite knowledge of the auditor's report. It is crucial to calculate materiality and to make a judgement regarding the materiality of the issue.

Easy marks

There are some relatively easy marks in part (d) for describing the placement of the 'Basis for' section in the auditor's report. These are marks that are frequently available on questions of this sort.

Marking guide	Marks	
(a) **Substantive procedures for income**		
1 mark per well-described procedure	5	
Maximum		5
(b) **Substantive procedures for restructuring provision**		
1 mark per well-described procedure up to a maximum of 5 marks	5	
Maximum		5
(c) **Substantive procedures for bank loans**		
1 mark per well-described procedure up to a maximum of 5 marks	5	
Maximum		5
(d) **Impact on auditor's report**		
Discussion of issue	1	
Materiality calculation and assessment	1	
Type of modification required	2	
Impact on auditor's report	1	
Maximum		5
Total		20

(a) **Substantive procedures for Vega Vista Co's income**

- Obtain a schedule of all Vega Vista Co's income and cast to confirm completeness and accuracy of the balance and agree to the trial balance.
- Compare the individual categories of income of festival ticket sales, sundry sales and donations against prior years and investigate any significant differences.

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- For the annual festival, construct a proof-in-total calculation of the number of tickets sold, approximately 15,000, multiplied by the ticket price of $35. Compare this to the income recorded and discuss any significant differences with management.
- For tickets sold on the day of the festival reconcile from ticket stubs the number of tickets sold multiplied by $35 and agree these sales to cash banked in the bank statement.
- Discuss with management their procedures for ensuring advance ticket sales for the
- September 20X5 festival are excluded from income and instead recognised as deferred income in the statement of financial position.
- Select a sample of advance ticket sales made online, agree that the transaction has been excluded from current year income and follow through to inclusion in deferred income.
- Agree journal entry to transfer prior year deferred income relating to the 20X4 festival to current year income to the ledger and agree figures to prior year financial statements.
- For sundry sales, obtain a breakdown of the income received per stall and agree to supporting documentation provided by each stall holder. Recalculate the fixed percentage received is as per the agreement/contract made with Vega Vista Co.
- Compare sundry sales per stall holder to prior year sales data and investigate any significant differences.
- For monthly donations, trace a sample of donations from sign up documentation to the bank statements, cash book and income listing to ensure that they are recorded completely and accurately.
- For a sample of new donors in the year, agree the monthly sum and start date from their completed forms and trace to the monthly donations received account and agree to the cash book and bank statements.

(b) **Substantive procedures for Canopus Co's restructuring provision**

- Cast the breakdown of the restructuring provision to ensure it is correctly calculated and agree the total to the trial balance.
- Review the board minutes where the decision to restructure the production process was taken and confirm the decision was made in March 20X5.
- Review the announcement to shareholders and employees in late March, to confirm that this was announced before the year end.
- Obtain a breakdown of the restructuring provision and confirm that only direct expenditure relating to the restructuring is included.
- Review the expenditure to confirm that there are no retraining costs of existing staff included.
- For the costs included within the provision, including acquisitions of plant and machinery, agree to supporting documentation, such as purchase invoices, to confirm validity and value of items included.
- Review post year end payments/invoices relating to the expenditure and compare the actual costs incurred to the amounts provided to assess whether the amount of the provision is reasonable.
- Obtain a written representation confirming management discussions in relation to the announcement of the restructuring and to confirm the completeness of the provision.
- Review the adequacy of the disclosures of the restructuring provision in the financial statements and assess whether these are in accordance with IAS® 37 *Provisions, Contingent Liabilities and Contingent Assets*.

(c) **Substantive procedures for Canopus Co's bank loans**

- Obtain a schedule of opening and closing loans detailing any changes during the year. Cast the schedule to confirm its accuracy and agree the closing balances to the trial balance and draft financial statements.
- For the new loan taken out in the year, review the loan agreement to confirm the amount borrowed, the repayment terms and the interest rate applicable.

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- For the new loan taken out in the year, agree the loan proceeds of $4.8 million per the loan agreement to the cash book and bank statements.
- For loans repaid, agree the final settlement amount per bank correspondence to payments out during the year in the cash book and bank statements.
- Agree the quarterly repayment of the new loan of $150,000 paid on 31 March 20X5 to the cash book and bank statement.
- Recalculate the split of the loan repayment made on 31 March 20X5 between interest and principal, recalculate interest and agree to inclusion in statement of profit or loss, and outstanding loan balance reduced by principal amount repaid.
- Review the bank correspondence and loan agreements for confirmation of any early settlement charges incurred on the loans repaid. Agree that these were charged to the statement of profit or loss as a finance charge.
- Obtain direct confirmation at the year-end from the loan provider of the outstanding balances and any security provided. Agree confirmed amounts to the loans schedule.
- Review all loan agreements for details of covenants and recalculate all covenants to identify any potential or actual breaches.
- Review the disclosure of non-current liabilities in the draft financial statements, including any security provided and assess whether these are in accordance with accounting standards and local legislation. Additionally, confirm that the split of current and non-current loans in the financial statements is correct.

(d) **Impact on Auditor's report**

The restructuring provision of $2.1 million includes $270,000 of costs which do not meet the criteria for inclusion as per IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. Hence by including this amount the provision and expenses for this year are overstated and profits understated.

The error is material as it represents 2.3% of total equity and liabilities/ total assets (0.27m/11.6m) and hence the finance director should adjust the financial statements by removing this cost from the provision and instead expensing it to profit or loss as it is incurred. The argument that the provision is judgemental and has been deemed reasonable by the board is not valid. IAS 37 has strict criteria for what can and cannot be included within a restructuring provision. For example, training costs for existing staff must be specifically excluded.

If the finance director refuses to amend this error the audit opinion will be modified due to a material misstatement. As management has not complied with IAS 37 and the error is material but not pervasive, a qualified opinion would be appropriate.

A basis for qualified opinion paragraph would be included after the opinion paragraph and would explain the material misstatement in relation to the incorrect treatment of the restructuring provision and the effect on the financial statements. The opinion paragraph would be qualified 'except for'.

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165 Encore

Course Book references

Chapters 12, 14, 19 and 20.

Top tips

Parts (a)–(c) required the application of knowledge to three areas. It is important to note that you are being asked to 'describe' procedures rather than 'list them' so you need to include enough detail on each to obtain a full mark. Remember to stay focused on the procedures and avoid being tempted to engage in a discussion of accounting issues here.

Part (d) moved the scenario on in time in order to look at the auditor's report. This should have a nice way to end the question, so it was crucial that you had stuck to your timings otherwise you may have missed out on some easy marks here.

Easy marks

These are available in part (d) for describing the elements of the auditor's report that may require modification.

Marking guide

	Marks	
(a) **Substantive procedures for vehicle additions and disposals**		
1 mark per well-described procedure up to a maximum of 6 marks	6	
Maximum		6
(b) **Substantive procedures for valuation of trade receivables**		
1 mark per well-described procedure up to a maximum of 5 marks	5	
Maximum		5
(c) **Substantive procedures for breach of regulations**		
1 mark per well-described procedure up to a maximum of 4 marks	4	
Maximum		4
(d) **Impact on auditor's report**		
Discussion of issue	1	
Materiality calculation and assessment	1	
Type of modification required	2	
Impact on auditor's report	1	
Maximum		5
Total		20

(a) **Vehicles additions and disposals**

- Cast the schedule of additions to vehicles, cast it and agree the total to the disclosure note for property, plant and equipment. Agree the cost of the vehicles given in part-exchange to the disclosure note to confirm that they have been removed from cost carried forward.
- For a sample of new vehicles on the schedule of additions agree the cost to the purchase invoice, ensuring that the recorded cost includes the cash amount paid plus the trade-in allowance for the old vehicle. Confirm that the invoice is made out to Encore Co.
- Physically inspect a sample of additions, confirming that the registration number of the vehicle agrees to that on the non-current assets register.
- Review the non-current assets register to confirm that the 20 old vehicles were removed and that the 20 new vehicles were included.

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- Recalculate the loss on disposal of $1.1m ($1.8 – ($4.6m - $3.9m) and agree to the trial balance and statement of profit or loss.
- Agree the cash payment of $3.9 million to the cash book and bank statement.
- Recalculate the depreciation expense, confirming that the depreciation expense was based on the old vehicles until 1 February and on the cost of the new vehicles after that date.
- Recalculate accumulated depreciation on the vehicles disposed of and confirm that this has been removed from accumulated depreciation carried forward.
- In light of the loss on disposal, review depreciation rates on existing vehicles to establish if the carrying amount of other vehicles may be overstated.
- Discuss with management Encore Co's history of vehicle replacement to establish if vehicles are being used for the entire period of their estimated useful life.
- Discuss with management why trade-in allowances were so much lower than the carrying amounts of the vehicles to provide further evidence as to whether depreciation policies are reasonable.
- Review the notes to the financial statements to ensure that disclosure of the additions and disposals is in accordance with IAS 16 *Property, Plant and Equipment*.

(b) **Valuation of trade receivables**

- Review the aged receivables listing to identify slow moving or old balances. Discuss the status of these balances with the credit controller to assess whether the customers are likely to pay or if an allowance for receivables is required.
- Review whether there are any after-date cash receipts for slow moving/old receivable balances.
- Review correspondence with customers in order to identify any balances which are in dispute or unlikely to be paid and discuss with management whether any allowance is required.
- Review board minutes to identify whether there are any significant concerns in relation to outstanding receivables balances and assess whether the allowance is reasonable.
- Obtain a breakdown of the allowance for trade receivables. Recalculate it and compare it to any potentially irrecoverable balances to assess if the allowance is adequate.
- Review the payment history for evidence of slow paying by any customers who were granted credit in the period when there was no credit controller and who may not, therefore, have been properly scrutinised.
- Discuss with the finance director the rationale for maintaining the allowance at the same level in light of the increase in the receivables collection period and the absence of a credit controller.
- Inspect post year-end sales returns/credit notes and consider whether an additional allowance against receivables is required.

(c) **Potential breach of regulations**

- Review correspondence with the transport authority to establish details of the complaint and the number of times the breach has allegedly occurred.
- Enquire of the directors why they are unwilling to provide or make disclosure, whether they accept that any breaches took place but believe that the effect is immaterial or whether they dispute their occurrence.
- Review Encore Co's policies and procedures to record driving hours and rest periods and compare to the regulations to determine the likelihood that breaches have occurred and how frequently.
- Review correspondence with the transport authority to establish if there have been discussions about other instances of potential non-compliance.

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- Review correspondence with Encore Co's legal advisers or, with the client's permission, contact the lawyers to establish their assessment of the likelihood of the breach being proven and any fines that would be payable.
- Review the board minutes to ascertain management's view as to the likelihood of payment to the transport authority.
- Obtain a written representation to the effect that the directors are not aware of any other breaches of laws or regulations that would require a provision or disclosure in the financial statements.
- Inspect the post year-end cash book and bank statements to identify whether any fines have been paid.

(d) **Auditor's report**

The breaches in regulations and the initial investigation into the breaches occurred before the year end. The announcement by the authorities that they are taking legal action provides further evidence regarding these conditions which existed at the year-end date therefore IAS 10 Events after the Reporting Period would classify this as an adjusting subsequent event. As it seems probable that the fine will be payable, a provision must be included rather than merely the disclosure. Failure to make such a provision will cause profits to be overstated and provisions to be understated.

The potential fine of $850,000 (17 × $50,000) is 16% ($850k/$5.3m) of profit before income taxes and 2.1% ($850k/$40.1m) of total assets. It is therefore material.

If the directors refuse to make a provision, then Velo & Co should issue a modified opinion on the grounds that there is a material misstatement of profit and liabilities. As this is material but not pervasive a qualified opinion would be appropriate.

A basis for qualified opinion paragraph would be included after the opinion paragraph. This would explain the material misstatement in relation to the non-recognition of the provision and the effect on the financial statements. The opinion paragraph would be qualified 'except for'.

166 Gooseberry Co

Course Book references

Chapters 12, 17 and 20.

Top tips

This question tests audit evidence in relation to different types of non-current assets, and then links in with auditor reporting.

Part (a) is on development costs and IAS 38 *Intangible assets*. This is a standard that you will need to be familiar with, but this is a difficult requirement at AA level. Most of the audit procedures come from the financial reporting, so you can use this to help generate your answers.

For part (b), you can use the scenario as a starting point for your description of the procedures to perform to determine whether the depreciation charge is fairly stated.

Part (c) was another detailed requirement on audit evidence, and should be approached by thinking practically about how these bonuses should have been processed, and then considering how you would test them. The bonuses have been awarded to the directors and so these amounts would be material by their nature. Furthermore the scenario tells you that disclosure is required by local legislation and so it is important that your substantive procedures include reviewing whether the required disclosures have been made.

Part (d) probably came as a relief. This is a familiar requirement on the auditor's report and should have been within your reach.

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Easy marks

Part (d) was likely to have been the easiest part of the question; the marks for materiality were among the simplest to obtain.

ACCA Examining team's comments

This 20-mark question was based on Gooseberry Co, a company which develops and manufactures health and beauty products and distributes these to wholesale customers. This question tested candidates' knowledge of substantive procedures for research and development, depreciation and directors' bonuses, and, auditor's reports.

Part (a) for five marks required candidates to describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Gooseberry's research and development expenditure. Performance on this requirement was mixed.

One mark was awarded for each well described substantive procedure. Hence for a five mark requirement, candidates should have provided at least five substantive procedures. Disappointingly this was not the case, as some answers only contained one or two procedures for each area and these were often not well described, resulting in a maximum of ½ mark each. Candidates are severely limiting the opportunity to score marks and are reminded to ensure that they employ effective exam technique.

Many procedures were vague, often not giving the source for the test, or, stating 'ensure' without explaining how the test would achieve this.

Part (b) for five marks required the candidates to describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to depreciation. Performance on this requirement was disappointing.

As in part (a), one mark was awarded for each well described substantive procedure. Disappointingly often the substantive procedures were either not well described or were not related to depreciation. A significant number of candidates did not clearly answer the specific requirement of the question to describe depreciation substantive procedures.

In general there was clear evidence of a lack of tailoring of knowledge to the specific scenario provided. Candidates have clearly learned that the depreciation charge should be compared to the prior year. However, this substantive procedure is not relevant if there is a change in the useful life of the assets in the year as was detailed in this scenario. As addressed in previous examining team's reports candidates must strive to understand substantive procedures. Learning a generic list of tests will not translate to exam success, as they must be applied to the question requirement.

Part (c) for five marks required the candidates to describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the directors' bonuses. Performance on this requirement for many candidates was pleasing.

Part (d) for five marks required a discussion of an issue and the impact on the auditor's report if the issue remained unresolved. The issue presented related to $440,000 of development costs which had been incorrectly capitalised by the client.

Auditor's report questions have shown a gradual improvement in recent exams so it is disappointing that performance for this question was mixed.

A number of candidates described the impact on the auditor's report if the issue was resolved and also if the issue remained unresolved. The question clearly asked for the impact if the issue remained unresolved. Once again, candidates are advised to read the question requirements carefully.

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Marking guide

	Marks	
(a) **Substantive procedures – Research & development**		
Cast and agree closing balance to TB and draft FS	1	
Discuss amortisation policy with management and assess reasonableness	1	
Recalculate amortisation charge/commenced in line with production	1	
Discuss new projects and stage of development	1	
For research costs agree invoices and to profit or loss	1	
For development costs agree to invoices and confirm meets criteria	1	
Review market research to confirm ability to sell	1	
Review disclosures in line with IAS 38	1	
Maximum		5
(b) **Substantive procedures – depreciation**		
Discuss reasons for change with management	1	
Compare to industry averages and knowledge of business	1	
Review capex budgets to assess revised lives appropriate	1	
Agree new rates to non-current asset register	1	
Recalculate profit/loss on disposal and consider new rates	1	
Recalculate depreciation charge for a sample of assets	1	
Perform a proof-in-total on depreciation charge	1	
Review disclosure is in line with IAS 16	1	
Maximum		5
(c) **Substantive procedures – directors' bonuses**		
Cast schedule of bonuses and agree to TB	1	
Confirm bonus accrual as current liability	1	
Agree bonus payments to payroll records	1	
Recalculate bonus payments in line with contracts	1	
Confirm post year-end payment to bank statement	1	
Review board minutes for additional sums	1	
Obtain written representation confirming completeness	1	
Review disclosures in line with local legislation	1	
Maximum		5
(d) **Impact on auditor's report**		
Discussion of issue	1	
Materiality calculation and conclusion	1	
Type of modification required	2	
Impact on auditor's report	1	
Maximum		5
Total		20

(a) **Substantive procedures for research and development**

- Obtain and cast a schedule of intangible assets, detailing opening balances, amounts capitalised in the current year, amortisation and closing balances.

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- Agree the closing balances to the general ledger, trial balance and draft financial statements.
- Discuss with the finance director the rationale for the three-year useful life and consider its reasonableness.
- Recalculate the amortisation charge for a sample of intangible assets which have commenced production and confirm it is in line with the amortisation policy of straight line over three years and that amortisation only commenced from the point of production.
- For the nine new projects, discuss with management the details of each project along with the stage of development and whether it has been capitalised or expensed.
- For those expensed as research, agree the costs incurred to invoices and supporting documentation and to inclusion in profit or loss.
- For those capitalised as development, agree costs incurred to invoices and confirm technically feasible by discussion with development managers or review of feasibility reports.
- Review market research reports to confirm Gooseberry Co has the ability to sell the product once complete and probable future economic benefits will arise.
- Review the disclosures for intangible assets in the draft financial statements to verify that they are in accordance with IAS 38 *Intangible Assets*.

(b) **Substantive procedures for depreciation**

- Discuss with management the rationale for the changes to property, plant and equipment (PPE) depreciation rates, useful lives, residual values and depreciation methods and ascertain how these changes were arrived at.
- Confirm the reasonableness of these changes, by comparing the revised depreciation rates, useful lives and methods applied to PPE to industry averages and knowledge of the business.
- Review the capital expenditure budgets for the next few years to assess whether the revised asset lives correspond with the planned period until replacement of the relevant asset categories.
- Review the non-current asset register to assess if the revised depreciation rates have been applied.
- Review and recalculate profits and losses on disposal of assets sold/scrapped in the year, to assess the reasonableness of the revised depreciation rates.
- Select a sample of PPE and recalculate the depreciation charge to ensure that the non-current assets register is correct and ensure that new depreciation rates have been appropriately applied.
- Obtain a breakdown of depreciation by asset categories, compare to prior year; where significant changes have occurred, discuss with management and assess whether this change is reasonable.
- For asset categories where there have been a minimal number of additions and disposals, perform a proof in total calculation for the depreciation charged on PPE, discuss with management if significant fluctuations arise.
- Review the disclosure of the depreciation charges and policies in the draft financial statements and ensure it is in line with IAS 16 *Property, Plant and Equipment*.

(c) **Substantive procedures for directors' bonuses**

- Obtain a schedule of the directors' bonus paid in February 20X8 and cast the schedule to ensure accuracy and agree amount disclosed in the financial statements.
- Review the schedule of current liabilities and confirm the bonus accrual is included as a year-end liability.
- Agree the individual bonus payments to the payroll records.

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- Recalculate the bonus payments and agree the criteria, including the exclusion of intangible assets, to supporting documentation and the percentage rates to be paid to the directors' service contracts.
- Confirm the amount of each bonus paid post year end by agreeing to the cash book and bank statements.
- Agree the amounts paid per director to board minutes to ensure the sums included in the current year financial statements are fully accrued and disclosed.
- Review the board minutes to identify whether any additional payments relating to this year have been agreed for any directors.
- Obtain a written representation from management confirming the completeness of directors' remuneration including the bonus.
- Review the disclosures made regarding the bonus paid to directors and assess whether these are in compliance with local legislation.

(d) **Impact on auditor's report**

One of the new health and beauty products Gooseberry Co has developed in the year does not meet the recognition criteria under IAS 38 *Intangible Assets* for capitalisation but has been included within intangible assets. This is contrary to IAS 38, as if the criteria are not met, then this project is research expenditure and should be expensed to the statement of profit or loss rather than capitalised.

The error is material as it represents 6.9% of profit before income taxes (0.44m/6.4m) and 1.2% of net assets (0.44m/37.2m) and hence management should adjust the financial statements by removing this amount from intangible assets and charging it to the statement of profit or loss instead. IAS 38 requires costs to date to be expensed; if the project meets the recognition criteria in 20X9, then only from that point can any new costs incurred be capitalised. Any costs already expensed cannot be written back to assets.

If management refuses to amend this error, then the auditor's opinion will need to be modified. As management has not complied with IAS 38 and the error is material but not pervasive, then a qualified opinion would be necessary.

A basis for qualified opinion paragraph would be needed after the opinion paragraph and would explain the material misstatement in relation to the incorrect treatment of research and development and the effect on the financial statements. The opinion paragraph would be qualified 'except for'.

Videos can be viewed online by accessing your ebook version on VitalSource.

167 Danube Co

Course Book references

Chapters 12, 14, 17 and 20.

Top tips

This is a 20-mark question focusing on substantive procedures and auditor reporting.

Parts (a) to (c) require you to read the scenario carefully and tailor your substantive procedures. You do need to know the general procedures in each area, but in order to pass the question you will need to think about the specifics of the scenario.

In part (b) there are five marks on offer, and it was not entirely obvious how these would be split between the two parts. In fact the marking scheme does not distinguish part (i) from part (ii), so you need just to make sure that you don't spend more than your time allocation on part (b) as a whole, and structure your answer clearly using subheadings where you can.

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Easy marks

The marks for the drafting of the KAM section of the auditor's report should have been relatively easy.

Marking guide	Marks
(a) **Substantive procedures for land and buildings**	
1 mark per well-described procedure up to a maximum of 6 marks.	6
Maximum	6
(b) **Procedures for exceptions in the trade receivables circularisation**	
Nile Co	2
Congo Co	2
Maximum	4
(c) **Substantive procedures for provision and receivable arising from the sale of defective goods**	
1 mark per well-described procedure up to a maximum of 5 marks	5
Maximum	5
(d) (i) **Factors – Key Audit Matters**	
Matter communicated to those charged with governance	1
Assessment of risk	1
Areas of judgement	1
Effect on audit	1
Maximum	3
(ii) **Content – Key Audit Matters**	
Description of issue	1
Why determined KAM	1
How addressed in audit	1
Maximum	2
Total	20

(a) **Land and buildings**

- Obtain a schedule of all land and buildings, cast and agree to the trial balance and financial statements.
- Consider the competence and capability of the valuer, by assessing through enquiry their qualification, membership of a professional body and experience in valuing these types of assets.
- Review the assumptions and method adopted by the valuer in undertaking the revaluation to confirm the reasonableness and compliance with principles of IAS 16.
- Agree the schedule of revalued land and buildings to the valuation statement provided by the valuer and to the non-current assets register.
- Agree all land and buildings on the non-current assets register to the valuation report to ensure completeness of the land and buildings valued to ensure all assets in the same category have been revalued in line with IAS 16.
- Recalculate the total revaluation adjustment and agree correctly recorded in the revaluation surplus.

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- Recalculate the depreciation charge for the year and confirm that for assets revalued at July 20X4, the depreciation was based on cost before the revaluation and based on the valuation after on a pro rata basis.
- For a sample of land and buildings from the non-current assets register, physically verify to confirm existence.
- For a sample of land and buildings trace back to the non-current assets register and general ledger to confirm completeness.
- Review the financial statements disclosures relating to land and buildings to ensure they comply with IAS 16.

(b) **Exceptions in the trade receivables circularisation**

Nile Co

- For the non-response from Nile Co, with the client's permission, the team should arrange to send a follow-up confirmation request.
- If Nile Co does not respond to the follow up, then with the client's permission, the auditor should telephone the customer and ask whether they are able to respond in writing to the confirmation request.
- If there is still no response, then the auditor should undertake alternative procedures to confirm the balance owing from Nile Co. These would include detailed testing of the balance by a review of after date cash receipts and agreeing to sales invoices and goods dispatched notes (GDN).

Congo Co

- For the response from Congo Co the auditor should investigate the difference of $14,132, and identify whether this relates to timing differences or whether there are possible errors in the records of Danube Co.
- If the difference is due to timing, such as cash in transit, details of the difference should be agreed to post year-end cash receipts in the cash book.
- If the difference relates to goods in transit, then details should be agreed to a pre year-end GDN.
- The receivables ledger should be reviewed to identify any possible mis-postings as this could be a reason for the difference with Congo Co.

(c) **Provision and receivable arising from the sale of defective goods**

- Review the correspondence with Kalama Kids Co and establish the details of the claim to assess whether a present obligation as a result of a past event has occurred.
- Review correspondence with Thames Co, the supplier of the hoverboards, to assess whether they accept liability for the defect.
- Review correspondence with Danube Co's legal advisers or, with the client's permission, contact the legal advisers to obtain their view as to the probability of either the legal claim from the customer and the request for reimbursement from the supplier being successful as well as any likely amounts to be paid or received.
- Discuss with management/enquire of the legal adviser as to whether any other customers of Danube Co have experienced problems with sales of hoverboards and therefore the likelihood of any potential future claims.
- Review board minutes to establish whether the directors believe that either claim will be successful or not.
- Review the post year-end cash book to assess whether any payments have been made to the customer or cash received from the supplier and compare with the amounts recognised in the financial statements.
- Discuss with management why they have included a receivable for the claim against the supplier as this is possibly a contingent asset and should only be recognised as an asset if the receipt of cash is virtually certain. Consider the reasonableness of the proposed treatment.

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- Obtain a written representation confirming management's view that the lawsuit by Kalama Kids Co is likely to be successful and the claim against Thames Co is virtually certain and hence a provision and a receivable are required to be included.
- Review the adequacy of the disclosures of the lawsuit and supplier claim in the draft financial statements to ensure they are in accordance with IAS 37.

(d) **Key audit matters**

(i) **Factors to consider**

As Danube Co is listed, a Key Audit Matters (KAM) section will be required in the auditor's report. The audit partner would have considered whether the matter was communicated to those charged with governance as KAM are selected from matters communicated with those charged with governance. The audit partner would also have considered whether the issue relating to the claims was an area of higher assessed risk of material misstatement or a significant risk and as it is an accounting estimate the level of judgement involved. The audit partner will have also considered whether, in their professional judgement, the matters regarding the claim and counterclaim were of most significance in the audit of Danube Co's financial statements for the year ended 31 March 20X5 therefore requiring significant auditor attention.

(ii) **Contents of KAM section**

The KAM section of the auditor's report should provide a description of the issue. It should detail why this issue was considered to be an area of most significance in the audit and therefore determined to be a KAM. It would include a reference to the audit risk of completeness of the provision and recognition of the receivable and the level of judgement required in making this assessment. It should also explain how the matter was addressed in the audit and the auditor should provide a brief overview of the audit procedures adopted as well as making a reference to any related disclosures.

168 Spinach Co

Course Book references

Chapters 13, 14, 17 and 20.

Top tips

This is a 20-mark question covering substantive procedures and auditor reporting.

Parts (a) to (c) all ask for audit procedures but note that (a) and (c) ask specifically for substantive procedures. Don't just list general procedures but instead consider which procedures are relevant having carefully read the scenario. In (b) address procedures **both before and during** the count but **not after** it at the final audit. Always pay special attention to words in capitals in the requirements.

In part (d) for 5 marks you can break the requirement down into two parts.

- The factors the audit engagement partner would have considered in determining that an issue is a KAM
- The content of the KAM section of the auditor's report

In both cases you need to '**describe**'. This means your points need to be sufficiently detailed to obtain a full mark for each.

Easy marks

The marks for describing the content of the KAM section of the auditor's report should have been reasonably easy to obtain.

ACCA Examining team's comments

For (a) carefully reading the scenario and question requirement ensures that any procedures listed are tailored and more likely to score marks. Procedures such as casting a breakdown of

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sales, varied analytical procedures, recalculating sales invoice totals, agreeing sales prices to the authorised price lists and cut-off procedures would all gain credit. Where the question requirement is for revenue then no credit will be awarded for any receivables procedures. When generating substantive procedures, it is important to ensure the tests have sufficient detail and are clear. For example, 'perform a cut off test' without describing what the actual test is and what documents should be used will not gain any marks.

The requirement in (b) strictly focused on procedures both before and during the count and although not required, it would be useful to split the procedures into before and then during the count as this helps to ensure a good cross section of points are covered.

Unfortunately, many candidates did not carefully read the requirement and therefore listed procedures which would be undertaken after the count on the final audit. These procedures would not gain any credit as they were not addressing the question requirement.

For (c) the scenario for this requirement simply detailed that shares were issued at a premium in May 20X5. The rationale for the share issue was to purchase a factory, however this is irrelevant for the question requirement, which focused on the share issue itself. Focusing on whether the factory was purchased or auditing this purchase in any way would not gain credit as it is not answering the question asked. In considering where to start, it is useful to consider the accounting for the share issue as this then provides areas to audit.

The starting point with (d) is to consider what knowledge a candidate has with regards to ISA 701 *Communicating Key Audit Matters in the Independent Auditor's Report*. Knowledge of this standard will help in considering what influences the decision as to whether an issue is a KAM or not. Although the scenario related to the valuation of inventory, knowledge marks could be easily obtained without reference to the scenario. Common incorrect answers attempted to answer this question as if it related to a modified audit opinion. It is important to revise all audit report options and not to simply assume that the focus of the question will contain a modified opinion.

Marking guide	Marks	
(a) **Substantive procedures for revenue**		
1 mark per well-described procedure up to a maximum of 5 marks	5	
Maximum		5
(b) **Inventory count procedures**		
1 mark per well-described procedure up to a maximum of 6 marks	6	
Maximum		6
(c) **Substantive procedures for issue of share capital**		
1 mark per well-described procedure up to a maximum of 4 marks	4	
Maximum		4
(d) **Factors/content for key audit matters**		
Matters communicated to those charged with governance	1	
Assessment of risk	1	
Areas of judgement	1	
Effect on audit	1	
Description of issue	1	
Why determined KAM	1	
How addressed in audit	1	
Total		20

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(a) **Substantive procedures for revenue**

- Cast a breakdown of revenue and agree to the general ledger, trial balance and draft financial statements.
- Compare the overall level of revenue against prior year/budget and investigate any significant fluctuations.
- Obtain a breakdown of sales analysed by month and compare this to the prior year/month. Investigate any significant fluctuations.
- Obtain a schedule of sales for the year disaggregated into the main product categories/by type of customer by month and compare this to the prior year breakdown. Discuss any unusual movements with management.
- Perform a proof in total calculation for revenue by taking the prior year revenue and increasing it for the three new product lines launched in February 20X5 and the price rise in line with inflation from September 20X4 and other known factors. This expectation should be compared to actual revenue and any significant fluctuations should be investigated.
- Calculate the gross profit margin for Spinach Co for the year, compare this to the prior year and investigate any significant fluctuations.
- Select a sample of sales invoices for wholesale customers and agree the sales prices back to the price list or customer master data information, noting whether the price was pre or post the price increase, to confirm the accuracy of invoices.
- For a sample of invoices, recalculate invoice totals including any discounts and sales tax.
- Select a sample of credit notes raised, trace through to the original invoice and ensure the invoice has been correctly removed from sales.
- Select a sample of dispatch notes and agree these to sales invoices through to inclusion in the sales day book and revenue accounts in the general ledger to confirm completeness of revenue.
- Select a sample of dispatch notes both pre and post year end and follow these through to sales invoices in the correct accounting period to ensure that cut-off has been correctly applied.
- Select a sample of website sales made in the final week prior to the year end and where goods were dispatched post year end, confirm that the sale proceeds received are recorded as deferred income (contract liability) rather than as revenue.

(b) **Inventory count procedures**

Before the count

- Review the prior year audit files to identify whether there were any particular warehouses where significant inventory issues arose last year.
- Discuss with management whether any of the warehouses this year are new, whether any significant changes have occurred this year with regards to inventory items or if any warehouses have experienced significant control issues.
- Decide which of the six warehouses the audit team members will attend, basing this on materiality and risk of each site.
- Obtain a copy of the proposed inventory count instructions, review them to identify any control deficiencies and, if any are noted, discuss them with management prior to the counts.
- Discuss with management whether third-party inventory is stored in any of the other warehouses and what the procedures are for ensuring that third-party inventory is omitted from the counts.

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During the count

- Observe the counting teams of Spinach Co to confirm whether the inventory count instructions are being followed correctly.
- Select samples of inventory and perform test counts from inventory sheets to physical inventory and from physical inventory to inventory sheets.
- Observe the counts in order to confirm that the procedures for identifying and segregating damaged goods are operating correctly and inspect inventory for evidence of any damaged or slow-moving items.
- Observe the procedures for movements of inventory during the counts, in order to confirm that all movements have ceased.
- Discuss with the internal audit supervisors how any raw materials quantities have been estimated. Where possible, reperform the procedures adopted by the supervisors.
- Obtain a copy of the completed sequentially numbered inventory sheets for follow up testing at the final audit.
- Obtain copies of the last goods received notes (GRNs) and goods dispatched notes (GDNs) for 31 July and request copies of GRNs and GDNs raised on 1 August in order to perform cut-off procedures as at the year end.
- Observe the procedures carried out by Spinach Co's staff in identifying third-party inventories are operating correctly and review the completed inventory count sheets to confirm no third-party inventory is included.

(c) **Substantive procedures for issue of share capital**

- Review board minutes to confirm the number of additional shares issued in May 20X5 and the issue price.
- Agree the issue of shares is permitted from a review of any statutory constitution agreements in place.
- Review legal documentation, correspondence or share issue prospectus to confirm the details of the share issue.
- Agree the issue of new shares to the share register.
- Inspect the cash book and bank statements for evidence of the amount of cash received from the share issue.
- Where the sum received is less than $4.3 million, confirm the difference is treated as share capital called up but not paid in the financial statements.
- Recalculate the split of proceeds between the nominal value of shares and premium on issue and agree correctly recorded within share capital and share premium account (other components of equity).
- Review the disclosure of the share issue in the draft financial statements and ensure it is in line with relevant accounting standards and local legislation.

(d) **Auditor's report**

(i) **Factors to consider**

As Spinach Co is listed, a key audit matters (KAM) section will be required in the auditor's report. The audit partner would have considered whether the matter was communicated to those charged with governance as KAM are selected from matters communicated to those charged with governance. The audit partner would have also considered the level of risk in relation to the valuation of inventory and, as determining the net realisable value is an accounting estimate, the level of judgement involved. The audit partner would have also considered whether, in their professional judgement, the matters regarding the valuation of inventory were of most significance in the audit of Spinach Co's financial statements for the year ended 31 July 20X5.

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(ii) **Contents of KAM**

The KAM section of the auditor's report should include a reference to the audit risk in relation to the valuation of inventory and the level of judgement required in making this assessment. It should detail why this issue was considered to be an area of significance in the audit and therefore determined to be a KAM. It should also explain how the matter was addressed in the audit and the auditor should provide a brief overview of the audit procedures adopted as well as detailing that a review was undertaken of any related disclosures.

169 Pacific Co

Course Book references

Chapters 14, 16, 17 and 20

Top tips

For parts (a), (b) and (c) the key was reading the requirements properly and relating the procedures to the appropriate section of the scenario. Each section of the scenario related to one requirement. Keeping to time on each was important as there were lots of procedures you could have explained but you needed to focus on just enough good ones to gain the marks available for each part.

Easy marks

Part (d) on reporting should have been familiar to you and it was straightforward to determine that it was a material misstatement but not pervasive. As long as your reporting knowledge was good you should have obtained the marks on offer.

Marking guide

	Marks	
(a) **Substantive procedures for trade payables and accruals**		
1 mark per well-described procedure		
Maximum	5	
		5
(b) **Substantive procedures for provision for legal claims**		
1 mark per well-described procedure		
Maximum	6	
		6
(c) **Substantive analytical procedures for revenue**		
1 mark per well-described procedure		
Maximum	4	
		4
(d) **Auditor's report**		
Discussion of issue	1	
Materiality calc.	1	
Type of modification	2	
Impact on report	1	
Maximum		5
Total		20

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(a)

Word Processor

Paragraph

Substantive procedures for trade payables and accruals

- Calculate the payables payment period for Pacific Co, compare to prior years and investigate any significant differences, in particular any decrease this year due to the inclusion of the payment run on 1 June.
- Compare the total trade payables, or significant supplier balances, and good received not invoiced (GRNI) accrual against the prior year and investigate any significant differences.
- Compare the list of accruals this year to the prior year to identify any missing items or unusual fluctuations and discuss with management.
- Discuss with management the process they have undertaken to quantify the misstatement of trade payables due to the payment run and consider the materiality of the error in isolation as well as with other misstatements found.
- Review the journal entry processed to correct the misstatement of trade payables due to the payment run to ensure all errors have been included.
- Select a sample of purchase invoices received around the year end. Ascertain, through reviewing goods received notes (GRNs), if the goods were received pre or post year end. If post year end, then confirm that they have been excluded from the ledger.
- Review after-date payments; if they relate to the current year, then follow through to the payables ledger or GRNI accrual to ensure they are recorded in the correct period.
- Reperform a sample of supplier statement reconciliations and agree these to the payables ledger balances. Investigate any reconciling items.
- Select a sample of trade payables balances and perform a trade payables' circularisation. Follow up any non-responses and any reconciling items between the balance confirmed and the trade payables' balance.
- Select a sample of GRNs before the year end and after the year end and follow through to inclusion of the liability in the correct period's payables balance to ensure correct cut-off.

(b)

Word Processor

Paragraph

Substantive procedures for provision for legal claims

- Enquire with the directors or inspect relevant supporting documentation to confirm if a present obligation exists at the year end.
- Discuss with directors how the mislabelling of ingredients is alleged to have occurred and whether it is likely that any other customers have been affected.
- Discuss the claim with management and review the internal investigation report in order to gain an insight into the circumstances which led to the mislabelling.
- Inspect board minutes to ascertain whether payment is probable.

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- Inspect post year-end bank statements to identify whether any payments have been made in respect of the claim.
- Review correspondence with Pacific Co's lawyers or with the client's permission, contact the lawyers and obtain confirmation regarding the claim to assess whether a provision should be recognised and whether the amount of the provision is material.
- Review correspondence or discuss with lawyers the likelihood and amount of other potential future claims.
- If evidence indicates that it is only possible that the claim will be successful, inspect the financial statement for contingent liability disclosures to ensure compliance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.
- Obtain a written representation from management confirming their view that they have an obligation at the year end in respect of the claim and that it is appropriate to include a provision.

(c)

Word Processor

Paragraph

Substantive analytical procedures for revenue

- Compare the overall level of revenue against prior years and discuss the reasons for the 9.4% increase with management and agree to supporting documentation.
- Compare the overall level of revenue against the budget for the year and investigate any significant fluctuations.
- Obtain a schedule of sales for the year disaggregated into the eight main product lines and compare this to the prior year breakdown and budget to understand what impact the new products have had on revenue. For any unusual movements, discuss with management.
- Obtain a schedule of sales for the year analysed for the existing 13 stores. Compare this to the prior year and discuss any unusual movements/significant fluctuations with management.
- Perform a proof in total calculation for revenue. The prior year revenue for the eight main product lines should be taken and an adjustment should be made for sales from the new product lines and for the new store for approximately nine months. This expectation should be compared to actual revenue and whether this equates to 9.4% growth over the prior year. Any significant fluctuations should be investigated.
- Calculate the gross profit margin for Pacific Co and compare this to the prior year and investigate any significant fluctuations.

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(d)

Word Processor

Paragraph

Auditor's report

The financial statements contain a provision for legal claims of $0.5 million, however, audit work has identified that the provision should be $0.8 million. Hence the provision is understated and profits overstated by $0.3 million. The argument that the provision is a reasonable estimate is not valid.

The error of $0.3 million represents 7.3% of profit before income taxes (0.3m/4.1m) and hence is a material matter.

If the finance director refuses to increase the provision, the audit opinion will be modified due to a material misstatement. As provisions are understated and the error is material but not pervasive, a qualified opinion would be necessary.

A basis for qualified opinion paragraph would be needed subsequent to the opinion paragraph and would explain the material misstatement in relation to the understated provision for the legal claims and the effect on the financial statements. The opinion paragraph would be qualified 'except for'.

170 Heron Co

Course Book references

Chapters 12, 15, 17, 19

Top tips

The vast majority of marks on this question were for describing substantive procedures. To maximise your chances of a good score when describing your procedures you need to read the requirement for each part carefully and then make sure:

(1) Procedures are specific the financial statement area you are asked about (for example only non-current asset **additions** in part (a))

(2) Explain each substantive procedure fully (use the verb-document-reason approach covered in Skills Checkpoint 4 of your Course Book)

(3) Use your financial accounting knowledge to help you generate procedures (eg how would you establish whether the accounting treatment is correct). The examining team's comments that follow demonstrate this.

Easy marks

These were available in (a) and (b) for audit procedures relating to non-current additions and bank balances.

ACCA Examining team's comments

For part (a) the scenario contained significant detail of the various costs capitalised as part of the new manufacturing line. Candidates should have considered whether each cost element is allowable expenditure under IAS 16 *Property, Plant and Equipment*. At least one substantive procedure should then have been generated to test each cost element. For example, the refundable purchase tax should be excluded from the asset cost and therefore should be agreed to the tax control account. There were five cost elements included within the cost capitalised and if candidates had listed one well explained substantive procedure per cost element, they would have been awarded five marks.

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In part (b) is important when auditing bank balances to consider in detail the elements of the bank reconciliation as this is the main focus of the auditor's testing. Utilising knowledge from Financial Accounting and how the bank statement is reconciled to the year-end balance as per the cash book, should provide candidates with sufficient points to audit.

Good exam technique was important for requirement (c). While some knowledge of accounting for legal claims would have been helpful, the key here is to think logically. It is possible to produce a good answer by thinking through the issues which are relevant for any provision, for example whether it should be recognised and if so, at what amount. Procedures can then be designed to address these issues using the information from the scenario to add detail.

The starting point with (d) is to consider the accounting from IAS 10 *Events After the Reporting Period* and to decide whether the event in the scenario is adjusting or non-adjusting. It is important that candidates adequately prepare themselves for questions from any part of syllabus area E and not just assume that there will be a question on audit reports.

Marking guide

		Marks
(a)	**Substantive procedures for plant and equipment**	
	1 mark per well-described procedure	
	Maximum	5
(b)	**Substantive procedures for provision for bank balances**	5
	1 mark per well-described procedure	
	Maximum	5
(c)	**Substantive procedures re provision for legal claim**	5
	1 mark per well-described procedure	
	Maximum	5
(d)	(i) **Subsequent event**	5
	1 mark per well described discussion	2
	(ii) **Subsequent event**	3
	1 mark per well described procedure	2
Total		20

(a) **Substantive procedures for additions to plant and equipment**

- Obtain the detailed breakdown of the costs incurred for the new manufacturing line, cast the breakdown and confirm that it is included in the non-current assets register in order to confirm completeness of the addition.
- Confirm the purchase price of $2.7 million and delivery and installation costs of $0.3 million to supplier invoices and that the invoices are in the name of Heron Co in order to confirm valuation and rights and obligations.
- Discuss the treatment of the refundable purchases tax of $0.5 million with the finance director as this should be excluded from cost. Agree to inclusion in the tax control account.
- Request that management expenses the $0.1 million training costs and to profit or loss as they are not eligible for capitalisation. Confirm to a journal entry that the adjustment has been made.
- Review the breakdown of the costs of $0.2 million incurred when testing the new line. Discuss with management and agree to supporting documentation to confirm the nature of these costs to ensure they are eligible for capitalisation.

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- Select a sample from the non-current assets register and physically verify the new manufacturing line on the factory floor to confirm existence.
- Discuss with management the basis of the eight-year useful life and how it was derived and agree to supporting documentation such as the replacement policy.
- Recalculate the depreciation charge to confirm that the calculations have been appropriately time apportioned and that depreciation only commenced from December 20X4 when the asset was bought into use.

(b) **Substantive procedures for provision for bank balances**

- Obtain a bank confirmation letter from Heron Co's bankers for all four of its accounts.
- Agree all balances listed on the bank confirmation letter to the company's bank reconciliations or the trial balance/general ledger in order to ensure completeness of bank balances.
- For the current account, obtain Heron Co's bank reconciliation and cast it to check the additions in order to ensure arithmetical accuracy.
- Agree the balance per the bank reconciliation to an original year-end bank statement and to the bank confirmation letter.
- Agree the reconciliation's balance per the cash book to the year-end cash book.
- Trace all the outstanding lodgements to the pre-year-end cash book, post-year-end bank statement and also to the paying-in book pre-year end.
- Trace all unpresented cheques through to a pre-year-end cash book and post-year-end bank statement. For any unusual amounts or significant delays, obtain explanations from management.
- Examine any old unpresented cheques to assess whether they need to be written back.
- Review the cash book and bank statements for any unusual items or large transfers around the year end, as this could be evidence of window dressing.
- Examine the bank confirmation letter for details of any security provided by Heron Co, with regards to the bank overdraft or any legal right of set-off as these may require disclosure.
- For the savings accounts, review any reconciling items on the year-end bank reconciliations and agree to supporting documentation.
- Review the financial statements to ensure that the disclosure of bank balances is complete and accurate, and that the overdraft is within current liabilities and the savings accounts within current assets.

(c) **Substantive procedures re provision for legal claim**

- Discuss with management the facts of the case to determine the nature of the claim and why only $0.6 million provided.
- Review correspondence with Heron Co's lawyers or, with the client's permission, obtain confirmation from the client's lawyer about the likely outcome and possibility of payment.
- Inspect correspondence received from the customer regarding the claim in order to assess whether a provision should be recognised and, if so, whether the amount of the provision is reasonable.
- Inspect the post year-end cash book and bank statements to identify whether any payments have been made and compare any actual payments to the amounts provided in the financial statements.
- Inspect relevant board minutes and discuss with the finance director to ascertain whether payment is probable and the basis for the provision.
- Review the expense accounts in the statement of profit or loss for inclusion of legal costs and agree to correspondence from the legal advisers.

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- Obtain a written representation from management that they believe the provision is valued appropriately and is complete.
- Review the financial statement disclosures relating to the provision to ensure they are in compliance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

(d) (i) The information regarding Sparrow Co's cash flow difficulties was received on 14 July 20X5, after the year end, but provides further evidence of the recoverability of the receivable balance at the year end. If Sparrow Co is experiencing cash flow difficulties just a few months after the year end, it is highly unlikely that the $692,000 was recoverable as at 31 May 20X5 and hence this is an adjusting event in accordance with IAS 10 *Events after the Reporting Period*.

The receivables balance is overstated and consideration should be given to adjusting this balance, if material, either through the use of an allowance for receivables or by writing off the balance relating to Sparrow Co depending on the assessment of the recoverability of the balance.

The total amount outstanding at the year end was $692,000 and is material as it represents 7.8% (0.692m/8.9m) of profit before income taxes and 1.1% (0.692m/65.4m) of total assets. Hence the directors should amend the 20X5 financial statements by making an allowance or by writing off the receivable balance relating to Sparrow Co, depending on their assessment.

(ii) The following audit procedures should be applied to form a conclusion as to the adjustment:

- The correspondence with the customer should be reviewed to assess whether there is any likelihood of payment.
- Discuss with management and review board minutes to obtain an understanding as to why they feel an adjustment is not required.
- Review the post year-end cash book and bank statements to see if any payments have been received from the customer.

Videos can be viewed online by accessing your ebook version on VitalSource.

171 Latte Co

Course Book references

Chapters 14, 17 and 20.

Top tips

The majority of this question was on substantive procedures. You must not state tests of control as you wouldn't have gained any marks. You can though state analytical procedures which are a form of substantive procedure. Whichever type of substantive procedure you included you should have used the verb, document, reason approach set out in your Course Book to help you get a full mark instead of half a mark (or no marks) for your procedures.

Easy marks

You should have found part (d)(ii) on the contents of the KAM relatively straightforward.

ACCA Examining team's comments

When describing substantive procedures, one of the key things to consider is the level of detail provided. Many candidates fail to score well in this type of requirement because their procedures are vague or too brief. Tests must be sufficiently detailed, noting clearly which source document should be used and for what purpose. For example, in this session some candidates included, 'review after-date cash receipts' for (a) and would have only gained ½

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mark. To gain the 1 mark available, this test would need to be expanded to 'follow these receipts through to the pre year end receivables balance'. 'Reviewing customer correspondence for disputed balances' would only have gained ½ mark, as this needs to be 'discussed with management with regards to whether an allowance may be required' to gain 1 mark.

Marking guide

	Marks	
(a) **Substantive procedures for existence and valuation of trade receivables**		
1 mark per well-described procedure	6	
Maximum		6
(b) **Substantive procedures re provision for legal claim**		
1 mark per well-described procedure	4	
Maximum		4
(c) **Substantive procedures re bank loan**		
1 mark per well-described procedure	5	
Maximum		5
(d) (i) **Auditor's report**		
1 mark per well-explained point – factors		
(ii) 1 mark per well-explained point – content of KAM		
Maximum	5	
		5
Total		20

(a)

Word Processor

Paragraph

Substantive procedures for existence and valuation of trade receivables

- Obtain a breakdown of the list of customer balances and agree it to the trade receivables balance in the trial balance and financial statements.
- Calculate the average receivables collection period for 20X5, compare it to the receivables collection period for 20X4 and investigate any significant differences.
- Review the aged receivables to identify any slow moving or old balances. Discuss the status of these balances with the credit controller and/or finance director to assess the likelihood of payment.
- Review board minutes to identify whether there are any significant concerns in relation to payments by customers.
- Review the after-date cash receipts and follow through to pre year-end receivable balances.
- Discuss with the finance director the basis for the decrease in allowance for receivables given the $1.1 million increase in the receivables balance and agree any change in assumptions to supporting documentation.

ANSWERS

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- Obtain a breakdown of the allowance for receivables calculation, recalculate and agree the amount of the allowance is accurate.
- Inspect a sample of post year-end sales returns/credit notes to assess whether an additional allowance against receivables is required.
- Select a sample of goods despatched notes (GDN) before and just after the year end and follow through to receivables to ensure they are recorded in the correct accounting period.
- For any slow moving/aged balances, review customer correspondence to assess whether there are any invoices in dispute or unlikely to be paid and discuss with management.
- Select a sample of year-end receivables balances and agree back to valid supporting documentation of sales invoices, GDN and sales order to ensure existence.

(b)

Word Processor

Paragraph

Substantive procedures re provision for legal claim

- Obtain and review a copy of the claim made and any correspondence with the former employee to understand the basis for and the amount claimed.
- Review correspondence with Latte Co's lawyers, or with the client's permission contact the lawyers, to establish the likelihood of success of the claim and the expected amount payable to ascertain whether a provision or disclosure as a contingent liability is required.
- Inspect relevant board minutes/discuss with the finance director to ascertain whether payment is probable and the basis for the provision.
- Review the post year-end bank ledger account and bank statements to identify whether any payment has been made in respect of the claim and compare the actual payment to provision created to assess whether the amount provided is reasonable.
- Obtain a written representation from management to confirm the completeness of the provision.
- Review the financial statements for disclosure of the provision for legal claims to ensure compliance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

(c)

Word Processor

Paragraph

Substantive procedures relating to bank loan

- Obtain a copy of the loan documentation to confirm the amount borrowed, the repayment terms and the interest rate applicable.
- Request a bank confirmation letter from the bank to confirm the outstanding balance and any security provided and agree the details to the loan balance within the trial balance at the year end/financial statements.

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- In respect of the receipt of the loan and payments made to the bank, agree the amounts to the original loan documentation and to the bank ledger account and bank statements.
- Review correspondence with the bank to identify whether any late payment penalties have been levied in respect of the late payment and agree these are included as a finance cost in the period.
- Confirm that repayments have been correctly allocated into their capital and interest elements and accounted for accordingly.
- Recalculate the amount included as a finance cost in the year by reference to the interest rate and amounts outstanding during the year.
- Review the loan agreement for details of covenants and recalculate to identify if any breaches have occurred. Discuss the impact of any breaches with the finance director.
- Review the disclosure of non-current liabilities in the draft financial statements, including any security provided and confirm that it is in accordance with accounting standards and local legislation. Additionally, confirm that the split of current and non-current loans in the financial statements is correct.

(d) **Auditor's report**

(i) **Factors to consider**

As Latte Co is listed, a key audit matters (KAM) section will be required in the auditor's report in accordance with ISA 701 *Communicating Key Audit Matters in the Independent Auditor's Report*. The audit engagement partner would have considered whether the matter was communicated to those charged with governance as KAM are selected from matters communicated with those charged with governance. The audit engagement partner would have also considered the level of risk in relation to the valuation of the provision and, as determining the size of the liability is an accounting estimate, the level of judgement involved. The audit engagement partner will have also considered whether, in their professional judgement, the matters regarding the valuation of the provision were of most significance in the audit of Latte Co's financial statements for the year ended 31 March 20X5.

(ii) **Contents of KAM**

The KAM section of the auditor's report should include a reference to the audit risk in relation to the valuation of the provision and the level of judgement required in making this assessment. It should detail why this issue was considered to be an area of significance in the audit and therefore determined to be a KAM. It must also explain how the matter was addressed in the audit and the auditor should provide a brief overview of the audit procedures adopted as well as detailing that a review was undertaken of any related disclosures.

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172 Cookit Co

Course Book references

Chapters 14, 17 and 20.

Top tips

Taking account of the requirements is key for this question, especially the assertions you are given (valuation in part (a) and completeness in part (b)). You need to keep your answer limited to procedures over the assertions you are asked for to avoid wasting valuable time, as no marks will be gained for procedures over other assertions.

Easy marks

You should have found part (d) on the impact of an unresolved issue on the auditor's report straightforward.

ACCA Examining team's comments

When describing substantive procedures, one of the key things to consider is the level of detail provided. Many candidates fail to score well in this type of requirement because their procedures are vague or too brief. Tests must be sufficiently detailed, noting clearly which source document should be used and for what purpose. For example, in this session some candidates included, 'review post-year-end payments' and would have only gained ½ mark. In order to gain the 1 mark available this test would need to be expanded to 'follow these through to the list of individual suppliers/payables ledger'.

Marking guide	Marks	
(a) **Substantive procedures – inventory**		
1 mark per well-described procedure	5	
Maximum		5
(b) **Substantive procedures – payables**		
1 mark per well-described procedure	5	
Maximum		5
(c) **Substantive procedures – redundancy provision**		
1 mark per well-described procedure	5	
Maximum		5
(d) **Impact on auditor's report**		
Discussion of issue	1	
Materiality calc	1	
Type of modification	2	
Impact on report	1	
Maximum		5
Total		20

(a) **Substantive procedures for inventory**

- For a sample of individual product lines shown as held at the year end in the inventory valuation report, agree the quantities to the year-end inventory count schedule.
- Agree the cost of a sample of individual product lines, including Remy Gusteau products recorded in the inventory valuation report to purchase invoices.
- For a sample of individual product lines shown as held at the year end in the inventory valuation report, agree the quantities to the year-end inventory count schedule.

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- Agree the cost of a sample of individual product lines, including Remy Gusteau products recorded in the inventory valuation report to purchase invoices.
- Compare actual sales per month of Remy Gusteau products to budgeted sales per month since February to establish how much lower actual sales are than expected sales and discuss with management.
- Select a sample of items recorded in inventory, including Remy Gusteau products, and review post-year-end sales invoices compared to cost to ascertain if net realisable value (NRV) is above cost or if an adjustment is required.
- If Cookit Co has not reduced its prices, perform an internet search to establish the prices currently charged by Cookit Co's competitors for Remy Gusteau products to establish if sales are likely to occur at the prices charged by Cookit Co.
- Calculate the inventory holding period and compare with the prior year. Investigate any significant differences.
- Review the aged inventory report and identify any slow-moving goods, discuss with management whether an allowance in respect of these has been made or is required.
- Follow up any damaged or obsolete items noted by the auditor during the inventory count, discuss with management whether the value of these goods has been adjusted.
- Review board minutes for discussion on the impact of falling demand for Remy Gusteau products and whether an allowance to reduce the inventory to NRV is required.
- Discuss with management whether they believe that the cost of Remy Gusteau products exceeds NRV and whether an allowance against inventory is necessary.

(b) **Substantive procedures for payables**

- Compare the total trade payables/payables payment period to the previous year end. Investigate any significant differences.
- Compare the balance of accounts payable at each month end throughout the period. Discuss any significant changes with management.
- Select a sample of suppliers and perform, or ask the client's staff to perform, reconciliations of suppliers' statements at the year end. Investigate any reconciling items.
- Review a sample of purchase invoices received after the year end. Confirm by reviewing goods received notes (GRNs) whether the goods were received before or after the year end. If before the year end, agree details to year-end goods received not invoiced (GRNI) accrual to confirm that these items have been correctly included.
- Select a sample of payments to suppliers after the year end and agree that the amounts were included as outstanding at the year end if the goods were received before the year end.
- Select a sample of GRNs from just before the year end and follow through to confirm they have been correctly included in year-end GRNI accrual.

(c) **Substantive procedures for redundancy provision**

- Review the board minutes for evidence of discussion of a plan for the shop closure prior to the year end.
- Review the website and confirm the announcement was made on 28 May 20X5.
- Discuss with management how staff were informed of the closure and inspect any correspondence sent to them.
- Obtain the redundancy calculation and agree the list of staff names to payroll or human resources records for the particular store to ensure that no staff have been omitted from the redundancy provision or included incorrectly.
- For all or a sample of staff included in the redundancy calculation, agree the amount provided to their employment contracts.
- Cast the redundancy schedule and agree the total to the client's schedule of provisions.

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- Confirm whether a provision is recognised in the draft financial statements and that the disclosure is in accordance with IAS 37 Provisions, Contingent Liabilities and Contingent Assets.
- Obtain a written representation from management to confirm completeness of the provision.

(d) **Impact on auditor's report**

The provision should be included in the 20X5 financial statements. The closure was announced in May 20X5 to those affected by it and a detailed formal plan must have been made in order to announce the timetable for closure to the employees. There is therefore a constructive obligation at the year end. If the provision is not made, liabilities will be understated and profit overstated by $1.8m.

The amount of the misstatement represents 7.9% ($1.8m/$22.8m) of profit before income taxes and 2.1% of net assets ($1.8m/$84.3m).

It is therefore material.

A modified auditor's opinion would be required. As the misstatement is material but not pervasive, a qualified opinion would be necessary. A basis for qualified opinion would be included in the auditor's report explaining the issue. The opinion paragraph would state that 'except for' this matter the financial statements give a true and fair view.

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Section A

Chestnut

173 The correct answers are:

Review whether any payments have subsequently been made by this customer since the audit fieldwork was completed	PERFORM	
Match the total of the aged receivables listing to the receivables ledger control account		DO NOT PERFORM
Vouch the balance owed by the customer at the year end to sales invoices		DO NOT PERFORM
Review the latest customer correspondence with regards to an assessment of the likelihood of the customer making payment	PERFORM	

The audit concern here is that receivables are overstated as the balance from this customer does not appear to be recoverable. Audit procedures should therefore focus on the valuation of receivables. Vouching the balance owed by the customer at the year end to sales invoices will provide audit evidence in relation to the existence, rights and obligations of receivables, but not their valuation. Matching the total of the aged receivables listing to the receivables ledger control account will provide evidence of completeness.

174 The correct answer is:

Material	Financial statement impact
Yes	Gross profit may be overstated

Chestnut & Co was only appointed as auditors subsequent to Ash's year end and hence did not attend the year-end inventory count. Therefore, it has not been able to gather sufficient and appropriate audit evidence with regards to the completeness and existence of inventory. This may mean that closing inventory is over – or understated and this will have a resultant impact on gross profit and current assets.

Inventory is a material amount as it represents 21.3% (0.51/2.4m) of profit before income taxes and 5% (0.51/10.1m) of revenue.

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175 The correct answers are:

- Review the internal auditors' reports of the inventory count to identify the level of adjustments made to the records, in order to assess the reasonableness of relying on the inventory records for the purpose of the year-end audit
- Perform test counts of inventory in the warehouse and compare these first to the inventory records, and then from inventory records to the warehouse, in order to assess the reasonableness of the inventory records maintained by Ash

Audit procedures should focus on testing the accuracy of the work performed by the internal audit department at the year end in order to determine whether the year-end inventory quantity exists and is complete.

Testing the accuracy of the aged inventory report will provide evidence over the valuation of inventory.

Reviewing the sales order book for February, March and April 20X5 could provide audit evidence as to the quantity of inventory at the year end but only if it is assessed to determine whether there would have been sufficient inventory at the year end to fulfil customer demand.

176 The correct answers are:

Evaluation of all significant audit judgements	**INCLUDE**	
Evaluation of the performance of specific audit procedures performed		**EXCLUDE**
Evaluation of the cost-effectiveness of the audit process		**EXCLUDE**
Evaluation of conclusions reached in formulating auditor's report	**INCLUDE**	

The evaluation of specific audit procedures would not be part of an engagement quality review – this would be part of the audit team's internal processes of monitoring and review, but is too detailed to be included within this review.

The cost-effectiveness of the audit is not relevant to the engagement quality review, since it does not have a bearing on whether the auditor expresses an appropriate audit opinion.

177 The correct answer is:

Audit opinion	**Disclosure in the auditor's report**
Qualified	Basis for qualified opinion

The auditor will need to express a modified opinion as they are unable to obtain sufficient appropriate evidence in relation to inventory. The effect of this is material but not pervasive. Therefore a qualified opinion will be required.

The opinion paragraph will explain that the audit opinion is qualified. A basis for qualified opinion paragraph will be required to explain the limitation in relation to the lack of evidence over inventory.

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Strawberry

178 The correct answer is: 1, 2 and 4

The fall in inventory holding period means that Strawberry is turning over its inventory more quickly, which if anything would improve its cash cycle and have a positive rather than negative impact on the ability of the company to continue. In this case the change is relatively small so is unlikely to be a significant factor either way.

179 The correct answer is: At least 12 months from the date of the financial statements

In accordance with ISA 570 the assessment must cover a period of at least 12 months from the date of the financial statements. If the period covered is less than this the auditor must request that the assessment period is extended.

180 The correct answer is: Identification during your subsequent events review of a cash receipt for the full amount

The receipt of the balance after the year end confirms that the debt is recoverable at the year end.

The written representation is written evidence but is internally generated.

The response to the circularisation provides evidence of existence but does not provide evidence of recoverability.

The correspondence between the lawyers is externally generated and from trusted parties but is less reliable than the receipt of the payment as it would still be possible for Grape Co to default.

181 The correct answer is: Agreement by an alternative financial institution to lend Strawberry $4.8 million in September 20X2

As part of the going concern review the auditor must consider mitigating circumstances. In this case, the agreement with the alternative finance provider gives the most assurance as there is a greater degree of certainty that Strawberry will receive the cash. The first three options may provide the cash required but this cannot be guaranteed. There is also a timing issue as the property may not sell for some time and cost savings will not have an immediate effect.

182 The correct answer is:

Auditor's opinion	Explanation of circumstances
Adverse opinion	Basis for adverse opinion

An adverse opinion would be issued as the matter is material and pervasive ie the auditors disagree with the whole basis on which the financial statements have been prepared. A description of the circumstances would be included in the Basis for adverse opinion paragraph in accordance with ISA 705.

A qualified opinion would apply if the issue were material, but not pervasive. Disclosure in the Material uncertainty related to going concern section is made when the auditor agrees that the company is a going concern but believes that there is a material uncertainty which needs to be brought to the attention of the shareholders (ISA 570). This does not apply in this case.

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Clarinet

183 The correct answer is:

Material	Adjust in 20X5 financial statements
Yes	Yes

The uncorrected misstatement amounts to 15% of profit before income taxes and on this basis would be material (ie it is over 10% of profit before income taxes). It is an adjusting event as the discovery provides evidence as to the value of the inventory at the year end. The 20X5 financial statements should therefore be adjusted.

Adjustment in the 20X5 financial statements would not be required for non-adjusting events ie those which do not provide evidence of conditions which existed at the period end.

184 The correct answer is: 1, 2 and 4

The entry of the competitor has resulted in a loss of market share and the loss of a major customer. There is a risk that this sizeable loss of market share will result in a significant loss of future revenues, as well as reducing future cash flows.

The overdraft has increased significantly and is due for renewal. This suggests liquidity problems. If the bank does not renew the overdraft, and the company fails to obtain alternative finance it may not be able to continue trading.

The failure of Clarinet's shareholders to invest indicate doubts in relation to the company's ability to generate healthy profits in future, or possible liquidity problems. It may also make it less likely for others to invest.

The existence of a bank loan in itself does not give rise to going concern issues. The bank loan is long term so there is no imminent requirement to repay the balance. To date all payments have been made therefore there is no breach of any loan terms which could trigger early repayment.

185 The correct answer is: A review of post year-end sales and the order book

All of the procedures provide evidence regarding the assumption used in the cash flow forecast. However, the review of post year end sales and the order book is the most reliable as this shows sales which have actually taken place or sales to which the customer has shown a commitment. Procedures described in the first, second and fourth options are based on possible events.

186 The correct answer is: 1, 2 and 3

The disclosures are set out in ISA 570 (Revised) paragraph 25.

(4) is incorrect. The management assessment should be at least 12 months from the date of the financial statements. If not the auditors will ask that the assessment period is extended.

187 The correct answer is:

Opinion	Disclosure
Unmodified	Material uncertainty related to going concern

As the auditors agree with the basis of preparation of the financial statements and have concluded that the disclosures are adequate, an unmodified opinion is issued. As a material uncertainty regarding going concern exists, this must be highlighted for the benefit of the shareholders. In accordance with ISA 570 (ISA 570) and ISA 701 (ISA 701) this must be disclosed in a 'Material uncertainty related to going concern' section, and not as a Key audit matter.

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Czech & Dawson

188 The correct answer is: A written representation should be requested from management to confirm whether they believe that the effects of the unadjusted misstatements are immaterial, both individually and in aggregate, to the financial statements as a whole

ISA 450 *Evaluation of Misstatements Identified During the Audit* states that the auditor has a responsibility to accumulate misstatements identified during the audit, other than those that are clearly trivial (ISA 450).

All the accumulated misstatements should be communicated to the appropriate level of management on a timely basis (ISA 450). The auditor must request that management correct the misstatements.

If management refuses to correct some or all of the misstatements, the auditor must obtain an understanding of the reasons for not making the corrections, and take these into account when determining whether the financial statements are free from material misstatement (ISA 450). This may affect the auditor's opinion if this results in the financial statements being materially misstated, but the refusal to correct the misstatements does not affect the opinion.

The auditor should determine whether uncorrected misstatements are material, both individually and in aggregate (ISA 450).

189 The correct answers are:

- Discuss the requirements of IAS 38 *Intangible Assets* with the directors in order to determine whether they understand the required accounting treatment of research and development expenditure
- Obtain a breakdown of the $5.3 million capitalised as an intangible asset and agree to supporting documentation to determine the nature of the projects to which the expenditure relates

Audit procedures should focus on determining the extent of research expenditure which has been incorrectly capitalised.

Whilst it is generally important to authorise expenditure, the issue is not authorisation or occurrence but its classification.

190 The correct answer is: Qualified opinion

Research expenditure of $2.1 million has been capitalised within intangible assets. This accounting treatment is incorrect, as IAS 38 *Intangible Assets* requires research expenditure to be expensed to profit or loss (IAS 38).

The error is material as it represents 8% of profit before income taxes ($2.1m/$26.3m).

Management should adjust the financial statements by removing the $2.1m research expenditure from intangibles and debiting the amount to profit or loss.

If management refuse to make the adjustment, the auditor's opinion will need to be modified. As the error is material but not pervasive, a qualified opinion would seem appropriate.

The basis of opinion section would need to include a paragraph explaining the misstatement and its effect on the financial statements. The opinion paragraph would be qualified.

191 The correct answer is:

Material	Financial statement impact
Yes	Wages may be materially misstated

Two months' worth of wages records have been lost and so audit evidence has not been gained in relation to this expense. Wages and salaries for the 2-month period represent 11% of profit before income taxes ($1.1m/$10m) and so wages and salaries may be materially misstated.

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192 The correct answer is:

Audit opinion	Disclosure in the auditor's report
Qualified	Basis for qualified opinion

The auditors should seek alternative audit procedures to audit the wages and salaries account. If no alternative audit procedures are possible, the loss of data would constitute a lack of sufficient appropriate audit evidence.

The auditors will need to modify the auditor's opinion on the basis that they are unable to obtain sufficient appropriate evidence in relation to a material amount in the financial statements. As the two months' salary and wages are not pervasive, a qualified opinion would seem appropriate.

The basis of opinion section would require an explanation of the insufficient audit evidence in relation to wages and salaries. The opinion paragraph would be qualified on the grounds of an inability to obtain sufficient appropriate audit evidence.

Medimade

193 The correct answers are:

- The going concern basis of accounting is used when the entity will be able to continue in business for the foreseeable future
- The going concern basis of accounting assumes that the entity will be able to realise its assets and discharge its liabilities in the normal course of business

The term 'foreseeable future' is not defined within ISA 570 *Going Concern*, but IAS 8 *Basis of Preparation of Financial Statements* deems the foreseeable future to be a period of 12 months from the end of the entity's reporting period (IAS 8).

The going concern basis of accounting does not require any specific accounting conditions to hold true (such as that the entity will have net current assets for the next 12 months), but rather the more general assumption that the entity will be able to continue in business, ie as a going concern.

194 The correct answers are:

- Medimade Co now has to pay cash on delivery and this adds further cash flow strain imposed by the overdraft
- Some suppliers may end their relationship with Medimade Co, preventing the company from producing its products, thus further reducing sales

Although all of the stated options are possible consequences, only these two options describe the most direct effect on going concern: cash flow difficulties and reducing sales. The main concern with bank covenants (which should already be in place) is that the bank can withdraw finance if and when the covenants are breached – bank covenants do not usually restrict the way in which a company conducts its business.

195 The correct answer is: Review board minutes for meetings held after the year end for evidence which indicates further financial difficulties or evidence of alternative sources of finance

The bank letter will provide evidence of the current level of overdraft but not about the likelihood of the overdraft being renewed in future.

The scenario clearly states that the bank will not make a decision on the extension of the overdraft facility until after the auditor's report is signed, and banks will not agree to disclose such information to the auditor. While written representations are a valid form of audit evidence, they do not provide sufficient appropriate audit evidence on their own about any of the matters with which they deal.

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196 The correct answer is:

Audit opinion	Disclosure in the auditor's report
Unmodified opinion	Describe the nature of the going concern uncertainty in the Key audit matters section

An unmodified opinion is issued as the auditor agrees with the use of the going concern basis of accounting and the level of disclosure provided. The existence of a material uncertainty in relation to going concern would be disclosed in the 'Material uncertainty related to going concern' section (ISA 570 (Revised)). A qualified opinion would be issued if the going concern basis of accounting is appropriate, but a material uncertainty exists which is not adequately disclosed (ISA 570 (Revised)). An adverse opinion would be issued where the going concern basis of accounting is inappropriate (ISA 570 (Revised)). A disclaimer of opinion would be issued if the auditor is unable to form an opinion.

197 The correct answer is: Discuss with management about their plans for the company and determine whether the 20X5 financial statements should now be prepared on a break-up basis. If yes, request management to adjust the financial statements, audit the adjustments and provide a new auditor's report

If Medimade is no longer able to continue its operations, this constitutes an adjusting event and the financial statements must be revised accordingly. IAS 10 *Events After the Reporting Period* states that an entity must not prepare its financial statements on a going concern basis if management determine after the year end that it has no other alternative but to liquidate the company (IAS 10). Now that the bank has withdrawn its overdraft facility, closure has become a very real possibility. In this case, disclosure in the financial statements is no longer appropriate – the financial statements must be prepared on a break-up basis.

Before the financial statements are issued, the auditors have a passive duty to consider the impact of matters which, had they been known at the date of the auditor's report, would have caused the auditor to amend the auditor's report.

Brown & Green Co

198 The correct answer is: Brown & Green Co should discuss any subsequent events they become aware of with the directors of Strawberry Co to determine whether the financial statements need amending

This question tests knowledge of ISA 560 *Subsequent Events* and demonstrates the importance of having a detailed understanding of the ISAs. While the auditor is not required to perform specific procedures after the signing of the auditor's report, if information comes to light between the signing of the auditor's report and the date the financial statements are issued, the auditor is required to discuss the matter with management and determine whether the financial statements should be amended.

The first option sets out the auditor's responsibilities in the period between the year end and the date the auditor's report is signed.

The auditor is required to obtain written representations in respect of subsequent events but this would have been obtained prior to the auditor's report being signed. Therefore, the second option is not a valid response.

While the statement in the third option correctly identifies that the auditor has no duty to perform subsequent events procedures after the auditor's report is signed, it is not always the case that events in this period will be dealt with next year as in certain circumstances the current year financial statements may be amended.

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199 The issue of share capital is a non-adjusting event because it gives new information about an event that did not exist at year-end date and it is material therefore it requires to be disclosed in the current year financial statements.

This question requires an understanding of the accounting treatment of events after the reporting period which underpins the auditor's ability to audit subsequent events and highlights the interaction between IAS 10 *Events after the Reporting Period* and ISA 560. Note the importance of looking carefully at any dates given in the question. In this case the shares were issued in May 20X5, which was after the year end. However, the information does not provide evidence of conditions which existed at the year end and therefore the transaction would be a non-adjusting event. As this event is material, however, it would be disclosed in the current year financial statements.

200 The correct answers are:

- Examine post year-end board meeting minutes to identify any reference to further developments of the case
- Review the correspondence with the company's legal advisers to assess the probable outcome of the case

Reviewing correspondence with the company's legal advisers would provide third party written evidence regarding the probable outcome of the case. Reviewing post year-end board minutes would provide written evidence of discussions by directors regarding any developments which may affect the overall outcome. Both of these procedures should provide the auditor with substantive evidence to enable them to determine whether these events have been appropriately recognised in the financial statements.

The first option would not be appropriate as the auditor does not have the authority to contact the environmental agency directly. The fourth option describes a test of control, not a substantive procedure. The opening statement in the stem of the question indicates that the procedures which have been carried out, and are therefore relevant, are substantive procedures. Mixing up substantive procedures and tests of controls is a common error. Candidates must ensure that they understand the difference and carefully consider the context set within the scenario or the requirement.

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201 The correct answers are:

Audit opinion	Outcome 1
Qualified	It is probable that the government agency will win the case, but as the letter was received after the year end, the directors did not plan to account for or disclose it in the financial statements

Audit opinion	Outcome 2
Unmodified with emphasis of matter	It is possible but not probable that the government agency will win the case and therefore the directors have disclosed the matter in the financial statements

In outcome 1 the directors have failed to comply with IAS 10. It is probable that Strawberry Co will receive a fine but this has not been reflected in the financial statements. On the basis that the financial statements are materially misstated a modified opinion will be issued. As the misstatement is material but not pervasive a qualified opinion would be appropriate.

(An adverse opinion would be issued if the misstatement had been material and pervasive. A disclaimer would be appropriate where the auditor is unable to obtain sufficient, appropriate evidence and the possible effects on the financial statements of any undetected misstatements could be material and pervasive.)

In outcome 2 the correct treatment has been adopted by the directors. As this is the case an unmodified opinion would be appropriate. The emphasis of matter would draw the user's attention to the case disclosed in the notes to the financial statements.

Care should be taken by candidates when considering the use of an emphasis of matter. In accordance with ISA 706 *Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report*, an emphasis of matter paragraph refers to a matter appropriately presented or disclosed (as is the case in outcome 2) that in the auditor's judgement is fundamental to users' understanding of the financial statements. Importantly therefore, it cannot be used as a substitute for a modified opinion. Suggesting that an emphasis of matter should be used where in fact a modified opinion is required is a common mistake.

202 The correct answer is: 28 September 20X5

In this requirement extra information is provided in addition to the main scenario. Where this type of information is provided candidates must ensure that they read it carefully before attempting the question. This question requires candidates to apply their knowledge of ISA 580 *Written Representations*. The ISA states that the date of written representations must be as near as practicable to, but not after the date of the auditor's report. The auditor's report is due to be signed on 28 September 20X5, therefore this would be the most appropriate date for the directors to sign the written representation.

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Signal Co

203 The correct answer is: 17 July 20X5

The correct answer is 17 July 20X5 as this is the date the auditor's report is due to be signed. Once the auditor's report has been signed, the auditor has no further responsibility to identify subsequent events. However, they must take action if they become aware of an event after the auditor's report is signed which results in a material misstatement of the financial statement and would therefore require the audit opinion to be modified.

204 The correct answer is: 2 and 3 only

The fire is a non-adjusting event as it occurred, and caused damage, after the year end. There is also no obligation created that would necessitate recognition of a provision, even if the fire had occurred before the year end. The cost of replacing assets and the impact on production could cast doubt on the appropriateness of the use of the going concern basis of accounting, so (2) and (3) are valid procedures to perform.

205 The correct answer is:

	Customer liquidation	**Dividend**
Option 1	Adjusting	Non-adjusting with disclosure

The discovery of the liquidation gives evidence about a condition at the year end (the recoverability of the debt) and is therefore an adjusting event. The declaration of a dividend after the year end only creates an obligation at that point and so is a non-adjusting event. As it is significant and of importance to the users, it is material and should be disclosed.

206 The correct answer is: Take steps to prevent reliance on the existing auditor's report

As the auditor's report has been issued to the shareholders but the audit opinion contained within is now incorrect, the auditor must take action to prevent reliance being placed on the existing report.

The first option is incorrect as it is not the role of the auditor to prepare, or make adjustments to, the financial statements.

The third option is incorrect as it is not the auditor's responsibility to inform the shareholders of the event.

The fourth option is incorrect as resignation would not be an initial action to take.

207 The correct answer is: Unmodified opinion with disclosure in an emphasis of matter paragraph

As the audit engagement partner has confirmed the changes to the financial statements are appropriate, an unmodified opinion should be given. For the audit engagement partner to come to this conclusion, adequate disclosure of the need to reissue the financial statements must also have been made by the directors.

An emphasis of matter paragraph will be included in the auditor's report to draw the users' attention to the disclosure made by management.

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Section B

208 Panda

Course Book reference

Chapter 1, 19 and 20.

Top tips

Part (a) is knowledge-based on the elements of assurance engagements and you should be able to score the full five marks here. In part (b), you first need to assess whether each of the issues is material or not so make sure you use the figures provided in the question for revenue and profit before income taxes to make your assessment. Remember also to consider whether these are adjusting events or not. Each issue is worth six marks so assume there are three marks for explaining whether an amendment is required and three marks for the audit procedures. In part (c), you must fully explain how the non-disclosure/amendment relating to the explosion might affect the auditor's report – it is not enough to say that the opinion will be modified, for example; you must explain the basis of any modification and whether it is material or pervasive. Note that in this part you are only asked to discuss the explosion – you must not include a discussion of the defective chemicals as this has not been asked for.

Easy marks

Part (a) offers easy marks for explaining the elements of an assurance engagement.

Marking guide

	Marks
(a) Up to 1 mark per well-explained element	
Intended user, responsible party, practitioner	1
Subject matter	1
Suitable criteria	1
Appropriate evidence	1
Assurance report	1
Maximum	5
(b) Up to 1 mark per valid point, overall maximum of 6 marks per event	
Event 1 – Defective chemicals	
Provides evidence of conditions at the year end	1
Inventory to be adjusted to lower of cost and net realisable value	1
Calculation of materiality	1
Review board minutes/quality control reports	1
Discuss with the directors, adequate inventory to continue to trade	1
Obtain written representation re going concern	1
Obtain schedule of defective inventory, agree to supporting documentation	1
Discuss with directors basis of the scrap value	1
Event 2 – Explosion	
Provides evidence of conditions that arose subsequent to the year end	1
Non-adjusting event, requires disclosure if material	1
Calculation of materiality	1
Obtain schedule of damaged property, plant and equipment and agree values to asset register	1

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Marking guide	Marks
Obtain latest inventory records to confirm damaged inventory levels	1
Discuss with the directors if they will make disclosures	1
Discuss with directors why no insurance claim will be made	1
Maximum	10
(c) Up to 1 mark per well-explained valid point	
Disclosure required in 20X3 financial statements and adjustment to the assets in 20X4 financial statements	1
Material but not pervasive misstatement	1
Modified auditor's report, qualified opinion	1
Basis for qualified opinion paragraph required	1
Opinion paragraph – qualified opinion	1
Maximum	5
Total	20

(a) **Elements of an assurance engagement**

There are five elements of an assurance engagement and these are explained below (IFAC, 2016).

A three party relationship

The three parties are the intended user, the responsible party and the practitioner. Intended users are the person, persons or class of persons for whom the practitioner prepares the assurance report. The responsible party is the person (or persons) responsible for the subject matter (in a direct engagement) or subject matter information of the assurance engagement.

The practitioner is the individual providing professional services that will review the subject matter and provide the assurance.

A subject matter

This is the data to be evaluated that has been prepared by the responsible party. It can take many forms, including financial performance (eg historical financial information), non-financial performance (eg key performance indicators), processes (eg internal control) and behaviour (eg compliance with laws and regulations).

Suitable criteria

The subject matter is evaluated or measured against criteria in order to reach an opinion.

Evidence

Sufficient appropriate evidence needs to be gathered to support the required level of assurance.

Assurance report

A report containing the practitioner's opinion is issued to the intended user.

(b) **Event 1: Defective chemicals**

A batch of chemicals produced before the year end, costing $0.85m to produce, has been found to be defective after the year end. Its scrap value is $0.1m. Inventory should be valued at the lower of cost and net realisable value in accordance with IAS 2 *Inventories* (IAS 2). This is an adjusting event in accordance with IAS 10 *Events after the Reporting Period* (IAS 10). As it stands, the inventory is overstated by $0.75m. This represents 13.4% of profit before income taxes and 1.4% of revenue and is therefore material to the financial statements.

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Audit procedures to be performed

- Obtain a schedule to confirm the cost value of the defective batch of $0.85m and documentary proof of the scrap value of $0.1m.
- Discuss with management whether this is the only defective batch or whether there are likely to be other batches affected.
- Review quality control reports to assess the likelihood of other batches being affected and discuss results of testing with technical team members at Panda.

Event 2: Explosion

An explosion shortly after the year end has resulted in damage to inventory and property, plant and equipment. The amount of inventory and property, plant and equipment damaged is estimated to be $0.9m. It has no scrap value. Inventory and property, plant and equipment are therefore overstated by $0.9m. This represents 16.1% of profit before income taxes and 1.6% of revenue, and is therefore material. The explosion represents a non-adjusting event in accordance with IAS 10 *Events after the reporting period*. It therefore does not require adjustment in the financial statements but should be disclosed as it is material (IAS 10).

Audit procedures to be performed

- Obtain a schedule of the inventory and property, plant and equipment damaged in the explosion to verify the value of $0.9m.
- Visit the site where the explosion took place to assess damage.
- Discuss with directors the need to make disclosure in the financial statements and review any disclosure note drafted.
- Inspect insurance agreement to assess whether any claim can be made on the insurance.

(c)

Word Processor

Paragraph

Effect on auditor's report of the explosion

The directors should make disclosures in the financial statements about the explosion and the effect on inventory and property, plant and equipment. This is because the amount involved is material and affects the value of opening inventory and property, plant and equipment in the following financial year.

If the directors refuse to make the disclosure, then the auditors would modify the opinion on the financial statements on the basis of a material misstatement. The opinion would be qualified as the matter is material but unlikely to be pervasive.

A 'Basis for qualified opinion' paragraph would be included in the auditor's report, describing the auditor's reason for modifying the opinion and the effect of the explosion on the opening balances in the financial statements for the following financial year (ISA 705). The 'basis for qualified opinion' would be placed immediately after the Opinion paragraph.

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Sample questions from the examining team

March 2019

209 The correct answer is: 1, 2, 3 and 4

Although straightforward many candidates found this question challenging. This question demonstrates the level of detailed knowledge of an ISA which may be tested, in this case ISA 700 *Forming an Opinion and Reporting on Financial Statements*.

Items described in (1) and (4) would be included in the basis for opinion paragraph.

Item (2) would appear at the start of the auditor's report so that the auditor's report is clearly distinguished from reports issued by others.

The item described in (3) would be included as part of the auditor's responsibilities for the audit of the financial statements section.

210 If the directors refuse to amend the inconsistency, then the auditor's opinion will be

unmodified and the inconsistency will be explained in a other information section.

As with the previous question this question requires a detailed knowledge and understanding of an ISA, in this case ISA 720 *The Auditor's Responsibilities Relating to Other Information*.

As the financial statements are not misstated the audit opinion will be unmodified. However, in accordance with ISA 720 as there is an uncorrected material misstatement in the other information, the auditor's report must include a statement describing the issue in the other information section.

June 2019

211 The correct answers are:

The audit committee's terms of reference should include reviewing and monitoring the external auditor's independence and objectivity	TRUE	
The audit committee's terms of reference should include appointing and removing the external auditors		FALSE
The audit committee's terms of reference should include evaluating and monitoring the effectiveness of the internal audit function	TRUE	

This question tests knowledge of corporate governance responsibilities and in particular those of the audit committee and demonstrates the level of detailed knowledge which is required. It also demonstrates the level of care which must be taken when reading the question and thinking through the options.

The audit committee makes recommendations in relation to the appointment and removal of the external auditors but it is the shareholders who are responsible for their appointment and removal. Candidates who rush through this type of question or who word spot without considering the whole of the context of the question are likely to answer incorrectly.

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212 A & Co's evaluation of management's assessment of Z Co's ability to continue as a going concern must cover the period up to 31 December 20X9.

As with the previous question, this question requires detailed knowledge, in this case of ISA 570 *Going Concern*. However, it also demonstrates the need to be able to apply knowledge to a practical scenario. In accordance with ISA 570, the auditor is required to review the same period as that used by management to determine whether the going concern basis is appropriate. This must be at least 12 months from the end of the reporting period.

The management of Z Co has used a cash flow forecast for 12 months to December 20X9. As this is at least 12 months from the end of the reporting period, this is date to which A & Co's assessment must cover.

September 2019

213 The correct answer is: Attend the cash count at the year end and reperform the count

This question tests audit procedures relevant to bank and cash but also an ability to relate procedures to a specific assertion. It demonstrates the importance of understanding why a procedure is performed and the specific objective which it achieves.

By attending the cash count and reperforming the count the auditor is able to physically verify the existence of the cash. Agreeing a sample of accounts detailed on the bank confirmation letters to the trial balance provides evidence of completeness of bank and cash balances. Reviewing bank statements to verify that they are in the name of the company provides evidence of rights and obligations and the review of disclosures provides evidence relating to presentation.

214 The correct answer is: 1 and 4

This question demonstrates the need for candidates to have a thorough understanding of all aspects of the syllabus. While the topic of auditors' reports is an important one, candidates are reminded that section E of the syllabus also includes subsequent events, going concern, written representations and audit finalisation and the final review.

Revising the audit plan to allow for changing circumstances helps to ensure that sufficient and appropriate audit evidence is obtained. Performing audit work in accordance with relevant auditing, legal and professional standards enhances the quality of the audit work and therefore the evidence on which the audit opinion is based. The audit firm should ensure that it remains independent throughout the audit and the auditor is required to communicate deficiencies which are of sufficient importance to merit management's attention. However, neither of these issues has a direct effect on the evaluation of audit evidence at the review stage and its suitability for providing the basis for the audit opinion.

December 2019

215 The correct answer is: 1 and 3 only

This question tests knowledge of corporate governance guidelines. It demonstrates not only the level of detailed knowledge which is required but also the importance of reading the question carefully rather than rushing to a conclusion. It is the chair, not the chief executive officer who is responsible for the board. The audit committee will liaise with the external auditor, although this is not its key role, but is not responsible for their appointment. The audit committee may make recommendations regarding the appointment of the external auditor but appointment is normally by the shareholders at a general meeting.

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216 The correct answer is: Request that management extends the assessment period to 30 April 20X6

This question examines knowledge of ISA 570 *Going Concern*. However it also demonstrates the need to be able to apply the principles to a practical scenario. ISA 570 requires that in evaluating the entity's ability to continue as a going concern the auditor must cover the same period as that used by management to make its assessment. If management's assessment covers a period of less than twelve months from the date of the financial statements the auditor is required to request management to extend its assessment period. In this case the auditor must request that management extend the assessment period to 30 April 20X6. Performing additional audit procedures would not resolve the fact that the assessment period is not as required by ISA 570, therefore the third option is not an appropriate response in this instance.

March 2020

217 The correct answers are:

- All transactions have been recorded in the accounting records and are reflected in the financial statements
- Significant assumptions used in making accounting estimates are reasonable

This question examines knowledge of ISA 580 *Written Representations*. The ISA requires the auditor to request a number of written representations in relation to management's responsibilities and these include the statement at A above. There are also a number of other ISAs which require subject matter specific written representations. These include a requirement in ISA 540 *Auditing Accounting Estimates, Including Fair Value Accounting Estimates, and Related Disclosures* for a written representation as set out in the fourth option.

This question also demonstrates the need for candidates to think carefully and not to rush to a conclusion to avoid falling for the distracters. The second statement would be included in the letter of engagement and the third in the auditor's report.

218 The correct answers are:

- Design and perform analytical procedures to confirm the financial statements are consistent with the auditor's understanding of the entity
- Reassess materiality to confirm whether it remains appropriate in the context of Y Co's final financial statements

ISA 520 *Analytical Procedures* requires the auditor to perform analytical procedures near the end of the audit to assist the auditor when performing an overall conclusion. ISA 320 *Materiality in Planning and Performing an Audit* states that materiality may need to be revised as the audit progresses. At the review stage of the audit, the auditor considers whether the aggregate of uncorrected misstatements is material. In doing so the auditor must consider whether the materiality level is still appropriate.

This question is a reminder to candidates not to overlook the finalisation and review stage of the audit. It is an essential part of the audit process and candidates must be prepared for questions on this. It also demonstrates the importance of understanding the process of the audit overall and the procedures that are performed at each stage. For example, the third, fourth and fifth procedures are all valid audit procedures but the third procedure is performed as part of the work on acceptance of a client and the fourth and fifth are performed as part of the fieldwork.

The first procedure is not valid as it is management that would make an assessment of the company's ability to continue as a going concern. The auditor is required to gather sufficient and appropriate evidence that management's assessment and use of the going concern basis is appropriate.

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July 2020

219 The correct answers are:

- For a sample of assets held in the factory and warehouse record the asset identity number as marked on the asset and trace back to the relevant entry in the non-current asset register
- Trace a sample of costs recognised in the repairs and maintenance account to invoices and determine the nature of the expenditure and assess whether any capital items have been expensed

Tracing from the asset to the non-current asset register provides evidence of completeness as the total balance for plant and machinery will only be complete if the assets sampled are recorded in the register. (Tracing from the register to the physical asset would provide evidence of existence.) The plant and machinery balance must also include all relevant capital expenditure. If capital expenditure has been expensed in error, then the balance will not be complete.

Reviewing board minutes for evidence of authorisation is a test of controls and therefore does not provide substantive evidence. In addition, the fact that the capital expenditure has been authorised does not mean that the corresponding assets have been included in the accounting records. Enquiry regarding the fully depreciated assets would provide evidence in relation to valuation.

This question demonstrates the need for candidates to be able to apply their knowledge of substantive procedures and the importance of fully understanding the nature of the evidence obtained by performing a specific procedure, in this case to determine whether they are relevant to the completeness assertion. It also highlights the importance of being able to distinguish between a substantive procedure and a test of control. A test of control is an audit procedure designed to evaluate the operating effectiveness of controls, whereas a substantive procedure is designed to detect material misstatement at the assertion level. Confusing tests of controls and substantive procedures is a common error. Candidates must ensure they understand the difference between the two types of test and can provide examples of both as specified in the syllabus.

220 The correct answer is: 2 and 3

Tracing loan payments from the general ledger to the bank statement allows the auditor to confirm how much capital has been repaid and reconcile the closing balance. Confirmation of the balance to the bank letter provides 3rd party evidence of the closing balance.

The procedure described in statement 1 is a test of controls. As such it does not provide evidence of the year-end balance itself. Candidates should be aware that tests of controls may be included as distracters in questions testing substantive procedures and vice versa, therefore it is essential that they understand the difference. Comparing loan liabilities at the end of the current year to the previous year would not be a valid procedure in this instance as the information states that the company has sourced external finance for the first time during the year. As a result, this comparison would be meaningless. Candidates must be able to apply their knowledge of substantive procedures. In this case candidates were required to take in to account the specific circumstances described in the scenario when considering whether a procedure would be appropriate. Candidates must ensure that they answer OT questions within the context set in the scenario rather than responding to them as standalone questions.

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Mock Exams

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ACCA

Audit and Assurance (AA)

Mock Exam 1

September 2016 (amended)

Questions	
Time allowed	3 hours
This mock exam is divided into two sections: SECTION A – ALL 15 questions are compulsory and MUST be attempted SECTION B – ALL 3 questions are compulsory and MUST be attempted	

DO NOT OPEN THIS EXAM UNTIL YOU ARE READY TO START UNDER EXAMINATION CONDITIONS

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Section A

ALL 15 questions are compulsory and MUST be attempted

Viola & Co

Assume it is 1 July 20X5.

You are an audit senior of Viola & Co and are currently conducting the audit of Poppy Co for the year ended 31 March 20X5.

Materiality has been set at $50,000, and you are carrying out the detailed substantive testing on the year-end payables balance. The audit manager has emphasised that understatement of the trade payables balance is a significant audit risk.

Below is an extract from the list of supplier statements as at 31 March 20X5 held by the company and corresponding payables ledger balances at the same date along with some commentary on the noted differences:

Supplier	*Statement balance*	*Payables ledger balance*
	$'000	*$'000*
Carnation Co	70	50
Lily Co	175	105

Carnation Co

The difference in the balance is due to an invoice which is under dispute due to faulty goods which were returned on 30 March 20X5.

Lily Co

The difference in the balance is due to the supplier statement showing an invoice dated 29 March 20X5 for $70,000 which was not recorded in the financial statements until after the year end. The payables clerk has advised the audit team that the invoice was not received until 2 April 20X5.

1 The audit manager has asked you to review the full list of trade payables and select balances on which supplier statement reconciliations will be performed.

Indicate on the table below if the following items should be included in, or excluded from, your sample.

Suppliers with material balances at the year end	INCLUDE	EXCLUDE
Suppliers which have a high volume of business with Poppy Co	INCLUDE	EXCLUDE
Major suppliers with nil balances at the year end	INCLUDE	EXCLUDE
Major suppliers where the statement agrees to the ledger	INCLUDE	EXCLUDE

(2 marks)

---

2 **Which of the following audit procedures should be performed in relation to the balance with Lily Co to determine if the payables balance is understated?**

- ○ Inspect the goods received note to determine when the goods were received
- ○ Inspect the purchase order to confirm it is dated before the year end
- ○ Review the post year end bank ledger account for evidence of payment of the invoice
- ○ Send a confirmation request to Lily Co to confirm the outstanding balance **(2 marks)**

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3 **Which of the following audit procedures should be carried out to confirm the balance owing to Carnation Co?**

(1) **Review post year end credit notes for evidence of acceptance of return**

(2) **Inspect pre year end goods returned note in respect of the items sent back to the supplier**

(3) **Inspect post year end bank ledger account for evidence that the amount has been settled**

- ○ 1, 2 and 3
- ○ 1 and 3 only
- ○ 1 and 2 only
- ○ 2 and 3 only

(2 marks)

---

4 The audit manager has asked you to review the results of some statistical sampling testing, which resulted in 20% of the payables balance being tested.

The testing results indicate that there is a $45,000 error in the sample: $20,000 which is due to invoices not being recorded in the correct period as a result of weak controls and additionally there is a one-off error of $25,000 which was made by a temporary clerk.

What would be an appropriate course of action on the basis of these results?

- ○ The error is immaterial and therefore no further work is required
- ○ The effect of the control error should be projected across the whole population
- ○ Poppy Co should be asked to adjust the payables figure by $45,000
- ○ A different sample should be selected as these results are not reflective of the population

(2 marks)

---

5 To help improve audit efficiency, Viola & Co is considering introducing the use of automated tools and techniques for some audits. You have been asked to consider how these could be used during the audit of Poppy Co.

Which of the following is an example of using test data for trade payables testing?

- ○ Selecting a sample of supplier balances for testing using monetary unit sampling
- ○ Recalculating the ageing of trade payables to identify balances which may be in dispute
- ○ Calculation of trade payables payment period to use in analytical procedures
- ○ Inputting dummy purchase invoices into the client system to see if processed correctly

(2 marks)

(Total = 10 marks)

Blenkin & Co

Assume it is 1 July 20X5.

You are an audit manager at Blenkin & Co and are approaching the end of the audit of Sampson Co, which is a large listed retailer. The draft financial statements currently show a profit before income taxes of $6.5 million and revenue of $66 million for the financial year ended 31 March 20X5. You have been informed that the finance director left Sampson Co on 28 February 20X5.

As part of the subsequent events audit procedures, you reviewed post year end board meeting minutes and discovered that a legal case for unfair dismissal has been brought against Sampson Co by the finance director. During a discussion with the human resources (HR) director of

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Sampson Co, you established that the company received notice of the proposed legal claim on 10 April 20X5.

The HR director told you that Sampson Co's lawyers believe that the finance director's claim is likely to be successful, but estimate that $150,000 is the maximum amount of compensation which would be paid. However, management does not intend to make any adjustments or disclosures in the financial statements.

6 Blenkin & Co has a responsibility to perform procedures to obtain sufficient, appropriate evidence that subsequent events are appropriately reflected in the financial statements of Sampson Co. The timeline below shows four dates.

Indicate, by selecting from the following options, up until which date the auditor should perform subsequent events procedures.

- ○ The date the subsequent events review is performed
- ○ The date of the approval of the financial statements
- ○ The date of the auditor's report
- ○ The date the financial statements are issued

(2 marks)

---

7 If, after the financial statements have been issued, Blenkin & Co becomes aware of a fact which may have caused its report to be amended, the firm should consider several possible actions.

Which TWO of the following are appropriate actions for Blenkin & Co to take?

- ☐ Discuss the matter with management and, where appropriate, those charged with governance
- ☐ Obtain a written representation from management
- ☐ Consider whether the firm should resign from the engagement
- ☐ Enquire how management intends to address the matter in the financial statements where appropriate

(2 marks)

---

8 **Which of the following audit procedures should be performed to form a conclusion as to whether the financial statements require amendment in relation to the unfair dismissal claim?**

(1) **Inspect relevant correspondence with Sampson Co's lawyers**

(2) **Write to the finance director to confirm the claim and level of damages**

(3) **Review the post year end bank ledger account for evidence of payments to the finance director**

(4) **Request that management confirm their views in a written representation**

- ○ 1, 2 and 3
- ○ 1, 2 and 4
- ○ 1, 3 and 4
- ○ 2, 3 and 4

(2 marks)

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9 You are drafting the auditor's report for Sampson Co and the audit engagement partner has reminded you that the report will need to reflect the requirements of ISA 701 *Communicating Key Audit Matters in the Independent Auditor's Report.*

According to ISA 701, which of the following should be included in the 'Key audit matters' paragraph in the auditor's report?

- O Matters which required significant auditor attention
- O Matters which result in a modification to the audit opinion
- O All matters which were communicated to those charged with governance
- O All matters which are considered to be material to the financial statements **(2 marks)**

---

10 **Which of the following audit opinions will be issued if the unfair dismissal case is NOT adjusted for or disclosed within the financial statements?**

- O A qualified audit opinion as the financial statements are materially misstated
- O A qualified audit opinion as the auditor is unable to obtain sufficient appropriate evidence
- O An unmodified opinion with an emphasis of matter paragraph
- O An unmodified audit opinion **(2 marks)**

(Total = 10 marks)

Sycamore & Co

Assume it is 1 July 20X5.

Sycamore & Co is the auditor of Fir Co, a listed computer software company. The audit team comprises an engagement partner, a recently appointed audit manager, an audit senior and a number of audit assistants. The audit engagement partner has only been appointed this year due to the rotation of the previous partner who had been involved in the audit for seven years. Only the audit senior has experience of auditing a company in this specialised industry. The previous audit manager, who is a close friend of the new audit manager, left the firm before the completion of the prior year audit and is now the finance director of Fir Co.

The board of Fir Co has asked if Sycamore & Co can take on some additional work and have asked if the following additional non-audit services can be provided:

Payroll	Routine maintenance of payroll records
Recruitment	Assistance with the selection of a new financial controller including the checking of references
Tax	Tax services whereby Sycamore & Co would liaise with the tax authority on Fir Co's behalf

Sycamore & Co has identified that the current year fees to be received from Fir Co for audit and other services will represent 16% of the firm's total fee income and totalled 15.5% in the prior year. The audit engagement partner has asked you to consider what can be done in relation to this self-interest threat.

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11 **Complete the following sentences regarding the audit team by selecting from the options provided.**

In relation to the composition of the current audit team, the fundamental principle of

(1) ▼ is at risk.

An appropriate safeguard to deal with this risk would be to (2) ▼ .

Pull down list 1

- Confidentiality
- Professional competence

Pull down list 2

- Appoint a completely new audit team
- Provide industry training for team members
- Reinstate the previous partner
- Resign from the engagement

(2 marks)

---

12 **Which of the following identifies the threat which could arise as a result of the finance director's previous employment at Sycamore & Co and recommends an appropriate safeguard?**

- ○ A self-review threat; review the work performed by the previous audit manager
- ○ A familiarity threat; a different audit manager should be appointed
- ○ A self-review threat; change the existing audit plan
- ○ A familiarity threat; the firm should resign from the engagement

(2 marks)

---

13 **Ignoring the potential effect on total fee levels, match the non-audit service to the threat to independence which would be created if Sycamore & Co were to provide the proposed services.**

Non-audit service		Threat to independence
Recruitment		Self-review
Tax		Self-interest
Payroll		Advocacy

(2 marks)

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14 **Which of the following safeguards would NOT be relevant in mitigating the threat identified in relation to fees?**

- ○ Disclosure to those charged with governance that fees from Fir Co represent more than 15% of Sycamore & Co's total fee income
- ○ A pre-issuance review to be conducted by an external accountant
- ○ The use of separate teams to provide the audit and non-audit services
- ○ A post-issuance review to be conducted by an external accountant or regulatory body

(2 marks)

---

15 During the course of the audit of Fir Co, a suspicious cash transfer has been identified. The audit team has reported this to the relevant firm representative as a potential money-laundering transaction.

Which of the following statements is true regarding the confidentiality of this information?

- ○ Details of the transaction can only be disclosed with the permission of Fir Co
- ○ If there is a legal requirement to report money laundering, this overrides the principle of confidentiality
- ○ Sycamore & Co is not permitted to disclose details of the suspicious transaction as the information has been obtained during the course of the audit
- ○ In order to maintain confidentiality, Sycamore & Co should report its concerns anonymously

(2 marks)

(Total = 10 marks)

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Section B

ALL THREE questions are compulsory and MUST be attempted.

16 Heraklion

It is 1 July 20X5. Heraklion Co is a manufacturer of footballs and is a new audit client for your firm. You are an audit supervisor of Spinalonga & Co and are currently preparing for the forthcoming interim and final audit for the year ending 30 June 20X5. You are required to document and assess the sales system, recommend control improvements to deal with a specific fraud issue and undertake substantive testing of revenue. The sales system is an integrated module within the computerised accounting system. The bank and payroll systems are not integrated.

Sales ordering, goods dispatched and invoicing

Heraklion Co sells footballs to a range of large and small sports equipment retailers in several countries. Sales are made through a network of sales staff employed by Heraklion Co, but new customer leads are generated through a third-party company. Sales staff are responsible for assessing new customers' creditworthiness and proposing a credit limit using an online form within the sales system which is then electronically authorised or rejected by the sales director. The sales staff have monthly sales targets and are able to use their discretion in granting sales discounts up to a maximum of 10%. They then enter any discount granted which is recorded in the customer master data file.

The sales staff visit customer sites personally with their laptops and orders are completed using an online order form. When the form is completed and submitted one copy is automatically emailed to the customer's email address and the other copy is automatically emailed to the salesperson that assisted with raising the order. The company markets itself on being able to dispatch all orders within three working days. Once the auto-emailed order is received, the salesperson prepares a separate email to the finance department and warehouse dispatch team with the customer ID and order details. From this a pick list is generated. Sequentially numbered goods dispatched notes (GDNs) are generated from the system when the sports equipment items are recorded as being taken out of inventory. These completed GDNs are printed and filed in the warehouse.

Sequentially numbered invoices are generated using the pick lists for quantities and the customer master data file for prices. Standard credit terms for customers are 30 days and on a monthly basis sales invoices which are over 90 days outstanding are notified to the relevant salesperson to chase payment directly with the customer.

Payroll fraud

The finance director, Montse Mirabelle, has informed you that a significant fraud took place during the year in the payroll department. A number of fictitious employees were set up on the payroll and wages were paid into one bank account. This bank account belonged to two supervisors, who were married, and were employed by Heraklion Co. One had sole responsibility for setting up new joiners in the payroll system and the other processed and authorised bank transfer requests for wages and supplier payments. These employees no longer work for the company and Montse has asked the audit firm for recommendations on how to improve controls in this area to prevent this type of fraud occurring again. Heraklion Co operates a human resources department.

Required

(a) Describe **TWO** methods for documenting the sales system, and for each explain **ONE** advantage and **ONE** disadvantage of using this method.

(6 marks)

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(b) Identify and explain **SEVEN** deficiencies in the sales system of Heraklion Co and provide a recommendation to address each of these deficiencies.

Note. Use the below table structure to format your answer in the CBE software.

Control deficiency	Control recommendation

(14 marks)

(c) In relation to the payroll fraud, identify and explain **THREE** controls Heraklion Co should implement to reduce the risk of this type of fraud occurring again and, for each control, describe how it would mitigate the risk. **(6 marks)**

(d) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Heraklion Co's revenue. **(4 marks)**

(Total = 30 marks)

17 Elounda

It is 1 July 20X5. Elounda Co manufactures chemical compounds using a continuous production process. Its year end was 30 April 20X5 and the draft profit before income taxes is $13.6 million. You are the audit supervisor and the year-end audit is due to commence shortly. The following matters have been brought to your attention:

Revaluation of property, plant and equipment (PPE)

At the beginning of the year, management undertook an extensive review of Elounda Co's non-current asset valuations and as a result decided to update the carrying value of all PPE. The finance director, Peter Dullman, contacted his brother, Martin, who is a valuer and requested that Martin's firm undertake the valuation, which took place in July 20X4.

Inventory valuation

Your firm attended the year-end inventory count for Elounda Co and ascertained that the process for recording work in progress (WIP) and finished goods was acceptable. Both WIP and finished goods are material to the financial statements and the quantity and stage of completion of all ongoing production was recorded accurately during the count. During the inventory count, the count supervisor noted that a consignment of finished goods, compound E243, with a value of $720,000, was defective in that the chemical mix was incorrect. The finance director believes that compound E243 can still be sold at a discounted sum of $400,000.

Bank loan

Elounda Co secured a bank loan of $2.6 million on 1 July 20X3. Repayments of $200,000 are due quarterly, with a lump sum of $800,000 due for repayment in October 20X5. The company met all loan payments in 20X4 on time, but was late in paying the January and April 20X5 repayments.

Required

(a) Describe substantive procedures you should perform to obtain sufficient, appropriate audit evidence in relation to the revaluation of property, plant and equipment (PPE). **(5 marks)**

(b) Describe substantive procedures you should perform to obtain sufficient, appropriate audit evidence in relation to the inventory valuation. **(6 marks)**

(c) Describe substantive procedures you should perform to obtain sufficient, appropriate audit evidence in relation to the bank loan. **(4 marks)**

(d) Describe the procedures which the auditor of Elounda Co should perform in assessing whether or not the company is a going concern. **(5 marks)**

(Total = 20 marks)

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18 Chania

It is 1 July 20X5. You are an audit supervisor of Chania & Co and are planning the audit of your client, Sitia Sparkle Co, which manufactures cleaning products. Its year end was 30 April 20X5 and the draft profit before income taxes is $33.6 million. You are supervising a large audit team for the first time and will have specific responsibility for supervising and reviewing the work of the audit assistants in your team.

Sitia Sparkle Co purchases most of its raw materials from suppliers in Africa and these goods are shipped directly to the company's warehouse and the goods are usually in transit for up to three weeks. The company has incurred $1.3 million of expenditure on developing a new range of cleaning products which are due to be launched into the marketplace in August 20X5. In June 20X4, Sitia Sparkle Co also invested $0.9 million in a complex piece of plant and machinery as part of the development process. The full amount has been capitalised and this cost includes the purchase price, installation costs and training costs.

This year, the bonus scheme for senior management and directors has been changed so that, rather than focusing on profits, it is instead based on the value of year-end total assets. In previous years an allowance for receivables, made up of specific balances, which equalled almost 1% of trade receivables, was maintained. However, the finance director feels that this is excessive and unnecessary and has therefore not included it for 20X5 and has credited the opening balance to the profit or loss account.

A new general ledger system was introduced in February 20X5; the finance director has stated that the data was transferred and the old and new systems were run in parallel until the end of May 20X5. As a result of the additional workload on the finance team, a number of control account reconciliations were not completed as at 30 April 20X5, including the bank reconciliation. The finance director is comfortable with this as these reconciliations were completed successfully for both March and May 20X5. In addition, the year-end close down of the purchase ledger was undertaken on 8 May 20X5.

Required

(a) ISA 300 *Planning an Audit of Financial Statements* provides guidance to assist auditors in planning an audit. Explain the benefits of audit planning. **(4 marks)**

(b) Describe **SIX** audit risks, and explain the auditor's response to each risk, in planning the audit of Sitia Sparkle Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(12 marks)

(c) In line with ISA 220 (Revised) *Quality Management for an Audit of Financial Statements*, describe the audit supervisor's responsibilities in relation to supervising and reviewing the audit assistants' work during the audit of Sitia Sparkle Co. **(4 marks)**

(Total = 20 marks)

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Answers

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Plan of attack

If this were the real Audit and Assurance exam and you had been told to start the exam, what would be going through your mind?

An important thing to say (while there is still time) is that it is vital to have a good breadth of knowledge of the syllabus because all the questions are compulsory. However, don't panic. Below we provide guidance on how to approach the exam.

Looking through the exam

Section A has three objective test cases, each with five questions. This is the section of the exam where the examining team can test knowledge across the breadth of the syllabus. Make sure you read these cases and questions carefully. The distractors are designed to present plausible, but incorrect, answers. Don't let them mislead you. If you really have no idea – guess. You may even be right.

Section B has three longer questions:

- **Question 16** is a 30-mark internal controls question mainly focused on control deficiencies and recommendations in a sales system. You are also asked to consider controls that would help to prevent fraud. Don't panic – take your time to read the scenario and what you are asked to do. Try to relate your answers to the specific scenario as much as you can.
- **Question 17** is a 20-mark question on audit procedures relating to PPE, inventory, a bank loan and for assessing going concern. You have a number of individual areas to cover here so take care with timing.
- **Question 18** is a 20-mark planning and audit risk question. Make sure you have noticed that part (b) requires you to identify risks **and** explain the auditor's response to these.

Allocating your time

BPP's advice is to always allocate your time **according to the marks for the question**. However, **use common sense**. If you're doing a question but haven't a clue how to do part (b), you might be better off reallocating your time and getting more marks on another question, where you can add something you didn't have time for earlier on. Make sure you leave time to recheck the OTs and make sure you have answered them all.

Forget about it!

And don't worry if you found the exam difficult. More than likely other candidates will too. If this were the real thing you would need to forget the exam the minute you finish the exam and think about the next one. Or, if it is the last one, celebrate!

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Section A

Viola & Co

1 The correct answers are:

Suppliers with material balances at the year end	INCLUDE	
Suppliers which have a high volume of business with Poppy Co	INCLUDE	
Major suppliers with nil balances at the year end	INCLUDE	
Major suppliers where the statement agrees to the ledger		EXCLUDE

Where completeness is the key assertion, the sample should be selected to verify where the balance may be understated and therefore should include suppliers with material balances, suppliers with a high volume of business with Poppy Co and major suppliers with no outstanding balance at the year end.

2 The correct answer is: Inspect the goods received note to determine when the goods were received

In order to determine if the balance with Lily Co is understated, the auditor should determine if the goods should be included in payables at the year end by inspecting the goods received note.

3 The correct answer is: 1 and 2 only

To confirm the balance with Carnation Co, the auditor must determine if the liability exists for the disputed items at the year end by reviewing pre year end goods returned notes and post year end credit notes to verify that the goods have been returned and the order cancelled by the supplier.

4 The correct answer is: The effect of the control error should be projected across the whole population

Although the error is immaterial, the auditor must reach a conclusion on the sample selected and in order to do so the effect of the error must be considered in relation to the whole population.

5 The correct answer is: Inputting dummy purchase invoices into the client system to see if processed correctly

Test data involves inputting fake transactions into the client's system to test how the transactions are processed. The other options are examples of audit software.

Blenkin & Co

6 The correct answer is: The date of the auditor's report

As per ISA 560 Subsequent Events, the auditor has an active responsibility to carry out subsequent events procedures between the date of the financial statements and the date of the auditor's report.

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7 The correct answers are:

- Discuss the matter with management and, where appropriate, those charged with governance
- Enquire how management intends to address the matter in the financial statements where appropriate

As per ISA 560 paragraph 15, in the circumstances described the auditor should initially discuss the matter with management and understand how management intends to address the matter in the financial statements.

8 The correct answer is: 1, 3 and 4

The auditor is unlikely to ask the finance director, who is no longer an officer of the company and the party involved in the claim, to confirm the level of damages payable. All other procedures would be appropriate.

9 The correct answer is: Matters which required significant auditor attention

As per paragraph 9 of ISA 701 *Communicating Key Audit matters in the Independent Auditor's Report*, in determining key audit matters, the auditor shall determine, from the matters communicated to those charged with governance, those which required significant auditor attention.

10 The correct answer is: An unmodified audit opinion

The maximum damages of $150,000 is not material to the financial statements at 2.3% of profit before income taxes and 0.2% of revenue. Therefore no modification to the audit opinion is required.

Sycamore & Co

11 In relation to the composition of the current audit team, the fundamental principle of

professional competence is at risk.

An appropriate safeguard to deal with this risk would be to provide industry training for team members.

The fundamental principle at risk is professional competence, as many of the audit team are new and do not have relevant experience in relation to the specialised industry in which Fir Co operates. It is not appropriate to reinstate the previous partner as, in line with the ACCA *Code of Ethics and Conduct*, the previous partner has been rotated after seven years to prevent a familiarity threat. The audit firm should offer appropriate training for the audit team to ensure they have the necessary knowledge to carry out the work.

12 The correct answer is: A familiarity threat; a different audit manager should be appointed

As the previous audit manager has taken up employment with the client as the finance director, there is a familiarity threat due to the ongoing relationship between the old and new audit manager. The familiarity threat is not so severe that the firm would need to resign but a new audit manager should be appointed.

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13 The correct answers are:

Non-audit service	Threat to Independence
Payroll	Self-review
Recruitment	Self-interest
Tax	Advocacy

As per the ACCA *Code of Ethics and Conduct*, the following threats would be created from carrying out the non-audit services requested by Fir Co:

Payroll – Self-review as the auditor will also be involved in auditing the figures included in the financial statements in relation to wages and salaries.

Recruitment – Self-interest as the auditor would be involved in selecting an officer of the company who has significant influence over the financial statements.

Tax – Advocacy as the auditor may be perceived to be representing and promoting Fir Co's interest in liaising with the tax authority.

14 The correct answer is: The use of separate teams to provide the audit and non-audit services

Using separate teams will not address the self-interest threat from the fee levels, as separating the teams will not alleviate the firm's potential financial dependence on Fir Co and therefore the risk that work is not carried out independently for fear of losing the client.

15 The correct answer is: If there is a legal requirement to report money laundering, this overrides the principle of confidentiality

As per the ACCA *Code of Ethics and Conduct* – Confidential information may be disclosed when such disclosure is required by law.

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Section B

16 Heraklion

Course Book references

Chapters 9, 10 and 14.

Top tips

This is a 30-mark question which looks primarily at the issue of systems and controls.

There are a number of requirements so it is important that you are careful with your time and deal with all four requirements. Notice that in requirements (a), (b) and (c) the number of issues that you need to identify is specified. Make sure you take note of this.

Almost half of the marks available relate to part (b). This is a very common requirement and is likely to be examined on a regular basis. The ACCA examining team's report on this question indicated that whilst candidates were able to identify the control deficiency they did not clearly explain the implications of the deficiency.

The report also commented that whilst some candidates were able to provide good recommendations, others provided recommendations which were either poorly described, did not address the specific control deficiency identified, or were impractical or incomplete.

Easy marks

Part (a) should be straightforward. Although part (b) requires application to the scenario, you should be familiar with the requirement to identify deficiencies and make recommendations.

Note

The exam is a computer-based assessment and the answers for this question have been shown as they would appear in the word processer available on the assessment platform. Where an answer is tabular a table template with the appropriate columns will be provided for you to type into. Otherwise, you will just type your answer into the blank area provided.

Marking guide

		Marks
(a)	**Methods for documenting the sales system**	
	Narrative notes	3
	Questionnaires	3
	Flowcharts	3
	Maximum	6
(b)	**Control deficiencies and recommendations** (only 7 issues required)	
	New customers' creditworthiness assessed by sales staff	2
	Sales staff have discretion to grant discounts up to 10%	2
	Access to master file data	2
	Inventory not checked prior to order being placed	2
	No copy of order with the sales ordering department, unable to identify unfulfilled orders	2
	Orders not sequentially numbered	2
	Warehouse dispatch team do not receive a copy of the sales order	2
	Goods dispatch notes filed by warehouse dispatch team	2
	Salesperson responsible for chasing invoices over 90 days old	2
	Maximum	14

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Marking guide

	Marks
(c) **Controls to reduce risk of payroll fraud**	
Proof of identity checks undertaken for all new joiners	2
Review of the number of employees per department to the payroll system	2
Human resources department initiates request for new joiners	2
Authorisation of all new joiners by payroll director	2
Relatives not permitted to undertake interrelated processes	2
Payroll system reviews same bank account name and number	2
Bank transfer requests authorised by senior responsible official, independent	2
Maximum	6
(d) **Substantive procedures for revenue**	
Analytical review over revenue compared to budget and prior year	1
Analytical review of main product categories of sales compared to prior year	1
Gross margin review	1
Agree sales prices for customers to price list or master file data	1
Review credit notes	1
Follow orders to goods dispatched note, to sales invoice and to receivables ledger	1
Sales cut-off	1
Maximum	4
Total	30

(a)

Word Processor

Paragraph

Documenting the sales system

There are several methods which can be used to document the sales system.

Narrative notes

Narrative notes consist of a written description of the system; they would detail what occurs in the system at each stage and would include any controls which operate at each stage.

Advantages of this method include:

- They are simple to record; after discussion with staff members, these discussions are easily written up as notes.
- They can facilitate understanding by all members of the audit team, especially more junior members who might find alternative methods too complex.

Disadvantages of this method include:

- Narrative notes may prove to be too cumbersome, especially if the system is complex or heavily automated.
- This method can make it more difficult to identify missing internal controls as the notes record the detail but do not identify control exceptions clearly.

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Questionnaires

Internal control questionnaires (ICQs) or internal control evaluation questionnaires (ICEQs) contain a list of questions; ICQs are used to assess whether controls exist whereas ICEQs assess the effectiveness of the controls in place.

Advantages of this method include:

- Questionnaires are quick to prepare, which means they are a timely method for recording the system.
- They ensure that all controls present within the system are considered and recorded; hence missing controls or deficiencies are clearly highlighted by the audit team.

Disadvantages of this method include:

- It can be easy for the staff members to overstate the level of the controls present as they are asked a series of questions relating to potential controls.
- A standard list of questions may miss out unusual or more bespoke controls used by the company.

Flowcharts

Flowcharts are a graphic illustration of the internal control system for the sales system. Lines usually demonstrate the sequence of events and standard symbols are used to signify controls or documents.

Advantages of this method include:

- It is easy to view the system in its entirety as it is all presented together in one diagram.
- Due to the use of standard symbols for controls, it can be effective in identifying missing controls.

Disadvantages of this method include:

- They can sometimes be difficult to amend, as any amendments may require the whole flowchart to be redrawn.
- There is still the need for narrative notes to accompany the flowchart and hence it can be a time-consuming method.

Tutorial note. Full marks will be awarded for describing two methods for documenting the sales system and explaining one advantage and one disadvantage for each method.

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(b)

Deficiencies and controls over the sales system

Control deficiency	Control recommendation
New customers' creditworthiness is assessed by a salesperson who sets the credit limit, which is authorised or rejected by the sales director. The sales staff have sales targets, and hence may suggest that new customers are creditworthy simply to meet their targets. This could result in sales being made to poor credit risks.	New customers should complete a credit application which should be checked through a credit agency with a credit limit set. Once authorised by the sales director, the limit should be entered into the system by a credit controller.
Sales staff have discretion to grant sales discounts to customers of up to 10%. This could result in a loss of revenue as they may award unrealistic discounts simply to meet sales targets. The discounts granted by sales staff are not being reviewed and could result in unauthorised discounts allowed.	All discounts to be granted to customers should be authorised in advance by a responsible official, such as the sales director. If not practical, then the supervisor of the sales staff should undertake this role.
Sales staff are able to make changes to the customer master data file, in order to record discounts allowed and these changes are not reviewed. There is a risk that these amendments could be made incorrectly resulting in a loss of sales revenue or overcharging of customers. In addition, the sales staff are not senior enough to be given access to changing master file data as this could increase the risk of fraud.	Sales staff should not be able to access the master data file to make amendments. Any such amendments to master file data should be restricted so that only supervisors and above can make changes. An exception report of changes made should be generated and reviewed by a responsible official.
Inventory availability does not appear to be checked by the salesperson or automatically at the time the order is placed. In addition, Heraklion Co markets itself on being able to dispatch all orders within three working days. There is a risk that where goods are not available, the customer would not be made aware of this prior to placing their order, leading to unfulfilled orders and customer dissatisfaction, which would impact the company's reputation.	Prior to the salesperson finalising the order, the inventory system should be checked in order for an accurate assessment of the availability of goods to be notified to customers.

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Control deficiency	Control recommendation
Customer orders are recorded using an online order form; one copy is emailed to the customer and one to the salesperson. The sales department of Heraklion Co does not hold receive orders centrally and hence would not be able to monitor if orders are being fulfilled on a timely basis. This could result in a loss of revenue and customer goodwill.	The completed order form should also be automatically sent to the warehouse department and the finance department. The copy the salesperson receives should be emailed to a central inbox in the sales department, preferably with the details also automatically transferred to create a new sales order record within the sales module. Upon dispatch, the goods dispatch note (GDN) should be matched to the order; a regular review of unmatched orders should be undertaken by the sales department to identify any unfulfilled orders.
The salesperson prepares a separate email to send to the warehouse dispatch team with the customer ID and the sales order details, rather than a copy of the sales order itself, and a pick list is generated from this. There is a risk that incorrect or insufficient details may be recorded by the salesperson and this could result in incorrect orders being dispatched, orders being dispatched late or orders failing to be dispatched at all, resulting in a loss of customer goodwill and revenue.	When the order is finalised and submitted an automatic email should be forwarded directly to the warehouse department, as happens for the salesperson. If that is not possible the salesperson should forward a copy of the order they received rather than drafting a separate email. The pick list should be generated from this copy of original order form and the warehouse team should check correct quantities and product descriptions are being dispatched, as well as checking the quality of goods being dispatched to ensure they are not damaged.
Sequentially numbered goods dispatched notes (GDNs) are generated and filed by the warehouse department. If the finance department does not receive a copy of these GDNs, they will not know when to raise the related sales invoices. This could result in goods being dispatched but not being invoiced, leading to a loss of revenue.	Upon dispatch of goods and generation of GDNs, copies should be auto emailed to the customer, warehouse department, sales department (to confirm dispatch of goods) and finance department. Upon receipt of the GDN, once matched to the copy of the sales order form, a clerk should raise the sales invoices in a timely manner, confirming all details to the GDN and order.
The salesperson is given responsibility to chase customers directly for payment once an invoice is outstanding for 90 days. This is considerably in excess of the company's credit terms of 30 days which will lead to poor cash flow. Further, as the salespeople have sales targets, they are more likely to focus on generating sales orders rather than chasing payments. This could result in an increase in bad debts and reduced profit and cash flows.	A credit controller should be appointed and it should be their role, rather than that of the salesperson, to chase any outstanding sales invoices which are more than 30 days old.

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(c)

Word Processor

Paragraph

Controls to reduce risk of payroll fraud

Control	Mitigate risk
Proof of identity checks should be undertaken by the human resources (HR) department and recorded on individuals' personnel files for all new employees set up on the payroll system.	This should reduce the risk of fictitious employees being set up, as in order to be set up on the system a fictitious set of identification would be required which would be an onerous process.
A count should be undertaken of the number of employees in each department of Heraklion Co; this should be reconciled to the number of employees on the payroll system.	This would identify if there are extra employees on the payroll system, which could then be investigated further.
The HR department should initiate the process for setting up new joiners by asking new employees to complete a joiner's form which will be approved by the relevant manager and HR. This request should then be forwarded to the payroll department, who should set up the employee.	This control introduces segregation of duties as in order to set up employees both the HR and payroll departments are involved. Without collusion with an HR employee, the payroll supervisor would be unable to set up fictitious employees.
All new joiners should only be set up by payroll on receipt of a joiner's form and any additions to the system should be authorised by the payroll director. An edit report should be generated and reviewed by HR.	As all new joiners would be authorised by the payroll director, it is unlikely that payroll employees would risk establishing fictitious joiners. A further review by the HR department would also detect any employees without an authorised joiner form.
Where possible, employees who are related should not be allowed to undertake processes which are interrelated whereby they can breach segregation of duty controls for key transaction cycles. A regular review of job descriptions of related employees should be carried out by HR.	This should reduce the risk of related staff colluding and being able to commit a fraud.
The payroll system should be amended to run an exception report which identifies any employees with the same bank account name or number and this should be reviewed by HR.	Identifying the same bank account name or number will prevent multiple fraudulent payments being made to the same employee.

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Control	Mitigate risk
All bank transfer requests should be authorised by a senior responsible official, who is independent of the processing of payments; they should undertake spot checks of payments to supporting documentation, including employee identification cards/records.	This would introduce an additional layer of segregation of duties, which would reduce the risk of fraud occurring. In addition, the spot checks to employee identification cards/records would confirm the validity of payments.

(d)

Word Processor

Paragraph

Revenue substantive procedures

1. Compare the overall level of revenue against prior years and budgets and investigate any significant fluctuations.
2. Obtain a schedule of sales for the year broken down into the main product categories and compare this to the prior year breakdown and for any unusual movements discuss with management.
3. Calculate the gross profit margin for Heraklion Co and compare this to the prior year and investigate any significant fluctuations.
4. Select a sample of sales invoices for customers and agree the sales prices back to the price list or customer master data information to ensure the accuracy of invoices.
5. Select a sample of credit notes raised, trace through to the original invoice and ensure the invoice has been correctly removed from sales.
6. Select a sample of customer orders and agree these to the dispatch notes and sales invoices through to inclusion in the receivables ledger and revenue general ledger accounts to ensure completeness of revenue.
7. Select a sample of dispatch notes both pre and post year end and follow these through to sales invoices in the correct accounting period to ensure that cut-off has been correctly applied.

17 Elounda

Course Book references

Chapters 12, 13, 17 and 19.

Top tips

This is a 20-mark audit evidence and going concern question. In parts (a) to (c), the key is to note that you are being asked for substantive procedures relating to specific aspects eg **revaluation** of PPE, not all aspects of PPE. The examining team's report noted that in relation to inventory a significant proportion of candidates focused on inventory counts rather than **valuation** as required by the question. Make sure you read the information carefully noting important details like these.

ANSWERS

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You also need to ensure that you tailor your answer to the scenario rather than simply listing out standard audit procedures.

For part (d) make sure you understand the requirement. The question is asking for procedures, not going concern indicators.

Easy marks

Overall this is a demanding question due to the care required in reading the information and the need to tailor the answer specifically. However, you should have been able to pick up good marks for substantive procedures relating to the bank loan.

Marking guide

	Marks
(a) **Substantive procedures for revaluation of property, plant and equipment (PPE)**	
Cast schedule of PPE revalued this year and agree to TB/FS	1
Consider reasonableness of the valuer's qualifications, membership of professional body and experience	1
Discuss with management if the valuer has financial interests in the company which along with family relationship may impact his independence	1
Agree the revalued amounts to the valuation statement provided by the valuer	1
Consider if all items in the same class of assets have been revalued	1
Agree the revalued amounts included correctly in the non-current asset register	1
Recalculate the total revaluation adjustment and agree recorded in the revaluation surplus	1
Recalculate the depreciation charge for the year	1
Review the financial statements disclosures for compliance with IAS 16 *Property, Plant and Equipment*	1
Maximum	5
(b) **Substantive procedures for inventory valuation**	
Cast a schedule of all raw materials, finished goods and work in progress (WIP) inventory and agree to TB/FS	1
Obtain breakdown and agree sample of WIP from the count to the WIP schedule, agree percentage completion	1
For a sample, obtain relevant cost sheets and confirm raw material costs to recent purchase invoices, labour costs to time sheets or wage records and overheads allocated are of a production nature	1
For a sample of inventory items, review the calculation for equivalent units and associated equivalent unit cost and recalculate the inventory valuation	1
Select a sample of year-end finished goods and review post year end sales invoices to ascertain if net realisable value (NRV) is above cost or if an adjustment is required	1
Select a sample of items included in WIP at the year end and ascertain the final unit cost price, verifying to relevant supporting documentation, and compare to the unit sales price included in sales invoices post year end to assess NRV	1
Review aged inventory reports, identify slow-moving goods, discuss with management	1
Compound E243, discuss with management plans for disposing of goods, why NRV is $400,000	1
If any of defective goods have been sold post year end, agree to the sales invoice to assess NRV	1
Agree the cost of $720,000 for compound E243 to supporting documentation	1

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Marking guide

	Marks
Confirm the final adjustment for compound E243, discuss with management if adjustment made, if so, follow through the write down to confirm	1
Review the financial statements disclosures for compliance with IAS 2 *Inventories*	1
Maximum	6
(c) **Substantive procedures for bank loan**	
Agree the opening balance to the prior year audit file and FS	1
For loan payments made, agree to bank ledger account and bank statements	1
Review the bank correspondence for late payment penalties, agree to statement of profit or loss	1
Obtain direct confirmation of year-end balance from bank, agree to the loan schedule	1
Review loan agreement for details of covenants and recalculate to identify any breaches	1
Agree closing balance to the trial balance and draft financial statements and review the disclosure of the current liability bank loan in the draft financial statements	1
Maximum	4
(d) **Going concern procedures**	
Review cash flow forecasts	1
Review bank loan agreements, breach of key ratios or covenants	1
Review post year end sales and order book	1
Review supplier's correspondence	1
Enquire of lawyers for any litigation	1
Subsequent events	1
Board minutes	1
Management accounts	1
Consider additional disclosures under IAS 8	1
Written representation	1
Maximum	5
Total	20

(a) **Substantive procedures for revaluation of property, plant and equipment (PPE)**

- Obtain a schedule of all PPE revalued during the year and cast to confirm completeness and accuracy of the revaluation adjustment and agree to trial balance and financial statements.
- Consider the competence and capability of the valuer, Martin Dullman, by assessing through enquiry his qualification, membership of a professional body and experience in valuing these types of assets.
- Consider whether the valuation undertaken provides sufficiently objective audit evidence. Discuss with management whether Martin Dullman has any financial interest in Elounda Co which along with the family relationship could have had an impact on his independence.
- Agree the revalued amounts to the valuation statement provided by the valuer.
- Review the valuation report and consider if all assets in the same category have been revalued in line with IAS 16 *Property, Plant and Equipment*.

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- Agree the revalued amounts for these assets are included correctly in the non-current assets register.
- Recalculate the total revaluation adjustment and agree correctly recorded in the revaluation surplus.
- Recalculate the depreciation charge for the year to ensure that, for the assets revalued during the year, the depreciation was based on the correct valuation and was for 12 months.
- Review the financial statements disclosures relating to the revaluation to ensure they comply with IAS 16.

(b) **Substantive procedures for inventory valuation**

- Obtain a schedule of all raw materials, finished goods and work in progress (WIP) inventory and cast to confirm completeness and accuracy of the balance and agree to trial balance and financial statements.
- Obtain the breakdown of WIP and agree a sample of WIP assessed during the count to the WIP schedule, agreeing the percentage completion as recorded at the inventory count.
- For a sample of inventory items (finished goods and WIP), obtain the relevant cost sheets and confirm raw material costs to recent purchase invoices, labour costs to time sheets or wage records and overheads allocated are of a production nature.
- For a sample of inventory items, review the calculation for equivalent units and associated equivalent unit cost and recalculate the inventory valuation.
- Select a sample of year-end finished goods and review post year end sales invoices to ascertain if net realisable value (NRV) is above cost or if an adjustment is required.
- Select a sample of items included in WIP at the year end and ascertain the final unit cost price, verifying to relevant supporting documentation, and compare to the unit sales price included in sales invoices post year end to assess NRV.
- Review aged inventory reports and identify any slow-moving goods, discuss with management why these items have not been written down or if an allowance is required.
- For the defective chemical compound E243, discuss with management their plans for disposing of these goods, and why they believe these goods have an NRV of $400,000.
- If any E243 has been sold post year end, agree to the sales invoice to assess NRV.
- Agree the cost of $720,000 for compound E243 to supporting documentation to confirm the raw material cost, labour cost and any overheads attributed to the cost.
- Confirm if the final adjustment for compound E243 is $320,000 (720 – 400) and discuss with management if this adjustment has been made; if so follow through the write down to confirm.
- Review the financial statements disclosures relating to inventory and WIP to ensure they comply with IAS 2 *Inventories*.

(c) **Substantive procedures for bank loan**

- Agree the opening balance of the bank loan to the prior year audit file and financial statements.
- For any loan payments made during the year, agree the cash outflow to the bank ledger account and bank statements.
- Review bank correspondence to identify whether any late payment penalties have been levied and agree these have been charged to profit or loss account as a finance charge.
- Obtain direct confirmation at the year end from the loan provider of the outstanding balance and any security provided; agree confirmed amounts to the loan schedule and financial statements.
- Review the loan agreement for details of covenants and recalculate to identify any breaches in these.

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- Agree closing balance of the loan to the trial balance and draft financial statements and that the disclosure is adequate, including any security provided, that the loan is disclosed as a current liability and that disclosure is in accordance with accounting standards and local legislation.

(d) **Going concern procedures**

- Obtain Elounda's cash flow forecast and review the cash in- and outflows. Assess the assumptions for reasonableness and discuss the findings with management to understand if the company will have sufficient cash flows to meet liabilities as they fall due.
- Discuss with management their ability to settle the next instalment due for repayment to the bank and the lump sum payment of $800k in October 20X5 and ensure these have been included in the cash flow forecast.
- Review current agreements with the bank to determine whether any key ratios or covenants have been breached with regards to the bank loan or any overdraft.
- Review the company's post year end sales and order book to assess the levels of trade and if the revenue figures in the cash flow forecast are reasonable.
- Review post year end correspondence with suppliers to identify whether any restrictions in credit have arisen and, if so, ensure that the cash flow forecast reflects the current credit terms or where necessary an immediate payment for trade payables.
- Enquire of the lawyers of Elounda Co as to the existence of litigation and claims; if any exist, then consider their materiality and impact on the going concern basis.
- Perform audit tests in relation to subsequent events to identify any items which might indicate or mitigate the risk of going concern not being appropriate.
- Review the post year end board minutes to identify any other issues which might indicate financial difficulties for the company.
- Review post year end management accounts to assess if in line with cash flow forecast and to identify any issues which may be relevant to the going concern assessment.
- Consider whether any additional disclosures as required by IAS 8 *Basis of Preparation of Financial Statements* in relation to material uncertainties over going concern should be made in the financial statements.
- Obtain a written representation confirming the directors' view that Elounda Co is a going concern.

18 Chania

Course Book references

Chapters 4, 6 and 7.

Top tips

This is a 20-mark question covering audit planning, audit risk and quality management. As stated below, part (a) and (c) are more straightforward. Part (b) is more demanding as you are required to describe audit risks and provide the auditor's response to address the risk. This is a highly examinable topic and is likely to be examined on a regular basis. One of the key weaknesses in responses to this type of question is a failure to explain the audit risk as well as identifying it. The examining team's report states that to explain audit risk 'candidates need to state the area of the accounts impacted with an assertion, a reference to under/over/misstated, or a reference to inherent, control or detection risk'.

Try to ensure that your answers explain audit risks in this way.

Easy marks

Part (a) should represent easy marks as you should be familiar with the benefits of audit planning. You should also be able to score well on part (c) on quality management.

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Marking guide

	Marks
(a) **Benefits of audit planning**	
Important areas of the audit	1
Potential problems	1
Effective and efficient audit	1
Selection of engagement team members and assignment of work	1
Direction, supervision and review	1
Co-ordination of work	1
Maximum	4
(b) **Audit risks and responses** (only 6 risks required)	
Goods in transit from Africa	2
Research and development expenditure	2
Capitalisation of costs of plant and machinery	2
Senior management bonus scheme	2
Allowance for receivables	2
Introduction of new general ledger system	2
April 20X5 control account reconciliations not undertaken	2
Purchase ledger closed down on 8 May	2
Maximum	12
(c) **Supervising and reviewing audit assistants' work**	
Monitor the progress of the audit engagement to ensure the audit timetable was met	1
Consider the competence and capabilities of team members re sufficient available time, understanding of instructions and if work in accordance with planned approach	1
Address any significant matters arising, consider their significance and modifying the approach	1
Responsible for identifying matters for consultation/consideration by senior team members	1
Work performed in line with professional standards and other requirements	1
Work supports conclusions reached and properly documented	1
Significant matters raised for partner attention or further consideration	1
Appropriate consultations have taken place with conclusions documented	1
Maximum	4
Total	20

(a) **Benefits of audit planning**

Audit planning is addressed by ISA 300 *Planning an Audit of Financial Statements*. It states that adequate planning benefits the audit of financial statements in several ways:

- Helping the auditor to devote appropriate attention to important areas of the audit
- Helping the auditor to identify and resolve potential problems on a timely basis
- Helping the auditor to properly organise and manage the audit engagement so that it is performed in an effective and efficient manner

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- Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks and the proper assignment of work to them
- Facilitating the direction and supervision of engagement team members and the review of their work
- Assisting, where applicable, in co-ordination of work done by experts

(b) **Audit risk and auditor's responses**

Audit risk	Auditor's response
Sitia Sparkle Co purchases its goods from suppliers in Africa and the goods are in transit for up to three weeks. At the year end, there is a risk that the cut-off of inventory, purchases and payables may not be accurate and may be under/overstated.	The audit team should undertake detailed cut-off testing of purchases of goods at the year end and the sample of GRNs from before and after the year end relating to goods from suppliers in Africa should be increased to ensure that cut-off is complete and accurate.
Sitia Sparkle Co has incurred expenditure of $1.3 million in developing a new range of cleaning products. This expenditure is classed as research and development under IAS 38 *Intangible Assets*. The standard requires research costs to be expensed to profit or loss and development costs to be capitalised as an intangible asset. If the company has incorrectly classified research costs as development expenditure, there is a risk the intangible asset could be overstated and expenses understated. In addition, as the senior management bonus is based on year-end asset values, this increases this risk further as management may have a reason to overstate assets at the year end.	Obtain a breakdown of the expenditure and verify that it relates to the development of the new products. Undertake testing to determine whether the costs relate to the research or development stage. Discuss the accounting treatment with the finance director and ensure it is in accordance with IAS 38.
In June 20X4, the company invested $0.9 million in a complex piece of plant and machinery. The costs include purchase price, installation and training costs. As per IAS 16 *Property, Plant and Equipment*, the cost of an asset includes its purchase price and directly attributable costs only. Training costs are not permitted under IAS 16 to be capitalised as part of the cost and therefore plant and machinery and profits are overstated.	Obtain a breakdown of the $0.9 million expenditure and undertake testing to confirm the level of training costs which have been included within non-current assets. Discuss the accounting treatment with the finance director and the level of any necessary adjustment to ensure treatment is in accordance with IAS 16.
The bonus scheme for senior management and directors of Sitia Sparkle Co has been changed; it is now based on the value of year-end total assets.	Throughout the audit, the team will need to be alert to this risk and maintain professional scepticism.
There is a risk that management might be motivated to overstate the value of assets through the judgements taken or through the use of releasing provisions or capitalisation policy.	Detailed review and testing on judgemental decisions, including treatment of provisions, and compare treatment against prior years. Any manual journal adjustments affecting assets should be tested in detail. In addition, a written representation should be obtained from management confirming the basis of any significant judgements.

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Audit risk	Auditor's response
The finance director of Sitia Sparkle Co believes that an allowance for receivables is excessive and unnecessary and therefore has not provided for it at the year end and has credited the opening balance to profit or loss. There is a risk that receivables will be overvalued; some balances may be irrecoverable and so will be overstated if not provided for. In addition, releasing the allowance for receivables will increase asset values and hence the senior management bonus which increases the risk further.	Review and test the controls surrounding how Sitia Sparkle Co identifies receivables balances which may require a provision to ensure that they are operating effectively in the current year. Discuss with the finance director the rationale for not maintaining an allowance for receivables and releasing the opening provision. Extended post year end cash receipts testing and a review of the aged receivables ledger to be performed to assess valuation and the need for an allowance for receivables.
A new general ledger system was introduced in February 20X5 and the old and new systems were run in parallel until May 20X5.	The auditor should undertake detailed testing to confirm that all of the balances at the transfer date have been correctly recorded in the new general ledger system.
There is a risk of the balances in May being misstated and loss of data if they have not been transferred from the old system completely and accurately. If this is not done, this could result in the auditor not identifying a significant control risk. In addition, the new general ledger system will require documenting and the controls over this will need to be tested.	The auditor should document and test the new system. They should review any management reports run comparing the old and new system during the parallel run to identify any issues with the processing of accounting information.
A number of reconciliations, including the bank reconciliation, were not performed at the year end; however, they were undertaken in June and August. Control account reconciliations provide comfort that accounting records are being maintained completely and accurately. At the year end, it is important to confirm that balances including bank balances are not under- or overstated. This is an example of a control procedure being overridden by management and raises concerns over the overall emphasis placed on internal control.	Discuss this issue with the finance director and request that the July control account reconciliations are undertaken. All reconciling items should be tested in detail and agreed to supporting documentation.
The purchase ledger of Sitia Sparkle Co was closed down on 8 May, rather than at the year end of 30 April. There is a risk that the cut-off may be incorrect with purchases and payables over- or understated.	The audit team should undertake testing of transactions posted to the purchase ledger between 1 and 8 May to identify whether any transactions relating to the 20X6 year end have been included or any 20X5 balances removed.

(c) **Supervision and reviewing of the assistants' work**

Supervision

During the audit of Sitia Sparkle Co, the supervisor should keep track of the progress of the audit engagement to ensure that the audit timetable is met and should ensure that the audit manager and engagement partner are kept updated of progress.

The competence and capabilities of individual members of the engagement team should be considered, including whether they have sufficient time to carry out their work, whether they understand their instructions and whether the work is being carried out in accordance with the planned approach to the audit.

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In addition, part of the supervision process should involve addressing any significant matters arising during the audit of Sitia Sparkle Co, considering their significance and modifying the planned approach appropriately.

The supervisor would also be responsible for identifying matters for consultation or consideration by the audit manager or engagement partner of Sitia Sparkle Co.

Review

The supervisor would be required to review the work completed by the assistants and consider whether this work has been performed in accordance with professional standards and other regulatory requirements and if the work performed supports the conclusions reached and has been properly documented.

The supervisor should also consider whether all significant matters have been raised for partner attention or for further consideration and, where appropriate consultations have taken place, whether appropriate conclusions have been documented.

The overall responsibility for the direction, supervision and review of the audit rests with the audit engagement partner.

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ACCA

Audit and Assurance (AA)

Mock Exam 2

Specimen Exam (amended)

Questions	
Time allowed	3 hours
This mock exam is divided in two sections: Section A – ALL 15 questions are compulsory and MUST be attempted Section B – ALL 3 questions are compulsory and MUST be attempted	

Important note

The ACCA AA Specimen exam may be updated in the future to reflect the publication of IFRS 18 (examinable from September 2025 exams). Due to printing and publication dates a revised Specimen was not available prior to the completion of this Exam Practice Kit which has been updated ready for exams from September 2025 onwards. As a result there may be some differences between the Exam Practice Kit version of the Specimen exam (which has been updated to reflect IFRS 18) and the online version provided by the ACCA.

DO NOT OPEN THIS EXAM UNTIL YOU ARE READY TO START UNDER EXAMINATION CONDITIONS

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Section A

ALL FIFTEEN questions are compulsory and MUST be attempted

Buffon & Co

You are an audit manager of Buffon & Co, responsible for the audit of Maldini Co. Maldini Co is a small bank which provides personal bank accounts, savings accounts and personal loans and mortgages. You have become aware of the following information.

Audit engagement partner

The audit engagement partner for Maldini Co, a listed company, has been in place for approximately eight years and her son has just been offered a role with Maldini Co as a sales manager. This role would entitle him to shares in Maldini Co as part of his remuneration package.

Audit senior

The audit senior assigned to this year's audit has informed you that she has recently taken out a mortgage with Maldini Co for 95% of the property value purchased. The mortgage was obtained using an independent mortgage broker.

Internal audit function

Maldini Co's audit committee is considering establishing an internal audit function, and if the internal audit function is established, the committee has suggested that it may wish to outsource this to Buffon & Co.

Fees

The finance director has suggested to the board that if Buffon & Co are appointed as internal as well as external auditors, then fees should be renegotiated. He has proposed that at least 20% of all internal and external audit fees should be based on the company's profit for the year, as this will align the interests of Buffon & Co and Maldini Co. This fee income would be significant to Buffon & Co.

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1 Your audit assistant has highlighted a number of potential threats to independence in respect of the audit of Maldini Co.

Identify which of the following represent valid threats to independence, matching each threat to the appropriate category. (Drag each box from the left into position to match a relevant box on the right.)

Facts		Category of threat
Length of time the audit engagement partner has been in position		Self-interest
Basis of fee		Self-interest
Potential holding of shares by audit partner's son		Familiarity
Possible provision of internal audit services		Self-review

(2 marks)

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2 In relation to the audit engagement partner holding the role for eight years, and her son's offer of employment with Maldini Co.

Which of the following safeguards should be implemented in order to comply with ACCA's *Code of Ethics and Conduct*?

- ○ The audit partner should be removed from the audit team
- ○ An engagement quality reviewer should be appointed
- ○ A third party such as a professional body should be consulted on key audit judgements
- ○ Buffon & Co should resign from the audit

(2 marks)

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3 **In line with ACCA's *Code of Ethics and Conduct*, which TWO of the following factors must be considered before the internal audit engagement should be accepted?**

- ☐ Whether the external audit team have the expertise to carry out the internal audit work
- ☐ If the assignments will relate to the internal controls over financial reporting
- ☐ If management will accept responsibility for implementing appropriate recommendations
- ☐ The probable timescale for the outsourcing of the internal audit function

(2 marks)

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4 **Identify which of the following actions the audit firm must take in respect of the mortgage taken out by the audit senior.**

Confirm the mortgage was obtained under normal lending procedures	YES	NO
Obtain approval from the audit committee of Maldini Co that the audit senior can be a member of the audit team	YES	NO
Remove the senior from the audit team	YES	NO
Inform the audit senior that they must change mortgage provider	YES	NO

(2 marks)

5 **If the internal and external audit assignments are accepted, which of the following statements is TRUE regarding the proposed basis for the fee?**

- ○ If the total fee income received from Maldini Co is less than 15% of the firm's total fee income, no safeguards are needed
- ○ The client should be informed that only the internal audit fee can be based on profit for the year
- ○ The fees should be based on Maldini Co's profit before income taxes
- ○ No safeguards can be applied and this basis for fee determination should be rejected

(2 marks)

(Total = 10 marks)

Balotelli Co

It is 1 July 20X5. You are an audit senior of Mario & Co and are currently conducting the audit of Balotelli Co for the year ended 31 May 20X5. Balotelli Co owns and operates a number of hotels providing accommodation, leisure facilities and restaurants. The following information has been brought to your attention.

Non-current assets

Balotelli Co incurred significant capital expenditure during the year updating the leisure facilities at several of the company's hotels. Depreciation is charged on all assets monthly, on a straight line (SL) basis. It is company policy to charge a full month's depreciation in the month of acquisition and none in the month of disposal. The audit team has obtained the following extract of the non-current assets register detailing some of the new leisure equipment acquired during the year:

Date	*Description*	*Original cost*	*Useful life*	*Charge for the year*	*Carrying amount*
		$		$	$
01/10/X4	15 treadmills	18,000	36 months	4,000	14,000
15/10/X4	20 exercise bikes	17,000	36 months	5,667	11,333
17/01/X5	15 rowing machines	9,750	36 months	2,167	7,583
19/01/X5	10 cross trainers	11,000	36 months	1,528	9,472
		55,750		13,362	42,388

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The audit programme for non-current assets includes procedures to confirm valuation including recalculation of depreciation.

Food poisoning – litigation

Balotelli Co's directors received correspondence in April 20X5 from a group of customers who are claiming substantial damages for severe food poisoning they allege to have suffered from food eaten at the hotel. Based on discussions with the company's lawyers, management believe the claim is unlikely to be successful.

Trade receivables circularisation

The audit team has obtained the following results from the receivables circularisation:

Customer	Balance per Balotelli Co	Balance per customer confirmation	Comment
	$	$	
Willow Co	42,500	42,500	
Cedar Co	35,000	25,000	Invoice raised 28 May 20X5
Maple Co	60,000	45,000	Payment made 30 May 20X5
Laurel Co	55,000	55,000	A balance of $20,000 is currently being disputed by Laurel Co

6 **Which of the following correctly calculates the depreciation expense for the new assets for the year ended 31 May 20X5 and explains the resultant impact on non-current assets?**

- ○ Depreciation should be $10,660, assets are understated
- ○ Depreciation should be $18,583, assets are understated
- ○ Depreciation should be $9,111, assets are overstated
- ○ Depreciation should be $12,549, assets are overstated

(2 marks)

---

7 **Which FOUR of the following audit procedures are appropriate to test the VALUATION assertion for non-current assets?**

- ☐ Review board minutes for evidence of disposals during the year and verify that these are appropriately reflected in the non-current assets register
- ☐ Agree a sample of additions included in the non-current assets register to purchase invoice and bank ledger account
- ☐ Review the repairs and maintenance expense account for evidence of items which should be recognised as assets
- ☐ Recalculate the depreciation charge for a sample of assets ensuring that it is being applied consistently and in accordance with IAS 16 *Property, Plant and Equipment*
- ☐ Review physical condition of non-current assets for any signs of damage
- ☐ Recalculate the gain/loss on disposal and ensure disposals are properly accounted for

(2 marks)

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8 **Which of the following audit procedures would provide the auditor with the MOST reliable audit evidence regarding the likely outcome of the litigation?**

- ○ Request a written representation from management supporting their assertion that the claim will not be successful
- ○ Send a confirmation request to the lawyers of Balotelli Co to obtain their view as to the probability of the claim being successful
- ○ Review the correspondence from the customers claiming food poisoning to assess whether Balotelli has a present obligation as a result of a past event
- ○ Review board minutes to understand why the directors believe that the claim will not be successful

(2 marks)

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9 **Which TWO of the following are benefits of obtaining confirmation of trade receivables?**

- ☐ It provides evidence from an independent external source
- ☐ It provides sufficient appropriate audit evidence over all relevant balance assertions
- ☐ It improves audit efficiency as all customers are required to respond
- ☐ It improves the reliability of audit evidence as the process is under the control of the auditor

(2 marks)

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10 **Based on the results of the trade receivables confirmation, match each customer to the appropriate follow-up audit procedure. (Drag each box from the left into position to match the relevant box on the right.)**

Customer		Audit procedure
Willow Co		Agree to post-year end bank ledger account and bank statement
Cedar Co		
Maple Co		Discuss with management and consider whether amount should be included in allowance for receivables
Laurel Co		
		No further audit procedures required
		Agree to pre year end invoice

(2 marks)

(Total = 10 marks)

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Cannavaro

It is 1 July 20X5. Cannavaro Co is a website design company with a year ended 31 March 20X5. The audit is almost complete and the financial statements are due to be signed shortly. Profit before income taxes for the year is $3.8 million and revenue is $11.2 million.

Content of auditor's report

The company has only required an audit for the last two years and the board of directors has asked your firm to provide more detail in relation to the auditor's report.

(1) Date of report

(2) Addressee

(3) Auditor's responsibilities

(4) Opinion paragraph

Balance due from Pirlo Co

During the audit it has come to light that a key customer, Pirlo Co, has notified Cannavaro Co that it is experiencing cash flow difficulties and will be unable to make any payments for the foreseeable future. The finance director of Cannavaro Co has notified the auditor that the year-end receivables balance of $285,000 will be written off as an irrecoverable debt in the financial statements for the year ended 31 March 20X6.

Audit work

The audit partner has asked you to perform the following work in respect of the receivables balance due from Pirlo Co:

(1) Make an initial assessment of the materiality of the issue and consider the overall impact on the financial statements

(2) Perform additional procedures in order to conclude on whether the financial statements require adjustment

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11 **Match the following elements of the auditor's report queried by the directors of Cannavaro Co to the correct explanation for its inclusion. (Drag each box from the left into position to match the relevant box on the right.)**

Element of auditor's report		Reason for inclusion
Date of report		Explains whether or not the financial statements are presented fairly
Addressee		
Auditor's responsibilities		Demonstrates the point at which sufficient appropriate evidence has been obtained
Opinion paragraph		
		Clarifies who may rely on the opinion included in the report
		Explains the role and remit of the audit

(2 marks)

12 The audit assistant assigned to the audit of Cannavaro Co would like to better understand the impact that subsequent events have on the audit and has made the following statements.

Identify, by clicking on the relevant option, whether each of the following statements is true or false.

All material subsequent events require the numbers in the financial statements to be adjusted	TRUE	FALSE
A non-adjusting event is a subsequent event for which NO amendments to the current year financial statements are required	TRUE	FALSE
The auditor's responsibilities for subsequent events which occur prior to the audit report being signed are different from their responsibilities after the auditor's report has been issued	TRUE	FALSE
The auditor should request a written representation confirming that all relevant subsequent events have been disclosed	TRUE	FALSE

(2 marks)

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13 **In response to the partner's request, which of the following correctly summarises the effect of the outstanding balance with Pirlo Co?**

	Option	Material	Impact on accounts
○	A	No	Revenue is overstated
○	B	No	Gross profit is understated
○	C	Yes	Operating profit is overstated
○	D	Yes	Going concern assumption is in doubt

(2 marks)

---

14 **Which TWO of the following audit procedures should be performed to form a conclusion as to whether the financial statements require amendment?**

- ☐ Discuss with management the reasons for not amending the financial statements
- ☐ Review the post-year-end bank statements and bank ledger account for receipts from Pirlo Co
- ☐ Send a request to Pirlo Co to confirm the outstanding balance
- ☐ Agree the outstanding balance to invoices and sales orders

(2 marks)

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15 The finance director has asked you to outline the appropriate audit opinions which will be provided depending on whether the company decides to amend or not amend the 20X5 financial statements for the issue identified regarding the recoverability of the balance with Pirlo Co.

Complete the following sentences by selecting the appropriate audit opinions.

If the 20X5 financial statements are not amended, our opinion will be [▼].

If the appropriate adjustment is made to the financial statements, our opinion will be [▼].

Pull down list

- Adverse
- Disclaimer
- Qualified
- Unmodified
- Unmodified with emphasis of matter paragraph

(2 marks)

(Total = 10 marks)

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Section B

ALL THREE questions are compulsory and MUST be attempted

16 Milla

It is 1 July 20X5. You are an audit manager at Totti & Co and are currently planning the audit of Milla Co, a manufacturer of soft drinks, for the year ending 30 September 20X5. You attended the planning meeting with the audit engagement partner and finance director last week and the minutes from the meeting are shown below. You are reviewing these prior to preparing the audit strategy document.

Minutes of planning meeting for Milla Co

Milla Co's trading results have been strong this year and the company is forecasting revenue of $85m, which is an increase from the previous year. The company has invested significantly in the fizzy drinks production process at the factory. This resulted in expenditure of $5m on updating, repairing and replacing a significant amount of the machinery used in the production process. In order to finance this investment, the company took out a $5m interest-bearing bank loan which is repayable over five years in quarterly instalments.

As the level of production has increased, the company has expanded the number of warehouses it uses to store inventory from 10 to 15. There will be full year-end inventory counts taking place at all 15 warehouses but due to availability of audit staff, only 10 of these will be attended by the audit firm.

A new accounting system was introduced at the beginning of the year, with the old and new systems being run in parallel for a period of two months to identify and correct any errors. Once testing was complete, the data was transferred from the old to the new system with no further checks being performed.

Milla Co has incurred expenditure of $4.5m on developing a new brand of soft drink during the year. The company started this process in July 20X4 and is close to launching its new product into the marketplace.

As revenue has increased, Milla Co has recently recruited a new credit controller to follow up on outstanding receivables, and as a result, the finance director thinks it is no longer necessary to maintain an allowance for receivables. The allowance as at 30 September 20X4 was $1.5m.

In April 20X5 a problem occurred in the production process which resulted in a large batch of cola products being affected. A number of these products were sold; however, due to complaints by customers about the flavour, no further sales of this batch have been made. No refunds have been issued to customers and no adjustment has been made to the valuation of the spoiled inventory, which will be held at cost of $1m in the year-end financial statements.

As in previous years, the management of Milla Co is due to be paid an annual bonus based on the value of total assets at the year end.

Required

(a) Explain audit risk and the components of audit risk. **(4 marks)**

(b) Describe **SEVEN** audit risks, and explain the auditor's response to each risk, in planning the audit of Milla Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(14 marks)

(c) Identify the main areas, other than audit risks, which should be included within the audit strategy document for Milla Co; and for each area provide an example relevant to the audit. **(4 marks)**

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(d) The finance director has requested that the deadline for the 20X6 audit be shortened by a month and has asked the audit engagement partner to consider if this will be possible. The partner has suggested that in order to meet this new tighter deadline the firm may carry out both an interim and a final audit.

Explain the difference between an interim and a final audit. **(3 marks)**

(e) Explain the procedures which are likely to be performed during an interim audit of Milla Co and the impact which it would have on the final audit. **(5 marks)**

(Total = 30 marks)

17 Baggio

It is 1 July 20X5. You are an audit supervisor at Suarez & Co assigned to the audit of Baggio Co, a manufacturer of electrical equipment with factories across the country, for the year ending 30 September 20X5. Customers include retailers as well as individuals, to whom direct sales are made through the company's website. You are currently reviewing documentation of Baggio Co's system of internal control in preparation for the interim audit.

The company's sales and purchases systems are fully integrated modules within the computerised accounting system. The inventory and non-current assets systems are not integrated. The majority of Baggio Co's retail customers are companies which place orders for goods on credit via its website. Upon passing a credit check, new customers are assigned a credit limit which is authorised by the sales director. Credit limits then remain at the same level with no subsequent changes being made unless a customer requests an increase.

Baggio Co's website allows individuals to order goods with full payment being taken at the time of order. Currently the website is not integrated into the inventory system and inventory levels are not checked at the time orders are placed. When an order is placed, the system automatically sends a copy of the order to the warehouse to prepare for dispatch. On a weekly basis, an exception report is automatically generated which shows unfulfilled orders but this report is not regularly reviewed. Goods are delivered using local couriers; however, the couriers do not always obtain proof of delivery that the customer has received the goods.

Raw materials used in the manufacturing process are purchased from a wide range of suppliers. As a result of staff changes in the finance department, supplier statement reconciliations are no longer performed. Additionally, changes to supplier details in the purchases master file can be undertaken by any member of the finance department.

In the past six months, Baggio Co has upgraded part of its manufacturing process and, as a result, some new equipment has been purchased. However, there are considerable levels of plant and equipment which are now surplus to requirement and little has been done to reduce this.

Required

(a) In respect of the internal control of Baggio International Co:

(1) Identify and explain **FIVE deficiencies;**

(2) Recommend a control to address each of these deficiencies; and

(3) Describe a test of control Suarez & Co would perform to assess whether each of these controls, if implemented, is operating effectively.

Note. Use the below table structure to format your answer in the CBE software.

(1) Control deficiency	(2) Control recommendation	(3) Test of control

(15 marks)

(b) Describe substantive procedures Suarez & Co should perform at the year end to confirm plant and equipment additions. **(5 marks)**

(Total = 20 marks)

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18 Vieri

It is 1 July 20X5. Vieri Co manufactures a range of motor cars. You are an audit supervisor at Rossi & Co and are currently preparing the audit programmes for the audit of Vieri Co for the year ended 31 March 20X5. You have had a meeting with the audit manager where you have been made aware of the following issues identified during the audit risk assessment process:

Land and buildings

Vieri Co has a policy of revaluing land and buildings, undertaken on a rolling basis over a five-year period. During the year Vieri Co requested an external independent valuer to revalue a number of properties, including a warehouse purchased in October 20X4. Depreciation is charged on a pro rata basis.

Work in progress

Vieri Co undertakes continuous production of cars, 24 hours a day, seven days a week. An inventory count is to be undertaken at the year end and Rossi & Co will attend. You are responsible for the audit of work in progress (WIP) and will be part of the team attending the count as well as the final audit. WIP constitutes the partly assembled cars at the year end and this balance is likely to be material. Vieri Co values WIP according to percentage of completion, and standard costs are then applied to these percentages.

Required

(a) Explain the factors Rossi & Co should consider when placing reliance on the work of the independent valuer. **(5 marks)**

(b) Describe the substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the revaluation of land and buildings and the recently purchased warehouse. **(5 marks)**

(c) Describe the substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the valuation of work in progress. **(5 marks)**

(d) During the audit, the team has identified an error in the valuation of work in progress, as a number of the assumptions contain out of date information. The directors of Vieri Co have indicated that they do not wish to amend the financial statements.

Explain the steps Rossi & Co should now take and the impact on the auditor's report in relation to the directors' refusal to amend the financial statements. **(5 marks)**

(Total = 20 marks)

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Answers

DO NOT TURN THIS PAGE UNTIL YOU HAVE COMPLETED THE MOCK EXAM

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Plan of attack

If this were the real Audit and Assurance exam and you had been told to start the exam, what would be going through your mind?

An important thing to say (while there is still time) is that it is vital to have a good breadth of knowledge of the syllabus because all the questions are compulsory. However, don't panic. Below we provide guidance on how to approach the exam.

Looking through the exam

Section A has three objective test cases, each with five questions. This is the section of the exam where the examining team can test knowledge across the breadth of the syllabus. Make sure you read these cases and questions carefully. The distractors are designed to present plausible, but incorrect, answers. Don't let them mislead you. If you really have no idea – guess. You may even be right.

Section B has three longer questions:

- **Question 16** is a 30-mark question focused on the planning stage, covering audit risk and the audit strategy document, with an unrelated coda on interim audits. Don't panic – take your time to read the scenario and what you are asked to do.
- **Question 17** is a 20-mark internal controls question. In part (a) it is crucial that you relate your answer to the scenario.
- **Question 18** is a 20-mark question dealing with a number of issues: an independent valuer, revaluations, work in progress, and auditor reporting.

Allocating your time

BPP's advice is to always allocate your time according to the marks for the question. However, use common sense. If you're doing a question but haven't a clue how to do part (b), you might be better off reallocating your time and getting more marks on another question, where you can add something you didn't have time for earlier on. Make sure you leave time to recheck the OTs and make sure you have answered them all.

Forget about it

And don't worry if you found the exam difficult. More than likely other candidates will too. If this were the real thing you would need to forget the exam the minute you finished the exam and think about the next one. Or, if it is the last one, celebrate!

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Section A

Buffon & Co

1 The correct answers are:

Facts	Category of threat
Potential holding of shares by audit partner's son	Self-interest
Basis of fee	Self-interest
Length of time the audit engagement partner has been in position	Familiarity
Possible provision of internal audit services	Self-review

Fact 1 – Partner has been in role for eight years, this contravenes the Code and represents a familiarity threat.

Fact 2 – This represents fees on a contingent basis and raises a self-interest threat as the audit firm's fee will rise if the company's profit after income taxes increases.

Fact 3 – Partner's son holding shares represents a self-interest threat as a close family member of the partner holds a financial interest.

Fact 4 – Providing internal audit services raises a self-review threat as it is likely that the audit team will be looking to place reliance on the internal control system reviewed by internal audit.

2 The correct answer is: The audit partner should be removed from the audit team

If the engagement partner's son accepts the role and obtains shares in the company it would constitute a self-interest threat but, as the partner has already exceeded the seven year relationship rule, in line with ACCA's *Code of Ethics and Conduct*, the partner should be rotated off the audit irrespective of the decision made by her son.

As Maldini Co is a listed company an engagement quality reviewer should already be in place in line with ISA 220 (Revised).

Consulting a third party on key audit judgements would be a potential safeguard in respect of overdependence on fees but would not be adequate in the circumstances described.

It is unlikely that the firm needs to resign from the audit (due to the stated circumstances) as the threat to objectivity can be mitigated.

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3 The correct answers are:

- If the assignments will relate to the internal controls over financial reporting
- If management will accept responsibility for implementing appropriate recommendations

Statement 1 is inappropriate as the external and internal audit team should be separate and therefore consideration of the skills of the external audit team is not appropriate in the circumstances.

Statement 4 does not apply because the timescale of the work is not relevant to the consideration of the threats to objectivity.

Statements 2 and 3 are valid considerations – as per ACCA's *Code of Ethics and Conduct*, providing internal audit services can result in the audit firm assuming a management role. To mitigate this, it is appropriate for the firm to assess whether management will take responsibility for implementing recommendations (ACCA *Code of Ethics and Conduct*: para. R605.3). Further, for a listed company the Code prohibits the provision of internal audit services which review a significant proportion of the internal controls over financial reporting as these may be relied upon by the external audit team and the self-review threat is too great (ACCA *Code of Ethics and Conduct*: para. 605.6 A1).

4 The correct answers are:

Confirm the mortgage was obtained under normal lending procedures	YES	
Obtain approval from the audit committee of Maldini Co that the audit senior can be a member of the audit team		NO
Remove the senior from the audit team		NO
Inform the audit senior that they must change mortgage provider		NO

For a loan with an audit client that is a bank to an audit team member, there is no threat to independence if the loan was made on normal commercial terms, so the action the firm should take immediately is to confirm the mortgage was obtained under normal lending procedures.

It seems likely the loan will have been provided on normal commercial terms and if this is the case and there is no threat then none of the other actions are relevant.

5 The correct answer is: No safeguards can be applied and this basis for fee determination should be rejected

The proposal in relation to the fees is a contingent fee basis which is expressly prohibited by ACCA's *Code of Ethics and Conduct* and therefore the only viable option here is to reject the fee basis (ACCA *Code of Ethics and Conduct*: para. R410.9 - 10).

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Balotelli Co

6 The correct answer is: Depreciation should be $10,660, assets are understated

Depreciation should be calculated as:

Treadmills/exercise bikes = (18,000 + 17,000)/36 × 8 months =	7,778
Rowing machines/cross trainers = (9,750 + 11,000)/36 × 5 months =	2,882
Total	10,660

Therefore depreciation should be $10,660 and assets are currently understated as too much depreciation has currently been charged.

The second option is based on depreciation being applied for a full year instead of for the relevant months.

The third option is based on depreciation not being charged in the month of acquisition (ie seven and four months).

The fourth option is based on depreciation for the exercise bikes being divided by the three years instead of allocated on a monthly basis.

7 The correct answers are:

- Agree a sample of additions included in the non-current assets register to purchase invoice and bank ledger account
- Recalculate the depreciation charge for a sample of assets ensuring that it is being applied consistently and in accordance with IAS 16 *Property, Plant and Equipment*
- Review physical condition of non-current assets for any signs of damage
- Recalculate the gain/loss on disposal and ensure disposals are properly accounted for

The review of board minutes for evidence of disposals during the year and verify that these are appropriately reflected in the non-current assets register is a test for existence and reviewing the repairs and maintenance expense account for evidence of items of a which should be recognised as assets is a test for completeness.

All other tests are relevant for valuation.

8 The correct answer is: Send a confirmation request to the lawyers of Balotelli Co to obtain their view as to the probability of the claim being successful

While all procedures would be valid in the circumstances, only the written confirmation from the company's lawyers would allow the auditor to obtain an expert, third-party confirmation on the likelihood of the case being successful. This would provide the auditor with the most reliable evidence in the circumstances.

9 The correct answers are:

- It provides evidence from an independent external source
- It improves the reliability of audit evidence as the process is under the control of the auditor

As per ISA 505 *External Confirmations*, the evidence obtained from the trade receivables confirmation should be reliable as it is from an external source and the risk of management bias and influence is restricted due to the process being under the control of the auditor (ISA 505).

Customers are not obliged to answer and often confirmations have a very low response rate. A confirmation of a trade receivables balance will not provide evidence over the valuation assertion and therefore the second and third statements are drawbacks of a confirmation.

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10 The correct answers are:

Customer	Audit procedure
Maple Co	Agree to post-year end bank ledger account and bank statement
Laurel Co	Discuss with management and consider whether amount should be included in allowance for receivables
Willow Co	No further audit procedures required
Cedar Co	Agree to pre year end invoice

Willow Co – The external confirmation has confirmed the balance and no further work is required.

Cedar Co – The difference represents an invoice in transit and therefore should be confirmed to a pre year end invoice to verify that it is a legitimate timing difference.

Maple Co – The difference represents a payment in transit and should be agreed to post year end payment to confirm that it is a legitimate timing difference.

Laurel Co – The customer is disputing the balance and therefore the need for an allowance against the balance should be assessed.

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Cannavaro

11 The correct answers are:

Element of auditor's report	Reason for inclusion
Opinion paragraph	Explains whether or not the financial statements are presented fairly
Date of report	Demonstrates the point at which sufficient appropriate evidence has been obtained
Addressee	Clarifies who may rely on the opinion included in the report
Auditor's responsibilities	Explains the role and remit of the audit

Date of report – The auditor's report shall be dated no earlier than the date on which the auditor has obtained sufficient appropriate audit evidence on which to base the auditor's opinion on the financial statements. The date of the audit report is important in the case of subsequent events which impact the financial statements.

Addressee – Sets out who the report is addressed to (usually the shareholders) and is there to clarify who can place reliance on the audit opinion.

Auditor's responsibilities – This paragraph sets out that the auditor is required to express an opinion on the financial statements and seeks to explain the difference between the role of the auditor and those charged with governance. Thus this paragraph sets out the role and remit of the auditor.

Opinion paragraph – This paragraph sets out the auditor's conclusion on the financial statements. In an unmodified report this takes the form of the auditor confirming that the financial statements present a true and fair view or are presented fairly.

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12 The correct answers are:

All material subsequent events require the numbers in the financial statements to be adjusted		FALSE
A non-adjusting event is a subsequent event for which NO amendments to the current year financial statements are required		FALSE
The auditor's responsibilities for subsequent events which occur prior to the audit report being signed are different from their responsibilities after the auditor's report has been issued	TRUE	
The auditor should request a written representation confirming that all relevant subsequent events have been disclosed	TRUE	

Statement 1 is false as not all subsequent events will require an adjustment to the numbers within the financial statements. IAS 10 *Events After the Reporting Period* makes a distinction between an adjusting and non-adjusting event. Only material adjusting events would require an amendment to the figures within the financial statements (IAS 10).

Statement 2 is false as, while a non-adjusting event would not require a change to the numbers within the financial statements, IAS 10 may require a disclosure to be made. If the non-adjusting event is material, non-disclosure could still result in a modification to the audit report.

Statement 3 is true as the auditor is required to carry out procedures up to the date of the audit report to gain sufficient appropriate audit evidence that all relevant subsequent events have been identified and dealt with appropriately. After the auditor's report is issued, the auditor does not need to actively look for subsequent events but is only required to respond to subsequent events which they become aware of.

Statement 4 is true as ISA 560 *Subsequent Events* requires the auditor to obtain written confirmation from management/those charged with governance that all subsequent events have been identified and dealt with in accordance with the appropriate reporting framework (ISA 560).

13 The correct answer is:

Option	Material	Impact on accounts
C	Yes	Operating profit is overstated

The outstanding balance with Pirlo Co is likely to be irrecoverable as the customer is experiencing financial difficulties.

The balance is material at 7.4% of profit before income taxes and 2.5% of revenue.

Currently profit and assets are overstated by $285,000. Therefore the correct option is C.

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14 The correct answers are:

- Discuss with management the reasons for not amending the financial statements
- Review the post-year-end bank statements and bank ledger account for receipts from Pirlo Co

Writing to the customer/agreeing to invoices, while valid procedures during the audit to verify the existence of an outstanding balance, would not allow the auditor to assess the recoverability of the balance which is the key issue in determining whether an adjustment is required.

Post year end cash testing is the best way for the auditor to assess if the balance is recoverable wholly or in part and therefore the bank statements and bank ledger account should be reviewed for any receipts which will change the assessment of the debt after the year end. The issue should also be discussed with management to understand their reasons for not wanting to amend the financial statements as this may be due to a change in circumstances.

15 If the 20X5 financial statements are not amended, our opinion will be qualified.

If the appropriate adjustment is made to the financial statements, our opinion will be unmodified.

The debt with Pirlo Co should be provided for and is material to the financial statements at 7.4% of profit before income taxes and 2.5% of revenue. This represents a material misstatement which is material but not pervasive. As such, if no adjustment is made the auditor will be required to provide a qualified opinion. If the required change is made, then no material misstatement exists and therefore the auditor will be able to issue an unmodified opinion.

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Section B

16 Milla

Marking guide

		Marks
(a)	**Component of audit risk**	
	Audit risk definition	1
	Audit risk model	1
	Inherent risk	1
	Control risk	1
	Detection risk	1
	Maximum	4
(b)	**Audit risk and auditor's response** (only 7 risks required)	
	$5 million expenditure on production process	2
	New bank loan	2
	Inventory counts	2
	New system	2
	Research and development	2
	Allowance for receivables	2
	Damaged inventory	2
	Refunds	2
	Management bonus	2
	Maximum	14
(c)	**Audit strategy document**	
	Main characteristics of the audit	1
	Reporting objectives	1
	Factors significant to directing the audit team's efforts	1
	Results of preliminary engagement activities	1
	Nature, timing and extent of resources	1
	Maximum	4
(d)	**Difference between interim and final audit**	
	Interim audit	2
	Final audit	2
	Maximum	3
(e)	**Procedures/impact of interim audit on final audit**	
	Example procedures	3
	Impact on final audit	3
	Maximum	5
Total		30

(a) **Audit risk and its components**

Audit risk is the risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of two main components

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being the risks of material misstatement and detection risk (ISA 200). Risk of material misstatement is made up of two components, inherent risk and control risk.

Inherent risk is the susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement which could be material, either individually or when aggregated with other misstatements, before consideration of any related controls (ISA 200).

Control risk is the risk that a misstatement which could occur in an assertion about a class of transaction, account balance or disclosure and which could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control (ISA 200).

Detection risk is the risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement which exists and which could be material, either individually or when aggregated with other misstatements. Detection risk is affected by sampling and non-sampling risk (ISA 200).

(a) Explain audit risk and the components of audit risk.

(5 marks)

Here we have used the highlight tool to help us to keep in mind the main points of the requirement. You do not have to do this but may sometimes find it helpful to do so.

Word Processor

Paragraph

Audit risk is the risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of two main components, being the risks of material misstament and detection risk (ISA 200). Risk of material misstatement is made up of two components, inherent risk and control risk.

Inherent risk is the susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement which could be material, either individually or when aggregated with other misstatments, before consideration of any related controls (ISA 200).

Control risk is the risk that a misstatement which could occur in an assertion about a class of transaction, account balance or disclosure and which could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control (ISA 200).

Detection risk is the risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement which exists and which could be material, either individually or when aggregated with other misstatements. Detection risk is affected by sampling and non-sampling risk (ISA 200).

This answer simply requires the use of paragraphs within the word processor available on the exam platform. There is no need to use different fonts, or the spreadsheet function.

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(b) **Audit risk and auditor's response**

Audit risk	Auditor's response
Milla has incurred $5 million on updating, repairing and replacing a significant amount of the production process machinery. If this expenditure is of a capital nature, it should be capitalised as part of property, plant and equipment (PPE) in line with IAS 16 *Property, Plant and Equipment*. However, if it relates more to repairs, then it should be expensed to the statement of profit or loss If the expenditure is not correctly classified, expenses, profit and PPE could be misstated.	The auditor should review a breakdown of these costs to ascertain the split of the expenditure. Further detailed testing should be undertaken to ensure that the costs for updating and repairing the production machinery is classified correctly between PPE and expenses in the financial statements.
A $5m interest-bearing loan was taken out and will be repaid in quarterly instalments over five years. If the loan is not allocated correctly between non-current and current liabilities this would lead to a classification error with current and non-current liabilities being misstated. In addition, the company may fail to accrue for the interest, resulting in interest expenses and accruals being understated.	Review the loan agreement to confirm the details and reperform the company's calculations to confirm that the loan has been correctly split between non-current and current liabilities. Recalculate the interest accrual and agree the amount to the interest expense in the statement of profit or loss and the accruals schedule.
At the year end there will be inventory counts undertaken in all 15 warehouses but only 10 of these will be attended by the audit firm. The auditor will need to ensure that they obtain sufficient appropriate audit evidence over the inventory counting controls, and completeness and existence of inventory for any warehouses not visited, otherwise inventory could be under or overstated.	The auditor should assess which of the inventory count sites they will attend. This will be any with material inventory or which have a history of significant errors. For those not visited, the auditor will need to review the level of exceptions noted during the count and discuss any issues which arose during the count with management.
A new accounting system has been introduced at the beginning of the year and the old system was run in parallel for two months, but no checks were performed over the transfer of data. There is a risk of opening balances being misstated, or loss of data, if they have not been transferred from the old system completely and accurately.	The new system should be documented and tested. Any management reports comparing the old and new system during the parallel run should be reviewed to identify any issues with the processing of accounting information The auditor should undertake detailed testing to confirm that all opening balances have been correctly recorded in the new accounting system.

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Audit risk	Auditor's response
Milla has incurred expenditure of $4.5 million on developing a new brand of fizzy drink. This expenditure is research and development under IAS 38 *Intangible Assets*. The standard requires research costs to be expensed and development costs to be recognised within intangible assets (IAS 38). If Milla has incorrectly classified research costs as development expenditure, there is a risk that intangible assets could be overstated and expenses understated.	Obtain a breakdown of the expenditure and undertake detailed testing to determine when the costs were incurred and whether this was during the research or development stage. Agree that costs incurred during the research stage have been included in expenses in the statement of profit or loss and development costs have been included in intangible assets in the statement of financial position Discuss the accounting treatment with the finance director and ensure it is in accordance with IAS 38.
The finance director of Milla has decided not to maintain an allowance for receivables as he feels it is unnecessary. There is a risk that receivables will be overvalued, as despite having a credit controller, some balances will be irrecoverable and so will be overstated if an allowance is not made. In addition, due to the damaged inventory there is an increased risk of customers refusing to make payments in full resulting in further overstatement of receivables	Discuss the rationale for removing the $1.5m prior year's allowance for receivables with the finance director. Extended post-year-end cash receipts testing, and a review of the aged receivables balances should be performed to assess valuation and the need for an allowance for receivables.
A large batch of cola products has been damaged in the production process and will be in inventory at the year end. No adjustment has been made by management. IAS 2 *Inventories* requires inventory to be valued at the lower of cost and net realisable value (IAS 2). Hence this inventory is overvalued.	Detailed cost and net realisable value testing should be performed to assess by how much the inventory should be written down.
Due to the damaged cola products, a number of customers have complained. No refunds have yet been issued however it is likely that Milla Co will need to refund these customers for the damaged goods sold. Revenue will be overstated and liabilities understated if sales returns are not completely and accurately recorded.	Review the breakdown of sales of damaged goods and ensure that they have been accurately removed from revenue and a refund liability recognised.
The management of Milla Co receives an annual bonus based on the value of total assets at the year end. There is a risk that management might feel under pressure to manipulate financial results and therefore may overstate the value of assets through the judgements taken to increase their bonus.	Throughout the audit the team will need to remain alert to this risk. They should maintain professional scepticism and carefully review judgemental decisions, such as removing the prior year allowance for receivables and not writing down the value of damaged inventory.

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(b) Using the minutes provided, describe SEVEN audit risks, and explain the auditor's response to each risk, in planning the audit of Milla Co.

(14 marks)

Word Processor

Paragraph

Audit Risk	Auditor's response
Milla has incurred $5m on updating, repairing and replacing a significant amount of the production process machinery.	
If this expenditure is of a capital nature, it should be capitalised as part of the property, plan and equipment (PPE) in line with IAS 16 *Property, Plant and Equipment*. However, if it relates more to repairs, then it should be expensed to the statement of profit or loss.	The auditor should review a breakdown of these costs to ascertain the split of capital and revenue expenditure, and further testing should be undertaken to ensure that the classification in the financial statements is correct.
If the expenditure is not correctly classified, profit and	

This answer box came prepared with a two-column table already. We then needed to write the answer into the appropriate boxes in the table, keeping our points for each risk/ response on the same row of the table.

(c) **Audit strategy document**

The audit strategy sets out the scope, timing and direction of the audit and helps the development of the audit plan (ISA 300). It covers the following areas:

It should identify the main characteristics of the engagement which define its scope. For Milla it should consider the following:

Characteristics of the engagement which define its scope:

- Whether the financial information to be audited has been prepared in accordance with IFRS Accounting Standards
- To what extent audit evidence obtained in previous audits for Milla Co will be utilised
- Whether automated tools and techniques will be used and the effect of IT on audit procedures
- The availability of key personnel at Milla Co.

Reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required, such as (ISA 300):

- The audit timetable for reporting and whether there will be an interim as well as final audit
- Organisation of meetings with Milla Co's management to discuss any audit issues arising
- Location of the 15 inventory counts
- Any discussions with management regarding the reports to be issued
- The timings of the audit team meetings and review of work performed
- If there are any expected communications with third parties

Factors which, in the auditor's professional judgement, are significant in directing Milla's audit team's efforts, such as:

- The determination of materiality for the audit
- The need to maintain a questioning mind and to exercise professional scepticism in gathering and evaluating audit evidence

ANSWERS

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Results of preliminary audit planning activities and whether knowledge gained on other engagements for Milla Co is relevant, such as:

- Results of previous audits and the results of any tests over the effectiveness of internal controls
- Evidence of management's commitment to the design, implementation and maintenance of sound internal control
- Volume of transactions, which may determine whether it is more efficient for the audit team to rely on internal control
- Significant business developments affecting Milla, such as the change in the accounting system and the significant expenditure on an overhaul of the factory

The nature, timing and extent of resources necessary to perform the audit, such as:

- The selection of the audit team with experience of this type of industry
- Assignment of audit work to the team members
- Setting the audit budget

Note. The answer is longer than required for four marks but represents a teaching aid.

(c) Identify the main areas, other than audit risks, which should be included within the audit strategy document for Milla Co, and for each area provide an example relevant to the audit.

(4 marks)

Word Processor

Paragraph

The audit strategy sets out the scope, timing and direction of the audit and helps the development of the audit plan (ISA 300). It should consider the following main areas: It should identify the main characteristics of the engagement which define its scope.

For Milla it should consider the following:

- Whether the financial information to be audited has been prepared in accordance with IFRS
- To what extent audit evidence obtained in previous audits for Milla will be utilised
- Whether computer-assisted audit techniques will be used and the effect of IT on audit procedures
- The availability of key personnel at Milla

It should ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required, such as (ISA 300):

- The audit timetable for reporting and whether there will be an interim as well as final audit
- Organisation of meetings with Milla's management to discuss any audit issues arising
- Location of the 15 inventory counts
- Any discussions with management regarding the reports to be issued
- The timings of the audit team meetings and review of work performed
- If there are any expected communications with third parties

Here we have used the Word Processor to create a combination of paragraph text and bullet points. To insert a bullet, first move the cursor to a new line, and then click on the bullet icon. Pressing the return key will create a new bullet on the line below. When you finish with your final bullet and want to return to paragraph text, press the return key and then toggle the bullet icon off.

(d) **Differences between an interim and a final audit**

Interim audit

The interim audit is that part of the audit which takes place before the year end. The auditor uses the interim audit to carry out procedures which would be difficult to perform at the year end because of time pressure.

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There is no requirement to undertake an interim audit; factors to consider when deciding upon whether to have one include the size and complexity of the company along with the effectiveness of internal controls.

Final audit

The final audit will take place after the year end and concludes with the auditor forming and expressing an opinion on the financial statements for the whole year subject to audit. It is important to note that the final opinion takes account of conclusions formed at both the interim and final audit.

(e) **Procedures which could be undertaken during the interim audit include:**

- Review and updating of the documentation of accounting systems at Milla Co
- Discussions with management on the recent growth and any other changes within the business which have occurred during the year to date at Milla to update the auditor's understanding of the company
- Assessment of risks which will impact the final audit of Milla Co
- Undertake tests of controls on Milla Co's key transaction cycles of sales, purchases and inventory, and credit control
- Perform substantive procedures on profit and loss transactions for the year to date and any other completed material transactions

Impact of interim audit on final audit

If an interim audit is undertaken at Milla Co, then it will have an impact on the final audit and the extent of work undertaken after the year end.

First, as some testing has already been undertaken, there will be less work to be performed at the final audit, which may result in a shorter audit and audited financial statements possibly being available earlier.

The outcome of the controls testing undertaken during the interim audit will impact the level of substantive testing to be undertaken. If the controls tested have proven to be operating effectively, then the auditor may be able to reduce the level of detailed substantive testing required as they will be able to place reliance on the controls. In addition, if substantive procedures were undertaken at the interim audit, then only the period from the interim audit to the year-end will require testing.

17 Baggio

Marking guide	Marks	
(a) **Control deficiencies, recommendations and tests of controls** (Max 6 issues, 3 marks each)		
Customer credit limits	3	
Website not integrated into inventory system	3	
Exception report	3	
Proof of delivery	3	
Supplier statement reconciliations	3	
Changes to master file	3	
Surplus plant and equipment	3	
Maximum		15
(b) **Substantive procedures for PPE**		
Cast list of additions and agree to non-current asset register	1	
Agree details on supplier invoice	1	
Confirm asset expenditure items	1	

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Marking guide	Marks
Inspect repairs and maintenance	1
Physically verify existence	1
Assess reasonableness of useful life	1
Recalculate depreciation	1
Maximum	5
Total	20

(a) **Baggio International's (Baggio) internal control**

Deficiency (1)	Control recommendations (2)	Test of control (3)
Customers' credit limits are set by the sales director and remain unchanged unless a customer requests an increase. Some customers' credit limits may be too high in the future which can lead to irrecoverable receivables, or may be set too low, which can lead to a loss of sales revenue.	Credit limits should continue to be approved by the sales director, but they should also be reviewed on a regular basis based on the levels of sales and payment record. This review should be evidenced in the system by a note within the customer file.	For a sample of customers, review the notes for evidence of review by a responsible official. Where the review led to a change in credit limit, inspect the system log for evidence of approval.
Currently the website is not integrated into the inventory system and inventory levels are not checked before orders are placed. This may result in Baggio Co accepting customer orders when it does not have the goods in inventory. This can lead to loss of sales and customer goodwill.	The website should be updated to include an interface into the inventory system. This should check inventory levels automatically and only process orders if adequate inventory is held. If inventory is out of stock, this should appear on the website with an approximate waiting time.	Test data should be used to attempt to place an order via the website for items which are not currently held in inventory. A notification should be displayed stating that the items are out of stock and indicate an approximate waiting time.
An exception report is automatically generated which shows unfulfilled orders, but this report is not regularly reviewed. This may mean that sales orders are not fulfilled in a timely manner leading to a loss of customer goodwill. If it persists, it may damage the reputation of Baggio Co as a reputable supplier.	The weekly exception reports should be reviewed by a responsible official, followed up and evidenced as such.	Select a sample of exception reports and check for evidence of review and follow up by a responsible official.

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Deficiency (1)	Control recommendations (2)	Test of control (3)
For goods dispatched by local couriers, proof of delivery is not always obtained. This can lead to customers falsely claiming that they have not received their goods. Baggio Co would not be able to prove that the goods had in fact been dispatched which may result in goods being dispatched twice causing loss for the company.	Baggio Co should remind all local couriers that proof of delivery must be obtained, such as a customer signature or a photograph of the location of the delivered goods, and that payment will not be made to the courier company for any dispatches that do not have proof of delivery.	Select a sample of dispatches by couriers and ask Baggio Co for proof of delivery by viewing customer signatures and photos.
Supplier statement reconciliations are no longer performed. This may result in errors in the recording of purchases and payables not being identified in a timely manner.	Supplier statement reconciliations should be performed on a monthly basis (or whenever a supplier statement is received), and reconciling items investigated. The reconciliations should be reviewed by a responsible official.	Review the reconciliations to ensure that they are being performed on a regular basis, that reconciling items have been investigated and resolved, and that they have been reviewed by a responsible official.
Changes to supplier details in the master file can be undertaken by any member of staff in the finance department. This could lead to key supplier data being accidently amended or fictitious suppliers being set up, which can increase the risk of fraud.	Only accounts payable supervisors should have the authority to make changes to master file data. This should be controlled via passwords which are regularly changed. Any changes to master file data should be reviewed by a responsible official and this review should be evidenced.	An IT audit should be carried out to verify user rights and access to the system. This should confirm access to change master file data is restricted to only accounts payable supervisors. Request an accounts assistant or accounts receivable clerk to attempt to access the master file and make an amendment. The system should not allow this. Review a report of master data changes and confirm the amendments have been made by someone of appropriate authority.
Baggio Co has considerable levels of surplus plant and equipment. Surplus unused plant is at risk of theft and obsolescence. In addition, if the surplus plant is not disposed, the company could lose sundry income.	Plant and equipment on the factory floor should be reviewed on a regular basis by senior factory personnel to identify any old or surplus equipment. As part of the asset expenditure process there should be a requirement to confirm the treatment of the equipment being replaced.	Review supporting documentation confirming a review has taken place within the year e.g. board minutes confirming the review has been performed and the outcome of the review. Review asset expenditure forms to confirm the treatment of equipment being replaced is stated.

(b) **Substantive procedures – additions**

- Obtain a breakdown of additions, cast the list and agree to the non-currentassets register to confirm completeness of plant and equipment (P&E).
- For a sample of additions, review the invoice for amount, date and name of theclient to ensure the cost of the assets has been recorded accurately, in thecorrect accounting period and the assets belong to the client.

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- Review the list of additions and confirm that they relate to asset expenditure rather than repairs and maintenance.
- Inspect the repairs and maintenance account forassets which should berecognised in the statement of financial position to confirm completeness ofadditions.
- For a sample of additions recorded in P&E, perform aphysical verificationtoconfirm existence.
- Compare the depreciation method and useful life to similar assets owned by Baggio Co to ensure consistency and reasonableness.
- Recalculate the depreciation charge for a sample of additions to confirm the calculations are correctly applied from the month of purchase.

18 Vieri

Marking guide		Marks
(a) **Reliance on independent valuer**		
ISA 500 requires consideration of competence and capabilities of expert	1	
Consider if member of professional body or industry association	1	
Assess independence	1	
Assess whether relevant expertise of type of properties as Vieri Co	1	
Evaluate assumptions	1	
Maximum		5
(b) **Substantive procedures for revaluation of land and buildings**		
Cast schedule of land and buildings revalued this year	1	
Agree the revalued amounts to the valuation statement provided by the valuer	1	
Agree the revalued amounts included correctly in the non-current assets register	1	
Recalculate the total revaluation adjustment and agree recorded in the revaluation surplus	1	
Agree the initial cost for the warehouse to invoices to confirm cost	1	
Recalculate the depreciation charge for the year	1	
Review the financial statements disclosures for compliance with IAS 16 *Property, Plant and Equipment*	1	
Maximum		5
(c) **Substantive procedures for work in progress (WIP)**		
Discuss with management how the percentage completions are attributed to WIP	1	
Observe the procedures carried out in the count in assessing the level of WIP; consider reasonableness of the assumptions used	1	
During the count, agree a sample of percentage completions are in accordance with Vieri's policies	1	
Discuss with management the basis of the standard costs	1	
Review the level of variances between standard and actual costs	1	
Obtain a breakdown of the standard costs and agree a sample of these costs to actual invoices	1	
Cast the schedule of total WIP and agree to the trial balance and financial statements	1	
Agree sample of WIP assessed during the count to the WIP schedule, agree percentage completion is correct and recalculate the inventory valuation	1	
Maximum		5

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Marking guide

	Marks
(d) **Impact on audit report**	
Discuss with management reasons for non-amendment	1
Assess materiality	1
Type of modification	2
Impact on report	1
Maximum	5
Total	20

(a)

Word Processor

Paragraph

Reliance on the work of an independent valuer

ISA 500 *Audit Evidence* requires auditors to evaluate the competence, capabilities including expertise and objectivity of a management expert. This would include consideration of the qualifications of the valuer and assessment of whether they were members of any professional body or industry association (ISA 500).

The expert's independence should be ascertained, with potential threats such as undue reliance on Vieri Co or a self-interest threat such as share ownership considered.

In addition, Rossi & Co should meet with the expert and discuss with them its relevant expertise, in particular whether it has valued similar land and buildings to those of Vieri Co in the past. Rossi & Co should also consider whether the valuer understands the accounting requirements of IAS 16 *Property, Plant and Equipment* in relation to valuations.

The valuation should then be evaluated. The assumptions used should be carefully reviewed and compared to previous revaluations at Vieri Co. These assumptions should be discussed with both management and the valuer to understand the basis of any valuations.

(b) **Substantive procedures for land and buildings**

(1) Obtain a schedule of land and buildings revalued this year and cast to confirm completeness and accuracy of the revaluation adjustment.

(2) On a sample basis, agree the revalued amounts to the valuation statement provided by the valuer.

(3) Agree the revalued amounts for these assets are included correctly in the non-current assets register.

(4) Recalculate the total revaluation adjustment and agree correctly recorded in the revaluation surplus.

(5) Recalculate the depreciation charge for the year to ensure that, for assets revalued during the year, the depreciation was based on the correct valuation and for the warehouse addition that the charge was for six months only.

(6) Review the financial statements disclosures of the revaluation to ensure they comply with IAS 16.

ANSWERS

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(c) **Substantive procedures for work in progress (WIP)**

(1) Prior to attending the inventory count, discuss with management how the percentage completions are attributed to the WIP. For example, is this based on motor cars passing certain points in the production process?

(2) During the count, observe the procedures carried out by Vieri Co staff in assessing the level of WIP and consider the reasonableness of the assumptions used.

(3) Agree for a sample that the percentage completions assessed during the count are in accordance with Vieri Co's policies communicated prior to the count.

(4) Discuss with management the basis of the standard costs applied to the percentage completion of WIP, and how often these are reviewed and updated.

(5) Review the level of variances between standard and actual costs and discuss with management how these are treated.

(6) Obtain a breakdown of the standard costs and agree a sample of these costs to actual invoices or payroll records to assess their reasonableness.

(7) Cast the schedule of total WIP and agree to the trial balance and financial statements.

(8) Agree sample of WIP assessed during the count to the WIP schedule, agree percentage completion is correct and recalculate the inventory valuation.

(d) **Auditor's report**

Discuss with the management of Vieri Co why they are refusing to make the amendment to WIP. Assess the materiality of the error; if immaterial, it should be added to the schedule of unadjusted differences.

The auditor should then assess whether this error results in the total of unadjusted misstatements becoming material; if so, this should be discussed with management; if not, there would be no impact on the auditor's report.

If the error is material and management refuses to amend the financial statements, then the auditor's opinion will need to be modified. It is unlikely that any error would be pervasive as, although WIP in total is material, it would not have a pervasive effect on the financial statements as a whole.

As management has not complied with IAS 2 *Inventories* and if the error is material but not pervasive, then a qualified opinion would be necessary. The opinion paragraph will state that 'except for' this matter, the financial statements give a true and fair view.

A basis for qualified opinion paragraph would need to be included after the opinion paragraph. This will explain the material misstatement in relation to the valuation of WIP and the effect on the financial statements.

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ACCA

Audit and Assurance (AA)

Mock Exam 3

December 2016 (amended)

Questions	
Time allowed	3 hours
This mock exam is divided into two sections: Section A – ALL 15 questions are compulsory and MUST be attempted Section B – ALL 3 questions are compulsory and MUST be attempted	

DO NOT OPEN THIS EXAM UNTIL YOU ARE READY TO START UNDER EXAMINATION CONDITIONS

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Section A

ALL 15 questions are compulsory and MUST be attempted

Sistar Co

It is 1 July 20X5. The board of directors of Sistar Co is concerned that they are not currently applying best practice in terms of corporate governance and are seeking to make improvements.

The company currently has three non-executive directors (NEDs) on the board, who are paid a fee which changes annually depending on company performance. The NEDs all sit on the audit, nomination and remuneration committees. There are currently no formal documents setting out the responsibilities of these committees.

At present, Sistar Co does not have an internal audit function but the directors are establishing a team which will be responsible for a range of internal audit assignments.

The following is the current proposed structure for the internal audit (IA) department.

The only role still to be filled is the Head of internal audit. There are two potential candidates: Paul Belling, a consultant who helped design and implement the company's current control system, and Maria Marquez, who is currently an audit manager at Rossi & Bell, an audit firm which has never been used by Sistar Co.

Out of the other three members of the proposed IA department, two of them have moved from other departments in Sistar Co and one of the audit assistants has audit experience.

1 **Which of the following should be included in the document setting out the responsibilities of the audit committee?**

(1) **To monitor and review the effectiveness of the newly established internal audit function**

(2) **To evaluate the balance of skills, experience and independence of board members**

(3) **To take responsibility for the appointment and removal of the external auditors**

(4) **To monitor and review the effectiveness of internal financial controls established by the company**

- ○ 1 and 2
- ○ 1 and 4
- ○ 2 and 3
- ○ 3 and 4

(2 marks)

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2 **Indicate which of the following options correctly describes the deficiency relating to NED's remuneration and makes a valid recommendation for improvement.**

	Deficiency	Recommendation
O	Compromises NED independence	NEDs should be remunerated on the same basis as the executive team
O	Compromises the motivation of NEDs	NED's remuneration should be tied to profit targets
O	Compromises NED independence	NED's remuneration should be a set amount based on time committed
O	Compromises the motivation of NEDs	NED's remuneration should be linked to individual performance

(2 marks)

---

3 **Complete the sentences below to provide appropriate recommendations to improve the effectiveness and independence of the IA department.**

The head of internal audit should report to the (1) ▼.

(2) ▼ should be appointed as head of internal audit.

The audit team requires (3) ▼.

Pull down list 1

- Audit committee
- Chief executive
- Finance director

Pull down list 2

- Maria Marquez
- Paul Belling

Pull down list 3

- More external staff to be appointed
- More senior staff with audit experience
- No change to its current composition

(2 marks)

---

4 The board has started to compile a list of tasks for the IA department to carry out once it is up and running. It has been agreed that the first assignment to be completed will be for the IA to review Sistar Co's processes over capital expenditure to verify if the right items are purchases at an appropriate time and competitive price.

What type of internal audit assignment does this represent?

- O A value for money audit
- O A management audit
- O A financial audit
- O An IT audit

(2 marks)

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5 **When deciding on the role of the IA department in undertaking operational audits, which of the following should the team NOT be involved in?**

- ○ Observing procedures carried out by Sistar Co's staff
- ○ Reperforming procedures documented in procedures manuals
- ○ Designing and implementing internal control procedures to address deficiencies
- ○ Reporting findings directly to the board of directors **(2 marks)**

(Total = 10 marks)

Elm & Co

It is 1 July 20X5. You are an audit manager of Elm & Co and are finalising the audit of the financial statements of Oak Co for the year ended 31 December 20X4. You are reviewing the results of the final analytical procedures and other outstanding points on the audit file, prior to recommending the final audit opinion, which is due to be signed on 12 July 20X5.

The following ratio analysis has been completed as part of the final analytical procedures:

	20X4 final	*20X4 planning*	*20X3 final*
Gross profit margin	9%	11%	12%
Quick ratio	0.2	0.6	0.8
Payables payment period	45	40	37
Inventory holding period	50	40	42

Discussions with the finance director have also revealed the following:

(1) Oak Co lost a major customer, Beech Co, in December 20X4, but new business has been won post year end which has mitigated the impact of the loss of Beech Co.

(2) Oak Co is due to repay a substantial loan on 31 August 20X5. Oak Co is currently negotiating revised terms with the bank but it is unlikely that negotiations will be concluded before the auditor's report is signed. This will be disclosed in the financial statements.

The financial statements for the year ended 31 December 20X4 have been prepared on a going concern basis.

6 As part of the going concern assessment, the following additional issues have been noted on the audit file.

Which TWO of the following issues could individually cast doubt over the going concern assumption for Oak Co?

- ☐ A number of personnel in the purchasing department left during the year and have not been replaced
- ☐ A major supplier to Oak Co has just gone out of business with a number of unfulfilled orders
- ☐ A new product which was due to account for 30% of revenue has proved to be unsuccessful
- ☐ A litigation claim has been raised against Oak Co after the year end with potential damages totalling 3% of this year's profit **(2 marks)**

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7 As part of your review of the final analytical procedures, you compare the results to the following comments on the audit file:

(1) The company has increased the sales prices charged to customers while maintaining costs at a level comparable to 20X3.

(2) The company has become more reliant on its overdraft facility during the year.

(3) Due to cash restrictions, the company has encountered delays in paying suppliers.

(4) At the year-end inventory count, a lower level of slow-moving inventory was noted compared to the prior year.

Which of the above comments are INCONSISTENT with the results of the final analytical procedures?

- O 1 and 2
- O 1 and 4
- O 2 and 3
- O 3 and 4

(2 marks)

---

8 **Which of the following procedures would provide the MOST reliable evidence in relation to the new business won post year end?**

- O Review of post-year end sales orders from the new customer
- O Inspect email correspondence between the sales director of Oak Co and the new customer
- O Obtain a written representation confirming the level of business agreed with the new customer
- O Review of board minutes discussing the contract with the new customer

(2 marks)

---

9 The initial going concern assessment conducted by the management of Oak Co covers the period to 30 June 20X5.

Which of the following is an appropriate course of action in the circumstances described above?

- O Request management extend the assessment to the date of the auditor's report
- O Design and carry out procedures to only assess going concern in the period from 31 December 20X4 to the date of the auditor's report
- O Request management extend the assessment to cover at least until 31 December 20X5
- O Accept the time frame used by management as the going concern review is their responsibility

(2 marks)

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10 The audit engagement partner has concluded that the disclosure included in the financial statements in relation to the loan negotiations is adequate. Additionally, the audit partner has commented that this disclosure is fundamental to the users' understanding of the financial statements.

Complete the following sentence, identifying what form of auditor's report should be issued.

An auditor's report with [(1) ▼] opinion and [(2) ▼] paragraph should be issued.

Pull down list 1

- A modified
- An unmodified

Pull down list 2

- A material uncertainty relating to going concern
- An other matter

(2 marks)

(Total = 10 marks)

Jones & Co

It is 1 July 20X5. You are an audit senior at Jones & Co and are currently performing the final audit of Walker Co for the year ended 30 April 20X5. The company is a manufacturer and retailer of shoes and boots. The current audit senior is ill and you have been asked to complete the audit of payroll in their absence.

On arrival at the head office of Walker Co, you determine the following data from a review of the current year and prior year audit files:

(1) As at 30 April 20X4, Walker Co had 500 employees.

(2) On 1 May 20X4, 10% of staff were made redundant, effective immediately, due to discontinuation of a product line.

(3) On 1 July 20X4, all remaining staff received a 6% pay rise.

(4) Over the course of the year, sales levels met performance targets which resulted in a fixed bonus of $1,500 being paid to each employee on 30 April 20X5.

11 **Which of the following statements explains the CUT-OFF assertion for wages and salaries?**

- ○ Wages and salaries have been fairly allocated within the statement of profit or loss
- ○ Wages and salaries have been appropriately calculated taking into account all relevant taxation costs and adjustments
- ○ Wages and salaries which have been incurred during the period have been accounted for in respect of all personnel employed by Walker Co
- ○ Wages and salaries accounted for relate to the current year ended 30 April 20X5

(2 marks)

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12 **Order the evidence, in terms of its reliability, starting with the MOST RELIABLE. (Drag each box from the left into position to match the relevant box on the right.)**

Audit evidence		Order of reliability
Proof in total calculation performed by an audit team member		1 – Most
Written representation from the directors of Walker Co confirming the accuracy of wages and salaries		2
Verbal confirmation from the finance director of Walker Co confirming the accuracy of wages and salaries		3
Recalculation of the gross and net pay for a sample of employees by an internal audit team member of Walker Co		4 – Least

(2 marks)

---

13 The prior year financial statements for Walker Co included $17 million for wages and salaries in the statement of profit or loss.

What would be the estimated current year wages and salaries expense, ignoring redundancy costs, based upon the data gathered from the review of the audit files?

- ○ $16,740,000
- ○ $16,893,000
- ○ $16,815,000
- ○ $18,600,000

(2 marks)

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14 **Which TWO of the following are substantive ANALYTICAL PROCEDURES for wages and salaries?**

- ☐ Trace and agree the total wages and salaries expense per the payroll system to the draft financial statements
- ☐ Recalculate the gross and net pay for a sample of employees, agree to payroll records and investigate discrepancies
- ☐ Compare the current year total payroll expense to the prior year and investigate any significant differences
- ☐ Perform a proof in total calculation and compare expected expense to actual expense within the draft financial statements

(2 marks)

---

15 You have been given a list of procedures to carry out on revenue and you have decided to prioritise those which deal with the key assertion of occurrence.

Which of the following substantive procedures provide evidence over the OCCURRENCE assertion for revenue?

(1) **Compare the reported revenue figure to the budget and to the previous year, investigating any significant differences**

(2) **Select a sample of goods dispatched notes (GDNs) and agree to invoices in the sales day book**

(3) **Select a sample of invoices from the sales day book and agree to GDNs**

(4) **Select a sample of invoices and recalculate the invoiced amount agreeing to price list**

- ○ 1 and 2
- ○ 1 and 3
- ○ 2 and 4
- ○ 3 and 4

(2 marks)

(Total = 10 marks)

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Section B

ALL THREE questions are compulsory and MUST be attempted

16 Centipede

It is 1 July 20X5. You are an audit supervisor of Ant & Co and are planning the final audit of Centipede Co, which is a listed company, for the year ended 31 March 20X5. The company purchases consumer packaged goods and sells these through its website and to wholesalers. This is a new client for your firm and your audit manager has already had a planning meeting with the finance director and has provided you with the following notes along with financial statement extracts.

Client background and notes from planning meeting

Rather than undertaking a full year-end inventory count, the company undertakes monthly perpetual inventory counts, covering one-twelfth of all lines monthly. As part of the interim audit which was completed earlier in the year, an audit assistant attended a perpetual inventory count in September and noted that there were a large number of exceptions where the inventory records were consistently higher than the physical inventory in the warehouse. When discussing these exceptions with the finance director, the assistant was informed that this had been a recurring issue all year. In addition, the audit assistant noted that there were some lines of inventory which, according to the records, were at least 90 days old.

Centipede Co has a head office where the audit team will be based to conduct the final audit fieldwork. However, there are four additional sites where some accounting records are maintained and these sites were not visited during the interim audit. The records for these sites are incorporated monthly through an interface to the general ledger. A fifth site was closed down in the year ending 20X4; however, the building was only sold in 20X5 at a loss of $825,000.

One of Centipede Co's wholesale customers is alleging that the company has consistently failed to deliver goods in a saleable condition and on time, hence it has commenced legal action against Centipede Co for a loss of profits claim.

The directors have disclosed their remuneration details in the financial statements in line with IFRS, which does not require a separate list of directors' names and payments. However, in the country in which Centipede Co is based, local legislation requires disclosure of the names of the directors and the amount of remuneration payable to each director.

Financial statement extracts for the year ended 31 March

	Draft	*Final*
	20X5	*20X4*
	$'000	$'000
Revenue	25,230	21,180
Cost of sales	(15,840)	(14,015)
Gross profit	9,390	7,165
Operating expenses	(4,903)	(3,245)
	4,487	3,920
Inventory	2,360	1,800
Trade receivables	1,590	1,250
Cash	–	480
Trade payables	3,500	2,800
Overdraft	580	–

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Required

(a) Describe the matters which Ant & Co should have considered prior to accepting the audit of Centipede Co. **(5 marks)**

(b) Calculate the FOUR ratios listed in the table below, for BOTH years, to assist you in planning the audit of Centipede Co.

Note. Use the below table structure to format your answer in the CBE software.

	20X5	20X4
Gross margin		
Operating margin		
Inventory holding period		
Quick ratio		

(4 marks)

(c) From a review of the above information and the ratios calculated, describe **EIGHT** audit risks and explain the auditor's response to each risk in planning the audit of Centipede Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(d) The finance director of Centipede Co informed Ant & Co that one of the reasons it was appointed as auditors was because of its knowledge of the industry. Ant & Co audits a number of other consumer packaged goods companies, including Centipede Co's main rival. The finance director has enquired into how Ant & Co will keep information obtained during the audit confidential.

Explain the safeguards which Ant & Co should implement to ensure that this conflict of interest is properly managed. **(5 marks)**

(Total = 30 marks)

17 Caterpillar (amended)

It is 1 July 20X5. Caterpillar Co is a clothing retailer which operates 45 stores throughout the country. The company's year end is 31 March 20X5. Caterpillar Co has an internal audit department which has undertaken a number of internal control reviews specifically focusing on cash controls at stores during the year. The reviews have taken place in the largest 20 stores as this is where most issues arise. You are an audit supervisor of Woodlouse & Co and are reviewing the internal controls documentation in relation to the cash receipts system in preparation for the interim audit which will involve visiting a number of stores and the head office.

Each of Caterpillar Co's stores has on average three or four cash tills to take customer payments. All employees based at the store are able to use each till and individuals do not have their own log-on codes, although employees tend to use the same till each day. Customers can pay using either cash or a credit card and for any transaction either the credit card payment slips or cash are placed in the till by the cashier. Where employees' friends or family members purchase clothes in store, the employee is able to serve them at the till point.

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At the end of each day, the tills are closed down with daily readings of sales taken from each till; these are reconciled to the total of the cash in the tills and the credit card payment slips and any discrepancies are noted. To save time, this reconciliation is done by the store's assistant manager in aggregate for all of the store tills together. Once this reconciliation has taken place, the cash is stored in the shop's small safe overnight and in the morning it is transferred to the bank via collection by a security company. If the store is low on change for cash payments, a junior sales clerk is sent by a till operator to the bank with money from the till and asked to change it into smaller denominations.

The daily sales readings from the tills along with the cash data and credit card payment data are transferred daily to head office through an interface with the sales and cash receipts records. A clerk oversees that this transfer has occurred for all stores. On a daily basis, he also agrees the cash transferred by the security company has been banked in full by agreeing the cash deposit slips to the bank statements, and that the credit card receipts have been received from the credit card company. On a monthly basis, the same clerk reconciles the bank statements to the cash book. The reconciliations are reviewed by the financial controller if there are any unreconciled amounts.

Required

(a) State **TWO** control objectives of Caterpillar Co's cash receipts system. **(2 marks)**

(b) Identify and explain **THREE DIRECT CONTROLS** which the auditor may seek to place reliance on in Caterpillar Co's cash receipts system; and describe a **TEST OF CONTROL** the auditor should perform to assess if each of these direct controls is operating effectively.

Note. Use the below table structure to format your answer in the CBE software.

Direct control	Test of control

(6 marks)

(c) Identify and explain **SIX DEFICIENCIES** in Caterpillar Co's cash receipts system and provide a recommendation to address each of these deficiencies.

Note. Use the below table structure to format your answer in the CBE software.

Control deficiency	Control recommendation

(12 marks)

(Total = 20 marks)

18 Snail & Co

It is 1 July 20X5. You are an audit manager of Snail & Co and you are in charge of two audits which are due to commence shortly. Insects4U Co is a registered charity which promotes insect conservation and has been an audit client for several years. Spider Spirals Co, also an existing audit client, manufactures stationery products and its draft total liabilities are $8.1 million. Both clients' financial years ended on 30 April 20X5. The following matters have been brought to your attention for each company.

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Insects4U Co

(1) **Completeness of income – (4 marks)**

Insects4U Co is a not-for-profit organisation which generates income in a number of ways. It receives monthly donations from its many subscribers and these are paid by bank transfer to the charity. In addition, a large number of donations are sent through the post to the charity. Insects4U Co also sells tickets for its three charity events held annually. During the audit planning, completeness of income was flagged as a key risk.

Note. Assume that the charity adopts IFRSs.

Spider Spirals Co

(2) **Trade payables – (6 marks)**

The finance director of Spider Spirals Co has informed you that at the year end the payables ledger was kept open for one week longer than normal as a large bank transfer and cheque payment run was made on 3 May 20X5. Some purchase invoices were received in this week and were recorded in the 20X5 payables ledger as well as the payment run made on 3 May.

(3) **Trade receivables – (5 marks)**

Spider Spirals Co has a large number of small customers; the normal credit terms offered to them is 30 days. However, the finance director has informed you that the average trade receivables collection period has increased quite significantly this year from 34 days to 55 days. This is partly due to difficult trading conditions and also because for six months of the year the role of credit controller was vacant. The company has historically maintained on average an allowance for trade receivables of 1.5% of gross trade receivables.

Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to the above three matters.

Note. The mark allocation is shown against each of the three matters above. **(15 marks)**

(b) The finance director of Spider Spirals Co has informed you that he is not proposing to make an adjustment for the trade payables payment run made on 3 May, as the total payment of $490,000 would only require a change to trade payables and the bank overdraft, both of which are current liabilities.

Discuss the issue and describe the impact on the auditor's report, if any, should this issue remain unresolved. **(5 marks)**

(Total = 20 marks)

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Answers

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Plan of attack

If this were the real Audit and Assurance exam and you had been told to start the exam, what would be going through your mind?

An important thing to say (whilst there is still time) is that it is vital to have a good breadth of knowledge of the syllabus because all the questions are compulsory. However, don't panic. Below we provide guidance on how to approach the exam.

Looking through the exam

Section A has three objective test cases, each with five questions. This is the section of the exam where the examining team can test knowledge across the breadth of the syllabus. Make sure you read these cases and questions carefully. The distractors are designed to present plausible, but incorrect, answers. Don't let them mislead you. If you really have no idea – guess. You may even be right.

Section B has three longer questions:

- **Question 16** is a 30-mark question focused on the planning stage, covering analytical procedures, audit risk, acceptance procedures and ethics. Read the requirements carefully, taking note in particular of the number of ratios that you have been asked to calculate and that they must be calculated for both years.
- **Question 17** is a 20-mark internal controls question. Here you need to consider strengths in the system as well as identifying weaknesses.
- **Question 18** is a 20-mark question dealing with substantive procedures relating to income, trade payables and trade receivables. You are also asked to consider the impact on the auditor's report of any unresolved issues.

Allocating your time

BPP's advice is to always allocate your time **according to the marks for the question.** However, **use common sense.** If you're doing a question but haven't a clue how to do part (b), you might be better off reallocating your time and getting more marks on another question, where you can add something you didn't have time for earlier on. Make sure you leave time to recheck the OTs and make sure you have answered them all.

Forget about it

And don't worry if you found the exam difficult. More than likely other candidates will too. If this were the real thing you would need to forget the exam the minute you finish the exam and think about the next one. Or, if it is the last one, celebrate!

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Section A

Sistar Co

1 The correct answer is: 1 and 4

The audit committee should be responsible for monitoring the effectiveness of the internal audit function and the company's internal control system. Therefore statements 1 and 4 should be included.

2 The correct answer is:

Deficiency	Recommendation
Compromises NED independence	NED's remuneration should be a set amount based on time committed

NED's remuneration should not be tied to the performance of Sistar Co as this can compromise their independence. NED's remuneration should be based on the time committed to carry out the role.

3 The head of internal audit should report to the [Audit committee].

[Maria Marquez] should be appointed as head of internal audit.

The audit team requires [more senior staff with audit experience].

To improve the effectiveness and independence of the internal audit function, the head of internal audit should report to the audit committee. Maria Marquez should be appointed as the head of internal audit as she is completely independent of Sistar Co and the audit team needs more senior staff with relevant experience.

4 The correct answer is: A value for money audit

The assignment described represents a value for money audit as it is focused on assessing the economy, efficiency and effectiveness of Sistar Co's capital expenditure.

5 The correct answer is: Designing and implementing internal control procedures to address deficiencies

Internal audit should not be involved in designing and then implementing internal control procedures as this would result in a self-review threat to independence.

Elm & Co

6 The correct answers are:

- A major supplier to Oak Co has just gone out of business with a number of unfulfilled orders
- A new product which was due to account for 30% of revenue has proved to be unsuccessful

The loss of a major supplier could have a serious impact on Oak Co if no alternative can be found and poor results in a product line expected to account for 30% of revenue could also have a significant impact on the company going forward.

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7 The correct answer is: 1 and 4

Gross margin has dropped which implies that the company is not gaining as good a return as in the prior year – this would most likely be due to an increase in cost of sales or drop in sales price. Therefore the comment regarding increasing sales price contradicts the results of the analytical procedures.

The inventory holding period has increased significantly implying that items are taking longer to sell, given the comment regarding the observation made at the inventory count this would warrant further investigation given the increase in the inventory holding period.

Therefore comment 1 and 4 should be investigated and are inconsistent with the final analytical procedures.

8 The correct answer is: Review of post-year end sales orders from the new customer

The review of post year-end sales would provide the best evidence that the new customer is genuine and is ordering goods. This to some extent will then allow the auditor to assess the level of sales being made to the new customer and to determine whether this does therefore mitigate for the loss of Beech Co.

9 The correct answer is: Request management extend the assessment to cover at least until 31 December 20X5

As per ISA 570 (Revised) *Going Concern*, the period of assessment should be at least 12 months from the date of the financial statements.

10 An auditor's report with | an unmodified | opinion and | a material uncertainty relating to going concern | paragraph should be issued.

As per ISA 570 (Revised) *Going Concern*, where there is a matter of fundamental importance to the users' understanding regarding an uncertainty over going concern, as long as this is adequately disclosed the auditor should include a material uncertainty paragraph related to going concern. The audit opinion is unmodified in this regard.

Jones & Co

11 The correct answer is: Wages and salaries accounted for relate to the current year ended 30 April 20X5

The cut-off assertion relates to ensuring that transaction are recorded in the correct accounting period, and therefore that wages and salaries accounted for relate to the year ended 30 April 20X5.

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12 The correct answers are:

Audit evidence	Order of reliability
Proof in total calculation performed by an audit team member	1 – Most
Recalculation of the gross and net pay for a sample of employees by an internal audit team member of Walker Co	2
Written representation from the directors of Walker Co confirming the accuracy of wages and salaries	3
Verbal confirmation from the finance director of Walker Co confirming the accuracy of wages and salaries	4 – Least

13 The correct answer is: $16,740,000

17,000,000 × 90% × 2/12 = 2,550,000

(17,000,000 × 106%) × 90% × 10/12 = 13,515,000

450 × 1,500 = 675,000

2,550,000 + 13,515,000 + 675,000 = 16,740,000

14 The correct answers are:

- Compare the current year total payroll expense to the prior year and investigate any significant differences
- Perform a proof in total calculation and compare expected expense to actual expense within the draft financial statements

Comparisons with prior years and proof in total calculations are examples of substantive analytical procedures.

15 The correct answer is: 1 and 3

(2) provides evidence that goods dispatched have been invoiced

(4) provides evidence of accuracy

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Section B

16 Centipede

Course Book references

Chapters 4, 6 and 7.

Top tips

This is a 30-mark question on client acceptance, planning and risk assessment. Note that in part (b) you are required to calculate **FOUR** ratios for **BOTH** years. It is important that you follow this instruction. Don't be tempted to calculate more ratios just because you can – there will not be extra marks available for going above and beyond the requirement. You are then required to describe the audit risks. Do not confuse this with business risk. Try to think in terms of the effect on the financial statements. This could be by reference to assertions (eg valuation, completeness), under/over/misstatement of the financial statements or a reference to inherent, control or detection risk. For the auditor's response, whilst this refers to the approach which would be taken rather than a detailed procedure, ensure your responses are not too vague. Simply stating 'discuss with management' will not be sufficiently precise.

Easy marks

You should be able to score well on part (a) on client acceptance.

Marking guide

	Marks
(a) **Matters to be considered prior to accepting the audit of Centipede Co**	
Compliance with ACCA's *Code of Ethics and Conduct*	1
Competent	1
Reputation and integrity of directors	1
Level of risk of Centipede Co audit	1
Fee adequate to compensate for risk	1
Write to outgoing auditor after obtaining permission to contact	1
Previous auditor permission to respond	1
Review response for any issues	1
Maximum	5
(b) **Ratio calculations** (½ mark for each year)	
Gross margin	1
Operating margin	1
Inventory holding period/Inventory turnover	1
Receivables collection period	1
Payables payment period	1
Current ratio	1
Quick ratio	1
Maximum	4
(c) **Audit risks and responses** (only 8 risks required)	
New client, increased detection risk	2
Perpetual inventory count adjustments	2
Valuation of inventory	2
Branch records	2

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Marking guide	Marks	
Disposal of building	2	
Legal case	2	
Directors' remuneration disclosure	2	
Revenue growth	2	
Misclassification of costs between cost of sales and operating	2	
Going concern	2	
Maximum		16
(d) **Safeguards to deal with conflict of interest**		
Notify Centipede Co and its competitor	1	
Advise seek independent advice	1	
Separate engagement teams	1	
Procedures prevent access to information	1	
Clear guidelines on security and confidentiality	1	
Confidentiality agreements	1	
Monitoring of safeguards	1	
Maximum		5
Total		30

(a) **Matters to be considered prior to accepting the audit of Centipede Co**

ISA 220 (Revised) *Quality Management for an Audit of Financial Statements* provides guidance to Ant & Co on the steps they should have taken in accepting the new audit client, Centipede Co. It sets out a number of processes which the auditor should perform prior to accepting a new engagement.

Ant & Co should have considered any issues which might arise which could threaten compliance with ACCA's *Code of Ethics and Conduct* or any local legislation, such as the level of fees from Centipede Co, to ensure they are not unduly reliant on these fees, as well as considering whether any conflicts of interest arise with existing clients. If issues arise, then their significance must be considered.

In addition, they should have considered whether they were competent to perform the work and whether they would have appropriate resources available, as well as any specialist skills or knowledge required for the audit of Centipede Co.

Ant & Co should have considered what it already knows about the directors of Centipede Co; it needed to consider the reputation and integrity of the directors. If necessary, the firm may have wanted to obtain references if it does not formally know the directors.

Additionally, Ant & Co should have considered the level of risk attached to the audit of Centipede Co and whether this was acceptable to the firm. As part of this, it should have considered whether the expected audit fee was adequate in relation to the risk of auditing Centipede Co.

Ant & Co should have communicated with the outgoing auditor of Centipede Co to assess if there were any ethical or professional reasons why they should not have accepted appointment. They should have obtained permission from Centipede Co's management to contact the previous auditor; if this was not given, then the engagement should have been refused. Once received, the response from the previous auditor should have been carefully reviewed for any issues which could affect acceptance.

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(b) **Ratios**

Ratios to assist the audit supervisor in planning the audit:

	20X5	20X4
Gross margin	9,390/25,230 = 37.2%	7,165/21,180 = 33.8%
Operating margin	4,487/25,230 = 17.8%	3,920/21,180 = 18.5%
Inventory holding period	2,360/15,840 × 365 = 54 days	1,800/14,015 × 365 = 47 days
Quick ratio	(3,950 – 2,360)/4,080 = 0.39	(3,530 – 1,800)/2,800 = 0.62

(c) **Audit risks and auditor's responses**

Audit risk	Auditor's response
Centipede Co is a new client for Ant & Co and is a listed company. As the team is not familiar with the accounting policies, transactions and balances of the company, there will be an increased detection risk on the audit.	Ant & Co should ensure it has a suitably experienced team. Also, adequate time should be allocated for team members to obtain an understanding of the company and the risks of material misstatement, including attendance at an audit team briefing.
The company utilises a perpetual inventory system at its warehouse rather than a full year-end count. Under such a system, all inventory must be counted at least once a year, with adjustments made to the inventory records on a timely basis. Inventory could be under- or overstated if the perpetual inventory counts are not complete. During the interim audit, it was noted that there were significant exceptions with the inventory records being higher than the inventory in the warehouse. As the year-end quantities will be based on the records, this is likely to result in overstated inventory.	The completeness of the perpetual inventory counts should be reviewed and the controls over the counts and adjustments to records should be tested. In addition, the level of adjustments made to inventory should be considered to assess their significance. This should be discussed with management as soon as possible as it may not be possible to place reliance on the inventory records at the year end, which could result in the requirement for a full year-end inventory count.
During the interim audit, it was noted that there were some lines of inventory which according to the records were at least 90 days old. In addition, the inventory holding period has increased from 47 to 54 days. It would appear that there may be an increase in slow-moving inventory. The valuation of inventory as per IAS 2 *Inventories* should be at the lower of cost and net realisable value. Hence there is a risk that obsolete inventory has not been appropriately written down and inventory is overvalued.	The aged inventory report should be reviewed and discussed with management to assess if certain lines of products are slow moving. Detailed cost and net realisable value testing to be performed to assess whether an allowance or write down of inventory is required.

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Audit risk	Auditor's response
Centipede Co maintains accounting records at four additional sites which were not visited during the interim audit, and the records from these sites are incorporated monthly into the general ledger. Ant & Co needs to ensure that it has obtained sufficient appropriate audit evidence over all the accounting records of the company, not just for those at head office. There is a detection risk if the team does not visit or undertake testing of the records at these sites. Further, if the interface does not occur appropriately, there is a risk that accounting records are incomplete.	Discuss with management the significance and materiality of the records maintained at the four sites. The team may then need to visit some of these sites during the final audit to undertake testing of the records held there. In addition, computer-assisted audit techniques could be utilised by the team to sample test the monthly interface of data from each site to head office to identify any errors.
During 20X5 a building was disposed of with a loss on disposal of $825,000. There is a risk that the disposal has not been removed appropriately from the accounting records or that the loss on disposal calculation is incorrect. In addition, significant profits or losses on disposal are an indication that the depreciation policy for land and buildings may not be appropriate. Therefore depreciation may be understated and consequently assets overstated.	Agree that the asset has been removed from the non-current assets register, recalculate the loss on disposal calculation and agree all items to supporting documentation. Discuss the depreciation policy for land and buildings with the finance director to assess its reasonableness. Review the level of losses on disposal generated from other asset sales to ascertain if this is a more widespread issue.
A customer of Centipede Co has commenced legal action against Centipede Co for a loss of profits claim. If it is probable that the company will make payment to the customer, a legal provision is required. If the payment is possible rather than probable, a contingent liability disclosure would be necessary. If Centipede Co has not done this, there is a risk over the completeness of any provisions and the necessary disclosure of contingent liabilities.	Ant & Co should write to the company's lawyers to enquire of the existence and likelihood of success of any claim from the wholesale customer. The results of this should be used to assess the level of provision or disclosure included in the financial statements.
The directors have not disclosed the individual names and payments for each of the directors' remuneration. This is in line with IFRS but disclosure of this is required by local legislation. In cases where the local legislation is more comprehensive than IFRS, it is likely the company must comply with the local legislation. The directors' remuneration disclosure will not be complete and accurate if the names and individual payments are not disclosed in accordance with the relevant local legislation and hence the financial statements will be misstated as a result of the non-compliance.	Discuss this matter with management and review the requirements of the local legislation to determine if the disclosure in the financial statements is appropriate.
Revenue has grown by 19% in the year; however, cost of sales has only increased by 13%. This is a significant increase in revenue and along with the increase in gross margin may be due to an overstatement of revenue.	During the audit a detailed breakdown of sales will be obtained, discussed with management and tested in order to understand the sales increase. Increased cut-off testing should also be undertaken to verify that revenue is recorded in the right period and is not overstated.

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Audit risk	Auditor's response
Gross margin has increased from 33.8% to 37.2%. Operating margin has decreased from 18.5% to 17.8%. This movement in gross margin is significant and there is a risk that costs may have been omitted or included in operating expenses rather than cost of sales. This would risk overstating operating expenses and understating costs of sales, and would in turn overstate the gross margin and understate the operating margin.	The classification of costs between cost of sales and operating expenses will be compared with the prior year to ensure consistency. Also increased cut-off testing should be performed at the year end to ensure that costs are complete.
The overall liquidity of the company is in decline, with the quick ratios decreasing from 0.62 to 0.39. In addition, the cash balances have decreased significantly over the year, and the company now has an overdraft of $580,000 at the end of the year. Payables are also a higher proportion of cost or sales. These changes in key could signal going concern difficulties.	Detailed going concern testing to be performed during the audit as there may be a doubt over going concern and the basis of accounting should be discussed with management to ensure that the going concern basis is reasonable.

(d) **Safeguards to deal with conflict of interest**

- Both Centipede Co and its rival competitor should be notified that Ant & Co would be acting as auditors for each company and, if necessary, consent obtained.
- Advising one or both clients to seek additional independent advice.
- The use of separate engagement teams, with different engagement partners and team members; once an employee has worked on one audit, such as Centipede Co, then they should be prevented from being on the audit of the competitor for a period of time.
- Procedures to prevent access to information, for example, strict physical separation of both teams, confidential and secure data filing.
- Clear guidelines for members of each engagement team on issues of security and confidentiality. These guidelines could be included within the audit engagement letters.
- Potentially the use of confidentiality agreements signed by employees and partners of the firm.
- Regular monitoring of the application of the above safeguards by a senior individual in Ant & Co not involved in either audit.

17 Caterpillar

Course Book references

Chapters 9 and 10.

Top tips

This is a 20-mark question on controls and tests of controls in the cash system. Part (b) of the question asks you to identify direct controls in the system and tests of controls. Make sure you can distinguish between tests of controls and substantive procedures. Tests of controls aim to provide evidence that controls are operating effectively.

Part (c) should be a familiar requirement asking for the identification of weaknesses and recommendations to address each weakness. This type of requirement is typically well answered but take care when making your recommendations. Examining team comments have often referred to the fact that recommendations are often phrased in vague terms. Make sure you explain clearly the procedure which needs to be performed, and if possible who should perform it.

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Easy marks

These are available in part (a).

Note

The exam is a computer-based assessment and the answers for this question have been shown as they would appear in the word processer available on the assessment platform. Where an answer is tabular a table template with the appropriate columns will be provided for you to type into. Otherwise, you will just type your answer into the blank area provided.

Marking guide	Marks	
(a) **Control objectives – cash receipts system**		
To ensure that all valid cash receipts are received and deposited promptly in the bank	1	
To ensure all cash receipts are recorded in the cash book	1	
To ensure that all receipts are recorded at the correct amounts in the cash books	1	
To ensure that cash receipts are correctly posted to the general ledger	1	
To ensure that cash receipts are recorded in the correct accounting period	1	
To ensure that cash is safeguarded to prevent theft	1	
To ensure that management has accurate and timely information regarding the cash position	1	
Maximum		2
(b) **Direct controls and tests of control** (3 strengths required)		
Internal audit department which undertakes cash control reviews at stores	2	
Daily sales readings taken from tills and reconciled to cash and credit card payment slips, exceptions noted	2	
Cash collected daily and taken to the bank by security company	2	
Daily interface to head office for sales, cash and credit card data into sales and cash receipts books	2	
Daily agreement of cash banked by security company and cash received from credit card company into bank statements	2	
Monthly bank reconciliations undertaken	2	
Maximum		6
(c) **Control deficiencies and recommendations** (only 6 issues required)		
Internal audit only visits 20 largest stores rather than all 45	2	
All employees able to use tills and no individual log-on codes	2	
Employees can serve friends and family members at the till points	2	
Daily till reading reconciliations performed in aggregate for all tills in store rather than individually	2	
Cashing up of tills undertaken by just one individual	2	
Cash stored on site overnight	2	
Junior sales clerks given cash and sent to the bank to change notes into smaller denominations	2	
Lack of segregation of duties in head office for recording and reconciling of cash	2	
Bank reconciliations not always reviewed by the financial controller	2	
Maximum		12
Total		20

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(a)

Word Processor

Paragraph

Control objectives – cash receipts system

- To ensure that all valid cash receipts are received and deposited promptly in the bank
- To ensure all cash receipts are recorded in the cash book
- To ensure that all receipts are recorded at the correct amounts in the cash book
- To ensure that cash receipts are correctly posted to the general ledger
- To ensure that cash receipts are recorded in the correct accounting period
- To ensure that cash is safeguarded to prevent theft
- To ensure that management has accurate and timely information regarding the cash position

(b)

Word Processor

Paragraph

Caterpillar Co's cash cycle strengths and tests of control

Direct controls	Test of control
Caterpillar Co has an internal audit (IA) department which has undertaken a number of internal control reviews, which specifically focused on cash controls at stores during the year. This is a strong monitoring control as stores will aim to ensure that company procedures are maintained as they would not wish IA to report any exceptions at their store. As a result of this control risk is reduced for the external audit.	Discuss with IA the programme of their visits to stores and the areas addressed on these visits. This will assess the strength of this monitoring control. In particular, enquire of IA whether over a rolling period all stores will be visited. Review the IA department files for the results of the store visits, to confirm that the 20 stores programmed to be visited did all actually take place and for exceptions noted and actions taken.
At the end of each day, the tills are closed down with daily readings of sales taken; these are reconciled to the total of the cash in the tills and the credit card payment slips and any discrepancies are noted. Daily cashing up procedures should ensure that the cash is controlled and reduces the risk of fraud as employees are aware that the assistant manager will be looking for cash discrepancies.	For a sample of stores visited, the auditor should review the file of daily reconciliations to ascertain if end of day till reconciliations have taken place on a daily basis. For reconciliations with discrepancies, discuss with the store manager what actions were taken and how these differences were resolved.

ANSWERS

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Direct controls	Test of control
Cash received from customers is taken to the bank daily via collection by a security company. This ensures that cash is safeguarded and that the risk of theft when transferring to the bank is minimised.	During the store visits, enquire of staff how the cash is transferred to the bank. A sample of invoices from the collection company should be reviewed and confirmed that they are charging Centipede Co on a daily basis. In addition, during these visits observe the cash collection process carried out by the security company.
The daily sales readings from the tills along with the cash and credit card data are transferred to head office through a daily interface into the sales and cash receipts records. This should ensure that sales and cash records are updated on a prompt basis and are complete and accurate, and that the bank balance is accurate.	During the interim audit at head office, compare the daily sales readings from individual stores, including some visited by the audit team, to the sales and cash receipt records within the general ledger. Review the date on which the sales and cash receipt records were updated to ensure this occurred promptly. Any discrepancies should be discussed with the clerk responsible for overseeing this process.
On a daily basis the clerk agrees that the cash banked and the credit card receipts from the credit card company have been credited to the bank statements in full. This should ensure the completeness of cash receipts, as they are transferred in from two sources, being the security company and the credit card operator.	Discuss with the clerk responsible for reconciling the cash and credit card receipts the process he undertakes. Review the daily reconciliations he has completed to confirm the process has been undertaken as described.
Bank reconciliations are undertaken on a monthly basis. This should ensure that any discrepancies between the cash book and the bank statements are identified promptly.	Review the file of bank reconciliations to ascertain if there is one for each month and that they are either fully reconciled, or the financial controller has evidenced their review of any unreconciled amounts.

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(c)

Word Processor

Paragraph

Caterpillar Co's cash system deficiencies and controls

Control deficiency	Control recommendation
The IA department only undertakes cash control visits to the 20 largest stores as they feel this is where most issues arise. However, Caterpillar Co has 45 stores in total which means over half of the stores are not being checked. This increases the likelihood of control errors, as these stores may not comply with company procedures and with it being a cash business heightens the chance of frauds occurring.	Caterpillar Co's IA department should have a rolling programme of visits to all 45 stores. This programme can have a bias to large and high risk stores, but it should ensure that all stores are visited on a cyclical basis.
All store employees are able to use each till and none have an individual log-on code when using the tills. Allowing all employees access to the till points increases the risk of fraud and error arising. Also in the event of cash discrepancies arising in the tills, it would be difficult to ascertain which employees may be responsible as there is no way of tracking who used which till.	Only employees for whom criminal record/credit checks have been undertaken should be able to use the tills to take customer payments. Each employee should have a designated till and a log-on code, which is required for each payment transaction.
Where employees' friends or family members purchase clothes in store, the employee is able to serve them at the till point. There is a significant fraud risk as employees could fail to put the goods through the till, but retain the cash paid by the friend/family members. Additionally, they could give the goods away for free or undercharge for goods sold, thereby granting unauthorised discounts.	Caterpillar Co should instigate a policy whereby employees are unable to serve friends or family members at the till points. They should be required to request that a manager or supervisor put these goods through the till. In addition, CCTV cameras could be placed in the shops, near to the till points to record the daily till transactions. This would act as a deterrent to employees as well as provide evidence in the case of fraudulent transactions occurring. Caterpillar Co should also carry out regular inventory counts to identify if goods in the stores are below the levels in the inventory records, as this could identify goods being given away for free.

ANSWERS

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Control deficiency	Control recommendation
The daily reading of sales and reconciliations to the tills is performed in aggregate rather than for each till. This means if exceptions arise, it will be difficult to identify which till caused the difference and therefore which employees may require further till training or have undertaken fraudulent transactions.	The reconciliations should be undertaken on an individual till by till basis rather than in aggregate.
The cashing up of tills along with the recording of any cash discrepancies is undertaken by just one individual, the assistant store manager. There is a fraud risk as the store manager could remove some of the cash and then simply record that there was an exception on this till.	The cashing up process should be undertaken by two individuals together, ideally the assistant and the store manager. One should count the cash and the other record it. Any exceptions to the till reading should be double checked to confirm that they are not simply addition errors.
The cash is kept at the store overnight in a small safe. Although in a safe, this is not secure as it is likely that the cash sales for one day would be a significant sum. This cash is at risk of being stolen overnight.	The cash should continue to be collected daily by the security company, but rather than in the morning it should be collected as the store closes in the evening so that cash does not have to be stored overnight.
If a store needs change, a junior sales clerk is sent to the bank by a till operator to change it into smaller denominations. There is a risk of the cash being misplaced or stolen on the way to the bank or collusion between the junior clerk and till operator as no record appears to be kept of the money removed from the till in these instances and no confirmation of how much cash is returned is carried out.	Caterpillar Co's head office should stipulate a float amount per till and how the note denominations should be comprised. When assigning the cash float in the morning, the store manager should ensure that this policy is adhered to. If, during the day, further smaller denomination notes are required, the store manager should authorise a member of staff to obtain cash from the bank and should fully record movements in and out of the till.
One clerk is responsible for several elements of the cash receipts system. He oversees the daily interface from stores, agrees that cash has cleared into the bank statements and undertakes the bank reconciliations. There is a lack of segregation of duties and errors will not be identified on a timely basis as well as increasing the risk of fraud.	These key roles should be split between a few individuals, with ideally the bank reconciliations being undertaken by another member of the finance team.

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Control deficiency	Control recommendation
The bank reconciliations are only reviewed by the financial controller if there are any unreconciled amounts. The bank reconciliation could reconcile but still contain significant errors as there could be compensating errors which cancel each other out. In addition, for a cash based business, the bank reconciliation is a direct control which reduces the risk of fraud. If it is not reviewed, then this reduces its effectiveness.	The bank reconciliations should be reviewed by the financial controller on a monthly basis, even if there are no exceptions, and he should evidence his review by way of signature on the bank reconciliation.

18 Snail & Co

Course Book references

Chapters 14, 16 and 20.

Top tips

This is a 20-mark question which tests substantive procedures relating to income, trade payables and trade receivables, together with auditors' reports. In part (a) you must read the scenario carefully and tailor your substantive procedures. In the past the examining team has commented that candidates often provide lists of standard audit work without consideration of the facts in the question. Also note that in relation to income the question considers the assertion of completeness specifically. Again you must ensure you address this in your answer.

In part (b) the key is to note that you need to discuss the issues as well as commenting on the impact on the auditor's report. Your discussion should support the conclusion you have come to.

Easy marks

No specific part of this question is straightforward but there are some easier marks available in part (b).

Marking guide **Marks**

(a) (1) **Substantive procedures for completeness of Insects4U Co income**

Cast schedule of all of the company's income	1
Compare individual categories of income to prior year	1
Trace monthly donations from bank statements to cash book	1
New subscribers agree subscription forms to donations received account, cash book and bank statements	1
For donations, review correspondence from donors, agree to donations account, cash book and bank statements	1
Perform proof in total of tickets sold multiplied by ticket price, compare to actual and investigate significant difference	1

(2) **Substantive procedures for Spider Spirals Co trade payables**

Calculate trade payables payment period	1
Compare total trade payables and list of accruals against prior year	1
Discuss with management process to quantify misstatement of payables	1

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Marking guide

	Marks
Sample invoices received between 1 and 7 May, if post year end, then agree excluded from ledger	1
Review after-date payments	1
Review supplier statements reconciliations	1
Perform a trade payables circularisation	1
Cut-off testing pre and post year end GRN	1
(3) Substantive procedures for Spider Spirals Co trade receivables	
Aged receivables report to identify any slow-moving balances	1
Review customer correspondence to assess whether there are any invoices in dispute	1
Review the after-date cash receipts	1
Review board minutes	1
Calculate level of irrecoverable receivables, assess if material and discuss with management	1
Recalculate allowance for receivables	1
Post year end sales returns/credit notes	1
Maximum	15
(b) Effect of uncorrected misstatement and impact on auditor's report	
Discussion of issue	1
Calculation of materiality	1
Type of auditor's report modification required	2
Impact on auditor's report	1
Maximum	5
Total	20

(a) Substantive procedures the auditor should perform

(1) Substantive procedures for Insects4U Co income

(i) Obtain a schedule of all Insects4U Co's income and cast to confirm completeness and accuracy of the balance.

(ii) Compare the individual categories of income against prior year and investigate any significant differences.

(iii) For monthly donations, trace a sample of donations received in the bank statements to the cash book to ensure that they are recorded completely and accurately.

(iv) For a sample of new subscribers in the year, agree from their completed subscription form the monthly sum and start date, trace to the monthly donations received account and agree to the cash book and bank statements.

(v) For donations received in the post, review correspondence from donors, agree to the donations account and trace sums received to the cash book and bank statements to ensure all completely recorded.

(vi) For the charity events, undertake a proof in total calculation of the number of tickets sold multiplied by the ticket price, compare this to the income recorded and discuss any significant differences with management.

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(2) **Substantive procedures for Spider Spirals Co trade payables**

(i) Calculate the trade payables collection period for Spider Spirals Co, compare with prior years and investigate any significant difference, in particular any decrease for this year due to the payment run on 3 May.

(ii) Compare the total trade payables and list of accruals against prior year and investigate any significant differences.

(iii) Discuss with management the process they have undertaken to quantify the misstatement of trade payables due to the late payment run and cut-off error of purchase invoices and consider the materiality of the error in isolation as well as with other misstatements found.

(iv) Select a sample of purchase invoices received between the period of 1 and 7 May, ascertain through reviewing goods received notes (GRNs) if the goods were received pre or post year end; if post year end, then confirm that they have been excluded from the ledger or follow through to the correcting journal entry.

(v) Review after-date payments; if they relate to the current year, then follow through to the payables ledger or accrual listing to ensure they are recorded in the correct period.

(vi) Obtain supplier statements and reconcile these to the payables ledger balances, and investigate any reconciling items.

(vii) Select a sample of payables balances and perform a trade payables circularisation, follow up any non-replies and any reconciling items between the balance confirmed and the trade payables balance.

(viii) Select a sample of GRNs before the year end and after the year end and follow through to inclusion in the correct period's payables balance, to ensure correct cut-off.

(3) **Substantive procedures for Spider Spirals Co trade receivables**

(i) Review the aged receivables listing to identify any slow-moving or old receivables balances; discuss the status of these balances with the finance director to assess whether they are likely to pay.

(ii) Review customer correspondence to identify any balances which are in dispute or unlikely to be paid.

(iii) Review whether there are any after-date cash receipts for slow-moving/old receivables balances.

(iv) Review board minutes to identify whether there are any significant concerns in relation to payments by customers.

(v) Calculate the potential level of receivables which are not recoverable and assess whether this is material or not and discuss with management.

(vi) Recalculate the allowance for receivables and compare to the potentially irrecoverable balances to assess if the allowance is adequate.

(vii) Inspect post year end sales returns/credit notes and consider whether an additional allowance against receivables is required.

(b) **Impact on auditor's report**

The company made a payment run of $490,000 for payables on 3 May, which is post year end. The trade payables which were outstanding at the year end have been understated as they have been recorded as being paid. In addition, the bank overdraft is overstated as the payments are recorded as coming out of the year-end bank balance. This is evidence of window dressing, as the company has attempted to record a lower level of payable obligations at the year end. The finance director's argument that no adjustment is necessary because the balances affected are both current liabilities is irrelevant as, although both balances are liabilities, they should each still be materially correct.

The amount of the payment run is $490,000 which represents 6.0% of total liabilities (490/8,100) and hence is a material matter.

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If management refuses to adjust for the post year end payment run, the auditor's opinion will need to be modified. As trade payables are understated and the bank overdraft is overstated and there is a material misstatement which is not pervasive, a qualified opinion would be necessary. A basis for qualified opinion section would need to be included subsequent to the opinion section. This would explain the material misstatement in relation to the treatment of the trade payables and bank overdraft and the effect on the financial statements. The opinion would be qualified.

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ACCA

Audit and Assurance (AA)

Mock Exam 4

Section B from Sep/Dec 2024 Hybrid Exam

Questions	
Time allowed	3 hours
This mock exam is divided into two sections: Section A – ALL 15 questions are compulsory and MUST be attempted Section B – ALL 3 questions are compulsory and MUST be attempted	

DO NOT OPEN THIS EXAM UNTIL YOU ARE READY TO START UNDER EXAMINATION CONDITIONS

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Section A

ALL 15 questions are compulsory and MUST be attempted.

Horti & Co

You are an audit manager at Horti & Co and you are considering a number of ethical issues which have arisen on some of the firm's long-standing audit clients. It is 1 July 20X5.

Tree Co

Horti & Co is planning its external audit of Tree Co. Yesterday, the audit engagement partner, Charlie Thrower, discovered that a significant fee for information security services, which were provided to Tree Co by Horti & Co, is overdue. Charlie hopes to be able to resolve the dispute amicably and has confirmed that he will discuss the matter with the finance director, Percy Marsh, at the weekend, as they are both attending a party to celebrate the engagement of Charlie's daughter and Percy's son.

Bush Co

Horti & Co is the external auditor of Bush Co and also provides other non-audit services to the company. While performing the audit for the year ended 30 November 20X4, the audit engagement partner was taken ill and took an indefinite leave of absence from the firm. The ethics partner has identified the following potential replacements and is keen that independence is maintained to the highest level:

Brian Smith	who is also the partner in charge of the tax services provided to Bush Co
Monty Nod	who was the audit engagement partner for the ten years ended 30 November 20X3
Cossie Dixon	who introduced Bush Co as a client when she joined the firm as an audit partner five years ago
Pete Russo	who is also the partner in charge of the payroll services provided to Bush Co

Plant Co

Plant Co is a large private company, with a financial year to 31 March, and has been an audit client of Horti & Co for several years. Alan Marshlow, a partner of Horti & Co, has acted as the Engagement Quality Reviewer (EQR) on the last two audits to the year ended 31 March 20X5. At a recent meeting, he advised that he can no longer be EQR on the engagement as he is considering accepting appointment as a non-executive director and will sit on the audit committee of Plant Co.

The board of directors has also asked Horti & Co if they would be able to provide internal audit services to the company.

Weed Co

Weed Co, a listed company, is one of Horti & Co's largest clients. Last year the fee for audit and other services was $1.2 million and this year it is expected to be $1.3 million which represents 16.6% and 18.1% of Horti & Co's total income respectively.

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1 **Which of the following statements correctly explains the possible threats to Horti & Co's independence and recommends an appropriate safeguard in relation to their audit of Tree Co?**

(1) **An intimidation threat exists due to the overdue fee and Tree Co should be advised that all fees must be paid prior to the auditor's report being signed**

(2) **A self-review threat exists due to the nature of the non-audit work which has been performed and an engagement quality control review should be carried out**

(3) **A self-interest threat exists due to the relationship between Charlie and Percy and Charlie should be removed as audit partner**

- O 1, 2 and 3
- O 1 and 2 only
- O 2 only
- O 3 only

(2 marks)

---

2 **Taking into account the concern of the ethics partner, which of the partners identified as potential replacements should take over the audit of Bush Co for the year ended 30 November 20X4?**

- O Brian Smith
- O Monty Nod
- O Cassie Dixon
- O Pete Russo

(2 marks)

---

3 **Which of the following options correctly identifies the threats to Horti & Co's independence and proposes an appropriate course of action for the firm if Alan Marshlow accepts appointment as a non-executive director of Plant Co?**

	Threats	Course of action
O Option 1	Self-interest and familiarity	Can continue with appropriate safeguards
O Option 2	Self-interest and self-review	Must resign as auditor
O Option 3	Self-interest and familiarity	Must resign as auditor
O Option 4	Familiarity only	Can continue with appropriate safeguards

(2 marks)

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4 You are separately considering Plant Co's request to provide internal audit services and the remit of these services if they are accepted.

Which of the following would result in Horti & Co assuming a management responsibility in relation to the internal audit services?

(1) **Taking responsibility for designing and maintaining internal control systems**

(2) **Determining which recommendations should take priority and be implemented**

(3) **Determining the reliance which can be placed on the work of internal audit for the external audit**

(4) **Setting the scope of the internal audit work to be carried out**

- ○ 1 and 3
- ○ 2, 3, and 4
- ○ 1, 2 and 4
- ○ 3 and 4 only

(2 marks)

---

5 **Which of the following actions should Horti & Co take to maintain their objectivity in relation to the level of fee income from Weed Co?**

	Take	Do not take
Communicate level of fee income to those charged with governance	○	○
Use separate teams for the audit and non-audit work	○	○
Request payment of the current year's audit fee in advance of any work being performed	○	○
Request a pre-issuance review be conducted by an external accountant	○	○

(2 marks)

(Total = 10 marks)

Chester

Chester Co manufactures and sells pet toys to the wholesale market. It has prepared its financial statements to 28 February 20X5. It is 1 July 20X5. You are an audit assistant with Durham & Co and you have been assigned the current liabilities balances in the audit work plan.

You have calculated the payables payment period to be 66 days in 20X5 (45 days in 20X4) and have asked the directors of Chester Co to provide an explanation as to the increase in days.

Chester Co receives monthly statements from its main suppliers and performs regular supplier statement reconciliations. There were inconsistencies noted in respect of the following at 28 February 20X5:

Supplier	*Balance per purchase ledger*	*Balance per supplier statement*
	($)	($)
Oxford Co	151,480	296,120
Poole Co	(72,168)	84,235
Bath Co	82,348	92,340

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Oxford Co

Chester Co has a credit agreement with Oxford Co under which it receives goods 14 days before the supplier raises the invoice. Chester Co received goods worth $144,640 on 18 February 20X5 for which the invoice was received shortly after the year end in accordance with the agreement. Chester Co entered the transaction into its accounting records at the date of invoice.

Poole Co

The difference on this balance has still to be investigated.

Bath Co

Chester Co's finance director has informed you that there was an error in closing the purchase ledger and it was closed three days early. Invoices received 26, 27 and 28 February 20X5 were posted to the 20X6 ledger. The directors of Chester Co have confirmed that following discovery of this error, a manual adjustment was made using the journal book.

6 **Which of the following supplier balances would indicate a high risk in relation to the COMPLETENESS of the liability recorded at the year end?**

- O A supplier with a high balance at the year end and with a low volume of transactions during the year
- O A supplier with a low balance at the year end and with a high volume of transactions during the year
- O A supplier with a low balance at the year end and with a low volume of transactions during the year
- O A supplier with a high balance at the year end and with a high volume of transactions during the year

(2 marks)

---

7 **Which of the following would correctly explain why the payables payment period has increased from 45 days in 20X4 to 66 days in 20X5?**

- O Chester Co received a prompt payment discount from one of its suppliers for the first time in 20X5
- O Chester Co obtained a trade discount from one of its biggest suppliers which has reduced the amount owed to that supplier by 10% in the year
- O Chester Co purchased an unusually high level of goods in February 20X5 to satisfy a large order and had not paid for those goods by the year end
- O Chester Co took advantage of extended credit terms offered by a new supplier in respect of a large order which it had fully settled by the year end

(2 marks)

---

8 **Which of the following is an appropriate action in respect of the inconsistency in the balance with Oxford Co?**

- O The auditor should take no further action as this is a timing difference which was resolved upon receipt and posting of the invoice
- O The auditor should request that the purchase ledger balance is amended at the reporting date to reflect the recent invoice
- O The auditor should contact the supplier and request a supplier statement as at the current date
- O The auditor should request that an accrual is created in respect of the goods received but not yet invoiced

(2 marks)

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9 **Complete the following sentence regarding the difference in respect of Poole Co by selecting from the options provided. Which of the following would be a valid explanation for the difference in respect of Poole Co?**

An invoice for (1) ▼ has been (2) ▼.

Pull down list 1

- $156,403
- $72,168
- $84,235

Pull down list 2

- Paid twice
- Posted as a debit note
- Received and processed prior to receipt of the goods

(2 marks)

---

10 **Which of the following would NOT provide sufficient and appropriate audit evidence over the COMPLETENESS of the purchase ledger balance in respect of Bath Co?**

- ○ Obtain the journal book and confirm that all invoices recorded as received from Bath Co dated 26–28 February have been manually adjusted for
- ○ Review the accruals listing to ensure goods received from Bath Co post year end for which an invoice has not been received have been recorded in the correct period
- ○ For post year-end cash book payments to Bath Co, confirm date of matching invoice and if pre year end agree to liability
- ○ Review a sample of invoices received from Bath Co recorded post year end and match to GRN to determine if they should have been recorded at the year end **(2 marks)**

(Total = 10 marks)

Viola

Viola Co is a manufacturer of shoes. You are an audit manager with Cello & Co and you are performing an overall review of the financial statements for the year ended 31 December 20X4 prior to the issue of the auditor's report. It is 1 July 20X5. Profit before income taxes for the year was $131.4m (20X3: $120.9m).

Analytical procedures

As part of your overall review, you have performed analytical procedures over the draft financial statements and have noted that the trade receivables collection period is lower than it was during the interim audit performed in October 20X4. You are aware that the credit controller of Viola Co left the company in November 20X4 and that the directors have said that, as a result, the company is experiencing difficulties in debt collection.

Disclosures

During the year, Viola Co revalued its head office and as part of your review, you are considering the detail which is disclosed in the property, plant and equipment note in the draft financial statements.

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Uncorrected misstatements

Your review also includes an assessment of uncorrected misstatements. These have been recorded by the audit team as follows:

	$000
(1) Interest payable omitted in error	1,942
(2) Additional allowance for receivables required	9,198
(3) Error in sales invoice processing resulting in understatement of sales	8,541
(4) Write off in respect of faulty goods	2,900

Faulty goods

The adjustment for faulty goods listed as an uncorrected misstatement above, relates to an entire batch of shoes, which was produced on 12 December 20X4. The audit work concluded that the cost of this inventory exceeded its net realisable value by $2.9 million. The directors dispute the audit team's figures and believe that the realisable value of the inventory still exceeds its cost.

11 **Which of the following would form part of the auditor's overall review of the financial statements?**

(1) **Establishing whether the pre-conditions for an audit are present**

(2) **Assessing whether the information and explanations obtained during the audit are adequately reflected**

(3) **Performing a detailed review of the audit working papers to ensure the work has been properly performed**

(4) **Reviewing the adequacy of the disclosure of accounting policies**

- ○ 1 and 2
- ○ 3 and 4
- ○ 1 and 3
- ○ 2 and 4

(2 marks)

---

12 **Which of the following is a valid explanation for the INCONSISTENCY between the results of the analytical procedures on trade receivables and the directors' statement regarding debt collection problems?**

- ○ A change in sales mix towards high value products
- ○ An increase in the proportion of cash sales since November 20X4
- ○ An increase in the rate of sales tax in December 20X4
- ○ Sales growth of 1% per month over the year

(2 marks)

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13 **Which of the following details should be disclosed in respect of the revaluation of the head office if the auditor is to conclude that the disclosures are adequate?**

(1) **Effective date of the revaluation**

(2) **Name of the valuer**

(3) **The amount of the revaluation increase**

(4) **Carrying amount of the head office under the cost model**

- O 1, 2 and 3 only
- O 1, 3 and 4 only
- O 2, 3 and 4 only
- O 1, 2, 3 and 4

(2 marks)

---

14 **Which of the uncorrected misstatements numbered (1), (2) and (3) by the audit team MUST be adjusted for if the auditor is to issue an unmodified audit opinion?**

- O Misstatements 2 and 3 only
- O Misstatements 1 and 3 only
- O Misstatements 1, 2 and 3
- O Misstatement 2 only

(2 marks)

---

15 All adjustments required by the auditors have been made to the financial statements with the exception of adjustment (4) relating to the faulty goods.

Which of the following correctly describes the effect of this matter on the auditor's report?

- O Unmodified opinion with no further disclosure
- O Unmodified opinion with disclosure in an emphasis of matter paragraph
- O Qualified opinion due to material misstatement
- O Qualified opinion due to inability to obtain sufficient appropriate audit evidence

(2 marks)

(Total = 10 marks)

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Section B

ALL THREE questions are compulsory and MUST be attempted.

16 Granstan Co

It is 1 July 20X5. You are an audit supervisor with Flinda & Co and you are working on the audit of Granstan Co, which sells electronic kitchen appliances from 40 stores across the country. You are reviewing documentation provided by the finance director of Granstan Co, including extracts of the company's system of internal control, in advance of the interim audit for the year ending 30 September 20X5. Although the website, payroll and inventory systems are stand-alone, the sales and purchases modules are fully integrated into the computerised accounting system.

Sales

Granstan Co has both business and retail customers. Business customers can apply for a credit account through Granstan Co's central credit control department. After performing necessary checks, the credit control department sets a credit limit which is authorised and then regularly reviewed by the finance director. As well as purchasing in store, business customers can purchase goods via the company's website and collect them from their nearest store or have them delivered. As part of the invoicing process, a member of the finance team matches the details on the online order with the goods dispatched note (GDN) before the sales invoice is raised based on these documents.

Each store charges the same prices for goods but customers who are on the mailing list receive weekly emails with discount offers. To claim the discount customers must show this email at the cash tills (cash registers) and have the discount barcode within the email scanned. The system then deducts the discount from the price charged.

Granstan Co's monthly management accounts analyse revenue by store, product and type of customer. Percentage movements in each of the categories are reported, with comparison to the previous month and the previous year. On a monthly basis, the sales director reviews this information, investigates any unexpected movements and completes a report which is presented at the next board meeting.

Purchases

Granstan Co has a central purchasing department. A monthly exception report of any changes made to the supplier master file data is automatically generated, printed and then filed.

When goods are ordered, a purchase order is generated within the purchase ordering module, authorised by the relevant individual and sent to the supplier. The purchasing and finance departments as well as the stores are able to access the ordering module to view orders.

Goods are delivered directly to the relevant store where a store employee checks the quantity supplied to the supplier's delivery note and the purchase order. On completion of the checks, an electronic goods received note (GRN) is produced. Only the stores and the finance department have access rights to view the completed GRNs within the module.

Due to staff shortages in the finance department, supplier statement reconciliations are no longer performed.

Payroll

Granstan Co has separate human resources (HR) and payroll departments. The HR department is responsible for setting up employee records for new employees. As part of this process an authorised joiner form, including all relevant details, is sent to the payroll department so that the new employees can be added to the payroll. However, when temporary employees are required at short notice joiner forms are not completed. Instead, the relevant store manager notifies the payroll department by email on the day the new employee starts work.

All permanent employees are paid on a monthly basis by bank transfer. The payroll for each store is passed to the store manager for review and approval two days before the payment date. The store manager is required to report back to the payroll department only if any errors are identified. Temporary employees are paid in cash and pay packets are prepared and distributed

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by the payroll department. When employees collect their pay packets, they are only required to state their name. They then count the cash in the pay packet and sign for it.

Required

(a) ISA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement* states that an entity's system of internal control consists of five components: control environment, the entity's risk assessment process, the entity's process to monitor the system of internal control, the information system and communication and control activities.

Using the table below, describe the five components of an entity's system of internal control.

Notes.

1 Use the below table structure to format your answer in the CBE software.

2 You do not need to refer to the scenario to answer this requirement.

Component	Description
Control environment	
Entity's risk assessment process	
Entity's process to monitor the system of internal control	
Information system and communication	
Control activities	

(5 marks)

(b) In respect of the SALES system of Granstan Co:

(i) Identify and explain THREE DIRECT CONTROLS which the auditor may seek to place reliance on; and **(3 marks)**

(ii) Describe a TEST OF CONTROL the auditor should perform to assess if each of these direct controls is operating effectively.

Note. Use the below table structure to format your answer in the CBE software.

Direct control	Test of control

(3 marks)

(c) Identify and explain FIVE DEFICIENCIES in Granstan Co's PURCHASES and PAYROLL systems and provide a control recommendation to address each of these deficiencies.

Note. Use the below table structure to format your answer in the CBE software.

Control deficiency	Control recommendation

(10 marks)

(d) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Granstan Co's revenue. **(5 marks)**

(e) Granstan Co is intending a stock market listing in the next year and therefore wants to take steps to ensure the company will be compliant with corporate governance principles when it lists. There are suggestions that as the chief executive officer (CEO), Ned Seppa, is due to retire shortly, he should become Chair of the board and an alternative CEO be appointed.

The company is actively recruiting independent non-executive directors (NEDs) whose remuneration will include a bonus based on the company's profits. To ensure that

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remuneration is sufficient to attract and retain both NEDs and executive directors, the CEO will perform a market comparison analysis and decide the remuneration of all directors.

Describe TWO corporate governance deficiencies faced by Granstan Co and provide a recommendation to ensure compliance with corporate governance principles.

Note. Use the below table structure to format your answer in the CBE software.

Deficiency	Recommendation

(4 marks)

(Total = 30 marks)

17 Musitastic Co

It is 1 July 20X5. Your firm, Yang & Co, has recently been appointed as auditor to Musitastic Co and you are planning the audit for your new client for the year ending 31 August 20X5. The audit manager has attended a planning meeting with the finance director and has provided you with the following notes of the meeting:

Planning meeting notes

Musitastic Co operates a chain of 50 music stores around the country, selling musical instruments and offering weekly lessons. When booking lessons, customers are required to pay for ten lessons in advance.

Musitastic Co sells a wide range of instruments. Because of the number of stores and the high number of different inventory lines, the inventory counts will not be able to be completed in one day. As a result, the inventory count is to be spread over 29, 30 and 31 August 20X5 and adjustments will be made for goods received and dispatched between the date the inventory is counted and the year end. Yang & Co is able to attend sufficient inventory counts for the purposes of the audit.

The company has been expanding steadily and during the year has spent $2.4m on refurbishing its stores. All of this expenditure has been recognised as property, plant and equipment. The company is also planning to add rehearsal space to the 20 largest stores and, in order to finance this, in April 20X5 the company obtained an $8m interest bearing bank loan which is repayable in quarterly instalments, in arrears, over five years.

To raise awareness of the company's existing products and the new rehearsal spaces, Musitastic Co launched a radio advertising campaign in May 20X5. The directors have indicated that, at the year end, advertising costs of $0.8m relating to this campaign will be recognised as a current asset because they believe that these advertisements will help to boost revenue for at least the next 12 months. The final advertisement will be aired on the radio before the year end.

Musitastic Co has an internal audit department which undertakes controls testing across the stores. Each store is visited at least once every year. The audit manager has discussed with the finance director that the external audit team may rely on the controls testing which is undertaken by internal audit. Internal audit investigations during the year have highlighted an increasing number of differences in several stores when reconciling cash till (cash register) records to actual cash in the cash tills. The directors have decided not to investigate these differences on the basis that they have only involved small amounts.

Musitastic Co's financial accountant retired suddenly in November 20X4 due to ill health. As a result, the finance department was understaffed until a replacement was recruited in March 20X5.

In June 20X5, Musitastic Co received notification that the music licensing authority is investigating complaints that many of the music teachers had breached copyright regulations by photocopying printed music for use in their lessons. The directors have informed you that they do not intend to provide for or disclose any potential fines, as they believe that they have the required permissions and that Musitastic Co has no legal liability.

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Required

(a) ISA 300 *Planning an Audit of Financial Statements* provides guidance to assist auditors in planning an audit of financial statements and explains the benefits of doing so.

Explain the benefits of audit planning.

Note. You do not need to refer to the scenario to answer this requirement. **(4 marks)**

(b) Describe EIGHT audit risks and explain the auditor's response to each risk in planning the audit of Musitastic Co.

Note. Use the below table structure to format your answer in the CBE software.

Audit risk	Auditor's response

(16 marks)

(Total = 20 marks)

18 Tennessee Co

It is 1 July 20X5. You are an audit manager of Tennessee & Co and you are in charge of the final audits, for two existing clients, which are due to commence shortly.

Montana Co is a not-for-profit charitable organisation which raises funds for mental health research with a financial year end of 31 March 20X5.

Oklahoma Co manufactures aircraft components and has a financial year end of 31 July 20X5. The forecast profit before income taxes for the year is $12.3m.

The following matters have been brought to your attention:

Montana Co

Income

Montana Co generates income in a number of ways and the draft financial statements for the year ended 31 March 20X5 show revenue of $0.8m. The company receives monthly donations from its many supporters, and these are paid by bank transfer to the charity.

In addition, Montana Co raises significant income via two charity events which are held every year in April and December. Tickets, which are $40 each, are sold via the charity's website during the four months leading up to each event. The events in April and December 20X4 were attended by 6,500 and 6,000 people respectively. Attendees at the events can purchase charity branded merchandise such as T-shirts at one of three stalls, paying by cash or credit card. During the audit planning, completeness and cut-off of income was flagged as a key risk.

Oklahoma Co

Inventory

Oklahoma Co is forecasting a draft year-end inventory balance of $10.2m. The company undertakes continuous production and a year-end inventory count will be carried out on 31 July 20X5 at the company's factory and warehouse. No movements of inventory will be allowed on the day of the count.

It is expected that there will be significant work in progress (WIP) at the year end. WIP comprises partly manufactured components. A senior member of your team is responsible for the audit of WIP and will be attending the inventory count as well as the final audit. Oklahoma Co values WIP by applying the estimated percentage of completion to the standard cost of a completed component.

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Required

(a) Describe substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence in relation to Montana Co's income.

Note. You should assume that the charity adopts IFRS Accounting Standards. **(5 marks)**

(b) Describe the audit procedures the auditor should perform as part of the audit of Oklahoma Co BEFORE and DURING the inventory count. **(6 marks)**

(c) Describe substantive procedures the auditor should perform during the final audit to obtain sufficient and appropriate audit evidence in relation to the VALUATION of Oklahoma Co's WORK IN PROGRESS. **(4 marks)**

(d) During the testing of Oklahoma Co's work in progress, the audit team has identified that the company had applied an incorrect percentage completion when determining the value of a number of partly completed components. Audit testing has confirmed that the work in progress balance is overstated by $0.7m. The directors of Oklahoma Co do not consider it necessary to amend the financial statements.

Discuss the issue and describe the impact on the auditor's report, if any, should this issue remain unresolved. **(5 marks)**

(Total = 20 marks)

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Answers

DO NOT TURN THIS PAGE UNTIL YOU HAVE COMPLETED THE MOCK EXAM

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Plan of attack

If this were the real Audit and Assurance exam and you had been told to turn over and begin, what would be going through your mind?

An important thing to say (whilst there is still time) is that it is vital to have a good breadth of knowledge of the syllabus because all the questions are compulsory. However, don't panic. Below we provide guidance on how to approach the exam.

Looking through the exam

Section A has three objective test cases, each with five questions. This is the section of the exam where the examining team can test knowledge across the breadth of the syllabus. Make sure you read these cases and questions carefully. The distractors are designed to present plausible, but incorrect, answers. Don't let them mislead you. If you really have no idea – guess. You may even be right.

Section B has three longer questions:

- **Question 16** is a 30-mark question covering internal control, including identifying controls in place, tests of controls, deficiencies and recommendations. It also examines corporate governance. Remember when you approach this in part (b) you are looking for strengths of the system (good controls) you can rely on and test, but in part (c) you are looking trying to find fault with the system (controls not in place or poor controls) before recommending how these problems (deficiencies) can be overcome.
- **Question 17** is a 20-mark question set on the benefits of audit planning and a familiar requirement asking you to identify audit risks and provide a response. In part (b) when you give risks, where applicable, try and link risks to a financial statement area and state whether it will be under or overstated, or which assertion the risk relates to.
- **Question 18** is a 20-mark question and features a not-for-profit entity. Don't be distracted by the fact this is a charitable organisation and stay focussed on the requirements, fully explaining each procedure in parts (a) to (c) using the 'verb, document (or person), reason' approach wherever possible to maximise your marks.

Allocating your time

BPP's advice is to always **allocate your time according to the marks for the question.** However, **use common sense.** If you're doing a question but haven't a clue how to do part (b), you might be better off reallocating your time and getting more marks on another question, where you can add something you didn't have time for earlier on. Make sure you leave time to recheck the OTs and make sure you have answered them all.

Forget about it

And don't worry if you found the exam difficult. More than likely other candidates will too. If this were the real thing you would need to forget the exam the minute you left the exam hall and think about the next one. Or, if it is the last one, celebrate!

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Section A

Horti & Co

1 The correct answer is: 3 only

In line with ACCA's *Code of Ethics and Conduct*, a self-interest threat would arise due to the personal relationship between the audit engagement partner and finance director. A self-interest threat, not intimidation threat, would arise as a result of the overdue fee and due to the nature of the non-audit work, it is unlikely that a self-review threat would arise.

2 The correct answer is: Cassie Dixon

In order to maintain independence, Cassie Dixon would be the most appropriate replacement as audit engagement partner as she has no ongoing relationship with Bush Co. Appointing any of the other potential replacements would give rise to self-review or familiarity threats to independence.

3 The correct answer is:

	Threats	Course of action
Option 2	Self-interest and self-review	Must resign as auditor

If Alan Marshlow accepts the position as a non-executive director for Plant Co, self-interest and self-review threats are created which are so significant that no safeguards can be implemented. Further as per ACCA's *Code of Ethics and Conduct*, no partner of the firm should serve as a director of an audit client and as such, Horti & Co would need to resign as auditor.

4 The correct answer is: 1, 2 and 4

Assuming a management responsibility is when the auditor is involved in leading or directing the company or making decisions which are the remit of management. Designing and maintaining internal controls, determining which recommendations to implement and setting the scope of work are all decisions which should be taken by management.

5 The correct answers are:

- Communicate level of fee income to those charged with governance - **Take**
- Use separate teams for the audit and non-audit work - **Do not take**
- Request payment of the current year's audit fee in advance of any work being performed - **Do not take**
- Request a pre-issuance review be conducted by an external accountant - **Take**

Weed Co is a listed company and the fees received by Horti & Co from the company have exceeded 15% of the firm's total fees for two years. As per ACCA's *Code of Ethics and Conduct*, this should be disclosed to those charged with governance and an appropriate safeguard should be implemented. In this case, it would be appropriate to have a pre-issuance review carried out prior to issuing the audit opinion for the current year.

Chester

6 The correct answer is: A supplier with a low balance at the year end and with a high volume of transactions during the year

This may indicate that not all liabilities have been recorded at the year-end date.

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7 The correct answer is: Chester Co purchased an unusually high level of goods in February 20X5 to satisfy a large order and had not paid for those goods by the year end

A purchase of a large volume of goods close to the year-end would increase the payables payment period. The prompt payment and trade discounts would both decrease the payables payment period, and the extended credit terms in this instance would have no impact as there is no closing balance with the new supplier.

8 The correct answer is: The auditor should request that an accrual is created in respect of the goods received but not yet invoiced

The difference of $144,640 with Oxford Co relates to goods which were received by Chester Co prior to the year-end but were not recorded in the accounting records until after the year-end date. As Chester Co had a liability to pay for the goods at the date of receipt, an accrual should be created for the goods received not yet invoiced.

9 An invoice for [$156,403] has been [paid twice].

The difference in respect of Poole Co may have arisen if the invoice had been paid twice in error as an additional $156,403 will have been debited to the supplier account.

10 The correct answer is: Review the accruals listing to ensure goods received from Bath Co post year end for which an invoice has not been received have been recorded in the correct period

Reviewing the accruals listing would not help the auditor confirm the purchase ledger balance with Bath Co as accruals are recorded separately from the purchase ledger balance.

Viola

11 The correct answer is: 2 and 4

As part of the overall review of the financial statements, the auditor should assess whether the information and explanations gathered during the audit and accounting policies are adequately reflected and disclosed. Pre-conditions should be considered as part of the auditor's acceptance procedures and a detailed review of the audit working papers is conducted as part of the firm's quality management procedures.

12 The correct answer is: An increase in the proportion of cash sales since November 20X4

An increase in the proportion of cash sales since the interim audit would increase sales but not trade receivables resulting in a decreased trade receivables collection period.

13 The correct answer is: 1, 3 and 4 only

The effective date of the revaluation, the amount of the revaluation increase and the carrying amount of the head office under the cost model are disclosures required by IAS 16 *Property, Plant and Equipment*.

14 The correct answer is: Misstatements 2 and 3 only

Misstatements (2) and (3) are individually material and would require adjustment for an unmodified opinion to be issued. Misstatement (1) is immaterial and if Viola Co did not make this adjustment, an unmodified opinion could still be issued.

15 The correct answer is: Unmodified opinion with no further disclosure

Misstatement (4) is immaterial at 2.2% of profit before income taxes ($2.9m/$131.4m) and would not require further disclosure. Therefore, as all other adjustments have been made, no material misstatement exists and an unmodified opinion can be issued.

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Section B

16 Granstan Co

Course Book references

Chapters 3, 9 and 10.

Top tips

Time management is critical on the longer 30 mark question. Allocate your time across the five parts (a) to (e) based on 1.8 minutes per mark and stick to your time allocation. Read the requirements before looking through the scenario as this will determine the mindset you have when you read each part of the scenario.

You need to be looking for 'good things' when you look at the section on the sales system because you need to find reasonable controls the auditor can then test to answer part (b). Then when you look at the part of the scenario relating to purchases and payroll you will be looking for 'bad things' because you are identifying and explaining deficiencies. If you read the scenario before looking at the requirements you wouldn't know that and most likely you would have to read the scenario more than once. So **always read the scenario already knowing what the requirements are.**

Easy marks

Part (a) offers the easy marks on the components of internal control. This requirement has come up in relatively recent past exams and you should have a good knowledge of these.

Marking guide

		Marks
(a)	**Components of a system of internal control**	
	Control environment	1
	Entity's risk assessment process	1
	Entity's process to monitor the system of internal control	1
	Information system and communication	1
	Control activities	1
		5
(b) (i)	**Direct controls (maximum 3)**	
	Credit checks	1
	Document matching	1
	Discount code	1
	Sales director review	1
	Maximum	3
(ii)	**Tests of controls (maximum 3)**	
	Credit checks	1
	Document matching	1
	Discount code	1
	Sales director review	1
	Maximum	3

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Marking guide

	Marks	
(c) **Control deficiencies and recommendations (maximum 5)**		
Exception report	2	
Quality checks	2	
Access to GRNs	2	
Supplier statement reconciliations	2	
Temporary employees	2	
Payroll review	2	
ID not shown	2	
Maximum		10
(d) **Substantive procedures – revenue**		
1 mark per well-described procedure (maximum 5)	5	
Maximum		5
(e) **Corporate governance deficiencies and recommendations (maximum 2)**		
CEO to Chair	2	
NED bonus	2	
Renumeration	2	
Maximum		4
Total		30

(a) **Components of a system of internal control**

Component	Description
Control environment	The control environment includes the governance and management functions and the attitudes, awareness, and actions of those charged with governance and management concerning the entity's system of internal control and its importance in the entity. The control environment sets the tone of an organisation, influencing the control consciousness of its people and provides the overall foundation for the operation of other components. The control environment encompasses many elements, such as how management's responsibilities are carried out (such as creating and maintaining the entity's culture and demonstrating management's commitment to integrity and ethical values); how those charged with governance demonstrate independence from management and exercise oversight of the entity's system of internal control; how the entity assigns authority and responsibility in pursuit of its objectives; how the entity attracts, develops and retains competent individuals in alignment with its objectives; and how the entity holds individuals accountable for their responsibilities in pursuit of the entity's system of internal control.
Entity's risk assessment process	The entity's risk assessment process is an iterative process for identifying and analysing risks to achieve the entity's objectives and forms the basis for determining the risks to be managed. For financial reporting purposes, the entity's risk assessment process includes how management identifies business risks relevant to the preparation of financial statements in accordance with the entity's applicable financial reporting framework. It estimates their significance, assesses the likelihood of their occurrence, and decides upon actions to respond to and manage them and the results thereof.

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Component	Description
Entity's process to monitor the system of internal control	Monitoring of controls is a continual process to assess the effectiveness of internal control performance over time. It involves assessing the effectiveness of controls and taking necessary remedial actions on a timely basis. Management accomplishes the monitoring of controls through ongoing activities, separate evaluations, or a combination of the two. Ongoing monitoring activities are often built into the normal recurring activities of an entity and include regular management and supervisory activities.
Information system and communication	The information system relevant to the preparation of the financial statements consists of the activities, policies and records designed and established to initiate, record, process and report entity transactions (as well as events and conditions) and to maintain accountability for the related assets, liabilities and equity. Communication which involves providing an understanding of individual roles and responsibilities may be through policy and accounting and financial reporting manuals. It may be made electronically, orally or through management actions.
Control activities	Control activities are controls that are designed to ensure proper application of policies in all the components of the entity's system of internal control and include both direct and indirect controls. Control activities include information processing controls and general IT controls and may be manual or automated in nature. They have various objectives and are applied at various organisational and functional levels. They may include authorisation and approvals, reconciliations, verifications, physical or logical controls, segregation of duties.

(b) **Direct controls and tests of controls**

Direct control	Test of control
A credit check is performed by the credit control department on all new customers applying for a credit account, after which a credit limit is set by the finance director which is regularly reviewed. The credit check helps to ensure that credit is only granted to customers who are likely to pay so that receivables are more likely to be recoverable. Regular review ensures that credit limits are not too high which could lead to irrecoverable debts and overvaluation of receivables.	Inspect the documentation in the credit application files for a sample of customers to confirm that appropriate credit checks have been performed before giving credit. For a sample of new customers accepted in the year, review the authorisation of the credit limit, and ensure that this was performed by the finance director or other responsible official. Review for evidence of regular review by the finance director. Enquire of the receivables clerks who can set credit limits and whether these limits are reviewed.
A member of the finance team matches the details on the online order with the goods dispatched note (GDN) before raising sales invoices based on these documents. This will help to ensure that customers are invoiced for all goods dispatched to them and that revenue is complete and accurate.	For a sample of orders received by the finance department, review for evidence that the order was matched to the GDN and agree the sales invoice details to these documents.
Customers must show the promotional email at the cash till and have the discount barcode scanned to access special discounts. This ensures that discounts are only given to authorised customers and can only be used once, which reduces the risk of misstatement of revenue through fraud.	Attempt to manually input a discount or amend the discount amount calculated by the system to ensure that the discount level cannot be manipulated.

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Direct control	Test of control
A monthly analysis of revenue is reviewed by the sales director, with any unexpected movements investigated. A report containing this analysis is presented at the next board meeting. Investigation of unusual movements in revenue means that misstatements due to fraud or error will be identified promptly.	For a sample of the monthly revenue analysis, obtain copies of the source information. Consider the thresholds for sales director investigation and investigate if there is any evidence of a review being performed where applicable. For a sample of board meetings, review the agenda and minutes for evidence of the report being presented to the board and discussed appropriately.

(c) **Control deficiencies and recommendations**

Control deficiency	Control recommendation
A monthly exception report of changes made to the supplier master file data is produced but not reviewed. This increases the risk of fraud as members of the purchasing department could add fictitious suppliers and then place fraudulent orders without detection, causing loss for the company. Any errors in the changes made to the master file data would also not be identified promptly.	The monthly exception report of changes should be reviewed by a responsible official on a regular basis and any unusual or unexpected changes investigated. This review should be evidenced.
Goods are delivered directly to a store where an employee checks the quantity of goods received but not the quality. If defective goods are accepted, it will be more difficult to dispute paying for them. If defective goods are sold on to customers, it will damage customer goodwill. Defective goods not sold may need to be discounted for sale or scrapped, affecting inventory valuation.	Goods should be inspected for both quantity and quality on receipt. When producing the goods received note (GRN), the store employee should input their initials as evidence of the checks undertaken.
The purchasing department does not have access rights to view completed GRNs, only the stores and the finance department have access rights. This means that the purchasing department is unable to monitor whether goods ordered have been received. This could result in stock outs and a loss of sales.	The purchasing department should be given access rights to view GRNs. On notification of a completed GRN, the purchasing department should agree the details on the GRN to the order and then change the order status to fulfilled. The purchasing department should undertake a regular review of unfulfilled purchase orders and follow up those which are outstanding.
Supplier statement reconciliations are no longer performed. Failing to undertake these reconciliations increases the risk of errors in the individual supplier accounts not being identified promptly which would result in misstatement of payables and could lead to suppliers being under or overpaid.	On a monthly basis, supplier statement reconciliations should be undertaken with all reconciling items fully investigated. The supplier statement reconciliations should be reviewed by a responsible official who should evidence this review by way of signature.

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Control deficiency	Control recommendation
Joiner forms are not completed when temporary employees are required at short notice. Instead, the temporary employees are added to payroll following email notification from the relevant store manager. The store managers may not carry out all the required procedures for new joiners, or record all the necessary information, as they do not complete the joiner form. This could result in temporary employees not being set up in the payroll system correctly. This would result in incorrect or incomplete payroll records. The addition of employees to payroll without authorisation from HR also increases the risk of fictitious individuals being added.	A joiner form should be completed and authorised by HR for all new employees. If it is not possible for the HR department to complete the joiner forms due to time pressures, the store manager should complete the joiner form and a member of the HR team should review and authorise the details prior to it being sent to payroll. Payroll should then sign the form as being actioned. The payroll department should be notified not to add new employees to payroll without a joiner form approved by a member of HR.
Store managers review and approve the payroll report before the payment dates but are only required to report back to the payroll department if errors are found. The payroll department may interpret a lack of response as indicating that there are no errors when in fact the store manager has failed to check, or a negative response has gone missing. This could lead to errors not being identified resulting in misstated payroll costs.	Store managers should be required to report back to the payroll department whether or not errors are found. They should sign the payroll as evidence that it has been checked. The payroll department should follow up on any non-replies prior to processing the payroll.
When employees collect their pay packets, they state their name but are not required to show identification. Employees may falsely assume the identity of another employee in order to access their wages. This would result in fraud and may increase payroll costs if the company has to pay twice.	Employees should be required to show photo identification before collecting their wages. The payroll department should note down relevant details of the identification provided.

(d) **Substantive procedures – revenue**

- Cast a breakdown of revenue and agree to the general ledger, trial balance and draft financial statements.
- Select a sample of daily sales reports and agree to the sales account in the general ledger.
- Compare total revenue and monthly revenue to prior year and budget. Discuss any unusual fluctuations with management.
- Compare the final gross profit margin to the prior year. Discuss any unusual fluctuations with management.
- Compare revenue analysed by product/store/type of customer for each month to prior year and budget. Discuss any unusual fluctuations with management.
- Perform a proof in total calculation for revenue by taking the prior year revenue and increasing it for any changes in store numbers or significant changes in product lines or other known factors. This expectation should be compared to actual revenue and any significant fluctuations should be investigated.
- Select a sample of business customer orders placed through the website and agree goods dispatched notes (GDNs) to sales invoices and through to inclusion in the detailed sales listing to ensure completeness of revenue.
- Select a sample of sales in the detailed sales listing and trace to sales invoices and GDNs to confirm occurrence.
- Select a sample of sales invoices for business customers and agree the sales prices back to the price list or customer master data information to ensure the accuracy of invoices.
- For a sample of invoices, recalculate invoice totals including any discounts and sales tax.

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- Select a sample of credit notes raised for business customers, trace through to the original invoice and ensure the invoice has been correctly removed from sales.
- Select a sample of GDNs both pre and post year end and follow these through to sales invoices in the correct accounting period to ensure cut-off has been correctly applied.

(e) **Corporate governance deficiencies and recommendations**

Deficiency	Recommendation
The current chief executive officer (CEO) is planning to become the Chair of the board. As a former executive director within the last five years, Ned Seppa will have been previously employed by the company and so will not be independent on appointment as recommended by corporate governance principles. A lack of independence may result in the Chair not bringing the necessary level of objective judgement to the role.	An individual who is fully independent of Granstan Co should be appointed to the role of Chair when the current Chair retires.
Non-executive directors (NEDs) will be paid a bonus based on the company's profits. Remuneration based on the performance of the company, particularly short-term performance targets, could result in NEDs making decisions to maximise their bonus rather than in the best interests of the business or shareholders, affecting their objectivity and independence.	NEDs should be paid an annual fee for their services and should not receive any increment based on the company's performance. The annual fee should be based on the time commitment and responsibilities required for the role.
Remuneration for all directors, executive and non-executive, is to be set by the CEO. Directors should not set their own remuneration as this may result in excessive levels of pay being set and could lead to favouritism or bribes.	There should be a fair and transparent policy in place for setting remuneration levels. The NEDs should set the remuneration of the executive directors by means of a remuneration committee (RC) made up of independent NEDs. When setting remuneration levels, the RC should consider factors such as workforce remuneration. The board should set the remuneration for the NEDs.

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17 Musitastic Co

Course Book references

Chapters 6 and 7.

Top tips

Audit risk and response questions feature every exam sitting. Always give a reason why a risk is an audit risk, stating the possible consequences of this risk and linking to assertions or an under or overstatement of a financial statement area where applicable. Responses should be specific such that another member of the audit team could read your response and carry out the action necessary without asking you more questions.

Easy marks

Easy marks were available for recalling your knowledge of the benefits of audit planning.

Marking guide

	Marks
(a) **Benefits of planning**	
Devote attention to important areas	1
Enables auditor to resolve potential issues promptly	1
Helps to manage the audit efficiently and effectively	1
Assists in selection of audit team	1
Facilitates direction, supervision and review	1
Assists in coordinating the work of experts	1
Maximum	4
(b) **Audit risks and responses (maximum 8)**	
New client	2
Income in advance	2
Inventory count	2
Refurbishment expenditure	2
New bank loan	2
Advertising costs	2
Reliance on internal audit	2
Cash differences not investigated	2
No financial accountant	2
Copyright breach	2
Maximum	16
Total	20

(a) **Benefits of planning**

- Helping the auditor to devote appropriate attention to important areas of the audit.
- Helping the auditor identify and resolve potential problems on a timely basis.
- Helping the auditor properly organise and manage the audit engagement so that it is performed in an effective and efficient manner.
- Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.

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- Facilitating the direction and supervision of engagement team members and the review of their work.
- Assisting, where applicable, in coordination of work done by experts.

(b) **Audit risks and responses**

Audit risk	Auditor's response
This is the first year Yang & Co has audited Musitastic Co. There will be a lack of knowledge regarding the company's accounting policies and transactions which could lead to a misinterpretation of audit evidence or the performance of inappropriate procedures. This would lead to an increase in detection risk. There is also less assurance over opening balances as Yang & Co did not perform the audit last year.	Allocate additional time in the audit timetable to enable the audit team to research the client, its business and its systems. Ensure a comprehensive planning meeting is held with all members of the audit team to enable this information to be shared and allocate more experienced staff than usual to the audit. Increase audit procedures over opening balances.
Customers pay for ten music lessons in advance. Musitastic Co may recognise the full amount received as revenue rather than treating the payment as a contract liability (deferred income) until the lessons are delivered. For lessons booked near the year end, this would result in revenue being overstated and current liabilities being understated.	Discuss with the finance director how revenue is recognised to confirm it is in accordance with IFRS 15 *Revenue from Contracts with Customers*. For a sample of lesson bookings within ten weeks of the year end, review journal entries and confirm that the correct amount is recognised as a contract liability (deferred income) until the lessons take place.
The inventory count is to be spread over 29, 30, 31 August and adjustments made for goods received and dispatched between the date the inventory is counted and the year end. There is an increased risk relating to completeness and existence of inventory if goods received and dispatched between the count and the year end are not recorded correctly. This would result in a misstatement of year-end inventory.	Attend the inventory counts and observe procedures to confirm that goods received during the count are appropriately segregated and included in the count records, and that goods to be dispatched during the count have been appropriately segregated so that they are excluded from the count records.
During the year, the company has spent $2.4m on refurbishing its stores. This expenditure has all been recognised within property, plant and equipment (PPE). There is a risk that some repairs and maintenance expenses may have been recognised as assets in contravention of IAS 16 *Property, Plant and Equipment* which would mean that PPE is overstated and expenses are understated.	Obtain a schedule of costs which have been recognised within PPE as part of the refurbishment programme. Review supporting documentation, such as invoices, to confirm that they are asset expenditure.
The company obtained an $8m interest-bearing bank loan which is repayable over five years in quarterly instalments. This loan must be correctly allocated between non-current and current liabilities and properly disclosed. Failure to classify the loan correctly could result in misstatement of current and non-current liabilities. In addition, the company may fail to accrue for the interest, resulting in finance costs and accruals being understated.	Review the loan agreement and the company's calculations to confirm that the loan liability is correctly split between non-current and current liabilities. Review the disclosures for this loan in detail to ensure compliance with the financial reporting framework. Recalculate the interest accrual and agree the amount to the analysis of expenses and the accruals schedule.

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Audit risk	Auditor's response
Musitastic Co is planning to include a current asset of $0.8m which relates to advertising costs incurred and adverts aired before the year end. The costs should be recognised in operating expenses in the current year financial statements as all of the adverts will be aired in the year ending 31 August 20X5. If these costs are not expensed, current assets and profits will be overstated and expenses understated.	Review supporting documentation for the advertisements to confirm that all were aired before 31 August 20X5. Request that management removes the current asset and records the amount as an expense in the statement of profit or loss. If the adjustment is made, review the journal entry.
The external audit team may place reliance on the controls testing work undertaken by the internal audit department. If reliance is placed on irrelevant or poorly performed testing, then the external audit team may form an incorrect conclusion on the strength of Musitastic Co's internal controls. This could result in them performing insufficient levels of substantive testing, increasing detection risk.	The external audit team should meet with the internal audit team, read their reports and review their files relating to store visits to ascertain the nature of the work undertaken. Before using the work of internal audit, the audit team should evaluate the internal audit work which they plan to use in order to determine its adequacy for the purposes of the audit. In addition, the team will need to reperform some of the testing carried out by internal audit in order to assess its adequacy.
Internal audit investigations have highlighted an increasing number of differences between cash till (cash register) records and cash in several stores. The directors have decided not to investigate these differences because they only involve small amounts. There is a risk that these differences are the result of fraud, and several small differences could be material when aggregated. In addition, an increase in control risk arises when internal auditors detect a problem but it is ignored.	Extended substantive procedures over the cash and bank balance should be carried out. The audit team must apply professional scepticism throughout this testing, recognising that a fraud may have arisen as a result of the differences.
The company's financial accountant retired due to ill health in November 20X4 and the finance department was understaffed until a new financial accountant was recruited in March 20X5. The lack of supervision and understaffing during the period when there is no financial accountant will lead to increased control risk and a higher chance of error or fraud occurring.	Make enquiries as to who performed the controls normally performed by the financial accountant during the period when the role was vacant. If the results of the tests of control indicate higher control risk, perform increased levels of substantive procedures for the period when there was no financial accountant.
The music licensing authority is investigating complaints that many of the music teachers have breached copyright regulations. However, the directors do not intend to provide or disclose any potential fines as they believe that they have the required permissions and that there is no legal liability. If it is probable that fines are payable by Musitastic Co, failure to recognise a provision will result in understatement of expenses and provisions. If there is more than a remote possibility that fines will be payable, failure to disclose will result in incomplete disclosure in the financial statements.	Review correspondence with the licensing authority. Review correspondence with the company's lawyers or, with the directors' permission, contact them to ask their opinion on whether Musitastic Co has any legal responsibility and, if so, the likely amount of the fines which would be imposed.

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18 Tennessee Co

Course Book references

Chapters 13, 14, 18 and 20.

Top tips

This question featured a not-for-profit entity but that should not have distracted you from the very specific requirements in this question on audit procedures and reporting. Always check requirements asking for audit procedures to see if there is any 'restriction'. For example, the restriction for the work in progress requirement was that your procedures should only be related to valuation of work in progress. Procedures testing other assertions would gain no marks and use up valuable time.

Easy marks

The easiest marks here were available for determining the misstatement in part (d) was material and describing the impact on the auditor's report.

Marking guide

	Marks
(a) **Substantive procedures – income**	
1 mark per well-described procedure	5
Maximum	5
(b) **Inventory count procedures**	
1 mark per well-described procedure	6
Maximum	6
(c) **Substantive procedures – valuation of work in progress**	
1 mark per well-described procedure	4
Maximum	4
(d) **Auditor's report**	
Discussion of issue	1
Materiality	1
Type of modification	2
Impact on report	1
	5
Total	20

(a) **Substantive procedures – income**

- Obtain a schedule of all Montana Co's income and cast to confirm completeness and accuracy of the balance and agree to the trial balance and financial statements.
- Compare the individual categories of income of charity event ticket sales, merchandise sales and donations against prior years and investigate any significant differences by discussing with management.
- Compare the average value or number of donations received to prior year and investigate any significant differences.
- For monthly donations, trace a sample of donations from the sign-up documentation to the bank statements, bank ledger account and income listing to ensure that they are recorded completely and accurately.

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- For a sample of new donors in the year, agree the monthly sum and start date from their completed sign-up forms and trace to the monthly donations received account and agree to the bank ledger account and bank statements.
- For the two charity events held in the year, perform a proof-in-total calculation of the number of tickets sold, approximately 12,500, multiplied by the ticket price of $40. Compare this to the income recorded and discuss any significant differences with management.
- Select a sample of advance ticket sales made online relating to the April 20X5 event, confirm that the transaction has been excluded from current year income and follow through to inclusion in contract liabilities.
- Agree the journal entry to transfer the prior year contract liabilities relating to the April 20X4 event to current year income and agree prior year contract liabilities to last year's financial statements.
- For merchandise sales, obtain a breakdown of the income received for each of the three stalls and agree a sample to supporting documentation, such as sale receipts.

(b) **Inventory count procedures**

Before the count

- Review the prior year audit file to identify whether any significant inventory issues arose last year.
- Discuss with management whether any significant changes have occurred this year with regards to inventory items or locations or if the company has experienced any significant control issues.
- Obtain a copy of the proposed inventory count instructions, review them to identify any control deficiencies and if any are noted, discuss them with management prior to the count.
- Prior to attending the inventory count, discuss with management how the percentage completions are attributed to the WIP, for example, whether this is based on aircraft components passing certain stages in the production process.

During the count

- Observe the counting teams of Oklahoma Co to confirm whether the inventory count instructions are being followed correctly.
- Select a sample of inventory and perform test counts from inventory sheets to physical inventory and from physical inventory to inventory sheets.
- Observe the count to confirm that the procedures for identifying and segregating damaged goods are operating correctly and inspect inventory for evidence of any damaged or slow-moving items.
- Observe the procedures for movements of inventory during the count, to confirm that all movements have ceased.
- Obtain a photocopy of the completed sequentially numbered inventory sheets for follow up testing at the final audit.
- Obtain copies of the last goods received notes (GRNs) and goods dispatched notes (GDNs) for 31 July and request copies of GRNs and GDNs raised on 1 August in order to perform cut-off procedures as at the year end.
- Observe the procedures carried out by Oklahoma Co's staff in assessing the level of WIP and consider the reasonableness of the assumptions used.

(c) **Substantive procedures – valuation of work in progress**

- Discuss with management the basis of the WIP valuation, assess how the percentage of completions have been set and assess the reasonableness of management's approach.
- Discuss with management the basis of the standard costs applied to the percentage completion of WIP and how often these are reviewed and updated.

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- Review the level of variances between standard and actual costs and discuss any significant variances with management.
- Obtain a breakdown of the standard costs and agree a sample of these costs to recent purchase invoices, labour costs to time sheets or wage records and whether overheads allocated are of a production nature to assess their reasonableness.
- Agree a sample of WIP assessed during the count to the WIP schedule, confirm that the percentage completion is correct and as recorded at the count.
- Recalculate the WIP amount using the stage of completion.
- Select a sample of items included in WIP at the year end, agree costs to be incurred to completion to relevant supporting documentation. Compare to the unit sales price included in sales invoices post year end to assess NRV.

(d) **Auditor's report**

An incorrect percentage of completion has been applied to standard cost when determining the value of a number of partly completed components, resulting in work in progress and profit being overstated by $0.7m.

The error of $0.7m represents 5.7% of profit before income taxes (0.7m/12.3m) and 6.9% of inventory (0.7m/10.2m) and hence is a material matter.

If no adjustment to work in progress is made, the audit opinion will be modified due to a material misstatement. As inventory is overstated and the error is material but not pervasive, a qualified opinion will be necessary.

A basis for qualified opinion section will be needed after the opinion paragraph and will explain the material misstatement in relation to the overstated work in progress and the effect on the financial statements. The opinion paragraph will state that 'except for' the matters described in the basis for qualified opinion section, the financial statements present fairly (give a true and fair view) in all material respects.

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Additional CBE Mock Exam

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- We recommend that you use a wired internet connection wherever possible to reduce the likelihood of any internet outage during the Mock Exam.
- In the same way as the real exam environment, this Mock Exam must be sat in one attempt. Once you close out of the exam it will save your output to pdf. You will not be able to re-enter the exam or pick it up where you left off.

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